

Oracle Fusion Cloud Procurement

Using Procurement

26B



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Contents

Get Help

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1	Introduction	1
	Overview of Procurement Business Process Model	1
	Procurement Business Process Models	2
	How You Use and Personalize Infolets in Oracle Fusion Cloud SCM and Procurement	5
	Source to Settle Infolets	6
	Procurement Favorites	7
	How Can I Mark a Purchasing Document, Supplier Definition, or Negotiation as a Favorite?	7
2	Supplier Information	9
	Overview of Suppliers	9
	Supplier Item Information	10
3	Supplier Registrations	15
	Supplier Registration Process	15
	Supplier Registration Review and Approval	20
	More on Supplier Registrations	22
4	Supplier Profiles	25
	Overview of Supplier Work Area	25
	Oracle Supplier Model	26
	Search for Suppliers	29
	Manage Supplier User Roles	32
	Set Up Supplier Related Privileges	32
	Options to Configure Supplier Registration	33
	Security for Individual Supplier Information	37
	Supplier Taxpayer ID Sharing	37
	About Header and Regime Level Tax Registration Numbers	39
	How can I configure suppliers to share the same taxpayer ID?	40

How You Mask Taxpayer ID	40
How You Configure Sender Name and Email in Supplier Management Notifications	40
How You Work with Administrative Contacts of Suppliers	41
How can I view and update a supplier contact's mobile phone?	42
Overview of Supplier Audit History	42
Outbound Supplier Profile Integration Using Oracle Integration Cloud	42
Create Supplier	43
Request Supplier Profile Change	57
Approve Supplier Profile Change Request	58
Merge Suppliers	65
How You Purge Supplier Interface Records	66
How You Maintain Multiple Supplier Emails for Communicating Purchase Orders	67
Import Suppliers	67
Supplier Profile Audit History Setup and Reporting	79
How You Automatically Inactivate Suppliers Based on Activity	82
5 Access Supplier Collaboration	85
How Supplier User Provisioning Works	85
Supplier User Account Request	87
Supplier User Account Administration	87
Redwood Oracle Supplier Portal Home Page	88
6 Supplier Qualifications	91
Use the Supplier Qualification Work Area	91
Create Questions, Areas, Models, Initiatives, and Surveys	92
Review and Accept Questionnaire Responses	131
Use Rule Sets and Automatic Processing	134
Automation Errors	141
Provide External Questionnaire Responses	142
How You Monitor Supplier Qualification	143
How You View Oracle Transactional Business Intelligence Reports	145
7 Requisitions	147
Introduction to the Self Service Procurement Application	147
Get Started with the Self Service Procurement Application	147
How You Set Your Preferences to Enable Requisition Creation	148

Shopping Catalog Search	150
Requisition Search	151
How to Refine Requisition Search Using Filters	152
Create Requisitions	152
Import Requisitions	181
Edit Requisitions	183
Reassign Requisitions	186
Manage Requisition Life Cycle	187
Cancel Requisitions	188
Track Document History	192
Approve Requisitions	193
How You Use Different Approval Statuses	196
How You Resolve Requisition Lines with Invoice Holds	198
FAQs for the Self Service Procurement Application	199
Process Requisition Lines	200

8 Purchase Orders **207**

Use the Purchase Orders Work Area	207
Create Purchase Order	208
Approve Purchase Order	295
Dispatch Purchase Order	312
Amend Purchase Order	318
Manage Purchase Order Life Cycle	327

9 Supplier Agreements **341**

Use the Purchase Agreements Work Area	341
Create Supplier Agreement	343
Approve Supplier Agreement	375
Dispatch Supplier Agreement	379
Amend Supplier Agreement	380
Manage Supplier Agreement Life Cycle	385

10 Transaction Console **391**

Manage Workflow Transactions	391
Statuses for Filtering Transactions	393
Actions for Managing Transactions	394

11	External Purchase Prices	397
	Overview of External Purchase Prices	397
	Import External Purchase Prices	397
	Update Item and Category for External Purchase Prices	399
	Select and Import Purchase Agreements from External Purchase Prices	400
	Manage External Purchase Prices	403
	External Purchase Prices Mappings	408
	Selection Criteria for External Purchase Prices	410
12	Item Replacement	413
	Overview of Item Replacement	413
	Prerequisites	413
	Considerations for Item Replacement	414
	Create a Replacement Task	415
	Delete a Replacement Task	417
	Reinstate an Original Item or Supplier	418
	Mark as Completed	418
13	Global Search	421
	What attributes can I use to search a requisition using the global search?	421
	What attributes can I use to search a purchase order using the global search?	421
	What attributes can I use to search a purchase agreement using the global search?	422
14	Supplier Negotiations	423
	Negotiations	423
	Approve Negotiation	520
	Capture Supplier Response	524
	Negotiation Lifecycle	549
	Evaluate Negotiation	571
	Amend Negotiation	582
	Approve Award	583
	Award Negotiation	587
15	Spend Classification	633
	Overview	633

Why You Use Spend Classification	633
Business Decisions to Consider	634
Spend Classification Performance and Analytics	635
Configuration	636
Taxonomies	638
Data Sets	640
Knowledge Base	644
Attributes	645
Training Exclusions	646
Rules	647
Batches	649

16 Troubleshoot Errors **653**

How You Get Assigned to a Business Unit That Supports Requisitioning	653
What's the application limit on purchasing processes and services?	653
What's the application limit on requisitions?	655
What diagnostic tests are available for Procurement?	656
Run Touchless PO Creation Diagnostic Reports	658
Troubleshoot Internal Requisition Setup for Internal Material Transfers	658

Get Help

There are a number of ways to learn more about your product and interact with Oracle and other users.

Get Help in the Applications

Some application pages have help icons  to give you access to contextual help. If you don't see any help icons on your page, click your user image or name in the global header and select Show Help Icons. If the page has contextual help, help icons will appear.

Get Training

Increase your knowledge of Oracle Cloud by taking courses at [Oracle University](#).

Join Our Community

Use [Cloud Customer Connect](#) to get information from industry experts at Oracle and in the partner community. You can join forums to connect with other customers, post questions, suggest [ideas](#) for product enhancements, and watch events.

Share Your Feedback

We welcome your feedback about Oracle Applications user assistance. If you need clarification, find an error, or just want to tell us what you found helpful, we'd like to hear from you.

You can email your feedback to oracle_fusion_applications_help_ww_grp@oracle.com.

Thanks for helping us improve our user assistance!

1 Introduction

Overview of Procurement Business Process Model

The business process model (BPM) is one of the foundations in the design of Oracle Fusion Applications, one of the important elements of business process management used by business analysts. It enables organizations to either optimize their business processes or adapt them to new organizational needs.

Oracle Fusion analyzes the processes at five levels:

1. **Industry:** A specific industry organized around raising capital, executing a business model, and reporting the resultant income to shareholders or investors. For example, Automotive, Communications, Education, Healthcare, and Utilities, to name a few of the approximately 30 identified industries
2. **Business Process Area:** A specific business process area designated for a collection of related business processes that take on the complete processing of the Industry.
3. **Business Process:** A specific business process to more clearly identify a collection of activities designed to produce a specific business outcome and serves to bridge the hierarchy between Business Process Area and Activity.
4. **Activity:** A specific activity that's designated for a collection of tasks or units of work that a company or organization performs
5. **Task:** Specific tasks or units of work involved in an activity

The first four conceptual layers are implementation agnostic and the last level is implementation-specific. For example, all business organizations have an industry business area defined as Oracle Fusion Cloud Procurement, and within that a business process area for managing purchase orders. One process of that business process area is a BPM activity, Create Purchase Order. The specific actions in creating a purchase order are the BPM tasks. These tasks correspond to application tasks and roles in Procurement, while the Business Process Area through Activity levels provide a navigation structure for all areas of Oracle Fusion, including tasks, support, documentation, and online help. Oracle Fusion Applications reflect the business processes with which you're familiar, and our publication of knowledge about the application is designed to be navigated using a BPM approach.

Oracle Fusion Applications comprises 22 business process areas, many impacting Procurement. Tools used to model these business process areas include the Oracle Business Process Analysis Suite, and the results are published in the Oracle Business Process Publisher using standard HTML. The BPM content was prepared from industry-wide competitive analysis, research, and vision. Customer research workshops intensely reviewed the models so customers can adapt the BPMs to suit their circumstances and business processes.

Business Process Modeling carries through to almost every aspect of Procurement:

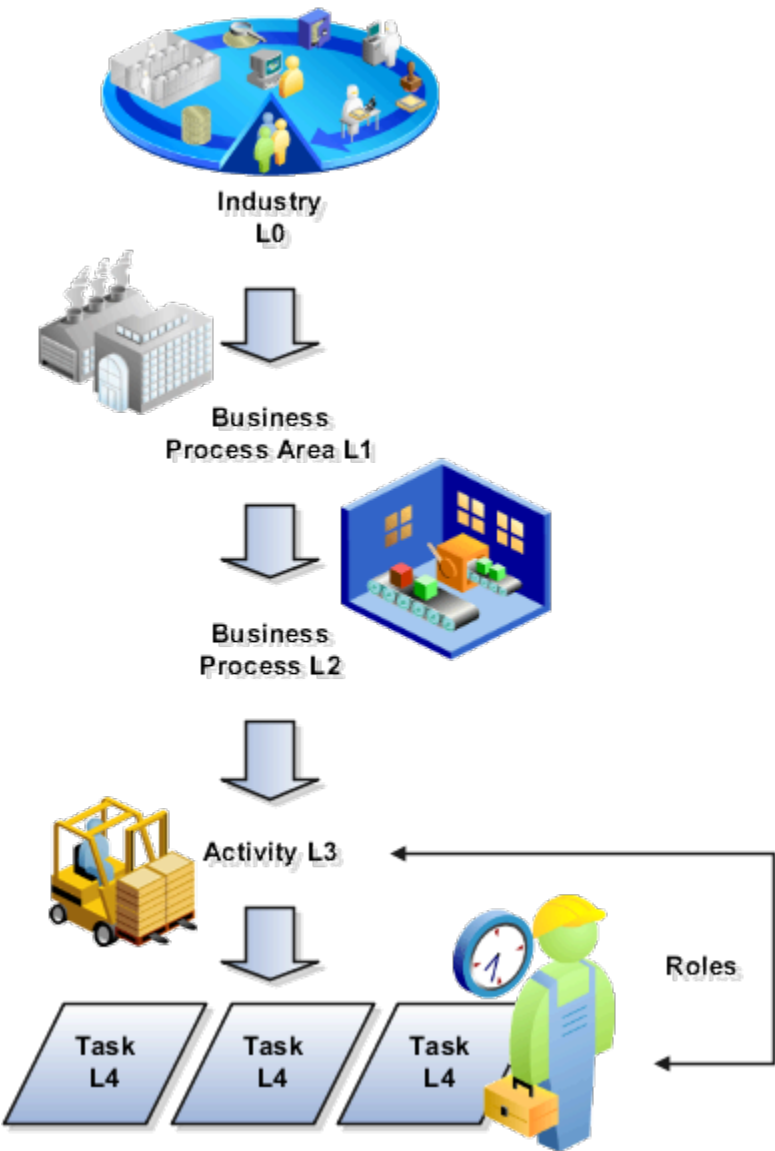
- Manages the deployment, upgrade, integration, and configuration of the product
- Provides outlines for Oracle Fusion documentation
- Structures role-based access security so that tasks and activities are assigned appropriately
- Arranges messaging and online help
- Organizes field support efforts to examine and resolve issues
- Provides guidance for Oracle Fusion Sales and Consulting in the Oracle Unified Method and in presales solutions and setup

Procurement Business Process Models

Understanding the Oracle Fusion Business Process Model (BPM) is essential. BPM informs the deployment, upgrade, integration, and configuration of the product.

Oracle Fusion documentation follows the process models very closely. Roles Based Access security is also tied closed to the BPMI, so that tasks and activities are assigned appropriately. Messaging and online help are arranged by BPM. Field support uses the BPM to organize their efforts to examine and resolve issues.

This figure illustrates the five levels of the Business Process Model: Level zero (L0) - Task: A specific industry organized around raising capital, executing a business model, and reporting the resultant income to shareholders. Level one (L1) - Business Process Area Level 1: A specific business process area. Level two (L2) - Business Process Level 2: A specific business process. Level three (L3) - Activity: A specific activity. Level four (L4) - Task: A specific task involved in an activity.



An example of a level 1 business process area that crosses all industries is Oracle Fusion Cloud Procurement. Procurement employs level 2 business processes and level 3 activities to track the major functional and setup components and tasks. This table lists some of these important business processes and their respective activities.

L2 Business Process	L3 Activity
Manage Procurement Catalog	• Manage Procurement Content
Manage Purchase Orders	• Amend Purchase Orders • Approve Purchase Order • Create Purchase Order • Define Purchasing Configuration • Dispatch Purchase Order

L2 Business Process	L3 Activity
	Manage Purchase Order Lifecycle
Manage Requisitions	- Amend Requisitions - Approve Requisitions - Create Requisitions - Manage Requisitions Lifecycle - Process Requisition Lines
Manage Supplier Agreements	- Amend Supplier Agreements - Approve Supplier Agreements - Create Supplier Agreements - Define Purchasing Configuration - Dispatch Supplier Agreements - Manage Supplier Agreements Lifecycle
Manage Supplier Contracts	- Amend Supplier Contract - Approve Supplier Contracts - Supplier Contracts - Define Purchasing Configuration - Dispatch Supplier Contracts - Manage Supplier Contracts Lifecycle
Manage Supplier Information	- Define Supplier Configuration - Manage Supplier Item Information - Manage Supplier Profiles - Manage Supplier Registrations
Manage Supplier Negotiations	- Amend Negotiation - Award Negotiation - Capture Supplier Response - Create Negotiation - Define Sourcing Configuration - Evaluate Negotiation - Manage Negotiation Lifecycle
Set Up Procurement	Define Approval Management for Procurement

Related Topics

- [Overview of Procurement Business Process Model](#)

How You Use and Personalize Infolets in Oracle Fusion Cloud SCM and Procurement

Oracle Fusion Cloud Supply Chain & Manufacturing (SCM) and Oracle Fusion Cloud Procurement infolets are visual, actionable, and personalized information cards summarizing critical data about specific objects.

These infolet cards are combined in a SCM or Procurement home experience or work area home page to make key performance indicators easy to view, understand, and act upon.

You can do these with infolet cards:

- Flip or expand the card to view additional details about the object featured in the infolet card.
- Drill down to more details by navigating to relevant manage pages from the infolet view.
- Change the context of the card either at page level or at view level.
- Hide infolet cards.
- Reorder infolet cards.

Flip and Expand Card

Some infolet cards have a back view or an expanded view that provides additional information relevant to specific aspects of the object being featured in the infolet card. The back and expanded views of the infolet card display additional levels of detail and expose useful information relevant to the object. Based on how the infolets have been configured, you can then navigate to either the back view or the expanded view.

To see different views of the infolet card, do the following:

- Click the **Back View** icon present on the infolet card to see the back view with additional information about the object.
 - To return to the front view, click the **Front View** icon present on the infolet card.
- The expanded view is available from either the front view or the back view. Click the **Expanded View** icon to see useful information about the objects. Click the **Front View** or **Back View** icon to return to the view you started with.

Additional Pages

Click the number or an element like a segment on the pie chart of the infolet card to navigate to relevant manage pages with additional, in-context information. Drill down to view additional relevant information on related objects that will help you to act on the latest and critical data points. For example, suppose you've an infolet card that displays draft orders with errors. Each number or the segment of the graphical element represents the different error conditions such as pricing errors, processing constraint errors, and so on. Click the segment that represents draft orders in pricing errors to see the names and additional details of all the draft orders with pricing error.

Context Selector

To view different perspectives of the same data, use context selectors. Two types of context selectors are available: at the page level, and at the view level. Only some of the infolet cards have the view-level context selectors, while only some pages with infolet cards have page-level context selectors. Context selectors aren't present on all infolet cards and

pages. If you change the context of the card on any view of the card, these changes may not necessarily reflect on the alternate views of the infolet card.

- Each view of the infolet card may have a view-level context selector located after the title of the card. Select from the list of available contexts and the view is updated based on that context. The view-level context can be different on each view of the card.

For example, you may have an infolet card that displays information about fulfilled orders for different time periods. Use the context selector to see information about orders that were fulfilled in the last three months.

- The page-level context selector is available on a tool bar of the page. The page-level context selector is similar to the view-level context selector, except that all the cards on the page will display data as per the filters set in the page-level context list. Click the **View By** icon on the tool bar of the page. Select the contexts from the two available lists in the Page Context dialog box.

Examples include updating all of the cards to show data only for the last week, or only for a particular business unit.

Hide Card

Click the **Actions** icon present on the infolet card, and select **Hide**. The selected card is hidden. You can also hide cards by clicking the **My Infolets** icon present on the page. A list of infolet cards is displayed. Deselect the check box of the infolet card that you want to hide.

Rearrange Cards

The infolet cards can be moved around and can be rearranged or re-ordered on the page in any way you want.

Related Topics

- [Infolets for New Item Requests](#)

Source to Settle Infolets

You can configure the infolets you want to display on the Source to Settle infolet page from this list.

You can't create or add new infolets in the Source to Settle infolet page.

- **Requisition Lines.** View the counts of unprocessed requisitions by the number of days they are not processed.
- **Open Orders.** View the count of open orders that are assigned to the buyer. This information can assist you with allocating work across your department.
- **Overdue Schedules.** View the total number of overdue schedules. The expanded view shows the breakdown by supplier.
- **Open Receipts.** View the total number of expected receiving lines that are open. The expanded view shows the aging of these lines according to the expected receipt date. You can navigate from here to manage incoming shipments.
- **Invoices on Hold.** Keep track of held invoices. You can see counts of invoices on hold and drill down to the Invoice work area to take action, if needed.
- **Payments.** View the total amount of upcoming payments due to suppliers within one week.

- **Supply Base.** Monitor the percentage distribution of your suppliers across several dimensions, including supplier type, business relationship, and business classification.
- **Agreements.** Monitor how many agreements are over-released or under-released according to consumption exceptions you set on each agreement.
- **Inactive Agreements.** View agreements that have had no activity for the prior six months.
- **Sourcing Programs.** View the top five sourcing programs across your procurement business units and drill down to program details.
- Keep track of your sourcing activity across your procurement business units with a count of negotiations by status and expand to see ongoing negotiations by category manager.
- **Deliverables Overdue.** View the count of overdue deliverables from your sourcing negotiations and purchasing agreements. You can drill down to the respective work areas to take action.
- **Negotiated Savings and Award.** Monitor total awards by year and month as well as your sourcing performance in achieving negotiated savings.
- **Qualified Suppliers.** Track progress as you qualify your supply base. This infolet provides the percentage of suppliers that have been through the qualification process for the top five qualification areas. You can expand this infolet to show the results for the top ten qualification areas.

Procurement Favorites

You can designate favorite purchase orders, purchase agreements, suppliers, and recently used negotiations. The list of your favorites appears whenever you click the Favorites icon on the global header of a page.

You can view the list of your favorites at any time regardless of the current page you're on. If you click a link in your list of favorites, you can directly see and edit the purchasing document, supplier definition, or negotiation. This lets you easily locate the object without searching for it.

How Can I Mark a Purchasing Document, Supplier Definition, or Negotiation as a Favorite?

You can mark your favorite purchasing document, supplier definition, or negotiation (RFQ, RFI, or auction) as a favorite.

When you're on the view or edit page for the object, click the star at the end of the object name, and the star is highlighted. Now, you've marked the purchasing document, supplier definition, or negotiation as a favorite.

To manage favorites, click the star icon next to the Home icon. In the **Favorites and Recent Items** dialog box, you can see your recent favorites and organize them.

2 Supplier Information

Overview of Suppliers

Supplier Administrators use the Suppliers Work Area Overview page to perform day-to-day supplier maintenance and administration activities.

The overview page provides the Supplier Administrator with the supplier information needed to carry out tasks ranging from routine maintenance, to event driven administrative responsibilities. In addition, the overview page contains reports that highlight supplier issues requiring attention and provides easy access to maintain and update supplier records. From the overview page, the Supplier Administrator can quickly get in touch with a contact for a supplier reported to require communication by accessing the Actions menu.

The Suppliers Work Area Overview page contains the following reports:

- **Incomplete Suppliers:** Lists suppliers created in the past 30, 60 or 90 days with no active addresses or contacts. An active address is required to procure from a supplier. The Supplier Administrator should take action to complete required supplier setup for this list so that each supplier is transaction ready. This report also helps identify suppliers that must be set to inactivate, if the buying organization has decided not to do business with the supplier.
- **Expired and Expiring Business Classifications:** Lists suppliers for whom one or more business classification certificates are about to expire or have expired. This report helps the Supplier Administrator keep supplier records that are in risk of losing their diversity status (which could impact the supplier relationship) current and accurate.
- **Suppliers Pending Review:** Identifies suppliers needing additional internal review to make them transaction ready. The Review Type attribute indicates whether the supplier requires additional review. The predefined default for Review Type is Registration, to identify suppliers created through Registration. A supplier may register with minimal details and to make them transaction ready. It may be required to provide more complete information including Addresses, Contacts, Bank Accounts, Tax Registration details and so on. The Supplier Administrator can manually set the Review Type to another selected value to ensure that the supplier is marked for additional review and is included in this report.
- **Contact Change Requests Pending Approval:** This report lists all contact change requests pending approval for both active and inactive suppliers. The report helps the Supplier Administrator identify the approval queue for contact change requests requiring review by the buying organization. This report is displayed only if Oracle Supplier Portal is implemented.

Related Topics

- [Business Classifications](#)
- [Supplier Profile Change Request Approval](#)
- [Supplier Profile Change Requests](#)

Supplier Item Information

Approved Supplier List

Your procurement organization can use an approved supplier list to track suppliers that are authorized to supply critical items and services. The data can be maintained for a particular procurement BU or a specific ship-to organization within a procurement BU.

Set up the approved supplier list based on how your organization approves and tracks authorized supply sources. Create list entries based on:

- an item and a supplier
- an item and a supplier site
- a category and a supplier
- a category and a supplier site

Each entry can have supplier-item or supplier-category ordering attributes specified on the procurement BU or ship-to organization levels.

You can use the Manage Approved Supplier List Entries task, in the Purchase Agreements and Purchase Orders work areas, to do the following:

- Manage a list of suppliers, supplier sites, manufacturers or distributors that are either authorized for, or restricted from, supplying critical items or categories.
- Define a supplier list entry to apply to a single ship-to organization, or across ship-to organizations serviced by a procurement BU.
- Enable automated buying for purchase orders by specifying ordering requirements, such as minimum order amount, on an approved supplier list entry.
- Maintain references to source agreement documents.
- Set dates for periodic reviews of approved supplier list entries to verify supplier qualifications.
- Maintain approved supplier list entries to reflect the current business status with suppliers.

You can use the Manage Agreements task, in the Purchase Agreements and Purchase Orders work areas, to do the following:

- Create approved supplier list entries automatically from blanket agreements, to establish the supplier as an approved supply source.

Related Topics

- [Considerations for Creating Approved Supplier List Entry](#)
- [Create an Approved Supplier List Entry for an Item](#)
- [Create an Approved Supplier List Entry for a Category](#)

Considerations for Creating Approved Supplier List Entry

An approved supplier list (ASL) entry controls what item or set of items can be procured from which suppliers (or restrict from procuring). You can create an ASL entry to match just how granular your organization wants to approve and track authorized supply sources.

Each entry can have supplier-item or supplier-category ordering attributes specified on the procurement BU or ship-to organization levels.

Procurement BU

Procurement business units are responsible for procurement business function related activities including supplier management, contract negotiation and administration, order issuance and administration. Approved supplier list entries can be created at a procurement BU level or for a specific ship-to organization within a procurement BU.

Scope

Scope is primarily about what level in the buying organization you're tracking authorized suppliers. A scope of Global allows the ASL entry to be used or enforced by all ship-to organizations that roll up to the requisitioning BU or BUs for which the procurement BU is a service provider.

Scope also has to do with how you define multiple attribute sets for different ship-to organizations. When an approved supplier list entry is defined as **Global**, all ship-to organizations that roll up to the requisitioning BU or BUs for which the procurement BU is a service provider will reference the global attribute set. When an approved supplier list entry is defined as **Ship-to Organization**, you create an attribute set for one specific ship-to organization.

Ship-to Organization

As indicated above, the included ship-to organizations define the scope or domain of your approved supplier list entry. That is, the supplier relationship status maintained on the ASL is only applicable for orders which are for shipment to that specific ship-to organization. For global ASLs different ordering attribute sets can be defined for specific ship-to organizations.

Type

You can associate the supplier or supplier site to an item or a category for an approved supplier list entry by specifying the type. When an approved supplier list entry is defined as **Item**, you're associating the entry to a particular catalog item. When an approved supplier list entry is defined as **Category**, you're associating the entry to a particular procurement category. Using category type lets you manage the supplier relationship for whole a set of items that roll up to the category.

Status

Status identifies whether the supplier is authorized to supply the item or set of items defined on the ASL. Another key point about status is that it determines whether purchase orders can be sourced and approved. These processing controls can be associated to the status in the Manage Approved Supplier List Statuses page.

Supplier-Item Attributes

You can define the following additional ordering attributes for each supplier-item combination:

- Purchasing UOM

- Country of Origin
- Minimum Order Quantity
- Fixed Lot Multiple

Source Documents

You can specify blanket purchase agreements and contract purchase agreements as source documents for an ASL entry. The application then automatically defaults source document information such as the buyer, supplier contact, and supplier item number, for the item or category during automated creation of requisition lines.

Related Topics

- [Approved Supplier List](#)
- [Create an Approved Supplier List Entry for an Item](#)
- [Create an Approved Supplier List Entry for a Category](#)

Create an Approved Supplier List Entry for a Category

This example demonstrates how to create an approved supplier list entry for a category. This entry links a procurement category with a supplier to ensure orders are placed with authorized suppliers.

Your company, InFusion America, has had success ordering its desktop computers from Big Computers. As category manager you have decided to create an approved supplier list entry for this combination for shipments to the Seattle Manufacturing division. Use the following steps to create the entry for this category and supplier.

Create an Approved Supplier List Entry

1. In the Purchase Agreements work area, use the Create Agreement task to create a contract purchase agreement 1002362 for Big Computers.
2. Use the Manage Approved Supplier List Entries task to open the page of the same name.
3. Click the **Create** icon, or select the **Create** link from the Actions menu.
4. On the Create Approved Supplier List Entry page, enter the information listed in the following table. Verify and accept the application entered values in the other fields as is.

Field	Data
Scope	Ship-to Organization
Ship-to Organization	Seattle Manufacturing
Type	Category
Category	Computers
Supplier	Big Computers

Field	Data
Supplier Site	Big Computers Main
Status	Approved

5. In the Seattle Manufacturing: Source Documents region, click the **Add** icon, or select **Add Row** from the Actions menu, to create a new source document line.
6. For this source document line, select Contract Purchase Agreement for the Type, and enter the contract purchase agreement number 1002362 for Agreement.
7. Click **Save and Close**, then click **OK** on the confirmation message.

Related Topics

- [Approved Supplier List](#)
- [Considerations for Creating Approved Supplier List Entry](#)

Create an Approved Supplier List Entry for an Item

This example demonstrates how an approved supplier list entry for an item is created. This entry links a procurement catalog item with a supplier to ensure orders are placed with authorized suppliers.

Your company, InFusion America, has had success ordering its ergonomic keyboards from Advanced Network Devices. Your category manager has decided to create an approved supplier list entry for this combination for global use within the procurement BU and uses the following steps to create the entry for this item and supplier.

Create an Approved Supplier List Entry

1. She navigates to the Manage Approved Supplier List Entries page. For example, from the Purchase Agreements work area, select the Manage Approved Supplier List Entries task.
2. She clicks the **Create** icon or selects the **Create** link from the Actions menu.
3. On the Create Approved Supplier List Entry page, she enters the information listed in the following table. The application entered values in the other fields are verified and accepted as is.

Field	Data
Item	KB18761
Supplier	Advanced Network Devices
Supplier Site	FRESNO
Status	Approved

Field	Data

4. In the Supplier-Item Attributes region she selects the Purchasing UOM field of the Global attribute line and enters "Case of 10".
5. She then clicks the **Add** icon or selects **Add Row** from the Actions menu to create a new attribute row..
6. For this attribute line she selects Boston Manufacturing for the Ship-to Organization and enters a Minimum Order Quantity of 5.
7. She clicks **Save and Close**, then clicks **OK** on the confirmation message.

Related Topics

- [Approved Supplier List](#)
- [Considerations for Creating Approved Supplier List Entry](#)

3 Supplier Registrations

Supplier Registration Process

Companies and internal users on behalf of companies can use the supplier registration process to submit requests to become suppliers of the buying organization.

The supplier registration is extremely easy and intuitive for suppliers. The key highlights of the supplier registration are as follows:

- Guided process optimized for easy capture of profile details and other requirements
- Improved extensibility, such as customer-defined validations and default logic, and
- Geographically responsive data entry

Suppliers can potentially enter into a relationship with the buying organization through:

- Self service or external supplier registrations
- Internal supplier registrations
 - Internal supplier registration allows employees to request new suppliers through Oracle Sourcing, Suppliers work area, and through Oracle Self Service Procurement.

Suppliers can be registered with one of the two business relationships, prospective and spend authorized. Prospective suppliers can only participate in negotiation and qualification activities i.e. that do not involve financials, whereas spend authorized suppliers are used for all the transactions including financials.

Regardless of how a supplier is introduced, the buying organization reviews the registration request using a collaborative review process and determines if it wants to consider this company as a new source of supply.

Supplier Registration Flow

Here's how the supplier registration process works:

1. For the external registration:
 - The buying organization provides a supplier registration URL to the potential suppliers. These URLs comprise of encrypted values of business relationship and the inviting procurement business unit.
You can find the registration URL for each business relationship type on the Configure Procurement Business Function page, in the Prospective Supplier Registration and Spend Authorized Supplier Registration URL fields. To access the page, in Setup and Maintenance work area, go to the **Configure Procurement Business Function** task:
Offering: Procurement
Functional Area: Procurement Foundation
 - This start page for the external registration can be personalized to communicate information about supplier's registration and onboarding process. You can also add information or corporate branding to tailor the email notification that sends the one-time access code.
 - As the requester, you can begin by entering your email on the start page of the registration request to receive a one-time access code, which is used to start the supplier registration. This is a security feature

and prevents bots from submitting registration requests. This also ensures a valid email is associated with each registration. You can return later to finish the registration by providing the email again to get a new access code, which will retrieve the saved registration. The supplier registration URL is always the same for all users, even for users returning to finish their registration, which simplifies supplier support.

- After providing the email, you will get an access code that you need to provide for your email verification.
- After email verification, you are guided to provide the company information, contacts, addresses, business classifications, bank accounts, products and services categories, and questionnaire responses.
- After providing all information, you can submit the request on the final page. On submission, guidance is provided if any corrections or missing information requires attention, if no, a success confirmation is presented with a registration request number for reference in any follow-up communications. You can personalize this page to include information such as contact details the requester can use for further communication.

2. For the internal registration:

- As a self-service procurement user or a supplier administrator can navigate to the responsive self-service procurement or the suppliers work areas respectively to submit a registration request on behalf of the supplier.
- In case you do not have all the required information to submit the registration request, you can save and return with the missing information and submit your request after completing all the information.
- Category managers can also submit registration requests on behalf of suppliers through the sourcing work area while creating a negotiation.

Note: The internal supplier registration submitted by a category manager during the negotiation process is the classic supplier registration flow.

3. On submission of a registration request, the buying organization receives the request, which goes through a collaborative review process. The Approval Management Service facilitates the approval routing of the registration. To maintain registration approval rules, in the **Setup and Maintenance** work area, go to the following:

- Offering: Procurement
- Functional Area: Approval Management
- Task (for external registration requests): Manage Supplier Registration Approvals
- Task (for internal registration requests): Manage Internal Supplier Registration Approvals

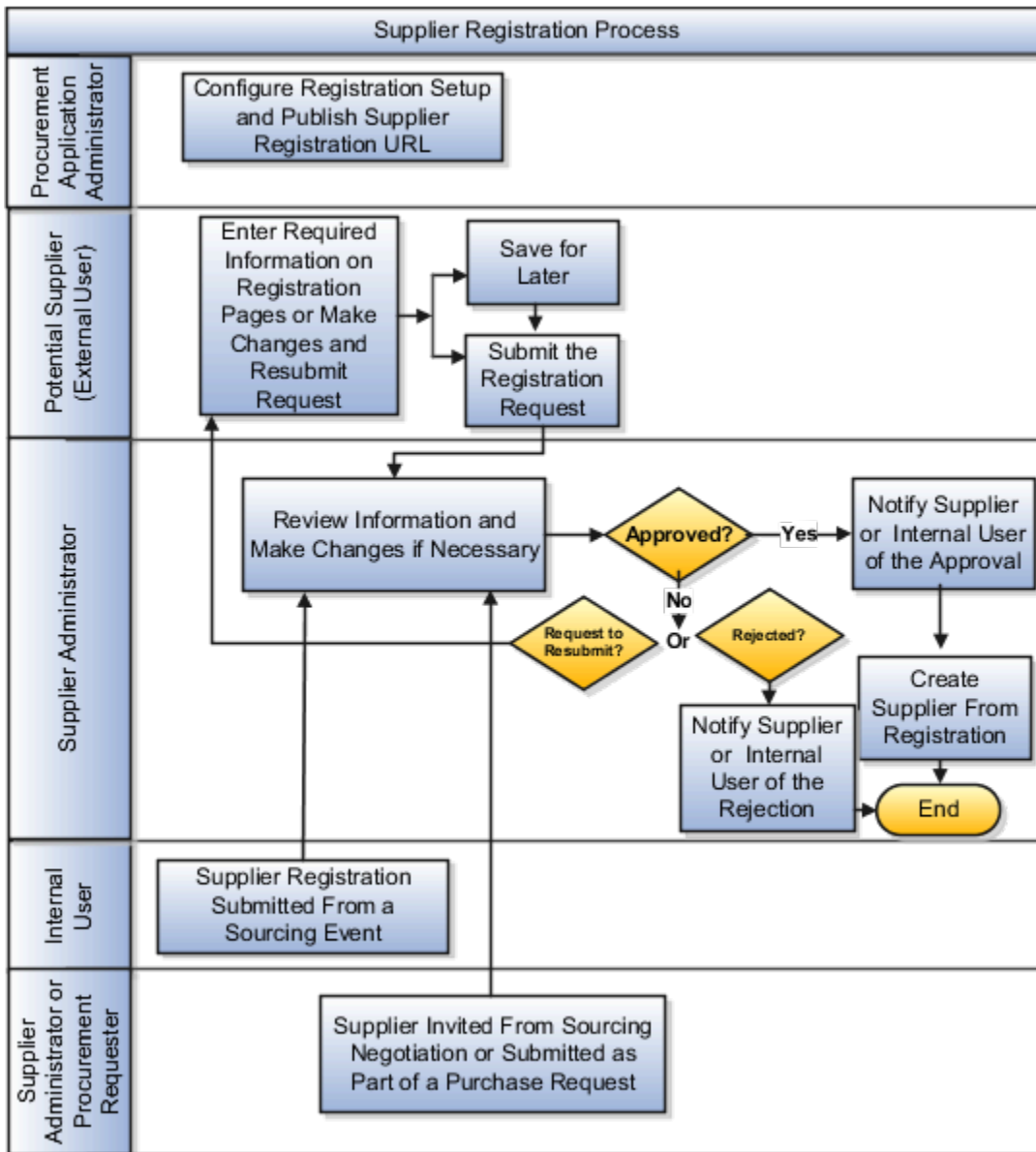
During the review process, the company name, D-U-N-S number if provided and tax identifiers are verified against the existing supplier master to prevent duplicate suppliers from being created.

- 4.** Approvers who have the required privileges can edit the registration, except for supplier's bank accounts, during approval. The default approvers for supplier registrations are defined in the procurement agents table in the Manage Suppliers function for the request's inviting Procurement BU. The approval routing looks for such procurement agents having supplier administrator roles for the prospective supplier registration requests or supplier manager role for the spend authorized supplier registration requests and routes the requests for approval.
- 5.** The outcome of the review is either approved or rejected. A notification with the registration request outcome is sent to the user who submitted the supplier registration request for both the external and internal registration requests. Additionally, for external registration requests, this notification is sent to contacts marked as administrative contact on the registration.
 - Approved: Automatically starts a process to create a supplier record from the registration. If user accounts were requested for contacts on the registration, then user provisioning requests are sent to the identity management system for processing. If a prospective supplier is approved, then that supplier is

available for transactions on sourcing and qualifications. If a spend authorized supplier is approved, then a spend authorization approval request is raised for the next level approval process.

- Rejected: Rejects the request and sends a notification to the requester.

This figure shows the registration flow described previously. It shows the actions performed by: Procurement Application Administrator, Potential Supplier (External User), Supplier Administrator, Internal User, Supplier Administrator, or Procurement Requester.



The registration document contains the following:

- **Company Details:** captures the company details like name, country, tax identifiers, organization, and supplier types and so on. On company details, the country is required to drive defaulting on subsequent pages which also enables you to configure UI rule conditions based on country. Here are some examples:
 - Hide fields, such as taxpayer ID when the country is not USA.
 - Display country-specific attachment instructions to provide guidance on the types of documents you require. Besides country, there are several other attributes that support configurable conditions to enable similar dynamic UI behavior.
 - If your business requirement is to not have country as required, you can personalize the page to remove the required property for country.
- **Contacts:** captures the details of all the contacts who will engage with the buyer for various business activities. On Contacts, in the external registration, the verified email is defaulted for the first contact. The mobile, phone and fax country codes are defaulted based on the country selected on company details page.
- **Contact User Account:** captures the user account information for the contact. You can personalize to default a selection for requesting a user account for contacts.
- **Addresses:** captures details of all the supplier addresses and their purposes from where their business activities are going to take place. On Addresses, the country is used to default the address country as well as the phone and fax country codes. You can also personalize this page to have the address purposes selected by default.

The Loqate Smart Address service is an integrated service in registration and is a highly recommended feature to opt in to. The service manages detailed address locations for over 240 countries and provides a superior user experience with an automatically suggested address search that eliminates the data entry and input errors.

- **Business Classifications:** Captures the certification details of any applicable supplier diversity classifications (for example, minority owned, small business, LGBTQ+ owned, person with disability owned, and so on).
- **Bank Accounts:** captures details of all the supplier bank accounts where they receive payments against their supplies. Supplier bank account follows a country-driven logic to provide bank account attributes unique to the country. The default country layout presented is based on the supplier's country. A seeded configuration is delivered for most countries out of the box.

For example, the routing number is presented for a United States bank account, whereas sort code is used in the United Kingdom layout. You can modify or add country-specific rules to show or hide attributes, make them required or relabel them. Using the country-specific layouts, you need to provide information only for the necessary fields.

- **Products and Services:** select from the summarized categories the types of goods and services that the supplier can provide.
- **Questionnaire:** Captures responses to additional registration questions for the external supplier registrations and the internal supplier registrations from the suppliers and the responsive self service procurement work areas.
- **Attachments:** Company details, business classifications and bank accounts supports uploading documents as proof for the information captured on these pages. For example, for company details attachments, you can capture suppliers tax certificates and for bank accounts, their scanned checks.

If configured, Supplier registration approvers can view auto-generated attachment summaries on the approval notification for file type attachments added in the Company Details section of the supplier registration.

You can configure the company details and bank accounts attachments as required to implement a stringent policy with respect to the company and bank account verification. Bank account attachments is not available in the classic internal supplier registration submitted by category managers from sourcing work area during the negotiation process.

- **Descriptive Flexfields:** Captures additional information for the company, the contacts and addresses during the supplier registration process. You can configure these additional information attributes as descriptive flexfields and then enable through personalization to capture their values during registration.

Supplier Registration Business Relationships

To begin a business relationship with a supplier, the supplier usually has a provisional status. For a provisional supplier, the amount of information you need is typically minimal. You need more information for suppliers with whom you conduct financial transaction.

The level of review and oversight needed for a potential supplier is also typically less than that required by a contracted supplier.

An efficient way of addressing the need for different levels of supplier information is to provide two statuses for the suppliers. The provisional status allows a restricted level of access to the application capabilities. The full status allows access to a more complete range of capabilities.

Prospective Suppliers

Suppliers can ask to be registered with the application either independently by accessing the buying company's registration web page, or they can be registered internally. In either case, the registration requests go to the supplier manager for review. Once the supplier manager approves the registration request, the supplier becomes a prospective supplier in the application. Prospective suppliers have a restricted level of access. They can participate in supplier qualification initiatives, and they can view and respond to negotiations. Prospective suppliers are identified within the application by an icon that indicates their prospective status.

Spend Authorized Suppliers

If the category manager decides to award business to a prospective supplier who responded to a negotiation, that supplier needs to be authorized in the application to conduct spend transactions with the buying organization before a purchase document can be created for that supplier. Similarly, a contracted supplier who is ready to be engaged in spend transactions, is registered with spend authorized business relationship.

Spend authorization requires a more complete level of information about the supplier and is subject to approval by the supplier manager. Once the supplier is approved for spend operations, they have access to all the normal capabilities of the application.

Manage Supplier Registration Requests

Use the Manage Supplier Registration Requests page to search for any registration, monitor the pending registrations, view all registration data including approval history, and follow up on the aging registrations.

You can access this task as a supplier administrator or supplier manager from suppliers work area to access registration requests that you have access to. The access to the registration request is determined based on procurement agent access with manage suppliers function for the request's inviting procurement BU.

A registration request's view page provides the complete information of the registration request including the status of the request and it's approval history. Using the view page, you can restart the approval process for a pending approval requests if you have the privilege Resubmit Supplier Registration Request.

On this page, you can also search for requests with errors that can eventually be fixed to complete the supplier creation or to cancel the supplier creation.

As requesters can save their registration requests, it often could be possible that they do not submit their requests. Such requests will have status as draft and you can be searched on this page. You can then follow-up with the requesters for completion or delete the requests in case of no interest from requesters.

The Approval action can be performed only through the approval request notification, accessed in the Worklist application. Also, the delete action is allowed only for abandoned requests that have been saved but not submitted, other requests that are pending approval, approved or rejected cannot be deleted.

Related Topics

- [Oracle Supplier Qualification Rule Sets](#)
- [Options to Configure Supplier Registration](#)
- [Supplier Registration Approval](#)

Supplier Registration Review and Approval

Supplier Registration Approval Actions

Approvers are identified based on the approval rules configured for the registration. On receiving the approval notification, approvers review the information provided by the requester in the registration form and then take one of the following actions:

Approve: when satisfied with the information provided in the registration form, approvers can approve the request. After the approval, request will be routed to the next level for approval. Once all approvals are complete, supplier creation process starts and the requester is notified.

Reject: approvers can decide to reject a request if they do not need to onboard the supplier. On rejection, the approval workflow terminate and the requester is notified about the rejection.

When rejecting the request, approvers can choose from the list of configured rejection reasons or add more details of the rejection in the form of comments. The rejection reason and comments that are captured when rejecting a request are included in the notification that's sent to the requester of the rejected registration request. The reason and comments provided for each of the rejected supplier registration requests can be viewed from the Manage Supplier Registration Requests search results by expanding the view columns.

Request to Resubm it: when information provided by the requester in the external registration is incomplete or insufficient to take approval decision, approver can return the request by providing the reason for requesting resubmission. A notification is send to the requester and a URL is shared with them to access their saved request for resubmission. Requester can also access the registration URL and use their email that they used to register initially to retrieve the request returned for resubmission. When the request is resubmitted, it is routed through the same review process

Request Information: this action helps re-route the registration request to an internal user. Using this option, approvers can:

- Return an internal registration request to the requester for resubmission, or

- Request information from any internal user for internal as well as external registration requests, to get more information specific to the supplier being registered.

When approvers request information from users other than requesters, the user can only add the requested information through comments and submit back the request. They cannot edit the registration request.

Edit Registration Request

During the review process, approvers can edit some of the provided information in the registration request. The link to access the edit registration page is available on the approval notification when approver has Edit Supplier Registration Request & Access Suppliers Work area Overview privileges.

Clicking this link opens the edit page in suppliers work area for approvers to make changes. After saving the changes, approvers can take the approval action from this page itself.

Supplier Registration Approval History

Approval history information is captured in the View Registration Request page for requests that have final approval disposition.

Oracle Supplier Model stores these details for supplier registration approval:

- Approval actions.
- Users who took the approval actions.
- Date the actions were taken.
- Comments entered by approvers.

Related Topics

- [Set Up Supplier Registration Approvals](#)

Supplier Creation Post Registration Request Approval

After the registration request is approved and the registration approval notifications are sent, the application automatically creates the supplier in the Supplier Master.

This list describes the Supplier creation process:

- The supplier number is assigned from the next sequential number, maintained in Supplier Numbering setup.
- User accounts requested for any contacts entered on the registration are sent to Oracle Fusion Identity Management for processing. After a user account is provisioned, a notification is sent to the contact containing the login details for access to the Oracle Supplier Portal application.
- If the newly created supplier has a business relationship of spend authorized, a separate spend authorization approval request is started upon creation of the supplier. This additional approval review ensures the supplier record is ready for transaction processing. Unless the spend authorization request is approved, the supplier's business relationship is maintained as None. In case the spend authorization request is rejected, you can manually promote the supplier for spend triggering the spend authorization review process.

- After the spend authorization request is approved, a supplier site is created for each address in the procurement BU for which the registration request was created. The address name provided in the registration request is used as the site name. The site purposes are derived from the address purposes.
- A site assignment is automatically created for every client BU having both requisitioning and payables invoicing business functions that are serviced by the procurement BU for which the registration request was created. Site assignments aren't created for sites with Site Purpose of Sourcing Only.

If you don't want to have site assignments created automatically, you can deactivate this feature. In the **Setup and Maintenance** work area use the **Configure Supplier Registration and Profile Change Request** task in the **Suppliers** functional area. In the **Configure Supplier Registration and Profile Change Request** page, deselect the **Autocreate site assignments for spend authorized suppliers** check box.

Error in Supplier Creation Process

On approving a registration request, data validations are performed again and only after all the validations are passed, the supplier is created.

If any validation errors are encountered preventing the supplier record from being created, the request ends in an error. The error details can be accessed from the Manage Supplier Registration Requests page. If supplier creation fails then this process takes place:

- Registration request is approved and the Supplier Creation Status on the registration is marked as Error.
- A notification is sent.
 - Supplier Administrators that have access to the procurement BU for which the registration was created receive notifications for prospective suppliers.
 - Supplier Managers that have access to the procurement BU for which the registration was created receive notifications for spend authorized suppliers.
- Supplier Administrators or Supplier Managers can view and fix errors by navigating to the Edit Supplier Registration Request page accessed from the notification, or from the Manage Supplier Registration Requests page.
- Once the errors are fixed, the supplier is created and the Supplier Creation Status is marked as Completed.
- In some cases the user may not want to proceed with creating the supplier, for example if the error is for a duplicate supplier that already exists. The user then has the option to cancel the supplier creation by clicking on Cancel Supplier Creation on the Edit Supplier Registration Request page.

More on Supplier Registrations

Duplicate Supplier Registration Request

When registering suppliers, it's important to prevent registering duplicate suppliers. For this purpose, there's a duplicate check performed when users register suppliers.

The duplicate check considers the supplier name, D-U-N-S number, taxpayer ID (combined with tax country), and tax registration number. The duplicate check considers the existing suppliers as well as those having their registration requests pending approval or saved to be complete later.

How to Display the External Supplier Registration Pages in Different Languages

To display external supplier registration pages in different languages:

1. Identify the installed languages.

Before you change the language for the Supplier Registration pages, find the corresponding Language Tag in the setup task Manage Languages. Choose to display only the languages installed by using the Installed drop down under the Search region. Translation can be done only for installed language packs. Note down the Language Tag value for the languages in which the pages need to be rendered.

- Append language to the Supplier Registration URL.

Pick up the external Supplier Registration URL from the setup task Configure Procurement Business Function. Note that the setup task access is Procurement BU specific and therefore the Supplier Registration URLs are also Procurement BU specific.

The URLs are in this format:

`https://<host>/fscmUI/redwood/supplier-registration/register-supplier/register-supplier-verification?id=<value string>`

To render the URL in the required language, append the language tag noted earlier to the end of the registration URL in the format: `&ojSpLang=<Language Tag Value>`

For Example: `https://<host>/fscmUI/redwood/supplier-registration/register-supplier/register-supplier-verification?id=<value string>&ojSpLang=es`

Note: The language tag should be given as it is and not be enclosed in quotes or brackets.

Buying organizations can append the URL with required language before sending it to potential suppliers. Alternatively, if the URLs are published in the buying organization's website they can publish multiple URLs pointing to different languages.

Tax Identifiers Validation

Quality supplier data is essential for smooth operations. If a duplicate supplier is created, it can cause transaction problems and may require manual intervention to resolve.

The suppliers' tax identifiers, along with their names and D-U-N-S number, are used to identify duplicates.

Prevention of duplicate suppliers is improved by checking the country specific format of the tax registration number and the alphanumeric value of the taxpayer ID regardless of the format differences. This will prevent accidental or intentional attempts to add a duplicate supplier with the same tax registration number or taxpayer ID.

Tax Registration Number

When a tax registration number is entered or modified, the entered value is validated for the format entered. For example, you can enter GB940068928 for United Kingdom but cannot enter GB9400689280 or GB-940068928.

Taxpayer ID

When a taxpayer ID is entered or modified, its alphanumeric value is used to validate against the alphanumeric values of all the saved taxpayer IDs. For example, if 123456789 is a saved taxpayer ID for a supplier, then these and similar values will be considered as duplicates:

123456789, 123-456-789, 12-3456-789, 12 3456 789, and so on.

Configuring Attachments as Required

To ensure a simpler review process, Supplier registration company details and bank account attachments can be setup as required for the self-service registration flow.

How can I restart approval process for a registration request that is pending approval?

If for any reason a request must be resubmitted for approval, you can use the Resubmit Request action, which will resubmit the current request for approval from the start.

You can restart the approval process on the View Supplier Registration Request page, which can be accessed from the Manage Supplier Registration Requests page.

You must have the privilege to resubmit registration requests. This action is secured through the privilege Resubmit Supplier Registration Request and you can only resubmit requests that are in pending approval status.

When you resubmit a pending request, you can include a reason, which will be available as additional information in the approval history.

Summarize Supplier Registration Attachments With Generative AI

Attachments in a supplier registration request are required to collect information necessary for vetting a potential supplier.

It's time consuming for approvers to drill down on each attachment to verify the content of the document. Use generative AI to provide automated summaries of attached documents in a supplier registration to expedite approval. With generative AI, you can improve efficiency for approvers and reduce supplier registration cycle times.

Supplier registration approvers can view auto-generated attachment summaries on the approval email as well as worklist notifications. These summaries are generated for file type attachments (PDF and Text formats) added in the Company Details section of both external and internal supplier registrations.

Summaries are generated by artificial intelligence only in English regardless of the language of the file attachment and may contain inaccuracies.

4 Supplier Profiles

Overview of Supplier Work Area

The Suppliers Work Area Overview page is the home page to perform day-to-day supplier maintenance and administration activities.

The overview page provides visibility to supplier information in order to carry out tasks ranging from routine maintenance, to event driven administrative responsibilities. In addition, the overview page contains reports that highlight supplier issues requiring attention and provides easy access to maintain and update supplier records.

The overview page is available to the Supplier Administrator and Supplier Manager.

Supplier Administrator

The supplier administrator role is responsible for:

- Maintaining existing suppliers.
- Reviewing and approving profile change requests.
- Reviewing and setting up supplier profiles to be ready for spend transactions.
- Registering new suppliers needed for purchasing that will be reviewed and approved by the supplier manager.

Supplier Manager

The supplier manager is responsible for:

- Controlling the addition of new suppliers.
- Completing and approving prospective supplier profiles to be ready for spend.
- Creating supplier records for procurement.

Work Area Overview Page

The Suppliers Work Area Overview page contains the following reports:

The table below shows the information on the **Supplier Work Area Overview** page.

Region	Summary	Supplier Manager View	Supplier Administrator View
Supplier Spend Authorization Requests	Identifies the status of suppliers with a request for spend authorization as pending approval or rejected. Supplier Managers can follow up on pending approvals or review reasons for rejection and decide on a course of action. For example, you can make changes to the rejected supplier and resubmit the request.	Yes	Yes

Region	Summary	Supplier Manager View	Supplier Administrator View
Expired and Expiring Business Classifications	Identifies suppliers for whom business classification certificates are about to expire or have expired. You can maintain supplier records that are at risk of losing their diversity status which could impact the supplier relationship.	Yes	Yes
Supplier Profile Change Requests Pending Approval	Identifies all profile change requests pending approval. Here, you can identify the approval queue for profile change requests that need review by the buying organization. This report is only displayed if Oracle Supplier Portal is implemented.	Yes	Yes
Suppliers with Incomplete Setup	Identifies suppliers that are missing important profile information. From here, suppliers can be inactivated if it is determined the supplier was created erroneously.	Yes	Yes

Related Topics

- [Supplier Profile Change Request Approval](#)
- [Supplier Profile Change Requests](#)
- [Business Classifications](#)

Oracle Supplier Model

A supplier is modeled as a global entity. It isn't created within a business unit or any other organizational context.

A procurement business unit establishes a relationship with a supplier through the creation of a site which maintains internal controls for how procure to pay transactions are executed with the supplier. The other entities of the supplier profile capture mostly external information that is provided by the supplier, such as tax identifiers, addresses, contact information, and so on.

This figure shows a typical supplier definition and all its possible attributes. It also shows the connections between all the parts. For each supplier, there are four groups of attributes:

- Addresses
- Sites
- Contacts
- Miscellaneous information

Address attributes include:

- Contacts - supplier personnel associated with that address
- Bank accounts - any bank accounts associated with that address
- Tax registrations - any tax information for that address
- Sites - any business function associated with that site
- Descriptive flexfields - any descriptive flexfields used with addresses

Site attributes include:

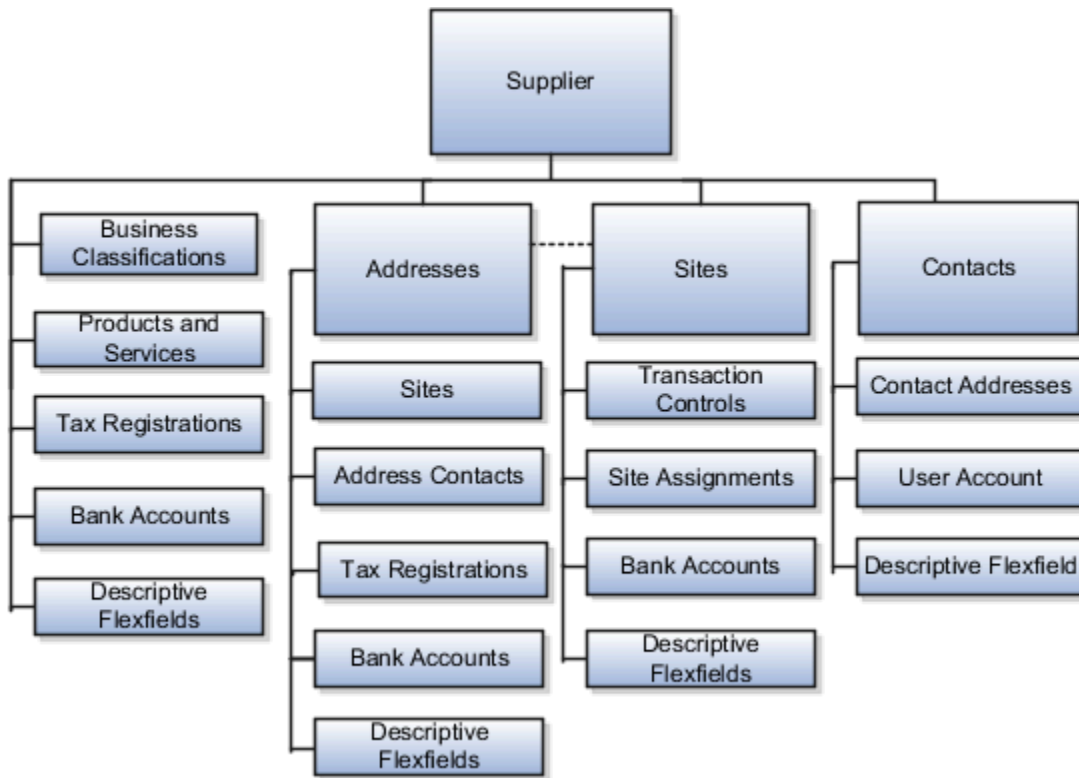
- Transaction controls - any controls on the business functions conducted at that site
- Bank accounts - any bank accounts associated with the site
- Site assignments - for which the business units use the site
- Descriptive flexfields - any descriptive flexfields used with sites

Contact attributes include:

- Contact address - the address associated with the contact
- User account - the contact's user account with the application
- Descriptive flexfields - any descriptive flexfields used with contacts

Miscellaneous attributes can include:

- Bank accounts
- Tax registrations
- Products and Services provided by this supplier
- Business classifications applied to this supplier
- Any descriptive flexfields used with suppliers.



Tax Registrations and Bank Accounts

Tax registrations and bank accounts, which include additional payment processing controls, can be defined at different levels of the supplier profile, providing more flexibility in conducting business with the supplier. These levels are described below, including additional relational aspects between entities.

1. Tax registrations can be created and maintained at three levels: supplier, address, and site. For more information on tax registration number validation logic, see [Overview of Tax Registration Number Validation Logic](#).
2. Bank accounts can be created and maintained at three levels: supplier, address, and site.
3. A site must be associated with exactly one address. Multiple sites can be created for the same address. This approach is commonly used when more than one procurement business unit sources from the same supplier. You can create a site at the same time you create an address, instead of navigating to the Sites tab to create the site, after the address is created.
4. Address Contacts and Contact Addresses represent two ways an association can be made between a supplier address and supplier contact. This association can be established when performing maintenance in either entity. One address can be associated to one or more contacts, and one contact can be associated to one or more addresses. Additionally, when a contact is associated with an address, it is implicitly associated with all sites using the address. This establishes the concept of a Site Contact. Some transactions, such as purchasing documents, allow for a Site Contact to be selected on the transaction.

Prospective Suppliers

Buying organizations may engage with suppliers as prospective business partners. This prevents them from engaging in any contractual obligation, such as through a purchase order, or agreement. The prospective supplier can be invited only to participate in sourcing negotiations, or a supplier qualification process. If the prospective supplier is awarded

business, the business relationship then changes to spend authorized. The buying organization can commit financially only to a spend authorized supplier.

Supplier Business Relationship Status

Suppliers are identified based on two types of business relationship status:

- **Prospective:** Allows the supplier to participate in sourcing negotiations and supplier qualifications, but does not allow the supplier to be available for ordering and invoicing. The site profile entity as shown in the diagram above is not visible for prospective suppliers.
- **Spend Authorized:** Indicates that the supplier is ready for ordering and invoicing. A request is initiated for a supplier to become spend authorized in one of the following ways:
 - You request the prospective supplier to be promoted to spend authorized from the supplier record.
 - The prospective supplier is awarded negotiation.
 - A supplier with intention of a spend authorized business relationship is created from an approved registration request.

Related Topics

- [Supplier Registration Process](#)
- [Spend Authorization Requests](#)

Search for Suppliers

For many procurement activities, you must identify the suppliers with whom you want to deal. Depending on the procurement task you're performing, you use different pages:

- If you're on the **Suppliers** work area, you can use the Quick Search feature, available by clicking **Search: Suppliers** (magnifying glass icon).
- Also on the **Suppliers** work area, you can perform searches from within the various information regions.
- If you're working with supplier profiles, you use the Search region of the **Manage Suppliers** page.
- If you're creating an Oracle Sourcing negotiation, you use the **Suppliers: Add Suppliers** page to invite suppliers to your negotiation.
- If you're creating an Oracle Supplier Qualification initiative, you use the **Overview: Add Suppliers** page.
- You could also use the global search bar to search for suppliers.

These pages each provide you with a flexible tool for conducting detailed searches using supplier attributes.

Keywords Search (Quick Search and Basic Search)

On the **Manage Suppliers** page or the **Quick Search** page, enter full or partial search values into the **Keywords** field. The application searches for a match between the value you enter and either the supplier name, alternate name, parent supplier name, supplier number, or D-U-N-S number. Additionally, if you're performing a Quick Search, the application suggests possible matches as you type a search value.

Using Keywords Search

Keyword search enables you to navigate to a supplier profile directly when you know which supplier you need to access. Use the **Manage Suppliers** page to look up suppliers using a keyword search if you know the supplier name, or know part of the name.

The application searches for matches in the following supplier profile attributes:

- Supplier name
- Alternate name
- Parent supplier name
- Supplier number
- D-U-N-S number

If you enter a partial search value, the application returns all entries that contain the value anywhere in the entry name/number. If you enter a search value of "corp", for example, the application would match on and return all of:

- Corporate Relocation Services
- Acme Corporation
- News Feed Corp

You can use partial matching to retrieve a group of suppliers that have similar naming attributes. When using Quick Search, if you enter a partial search value, autosuggest displays possible search values.

Basic Search

The basic search functionality is available on the **Manage Suppliers** page and uses keywords to quickly identify a single supplier or group of suppliers who match the search values you enter. You can use one or more than one search fields to narrow your search when targeting a particular supplier.

Advanced Search

While on any search page, click **Advanced Search** to use multiple search fields to perform a more specific search based on supplier attributes. All of the search fields on the advanced search page are selectively required (instead of being always required). You can choose only fields you want to search on, although you must enter a search value in at least one search field.

Note that you can search on the products and services that a suppliers provides. You can enter the name of a category, for example, Office Supplies. If you don't know the exact name, you can click the search icon at the end of the search value field. On the **Search and Select: Products and Services** page, you can enter a full or partial search value in the **Category Name** or the **Description** field and click **Search**. When the search results appear, you can highlight an entry and click **OK**. When you return to the **Manage Suppliers** page, the value you chose appears in the **Products and Services** search field. You can click **Search** to generate a list of suppliers who provide that product or service.

When using advanced search, use the **Add Fields** button to display a list of additional search fields. You can select one or more search fields, add them to the search panel and enter values to search on.

Use Global Search

Global search bar is present on the global header of the page and can be accessed from any page within the application. Suppliers can be searched using supplier or supplier child attributes.

The application searches for matches in these supplier attributes:

- Supplier Profile: Supplier Name, Supplier Number, D-U-N-S Number, Parent Supplier Name, Alternate Name, Customer Number, Corporate Web Site.
- Address: Address name, Address details concatenated.
- Contact: First name and last name concatenated, Email, Phone number.
- Site: Site Name.

Enhanced Global search is however configured using an opt in and additional setups.

Generating Reports

Download and print search results from any type of search by selecting Export to Excel from the **Actions** menu. Use multiple search fields with the Advanced Search to isolate groups of suppliers that share attributes and then export the results and print from Excel. This way, you can use the advanced search for light-weight reporting.

Searching within a Work Area Region

On the **Suppliers** work area, you can control the information displayed in a particular region by selecting a tab for the information type and a time span value (for example, Expiring: Next 90 days, or Created: Last 30 days) to control the content of the results. Once the search results appear, you can generate a spreadsheet containing the information by selecting Export to Excel from the region **Actions** menu.

For requests for spend authorization, you can click the request link to drill down into details of the request. If the request was rejected, you can see the reject reason among other information.

You can see information on expired and expiring business classifications for a particular supplier.

For incomplete supplier profiles, you have several choices about what kind of information you view. For supplier profiles that have no addresses or contacts, you can click the appropriately labeled tab. For profiles that have no administrative contacts or tax identifiers, you can click the supplier link to view the **Edit Supplier** page, where you can update the profile information as needed.

For outstanding profile change requests that require approval, you can view the request and the supplier information.

Scenarios

Scenario One - Lucy Noh, the supplier quality manager for her company, wants to identify all suppliers with an assessment of Excellent for the assessment New Suppliers - Fiscal Year 2017. From the task panel drawer, she clicks the Research Suppliers link. On the Research Suppliers page, she enters the assessment name and selects the outcome status of Excellent and clicks Search.

Scenario Two - John Patel has been asked by his manager to generate some reports on their suppliers. One particular request is for all suppliers that are certified to transport chemicals within the state. When the search results appear, he clicks the Actions menu and selects the option Export to Excel. He saves the Excel output and prints it for his manager.

Scenario Three - Mike Yamagato, a category manager, is creating a negotiation to purchase new hardware for a new office his company is opening. He wants to identify all the suppliers that sell computer hardware. there's a short time frame for this purchase, so he wants to restrict the search to only suppliers that already have a business relationship of spend authorized. He selects the category value Miscellaneous Hardware and selects the business relationship of spend authorized. He selects all of the suppliers resulting from the search and adds them to the negotiation document.

Scenario Four - Jason Wilde is tracking down information on an invoice from a particular supplier. To answer the question, he needs to know the address of one of the supplier's distribution sites. Jason knows that this transaction

occurred over 12 months ago, and since then the supplier has changed names due to an acquisition. However, the supplier number didn't change, so on the Overview page, he clicks the **Search: Suppliers** icon to perform a quick search and enters the supplier number into the Keywords search field. When the supplier information appears, Jason can look up the site address.

Manage Supplier User Roles

You can use the Manage Supplier User Roles page to specify which roles the Oracle Self Service Procurement administrator can provision to other supplier users.

You can also specify which roles make up the default role sets for new Oracle Supplier Portal and Oracle Sourcing users.

Note: A Self Service Administrator can't provision roles for which they're not granted.

Provisioning roles for use when defining supplier contacts or users:

1. Navigate to the Manage User Roles task and click the **Go to Task** icon.
2. Define the default roles for Supplier Portal by checking the appropriate default role check box.

For example, for Supplier Portal, the following should be checked as default roles:

- Supplier Accounts Receivable Specialist
- Supplier Customer Service Representative
- Supplier Demand Planner
- Supplier Sales Representative

3. Define the default roles for Sourcing by checking the appropriate default role check box.

For example, for Sourcing, the following should be checked as the default roles:

- Supplier Bidder
- Supplier Demand Planner
- Supplier Sales Representative

4. Click **Save and Close**.

Set Up Supplier Related Privileges

These examples illustrate selecting and managing privileges for supplier user provisioning.

Select Privileges for Supplier User Provisioning:

Vision Corporation decides to expand their Supplier Portal work area deployment and allow supplier customer service representatives to access orders and agreements.

The IT security manager navigates to the **Setup and Maintenance** work area and uses the **Manage Supplier User Roles** task in the **Procurement** offering and **Supplier Portal** functional area. They search and include the supplier related privilege Supplier Customer Service Representative related privilege.

The Procurement Application Administrator then navigates to the **Setup and Maintenance** work area and uses the Manage Supplier User Role Usages task in the **Procurement** offering and **Supplier Portal** functional area. For the Supplier Customer Service Representative related privilege, they select the option: Default for Supplier Portal.

Manage Default Roles for Supplier Users and Supplier Bidders:

Vision Corporation decides the Supplier Sales Representative role should not be marked as a default role for the Supplier Portal work area. The Procurement Application Administrator navigates to the Manage Supplier User Role Usages task. They ensure the Default for Supplier Portal option isn't selected for that role.

Vision Corporation also recently implemented Oracle Sourcing. They must provision the Supplier Bidder related privilege to suppliers invited to sourcing events. The IT Security Manager navigates to the Manage Supplier User Roles page. They add the Supplier Bidder role to the table. For the newly added role, they select the Default for Sourcing option.

Related Topics

- [How Supplier User Provisioning Works](#)
- [Supplier User Account Request](#)

Options to Configure Supplier Registration

To configure the supplier registration and self service supplier profile change request approval requirements, in the Setup and Maintenance work area, go to Offering: Procurement, Functional Area: Suppliers, and Task: Configure Supplier Registration and Profile Change Request.

Supplier Registration

You can configure the supplier registration process based on the expected supplier business relationship of a supplier.

You can define two separate registration flows based on the intended business relationship.

- Spend Authorized Supplier requests: Companies already identified for a procurement need are directed by the buying organization to the spend authorized registration flow. The flow captures more rigorous profile information needed before agreements, orders, and invoices can be transacted. For example, a spend authorized company registering can be required to provide bank account information.
- Prospective Supplier requests: Unknown companies are presented with the prospective supplier flow. They must only provide minimal profile information to participate in the sourcing and supplier qualification activities.

Possible profile components that you can include during a registration flow include:

- Organization Details: Basic supplier information including the supplier name.
- Contacts: Supplier contact information.
- Contact User Account: User accounts control privileges for Oracle Supplier Portal contacts.

- **Addresses:** Company addresses including associated contacts.
- **Business Classifications:** Supplier certifications important to the buying organization such as supplier diversity programs.
- **Bank Accounts:** Supplier banking information.
- **Products and Services:** Identifies what categories of products and services are provided by the supplier.
- **Qualifications Questionnaire:** Additional questions for suppliers.

When you configure the two supplier registration flows you identify which profile attributes the supplier sees. Also you can specify whether the supplier must enter a value for the attribute.

- **Enabled:** The attribute is displayed to the supplier, but the supplier isn't required to enter information.
- **Required:** The supplier must supply information for this attribute.

Note: Your supplier registration configuration applies to suppliers from all registration sources.

Default Business Relationship for Registration Sources

A supplier registration can come from one of the following three sources:

- **Internal Sourcing Invitation:** Internal users can register and add a supplier as part of negotiation creation.
- **Internal Supplier Request:** Internal Supplier Request can be raised by registering from the Suppliers work area or by requesting a new supplier from the Self Service Procurement work area.
- **External request from the supplier** when self-registering using your organization's external supplier registration website.

In the **Default Business Relationship for Registration Sources** region, you identify the default business relationship for each registration flow. The default business relationship determines what profile information is included as configured for the registration page.

Require Supplier Identifier

Use this option to configure if requesters must provide at least one of these attribute values: D-U-N-S Number, Taxpayer ID, or Tax Registration Number. You can configure this for all the supplier registration sources including external supplier request, internal supplier request, self-service request, and sourcing invitation.

The setup for registration options includes the Default Business Relationship and Require Supplier Identifier.

Require Attachments

You can configure to enforce suppliers, who register through the self-service registration option, to upload company details or bank account related attachments.

For company details attachments, you can configure this option for prospective supplier registration requests, spend authorized registration requests, or both. Use this option to ensure that suppliers submit the required documents that you want from them, like W9, address proof, quality certificates, and so on.

For bank account attachments, you can configure this option for both the prospective and spend authorized business relationships in the next-generation self-service supplier registration. Use this option to ensure that suppliers submit the required documents to validate their bank accounts like canceled bank account cheque, bank letter, and so on.

Post Approval Options

Once a new supplier's registration is approved, or its status promoted to spend authorized, the application automatically creates site assignments for any new sites defined for that supplier. However, you can retain control over how the supplier's site assignments are created by deselecting the check box Autocreate site assignments for spend authorized suppliers. If you deselect this check box, site assignments for a supplier are no longer created automatically. You must create them manually.

Registration URL Encryption

When a prospective supplier saves the registration for later completion, the application sends an email to the prospective supplier containing the registration URL. The URL contains an identifier which is encrypted using an encryption key. This prevents users from altering the URL to view registrations submitted by other companies.

If you suspected that registrations have been tampered with, you can regenerate the encryption key. The encryption key is regenerated for the registration URLs used for spend authorization, saved for later, and returned for resubmission. However, if you regenerate the encryption key, the registration request URL for spend authorization business relationship available through the setup page Configure Procurement Business Function changes and therefore old and saved URLs won't work. Also, registrations that were saved for later or returned for resubmission will no longer be accessible to potential suppliers.

If the next-generation self-service supplier registration is opted in, the regeneration of encryption key will change both the registration request URLs, for prospective and spend authorization business relationships, available through the setup page Configure Procurement Business Function. With the new URLs, requesters can still complete and submit their pending registration requests by using their emails.

Supplier Registration URLs

You use different supplier registration URLs for each business relationship type (prospective and spend authorized). Your suppliers can then use the appropriate URL to register with your company. Each URL contains a parameter for the business relationship type that navigates your supplier to a registration page.

You can set the registration URL for each business relationship type on the **Configure Procurement Business Function** page. You can set URLs for both prospective supplier registration and spend authorized registration.

Supplier Profile Change Request

Use the **Supplier Profile Change Request** tab to configure the approval requirement settings for changes to supplier profile attributes through a change request and the bank account attachments required option.

The approval requirement settings apply to supplier-initiated profile change requests and to change requests resulting from Oracle Supplier Qualification or Oracle Sourcing questionnaires.

The values you set here apply to supplier profile change requests from the sources:

- Suppliers
- Supplier Qualification
- Supplier Negotiation

Supplier profiles can also be changed by internal users. Updates to bank account, organization details, income tax, and address updates by internal users are submitted to an approval process. See Internal Supplier Profile Change Request Approvals.

The Configure Supplier Registration and Profile Change Requests task doesn't configure supplier profile changes made by internal users.

You can specify approval requirements for prospective and spend authorized suppliers for these entities:

- **Organization Details:** Basic supplier information including the supplier name and supplier profile level descriptive flexfields.
- **Contacts:** Supplier contact information including supplier contact descriptive flexfields.
- **Contact User Account:** User accounts that control account privileges for supplier contacts to use Supplier Portal.
- **Addresses:** Company addresses including associated contacts including supplier address descriptive flexfields.
- **Business Classifications:** Supplier certifications important to the buying organization such as supplier diversity programs.
- **Bank Accounts:** Supplier banking information.
- **Payment Methods** The method used to pay the supplier.
- **Products and Services:** Identifies what categories of products and services are provided by the supplier.
- **Tax Identifiers:** Tax organization, tax country, and taxpayer ID to identify the supplier for tax purposes.
- **Site Details:** Site information such as the address and site purpose (spend authorized suppliers only).

For each profile attribute, you can specify:

- **No Approval Required:** Change request is approved.
- **Approval Required:** Change request is routed for approval.

Configuration of the Site Details attribute for prospective suppliers isn't available.

Require Attachments

You can configure to enforce users to upload bank account related attachments for the bank account change requests. This option will enforce an attachment whenever a new bank account is created or when any of these bank account attributes are modified: country, account number, bank, branch, IBAN and currency.

You can configure this option for both the internal and supplier initiated profile change requests.

Use this option to ensure that users submit the required documents like canceled bank account cheque, bank letter, and so on to verify the bank account change request.

Related Topics

- [Supplier Registration Process](#)
- [Review Internal Profile Changes](#)
- [Supplier Products and Services Categories](#)
- [Supplier Registration Approval](#)
- [How You Configure Internal Changes on Supplier Profile Approvals](#)

Security for Individual Supplier Information

Use the Personally Identifiable Information (PII) framework to protect tax identifiers for suppliers classified as individuals.

PII refers to the framework in Oracle Fusion Applications for protecting sensitive data for an individual. Additional security privileges are required for users to view and maintain such data.

The predefined job roles Supplier Administrator and Supplier Manager include data security policies to maintain tax identifiers for suppliers classified as individuals. Only users with these roles can view and maintain the following tax identifiers for individual suppliers:

- Taxpayer ID
- National Insurance Number

Individual suppliers are defined as suppliers with a Tax Organization Type of Individual or Foreign Individual.

Other users without these roles can still search and access individual suppliers. They are restricted from viewing or updating the tax identifiers for these suppliers.

Similar PII data security is also enforced in the Supplier Registration and Supplier Profile Change Management flows. Only users with the Supplier Administrator and Supplier Manager roles can view or maintain the tax identifier information for an individual supplier's registration approval request or profile change request.

Note: The tax registration number is protected as a PII attribute in the supplier registration and profile change management flows. Only users with the Supplier Individual Identifiers PII data policy can view or maintain tax registration number for supplier registration requests or profile change requests.

Supplier Taxpayer ID Sharing

Suppliers can share the same taxpayer ID if they are part of the same parent child hierarchy. This improves tax reporting and payment capabilities and reduces the need for error-prone manual processes.

Share a Taxpayer ID with a Child Supplier

As a Supplier Administrator or Supplier Manager, you can configure shared taxpayer IDs if the Allow Taxpayer ID Sharing Across Suppliers feature is opted in to and enabled. Define a parent child hierarchy for suppliers before sharing a taxpayer ID between them. Note that suppliers can be in the same parent child hierarchy without sharing the same taxpayer ID.

To configure a shared taxpayer ID between suppliers:

1. If you are creating a new child supplier, do not specify the shared taxpayer ID on the Create Supplier dialog. Leave **Taxpayer ID** empty. Click **Create**.
2. On the child supplier's Edit Supplier page, set **Parent Supplier** to the parent supplier's name.
3. Navigate to the **Profile tab > Income Tax subtab**.

4. Set **Taxpayer Country** and **Taxpayer ID** to match the parent supplier's values.
5. Click **Save and Close**.

The Confirm Taxpayer Updates dialog is displayed with a message asking you to confirm that the suppliers share the same taxpayer ID.

6. Click **OK** on the Confirm Taxpayer Updates dialog.

Share a Taxpayer ID with a Parent Supplier

You can move an existing supplier into a parent child hierarchy as a parent, and share the existing child supplier's taxpayer ID with the parent supplier.

To do this:

1. If you are creating a new supplier, do not specify the existing supplier's shared taxpayer ID on the Create Supplier dialog. Leave **Taxpayer ID** empty. Click **Create**.
2. Click **Save**.
3. Edit the existing supplier.
4. On the existing supplier's Edit Supplier page, set **Parent Supplier** to the new supplier's name and click **Save and Close**.
5. On the new supplier's Edit Supplier page, navigate to the **Profile tab > Income Tax subtab**.
6. Set the **Taxpayer ID** and **Taxpayer Country** to match the existing (child) supplier's values.
7. Click **Save**.

The Confirm Taxpayer Updates dialog is displayed with a message asking you to confirm that the suppliers share the same taxpayer ID.

8. Click **OK** on the Confirm Taxpayer Updates dialog.

Taxpayer IDs Shared at Supplier Registration

When you register a new supplier on the Register Supplier page that you have configured to share a taxpayer ID with an existing supplier, no errors are displayed when you submit the new registration. Checks for duplicate taxpayer IDs are made as part of the approval process. As an Approver, resolve taxpayer ID sharing conflicts using the same principles previously discussed in this topic for taxpayer ID sharing with newly created suppliers.

Taxpayer IDs Shared for Imported Suppliers

Using supplier import, you can create a supplier that is intended to share its taxpayer ID with an existing parent supplier. In the import template, specify the existing supplier as the Parent Supplier for the new supplier. Then provide the parent supplier's Taxpayer Country and Taxpayer ID values.

Shared Taxpayer ID Configuration Scenarios

Sharing taxpayer IDs between suppliers that are not in the same parent child hierarchy triggers errors. Suppliers can be in the same parent child hierarchy without sharing the same taxpayer ID.

Scenarios that trigger an error include the following:

- A supplier has the taxpayer ID 123 and Taxpayer Country US. Another supplier's Parent Supplier is empty. You edit this supplier and set the Taxpayer ID to 123, and the Taxpayer Country to US. You click **Save**. An error occurs.

Solution: Set the second supplier's Parent Supplier to the first supplier's name and click **Save**. This makes the second supplier a child supplier. Set the child supplier's taxpayer ID to 123 and Taxpayer Country to US, and click **Save**. Click **OK** on the Confirm Taxpayer Updates dialog.

- Two suppliers in the same parent child hierarchy share the taxpayer ID 123. One supplier's Parent Supplier is set to the other supplier's name. On the Edit Supplier page for the child supplier, you clear Parent Supplier and click **Save**. An error occurs.

Solution: Change one of the supplier's taxpayer ID so that the two suppliers no longer share an ID before clearing the child supplier's Parent Supplier field.

- A supplier has the taxpayer ID 123 and the taxpayer country US. You create a new child supplier and on the Create Supplier dialog, you specify a taxpayer ID of 123, a taxpayer country of US, and click **Save**. An error occurs.

Solution; Leave Taxpayer ID empty on the Create Supplier dialog. Click OK. On the Edit Supplier page, specify the parent supplier's name in Parent Supplier and the parent supplier's taxpayer ID and taxpayer country in Taxpayer ID and Taxpayer Country, respectively. Click **Save**. Click **OK** on the Confirm Taxpayer Updates dialog.

This scenario does not trigger an error:

- The parent supplier and the child supplier both share the taxpayer ID 123 and the taxpayer country Canada. The child supplier's Parent Supplier is set to the parent supplier's name. On the Edit Supplier page for the parent supplier, you change the Taxpayer ID and click **Save**. No error occurs. Suppliers in a parent child hierarchy do not have to share taxpayer IDs.

Related Topics

- [Configure Taxpayer ID Sharing Across Suppliers](#)

About Header and Regime Level Tax Registration Numbers

Tax registration number for a supplier can be captured at header and regime levels. The header level tax registration number is used for checks to prevent creation of duplicate suppliers.

Therefore, in all the supplier flows where you provide the header level tax registration number, like supplier import, supplier registration and services, there is validation for duplicate tax registration number to ensure that bad data isn't captured in the Suppliers work area.

The regime level tax registration number is used in those workflows where tax calculation is based upon the tax registration information captured at the regime level. To ensure proper tax calculation for the supplier, you must capture the regime level tax registration numbers. When creating the regime level tax registration number, you can define to allow duplicate by selecting the right values of Validation Type and Duplicate Validation Level.

Tax Registration Number Validation

You can validate the tax registration numbers as per the country's format validation logic and define the validation type and level using the Manage Country Default Controls setup page. If a format validation is required, configure the validation level as an error for the specific validation type.

Another configuration option for the validation level is warning, which the supplier's flows don't support. Configuring validation level as warning for a country, results in an error when creating or updating a supplier with the same tax country and invalid tax registration number.

You can refer to this document for the details of the country specific format validation logic for tax registration number.

Overview of Tax Registration Number Validation Logic

How can I configure suppliers to share the same taxpayer ID?

Create suppliers with properly defined parent child hierarchy. Once parent child hierarchy is established, enter the shared taxpayer ID for these suppliers.

How You Mask Taxpayer ID

The Personally Identifiable Information (PII) framework provides the security to protect tax identifiers for suppliers classified as individuals. Individual supplier who are defined as suppliers with a Tax Organization Type of Individual or Foreign Individual are provided this masking.

For masking the taxpayer ID of a supplier, the seeded data security policy rules for personally identifiable information (PII) requires to be updated. On updating the policy, the taxpayer ID field on supplier will be masked with asterisks, this prevents users from viewing the sensitive information about individuals.

For information on data security policy details, see the Privacy section in the Supplier Administrator (Abstract Role) chapter, in the Security Reference for Procurement guide.

How You Configure Sender Name and Email in Supplier Management Notifications

It's important for your suppliers to trust notifications sent from your Oracle Fusion Cloud Procurement application.

By configuring the From and Reply To email address for supplier onboarding and profile management notifications supplier contacts will recognize them as coming from your organization. Setting the sender email helps avoid registration-related notifications landing in the spam folder of new suppliers. It also enables you to monitor out-of-

office emails from suppliers by receiving auto-replies, and bounce-back emails if delivery to a supplier contact isn't successful.

For more information see these resources:

- Refer to the Configure SPF documentation available on the [Oracle Help Center](#).
- For best practice on email security, refer to the Configure Email Security documentation on the [Oracle Help Center](#).
- Refer to the Set Up the From Display Name in Workflow Email Notifications documentation on the [Oracle Help Center](#).

How You Work with Administrative Contacts of Suppliers

A supplier contact can be assigned as an administrative contact on the Create Contact page or Edit Contact page.

You can have more than one administrative contact for a supplier.

Communications for supplier self-service registration

An administrative contact will be used as the default user for all supplier registration communications. The email notifications are sent to all the administrative contacts of a supplier to communicate the approval decision (that is, the Approved FYI and Rejected FYI notifications).

Communications for supplier profile maintenance

The administrative contacts will continue as a point of contact for the supplier communications. They will receive notifications when the supplier business classification certificates are expiring.

Supplier Qualifications

The administrative contact is the default contact on the qualifications generated as part of registration, registration approval, and supplier promotion.

Identify administrative contacts from Supplier work area overview

A supplier manager or administrator can identify all the active administrative contacts of a supplier by using the View Administrative Contacts option under any of the table's Actions menu in the Supplier work area Overview page. Supplier manager or administrator can use this to follow up with the supplier.

How can I view and update a supplier contact's mobile phone?

To view, but not edit, a supplier contact's mobile phone, you must have the View Trading Community Person Mobile Phone Number data security privilege.

To view and edit a supplier contact's mobile phone, you must have the Manage Trading Community Person Mobile Phone Number data security privilege.

If you have neither privilege, and if there is a mobile phone, the number is masked with asterisks. If there is no mobile phone, the field is blank.

Note: By default, users with Supplier Manager or Supplier Administrator roles have access to both data security privileges.

Overview of Supplier Audit History

Supplier Audit History allows tracking and reporting of changes made to supplier profile information to support internal audit controls and governance as well as external regulatory compliance such as SOX. Detailed change history provides real-time traceability of all recorded supplier profile updates.

Once configured, you can review changes to the supplier profile including updates made by end users both in the buying organization as well as from the supplier, and system applied changes such as supplier import, approved supplier registration requests, or approved change requests.

Outbound Supplier Profile Integration Using Oracle Integration Cloud

There's a need to share supplier data in Oracle Supplier Model with other systems. For example, when managing supplier information, you may send supplier updates to legacy systems, or automate integration with third party providers to enrich supplier data.

Use the Oracle Integration Cloud service to enable outbound integration between your cloud supplier profile and other systems by configuring business events to send supplier master updates to other systems. The service supports simple, efficient, and reliable integration with external systems.

Raising business events is configurable and the two business events that are raised are as follows:

- Supplier Created Event

- Supplier Updated Event

These events include the SupplierNumber and SupplierID attributes in the output payload. The Oracle Integration Cloud service or other applications use the event attributes to initiate the Suppliers REST API to get the required supplier information from Oracle Fusion Cloud Procurement.

Create Supplier

Create a Supplier and Supplier Site

Creating suppliers and supplier sites is an essential part of the procurement process. A supplier is modeled as a global entity. It's not created within a business unit or any other organizational context.

A procurement business unit establishes a relationship with a supplier through the creation of a site, which maintains internal controls for how to procure to pay transactions are carried out with the supplier.

1. Within the application, navigate to the **Suppliers > Create Supplier** task.
2. On the Create Supplier dialog box, enter:

- Name

If Streamline B2B Document Sharing With Intelligent Oracle Business Network Connectivity is enabled, you can use the type-ahead autosuggestion to search and select the company, you must register as a supplier, from a global directory. Selecting from the global directory helps identify if the supplier has an OBN trading partner account.

- Tax Country
- Tax Registration Number

3. Click **Create**.

The complete list of supplier attributes that can have values are Alternate Name, Corporate Web Site, SIC, Current Fiscal Year's Potential Revenue, Year Established, Industry Category, and Industry Subcategory. If required, you can review the defaulted values and update them.

4. On the Edit Supplier page, Profile tab, enter:

- Supplier Type
- When there are mergers or acquisitions, the supplier contact of the parent company might have increased responsibility to respond to the negotiations of their subsidiaries. If you're a subsidiary supplier of a parent company, in the **Parent Supplier** field, search and select you parent company.
- In Profile Details, on the Organization tab, select the **One-time Supplier** option if the supplier is created with a purpose of single transaction and isn't expected to be in continuous business after being paid once.

5. On the Edit Supplier page, Addresses tab, click the **Create** icon.

6. On the Create Address page, enter:

- Address Name
- Country

Note: The Country field automatically defaults to the country set in your Work Location, as seen in the Personal Information page, Employment Details tab.

- Address Line 1
- City
- County
- State
- Postal Code
- Language
- Address Purpose

Select all applicable boxes. At a minimum select Purchasing.

7. If smart address search is enabled, then for a supplier, you can search a specific address and include that address information here.

8. Click **Save and Close**.

Repeat address creation for all addresses you do business with for this supplier.

9. With your supplier selected, open the Sites tab and click the **Create** icon.

10. On the Create Site page, enter:

- Address Name

Select the address for this supplier site.

You can create supplier sites with a name of up to 240 characters, this will assist to better identify them; providing flexibility to satisfy the requirements of any naming convention.

- If the supplier is an OBN trading partner, you can enable B2B messaging to improve your transaction efficiency. On the **General** tab, in the B2B Communication, click the contextual action for **OBN Enabled** to view the supplier's supported documents configured in OBN.
- To improve transaction efficiency, in **Enable B2B messaging**, select **Yes**.

11. Click **Save**.

12. Click the Receiving subtab and enter:

- Receipt Routing

13. Click the Site Assignments subtab and click **Autocreate Assignments**. This may only be appropriate for your first site. Other sites may require manual creation.

14. Click **Save and Close**.

15. With your supplier selected, open the Contacts tab and click the **Create** icon.

16. On the Create Contact page, enter:

- First Name
- Last Name
- Email

- Select Administrative contact check box
- To facilitate mergers or acquisitions, the parent supplier contact may respond to the negotiations of its subsidiaries. To provide access to the parent supplier contact, select **Create user account**, and on the Data Access tab, confirm that the parent supplier information is included.

The parent contact can respond to its subsidiaries' negotiations in the Oracle Supplier Portal.

17. Click the Create icon.
18. In the Contact Addresses region, click the **Select and Add** icon:
 - Select the contact address.
 - Click **Apply**.
 - Click **OK**.
19. In the User Account region, click the Create user account check box. Accept all the applicable privileges for this contact.
20. Click **Save and Close**.
21. Click **Save and Close**.

Related Topics

- [B2B Document Sharing with Intelligent Oracle Business Network Connectivity](#)

Smart Data Service for Supplier Addresses

Search and select addresses using a type-ahead autosuggestion in supplier registration and profile management.

By leveraging a curated global address repository, the supplier address data is quickly and automatically gathered and populated thereby providing more accurate and efficient address entry without having to key in the address details.

To get precise and accurate search results, it's recommended to start entering the Address Line 1 of the address you're searching for in the **Search** field, and still if you didn't get the address suggestion that you're looking for, add more characters in the search box including city or country to narrow down the search result. If no address was returned, then manually enter the address and complete the process.

Also, even after selecting the address from the search, you must complete the address information by providing the address purpose, contact, and so on.

Supplier Numbering

The Procurement Application Administrator configures supplier numbering. Suppliers created through the Create Supplier task flow, through the supplier registration process, or through supplier import, are automatically numbered. The starting supplier number is defined in the Specify Supplier Numbering Setup page.

The predefined default number is 1, The supplier number increments with each additional supplier created.

The next supplier number can be updated at any time, not just during initial setup. This can be used, for example, to skip a range of supplier numbers. The application validates that the next supplier number specified is not already used.

Related Topics

- [Create Suppliers with the Import Suppliers Process](#)

Duplicate Supplier Check

When a supplier is created, and during the supplier registration approval process, the application performs checks to avoid adding duplicate suppliers. The matching engine is supported by the Oracle Enterprise Data Quality application which can perform matching checks against all external parties.

You can configure the types of parties to consider for matching, such as suppliers and customers to be checked for similar and exact name matches. For example, if a company exists as a customer, the user is informed so they can decide if the party can be used as a supplier. If selected the existing party is used to establish the supplier.

How it Works

When creating a supplier, you're presented with a list of parties including suppliers with similar or matching names. You can view details of any reported matches and if none of them match the supplier to be created, you can proceed with the supplier creation.

If one of the reported matches is the same supplier, you can cancel the supplier creation process.

During the supplier registration approval process, approvers also see probable supplier matches and reject requests that are found to be duplicates.

Note: The duplicate supplier match feature is available on Oracle Fusion Cloud Procurement only. It isn't supported on Procurement (on-premise).

Attachments

Users can attach any supporting documents to the registration describing company background, certifications, product data sheets, specifications, pricing information, and so on. Attachments can be in the form of files, URLs, or text notes.

Business Classifications

Business classifications support the tracking of supplier certifications that are important to companies for different reasons, such as for supplier diversity programs. Since classification requirements can vary by country or region, the classifications initially provided can be changed.

The business classifications table can capture multiple certificates belonging to the same business classification that were issued by different certifying agencies. Classification attributes that can be captured include Certifying Agency, Certificate, Start Date, and Expiration Date. In addition, attachments and notes can be captured for each classification record.

Each business classification can have a status of current, future dated, or expired. The application supports filtering the certifying agencies associated with a specific classification, based on the configuration in the Manage Certifying Agencies setup page. Use the Manage Certifying Agencies setup page to maintain certifying agencies that are recognized as authorized organizations for issuing classification certifications.

The following classifications are provided for tracking suppliers.

- Hub Zone
- Minority Owned
 - Subclassification: African American, American Indian, Asian, Hispanic
- Service-disabled Veteran Owned
- Small Business
- Veteran Owned
- Woman Owned
- LGBTQ+ Owned
- Person with Disability Owned

The name of the supplier contact that provides classification information and the date in which the classification was verified is recorded when saving the information.

The administrative supplier contact with an active user account is sent a notification about the impending classification expiration. Initial expiring notification and reminder notifications are triggered in regular intervals based on set parameters.

Related Topics

- [How You Monitor Expiring or Expired Supplier Business Classification Certificates](#)
- [Trigger Supplier Business Classifications Notification](#)

Supplier Products and Services Category Hierarchy

The Manage Supplier Products and Services Category Hierarchy page enables the buying organization to define a category hierarchy for identifying the products and services categories that suppliers and prospective suppliers can provide.

The category hierarchy can be defined with as many levels as needed to capture granular supplier category classifications. The hierarchy navigation allows supplier users to quickly drill down and select their applicable categories. When a parent category is selected, the buying organization assumes that the supplier can provide all the products and services represented as child categories under that parent category.

The two types of categories that are used in the hierarchy are browsing categories and item categories.

Browsing Categories

Browsing categories, also known as navigation categories, are created to structure the hierarchy and organize the underlying item categories so that users can navigate and select the most appropriate categories applicable to the supplier organization. A browsing category can either be a parent category, or a child to another browsing category.

Item Categories

Item categories are categories from the Purchasing Catalog used during sourcing activities by the buying organization to find all suppliers that can provide a given item category. Item categories cannot be added as a parent category in the hierarchy, they can only be added as the last level in a branch, also referred to as the leaf level.

You can develop your own method of categorizing products and services, or you can use standard coding systems such as UNSPSC.

If the categories seem too granular to display to end users, you can control whether or not to show the leaf level item categories with the Display in Supplier Profile check box, which is available at the category level in the purchasing catalog.

The Display in Supplier Profile check box determines whether the category will be displayed in the category hierarchy presented to the end users (prospective suppliers and supplier administrators). If the check box is unchecked, the category would only be used internally by downstream flows, such as Oracle Sourcing. However, it would not be displayed in the category hierarchy presented to the users. Browsing categories are not controlled by this check box. Any browsing category created in the hierarchy is always displayed.

Note: If any categories are removed from the hierarchy that were selected on a particular supplier's profile that will cause the deleted category to be dropped from the supplier record.

Related Topics

- [Supplier Products and Services Categories](#)

Manage Supplier Products and Services Category Hierarchy

This task list is used to define and maintain setup components prior to creating suppliers. Components include lookups, category hierarchy, supplier numbering, supplier value sets, and supplier descriptive flexfields. Of the tasks included, only the category hierarchy is required for rapid implementation.

Manage Supplier Products and Services Category Hierarchy

Define a category hierarchy for identifying the products and services categories that suppliers provide.

1. Navigate to **Setup and Maintenance > Procurement > Suppliers > Manage Supplier Products and Services Category Hierarchy task**.
2. Click on the Root Category row to select it.
3. Click the **Create** icon to add a new browsing category to the Root Category row.
4. On the **Create Browsing Category** dialog box, enter a unique category name, for example ABC Computer Supplies.
5. Optionally, provide a description.
6. Click **Save and Close**.
7. Highlight the row for your new category name, ABC Computer Supplies in our example, and click **Insert Item Categories**.
8. From the list, select all the categories you want to include. Hold the <Ctrl> key while clicking to select multiple categories.
9. Click **Apply**.
10. Click **Done**.

Supplier Sites and Supplier Site Assignments

The site represents a business relationship between a procurement business unit (BU) and the supplier.

Create Site

Sites are created in a procurement BU. A procurement BU represents a specific purchasing or sourcing organization that's responsible for establishing and maintaining supplier relationships. The site allows a specific procurement BU to set terms, controls, and policies which govern how procure to pay transactions are executed between its client BUs and the supplier. Many of these site attributes are optional must be set only when there is a need to deviate from a BU level policy. For example, the supplier might require more restrictive receipt and invoice tolerances. Procurement policy terms and controls that are defined for a supplier are maintained at the supplier site level.

These details are available for a site:

- Procurement BU
- Site name
- Site address
- Site purposes: Purchasing, Pay, Procurement Card, Primary Pay, and Sourcing Only.
 - When a new site is created, the site purposes are set by default, based on the address purposes. The address purposes reflect the sales functions that the supplier claims to perform at their location, whereas the site purpose indicates the equivalent procurement functions the buying organization transacts with the location, which can be a subset of the address purposes.

Note: If the address is both RFQ and Ordering, then the site maps to a purpose of Purchasing, because sites with the Purchasing purpose are used in both purchasing and sourcing transactions.

Sites also feature an Additional Details region to capture additional information that can be defined by the buying organization. This information is referred to as descriptive flexfield information.

Use the subtabs on the Sites page to configure the controls that determine how purchasing, receiving and invoicing transactions are executed with the supplier.

Subtabs on the Sites page include:

- General: User can provide additional identifier information including a customer number, which is the internal number the supplier uses to identify the buying organization, alternate site name, and a tax reporting indicator.
- Purchasing: User can define purchasing terms for this site including communication details, self-billing information, freight, and hold controls.
- Receiving: Provide information relating to receiving controls such as over-receipt tolerance, early receipt tolerance, receipt routing and so on
- Invoicing: Define invoicing controls and terms such as invoice currency, payment currency, invoice-related holds, match approval levels, payment terms, pay date basis, third-party payment relationships, and so on.
- Payments: Define supplier bank accounts, preferred payment methods, and other payment processing attributes for the site. Bank account information is used for paying supplier invoices by electronic funds transfer (EFT).

- **Site Assignments:** Maintain the set of client BUs that can use the site for purchasing and invoicing purposes.
- **Qualifications:** View the assessments and qualification outcomes for supplier.

Site Assignments

Site assignments control which client BUs can transact with the site. In addition, the bill-to BU associated with the client BU is defined. Bill-to BU represents the organization that assumes the liability for the purchases made on behalf of the client BU. In most cases, the client BU and the bill-to BU are the same. However, users can set up a different bill-to BU for a specific client if required.

The premise of the site assignment model is to leverage the centralized procurement organization which negotiates terms and sets policy controls. These terms and controls established for a supplier site are used by the client BUs as a result of being assigned to the site. Without the site assignment model each client BU would be forced to establish its own relationship with the supplier. The service provider relationship between the client BU and procurement BU is defined in the business unit setup.

Creating a Site Assignment

There are two ways to create site assignments. You can manually create one assignment at a time by selecting the specific client BU, or you can use autocreate.

Every supplier site must have an active assignment to create transactions against the site, such as purchase orders or invoices. In other words, if a site assignment doesn't exist or is inactive, you can't create transactions for that supplier site.

In a site assignment, only Client BU and bill-to BU are required values. To create a site assignment for a client BU, provide these details:

- **Client BU:** Select the appropriate BU from the list of all requisitioning and invoicing BUs that are serviced by the procurement BU.
- **Bill-to BU:** The bill-to BU identifies the business unit responsible for processing invoices for the purchase order.. However, in certain instances due to tax or legal reasons the client BU may only perform requisitioning with the supplier and another BU assumes the liability for the purchases. In this case a different bill-to BU is selected. The list of bill-to BUs that can be selected for a given client BU is determined by the Intercompany Transaction Flow setup. In addition, when a separate bill-to BU acts as an agent to the client BU an assignment must be created for the bill-to BU in order for the BU to process invoices.
- **Ship-to Location:** Identifies the default shipping location used on purchasing documents for the client BU.
- **Bill-to Location:** Identifies the default billing location used on purchasing documents for the bill-to BU.
- **Inactive Date:** Determines when the assignment record is no longer active.
- **Withholding tax information:** Indicate whether withholding tax is enabled for the assignment and if yes, identify the tax group in which it's classified.
- **Liability Distribution:** The liability distribution for new invoices.
- **Prepayment Distribution:** The distribution for prepaid expenses.
- **Bill Payable Distribution:** The distribution for future-dated payments.
- **Distribution Set:** A predefined group of general ledger accounting codes that would determine the debit accounts for other receipt payments.

Related Topics

- [Options to Merge Supplier Sites](#)

Supplier Address Default Country

A default country is provided when you create a new supplier address. The rules used to make the country selection differ between various supplier management flows.

External Supplier Registration

When a new address is created during supplier registration, the following rules are used to derive the default country:

1. Use the country specified in the `countryCode` parameter in the supplier registration URL.
2. If there is no `countryCode` parameter or it does not resolve to a country, use the country from the location assigned to the inviting procurement BU.
3. If the inviting procurement BU does not have a location assigned, provide no country as the default.

Set the location for a BU using the Manage Business unit task, accessed through the Setup and Maintenance work area.

When an address is created while editing a supplier profile change request, if all existing addresses for the supplier use the same country, it is used as the default country. Otherwise, no country is supplied as the default.

Internal Supplier Registration

Rules are used to derive the default country in the following scenarios:

- When a new address is created during internal supplier registration
- When a supplier is created or edited
- When a supplier is registered through sourcing
- When the Request New Supplier task is run in Self Service Procurement

The following rules apply:

1. Use the location assigned to the provided procurement BU to obtain the country.
 - For the Internal Supplier Registration flow, the procurement BU is optional.
 - For the Create Supplier or Edit Supplier flows, there is no procurement BU context for address creation.
 - For the sourcing Register Supplier flow, the procurement BU is the one defined in the negotiation.
 - For the Request New Supplier flow in Self Service Procurement, the application will first obtain the requisitioning BU from the Requisitioning Preferences page in the Purchase Requisitions work area. It will then use the Requisitioning BU to derive a default procurement BU from the Configure Requisitioning Business Function setup page.
2. If a procurement BU is not provided or if the procurement BU does not have a location assignment, the application obtains the country from the job assignment location for the current user's employee record in HCM. To set or change the job assignment:
 - a. In the Person Management work area, search for the person with which the user is associated.
 - b. Click **Management Employment**, then **Edit**, and then **Update**.
 - c. Click **Location Change** and click **OK**.
 - d. Set the location for the job assignment and click **Save**.

3. If no country information can be obtained from these rules, no default country is provided.

Supplier Profile Edits

When a supplier user creates a new address, if all active supplier addresses have the same country information, that country is provided as the default. Otherwise, no default country is provided.

Set Up a Supplier's Bank Account

To pay suppliers electronically, a bank account is required in the supplier profile.

If a request to promote a supplier to spend authorized is submitted without a bank account, it slows the approval process and requires manual intervention by approvers.

With the ability to require that a supplier profile has a valid bank account before a spend authorization request can be submitted, approval processing will be smoother and you can transact with the supplier sooner.

When you promote a prospective supplier who doesn't have any active bank account or bank account assignment, an error will be displayed to prevent you from proceeding with the promotion.

You can set up a supplier bank account at these levels:

- Supplier level
- Supplier address level
- Supplier site level

Each bank account assignment is comprised of the following entities:

- Supplier
- Bank account
- Bank account assignment

You can set up a bank account by doing the following:

- Find your existing supplier.
- Set up a bank account at the supplier, supplier address, or supplier site level.
- Upload supporting documents as proof for the bank account.
- Provide additional information that's relevant to the bank account.
- Optionally, add joint bank account owners.
- Optionally, specify intermediary accounts.
- Optionally, assign a joint bank account to a supplier.

Find Your Existing Supplier

On the Manage Suppliers page, you can search for an existing supplier.

1. On the Manage Suppliers page, in the Search region, enter your supplier name or supplier number in the **Supplier** or **Supplier Number** field and click the **Search** button. Supplier details appear in the Search Results region.
2. In the Search Results region, select the supplier name and click the **Edit** icon. The Edit Supplier: <Supplier Name> page appears.

Set Up a Bank Account at the Supplier, Supplier Address, or Supplier Site Level

You can set up a supplier's bank account at the supplier, supplier address, or supplier site level.

1. To set up a bank account at the supplier level, on the Edit Supplier: <Supplier Name> page, select the Profile tab. Select the Payments tab. Select the Bank Accounts subtab. Go to step 8 and continue.
2. To set up a bank account at the supplier address level, on the Edit Supplier: <Supplier Name> page, select the Addresses tab. Click a specific address name link. On the Edit Address: <Location> page, select the Payments tab. Select the Bank Accounts subtab. Go to step 8 and continue.
3. To set up a bank account at the supplier site level, on the Edit Supplier: <Supplier Name> page, go to step 4 and continue.
4. Select the Sites tab. The supplier's various sites display.
5. Click a specific site link. The Edit Site: <Supplier Site Name> page appears.
6. Select the Payments tab.
7. Select the Bank Accounts subtab.
8. On the Bank Accounts subtab, click the **Create** icon. The Create Bank Account page appears. On the Create Bank Account page in the Bank Account region, you set up basic information about the bank account.

Quickly search for bank and branch when adding bank accounts. You can also search and select the branch first which will automatically populate the bank information.

9. In the **Account Number** field, enter the bank account number.
10. From the bank account, search and select a bank.

Note: If the country of the supplier's bank account and the country of the bank account's branch through which the payment is made is the same, then the payment is considered a domestic payment.

11. From the Branch lookup, select the branch where the bank account will reside. You can also search and select the branch before selecting the bank.

The bank to which the selected branch belongs is automatically populated.

Note: You can set up a supplier's bank account for making domestic payments by check without specifying a bank or branch. To make electronic international payments, however, you must specify both a bank and a branch.

Note: If the country of the supplier's bank account and the country of the bank account's branch through which the payment is made isn't the same, then the payment is considered an international payment.

12. To make international payments to a supplier's bank account, select the **Allow international payments** check box.

Note: The **Allow international payments** check box can be selected only when you provide bank and branch details. If you don't select the **Allow international payments** check box, international payments aren't created.

13. If you're setting up a supplier's bank account in a European country, enter the International Bank Account Number (IBAN) in the **IBAN** field.

Note: Validation of the IBAN is based on the country for which the bank account is set up.

14. From the Currency choice list, select the currency in which payments are made.

Note: If you select a currency, then the supplier's bank account is used to pay invoices in that currency only. If you don't select a currency, then the supplier's bank account is considered multicurrency and can be used to pay invoices in any currency.

15. Upload the documents to support the bank account being created.

Provide Additional Information That's Relevant to the Bank Account

On the Create Bank Account page, in the Additional Information region, you can enter additional information that's relevant to the bank account you're setting up.

1. In the **Account Suffix** field, enter the value that appears at the end of the bank account number, if applicable.

Note: An account suffix is required in some countries.

2. From the Conversion Rate Agreement Type choice list, select the type of conversion rate agreement you have with the supplier.
3. In the **Conversion Rate** field, enter the conversion rate for which one currency can be exchanged for another at a specific point in time.
4. In the **Conversion Rate Agreement Number** field, enter the number of the conversion rate agreement with the supplier that specifies the currency in which payments are made.
5. In the **Check Digits** field, enter one or multiple digits used to validate a bank account number.
6. In the **Secondary Account Reference** field, you can optionally enter additional account information.
7. In the **Agency Location Code** field, enter the eight-digit value that identifies a Federal agency as the supplier.
8. Select the **Factor account** check box if the purpose of the bank account is to receive funds that are owed to the supplier, but are being collected on behalf of the supplier by the bank or a third party. The supplier receives payments from the funds collected, minus a commission.

Note: If you select the **Factor account** check box, then you must select the account owner that provides the factoring services. A factor bank account can be assigned to any supplier without first adding that supplier as a joint owner.

Optionally, Add Joint Bank Account Owners

On the Create Bank Account page, in the Account Owners region, you can optionally add other suppliers to the supplier's bank account as joint bank account owners.

1. In the **Account Owner** field, select a joint bank account owner from the list.
2. In the **From Date** field, select a starting date for the joint bank account owner.

Note: Every supplier's bank account has one or more owners. If the supplier wants to share the bank account with another supplier, then there will be multiple owners of the bank account. For multiple bank account ownership, you must specify one owner as the primary owner. The primary owner is the supplier for whom you set up the bank account.

3. To specify the primary bank account owner among multiple owners, click the **check mark** icon and then click the **Primary** field in the applicable bank account row. The **check mark** icon appears in the row you selected.
4. To add a row from which to select another joint bank account owner, click the **Create** icon.

Optionally, Specify Intermediary Accounts

On the Create Bank Account page in the Intermediary Accounts region, you specify intermediary bank accounts for this supplier. If there are restrictions on the transfer of funds between two countries, you can specify an intermediary bank account. An intermediary account is used to transfer funds between the originator's bank and the beneficiary's bank.

Optionally, Assign a Joint Bank Account to a Supplier

From the Bank Accounts subtab at the supplier, supplier address, or supplier site level, you can optionally assign a joint bank account to a supplier.

1. On the Bank Accounts subtab, select the **Create** icon. The **Search and Select: Bank Account** dialog box appears.
2. In the **Search and Select: Bank Account** dialog box, select the applicable joint bank account you want to assign to your supplier and click the **OK** button. The bank account you selected now appears in the Bank Accounts subtab.

When can I derive a bank account number from IBAN?

For majority of the European, Middle Eastern, and Caribbean countries where the IBAN (International Bank Account Number) is used for external bank accounts according to SWIFT (Society for Worldwide Interbank Financial Telecommunication) guidelines.

The bank account number derives from the IBAN and populates the Account Number field.

Internally generated new bank account requests for a supplier can be submitted with the IBAN alone. This is supported with or without Approve Internal Changes on Supplier Profile opted in to. The IBAN is used to derive the bank account number and populate the account number field.

Similarly, when creating a new bank account, supplier users can submit the bank account request with the IBAN alone. The IBAN is used to derive the bank account number and populate the account number field.

How can I enter supplier addresses suited to specific country formats ?

Supplier address formats are configured in the Oracle Fusion Trading Community Data Quality application. If your supplier address requires a different country format from those available, contact the procurement application administrator.

Can I edit bank accounts?

Yes, you can now edit the supplier's existing bank account number when change is required.

To edit the account number, navigate to the supplier's bank account and click to edit the bank account. In the **Account Number** field, remove the old value and reenter the new account number. You can edit the bank's account number whether you have opted in the **Approve Internal Changes on Supplier Bank Accounts** feature or not.

B2B Document Sharing with Intelligent Oracle Business Network Connectivity

Match new suppliers with trading partners in Oracle Business Network (OBN) to improve business agility and reduce supplier transaction costs with automated and streamlined B2B document sharing.

Electronic transactions between you and your suppliers provide the most efficient, cost-effective means to manage your transaction flows. With intelligent matching of your new suppliers to trading partners in OBN during supplier creation and internal registration, you can share documents with your B2B-ready suppliers.

Suppliers are OBN enabled when they have an OBN account that's configured to receive purchase orders. The documents supported for B2B messaging are: purchase order, change purchase order, cancel purchase order, advance ship notice, and invoice.

The automatic B2B messaging setup is possible only for suppliers who are created or registered by selecting the company from the intelligent autosuggest search, and have an OBN trading partner account. This applies to all the sources for registering suppliers. If you can't find the supplier using the autosuggest search, you can manually set up B2B messaging on the supplier site. If you create or register the supplier by selecting from the autosuggest search, but the supplier isn't enabled in OBN, you can request the supplier to create an OBN account. Once the supplier completes the OBN registration successfully, you can search for the supplier as OBN trading partner and complete the document configuration.

You can leverage the automatic B2B messaging setup with suppliers on OBN. You can also configure B2B messaging with service providers other than OBN, for example, you may have an industry-specific service provider required for connecting with a few targeted suppliers in your industry.

The supplier site attribute **B2B Communication Method** has been renamed to **Enable B2B Messaging**, and the lookup values are changed from **None** to **No** and **Collaboration Messaging Framework** to **Yes**. The documents for OBN enabled suppliers will automatically get populated after you select **Yes** for the supplier site attribute **Enable B2B Messaging**.

How You Capture Supplier Bank Accounts at Different Supplier Profile Levels

Consider the guidance in this section when you want to capture supplier bank accounts at different levels for suppliers.

For the invoices that are raised, suppliers' bank accounts facilitate electronic payments from the buying organization to the suppliers. To ensure that the suppliers receive payments in the correct bank accounts and for better usability, segregation of bank accounts is available for suppliers at different profile levels, which are:

- Profile
- Addresses
- Sites

Capture of supplier bank accounts at different supplier levels affects the defaulting of bank accounts on invoices. The defaulting mechanism first looks for a valid bank account that's assigned to the site for which the invoice is created. Then, if no valid bank account is identified at the site level, a valid bank account that's assigned at the address level is considered. The address looked for is the one to which the site belongs to. Again, if no valid bank account is identified

at the address level, then the lookout is for a valid bank account at the supplier profile level. If no valid bank account is identified at any of these levels, then no bank account defaults on the invoice and you must select the right option.

All supplier levels are considered to pick the right bank account for defaulting, and not just a specific level. It's important to capture bank account at a supplier level that best suits the supplier's information. To identify the supplier profile levels where the bank accounts must be captured, review these use cases:

- For suppliers who transact in a single currency and always receive payments in one specific bank account, irrespective of the number of addresses they have, capture the bank account at the profile level.
- For suppliers who transact in multiple currencies identified through different bank accounts, but have all the supplier addresses sharing the same bank accounts to receive payments from the buying organization, capture the bank accounts at the profile level instead of adding same bank accounts to all the supplier addresses.
- For suppliers who have multiple addresses and each address independently transacts with the buying organization, that is, each address has unique bank accounts to receive the payments, capture the bank accounts at the address level.
- For suppliers who have multiple addresses and some of them independently transact with the buying organization, that is, among the addresses, some addresses have unique bank accounts to receive the payments. (Also, the rest of the addresses share the same bank account to receive the payments from the buying organization.), then capture the bank accounts at address level for addresses that have unique bank accounts to receive payments and for other addresses sharing the same bank account, capture the bank account at the profile level.
- For suppliers who have a very complex business structure, wherein for the same address, they provide different bank accounts to receive payments from different business units (identified through supplier sites) of the buying organization with which they transact, capture bank accounts at the site level.
- For suppliers who have a site that has a unique bank account to receive the payments, capture bank account for the site only and for the sites that share the same bank account, capture the bank account at the address level or the profile level based on the preceding use cases.
- For suppliers who share the same bank accounts for addresses or sites, but each treats different bank accounts as their primary, first create all bank accounts at the profile level, identify the bank account that's primary to most of the supplier addresses or sites. Mark this bank account as primary at the profile level. Now, select and add the bank accounts that are primary for other addresses or sites at the address level or site level and make them primary at that level.

Note: It's recommended that you capture bank accounts at the profile level first and then capture bank accounts at other levels only if there's a business use case as explained earlier to do so.

Request Supplier Profile Change

Supplier Profile Change Requests

Supplier users with the Supplier Self Service Administrator job role have the authority to manage supplier profile information.

Supplier users can request changes to the following parts of a supplier's profile in Oracle Supplier Portal:

- Organization Details (including supplier profile descriptive flexfields)

- Tax Identifiers
- Addresses (including supplier address descriptive flexfields)
- Contacts (including supplier contact descriptive flexfields)
- Payments (including payment methods and bank accounts)
- Business Classifications
- Products and Services

The Supplier Self Service Administrator predefined job roles provide supplier administrators with the ability to maintain supplier profile information:

Changes are subject to review and approval by the buying organization in accordance with the configured profile change request approval requirements. Supplier users can cancel a pending supplier profile change request, or withdraw it to make additional edits. The request can then be resubmitted.

Supplier Profile Change Request

The supplier profile change request process is as follows:

1. The Supplier Self Service Administrator makes changes to the supplier profile information in the Supplier Portal work area. The changes made are submitted for review and approval by the buying organization.
 - a. If none of the changes are in areas that are designated as requiring approval, the request is automatically processed. If any change in the request is in an area requiring approval, the entire request is submitted for approval.
2. If approval is required, the profile change request goes through a collaborative review process facilitated by the Approval Management Service. Approvers as identified by the approval configuration setup are notified. Buying organization approvers who have the Edit Supplier Profile Change Request privilege can edit the profile change request during approval.
3. The outcome of the review is to either approve or reject the change. The change request submitter is notified of the outcome.
4. If a user account is requested as part of the profile change request, it's submitted to the identity management system for processing.
5. Upon successful creation of a user account, an email notification with account credentials is sent to the new user.

Related Topics

- [Supplier Profile Change Request Approval](#)

Approve Supplier Profile Change Request

Supplier-Initiated Profile Change Requests

As a supplier user, you can modify your supplier profile. On the Oracle Supplier Portal, click the Manage Profile link to display the Company Profile page. Click Edit to initiate the change process.

Supplier-Initiated Profile Changes

Supplier-initiated profile change requests can include changes to many profile attributes. On submission, proper approvers are identified based on the profile change approval configuration defined, and notified of the change request.

Enable Supplier-Initiated Profile Changes

To use supplier-initiated profile changes, enable the feature by selecting Full Supplier Profile Change Management. In the Setup and Maintenance Work Area, access the Procurement offering. Full Supplier Profile Change Management can be enabled in Oracle Supplier Portal, Oracle Sourcing, or Oracle Supplier Qualification.

Enabling this feature allows supplier users to change all profile entities from the Supplier Portal. When it's disabled, the supplier can make changes only to supplier contacts.

Configure Entity-level Approval Requirements

Approvals are configured through the Configure Supplier Registration and Profile Change Request task, Supplier Profile Change Request tab, accessed through the Setup and Maintenance work area.

You can configure approval requirements for all profile entities, for both prospective and spend authorized suppliers.

Entities include:

- Organization Details
- Contacts
- Contact User Account
- Addresses
- Business Classifications
- Bank Accounts
- Payment Methods
- Products and Services
- Tax Identifiers
- Site Details

Configure Profile Change Approval Policies

You can configure how supplier-initiated profile changes are to be approved. The approval policies are configured in the **Setup and maintenance** work area using the **Manage Supplier Profile Change Approvals** task, in the **Procurement** offering and **Approvals Management** functional area, using seeded stages and participants. Approvals work in a similar fashion to supplier registration approvals. See *Configuring Supplier Registration and Self Service Profile Request: Points to Consider* for details about approval stages, participants, and routing types.

Related Topics

- [Options to Configure Supplier Registration](#)
- [Set Up Supplier Registration Approvals](#)

Set Up Supplier Profile Change Request Approvals

Supplier initiated profile changes are approved using the Supplier Profile Change Requests Pending Approval page.

To configure Supplier Profile Change Request approval rules, in the **Setup and Maintenance** work area, use the **Manage Supplier Profile Change Approvals** Task in the **Procurement** offering and **Approvals Management** functional area.

The setup task approval configuration includes two seeded stages which are executed serially:

- Supplier Profile Change Request First Stage Approvals
- Supplier Profile Change Request Second Stage Approvals

All first stage approvals must be completed before the routing rules of the Second Stage are executed.

Supplier Profile Change Request First Stage Approvals

Choose which seeded participants should have approval rules configured based on your supplier profile change request approval requirements. Each participant has a different approval routing behavior.

The three seeded first stage participants are:

- Parallel Approval First Responder Wins
All identified approvers receive a notification for approval in parallel. This first stage participant is enabled by default. The first responder to approve or reject the request defines the outcome of all remaining approvers.
- Parallel Approval
All identified approvers receive a notification for approval in parallel. Approval is required from all approvers.
- Serial Approval
Approvals are routed serially. The approval is completed sequentially from approver to approver.

Supplier Profile Change Request Second Stage Approvals

The second stage allows for additional approval rules to be run as a distinct set after the first stage approvals are completed.

Seeded second stage approval participants are the same as seeded first stage participants. However, none of the second stage participants are enabled by default. The three seeded second stage participants are:

- Parallel Approval First Responder Wins
All identified approvers receive a notification for approval in parallel. The first responder to approve or reject the request defines the outcome of all remaining approvers.
- Parallel Approval
All identified approvers receive a notification for approval in parallel. Approval is required from all approvers.
- Serial Approval
Approvals are routed serially. The approval is completed sequentially from approver to approver.

Seeded Approval Rules

An approval rule is seeded for the first stage Parallel Approval First Responder Wins participant. This approval rule routes supplier profile change requests to the Supplier Administrators group.

The Supplier Administrators and Supplier Managers routing groups are available for the Supplier Profile Change Request Approval task. (These routing groups can also be used in any user-defined approval rule.)

Within each stage, there are three seeded rule-based participants. You can choose a routing type such as Supervisory, Position, Job Level, Single User, and User-Defined Approval Groups for each participant to determine the approvers entitled to receive the document.

The seeded rule executes unless it's deleted, even if new rules are configured. You can modify or delete the seeded rule at any time.

You aren't required to use all of the seeded stages and participants. You can disable unused participants using the disable button for the unused participant on the Manage Supplier Profile Change Request Approvals Task page.

Disabled Rules or Participants aren't evaluated. For example, if the participant is already disabled, then no rules within that participant will be evaluated. The same applies for disabled rules.

Manage Supplier Profile Change Request Approval Attributes

When authoring an approval rule condition based on a supplier profile attribute value, the approval rule is considered true when:

- The attribute value is to be changed to the specified value, or
- The attribute value is present on the supplier profile (even if the supplier profile change request doesn't include any changes to the attribute.)

Related Topics

- [Supplier Profile Change Request Approval](#)
- [Review Internal Profile Changes](#)
- [Choices Available for Internal Supplier Profile Change Request Approvals Task](#)

Choices Available for Internal Supplier Profile Change Request Approvals Task

Enable the Approve Internal Changes on Supplier Profile feature to require changes made to organization details, income tax data, addresses, supplier bank accounts, and sites by internal users to be reviewed and approved.

Configure approval rules for these changes appropriate to your buying organization's policies. These user-defined rules determine the approvers responsible for reviewing and approving changes to bank accounts, organization details, addresses, and income tax data.

Configure Internal Supplier Change Request Approval Rules

In the Setup and Maintenance work area, use the Manage Internal Supplier Profile Change Approvals task in the Approval Management functional area to configure internal supplier profile change request approval rules.

The setup task approval configuration doesn't include any seeded approval rules. You must configure at least one approval rule in one of the available stages in order to use the feature.

Related Topics

- [Options to Configure Supplier Registration](#)
- [How You Configure Internal Changes on Supplier Profile Approvals](#)

Supplier Profile Change Request Approval

Use the Manage Supplier Profile Change Approvals task to configure approval routing for supplier-initiated supplier contact change requests.

Submitted supplier profile change requests include only the profile information that is to be changed. As an approver reviewing the profile change request, you can edit the information included in the request, with the exception of bank account information.

Click **Edit Change Request** in the Related Links section of the Supplier Profile Change Request page to make changes on the Edit Supplier Profile Change Request page. You can't make edits to Bank Accounts, nor can you edit profile, address or contact level descriptive flexfield changes. You can add comments or attachments for other approvers to use in evaluating the request.

From the Edit Supplier Profile Change Request page, you can update the requested changes, and Approve or Reject the request. Changes can be saved for later review without canceling the request.

When all approvals are complete for the profile change request, notification of the outcome is sent to the submitter.

Supplier Profile Change Request Approval Routing Configuration

Use the Manage Supplier Profile Change Approvals setup task to configure supplier-initiated Supplier Profile Change Request approval rules. Find the task in Setup and Maintenance in the Procurement offering, under the Approval Management functional area.

The Supplier Profile Change Request setup task approval configuration includes two seeded stages that are executed serially:

- Supplier Profile Change Request First Stage Approvals
- Supplier Profile Change Request Second Stage Approvals

All first stage approvals must be completed before the routing rules of the Second Stage are executed.

Post-Approval Supplier Profile Update

If any validation errors are encountered that prevent update of the supplier profile, the following process takes place:

- The profile change request is marked as erroneous.
- A notification containing a link to the change request is sent to the Supplier Administrator.
- Supplier Administrators view and fix errors by navigating to the Edit Supplier Profile Change Request page accessed from the notification.

- After the errors are fixed, the Supplier Administrator submits the change request for reprocessing. There is no approval process involved in reprocessing changes to the request.

Related Topics

- [Supplier Profile Change Requests](#)
- [Review Internal Profile Changes](#)
- [How You Configure Internal Changes on Supplier Profile Approvals](#)

Review Internal Profile Changes

Use the Supplier page to view pending change request details. Click View Change Request to display the Profile Change Request page, which shows the supplier attribute changes that have been submitted.

Changes to profile attributes are shown with values before and after the proposed change. New and changed address or bank account records are listed in respective tables with new or changed indicators. Use the Details icon to view change details in the dialog box.

You can also cancel the request by clicking **Cancel Change Request**.

Internal supplier profile change requests are distributed to approvers as a notification. They also appear on the supplier **Overview** page in the Supplier Profile Change Requests Pending Approval section.

Related Topics

- [Internal Supplier Profile Bank Account Change](#)
- [Choices Available for Internal Supplier Profile Change Request Approvals Task](#)
- [How You Configure Internal Changes on Supplier Profile Approvals](#)

How You Approve Changes Made to Sites in a Supplier Profile

You can apply change control on supplier profile updates to organization details, income tax data, bank accounts, addresses, and supplier sites.

Creating a new site and editing an existing site is enabled for internal change control and approval routing. Changes to core site attributes such as site name, inactive date, attachments, supplier site descriptive flexfields (Additional Information), as well as most attributes under the General, Purchasing, Receiving, and Invoicing tabs will generate a change request for approval.

Additional approval attributes have been introduced as part of this feature that would allow you to configure approval rules for supplier site specific changes. For example, the Site Purpose Changed approval attribute can be used to detect changes to any of the site purposes for an existing site: Sourcing Only, Purchasing Procurement card, Pay, Primary pay.

Similarly, Hold Controls Changed approval attribute can be used to detect changes to any of these site attributes for an existing site: Hold All New Purchasing Documents, Hold Reason (Purchasing tab), Hold All Invoices, Hold Unmatched Invoices, Hold Unvalidated Invoices, and Payment Hold Reason (Invoicing tab).

A newly created site or an updated site is added to the profile change request and routed for approval. Approvers can click Details to view the specific changes.

Consider these when you approve site related changes on a supplier profile:

- In general, enable profile areas for which you require supplier profile change management. Changes made to profile areas not enabled or that aren't supported for change control are applied immediately.
- These areas of supplier site aren't change controlled: site assignments, payment methods and payment attributes (available under Payments tab), global descriptive flexfields and B2B communication related attributes. Hence, after a new site is approved, you will need to set up these site details as needed. Similarly, when updating a site, any changes to these site details are applied right away.
- If you enable change control on both addresses and sites, then you can create an address and the site for that address in a single change request.
- If you're already using internal change control for other areas such as supplier bank accounts, and now plan to add sites, then assess your existing approval rules. Use the approval setup task if additional routing rules for site updates are needed.
- When Organization details and income tax, Addresses, or Sites are enabled, and a change request from an internal user is pending approval, you can withdraw the change request and capture more changes by taking the Edit action. The earlier changes will not be lost. The workflow will be launched again when you resubmit the changes for approval.
- Supplier profile changes can come from both internal and external supplier users. For each supplier, there can only be one pending profile change request at a given time.
- Creating and updating supplier sites from FBDI import, SOAP web service, or REST APIs (for application integration use cases) won't raise internal profile change requests.

Internal Supplier Profile Bank Account Change

As a Supplier Administrator or Supplier Manager, use the Supplier page to modify bank account information.

When the Supplier page is accessed, supplier profile details are shown, but are not editable. Click **Edit** to modify the supplier profile, including bank account information.

Click **Save** to immediately apply changes that don't require approval. Bank account changes are also saved, but not submitted for approval.

Click **Submit** to submit all changes made to the supplier profile including bank account changes. Changes made to bank accounts are routed for approval along with any supporting document provided for the bank account using a change request. Other changes that don't require approval are implemented immediately upon clicking **Save** or **Submit**.

Approval is required for bank account changes made at the supplier, address, or site level. These bank account changes require approval:

- Creating a new bank account
- Selecting and adding an existing bank account
- Updating an existing bank account
- Setting a bank account as the primary account
- Setting a bank account as factor account
- Updating descriptive flexfields (configured) using the Manage Supplier Bank Account Descriptive Flexfields task

- Updating the supporting document
You can configure bank account supporting documents as required to enforce documents when a bank account is created or any of these attributes are updated for an existing bank account: country, account number, bank name, branch name, IBAN, and currency.

Related Topics

- [Review Internal Profile Changes](#)
- [Choices Available for Internal Supplier Profile Change Request Approvals Task](#)

Merge Suppliers

Options to Merge Supplier Sites

The Supplier Merge Process is a utility used to maintain supplier records. A supplier record is not explicitly merged by the user. It is merged only as a result of all its sites being successfully merged.

Supplier sites can be merged within the same supplier or between two suppliers. Additionally, the supplier merge process results in updates to transactions when the site referenced on an order, for example, is merged to another site.

Once a merge is completed, it cannot be undone. The supplier is made inactive (in case of supplier merge) and supplier site is made inactive (in case of supplier site merge).

Reasons for Merging a Supplier or Supplier Site

You may want to merge Suppliers because:

- A duplicate supplier was created.
- The supplier was acquired by another company.

You may want to merge Supplier Sites because:

- A duplicate supplier site was inadvertently created.
- The supplier moved to a new location.
- A division of a supplier was sold and the appropriate site must be associated to the new supplier that acquired it.

Impacts of Supplier or Supplier Site Merge

The following are impacts of supplier merge:

- All contacts of the supplier are merged.
- All products and services categories are merged.
- All sites are merged (this is a prerequisite for supplier merge).

The following are impacts of supplier site merge:

- All contacts associated with the site are merged.

If the contact has a user account for the Merged-from supplier, the contact will not be able to see any information in Oracle Supplier Portal about the Merged-to supplier initially. If the contact requires access to the Merged-to supplier, then the user account for the Merged-from supplier contact must be inactivated first before activating the account for the contact in the Merged-to supplier.

When a supplier site is merged, the site information on certain supplier qualification transactions tied to that site is not updated. Instead, the following changes are made to these transactions:

- Qualifications and assessments in Draft, Ready for Evaluation, and Future Dated status are canceled.
- Qualifications and assessments in Active status are expired with the end date as the date and time when the merge process takes place.
- Question responses available in the response repository are copied over to the Merge-To supplier site if active responses do not exist for the same questions.

If a supplier is merged as a result of the supplier site merge, the same changes are made to supplier qualification transactions that are tied to a supplier with no site. Details of these changes are documented in the supplier merge report.

Related Topics

- [Supplier Sites and Supplier Site Assignments](#)

How can I view a merged suppliers report?

You can view supplier merge reports from the Processes region of the Merge Suppliers page.

How You Purge Supplier Interface Records

After you have performed a supplier merge, you can use the purge process to delete supplier merge interface records.

How You Purge Supplier Merge Interface Records

You can run the purge process against all the supplier interface tables. You can purge records in any status:

- Processed
- New
- Rejected
- All

The supplier purge is permanent, so you should take care when running the purge program. As part of the purge process, a report is generated that lists the count of the records that are successfully purged. If the purge process fails, all records that were previously purged during the execution of the job are restored, so you must run the process again to purge the records. The purge process from **Procurement > Suppliers work area > Import Suppliers > Actions menu > Purge Supplier Interface Records**

How You Maintain Multiple Supplier Emails for Communicating Purchase Orders

Suppliers often require purchase orders be emailed to multiple contacts. However, manually adding supplier email addresses on each purchase order can be error prone, which risks supplier communication and limits touchless buying goals.

Maintaining multiple supplier email recipients on supplier sites for communicating purchase orders automates the process. The correct emails are automatically added to the purchase order when created with no manual intervention. This results in seamless communication of new orders to suppliers thereby reducing fulfillment delays and improving transaction efficiency.

You can add multiple email addresses for a supplier site using: the Edit Supplier Site page, Supplier Site Import, and the Suppliers REST service when email is set as the communication method for the site. Use commas to separate multiple email addresses.

Consider these when you maintain multiple supplier emails for communicating purchase orders:

- When the supplier site emails don't default to the purchase order, and if the supplier site address has an associated contact (referred to as an address contact in the supplier profile), then that contact's email is defaulted onto the purchase order instead. If the site address has no contact or multiple contacts then the supplier site emails will default.
- Purchase agreements don't support multiple communication emails. When defaulting from the supplier site, if multiple supplier site emails exist, then only the first email is defaulted. Otherwise, the defaulting behavior described in the preceding paragraph for the purchase order applies.

Import Suppliers

Create Suppliers with the Import Suppliers Process

Supplier Import processes are programs that you can use to import new supplier records from external systems and to update and delete existing supplier records.

These programs are used to import supplier information:

- Import Suppliers
- Import Supplier Addresses
- Import Supplier Sites (includes third-party payment relationships)
- Import Supplier Site Assignments
- Import Supplier Contacts (includes user accounts and contact addresses import)
- Import Supplier Business Classifications
- Import Supplier Products and Services Categories
- Import Supplier Attachments

- Purge Supplier Interface Records

How the Import Process Works

The Supplier Import process is run by either the Supplier Administrator or the Supplier Manager.

You can load data to interface tables using predefined templates and the Load Interface File for Import scheduled process. Both are part of the External Data Integration Services for the Oracle Cloud feature.

Obtain FBDI templates from the File-Based Data Import for Oracle Fusion Cloud Procurement guide from the links found in the File-Based Data Imports section.

The process for supplier import is as follows:

1. Data must first be inserted into the existing Open Interface Tables:

- POZ_SUPPLIERS_INT
- POZ_SUP_ADDRESSES_INT
- POZ_SUPPLIER_SITES_INT
- POZ_SITE_ASSIGNMENTS_INT
- POZ_SUP_CONTACTS_INT
- POZ_SUP_CONTACT_ADDRESSES_INT
- POZ_SUP_BUS_CLASS_INT
- POZ_SUP_PROD_SERV_INT
- POZ_SUP_ATTACHMENTS_INT
- POZ_SUP_THIRDPARTY_INT

Note: For more information about tables, see the Tables and Views for Oracle Fusion Cloud Procurement guide. To obtain the templates to use, see File-Based Data Import for Oracle Fusion Cloud Procurement. Use the instructions contained in the template to complete the template. The fields used vary from one type of template to another, but all templates begin with these fields:

- Batch ID - Enter a value in the Batch ID field to group certain entries together. When you perform the upload, you can choose to process only the entries with a certain batch ID value. This lets you maintain a single upload file and selectively choose subgroups of entries to be processed from it, without having to process the entire file.

For example, for a supplier address upload file, you might use a batch ID value for the state. When you process the upload file, you can choose to process only the records for the state of California.

- Import Action - Use Create to add a new entity, such as a new site assignment or a new address. Use Update to modify an existing entity.

2. Once the data is inserted, the following concurrent processes must be run to import the supplier profile data in Oracle Suppliers:
 - Import Suppliers
 - Import Supplier Addresses
 - Import Supplier Sites
 - Import Supplier Site Assignments
 - Import Supplier Contacts
 - Import Supplier Business Classifications
 - Import Supplier Products and Services Categories
 - Import Supplier Attachments

These import processes are executed by the Enterprise Scheduler Service (ESS), which manages all concurrent processes. You can monitor the status of each process and provides access to output reports.

Supplier import processes contain the following parameters:

- Import Options: Options include All, New, and Rejected. Import Options are used to determine if the import process should attempt to import new, rejected, or all rows from the respective open interface tables.
 - Report Exceptions Only: Values are Yes or No. Used to determine if the Import Process Reports prints success and rejected information, or just the rejected information.
3. When the processes are complete, a .pdf report is generated detailing the status of the records that were imported. If a record couldn't be imported, then the status is set to Rejected. The reason for the rejection is provided.

Upload line level errors are applicable only to a line and don't affect the loader's capability to read and process the remainder of the lines in the upload file. Upload line errors can be caused by an invalid UOM for a line, or an incorrect data type specified for a line attribute. Line level errors are displayed in the line errors region or parsing errors region on the upload errors page. Line level errors can be exported to a spreadsheet for review.

Upload file-level errors are detected at the start of processing. The loader is halted and no file lines are processed. Upload file-level errors can be caused by invalid XML or cXML files, required sections missing from

a TXT file, or sections out of order in a TXT file. The upload errors page displays the file level error. The line or parsing errors region isn't displayed.

The error threshold parameter sets the maximum number of errors allowed on upload lines before termination of upload file processing. You can export the items table to perform an error analysis.

Note:

- The supplier import processes are used to create new entities, and to update or delete existing supplier profile data. Creation can be done only with attachments. Deletion can be done only with contact addresses, business classifications, and products and service categories.
- Supplier import supports supplier numbering of characters that aren't numeric to allow supplier records from legacy systems to retain their unique identifier.
- Update supports updating the functional key attributes. The columns ending with _NEW are specifically earmarked for updates. Use this only if the underlying functional key attributes must be updated. To update functional keys, the new value should be provided in the _NEW column.

Consider the following when using supplier import:

Import Suppliers

Both prospective or spend authorized suppliers can be imported. Sites and site assignments can't be imported for prospective suppliers.

Business relationship of the supplier can't be updated through import.

Import Supplier Sites and Third-Party Payment Relationships

Supplier Sites are imported for a specific procurement BU, which is specified on the site import record. Additionally, an existing supplier address reference must be defined as part of the site import record.

After a site is created and associated with an address, the association can't be changed. For this reason, including a value for Address Name when updating an existing supplier site triggers an error. The Address Name field maps to PARTY_SITE_NAME, which is the field named in the error.

Use the Supplier Sites Import process to load third-party payment relationships from an external system. Before you import supplier site third-party payment relationship data, review the recommendations in the supplier site import template, Instructions and CSV Generation worksheet.

There are two separate worksheets available for importing supplier sites and third-party payment relationships on the supplier site import template.

Import Site Assignments

Site assignments are created for client BUs that are serviced by the procurement BU to which the site belongs. Assigning the client BU to the site enables the client BU to use the site for ordering and invoicing.

Import Supplier Contacts, Contact Addresses, and User Accounts

You can provide addresses associated with a contact for all sites using that address.

Note: Two separate worksheets are available for contacts and contact addresses on the import upload template for supplier contacts.

The import process checks for duplicate contacts. Provide distinguishing email addresses for imported supplier contacts with the same last name as existing supplier contacts.

Use the User Account Action column to specify the action to create or update a user account. Create a user account by using the default roles for the Supplier Portal work area, the Sourcing work area, or specifying individual roles. Update a user account by adding or removing specific roles, or inactivating the user account. Use the Role 1 to Role 10 columns to specify specific roles based on the user account action.

Here are things you can do after you run the supplier contact import process:

If you need to find out the user accounts that are created or updated successfully, you can create a report for that. Go to the Reports and Analytics work area, use attributes in Supplier - Supplier Real Time subject area to report on user account details.

When a user account action is specified for any imported supplier contact, the Send Pending LDAP Requests process is launched automatically to complete the user account action. If the user accounts aren't created or updated successfully, you can manually run the process using these steps:

1. From the **Tools** work area, click **Scheduled Processes**.
2. Click **Schedule New Processes** and search for **Send Pending LDAP Requests**.
3. For **Parameters**, choose **User Type** as **Party** and **Batch Size** as **A**, and then click **Submit**.

Import Business Classifications

New certifying agencies can be created and associated with relevant classifications through import. However, the Certifying Agency attribute option 'Other' isn't supported. Consider using the Create New Certifying Agency attribute as an alternative.

Note:

Legacy data including both inactive and active data can be loaded for all the supplier entities

Import Supplier Attachments

You can import attachments for supplier profiles, supplier sites and supplier business classifications for existing suppliers. Different types and categories of attachments can be imported.

For File type attachments, you must add the file to a .zip file and upload the .zip to the Procurement Suppliers Oracle WebCenter Content account: /prc/supplier/import. Multiple files can be added to the same .zip file and can be organized within folders as needed. The template is designed to accept the path along with the file name. This tells the application in which folder of the .zip file the file is located. The Recommendations for Loading Supplier Attachments Data section in the Instructions and CSV Generation tab contains more information on importing attachments. Don't delete worksheets corresponding to levels of attachments that you don't intend to import. Delete only the sample data from these unused worksheets.

For including file attachments, consider these points:

- Limit the number of attachments in each .zip file to less than 300.
- Reduce the number of attachments in the .zip file even further if the .zip file size is more than 1.5GB. Use one or more zip files for each batch and use batch name as part of the zip file name for ease of data entry in the spread sheet.
- Do the import in multiple smaller batches instead of using a single big batch to expedite the import process.
- Make sure the zip filename matches the zip file uploaded in the WebCenter Content server.
- Make sure the File/Text/URL* column value in the spreadsheet has the full folder hierarchy of the attachment file inside the zip folder including subfolders if any.
- Consider this example, there's a zip file named: Policies.zip.
 - Subfolder: SupplierPolicies is a subfolder in the zip file
 - File Name: Terms.doc is the file inside the subfolder
 - Input for column File/Text/URL*: SupplierPolicies/Terms.doc
 - Input for column File Attachments .ZIP: Policies.zip
 - Some of the special characters are currently not supported for a filename:
 - < > * ? | ; " : / \ % \$ ()

Other Things You Need to Know

When you populate FBDI templates

- Use **#NULL** wherever applicable to update an attribute value to blank. for example, use #NULL to remove Acme Corp. as the alternate name.

Refer to comments added for every import column header in the FBDI import templates to find useful details such as attribute description, interface table column name, actions supported, and user interface navigation to identify acceptable values. Refer to the Instructions and CSV Generation worksheet for details on how CSV files should be generated and used to import records.

- Use the Batch ID attribute (displayed as a column name in the FBDI templates) and the corresponding parameter while submitting an import process, especially if you're importing a large number of import records. You can process import records in a single import file using multiple processes. When no value is provided for the Batch ID parameter, only import records that don't have a Batch ID specified will be processed.
- Import contact addresses for an existing contact without importing the contact, that is, it's perfectly acceptable to leave the POZ_SUP_CONTACTS worksheet empty and only populate the POZ_SUPP_CONTACT_ADDRESSES_INT worksheet in the Supplier Contacts Import template.

OTBI subject area: Supplier Import - Supplier Real Time and related seeded reports can be leveraged to populate supplier import templates starting Release 11. The reports are in a format that resemble the templates and could be used to generate import data that's suitable to be copied over to the templates. For more details, see [Release 11 training: Supplier Reporting Enhancements](#).

- When you import large number of suppliers, have a maximum of 25,000 records in a batch. If you have more than 25000 records, create multiple batches.

When you schedule the import processes

1. While scheduling an import process to import new records, select New as the import option. This ensures that the current import process doesn't attempt to validate existing interface table records that have already been processed and rejected previously.
2. Ensure that your parent entity exists in the supply base before importing the child entities. For example, ensure the supplier site exists before importing its site assignments.

After you import the records successfully

Empty the interface table of the supplier entity you have successfully imported by running the Purge Supplier Interface Records process immediately after the import. This ensures that interface tables are empty for your subsequent import and the new import process doesn't attempt to process older records which are no longer relevant. This process is available along with the other import processes.

Related Topics

- [Overview of External Data Integration Services for Importing Data](#)
- [How You Update Supplier Profile Entities](#)
- [Purge Supplier Interface Records](#)
- [How You Use Supplier Import to Create a New Supplier from an Existing Party](#)

How Supplier Bank Account Import Data is Processed

Use the Import Supplier Bank Accounts process to import supplier bank accounts and associated data into Oracle Payments.

You can download a spreadsheet template to enter your supplier bank account data. The template contains an instruction sheet to guide you through the process of entering your data. The template also provides field-level bubble help.

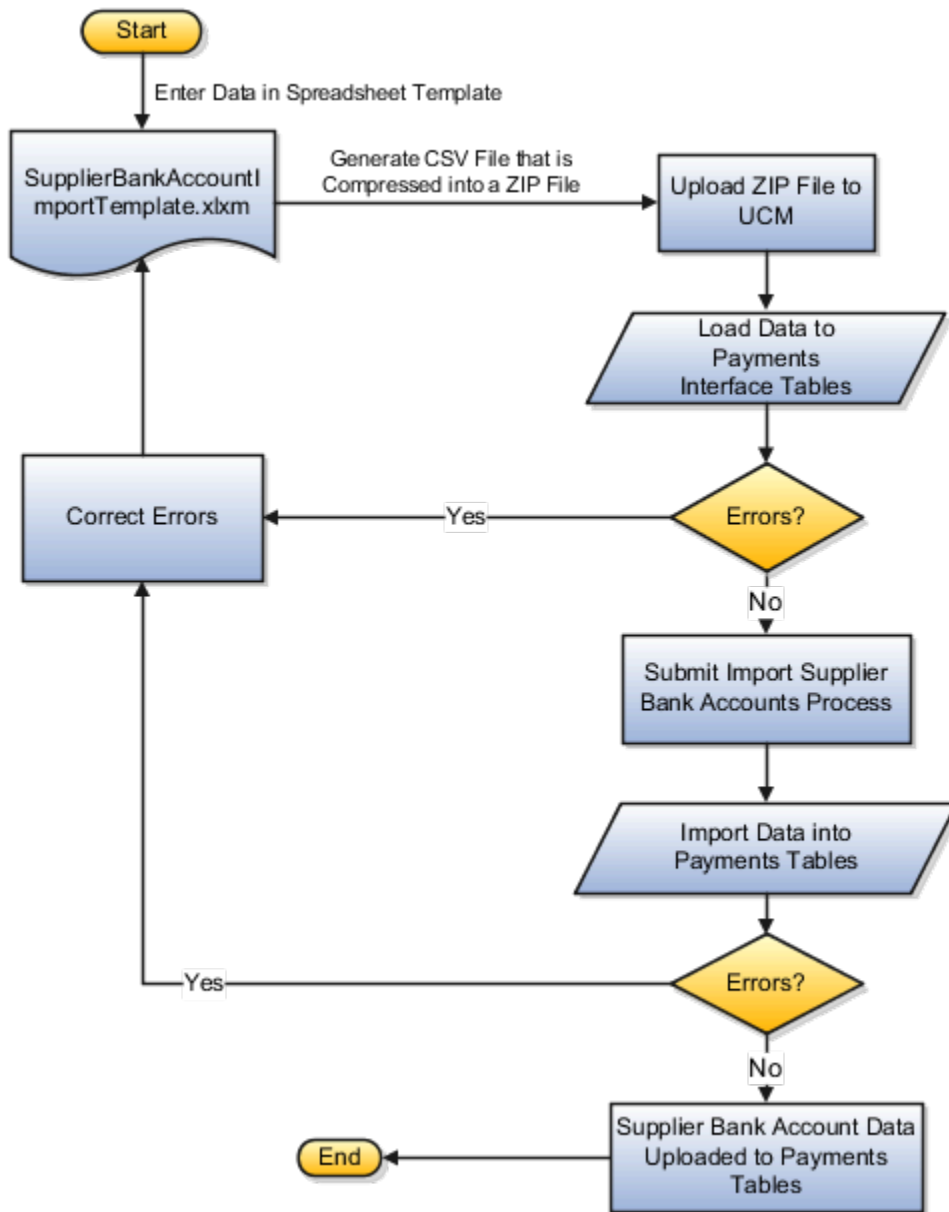
Tip: Service administrators, on-premise administrators, and on-premise users can run the Import Supplier Bank Accounts process in the Scheduled Processes work area.

Before you can import supplier bank accounts and associated data, you must create suppliers.

If the suppliers bank account is used for international payments, you must also create the following entities:

- Banks
- Bank Branches

This figure illustrates the flow of importing supplier bank accounts into the application, as well as correcting errors.



To access the SupplierBankAccountImportTemplate.xlsm spreadsheet template, complete these steps:

1. Go to the File-Based Data Import for Oracle Financials Cloud guide.
2. In the Table of Contents, click the **File-Based Data Imports** link.
3. Click the **Supplier Bank Account Import** link.
4. In the File Links section, click the link to the Excel template.

Follow these guidelines when preparing your data in the worksheet:

1. Enter the required information for each column. See the tool tips on each column header for detailed instructions.
2. Don't change the order of the columns in the template.
3. You can hide or skip the columns you don't use, but don't delete them.

Tabs That Affect the Import Supplier Bank Accounts Process

The Supplier Bank Account Import spreadsheet template contains an Instruction tab, plus more tabs that represent the interface tables where the data is loaded.

The following table contains the names of the tabs in the Supplier Bank Account Import spreadsheet template and a description of their contents.

Spreadsheet Tab	Description
Instructions and CSV Generation	Contains instructions and information about: • The format of the template • The button that you click to generate the CSV file Other information includes the following: • Preparing and loading data • Submitting the Import Supplier Bank Accounts process • Correcting import errors
IBY_TEMP_EXT_PAYEES	Enter information about the supplier payees.
IBY_TEMP_EXT_BANK_ACCTS	Enter information about the supplier bank accounts.
IBY_TEMP_PMT_INSTR_USES	Enter information about the supplier bank account assignments.

How Import Supplier Bank Accounts Data Is Processed

This table describes the flow of data when you import supplier bank accounts into Payments:

Sequence	Action	Result
1.	From the File-Based Data Import for Oracle Financials Cloud guide, download the SupplierBankAccountImportTemplate.xlsm spreadsheet template. It's found in the File-Based Data Imports chapter, Supplier Bank Account Import section.	The File-Based Data Import spreadsheet is downloaded.
2.	Enter data in the spreadsheet template. Follow the instructions on the Instructions and CSV Generation tab under the section titled Preparing the Table Data.	Follow the instructions on the Instructions and CSV Generation tab under the section titled Preparing the Table Data.
3.	Click Generate CSV File . Follow the instructions on the Instructions and CSV Generation tab under the section titled	A CSV file is generated that's compressed into a ZIP file.

Sequence	Action	Result
	Loading the Data in the Instructions and CSV Generation tab.	
4.	To upload the ZIP file: 1. Go to: Tools > File Import and Export. 2. In the File Import and Export page, click the "+" (Upload) icon. The Upload File dialog box appears. 3. In the File field, browse for and select your ZIP file. 4. From the Account choice list, select fin/payables/import. 5. Click Save and Close.	The ZIP file is uploaded. Data is loaded into Payments interface tables successfully or with errors.
5.	To submit the Load Interface File for Import process: 1. Navigate: Tools > Scheduled Processes. 2. Click Schedule New Process. The Schedule New Process dialog box appears. 3. From the Name choice list, select Load Interface File for Import. 4. Click OK. The Process Details dialog box appears. 5. From the Import Process choice list, select Import Supplier Bank Accounts. 6. From the Data File choice list, select your ZIP file. 7. Click Submit.	Data is loaded into Payments interface tables.
6.	Follow the instructions on the Instructions and CSV Generation tab under the section titled Importing the Loaded Data	Load process purges Payments interface tables.
7.	To submit the Import Supplier Bank Accounts Process: 1. Navigate: Tools > Scheduled Processes. The Scheduled Processes page appears. 2. Click Schedule New Process. The Schedule New Process dialog box appears. 3. From the Name choice list, select Import Supplier Bank Accounts. 4. Click OK. The Process Details dialog box appears.	The Import Supplier Bank Accounts process first validates the supplier bank accounts and associated data and then imports the data from the Payments interface tables into the following Payments tables: • IBY_EXT_BANK_ACCOUNTS • IBY_EXTERNAL_PAYEES_ALL • IBY_PMT_INSTR_USES_ALL After you submit the Import Supplier Bank Accounts process, the following data appears in Payments: • Supplier bank accounts

Sequence	Action	Result
	5. From the Feeder Batch Identifier choice list, select the batch identifier that you indicated in the File-Based Data Import spreadsheet. 6. Click Submit.	• Payment preferences: ○ payment delivery ○ payment specifications ○ separate remittance advice delivery method • Relationship of supplier with supplier bank account The log output of the Import Supplier Bank Accounts process reports the number of successful and rejected records.
8.	To correct import errors: 1. Identify the rejected records based on details provided in the log file. 2. Create a new spreadsheet that contains only rejected records that are copied from the old spreadsheet. 3. For the Import Batch Identifier column, enter a different Feeder Batch ID. 4. Make necessary corrections to the data. 5. Load the data using a new spreadsheet. 6. Generate the CSV File, upload the ZIP file, and continue. 7. Failed records remain in the Payments interface table and aren't purged automatically.	Failed records remain in the Payments interface table and aren't purged automatically.
9.	Import supplier bank account data at one of the following levels if you've their associated identifiers: • Supplier level requires the Supplier Number. • Supplier site level requires the Supplier Site Code.	If only the Supplier Number is provided, the supplier bank account is created at the supplier level. If the Supplier Number and the Supplier Site Code are provided, the supplier bank account is created at the supplier site level.
10.	Set the Primary indicator in the SQL loader file for only one bank account per supplier per level.	If the Primary indicator is set for multiple bank accounts, then Payments accepts only the first bank account with the indicator set to be the primary account at that level. If the Primary indicator isn't set for any bank account, Payments accepts the first bank account as the primary.
11.	Manage intermediary account details and create factor accounts manually using the Manage Suppliers page.	The Import Supplier Bank Accounts process doesn't allow you to import the following data: 1. Intermediary accounts 2. Factor accounts

Related Topics

- [Overview of External Data Integration Services for Importing Data](#)

Supplier Tax Details Import

You can import supplier's profile level tax registration country and the tax registration number using supplier import template. You can add these values while creating or updating suppliers. All the other supplier's tax registration related attributes can be imported using the Tax Implementation Workbook.

For more information on the Tax Implementation Workbook, see the related topics. You can use the Tax Implementation Workbook to update the values of tax registration country and tax registration number also, but it's recommended to do it through the supplier import for these reasons:

- Using supplier import will validate the supplier for duplicate tax registration number and therefore prevent duplicate supplier creation.
- Using the supplier import will create a party tax profile for the supplier, which otherwise has to be done using the Tax Implementation Workbook through a separate worksheet that's hidden by default.

If you haven't already done the Tax setup, you must first complete the configuration using the Tax Configuration Workbook. For more information on the Tax Configuration Workbook, see the related topics.

You will have to use the Tax Implementation Workbook to import supplier address level tax registration details. Supplier addresses are uniquely identified using the party site ID, which can be used when importing address tax registration information.

Related Topics

- [Tax Implementation Workbook](#)
- [Tax Configuration Workbook](#)

Import Regional Information

You can import region specific information for suppliers and supplier sites.

1. To import supplier or supplier site regional information, in the GLOBAL_ATTRIBUTE_CATEGORY column provide the value for Regional Information lookup. In subsequent columns, for the GLOBAL_ATTRIBUTE1 - 20, GLOBAL_ATTRIBUTE_DATE1-10, GLOBAL_ATTRIBUTE_TIMESTAMP1-10, and GLOBAL_ATTRIBUTE_NUMBER1-10, provide the values of attributes dependent on the regional information attribute.

To successfully import the record, for lookup type attributes, you must provide the necessary codes and not the display values.

If you're using the FBDI template to import suppliers and in the SupplierImport FBDI template, the null values you've provided for the GLOBAL_ATTRIBUTE_CATEGORY and GLOBAL_ATTRIBUTE1 columns aren't applied, but the values provided in the Financials offering are applied. To resolve, in the Financials offering, deselect the Enable Checkbox for the U.S Federal Financials opt in. For more information, see [Enable U.S. Federal Financials](#).

2. To get the necessary codes, in the Setup and Maintenance work area, go to the **Manage Descriptive Flexfields** task and search for the flexfield code JE_POZ_SUPPLIERS. Select to edit the DFF entity to get all the relevant details.

For the regional information lookup, access the page Manage Contexts from the edit descriptive flexfield page for the descriptive flexfield entity JE_POZ_SUPPLIERS. For the dependent attribute codes, access the context sensitive segment for the respective context and find the value set that's used. From the value set, you can get the codes for these attribute lookup values.

3. Do the import.

Related Topics

- [Import Regional Information](#)

Supplier Profile Audit History Setup and Reporting

Supplier audit history allows tracking and reporting of changes made to supplier profile information to support internal audit controls and governance as well as external regulatory compliance such as SOX. A detailed change history provides real-time traceability of any supplier changes.

You can set up audit tracking on any attribute related to these supplier information:

- Profile details (Name, Alternate Name, D-U-N-S Number, and so on)
- Supplier addresses
- Supplier Business Classifications
- Supplier Products and Services
- Supplier Tax Registrations
- Tax Classifications
- Tax Reporting Codes
- Supplier Sites
- Supplier Site Assignments
- Supplier Contracts
- Supplier Payment Methods
- Supplier Payment Attributes
- Supplier Bank Accounts
- Supplier Address Contacts
- Supplier Address Tax Classifications
- Supplier Address Tax Registrations
- Supplier Address Tax Reporting Codes
- Supplier Site Third-Party Payment Relationships

Once configured, changes to the supplier profile are tracked and available for review online. Changes to the supplier profile include updates made by end users both in the buying organization as well as from the supplier and changes applied by the application such as supplier import, approved supplier registration requests, or approved change requests.

Configure Audit Setup for Suppliers

The audit setup page is available to users with a job role of Application Administrator. In the setup page you can select objects and its attributes that you want to enable for audit tracking. To configure audit setup:

1. In the Setup and Maintenance work area, go to the **Manage Audit Policies** task.
2. In the **Oracle Fusion Applications** region, change the **Audit Level** to **Auditing**.

Audit history is now enabled for all applications that are implemented at the customer site.

3. Click **Configure Business Object Attributes**.

In the Configure Business Object Attributes page you can select the specific business objects and attributes within each object that you require to enable for audit history tracking.

4. From the **Configure Business Object Attributes** page, in Product, select **Supplier Model**.

The supplier objects available for audit are displayed:

- a. Parent: Supplier (Includes all profile-level attributes such as identifier information including Supplier Name, Alternate Name, D-U-N-S Number, Descriptive Flexfields, and Income Tax details).
 - b. Child: Supplier Business Classifications, Supplier Products and Services, Supplier Addresses, Supplier Contacts, Supplier Sites, Supplier Site Assignments, Supplier Tax Classifications, Supplier Address Tax Classifications, Supplier Tax Registrations, Supplier Address Tax Registrations, Supplier Tax Reporting Codes, Supplier Address Tax Reporting Codes, and so on.
 5. You must first determine what objects need to be enabled for audit tracking. You can check the top node **Audit Top Node**, which will check all the listed objects, or choose each individual object, based on your specific requirements.
 6. After you have selected the objects, to select attributes to enable audit tracking for that selected object, in the **Audited Attributes** region, From the **Actions** menu, click **Create**. You can also remove attributes previously assigned if there is no longer a need for audit tracking for those attributes. To add or remove attributes, you must click Create itself.
- Note:** Double-click each line under object to see it under the **Audited Attributes** section. Then from Audited Attribute section, click **Actions** > **Create** to select or change specific attributes for the object selected.
7. In the **Select and Add Audit Attributes** dialog box, select the specific attributes you want to audit and then click **OK**. To optimize performance, only select attributes that you intend to use.
 8. After you select the attribute you want to audit, click **Save and Close**.
 9. In the **Manage Audit Policies** page, click **Save and Close**.

Implementation Considerations

Here's the information for you to consider regarding audit history

- The audit setup page provides users with access to all applications enabled for audit tracking. Take care when you make changes in the setup page. The impact of changes in setup can impact users across several applications.
- If an object or attribute is disabled or removed from audit tracking, the changes are prospective and not retrospective. Audit history before such change will continue to be available for reporting.
- Before you configure the setup, it's recommended that you consider your change history reporting requirements. It's important to determine whether or not you need to enable only select objects (or select attributes within an object) for audit tracking, or enable all available objects and attributes.

Report Supplier Audit History

In the Audit Reports page, you can search and view audit history for the business objects you have enabled for audit. This page is available only to users with the job role of Internal Auditor. To access audit reports, go to: **Navigator > Tools > Audit Reports**. From this page, you can review change history on all supplier objects and attributes that are enabled for audit tracking.

View supplier change history using these various search criteria:

1. **Date:** Select a specific date or a date range within which to view supplier change history.
2. **User:** Track changes made by a specific user.
3. **Event Type:** Restrict results to only specific types of changes such as insert, update, or delete or any such combinations.
4. **Business Object Type:** View change history across both parent and child supplier objects by using parent value of supplier. If you need to view changes on specific child objects, then select the desired child object to restrict the results.

Change history displays these details:

- When the change were made?
- Who made the changes?
- Nature of change (added, removed, or updated)
- What was changed?

For business object such as supplier, supplier address, supplier business classifications, and so on.

View Changes Regarding Specific Attributes

In the Audit Reports page, in Search Results, you do any of these tasks:

- Select Show User-Related Details to view impersonations if any for a particular user.
- Select Show Attribute Details to view the old value and new value for the changed attribute.
- Select Show additional object identifier columns to view additional context details for the business object, for example, if change was on Minority Owned business classification, the specific subclassification it belonged to.

Usage Considerations

Here are some usage considerations:

- Since results are retrieved online, searching time periods longer than a month may have an impact on system performance.
- It's recommended that you run the report using the parent business object supplier because the report will also include changes to all child objects. You can use a child object in the search if there is a specific need to track changes for only that object for a given time period.
- If audit history is disabled for objects and attributes, history is still retrieved for the periods when they were enabled.
- If Personally Identifiable Information (PII) attributes are enabled for audit, the change history results will display changes for PII attributes only if the user has PII privileges.

For more information on audit related REST services, see the task Get an audit report in the REST API for Common Features in Oracle Applications Cloud document.

How You Audit the Supplier Bank Information

You can audit supplier bank accounts at these levels:

- Supplier
- Supplier Address
- Supplier Site

Note: If masking is enabled, due to security sensitivity, only masked values are shown in the audit history results for the attributes Bank Account Number and IBAN. The setup task Manage System Security Options controls the masking setup for these attributes.

The list of attributes that are available for audit for the bank account entity are:

- Country
- Branch
- Bank Name
- Account Number
- Currency
- IBAN
- Check Digits
- Account Type
- Account Suffix
- Allow International Payments
- Account Name

These bank account child entities aren't available for supplier audit tracking:

- Account Owners
- Intermediate Accounts
- Attachments

Related Topics

How You Automatically Inactivate Suppliers Based on Activity

When you keep your supply base current by inactivating suppliers you're no longer doing business with, and those marked as one-time suppliers, you improve the transaction processing and so reduce the risk of fraud. Manual processes may lead to errors and delays. You can automatically inactivate one-time suppliers after payment as well as suppliers without procure-to-pay activity for a specified time period. Automation of the inactivation process helps support a well-maintained supplier master, which leads to smoother transaction processing and a reduced risk of fraud.

You can run the Inactivate Suppliers process from the Import Suppliers or Schedule Processes pages. You can use the Advanced Options section of these pages to schedule the process to run on your preferred schedule, such as monthly or quarterly. It's recommended that you schedule the process to run on a monthly basis. The Inactivate Suppliers process uses these parameters:

Suppliers with No Transactions: Select this parameter to inactivate suppliers with no purchase orders, invoices, and sourcing transactions in the defined time period that you have set.

Months Since Last Transaction: Identify and inactivate suppliers with no transactions for the specified number of months. For example, when you enter 24 months, suppliers with no transactions in the last 24 months are considered for inactivation.

Paid One-Time Suppliers: Select this parameter to inactivate one-time suppliers who have received at least one payment.

Generate inactivation list only: Select this parameter to review the list of suppliers to be inactivated based on the specified parameters before you actually inactivate the suppliers.

If you select, **Generate the inactivation list only**, you can review the output file of the Inactivate Suppliers process. Otherwise, submitting the process will initiate supplier inactivation and set the inactive date to the current system date for the targeted suppliers. To inactivate suppliers, Import Suppliers process is run. You can review the output file of the Import Suppliers process to see the number of suppliers inactivated and review any suppliers that can't be inactivated due to errors.

As part of the inactivate suppliers process to automatically inactivate suppliers based on activity, it also inactivates supplier contacts and their user accounts.

Here are a few things to keep in mind.

- You can submit two processes with different schedules, one to inactivate suppliers with no transactions and another to inactivate one-time suppliers, if you'd prefer to process these options separately.
- When you inactivate suppliers for the first time, it's recommended to generate the inactivation list first for review before inactivating suppliers.
- The **Months Since Last Transaction** parameter is only applicable when you inactivate suppliers with no transactions. It has no impact on inactivating one-time suppliers.
- Suppliers that have a future inactive date won't be inactivated by the Inactivate Suppliers process. If you have suppliers you want to ensure are never automatically inactivated, setting an inactive date far in the future is the best way to ensure the process will never include them.
- To activate a supplier again, simply remove the inactive date from the supplier profile.
- When you activate the supplier again, make sure to activate the contact and provision the appropriate roles to access Oracle Supplier Portal.

Related Topics

- [Inactivate Suppliers](#)

5 Access Supplier Collaboration

How Supplier User Provisioning Works

Supplier user provisioning refers to the process of establishing supplier users with access to the Supplier Portal work area. Your buying organization can create and maintain user accounts, job related privileges, and data access controls for supplier contacts.

The content supplier users can access, and tasks they can perform, are controlled by your buying organization. You can allow trusted supplier users to request and manage user accounts for their fellow employees that require access to the Supplier Portal work area.

User Provisioning Job Related Privileges

You provision supplier users with job related privileges, giving them the ability to perform business tasks and functions using the Supplier Portal work area. The predefined job related privileges that can perform supplier user provisioning are:

- **Supplier Administrator:** This is a buying organization job related privilege. Users with this privilege are responsible for maintaining supplier profile information as well as administering user accounts for supplier contacts.
- **Supplier Manager:** This is a buying organization job related privilege. Users with this privilege are responsible for authorizing new suppliers for spending. They control the addition of new spend authorized suppliers into the supply base. In smaller organizations, you can assign this job related privilege and the Supplier Administrator related privilege to the same individual.
- **Supplier Self Service Administrator:** This is a supplier organization job related privilege. Supplier users with this privilege can maintain company profiles and request user accounts for their fellow employees. All profile changes and user account requests made by the supplier self service administrator require approval by the buying organization.
- **Supplier Self Service Clerk:** This is a supplier organization job related privilege. Supplier users with this privilege can maintain company profiles and request user accounts for their fellow employees. All profile changes and user account requests made by the supplier self service clerk require approval by the buying organization.

You can perform user provisioning from these procurement flows:

- Supplier registration review and approval.
- Supplier profile change request review and approval.
- Suppliers work area, Manage Suppliers task, Edit Supplier flow where supplier profiles are maintained.
- Suppliers work area, Import Suppliers task.
- Supplier Portal work area where suppliers can perform user provisioning on behalf of their company using the Manage Profile task.

In each of these flows a user with one of the appropriate job related privileges can:

- Create or request a user account.

- Assign job related privileges.
- Set data security access for supplier contacts.

Manage Supplier User Related Privileges Setup Page

The IT security manager can go to the **Setup and Maintenance** work area and use the **Manage Supplier User Roles** task in the **Procurement** offering and **Supplier Portal** functional area.

The Procurement Application Administrator can go to the **Setup and Maintenance** work area and use the **Manage Supplier User Roles Usages** task in the **Procurement** offering and **Supplier Portal** functional area.

Your buying organization uses the Manage Supplier User Roles page to perform the setup actions. These actions are performed by two different job related privileges: IT Security Manager and Procurement Application Administrator.

- **IT Security Manager:** Define the list of related privileges that can be granted to supplier users in Supplier Portal provisioning flows. Only user with the IT Security Manager related privileges can add and remove related privileges. This helps your organization avoid the risk of adding an internal application job related privileges inadvertently. It prevents suppliers from gaining unauthorized access to internal data. The supplier related privileges are added from the central Oracle LDAP related privileges repository which stores all Oracle Fusion application job related privileges. Once they add a related privileges to the table, the related privilege is immediately available for provisioning to supplier contacts by the Supplier Administrator.
- **Procurement Application Administrator:** Define the supplier related privileges usages. The Procurement Application Administrator is responsible for this setup task. They manage settings for how the supplier job related privileges are exposed in provisioning flows.

The IT Security Manager can also set supplier related privileges usages, as they can access all functions on the setup page. However, this task is typically performed by the Procurement Application Administrator. The Procurement Application Administrator can't add or remove related privileges from the table.

Your buying organization can establish default related privileges which expedite supplier user account requests. To do this, identify the minimum set of job related privileges that a supplier contact can be granted. Use default related privileges so that approvers don't have to explicitly review and assign job related privileges for each user account request.

When the related privileges default setup is done correctly, the Supplier Administrator (or approver) can review supplier contact user account requests. This allows them to:

- Review requests with job related privileges selected based on the source of the request.
- Approve user account requests with appropriate related privileges assignments.

The two related privileges usages relevant to supplier user provisioning are:

- **Default for Oracle Supplier Portal:** If selected, the related privileges is automatically added to supplier user requests in the core user provisioning flows, such as supplier profile maintenance.
- **Default for Oracle Sourcing:** If selected, the related privilege is automatically added to supplier user requests generated in sourcing flows such as Create Negotiation.

A related privileges in the table can be marked for one or more of the two usages.

Related Topics

- [Set Up Supplier Related Privileges](#)
- [Supplier User Account Request](#)

Supplier User Account Request

A prospective supplier can submit their registration request to become a supplier of the buying organization. The request is subject to review and approval by the buying organization.

Once approved, user accounts for Oracle Supplier Portal are created for those contacts on the registration request where the Request User Account check box is selected.

The registrant sees the Request User Account check box on the Create Contact or Edit Contact page. They open the page from the Register Supplier: Contacts page, User Account section, when they select either the Create or Edit action. The registrant must enter their electronic mail address, and one for any contact they want to have a user account.

An e-mail notification with the registration request outcome is sent to:

- The user who submitted the supplier registration request.
- Any contacts marked as administrative contacts on the registration.

When a user account is created, the contact's User Account section displays the user account information for the contact. The Supplier Self Service Administrator can make changes to the user account information from the Supplier Portal. The supplier user can see the account information from the Supplier Portal, but they can't make any changes.

Related Topics

- [Supplier Registration Process](#)

Supplier User Account Administration

The buying organization's supplier administrator provisions user accounts to provide supplier contacts access to the Supplier Portal work area. The administrator performs user account maintenance for a specific supplier contact in the Suppliers work area, on the Edit Supplier page, Contacts tab.

The administrator assigns a user account with roles that determine what functions the supplier contact can perform in the Supplier Portal work area.

These are Oracle Fusion Cloud Procurement flows where a supplier administrator can request and manage a user account for a supplier contact:

- **Create Supplier Contact:** When creating a supplier contact, the administrator can also request to create a user account for the contact, request roles and grant data access. A supplier user can also request for a supplier contact and user account to be created.
- **Edit Supplier Contact:** The supplier administrator can make changes to supplier contact information as well as create or maintain the user account for the contact. A supplier user can also request a user account to be created for an existing contact.
- **Import Supplier Contact:** When importing supplier contacts, the administrator can also use the User Account Action column to create or update a user account for specified contacts.
- **Approve supplier registration request:** When approving a supplier registration, an approver can create and edit supplier contacts. A user account is part of a supplier contact. The approver has the ability to create a user account and assign roles within this flow.

Note: Creating a user account for a supplier contact can't be reversed. Once a user account is created it can't be deleted, but it can be inactivated.

The Supplier Administrator is responsible for:

- Creating and inactivating supplier user accounts.
- Assigning job roles.
- Assigning data access.

Create and Inactivate Supplier User Accounts

Select the Create User Account option for a contact to send a request to the identity management system to provision the account. Status is displayed to communicate provisioning status during this process. When the process is complete, the identity management system sends notification to the supplier contact with the user name and temporary password for the Supplier Portal work area. If the process fails, a notification is sent to the Supplier Administrator that a user account wasn't successfully provisioned.

Assign Job Roles

Use the Roles subtab to control function security. This determines the business objects and task flows the supplier user can access. Supplier job roles should be assigned based on the job that the contact performs within the supplier organization. For example, Customer Service Representative or Accounts Receivable Specialist.

Assign Data Access

Use the Data Access tab to control data security. This determines which transactions the user can access for the specific business objects their job role is associated with. The two levels of data security are: Supplier and Supplier Site. By default, all supplier user accounts start with Supplier level, meaning they can access all transactions belonging to their supplier company only. For more restrictive access, the Supplier Site level limits user access to transactions for specific supplier sites only.

Related Topics

- [How Supplier User Provisioning Works](#)

Redwood Oracle Supplier Portal Home Page

On the home page, suppliers can directly navigate to the main page of each business object through the navigation cards.

They can also access other related tasks in the Additional Links section. The Suppliers News section allows you to broadcast important announcements to all suppliers, while the Notifications section provides a glimpse of unread messages with a count and one-click navigation to review all notifications.

Suppliers can access the following business objects using the navigation cards based on their function security from assigned job roles. Other business objects are planned for future updates. For the ones that are marked as Redwood, suppliers will navigate to the corresponding Redwood flows and not the classic flows (those with asterisk (*) requires feature or profile option enablement first).

- Supply Collaboration (Redwood)
- Vendor-Managed Inventory (Redwood)
- Consigned Inventory (Redwood)

- Kanban (Redwood)
- Negotiations (Redwood)
- Orders (Redwood*)
- Agreements
- Advance Shipment Notices (Redwood)
- Receipts and Returns (Redwood)
- Work Confirmations (Redwood)
- Invoices
- Payments
- Contracts (Redwood)
- Contract Deliverables
- Questionnaires and Qualifications (Redwood*)
- Company Profile (Redwood*)

Note the following points to better manage the supplier portal Redwood experience:

- The Redwood Supplier Portal URL will be: **https://<host>/fscmUI/redwood/supplier-portal/home?fscmui_app_context=redwood_supplier_portal**. Communicate the new URL with your existing Supplier Portal users.
- The home icon in the global area can still take suppliers to the classic Supplier Portal overview page. Consider adding the Redwood Supplier Portal URL on the classic overview page through page composer. Navigating to the Redwood home page using the home icon is planned for a future update.

Related Topics

- [Supplier User Account Administration](#)
- [Supplier Profile Change Requests](#)

6 Supplier Qualifications

Use the Supplier Qualification Work Area

How can I find information about my suppliers and their qualifications?

You can use the Qualified Suppliers infolet on the Supplier Qualification work area to view information about your suppliers and their qualifications.

You can choose a Procurement BU and a horizontal bar pertains to each qualification applicable to that Procurement BU for which at least one supplier qualifies. The number associated with the horizontal bar is the percentage of suppliers for that Procurement BU who have qualified for that requirement. If you select the horizontal bar, the Manage Qualifications page appears, and you can view a table with information about the qualifying suppliers.

You can also gather information regarding suppliers in the Research Suppliers page. In the Supplier Qualification work area, open the task panel drawer and click **Research Supplier**. In the Research Supplier page, you can search for the required supplier. Details regarding the supplier are displayed.

View and download supplier profile attachments from the supplier detail page when researching suppliers on negotiations or qualifications. The supplier detail page is accessed by clicking on the supplier name in Oracle Sourcing and Oracle Supplier Qualification. It shows comprehensive information about the supplier's transaction history and supplier profile details such as product and services, business classifications, and supplier contacts. All supplier profile attachments are now displayed on supplier details regardless of category. The supported attachment categories include: To Supplier, From Supplier, To Buyer, To Receiver, and Miscellaneous.

Related Topics

- [How You Use and Personalize Infolets in Oracle Fusion Cloud SCM and Procurement](#)

How You Identify Changes to Questions, Qualification Areas, or Qualification Models

If any questions, qualification areas, or qualification models are changed, a revision for that question, qualification area, or qualification model is created.

The next time you (or someone else) creates a new qualification area, qualification model, or initiative that uses the changed question, area, or model, you must uptake the change if you want to use the most recent version.

You can use the **Setup Requiring Attention** infolet on the **Supplier Qualification** work area to see which questions, areas, or models have changes. Once you expand the infolet, you see a list of questions, qualification areas, and qualification models that have outstanding changes.

- You can choose to view only changed questions, changed qualification areas, changed qualification models, or all changes.

- If a branched question contains inactive or changed subordinate questions, or a qualification area contains inactive or updated questions, or if a qualification model contains inactive or updated qualification areas, you must inactivate the parent question, area or model before you can modify the children questions or areas.

Related Topics

- [How You Use and Personalize Infolets in Oracle Fusion Cloud SCM and Procurement](#)

Create Questions, Areas, Models, Initiatives, and Surveys

How Questions Are Used

Questions are the building blocks of your supplier qualifications tools. As you create a repository of individual questions, they're stored in the Question Library. You can use questions in the Question Library later to create the initiatives you use for qualifying your suppliers.

The questions in your repository are reusable and available to other supplier qualification managers. Additionally, category managers can open and use questions in the Question Library as requirements in Oracle Sourcing negotiations. By using predefined questions, you can quickly build your initiatives without having to redefine commonly used questions.

How You Create Questions

When you create your question, you must specify the question text, how the question is used, and the type of response that's expected.

The table shows the attributes for a question and explains each one.

Question Attribute	Explanation
Question	The name you use when searching for this question to add to an initiative.
Status	Statuses include • Draft - the question is still being developed. • Active - the question is available for use. • Inactive - the question can't be used. • Archived - there's a newer version of the question.
Revision	The current version of this question. The question version is maintained automatically by the application.
Owner	The person responsible or point of contact for the question.
Question Level	The level at which the question applies: supplier or supplier site

Question Attribute	Explanation
Critical question	Checked if this is a critical question
Responder type	Whether the expected responder is a supplier or an internal employee, supplier questions are used to build the questionnaire sent to the supplier. Internal questions are used to build the questionnaire sent to the internal responder. If supplier is selected and mapped to supplier attribute, then the question is mapped to an attribute in the supplier's profile. If you select Automatic, responses to the mapped questions are automatically retrieved from the supplier profile and the questions are excluded from the questionnaire. You can map questions with Automatic responder type to descriptive flexfields.
Internal Survey	The question is used in a survey to aggregate feedback on suppliers from multiple internal responders.
Response Required	Selected if a response to the question is required.
Mapped to supplier attribute	When suppliers register with the application, they provide information that's stored in a profile for that supplier. You can map your question to an attribute of the supplier profile. This lets the information the supplier provides in the response to be added to the supplier profile. If the question level is supplier site, then you link to site level attributes. Also, depending on which attribute you map to, the default values for the Question Type field and Response Type field can't be changed.
Supplier Profile Attribute	If a question is mapped to a supplier attribute, then the supplier profile attribute is used to specify which supplier attribute the question is mapped to. It can be a regular supplier attribute (Supplier Type, Year Incorporated, Business Classification, and so on.) or descriptive flexfield.
Question Type	The type of response for this question: • A simple text string • A single selection from a defined list of allowable values • Multiple selections from a defined list of allowable values
Response Type (for Question Type = text)	The format for the response: • Single line of text • Multiple lines of text • Number • Date • Date and Time • URL

Question Attribute	Explanation
Accepts comments from the responder	Select to allow the responder to enter comments with their response to this question.
Response Attachments (for Question Type = text)	Whether the responder can include attachments in the response.
Preferred Response (for Question Type = text)	Your preferred response to the question and whether it should be visible to the supplier.
Scoring	After the supplier has completed responding to an initiative, and you accept the response, you can view the supplier's responses to the initiative questions and assign the response a numeric value based on how desirable that response value is. This is called scoring the response. There are three types of scoring methods you can choose: • None - the question responses can't be scored. • Manual - when evaluating the question response, you must score the responses manually. • Automatic - you can define scoring criteria and have the application perform the scoring automatically. You can have both scored and non-scored questions in a qualification area, but if you've scoring enabled for a qualification area, you must have at least one scored question in that qualification area. You can add scores with two decimals of precision for each question response.
Attachments	Click to add attachments to the question. If you use Setup Migrator to migrate Supplier Qualification objects to a new environment, attachments aren't carried over.
Question Text	The text of the question. The text the supplier sees on the questionnaire. You can use rich text formatting as needed.
Edit	Options available are: • Edit Current Revision - Update question text and response text, along with their corresponding translations. Modify Attributes that includes attributes such as critical question, allow response comments, question attachments, hint, or preferred response. Recommend training on when and how to update the question text and acceptable response text. All the in-progress questionnaires will be affected and responders will immediately see the latest changes. • Create New Revision - If the changes you're making to the question text are significant, like updating the year in the question text, you may want to create a new revision. Except for question text and acceptable response text, all other attributes that previously required a new revision for modifications must still be modified in a new revision. These attributes include question type, scoring, response required, adding or deleting an acceptable response, response attachments, or editing branching questions.

Acceptable Response Values

You can create a question that restricts the supplier to values from a list of acceptable values. When you create the question, you also specify the values you accept for the question. You can specify a preferred value and optionally display the preferred value to the responder. Once you mark a question as critical, you've the option to mark a response as critical in the acceptable responses table.

When the supplier answers the question, she must choose a value from the list you provide. You can let the supplier choose only a single value or multiple values from the list. You use a supplier profile attribute that has a set of possible

values defined in the supplier profile. Then, those values become the allowable response values for your question. You can't change these values. For each response, you can also indicate whether the supplier can include attachments in the response.

Supplier Profile Attributes in Questions

The Supplier Profile is a standardized collection of attributes that's used by the application to define a supplier. Some examples include information such as corporate or tax information about the supplier. You can reference these attributes as question fields. When a supplier provides information for the field, and the qualification manager accepts the response, the value is used to update the supplier's profile.

Categories of business classifications are also used to describe the supplier, and a hierarchy of products and services that identify a supplier's products or services. Depending on which attribute you map to, values for Question Type and Response Type default can't be changed. If there are multiple possible values defined for the attribute in the supplier profile, those values include the acceptable values for the question. You can't add or delete values to this list.

For example, one of the supplier profile attributes is Payment Terms, and there may be several different types of payment terms available. If you use Payment Terms in a question, your responder must select an answer from the list of values.

How You Map Questions to Supplier Descriptive Flexfields

You can map questions to descriptive flexfields from a supplier profile; Descriptive flexfield attributes are used to store additional information about the supplier, which is useful for business. You can use this additional information during the supplier qualification process.

You can use supplier descriptive flexfield values in the supplier qualification process by mapping a qualification question to a descriptive flexfield attribute on the supplier profile. You can populate supplier descriptive flexfield's multiple choice single selection attribute for question mapping where both text type and multiple choice with single selection descriptive flexfields are supported.

When questionnaires are sent to suppliers and internal responders, questions configured with responder type as automatic are excluded from these questionnaires. You can use this extended supplier information in the qualification activity that may not originate directly from a supplier or internal responder.

For supplier responder type, information is gathered from suppliers using a questionnaire and for automatic responder type, responses are gathered from supplier profile automatically. Qualification managers can view all the question responses (this includes responses for automatic responder type questions too), during qualification evaluation process and award a qualification outcome for the respective supplier.

For the supplier responder type where the question is mapped to an attribute from the supplier profile, if the supplier responds with an updated value then after approval, this new value is updated in the supplier profile attribute and in the response repository. You can score supplier descriptive flexfield's multiple choice single selection attribute values.

For the supplier registration process, if the supplier registration form and questionnaire share similar descriptive flexfields (that's, the descriptive flexfields are mapped to the questions), then the values in these descriptive flexfields are synchronized with the questionnaire responses.

Question Branching

In addition to providing the supplier with a choice of allowable values for a single question, you can also use the supplier's response to an initial question to determine if more questions should be asked. This is called question branching. In essence, if you select a particular value for a question, you might be prompted to answer another question. You can do question branching for acceptable responses of supplier descriptive flexfield's multiple choice single selection based questions.

How You Modify Questions

Modifying certain fields such as question text, acceptable responses, question type creates a revision of that question. Other fields, such as attachments that doesn't create a new revision of the question). If you modify an existing question, the application assigns a new version number. Any existing responses continue to be associated with the previous version. To synchronize your qualifications and assessments with the new initiative version, you must create a new initiative and include the new revision of the question using a revised qualification area.

Questions in Sourcing Negotiations

Category Managers use the Negotiations work area to conduct negotiations with suppliers to determine the best provider for goods and services. Such negotiations include information about the negotiated items, but may also solicit company, licensing, performance history and other information from the suppliers participating in the negotiation. Category Managers identify such information by adding questions (called requirements) to the negotiations they then conduct with suppliers. Because this can be the same information you can obtain by using Supplier Qualification questions, Category Managers can use questions from the question library as requirements.

How You Include Multiple Languages on Questionnaires

If you work with regional or global suppliers who operate in different languages, you might wish to present qualification questionnaires in the supplier's preferred language. Using question translations with the language you've vetted avoids ambiguity and ensures that the supplier understands your intent. With this enhancement, you can now store translations for the question text and acceptable responses as part of a question's definition.

When you generate the questionnaire, appropriate text from the questions is displayed according to the supplier's preferred language. You can also use language translations for internal responders if you send internal questionnaires to those who use different languages. Because the translations are tied to the same underlying question, you can easily aggregate qualification data across languages for reports and analysis.

With this enhancement, you can translate these in the questionnaire:

- Question details in question setup
- Section names in qualification area setup
- Questionnaire title, introduction, section name, and instructions in the initiative
- Introduction text in rule set for automatically created initiatives

Consider these when you include multiple languages on questionnaires:

- When users access pages with translated attributes, the text is displayed in their preferred language. If users update text for the language that's the same as the source language, the changes will get propagated to other languages if they have the same source language. If no other languages have the same source language, the changes are only made to that language.
- When changing any of the attributes that support multiple languages, it's essential to open the Edit Translations dialog box to ensure content consistency across all installed language packs.
- Closing the Edit Translations dialog box by clicking on the **OK** button doesn't automatically save the changes. It's recommended to explicitly save your changes by clicking the **Save** button on the object for which you're defining translations.
- It's highly recommended to use the Edit Current Revision option to enter translations in questions instead of Create New Revision because translations don't change the meaning of the question.
- There's no change on text responses from questionnaire responders. Responders don't enter translations and evaluators will see the exact text as entered by the responders.

- If you maintain a separate set of questions for different languages today and would like to migrate, you can use Supplier Qualification Questions REST or Visual Builder Add-in for Excel to enter translations for questions. Each REST request is for one language that's based on the authenticated user's preferred language.
- When you search for a question on the Manage Questions page, if you enter a search criterion in Question Text, you're searching the content in your preferred language.

Related Topics

- [Examples of Question Branching](#)
- [How to Use Question Branching](#)

Create a Question

You create and save questions to use later in initiatives. By creating the questions separately, you can build a repository of frequently used questions for reuse. Therefore, you don't have to recreate the questions every time you want to create a new initiative.

In this scenario, Clare Furey, the supplier qualification manager, is creating questions for later use in an initiative.

Creating a Simple Text Question

1. Clare begins by navigating to the Manage Questions page.
2. She clicks the **Add** icon.
3. She enters her question on the Create Question page, as displayed in the following table. (If no information is specified, she accepts the defaults.)

Attribute	Value
Question name	Annual Revenue
Owner	She checks the default Clare Furey
Question Level	Supplier
Responder Type	Supplier
Question Type	Text entry box
Question Text	Enter your expected revenue for the current fiscal year.

4. After Clare enters all the information in the preceding table, she is finished defining the question. She clicks **Activate** and then **Save and Close**. She returns to the Manage Questions page.

Creating a Question with a List of Acceptable Responses

1. She clicks the **Add** icon.
2. She enters her question on the Create Question page, as displayed in the table. (If no information is specified, she accepts the defaults.)

Attribute	Value
Question name	Corporate Functional Currency
Owner	She checks the default is Clare Furey
Question Level	Supplier site
Responder Type	Supplier
Mapped to supplier attribute	Clare checks the check box.
The Supplier Profile Attribute field displays.	Clare clicks the search icon.
The Search and Select: Supplier Profile Attribute dialog box displays.	She chooses Corporate Profile from the Category menu and clicks Search.
The attributes for the Corporate Profile category appear.	She highlights the Preferred Functional Currency attribute and clicks OK.
Question Text	Select your preferred currency.

3. She enters all the information in the preceding table and finishes defining the question. She clicks **Activate** and then **Save and Close**. She returns to the Manage Questions page.

Creating a Question with Question Branching.

1. She clicks the **Add** icon.
2. She enters her question on the Create Question page. (If no information is specified, she accepts the defaults.)

Attribute	Value
Question name	Company Age
Question Level	Supplier

Attribute	Value
Responder Type	Supplier
Question Type	Multiple choice with single selection
Question Text	Enter your company's age.

- This question's final answer varies depending on whether the company is less than one year old. If the company is older than one year, the resulting question prompts for an age value. If the company is not yet a year old, the resulting question prompts for a list of key investors. To define this question branching, Clare must define the test question first, so she clicks the **Add** icon for Acceptable Values. She must add an entry for each of the possible values.
- For the first allowable value, she enters - Less than one year. She then clicks the icon to edit the question branching.
- On the Edit Question Branching dialog box, she clicks the **Search and Add** icon.
- Searches for a question called Identify Investors. This question has been previously defined and is regularly used in many initiatives. When she sees the question in the search results, she highlights the question in the table and clicks **Apply**. Then she clicks **OK** to close the Search and Add dialog box. She clicks **OK** again to close the Edit Question Branching dialog box.
- Now that the first test condition has been taken care of, Clare defines the remaining condition.
- She adds another allowable value called - More than a year old. She edits the question branching for this value and identifies an existing question called More Than One Year. This question is a simple text box that prompts the supplier to enter a number.
- Now that she has finished defining the parent question, she clicks **Activate** and then **Save and Close**.
- She has completed defining her questions at this point, so she leaves the Manage Question page.

Creating a Scored Question

- She clicks the Add icon.
- She enters her information on the Create Question page. (If no information is specified, she accepts the defaults.)

Attribute	Value
Question	Number of employees?
Owner	She checks the default, Clare Furey
Question Level	Supplier
Responder Type	Supplier
Question Type	Multiple choice with single selection

Attribute	Value
Question Text	How many employees do you have?
Scoring	Automatic

3. In the Acceptable Responses, Clair must specify the acceptable responses, so she clicks the plus sign. She enters the values:

Number of Employees	Score
1 to 100	20
101 to 500	30
More than 500	50

4. After specifying the response values and their scores, she is done defining the question, so she clicks Save and then Activate.

Translate Question Details

You have the option to define translations for the question, hint, and preferred response text. When you edit a question, click on the globe icon in the top right corner to access the Edit Translations dialog. Source language indicates the language that's used to create the record. When a question is created and no translations are defined, the source language will be the same for all installed language packs. Any updates that are made in the same language as the source language will automatically propagate to other language packs with the same source language.

To define translations for the question text, simply click on the icon located in the **Question Text** column. This action will open the second dialog for the translation settings.

After the translation is entered, the source language is updated to the translated language, indicating it's been translated. It's important to note that if you make further question updates after translations are defined, these changes won't automatically update the translated rows. Translations need to be kept manually updated to be kept in sync.

Additionally, for multiple-choice questions, you have the option to define translations for the acceptable responses. Simply select an acceptable response and click on the globe icon on the table toolbar. Then you can define translations in the Edit Translations dialog one by one for each acceptable response.

How to Use Question Branching

Question branching is a tool you can use to expand your qualification possibilities when soliciting information from responders. Branching lets you selectively pose additional questions depending on a supplier's answer to a prior question.

For example, your initial question could ask a supplier to identify any industry trade organizations to which the supplier belongs. Then depending on which organization the supplier chooses, you might follow up with additional questions.

When creating a branching question, you create the lower-level questions first. Once your lower-level questions are created, you can then create your initial question. As you're creating your initial question and its allowable answers, you can use the follow-up question you defined previously.

For example, using the preceding scenario, you'd define questions in the following order

1. First you'd create your follow-up questions. You could define these in any order.
 - a. "Have you received any awards from this organization? If so attach documentation."
 - b. "How long have you been a member of this organization?"
 - c. "Has a representative of your company been on the governing board of this organization within the last five years?"
2. Once you've defined your follow-up questions, you can define your primary question, for example: "To which of the following organizations does your company belong?"
3. As you specify the list of allowable answers to your primary question (in this case, the names of organizations), for the appropriate organizations, you'd link the follow-up questions to that answer.

Note that:

- A single answer might branch to one or more questions.
- Questions exist independently of the initiatives in which they're used. A question can be a primary question in one initiative but a follow-up question in a different initiative.

Examples of Question Branching

These two scenarios show how to use question branching in simple questions. In each example, the supplier qualification manager creates a primary question and one or more follow-up questions. These questions are displayed depending on the answer to the primary question.

Scenario

Tim Jones is creating a question for use in later qualification initiatives. This question asks the supplier to identify whether the company is public or private. It accepts a single answer. If the answer to the question is "public," the supplier must answer an additional question. This question asks the supplier to specify the date the company went public. If the answer to the question is "private," the supplier does not supply any additional information.

Scenario

Carmen SantAngelo is creating a question to use when soliciting certification information for suppliers. The primary question includes a list of several possible certifications for the type of supplier. The supplier chooses all the certifications from the list that apply to the supplier company. Depending on which certification the supplier chooses, an additional question is displayed which prompts the supplier for the latest certification date.

Related Topics

- [How to Use Question Branching](#)

Products and Services and Business Classifications in Questions

The Supplier Profile is a standardized collection of attributes that's used by the application to define a supplier. Some example attributes include information such as corporate, tax information, addresses values, and site usages about the supplier. You can reference these attributes as question fields.

When a supplier provides information for the field, and the qualification manager accepts the response, the value is used to update the supplier's profile.

Depending on which supplier attribute you map to, values for Question Type and Response Type are defaulted and can't be changed. If there are multiple possible values defined for the attribute in the supplier profile, those values comprise the acceptable values for the question. You can delete values from the list, but you can't add values. Any changes you make only affect the values used in the question, not in the underlying values in the supplier profile.

There are also attributes that are categories of values such as business classifications used to describe the supplier, and a hierarchy of products and services used to identify a supplier's products or services offerings. These attributes are frequently used in qualification questions. Questions using Products and Services attributes are typically used as branch questions. Questions using Business Classification attributes can't have any branch questions.

Use Products and Services and Business Classifications in Questions

Large and Associates is opening several new offices to handle customers in its western region. Lydia Fernandez, the supplier qualification manager, is creating a new initiative to qualify suppliers for future office furniture purchases.

Among other questions, she creates one question using the Products and Services hierarchy. She also creates a second question using the Small Business attribute of the Business Classifications category.

Using Products and Services in a Question

1. Lydia begins creating her question by entering the question name. She accepts the defaults for the rest of the header attributes.
2. She selects Mapped to supplier attribute. The Supplier Profile Attribute search field is displayed, and Lydia clicks the search icon.
3. When the Search and Select dialog box appears, Lydia opens the Categories menu. She selects the entry for Products and Services, and clicks Search. When the dialog box refreshes, she highlights the entry in the search results area for Products and Services and clicks **OK**.
4. When the Create Question page displays, Products and Services is identified as the profile attribute. The supplier products and services hierarchy is displayed in the allowable values section.
5. Since the question is concerned with office furniture, Lydia highlights the category for Technology and the category for Telecommunications. She deletes them since they are not applicable to the question. She sets the remaining values to optionally accept attachments.
6. She selects a value called Modular Furniture, marks it as the preferred response, and chooses to display the preferred response to suppliers.
7. The products and services display itself accepts no input from a supplier. It only provides a structure to which the qualification manager can add follow up questions. For each of the products and services shown, Lydia defines one or more branching questions to which the supplier responds.

8. At this point, Lydia is finished with this question, so she clicks **Activate** and **Save and Close**.

Using Business Classifications in a Question

1. Lydia begins creating her question by entering the name. She accepts the defaults for the rest of the header attributes.
2. She selects Mapped to supplier attribute. The Supplier Profile Attribute search field is displayed, and Lydia clicks the search icon.
3. When the Search and Select dialog box appears, Lydia opens the Categories menu, selects the entry for Business Classifications, and clicks Search. When the dialog box refreshes, she highlights the entry for Small Business in the search results area for Business Classifications and clicks **OK**.
4. When the Create Question page is refreshed, Small Business is identified as the profile attribute. The certifying agencies associated with Small Business classification are displayed in the acceptable responses section.
5. Since the question is concerns a new office in the western region, Lydia highlights any certifications that are not in effect for Washington, Oregon, or California and deletes them.
6. Since business qualifications cannot have branching questions, at this point, Lydia is finished with this question, so she clicks **Activate** and **Save and Close**.

Qualification Areas

Qualification areas are containers for your questions. You use a qualification area and its questions to evaluate a particular aspect of a supplier.

You add one or more qualification areas to an initiative and use the questions in the qualification areas to create a questionnaire. You then send the questionnaire to the supplier and any internal responders for a response. Once all the responders have submitted replies, you and any other evaluators review the answers. If all evaluators approve the responses, a qualification for the supplier is created for that qualification area.

If you try to use a qualification area whose questions have been updated, the questions are displayed with an alert icon. You can revise the qualification area definition by using the **Uptake Latest Revision**. If you don't update the qualification area definition, it uses the previous version of the question.

The table shows the attributes for a qualification area and explanations for each.

Name	Explanation
Qualification Area	The name of the qualification area you're creating. This name is used as the name of the qualification.
Revision	The number of the current version of this qualification area definition. As changes are made to the qualification area definition, the Revision number is incremented.
Description	Optional description
Owner	The owner of the qualification area definition.
Internal survey	Survey qualification area to aggregate feedback on suppliers from multiple internal responders.
Information only	Select this check box if you don't want this qualification area to affect any outcomes.

Name	Explanation
Expiration Period	Sets a future point in time before the qualification expires. The value you set here's the default that's used for any qualification created using this qualification area. The owner of the qualification can override the value.
Attachments	You can browse to existing files and add as attachments on the qualification area. You can browse to and attach files, enter free form text, or enter a URL in the format https://some.name.com
Status	Qualification area definitions can be in one of four statuses: • Draft - the initial definition hasn't been activated for use. • Active - the definition is available for use in initiatives and qualification models. • Inactive - the definition is disabled and can't be used. It can be reactivated for use when necessary. • Archived - this definition has been superseded by a more recent revision.
Qualification Area Level	Whether qualifications generated using this model apply only at the supplier site level or at both the supplier and the supplier site level.
Owning Procurement BU	The procurement business unit that owns this definition.
Default Qualification Owner	Select a user to set as the default qualification owner for all the accessing procurement BUs when this qualification area is included in a qualification initiative. When a default qualification owner is assigned, then all the procurement BUs that have access to this area will have this user as the default qualification owner unless specified otherwise in the Business Unit Access or Business Unit Defaults table.
Global BU access	These values control who can use this qualification area. The default is the procurement business unit of the creator. If you check Global, the qualification area can be used by all procurement business units in the application. Otherwise, you choose the procurement business unit which can use this qualification area. You can insert multiple rows as access procurement BUs.
Business Unit Access	You can assign a default qualification owner for various business units. When the area isn't global BU access, you can also add the procurement business units which can use this qualification area.
Business Unit Defaults	When you chose Global BU access , you provide access to this qualification area for various business units and assign a default qualification owner to manage the evaluation.
Share Qualification with Supplier	You can expose qualification evaluation decisions to suppliers by selecting the Summary option for the Share Qualification with Supplier attribute. By selecting this option, you can control the level of information that's shared with the supplier. • Summary - the qualification outcome, the start date and end date. • Supplier response - the supplier response to the area questions. • Internal response - the internal responder's response to the area questions. • Note - you can communicate any additional information to the supplier.
Qualification Duration (only if automatically evaluating qualifications)	If you choose to have qualifications automatically evaluated, this is value is used to derive the qualification end date. The application uses the date the evaluation is performed for the qualification

Name	Explanation
	start date. The qualification duration is added to the qualification start date to derive the qualification end date.
Automatically populate responses	If there are existing responses from a supplier's previous response to questions in this qualification area, you can choose to have the application use the existing responses when it generates a new questionnaire. This sets the default for any initiatives that use this qualification area, although a qualification manager can override the setting when defining the initiative. Automatically populating the questionnaire with previous responses relieves the supplier of always answering all the questions. Or, you might want to force the supplier to answer all the questions every time (for example, you're using the questionnaire as a poll, so you want updated responses every time).
Automatically populate questionnaire responses from the same responder	For survey qualification areas, if there are existing responses from the internal responder's previous response to questions in this qualification area, you can choose to have the application use the existing responses when it generates a new questionnaire. This sets the default for any initiatives that use this qualification area, although a qualification manager can override the setting when defining the initiative. Automatically populating the questionnaire with previous responses relieves the internal responder of always answering all the questions. Or, you might want to force the internal responder to answer all the questions every time (for example, you're using the questionnaire as a poll, so you want updated responses every time).
Automatically accept responses	If you choose, you can automatically accept responses to questionnaires. This allows the responses to enter the application without needing an evaluator to manually view and accept them first. If you enable automatic response acceptance here, this sets the default for any initiatives that use this qualification area, although a qualification manager can override the setting when defining the initiative.
Enable scoring	If you enable scoring for this qualification area, it must contain at least one question with scoring defined. You must also set a weight for the question. The weight reflects the importance of that question among the other scored questions in this area. Weights are required for scored questions and the weight values must add up to 100. You can also set a knockout score, which all response scores must meet or surpass if they're to be used in further processing. Setting knockout scores is optional. Also, you define the area outcomes in terms of total scores. An area's total score is the sum of the scores of all the questions in the area. Typically, for each outcome, you specify a beginning and ending score range.
Automatic initiative with single qualification	Select to automatically create an initiative with a single qualification where subject matter experts as initiative owners can review and accept responses independently for complex qualifications with quicker turn around for responses. Qualification owner can then evaluate each qualification quickly, without waiting for other qualification responses when multiple qualifications are present in the initiative.
Automatically evaluate qualification (only if scoring is enabled)	You can also choose to have qualifications automatically evaluated.

Name	Explanation
Automatic Requalification on qualification expiration	Select to automatically requalify a supplier for certain qualification areas when the current qualification has expired or is within the expiration reminder period so that the supplier always has an active qualification. If you enable automatic requalification on qualification expiration here, all the qualifications created based on this qualification area will have automatic requalification on expiration enabled by default.
Automatic Requalification on new response	Select to automatically requalify a supplier for certain qualification areas when a new response is available so that the active qualification is always based on the latest information.
Information only	An information-only area doesn't have any outcome.
Add icon (Question section)	Using the add icon opens up a dialog window where you can choose questions and add them to your qualification area.
Questions and Outcomes icon	Use the Questions and Outcomes icon to display the Create Qualification Area: Questions and Outcomes page where you can choose the qualification questions and add them to your qualification area. You also specify the possible question outcomes.
Question/Question text (Search and Add dialog box)	Enter the name of a question or the beginning text of a question you want to find. You choose the appropriate questions from the search results. When you're returned to the Create Qualification Area, the questions you chose are displayed.
AI Assist	Click to use generative AI to create questions.
Weight	You can set different weights for the questions in this qualification area. The weight for a question indicates the importance of that question relative to the other questions in the area. The higher the weight, the more important the question. The sum of the weights for all scored questions in this area must equal 100.
Knockout score	You can set a minimum score that all supplier responses must meet or surpass in order to be considered an acceptable response to this question. If any of the required question responses fail to pass the knockout score, the application assigns the qualification an unacceptable outcome.
Add icon (Qualification Outcomes section)	Use the icon to define a possible evaluation outcome for this area.
Set as Knockout (only if scoring is enabled)	When defining an area outcome, clicking this button identifies this outcome and the one to use for any responses that don't meet or surpass the knockout score.
Outcome	The name of a possible qualification outcome. For example, you might define three possible outcomes, Best, Acceptable, and Unacceptable. You assign one of these outcomes later when you're evaluating a supplier's response, or if you're using automatic evaluation, the application assigns the outcome based on the sum of scores for all the questions. If you've scored questions in this area, then you define the possible outcomes in terms of total score values (the sum of all the scores of all the questions) using the From Score and To Score fields. You must define one outcome to use when at least one of the required question responses doesn't pass the knock out score.
From Score/To Score (only if scoring is enabled)	If scoring is enabled this qualification area, for each possible outcome, you must identify a From Score and a To Score. When the responses to scored questions are evaluated, their scores are added

Name	Explanation
	together to give a total score. This total score value you use here. Effectively, this assigns responses with different total scores to different area outcomes.
Notify (Only if automatic evaluation is enabled)	For each outcome you define, you can optionally choose to send a notification to the owner of the qualification area a notification whenever a response was automatically evaluated and assigned to this outcome.

The process for creating a qualification area includes these steps.

1. Define the qualification area header values, such as name, business unit access, and expiration notification values. If you intend to use this qualification area with scored questions, decide whether you want to process this area automatically (automatic acceptance and automatic evaluation), and set the attributes appropriately.

If you intend to share qualification decisions with your suppliers, set the sharing attributes as needed.

2. Click the Questions and Outcomes icon to display the **Create Qualification Area: Questions and Outcomes** page.
3. Search for and add all the questions that are appropriate for the aspect of the supplier that you want to qualify.

You can add active and draft questions. You can create and add new questions in draft status or select and add draft questions from your library. You can activate all the draft questions at the same time as you activate the qualification area to streamline the setup process.

If a draft and active revision of the same question exists, then only one of them is added to the qualification area.

If you add a question that uses scoring, enter a weight for that question (the sum of all the question weights must equal 100).

4. Define all the possible outcomes to use later when you're evaluating a supplier's response. If you add a question that uses scoring, enter a weight for that question (the sum of all the question weights must equal 100).
5. Define any additional classification values as appropriate.
6. Once you've completed defining the qualification area, use Activate to make the qualification area available for use.

If any changes are made to the questions contained in a qualification area, you can synchronize the latest question version with the qualification area by choosing Uptake Latest Revision. Existing qualification areas remain linked to the version of the question used when the area was created.

If you're planning changes to a qualification area, and you want to see which qualification models use the area, you can view the area definition and then choose the View Qualification Area Usage.

Using Qualification Areas in Oracle Sourcing

Category Managers use Oracle Sourcing to conduct negotiations with suppliers to determine the best provider for goods and services. Negotiations include details on the negotiated items, but might also solicit a company, licensing, performance history and other information from the suppliers participating in the negotiation. Category Managers identify such information by adding questions (called requirements) to the negotiations they then conduct with suppliers. Because this can be the same information you can obtain by using qualification areas in initiatives, Oracle Supplier Qualification lets category managers copy existing qualification areas as requirement sections in their negotiations. Any qualification areas used in the negotiations must also be defined for the same procurement BU or defined as global.

Translate Section Name in Qualification Area

After you've established translations for the questions, you can proceed to define translations for the section name within the qualification area. Section name is a new attribute introduced with this feature. This value set in the qualification area will be defaulted as the section name in the questionnaire, including its corresponding translations.

Create Qualification Questions with Generative AI

Launching or expanding qualification programs to cover new areas often involves significant effort, from researching to determining questionnaire requirements. Generative AI can dramatically shorten the time needed to initiate new supplier qualifications, streamlining the creation process. For example, you can use Generative AI to suggest questions on topics such as sustainability, governance, financial viability, and various supplier risks.

Enter a name and description for a qualification area and click on the AI Assist button on the Questions and Outcomes tab to view the AI suggested questions for the qualification area.

The AI engine will return up to ten suggested questions for the qualification area.

First, you want to review the question text and see if it suits your needs and then delete the ones that aren't needed. After that, review the details of each question and make any necessary edits before adding to the qualification area. Optionally, you can change the description and click on the AI Assist button to regenerate questions.

In addition to generating the question text, the AI engine also suggests and populates other attributes, such as the question name, responder type, question type, and a scoring model. It further provides recommended acceptable responses and, when applicable, assigns a recommended score for each acceptable response.

The selected questions are added to the qualification area, where you can make further changes before activating the qualification area for use in supplier qualification initiatives. The questions are added in the draft status. Data created through generative AI using OTBI is viewable.

This feature has these limitations:

- AI-generated questions are always created in English (additional language support planned for future release).
- This feature is currently available only for qualification areas in draft status and doesn't support survey type qualification areas.
- The questions generated by AI may contain inaccuracies and should be reviewed prior to activation.

Related Topics

- [How You Automatically Requalify Qualifications](#)
- [How Qualifications Are Evaluated](#)
- [Create Default information Rule Sets](#)
- [Create a Qualification Area](#)

How You Use Questionnaires in Internal Supplier Registration

You can present questionnaires to internal users when submitting a supplier request in the Redwood next generation supplier registration flow.

Using questionnaires during registration allows you to gather and record detailed information to inform approval decisions and improve future sourcing. You can tailor the questions for specific types of suppliers and the goods and services they provide.

Only internal questions are displayed on the questionnaire. When the registration is submitted, the questionnaire will be validated to ensure responses to all required questions and required attachments have been provided. If there are required questions on the qualification area intended for the supplier, a supplier questionnaire will be sent to collect the response after the registration is approved.

Consider these when you use questionnaires in internal supplier registration:

- As configured on the rule set, an internal questionnaire could be sent out after the supplier registration approval or the supplier promotion. This internal questionnaire will be sent to the internal responder identified on the rule set, not the requester submitting the registration request.

How You Use Qualification Models

Qualification models are containers for qualification areas. You use a qualification model and its qualification areas to perform a comprehensive evaluation of a supplier known as an assessment.

When creating an assessment initiative, you specify a single qualification model containing one or more qualification areas. The questions contained in the model's qualification areas are used to create the questionnaire that's sent to your suppliers and any internal responders. The application creates draft qualifications and assessments when you launch the initiative.

If you try to use a qualification model whose qualification areas have been updated, an alert icon displays. You're prompted to revise the qualification model definition, by using **Uptake Latest Revision**. If you don't update the qualification model definition, it uses the previous version of the qualification area definition.

Once all the responders have submitted replies, you review each of the responses and either accept it or return it back to responders. The responders can update their responses and resubmit. Once you view and accept a supplier's responses as well as any internal responses associated with the supplier, all qualifications for that supplier are in Ready for Evaluation. During the evaluation step, the designated reviewers view the supplier responses and assign an outcome value. (You define the possible outcome values that are available when you define the qualification model.) When all qualifications are evaluated and finalized, corresponding assessment becomes active.

The table displays qualification model attributes and explains the attribute values.

Name	Explanation
Question Model	The name of the qualification model you're creating. This name is used as the name of the assessment.
Revision	The number of the current version of this qualification model definition. As changes are made to the qualification model definition, the Revision number is incremented.
Owner	The owner of the qualification model definition.
Owning Procurement BU	The procurement business that owns this definition

Name	Explanation
Default Assessment Owner	Select a user to set as the default assessment owner for all the accessing procurement BUs when this qualification model is included in an assessment. When a default assessment owner is assigned, then all the procurement BUs that have access to this model will have this user as the default assessment owner unless specified otherwise in the Business Unit Access or Business Unit Defaults table.
Business Unit Access	You can assign a default assessment owner for various business units. When the area isn't global BU access, you can also add the procurement business units which can use this qualification model.
Status	Qualification model definitions can be in one of four statuses: • Draft - the initial definition hasn't yet been activated for use. • Active - the definition is available for use in initiatives. • Inactive - the definition is disabled and can't be used. It can be reactivated for use when necessary. • Archived - this definition has been superseded by a more recent revision.
Global BU access	These values control who can use this qualification model. The default is for the model to be available to the procurement business unit of the creator. If you check Global, the qualification model can be used by all procurement business units in the application. Otherwise, you choose the procurement business unit which can use this qualification model. You can insert multiple rows as access procurement BUs.
Business Unit Defaults	When you chose Global BU access, you provide access to this qualification model for various business units and assign a default assessment owner to manage the evaluation.
Share Assessment with Supplier	You can expose assessment evaluation decisions to suppliers if you select the Summary option for the Share Assessment with Supplier attribute. If you select this option, any assessment created using the areas in this model can be communicated to a supplier when you finalize the assessments. You can choose to share: • Summary (outcome, start date, and end date) • Qualifications (qualification information included in the assessment) • Note to supplier - You can also add a note that the supplier can see when viewing the assessment.
Qualification Model Level	Whether assessments generated using this model apply only at the supplier site level or at both the supplier and the supplier site level.
Enable scoring	If you enable scoring for this qualification model, it must contain at least one qualification area with scoring defined, and the qualification area must contain at least one question with scoring defined. Also, you define the model outcomes in terms of total scores. A model's total score is the sum of the scores of all the areas in the model. Typically, for each outcome, you specify a beginning and ending score range.
Automatically evaluate assessment (only available if scoring is enabled)	You can also choose to have assessments automatically evaluated. The application uses the scoring information defined for the model's outcomes to evaluate the assessment.
Automatic reassessment on new qualification	You can choose to use the requalification results to automatically reassess the supplier. You can keep your assessment outcome as current without manual intervention.

Name	Explanation
Supplier Eligibility	You can use this qualification model for evaluating and assessing supplier eligibility. Includes options Sourcing and Share eligibility.
Sourcing	You can choose to use this model to assess or evaluate supplier's eligibility for negotiations in the Sourcing work area at a particular procurement BU.
Share eligibility	You can choose to share the supplier eligibility resulting from the assessment outcome with other Procurement BUs by also updating the supplier's default sourcing eligibility.
Expiration Reminder	Sets a future point in time before the qualification expires when the application starts sending alerts to the qualification manager. The value you set is the default that's used for any assessment created using this qualification model. The owner of the assessment can override the value.
Owner	The owner of the qualification model definition
Areas and Outcomes icon	Use the Areas and Outcomes icon, to display the Create Qualification Model: Areas and Outcomes page where you can choose the qualification areas and add them to your qualification model.
Add icon (Qualification Area section)	Use the add icon to open a window where you can choose the qualification areas and add them to your qualification model.
Procurement BU/Qualification Area (Search and Add dialog box)	Enter the name of a qualification model for which you want to search. You choose the appropriate questions from the search results. When you're returned to the Create Qualification Model, the qualification areas you chose are displayed. Note that you can update the question branching for questions in this area if necessary.
Display Sequence and Outcome	You can define possible outcomes for your qualification model. Then when evaluators are viewing a supplier's response, they can assign the response a particular outcome.
From Score/To Score (only available if Enable scoring is selected)	For each outcome, you specify the range of values that include that outcome. Also, you identify one outcome to be used as the knockout outcome.
Knockout Outcome	Indicates which outcome is the knockout outcome.
Notify (only available if Automatically Evaluate Assessment is selected)	If you choose to have assessment automatically evaluated, for each outcome, you can choose to have the application send a notification to the assessment owner whenever an assessment that evaluates to that outcome is received.

The process for creating a qualification model includes these steps.

- Use the **Create Qualification Model** page to define the qualification model header values, such as name, business unit access, and expiration reminder values
- Click the Areas and Outcomes icon to display the **Create Qualification Model: Areas and Outcomes** page.
- Search for and add the qualification areas that are appropriate for the supplier that you want to qualify.
- Specify any additional classification values appropriate for this qualification model.

- Once you've completed defining the qualification model, use Activate to make the qualification model available for use.

Related Topics

- [Create a Qualification Model](#)

Create a Qualification Area

You use qualification areas to contain and organize your qualification questions.

Once you have your questions added to your qualification area, you can then use your qualification areas in qualification models for use with assessment initiatives, or you can add one or more qualification areas directly to qualification initiatives.

Newton Consulting is branching into a new area of services. Clare Furey, the supplier qualification manager, is creating a new qualification area to use with future initiatives to qualify prospective suppliers.

Create a Qualification Area

1. Clare navigates to the **Create Qualification Area: Overview** page.
2. She enters Financial Viability as the qualification area name.
3. She accepts the default, Vision Operations, as the Procurement BU which owns this qualification area, and notes that she is assigned as the qualification manager who owns the area.
4. She enters a description of area containing questions relating to various financial details.
5. If she wants to assign herself as the default qualification owner for this qualification area, then she selects the **Default qualification owner** check box.
When this qualification area is included in a qualification initiative, she will be defaulted as the qualification owner.
6. Since she later selects which Procurement BUs can use this area, she leaves the **Global** box unchecked.
7. Since Clare did not check the **Global** check box, she must specify which procurement BUs can use this qualification area, so she clicks select and add icon in the Business Access table. When the **Procurement BU** dialog box displays, she searches and selects the names of the BUs that can use this area for qualifying suppliers. When she is finished listing the BUs, she clicks **OK**.
8. She can assign a default qualification owner to manage the evaluation.
9. Since Clare wants to reuse this qualification area every year to keep her supplier information current, she chooses to not reuse responses. This way suppliers will need to complete the initiative questionnaire every year with new, updated response values.
10. The questions in this qualification area solicit general information about the suppliers' financial organization and history. None of the questions are required, and many are open-ended, so there is no need for her to view the responses and possibly reject any of them. Since she does not need to view the responses, she enables the Automatically accept responses attribute.
11. In this qualification area, Clare uses several questions that allow scoring. If a question is scored, evaluators can assign a numeric value to the supplier response value. These response scores help you and other evaluators to compare and grade responses between different suppliers. To use the questions that can be scored in this qualification area, Clare selects the check box named Enable scoring.
12. If she wants to automatically create an initiative with a single qualification, then she selects the **Automatic initiative with single qualification** check box.
13. She sets the default expiration reminder value to 30 days. Therefore, for any qualification created using this area, (unless the qualification owner changes the value), expiration reminders start going out 30 days before the qualification expires.
14. If she wants to automatically requalify qualifications on expiration, then she can select the **Automatic Requalification on expiration** check box.

15. If she wants to automatically requalify qualifications whenever there is a new response, then she can select the **Automatic Requalification on new response** check box.
16. Now Clare must add her questions, so she clicks the **Add** icon in the Questions region. When the Search and Add dialog box appears, she finds and adds a question called Annual Revenue. This question has been defined earlier and is typically used by all her basic supplier qualification initiatives.
17. When she has selected the question, she clicks **Apply** to add it to the area, and then clicks **OK** to close the dialog box. The attributes for the question such as revision number, responder type, and whether a response is required appear in the question table, once the question is added.
18. Clare continues adding questions. She could create a new question at this point by clicking **Create and Add**, but all the questions she needs for this area have already been defined.
19. She defines three possible outcomes that can result from qualifications performed using the area: Good, Satisfactory, and Unsatisfactory.
20. Once Clare is finished creating her new qualification area, she clicks **Save** and then **Activate**.

Create a Qualification Model

Qualification models contain and organize qualification areas. You use qualification models when performing a supplier assessment. An assessment initiative contains a single qualification model which itself contains one or more qualification areas.

After you accept the response and review and approve the supplier's response, an assessment is created for that supplier as well as a qualification for each qualification area.

Newton Consulting is branching into a new area of services. Clare Furey, the supplier qualification manager, is creating a qualification model for future assessment initiatives she uses to assess suppliers for the new service area.

Creating a Qualification Model

1. Clare navigates to the Create Qualification Model page.
2. She enters Corporate Assessment as the qualification model name. The model name also the name of the resulting assessment.
3. She accepts the default, Vision Operations, as the Procurement BU which owns this qualification model. She notes that she is assigned as the qualification manager who owns the model.
4. She enters a description of Model containing qualification areas relating to various details of the corporation.
5. If she wants to assign herself as the default assessment owner for this qualification model, then she selects the **Default assessment owner** check box.

When this qualification model is included in an assessment initiative, she will be defaulted as the assessment owner.

6. If she wants to assess the suppliers' eligibility for negotiations in the Sourcing work area, then she selects the **Supplier Eligibility Sourcing** checkbox.
7. Since she chooses which Procurement BUs can use this area, when she creates the initiative, she leaves the **Global** box unchecked. Also, she notes that the Qualification Model Level value indicates the model is available for both supplier and supplier site level areas.
8. Since Clare didn't check the Global check box, she must specify which procurement BUs can use this qualification model. She clicks select and add icon in the Business Access table. When the Procurement BU dialog box displays, she searches and selects the names of the BUs that can use this model for qualifying suppliers. When she is finished listing the BUs, she clicks **OK**.
9. She can assign a default qualification owner to manage the evaluation.

10. She sets the default expiration reminder value to 30 days. Therefore, for any assessment created using this model, expiration reminders start going out 30 days before the assessment expires. The assessment owner can change this value.
11. Now Clare must add her qualification areas to her model, so she clicks the **Add** icon in the Areas region. When the **Search and Add** dialog box appears, she finds and adds an area called Financial Viability. This area has been defined earlier and is typically used by all supplier qualification initiatives.
12. When she has chosen the area, she clicks **Apply** to add it to the model, and then clicks **OK** to close the dialog box.
13. Clare continues adding areas. She could create and add a new area at this point, but all the areas she needs for this model have already been defined so she doesn't create any new ones.
14. If she wants to set the assessment to use the requalification results to automatically reassess the supplier, she selects the **Automatic Reassessment on new qualification** check box.
15. Once Clare is finished creating her new qualification model, she clicks **Save** and then **Activate**.

How Qualifications Are Evaluated

Once you have accepted the responses, they're ready for evaluation.

Evaluating a Qualification

After all responses from a supplier or supplier site have been accepted, the next step is to evaluate them. You can notify all team members when a supplier qualification is ready for evaluation. Notifying all team members as soon as a qualification is ready for evaluation allows any evaluator who has bandwidth to begin work right away. This reduces the overall evaluation time and avoids waiting for the qualification owner to proceed.

Evaluators see entries in their watchlists and Ready for Evaluation infolet. Clicking the link takes you to the Manage Qualifications or Manage Assessments page. The Manage Qualifications page lists the qualifications that can be evaluated. The Manage Assessments page lists the assessments that can be evaluated. If there is an assessment ready for evaluation, then for this assessment initiative (which includes both qualifications and an assessment), you must evaluate all the qualifications first before evaluating the assessment. To begin evaluating a qualification, select the qualification and then click **Evaluate Qualification**.

On the Evaluate page, you can

- Update the supplier contact.
- Update the qualification owner.
- Specify the qualification start date.
- Specify the qualification end date.
- Override the default expiration reminder setting.
- Assign the qualification outcome.
- Sharing the evaluation decision with suppliers.
- Automatically requalify a supplier whose current qualification has expired or is within the expiration reminder period.
- Automatically requalify a supplier whose current qualification contains new responses.
- View critical responses, which are highlighted.

Note that you can't specify start or end dates that overlap with any existing qualifications for this supplier based on the same qualification area and for the same procurement Business Unit.

When you have finished evaluating the supplier's and internal responder's response to the qualification questions, click **Finalize**. If this is a qualification initiative, once you evaluate and finalize all the qualifications, you have completed the evaluation process.

Automatically Evaluating a Response Having Scored Questions

As soon as you accept the supplier's responses, the qualification status changes to ready for evaluation. At this point, the application will assign scores for automatically scored questions based on the scoring model. If you have any manually scored questions, you can also enter scores now. The application constantly maintains the overall score of the qualification as the sum of scores assigned to individual questions. The qualification outcome is derived based on this overall score.

If knockout criterion for one or more questions is applicable, the qualification outcome will be set to the knockout outcome. The qualification score will be automatically set to the lowest score mapped to the knockout outcome.

You can override the qualification outcome by adjusting the qualification score. In this case, the application also keeps track of who performed the override, when was the override done and the reason for the override. You can also override the knockout criteria. Once the qualification is finalized, the qualification score and qualification outcome are fixed and can no longer be updated.

How Assessments Are Evaluated

Once you have evaluated and finalized all the qualifications, you can evaluate the assessment.

Assessments Evaluation

You can begin evaluating an assessment, by clicking the **Assessments** option in the Ready for Evaluation infolet. On the Manage Assessments page, you can view and evaluate the assessments. On the Evaluate Assessment page, you have the same options as on the Evaluate Qualification page. Note when you're entering the start and end dates for the assessment, they must cover the total time spans for all its qualifications. Also, it can't overlap any other assessment for the supplier or site in the same Procurement Business Unit.

Automatic Assessments Evaluation

As soon as you accept the supplier's responses, the assessment status changes to ready for evaluation. At this point, the application uses the scoring information defined to the questions to assign scores for any automatically scored questions in any automatically scored qualification areas contained in the qualification model. If you have any manually scored questions, you can also enter scores now. The application constantly maintains the overall score of the assessment as the sum of scores assigned to individual qualification areas. The assessment outcome is derived based on this overall score.

If knockout criterion for one or more questions is applicable, the assessment outcome will be set to the knockout outcome. The assessment score will be automatically set to the lowest score mapped to the knockout outcome.

You can override the assessment outcome by adjusting the assessment score manually. In this case, the application also keeps track of who performed the override, when was the override done and the reason for the override. You can also override the knockout criteria. Once the assessment is finalized, the assessment score outcome are fixed and can no longer be updated.

If the qualification model that was used to create this assessment allows sharing of evaluation decisions, this assessment is automatically shared with suppliers. You can overwrite the sharing decision here.

For assessments used to evaluate the supplier's eligibility to participate in sourcing, the supplier's sourcing eligibility is automatically determined from the assessment outcome. The supplier's sourcing eligibility in the procurement BU is recorded when the assessment is finalized.

How You Exclude Not Applicable Questions from Scoring

When you qualify suppliers, you might ask questions that don't always apply to some suppliers.

Questions that don't apply should not impact the evaluation when you score that supplier. When you define qualification questions, you can mark one or more response options indicating that you wish to exclude that question from scoring if responders choose that response.

During evaluation, the scoring weight of these not applicable questions is automatically redistributed to the other applicable questions such that their relative importance doesn't change. This avoids penalizing or rewarding the supplier when calculating the final qualification outcome.

Multiple Assessments

You can at once assess suppliers for multiple qualification models and concurrently create qualification models to conduct targeted assessments.

For example, you can create an overall preferred supplier assessment and a more specific supply disruption risk assessment and have both the assessments active for the same supplier.

Assessing suppliers and tracking different outcomes simultaneously increases your ability to monitor and analyze your suppliers' effectively when you have multiple objectives. You can have future dated assessments and requalify assessments.

How You Share Qualifications and Assessments

To increase performance and qualification levels and help maintain the most current supplier information, you may share your qualification and assessment results with your suppliers.

You can control the level of information you share. You may choose to disclose summary information only or supplier question response details as well. You can also decide whether to share responses from internal responders.

You can edit the instruction text using page composer.

To use qualification and assessment sharing, you:

- Enable sharing on the qualification areas and models that contain questions whose responses you want to evaluate and possibly share.
- Share the evaluation decision with the supplier when you finalize your evaluation of that supplier's response.

Related Topics

- [Qualification Areas](#)
- [How You Use Qualification Models](#)
- [How Qualifications Are Evaluated](#)
- [How Assessments Are Evaluated](#)

How You View Qualifications and Assessments

The View Qualifications page provides you with a single location to view the qualification and assessment evaluations the buying company has made based on your responses to qualification questionnaires.

The information shown here are the summary evaluations the buying company has chosen to share with you. If the qualification manager also shared the details of the qualification or assessment, you can drill down to view those details. Note that you can see only active, future dated and expired qualifications and assessments.

How You Automatically Requalify Qualifications

Automatically requalify a supplier for certain qualification areas when the current qualification has expired or is within the expiration reminder period, or when a new response is available so that the supplier always has an active qualification.

After a supplier information is evaluated and the qualification is finalized, you can do business with the supplier. When a supplier qualification is expiring or has expired, or there is a new response, then you must start the requalification process to ensure that you can continue to conduct business with the supplier.

With automatic requalification on qualification expiration or automatic requalification on new response, you can configure the qualification areas and qualifications such that the requalification initiatives are automatically launched. Questionnaires are sent to gather new information when the qualifications are expiring.

You can control which qualifications or qualification areas are automatically requalified on qualification expiration or on new response. Qualifications are picked up for requalification when it's within its expiration period or when it's expired or when there is a new response.

Expiring or expired, or new response-based qualifications for the same supplier, supplier site, and supplier contact are grouped together in a requalification initiative. For expiring or expired qualifications, the initiatives are automatically created and launched, and to ensure that up-to-date information is available for reevaluation, the questionnaires are always sent to the responders even if responses to the questions already exist in the application.

The responders will receive a notification that a requalification is in progress and they're requested to provide information that will be used in the reevaluation process.

When a qualification is automatically requalified for a new question responses, and when the qualification has all the responses, a qualification is created directly with the latest information without sending a questionnaire to the responder and without requiring to go through an initiative.

You can schedule batch programs for requalifying qualifications as a one-time schedule option or periodic option. Scheduling the program to run periodically enables you to fully automate the requalification process. You can view and resolve any errors that occurred during the requalification initiative launch or during creation of a qualification.

You can view and resolve any errors that occurred during the requalification initiative launch or during creation of a qualification.

To automatically requalify qualifications:

1. Identify the qualifications that are expiring or expired.
2. Confirm that automatic requalification on expiration is enabled for the expiring qualifications.
3. Confirm that automatic requalification on new response is enabled for the qualifications that contain new responses.
4. Confirm that default information is entered on the rule set for the procurement BU.
5. Run or schedule the batch program.
6. Resolve errors from the Manage Automation Errors page, if any, and rerun the batch program.

Related Topics

- [Qualification Areas](#)
- [Automation Errors](#)
- [Automatic Processing of Supplier Responses](#)
- [Create a Qualification Area](#)

Initiatives

An initiative is the main tool you use to create, manage, and track your qualifications and assessments of your suppliers. When you launch your initiative, its questionnaires are sent to its suppliers and internal responders for their responses.

As soon as responders have submitted their responses, you can review the responses and either accept or reject them. You can use the supplier's qualification and assessment outcome in many ways when performing procurement activities.

You can have two kinds of initiatives - qualification initiatives and assessment initiatives. Qualification initiatives are used to evaluate a particular function, capability or aspect of a supplier. For example, you might want to view all certifications a supplier has. Or you might want to examine the quality control procedures or environmental protection history for a supplier. Once you create a qualification initiative, a qualification for that particular aspect of the supplier is created.

Assessment initiatives provide a more thorough and comprehensive evaluation of the supplier. Assessment initiatives evaluate the supplier in both discrete areas, but also at the supplier level. After you launch the initiative, you create one or more qualifications for particular aspects of the supplier (as mentioned). You also create an overall, general assessment for the supplier.

You build your Initiative using setup objects that are already predefined in the application:

- Questions
- Qualification areas
- Qualification models (assessment initiatives only)

You can duplicate qualification or assessment initiatives from the Manage Initiatives page, Monitor Initiative page, or View Initiative page. Initiatives of all statuses can be duplicated. When you duplicate a qualification initiative,

qualification areas, suppliers, and evaluation team are copied. When you duplicate an assessment initiative, qualification model and its qualification areas, (in addition to suppliers, and evaluation team) are copied.

Questions

Questions are the fundamental building blocks for your supplier qualifications process. You create a repository of questions from which you can draw to create qualification areas. Then you use the qualification areas to build the initiatives you use for qualifying your suppliers. The questions in your repository are reusable and available to other supplier qualification managers. By using predefined questions, you can quickly build your initiatives without having to redefine commonly used questions. Questions can apply at the supplier level or at the supplier site level.

Qualification Areas

Qualification areas are containers for your questions. When you create a qualification area, you specify the questions it includes. You use a qualification area and its questions to evaluate a particular aspect of a supplier. When you create a qualification area, you specify which questions it contains. You also specify the possible outcomes that can result from a supplier's response to those questions. You add one or more qualification areas at the latest revision to create a qualification initiative. Then you send the initiative's questionnaire to the supplier (any internal responders receive a different internal questionnaire) for a response. Once the responders for a specific supplier or site have submitted replies, and you accept them, you and other evaluators can view the answers.

Qualification Models

Qualification models are containers for qualification areas. When you create a qualification model, you specify the qualification areas it includes. You use a qualification model and its qualification areas to perform a comprehensive evaluation of a supplier called an assessment. You create an assessment initiative by identifying the qualification model to be used. Once responders begin submitting replies, you can view and accept them. Once you have accepted the responses, you and any other reviewers can evaluate the answers.

Questionnaires

A questionnaire is a vehicle used for collecting data from the supplier and any internal responders. You can modify your questionnaire by removing any nonrequired questions. You can also change the order of the questions, or move them between sections. The supplier version contains the questions for the supplier responders. Internal versions that contain questions for internal responders (if any).

You can include attachments in a questionnaire and share it with suppliers or internal responders. Who will receive these attachments depends on the responder type you have selected. These attachments are shared at the questionnaire level and usually include general information like company policy, guidelines, terms and conditions, and so on.

Create Initiatives

Your first task when creating an initiative is to plan the structure of the initiative. For a qualification initiative, you should identify the qualification areas that you include. For an assessment initiative, you identify the appropriate qualification model.

On the Create Initiative dialog box, choose whether you're creating a qualification or an assessment initiative. Specify the title for your initiative. Also choose the procurement BU that owns the initiative. Once you choose a procurement BU, you can only see qualification areas and models that are owned by this procurement BU. You can also see any global models and areas.

On the Edit Initiative page, you identify the qualification model and qualification areas, the evaluators of the initiative, and the date by which the evaluation must be completed. You also specify the responders (both supplier and internal) you're targeting for the initiative. Also, you can assign an owner for the initiative (by default, you're the owner).

For an assessment initiative, you choose the qualification model, set a date by which the evaluation must be completed, and an owner for the assessment.

For a qualification initiative, you choose the qualification areas to be included. For each area, you specify an owner of the resulting qualification and an evaluation due date. If the qualification area contains branching questions, you can view the branches by using the icon in the Questions column.

In the Suppliers section, you can use the add icon or **Search and Add**, to choose the suppliers you want to evaluate using this initiative. Here are the volume limits for the initiative:

- Maximum number of suppliers you can add to an initiative: 400
- Maximum number of internal responders you can add for each supplier in survey initiatives: 25
- Maximum number of qualifications an initiative can generate: 2000

Note: The number of qualifications equals the number of suppliers times the number of qualification areas. You can split the suppliers and create a new initiative when you need to create more than 2000 qualifications.

If you want the initiative to apply to a particular supplier site, you can specify the site. Finally, you specify a contact at the supplier or supplier site to receive notifications. If you specified a supplier site, you only see contacts for that site. If you included internal questions in the initiative, you must define an internal responder.

On the questionnaire step of the initiative you can define translations for the questionnaire title, introduction text, section names, and instructions for each section.

When initiatives are automatically created based on events such as supplier registration or requalification, the introduction text of the questionnaire is derived from the rule set. You can define translations for the introduction text within the rule set, so that the questionnaire content is displayed in the responder's preferred language.

To create a qualification initiative:

1. Create and specify the initiative level attributes.
2. Identify and add the necessary qualification areas.
3. Identify and add the suppliers.
4. Configure the recipients of the questionnaires.
5. Modify the questionnaire if necessary.
6. Launch the initiative.

To create an assessment initiative:

1. Create and specify the initiative level attributes.
2. Identify and add the appropriate qualification model.
3. Add the suppliers.
4. Configure the recipients of the questionnaires.
5. Specify whether you reuse active qualifications.
6. Modify the questionnaire if necessary.
7. Launch the initiative.

How You Configure Initiatives

On the Configuration page, you specify the recipients of the questionnaires. If you have all required questions previously answered, the previous answers are carried over and the application doesn't send the questionnaire. You can optionally send questionnaires that have optional questions.

On the configuration page, you can also change the owner or evaluation due dates for specific qualifications or assessments from the ones specified in the Overview page. If the Qualification Owner and Evaluation Due Date fields aren't visible, you can display them by choosing the Show All option from Columns option of the View menu.

For assessment initiatives, you have the option to reuse all reusable qualifications. Only active qualifications for the same Procurement BU and that are in the same revision as the one specified in the initiative can be reused.

How You Modify Questionnaires

In the Questionnaire page, you can modify the questionnaire that was built using the questions in the qualification areas defined for the initiative. The questionnaire consists of one or more sections where initially each section corresponds to a qualification area.

On the Questionnaires page, you can

- Change section titles and enter instructions to the responders.
- Move question sections.
- Move questions within a section and move questions between sections.
- Add a new section and move existing questions to it.
- Delete a question (if the question isn't required)
- Specify the response due date. Note that if there are both supplier and internal questionnaires, each can have a different due date.
- If the initiative contains any qualification areas that have automatic evaluation enabled, you can choose to have responses to this questionnaire automatically accepted. The application can use the scoring information and the supplier response to automatically determine the outcome for the qualification.

Related Topics

- [How Questions Are Used](#)
- [How Qualifications and Assessments Are Evaluated](#)
- [Create a Qualification Area](#)
- [Create a Qualification Model](#)

Examples of Searching for Suppliers

For many procurement activities, you must identify the suppliers with whom you want to deal. The Supplier Search page provides you with a flexible tool for conducting detailed searches using supplier attributes.

On the Supplier Search page, you choose the supplier attributes you want to search on and then provide the attribute values for your search. The more attributes you choose, the more restrictive the search. You must specify values for at least one of the fields identified by the double asterisks. Use the information in the table to decide which attributes to include in your search.

The following table shows the attributes you can use in a search and explains each attribute.

Attribute	Search Usage
Procurement BU	The procurement BU with which the supplier conducts procurement transactions
Supplier	The supplier name
Supplier Number	The supplier number
Business Relationship	Suppliers with this business relation status. Suppliers that are spend authorized are approved for financial transactions with the buying organization. Prospective suppliers haven't yet been approved for spend transactions, but can participate in procurement transactions to a limited extent.
Business Classification	Suppliers having this classification
Category Name	Suppliers who sell items in this category
Item Validation Organization	The inventory organization that contains the item.
Item	Suppliers who sell this item.
Line Description	Suppliers who sell items having these words in item description
Qualification Name	Suppliers qualified using this qualification
Qualification Outcome	Suppliers with this qualification outcome value
Assessment Name	Suppliers qualified using this assessment
Assessment Outcome	Suppliers with this assessment outcome value
Transactions Since	Restrict the search to suppliers with whom you have conducted procurement activities before this date.
Search in ASL	Restrict the search to suppliers who are in the Approved Supplier List
Search in purchase orders	Restrict the search to suppliers to whom you have sent purchase orders.
Search in agreements	Restrict the search to suppliers with whom you have purchase agreements.
Search in negotiations	Restrict the search to suppliers who have participated in sourcing negotiations.

Scenario

Lucy Noh, the supplier quality manager for her company, wants to identify all suppliers with an assessment of Excellent for the assessment New Suppliers - Fiscal Year 2014. She enters the assessment name and selects the outcome status of Excellent and clicks **Search**.

Scenario

John Gordon, a procurement agent, wants to know which suppliers in the ASL sell item ER-56388. He enters the item number in the Item field and checks the **Search in ASL** check box. He exports the results to a spreadsheet he will use later in a presentation.

Scenario

Mike Yamagato, a category manager, is creating a negotiation to purchase new hardware for a new office his company is opening. He wants to identify all the suppliers that sell computer hardware. Also, there is a short time frame for this purchase, so he wants to restrict the search to only suppliers that already have a business relationship of spend authorize. He selects the category value Miscellaneous Hardware and selects the business relationship of Spend Authorize. He selects all of the suppliers resulting from the search and adds them to the negotiation document.

Add Suppliers to an Initiative

You specify which suppliers you want to qualify and their supplier contacts when you create an initiative. For each supplier, you can specify an internal responder as well. On the Configuration page, you specify which suppliers are sent a questionnaire.

You can only add 400 suppliers to an initiative. When the initiative is launched, notifications are sent to each responder who receives a questionnaire.

To add a supplier to an initiative:

1. **Navigate to the Edit Initiative Overview page**
2. On the Edit Initiative: Overview page, there are two ways you can search for suppliers
 - a. If you know the supplier name or number, click the **plus** sign in the Suppliers section and then click the **search icon**
 - i. On the Search and Select: Supplier dialog box, you can search by supplier name, number, alternate name, or business relationship.
 - ii. Enter a value and click **Search**.
 - iii. When the search results appear, highlight the supplier you want, and click **OK**. Click **Cancel** to close the dialog box.
 - b. If you want to perform a more detailed search, click **Search** and **Add** in the Suppliers section
 - i. On the Overview: Add Suppliers page there are many search fields you can use to limit your search to only the suppliers that are appropriate to the initiative.
 - ii. Enter values in as many search fields as are necessary to restrict the search to appropriate suppliers. Note that you can also search by qualification and assessment status. This is especially useful if you're looking for suppliers whose qualifications are close to expiration. Click **Search**.
 - iii. When the search results appear, highlight the entry for the supplier you want to add to the initiative. Note, that you can select multiple suppliers by highlighting the first supplier, and then pressing and holding the <ctrl> key to continue highlighting additional suppliers.

- iv. Once you have your suppliers highlighted, click **Add to Selection**. Your suppliers appear in the Supplier Selection. You can also select a supplier site . Click Continue.
 3. When you're returned to the Edit Initiative: Overview page, use the Supplier Site and Supplier Contact menus in the Suppliers section to define a site (if necessary) and a supplier contact for each supplier. If the qualification areas or qualification model you choose are only applicable at the site level, enter supplier sites for each supplier. Supplier contacts are always required. You can also use the Internal Responder menu to associate an internal reviewer with the supplier. When you have added every supplier and internal responder, click the Questionnaires train stop. Then continue defining your initiative.

Related Topics

- [Examples of Searching for Suppliers](#)

Creating an Initiative: Worked Example

This worked example provides information on creating initiatives.



Create an Initiative

Complete the these prerequisites:

Qualification Areas

Qualification Area Name	Question Name	Question	Outcomes	Question Notes
West Coast Electronics Supplier Product Information	Number of procurement customers	How many customers do you maintain procurement contacts with?	• Good • Acceptable • Unacceptable	Supplier must provide an answer.
West Coast Electronics Supplier Product Information	Major Product Areas	For which of these categories do you sell lighting products?	• Good • Acceptable • Unacceptable	This is a multiple choice question with multiple selections with possible choices. • Commercial • Landscape • Residential
West Coast Electronics Supplier Product Information	International Sites	Identify any major geographic areas where you have significant operations.	• Good • Acceptable • Unacceptable	This is a multiple choice question with multiple selections question, and is optional. (This question will be deleted during the configuration step.)
Supplier Performance	Supplier Rating	Select the appropriate supplier rating.	• Good • Exceptional	This is the second qualification area. This is an internal question and is a

Qualification Area Name	Question Name	Question	Outcomes	Question Notes
			Substandard	multiple choice with single selection question.

Suppliers

Create suppliers PennyPack Systems, Green Corp., and Large and Associates. The suppliers must have a supplier contact, an internal responder, and a supplier site.

To create an initiative:

1. In the **Navigator**, click **Supplier Qualification**.
2. In the Supplier Qualification work area, in Tasks, click **Create Initiative**.
3. In the Create Initiative window, set type as Qualification and enter title as Initiative for Electronic Goods Suppliers, and then click **Create**.
4. In Edit Initiative: Overview train stop, provide description as Qualification initiative to identify new electronic goods suppliers in the North American region and provide internal note as Targeted suppliers as per Emily's email.
5. In qualification area, click add icon.
6. In qualification area, select West Electronics Supplier Product Information, enter evaluation due date as two months from today.
7. In qualification area, select Supplier Performance, enter evaluation due date as two months from today.
8. In qualification area, select Supplier Performance and in the Suppliers region click **Search and Add**.
You also click **Detach** to detach the page and added suppliers.
9. In the supplier search page, search and add the suppliers, PennyPack Systems, Green Corp., and Large and Associates to the initiative.
10. For suppliers, add the supplier site and internal responder. You can also add the purchasing manager as the internal responder.
The Configuration train stop shows that the questionnaires will be sent to both suppliers and internal responders.
11. In the Questionnaire train stop, for the question involving geographic location, as it is already known that these suppliers are located in North America, this question is not required and you can delete this question. Also, you can change the order of the remaining two questions. After the changes are complete, you can click **Save**.
You can restore the question you deleted and while restoring, you can also reinsert the question at a different position.
12. Click **Preview** to ensure that the questionnaire for the supplier looks the way you want and then click **Done**.
13. In **Show Questionnaire**, select **Internal** to view the internal questionnaire. Click **Preview** to ensure that the questionnaire looks the way you want and then click **Done**.
14. Click the **Review** train stop, and then click **Validate**. In the confirmation message, click **OK** and then click **Save**.
15. Click **Launch** and in the warning message, click **Yes** and in the confirmation message click **OK**.
You can search for the initiative you just launched from the Manage Initiatives task in the Tasks panel.

How You Manage Initiatives

You can use the Manage Initiatives page to update existing initiatives as well as create initiatives. What updates you can make depends on the status of your initiative.

Draft Initiatives

For initiatives that are in draft status, you can make many changes. You can

The following table shows which actions can be performed in different initiative states.

Action	Available for Draft	Available for In Progress
Change Name	Y	N
Change Type	N	N
Change Procurement BU	N	N
Change Status field	N	N
Change Initiative Owner	Y	N/A
Change Description	Y	N/A
Add Internal Note	N/A	N/A
Add Attachments	N/A	N/A

Internal Surveys on Suppliers

Create survey qualifications to aggregate feedback on suppliers from multiple internal responders and use these to build consensus on supplier performance, risk, or other criteria to improve the value of your supplier relationships.

When you're monitoring supplier performance, you may want to supplement quantitative metrics with qualitative feedback from your supplier stakeholders such as:

- How easy is the supplier to work with?
- How responsive is the call center?
- How would you rate the overall professionalism?
- How did the supplier perform on the project?

You can model questions like these in the Supplier Qualification work area. You can send questionnaires to multiple responders with knowledge of the supplier and score their responses to get consensus on how the supplier performed and how the supplier is perceived in your organization.

The qualification outcomes of these internal surveys can help you to manage risk, inform sourcing decisions, and improve the value of your supplier relationships.

You start the survey qualification process by creating a survey initiative and adding one or more internal responders for each supplier. When the initiative is launched, a questionnaire is sent to each of the responders, even if responses for the questions already exist from previous surveys.

While the initiative is underway you can track its progress, send a response reminder, reassign the questionnaire to a different responder, respond to the questionnaire on behalf of a responder, and cancel qualifications for a supplier. The received questionnaire responses are automatically accepted.

If you've received enough responses, you can close the questionnaire for responding and proceed to evaluate the qualifications with the responses you already received. You can do so for a single supplier or for all suppliers in the initiative.

Survey qualifications created from the initiative will only include responses collected from the current initiative. To evaluate the qualification, you can view the question's aggregate response, which is a summary of the survey responses for the question, as well as the individual responses. For questions with automatic scoring, the aggregate response score is the average of the scores of the individual responses. Survey qualifications with scoring enabled calculates the qualification score from the questions' aggregate response scores.

Survey qualifications can only use questions and qualification areas designated for the internal survey. Consider these when you're doing the internal surveys:

- On an initiative, you can default a list of internal responders for new suppliers by clicking **Manage Default Internal Responders**.
- Even if only one responder is identified for a survey qualification, it's still conducted as a survey of one.
- Only a draft internal question can be changed from a survey question to a non-survey question or vice versa.
- For survey questions, automatic scoring is enabled by default.
- Regarding branching questions, survey questions can have only survey branching questions. The branching questions are limited to five levels.
- Optionally default prior survey responses for the same responder.
- Cancel outstanding questionnaires.
- Filter critical questions when reviewing survey qualification details.
- View detail survey responses for a single question.
- Choose which response attributes to display for evaluation.
- Manually score responses.
- Automatically requalify survey qualifications on expiration.
- Duplicate survey initiatives.
- Configure who can close questionnaires or reassign responders.

Optionally Default Prior Survey Responses for the Same Responder

On the initiative, you can enable defaulting the prior response onto the new survey questionnaire for the same responder. When defaulting responses is enabled, the responder can review the prior responses in the questionnaire and make changes only when necessary. This will save time for the responder to provide information on a survey questionnaire. You can configure the qualification area to automatically populate responses. Then on the initiative, if all the qualification areas have defaulting response enabled, it will be enabled on the initiative as well by default.

Cancel Outstanding Questionnaires

You can cancel an outstanding questionnaire that you no longer need a response for or if it was sent out by mistake.

Filter Critical Questions When Reviewing Survey Qualification Details

During the evaluation of a survey qualification, you can filter and view root level critical questions and their responses helping you to make better and faster qualification decisions. When a user clicks on the View Critical Questions button, they see only the critical root questions and their responses. If a child question is critical, the root level question is shown with a critical icon.

If the critical question icon is displayed for a root level question, the root level question or its child level question is critical.

View Detail Survey Responses for a Single Question

On the Evaluate Qualification page, you can focus on the response details of a single question by clicking the **Details** icon. You can then review the aggregate as well as individual responses to the question on the Response Details page.

Choose Which Response Attributes to Display for Evaluation

On the Response Details page, you can choose which attributes to display for evaluation by adding or removing response attributes.

Manually Score Responses

For Questions with manual scoring, you can now manually score the questions after reviewing individual responses and the question's aggregate response. You can add scores with two decimals of precision for each question response.

How You Automatically Send Questionnaire Reminders and Close Response Period

You can set automated questionnaire reminders on initiatives.

Many organizations have a business objective to periodically survey internal stakeholders to gather information and standard initiatives on supplier performance. When questionnaires are sent for feedback, they may not receive timely attention from responders. To help you manage the process more efficiently, you can now send automatic reminders on a predefined schedule to those who haven't responded.

Similarly you can also enable automatic reminders for questionnaires sent to suppliers, helping you increase response rates without additional work. Set response reminders and past due notifications according to a predetermined schedule based on the due date.

To enable automatic reminders, first set a response due date then schedule up to three automatic reminders for responders. The first two reminders can be sent on or before the due date and the final reminder is sent after the due date. These automatic reminder notifications are optional.

In some surveys, even with reminders, a 100% response rate may not be achieved. You can now close your surveys automatically when the close date is reached, or when a response threshold is met. These flexible controls help you streamline the survey process and evaluate survey qualifications faster. These flexible controls help you streamline the survey process and evaluate survey qualifications faster.

These are the various selections available on the Edit Initiative: Questionnaires page for the internal survey:

Name	Explanation
Due Date	The date by which you want to receive responses from the responders. You can set different due date for supplier and internal questionnaires.
Close Date	The date on which questionnaires are automatically closed for all suppliers.
Close Threshold	This threshold is for received responses, which when reached for a supplier after the due date, all the questionnaires are automatically closed for the supplier before the close date. This option is available only for internal survey initiatives.
First Reminder	The first reminder scheduled to be sent before the due date.
Second Reminder	The second reminder scheduled to be sent before the due date.
Past Due Reminder	The last reminder that is scheduled to be sent after the due date.

These are the various selections available on the Monitor Initiative page for the internal survey:

Name	Explanation
Response Close Date	The date when the questionnaires are automatically closed for all responders.
Close Threshold	This threshold is for received responses, which when reached for a supplier after the due date, all the questionnaires are automatically closed for the supplier before the close date.
Extend Response Close Date	Extend the date to automatically close the questionnaires for all the suppliers.

To enable automatic reminders, first set a response due date, then you can schedule up to three automatic reminders for responders. You can have different reminder schedules for supplier or internal questionnaires in the same standard initiative. The first two reminders can be sent on or before the due date and the final reminder can be sent past the due date. For internal surveys, to automatically close survey questionnaires, set a close date when questionnaires are closed for all suppliers, or set a close threshold to close questionnaires for a supplier when a certain percentage of responses are received for that supplier. You can set a close date and close threshold together and the questionnaires are closed automatically when either condition happens first. These automatic reminders and close parameters are optional.

Let's take an example, you may want to launch an initiative on October 15 with a due date of October 31. This will communicate the survey questionnaire response is due on October 31. You can set up three automatic reminders, 7 days prior to the due date, 2 days prior to the due date, and 3 days after the due date. You can set the survey questionnaires for a supplier to close automatically when 80% of responses are in, or automatically close questionnaires for all suppliers on November 5 -- whichever of those conditions happen first, after the due date.

In the Scheduled Processes work area, schedule the ESS automated task **Perform Automated Tasks for Supplier Qualifications** to run every day. This automated task will send response reminder notifications according to the parameters set on initiatives.

How can I determine where a question or area is used?

Sometimes you must determine where a question or a qualification area is used. Depending on the change you want to make, the application may create another version of the question, area, model.

If you create a new version, existing areas or models do not automatically use the new version. To use the new version, you must explicitly update the area or model definition to use the new version. Since you must view and update each

definition that uses the new version, it is important to determine where the updated question or area is used so you can make updates appropriately.

To locate all usages of a question, navigate to the Manage Questions page and edit the question you want to view. On the Edit Question page, choose the View Question Usage option from the Actions menu. The Question Usage page shows any qualification model, qualification area, or parent question which uses the question.

To locate all usages of an area, navigate to the Manage Qualification Area page and edit the qualification area you want to view. On the Edit page, choose the View Question Usage option from the Actions menu

Supplier Eligibility for Sourcing

To participate in sourcing negotiations, suppliers must meet the criteria and standards for doing business. For example, a supplier may need to show financial viability and agree to follow certain code of conduct requirements.

Your assessment of these requirements can now establish or remove a supplier's eligibility for participation in sourcing, helping you manage risk and enforce your policies. You can refer to this eligibility outcome during sourcing. You can assess a supplier for sourcing eligibility when the supplier first registers as well as with additional assessments over time.

You can qualify a supplier even after the supplier onboarding. Only eligible suppliers can participate in sourcing negotiations in a procurement BU. When there is no BU level entry, the supplier's participation is determined by the supplier's default eligibility. A supplier's sourcing eligibility remains active until the next time the supplier is reassessed, even after the initial assessment has expired, so there is no gap in the supplier's ability to participate in sourcing activities.

How You Qualify Supplier During Supplier Registration

You can request the supplier to respond to questions pertaining to sourcing eligibility during registration, or you can set up the application to automatically send out a questionnaire on sourcing eligibility to the supplier and internal responder once the supplier's registration is approved.

How You Qualify Supplier After Supplier Onboarding

After the initial onboarding you can assess the supplier's sourcing eligibility by launching an initiative for the sourcing assessment. You can do this to reassess the supplier's sourcing eligibility in the inviting procurement BU of the registration, after the initial evaluation and to assess the supplier's sourcing eligibility in any Procurement BU.

If you have the privilege you can manually set the supplier's sourcing eligibility or overwrite the sourcing eligibility derived from the assessment.

How You Share Supplier's Sourcing Eligibility Status

If a single Procurement BU is responsible to assess the supplier's sourcing eligibility for the organization, you can configure the qualification model such that the sourcing eligibility status becomes the default sourcing eligibility for the supplier. It determines the supplier's sourcing eligibility in any other Procurement BUs without its own sourcing assessment.

How You Configure the Default Supplier Eligibility Status

In the Setup and Maintenance work area, go to the Configure Supplier Qualification Controls task and set the default supplier eligibility status.

How You Configure Sender Name and Email in Supplier Qualification Notifications

Qualification managers communicate with suppliers through notification emails sent by the application throughout the supplier qualification process.

These are time-sensitive notifications such as Respond to Questionnaire or Response Resubmission Required, which need to get delivered to your suppliers. You can now configure the *From and Reply To name* and *email address on supplier* notifications so they're recognized as coming from your organization and don't get stuck in spam folders. Setting the From and Reply To email address also enables you to monitor out-of-office emails from suppliers by receiving automatic replies as well as bounce-back emails if delivery to a supplier contact isn't successful. This reduces potential delays or miscommunications on time-sensitive supplier qualification notifications.

You must configure the Sender Policy Framework (SPF) to use this feature. Refer to the [Configure SPF](#) documentation available on the [Oracle Help Center](#).

Consider these when you configure sender name and email in supplier qualification notifications:

- After completing all the setup, test and ensure your supplier emails are delivered to the inbox of a separate email domain other than your own company's domain. Incorrect or incomplete setup may lead to email delivery to the spam folder or stop the email delivery to your suppliers.
- On updating the profile option `ORA_FND_BPM_FROM_EMAIL_ADDRESS_ENABLED`, you may notice some time lag in setting to take effect in the BPM Worklist.
- If you configure the From and Reply To to be free form email, you can specify the Email From display name to be the person who owns this email address.

Review and Accept Questionnaire Responses

How Qualifications and Assessments Are Evaluated

When conducting an initiative, your goal is to obtain information from your suppliers, for example their available goods and services, current certifications, or past transaction history.

Once you have this information, you can evaluate the supplier and document their suitability by completing qualifications or an assessment.

When you launch an initiative, the application creates draft qualification objects (assessments and qualifications) based on the qualification areas and model that are included in your initiative. As responses to your initiative are submitted by the responders, you can access the responses from the Monitor Initiative page.

Accepting a Response

Your first action is to view the supplier's response. You can do this by selecting Pending Acceptance option in the expanded view of the Questionnaire Responses infolet. Clicking the link on the infolet takes you to the Review Response page.

As you review the supplier's response on the page, you can do the following:

- Add any notes about your acceptance decision. You can enter notes at the response level or for a particular question.
- View the definition of the question by clicking the question name link.

Once you have reviewed the response, you can do the following:

- Accept the response by clicking **Accept**.
- Return the response to the responder for more information by clicking the **Return to Responder** option of the **Actions** menu. Typically you might return a response if it wasn't complete or needed further clarification from supplier. You must enter a reason to explain to the responder why the response was returned.

Once you have accepted the response, it can't be updated and is ready for evaluation.

Evaluating a Qualification

After all responses from a supplier or supplier site have been accepted, the next step is to evaluate them. Evaluators see entries in their watchlists and the Ready for Evaluation infolet. Clicking the number will take you to the Manage Qualifications or Manage Assessments page. The Manage Qualifications page, lists the qualifications that can be evaluated. The Manage Assessments page lists the assessments that can be evaluated. If there is an assessment ready for evaluation, then for this assessment initiative (which includes both qualifications and an assessment), you must evaluate all the qualifications first before evaluating the assessment. To begin evaluating a qualification, select the qualification and then click **Evaluate Qualification**.

On the Evaluate page, you can

- Update the supplier contact.
- Update the qualification owner.
- Specify the qualification start date.
- Specify the qualification end date.
- Override the default expiration reminder setting.
- Assign the qualification outcome.

Note that you can't specify start or end dates that overlap with any existing qualifications for this supplier based on the same qualification area and for the same procurement Business Unit.

When you have finished evaluating the supplier's and internal responder's response to the qualification questions, click **Finalize**. If this is a qualification initiative, once you evaluate and finalize all the qualifications, you have completed the evaluation process.

Evaluating an Assessment

If your initiative is an assessment initiative, you must also evaluate the assessment. Once you have evaluated and finalized all the qualifications, you can evaluate the assessment. You can begin evaluating an assessment, by clicking the **Assessments** option in the Ready for Evaluation infolet. On the Manage Assessments page, you can view and evaluate the assessments. On the Evaluate Assessment page, you have the same options as on the Evaluate Qualification page. Note when you're entering the start and end dates for the assessment, they must cover the total time spans for all its qualifications. Also, it can't overlap any other assessment for the supplier or site in the same Procurement Business Unit.

Monitoring Supplier Qualifications and Assessments: Worked Example

This worked example provides information on monitoring supplier qualifications and assessments.



Monitor Supplier Qualifications and Assessments

Do the following prerequisites:

Define a qualification initiative with multiple suppliers, for example three suppliers. Then, enter a response for each of the suppliers. One of the responses should be good. You will then view and accept the response, and finalize the qualification. One of the responses should be incomplete so you can return the response to the supplier. One of the response should be submitted after the evaluation due date, so you will cancel that response.

To monitor supplier qualifications and assessments:

1. In the **Navigator**, click **Supplier Qualification**.
2. In the Supplier Qualification work area, you can monitor status of initiatives, qualifications, and assessments by checking the various infolets.
3. In the Task panel drawer, select **Manage Initiatives**.

Manage Initiatives page lists the various initiatives.

4. Point to the eyeglass monitor icon for the supplier Big Computers as the supplier has not responded before the deadline and from the **Actions** menu, select the **Cancel Qualification** option.
5. In **Cancel Qualification**, enter a reason for cancellation and click **Cancel Qualification**.

The qualification status is now set to canceled.

6. In **Monitor Initiative**, highlight the supplier Large and Associates and click **Actions > Review and Accept > Supplier Response**.
7. In **Review Response**, click **Actions > Return to Responder**.
8. In **Return to Responder**, enter a message and click **Submit** and in the confirmation message click **OK**.
9. In **Monitor Initiative**, highlight the supplier Tall Manufacturing and click **Review and Accept > Supplier Response**.
10. In **Review Response**, click **Accept** and in the confirmation message, click **OK**.
11. Highlight the supplier Tall Manufacturing and click **Evaluate Qualification**.
12. In **Evaluate Qualification**, select a qualification outcome, enter start date, end date, and evaluation date, and then click **Finalize** and in the confirmation message click **OK**.

The status is as follows: Big Computers is set to canceled, supplier Large and Associates is set to resubmission required, and supplier Tall Manufacturing is set to accepted and finalized.

Use Rule Sets and Automatic Processing

Automatic Processing of Supplier Responses

Automatically qualifying suppliers during various business events throughout the supplier lifecycle helps organizations screen their suppliers strategically. Finding a viable supplier is challenging mainly due to the need to verify the supplier's ability to meet the buyer's many requirements.

The buyer's requirements can range from minimizing risks to meeting business objectives such as supplier diversity. Evaluating suppliers involves a significant amount of your organization's financial and human resources. Thus the ability to automatically process supplier information from both internal responders and the suppliers themselves can reduce the investment of resources needed to vet your suppliers during supplier's lifecycle.

Qualify Suppliers

Your buying organization uses questionnaires to gather information from potential or existing suppliers based on the expected level of involvement with the suppliers (either transactions involving substantial financial relationships, or transactions involving less commitment). Your organization then evaluates the suppliers' responses to the questionnaires to ensure a supplier's compliance with one or more of your buying organization's requirements.

For example, your buying organization can have prospective suppliers that can participate in sourcing negotiations and respond to supplier qualifications, but can't be engaged in any contractual obligations such as purchase orders or agreements.

Additionally, if a prospective supplier is awarded business, the supplier's business relationship is promoted to spend authorized, allowing ordering and invoicing activities with the supplier. The qualification process performed during supplier promotion can ensure that the supplier meets certain social responsibility, safety, or quality standards, supports particular business processes, or has sufficient levels of certification.

Qualification Events

You can qualify suppliers several times over the supplier's lifecycle by identifying which aspects of a supplier to evaluate when certain actions occur. When one of these actions occurs, you can send questionnaire to supplier and evaluate the supplier response. The activities that may need additional screening of suppliers include:

- Self-service supplier registration request.
- Approved supplier registration request (internal as well as self-service request).
- Supplier promotion from prospective status to spend authorized status.

Incorporating supplier evaluations during these activities ensures that throughout the supplier's lifecycle, the suppliers provide the necessary credentials and comply with your organization's standards and requirements.

Manual Versus Automatic Processing

With manual processing of supplier responses, a supplier qualification manager is involved throughout the qualification process. The qualification manager

- Creates qualification initiatives
- Accepts the responses.

- Evaluates and finalizes the qualification and assessment.
- Creates the qualifications when applicable.

Processing all the supplier responses to questionnaire may require a significant amount of time from the qualification managers and any other evaluators.

Set Up Automatic Processing

Depending on the qualification criteria for a particular question, you can enter qualification information into the application and allow the application to perform the qualification process automatically.

To enable automatic processing of supplier responses, you define information for questions and question areas. However, you also specify the response values that are acceptable for questions. For these response values, you specify the scoring and weighting values to reflect the desirability of one response value over another, and associate the score/weight values with a particular qualification outcome. With this information, the application can process supplier responses without needing intervention from you.

To set up automatic processing:

1. Plan and define questions and scoring information.
2. Define qualification areas and add your scored questions. Also set the area to:
 - Automatically accept responses.
 - Enable scoring.
 - Automatically evaluate qualifications
 - Automatically requalify on qualification expiration
 - Automatically requalify on new response
3. Plan and define the rule sets to be triggered when
 - A new supplier registration request is submitted (internal or external)
 - A supplier registration request is approved.
 - A supplier is upgraded to spend authorized.

Once you have set up automatic processing, when one of the triggering events happens (supplier submits a registration request, the registration is approved, the supplier is promoted to spend authorized), the application uses the appropriate rule set information to generate and send out a questionnaire.

Oracle Supplier Qualification Rule Sets

Oracle Fusion Cloud Procurement provides a functionality that you can use to solicit information from your suppliers at various points in the supplier's life cycle. You control the content and timing of the questionnaire by defining rule sets.

A rule set consists of one or more qualification areas. The questions defined to these qualification areas are used to generate a questionnaire and send it to a supplier. After the supplier receives and answers the questionnaire, you can use the supplier's response information to update the supplier profile information. You can:

- Use existing qualification areas.

- Create qualification areas in Oracle Supplier Qualification and then use them in your rule set.

If you have to create a qualification area, note that:

- The questions must be at the supplier level.
- The questions are active.

You can specify a sourcing qualification model for a particular procurement BU to assess a supplier's eligibility to participate in sourcing negotiations.

When one of the triggering events occurs for which you have defined a rule set, the application creates a questionnaire consisting of the qualification areas that you identified in your rule set. The supplier responds to the supplier questionnaire in external registrations and you respond to the internal questionnaire in the internal registrations. When you receive the response, you use the supplier's basic registration information and questionnaire responses to evaluate the supplier information with regards to the triggering event.

When a supplier is approved as a prospective or spend authorized supplier, the responses are stored in the Supplier Qualification Response Repository. Once the supplier's responses are in the Response Repository, you can use those responses to create qualifications for the supplier.

Consider these when you use questionnaires in internal supplier registration:

- Rule Set:
 - Qualification areas or sourcing model intended for the user initiating the internal registration flow should be listed on the rule set's registration rules.
 - Qualification areas or sourcing model intended for the internal responder specified on the rule set should be listed on the rule set's registration approval rules.
 - Qualification areas or sourcing model intended for the supplier contact can be listed either on the rule set's registration rules or the registration approval rules.
- Internal questionnaire from the registration rules will be displayed as part of the internal registration flow, to be responded by the user initiating the registration flow.
- When there are any required supplier questions from the registration rules, a supplier questionnaire will be sent out to collect the response after the supplier is registered.
- When there are any required internal questions from the registration rules, with no response during the registration, an internal questionnaire will be sent out to the internal responder specified on the rule set to collect the response, after the supplier is registered.
- When a qualification area is identified in both the registration and registration approval rules, and additionally in supplier promotion rules (in the case of spend authorized registration)
 - When a qualification area is in either the registration, registration approval rules, or supplier promotion rules, or combination thereof, AND also is part of the sourcing model. The qualification area will be part of the assessment.

Consider these when you use questionnaires in both internal supplier registration and external supplier registration:

- The latest active qualification areas or sourcing model will be used every time the rule set is being evaluated, at registration, registration approval, and supplier promotion times.
- When there are supplier questions and internal questions from the registration approval rules, a supplier questionnaire will be sent out to the supplier contact and an internal questionnaire will be sent out to the internal responder on the rule set to collect the response, after the supplier is registered.

When a qualification area is identified in multiple rules, only 1 set of questionnaires will be sent out (supplier questionnaires and internal questionnaires, or both), if needed, and only 1 qualification will be created.

Create Registration Rule Sets

When a supplier registers, the application creates a questionnaire consisting of questions from the qualification areas that you identified in your rule set and then presents that questionnaire to the supplier.

The questionnaire responses by the supplier are used to automatically create qualifications for the supplier if the rule set is configured to do that.

Use the following procedure to create a registration rule set.

1. In the **Setup and Maintenance** work area, go to the **Manage Supplier Qualification Rule Sets** task and then go to the Create Rule Set page:
 - o Offering: Procurement
 - o Functional Area: Supplier Qualification

The application initially selects registration rule set. If you're creating a different type of rule set, click the link for the rule set type. On the Create Rule Set page, enter rule set header information:

- o Rule Set to specify the set name and optionally enter a description for the set.
- o Select a Procurement BU.
- o Whether to allow branching.
- o Whether to automatically create qualifications.

If you select this option, qualifications are automatically created on the areas that were a part of the registration questionnaire and the responses provided by the supplier are mapped to the qualification to make it ready for evaluation.

2. Click Add Condition. On the Add Condition dialog window enter
 - o Condition Type - you have two options:
 - Always displayed - the questions are always used in the questionnaire.
 - Response dependent - the questions are added to the questionnaire only if the supplier response matches the condition. If you select response dependent, you use the Create Condition dialog window to define the condition that the response must match.
 - o Supplier Profile Attribute - you select this from the list of profile attributes. You can use this field and the following two fields to create a condition based on a supplier profile attribute. When a response entered by the supplier matches the condition, the qualification area for this condition are used to generate the questionnaire.
 - o Operator - a relationship operator (=, <, >)
 - o Value - a value appropriate to the supplier profile attribute
3. When you're finished defining the condition, click OK.
4. When you return to the Create Rule Set page, highlight a condition and click Add Qualification Areas. Here you specify which qualification areas are used when the condition you specified is met:
 - o Procurement BU or a qualification area name - A search on Procurement BU returns a list of qualification areas owned by the BU. A search by qualification area name returns any qualification area (multiple areas

if you use a partial search value). Either way, from the search results, highlight the qualification area and click Apply.

- Business Relationship - Prospective or Spend Authorized. You can restrict the use of this condition to the appropriate business relationship value.
- When you're finished adding qualification areas to the condition, click OK.

5. When you've entered all the information for your rule set, click Save and Activate.

Use Rule Sets for Approved Registration Requests

You can create a rule set to use when registration requests are approved.

1. In the **Setup and Maintenance** work area, use the **Manage Supplier Qualification Rule Sets** task:

- Offering: Procurement
- Functional Area: Supplier Qualification
- Task: Manage Supplier Qualification Rule Sets

In the Manage Rule Sets page, go to Create Rule Set page. The application defaults to a registration rule set, so click the link for the registration approval rule set type. On the Create Rule Set page, enter rule set header information: Rule Set to specify the set name and optionally enter a description for the set. Select a Procurement BU.

2. Click Add Condition. On the Add Condition dialog menu appears, enter Condition Type. You have two options:

- Always displayed - if you choose this option the questions are always included in the questionnaire created by the application.
- Response dependent - If you choose a response dependent condition, you continue to Create Condition and enter:
 - Supplier Profile Attribute - you select this from the list of attributes. You can use this field and the following two fields to create a condition based on a supplier profile attribute.
 - Operator - a logical operator (=, <, >)
 - Value - a value appropriate to the supplier attribute. You choose a value from the list of values. The values you can choose from depend on which attribute you selected.
 - Registration Source - you can choose to have the condition apply selectively based on the source of the registration request:
 - External - an external registration originates when a supplier self-registers using your registration web page.
 - Internal - an internal registration request originates when
 - A category manager submits a supplier registration request while defining a sourcing negotiation.
 - A requester submits a supplier registration request from Oracle Self Service Procurement.
 - A buyer submits a supplier registration request.

3. When you're finished defining the condition, click OK.

4. Once you've defined the condition, highlight it and click Add Qualification Areas. Here you specify which qualification areas are used when the condition you specified is met.
You can search by Procurement BU or a qualification area name. A search on Procurement BU returns a list of qualification areas owned by the BU. A search by qualification area name returns any qualification area (multiple areas if you use a partial search value).
5. When the search results display, select the row for the qualification area you want to use and click Apply. Note that you can select multiple qualification areas if needed.
If an icon appears in the Question Branching column for a particular qualification area, it indicates that there's at least one question in the area that has branching. If you click the icon and follow the navigation, on the Question Branching page, you can expand the question to see the branching information.
6. When you've finished selecting your qualification areas, click OK.
7. When you've entered the qualification area information for your registration approval rule set you're creating, click Save and Activate.

Supplier Promotion Rule Sets

Use this procedure to create a rule set to use when a supplier is promoted from prospective business to spend authorized business relationship.

1. In the **Setup and Maintenance** work area, use the **Manage Supplier Qualification Rule Sets** task:
 - Offering: Procurement
 - Functional Area: Supplier Qualification
 - Task: Manage Supplier Qualification Rule Sets

In the Manage Rule Sets page go to Create Rule Set page. The application defaults to a registration rule set, so click the link for the registration approval rule set type. On the Create Rule Set page, enter rule set header information: Rule Set to specify the set name and optionally, a description for the set.

2. Select a Procurement BU.
3. Click Add Condition. On the Add Condition dialog menu, enter
 - Condition Type. You have two options:
 - Always displayed - if you choose this option the questions are always included in the questionnaire created by the application.
 - Response dependent - If you choose a response dependent condition, you continue to Create Condition and enter:
 - Supplier Profile Attribute - you select this from the list of attributes. You can use this field and these two fields to create a condition based on a supplier profile attribute. When responses entered by the supplier match the condition, the qualification areas under this condition are added to the questionnaire.
 - Operator - a logical operator (=, <, >)
 - Value - choose a value appropriate to the supplier attribute from the list of values. The values you can choose from depend on which attribute you selected.
4. When you're finished defining the condition, click OK.
5. When you return to the Create Rule Set page, highlight your condition and click Add Qualification Areas. Here you specify which qualification areas are used when the condition you specified is met.

6. You can search by Procurement BU or qualification area name. A search on Procurement BU returns a list of qualification areas owned by the BU. A search by qualification area name returns any qualification area, or multiple areas if you use a partial search value.
7. When the search results display, select the row for the qualification area you want to use and click Apply. Note that you can select multiple qualification areas if needed.
8. When you've finished selecting your qualification areas, click OK. You return to the Create Rule Set page.

Question Branching - If an icon appears in the Question Branching column for a particular area, there's at least one question in the area that has branching. If you click the icon and follow the navigation, on the Question Branching page, you can expand the question to see the branching information.

9. After you've entered the qualification area information, click Save and Activate.

Create Default information Rule Sets

You can define information to be used by default by the application when generating a questionnaire, specifically instruction text on how to use the questionnaire. You can define a different set of instructions for each event:

- Registration request submission.
- Registration request approval
- Business relationship upgrade

Use the following procedure to create a default information rule set.

1. In the **Setup and Maintenance** work area use the **Manage Supplier Qualification Rule Sets** task:
 - Offering: Procurement
 - Functional Area: Supplier Qualification
 - Task: Manage Supplier Qualification Rule Sets

In the Manage Rule Sets page go to Create Rule Set page.

2. Give your new rule set a name. You can optionally give your rule set a description.
3. Associate your rule set with a Procurement BU. Note that you can associate your rule set with more than one BU.
4. In Assignment Rules, click the add icon (the plus sign). You use assignment rules to specify the default owner (required) and internal responder (optional) for every BU and event combination.
5. Select the event to which this rule set applies. You can associate a rule set with an event: registration request submission, registration approval, business relationship upgrade, or requalification.
6. You can optionally identify an owner for the for the qualifications and initiatives generated by this rule set when the specified event occurs for the BU. Your name appears by default in the select list, but you can search and assign the rule set to a different owner.
7. You can identify a responder to respond to internal questionnaires that will be sent by the automatic initiative creation process.
8. You can define all the questionnaire introduction text for the different questionnaires.
9. You can share attachments at the questionnaire level regarding introductory information pertaining to registrations, suppliers, or internal responders, and then click **Save**.

Automation Errors

If an automated transaction fails to process as expected, such as during the automatic assignment of qualifications to suppliers at the conclusion of supplier registration, an error is registered for your attention.

If this happens, you can track and manage any errors by viewing the Manage Automation Errors page.

To make your qualification process more automated, you can create rule sets to use automatically when certain supplier-related events occur. These events include:

- When the supplier registers
- When the supplier's registration is approved
- When the supplier is promoted to spend authorized, Supplier Promotion

You can create rule sets that tell the application what qualification-related actions to take when one of these events occur. For example, the application can generate a questionnaire to send to the supplier when the supplier submits a registration request.

If an automated transaction fails to process as expected, such as during the automatic assignment of qualifications to suppliers at the conclusion of supplier registration, an error is registered for your attention. If this happens, you can track and manage any errors by viewing the Manage Automation Errors page.

View Automation Errors

On the Supplier Qualification work area, the Automation Errors infolet shows you how many errors have occurred in the last 30 days. You can click on the number to view the Manage Automation Errors page. This page has a table containing an entry for each error that has occurred during automatic initiative creation, automatic qualification creation, and automatic requalification of suppliers.

The requalification process will automatically archive errors from the previous requalification run that are no longer applicable, enabling you to focus on relevant issues from the latest run.

You can view the list of errors and see detailed information. You can search on various attributes like supplier, date, event, Procurement BU, or process. The table displays the type of error and its cause. It also shows you a recommended action to take to correct the problem. You can then correct set-up errors or process the transactions manually as needed.

After you have corrected an error, you can store the correction by archiving it. Once you have archived a corrected error, it does not show up in any search results. Until you highlight an error, the Archive is disabled. If you want to archive an issue, you can highlight the error and click Archive. You can select a single error or archive multiple errors at the same time. The archived column in the search results table indicates whether the error is archived.

To view archived errors, on the **Manage Automation Errors** page, click **Show Filters**. The page displays again, and you can select a date from the date picker for Error Date From. Click the **Archived** check box and then click **Search**.

Correcting Automation Errors

The **Manage Automation Errors** page provides a single location from which you can both view and correct any errors.

The Error Reason and Error Description fields describe the error and what is causing it. The Recommended Action area provides links to setup jobs and transactions. You can use the setup jobs link to run the setup task where you can

correct any rule set errors. You can use the transaction link to rerun the transaction that received the error once the setup definition is corrected.

Provide External Questionnaire Responses

Respond to a Questionnaire

The buying company with which you want to enter into procurement transactions may ask to perform some assessments or qualifications on your company first.

If you're an existing supplier for the buying company, the buyer may also ask you to respond to regularly occurring reviews. As an example, an annual review of your certifications. If so, you receive a notification in your worklist area that a questionnaire exists to which you should respond. Once you answer the questions and attach any documentation requested, you can submit your answer to the buying company. If the supplier qualification manager at the buying company accepts your answers, your response is saved in the buying company's procurement application.

To respond to a qualification questionnaire:

1. View the questionnaire notification in your worklist. You can also navigate to the Manage Questionnaires page. This page lists any questionnaires awaiting a response.
2. View the questionnaire. If this questionnaire has existing responses for any of the questions, the existing response values are shown in the questionnaire.
3. Enter responses to the questionnaire. Some questions are required and some can be optional. You respond by entering values directly into the question or selecting values from the questionnaire menus.
 - o Note that there may be multiple sections to the questionnaire. If there are, you can use the **Section** dialog menu to move between sections. Any responses you enter for a section are saved when you move to a new section.
 - o The indicator bar on the question sections displays the number of root (not branching) questions of the questionnaire you have completed. The bar is updated whenever you save your response. If there are any questions with existing responses, the existing values are displayed, and the questions are considered answered when the progress indicator shows completion.
 - o Also notice that you may be required to attach documents to your response.
 - o You can save your response as a draft and update it later before finally submitting it for review with the buying company. Drafts are helpful if multiple people must collaborate on the response.
 - o If you're updating an existing response, you can quickly return to the initial response values by clicking **Reset Response**. You might want to reset your response values if new information becomes available while you're responding. .
4. When your response is complete, you submit it to the buying company for review and evaluation, and a notification is sent to the initiative owner.

Respond to Questions Using Products and Services or Business Qualifications

When your company registered with the buying company, the registration process collected information about your company and stored it in a supplier profile. Part of this information includes a breakdown of the products and services your company provides. Also appearing may be several types of business classification information such as small business certifications. The supplier qualification manager may have included questions on the questionnaire that use this information.

If a question uses your supplier products and services values, the question shows a hierarchical display of the products and services your company provides. You can use this information to answer subsequent questions on your company's products and services.

If a question uses business classifications, a bulleted list shows all the agencies from which the buyer company has supplier certifications. There's a link that shows any existing agencies from which a supplier may have obtained certificates. You can either click the link, or an icon next to it, to update existing certifications or add new ones. You must make sure to update your certifications from agencies included in a bulleted list.

Resubmit Responses

Once you submit your response, the qualification manager reviews your response. If there's a question about your response, the qualification manager contacts you. When you view the questionnaire again, you can see the details for the rejection and then update your response and resubmit it.

Surrogate Responses

If you're not able to submit a response to an initiative, you can request that the category manager submit a surrogate response for you. You do this by contacting the category manager at the buying company, for example, by phone or fax. You provide all the response information, and the category manager enters it for you. The category manager is your point of contact during the life of the initiative. The category manager contacts you for additional information if necessary (for example if your response must be modified and resubmitted).

How You Monitor Supplier Qualification

Examples of Requalification

There may be many situations where you must modify existing qualifications or assessments. You may also want to create initiatives and use them to obtain current information that you can use to requalify your suppliers.

The scenarios below present some situations where you may want to update your qualifications, assessments, or create qualifications, assessments, or initiatives.

Scenario

Extending the End Date For an Existing Qualification

James Nance, the supplier qualification manager, notices that the Security Control qualification for PennyPack Systems is close to expiration. He views the qualification and edits the end date so that it extends for another six months. He can successfully extend the qualification date because there are no PennyPack Systems qualifications in the future with which the extension would overlap.

Scenario

Predate the Start Date for a Future Qualification

Diane Cho sees that the Environmental Certification qualification for Allied Plastics expires in 30 days. However, when she checks on this, she notices that there is a subsequent Environmental Certification for Allied Plastics that doesn't begin until 60 days from today. So that the qualifications won't lapse between the expiration of the current qualification and

the beginning of the subsequent qualification, she accesses the future qualification and moves the start date back 30 days so the current qualification will end 30 days from today and the subsequent qualification will begin the next day.

Scenario

Extend the End Date of an Existing Assessment

Carlos Diaz has just arrived to work and is viewing his Watchlist to see if there are any issues he must address. He sees that there is an expiration reminder for the General assessment for Blue Semiconductors. When he views the assessment information, he notices in addition to the current assessment's upcoming expiration date, that the next assessment doesn't begin until 60 days after this assessment's end date. Carlos decided to modify the assessment end date so that its expiration is right before the beginning of the future assessment.

Scenario

Revise Qualification - Uptake New Responses

Francois Mierot receives an entry in the Recent Activities table on his work area that there are new supplier responses to the Financial Visibility qualification for Spruce Street Foods. He views the qualification details page, and chooses to revise the qualification. He views the new responses. He chooses to uptake the new responses. Also, because the new responses are more favorable, he chooses to update the Outcome value for the qualification. Finally, since there is now a more current qualification, he chooses to end date the existing qualification and set the start date for the new qualification to today's date.

Scenario

Revise Assessment - Uptake New Qualifications

The supplier qualification manager at US Electronics, Jenna Markum, has created a General assessment for supplier Seven Corporation. which has recently expired. The assessment includes the Financial Viability qualification which is also expired. However, Jenna knows that a new active qualification is now available for Financial Viability for Seven Corporation. The new qualification uses the same revision of the qualification area as the expired qualification. She wants to update the assessment with the new qualification.

She views the assessment and selects the revise option. She views the new qualification and chooses to replace the existing qualification with the new qualification. She updates the assessment outcome to a more favorable value based on the outcome of the new qualification. Finally, she end dates the existing assessment and sets the new assessment's Start Date to today. She saves the new assessment.

Scenario

Requalifying using a new Initiative

While looking through his Worklist, Green Corporation's qualification manager, Michael Anderson, sees that the Quality Control qualification for one of Green's suppliers is nearing expiration, and he must requalify the supplier. He views the Manage Qualifications page and selects the option to requalify using a new initiative.

The application creates a new initiative and copies the existing supplier and qualification area information. If there is a new version of the qualification area, the application uses it. The existing qualification owner and supplier contact are used. The qualification owner is added to the evaluation team. The most currently available question responses are copied. A new questionnaire is sent to the supplier.

When the supplier responds with new answers, Michael reviews and accepts the responses. Once all the qualification evaluators have approved the qualification, Michael end dates the current qualification and sets the start and end dates for the new qualification.

How You View Oracle Transactional Business Intelligence Reports

You can view the Oracle Transactional Business Intelligence (OTBI) reports for event-based initiatives, qualification creation, automatic scoring and evaluation of qualifications and assessments, and sharing of qualifications and assessments with suppliers.

For example, In BI analytics, you can select the required criteria and create reports to view and compare qualifications enabled for automatic scoring.

In Oracle Sourcing, you can create and view OTBI reports in which you can include and analyze draft negotiations.

7 Requisitions

Introduction to the Self Service Procurement Application

You can access the Self Service Procurement application on a mobile, tablet, laptop, or desktop web browser, or add it to your home screen for a full-screen, app-like experience.

You can perform various procurement activities such as search for items, create and manage requisitions, submit requisition, and check requisition statuses.

The application facilitates quick requisitioning of goods and services while on move, enabling you to complete tasks efficiently and help you focus on core responsibilities.

You can use the application to perform these activities:

- Set up and update requisitioning preferences
- View recently submitted requisitions with enhanced requisition statuses
- Use Featured Categories for easy access to items and services
- Use Elastic-based smart search to find catalog items and services
- Punchout to supplier sites either through catalog or search items
- View catalog item details
- Create smart form-based requests with information templates support
- Create noncatalog requests
- Shop using public and personal shopping lists
- Create personal shopping lists and add items to them
- Cart checkout to review and update requisition information
- Submit requisition for approval
- View current approver with whom the requisition is pending for approval
- Search and manage requisitions and lines

Get Started with the Self Service Procurement Application

Get Started with the Self Service Procurement Application

To access the Self Service Procurement application, you can launch it from the navigator or the springboard in the Oracle Fusion Cloud Self Service Procurement by clicking Purchase Requisitions (New).

You can also launch the URL shared by your organization in the browser on your device. The URL resembles this example:

```
https://<hostname>/fscmUI/redwood/procurement/requisitions
```

How You Secure Connections

Use a Virtual Private Network to access the Oracle Self Service Procurement application if you also use a Virtual Private Network to access the Oracle Fusion Cloud Procurement application server.

Install the Self Service Procurement Application on Your Devices

You can access the Self Service Procurement application on a web browser but for repeated use you can install the application and save it on your device.

To install the application on your laptop devices, follow these steps:

1. Launch the Self Service Procurement application URL in the Chrome browser.
2. Login into the application.
3. In the URL input box, click the **Install** icon.
4. Click **Install** when prompted.

To install the application on your Android phone devices, follow these steps:

1. Launch the Self Service Procurement application URL in the Chrome browser.
2. Sign In into the application.
3. Tap the **More** icon and select **Install app**.
4. Tap **Install** when prompted.
5. On the Add to Home screen dialog window, tap **Add automatically**.

To install the application on your iOS phone devices, follow these steps:

1. Launch the Self Service Procurement application URL in the Safari browser.
2. Sign In into the application.
3. Tap the **Share** icon.
4. Tap **Add to Home Screen**.
5. Edit the shortcut name if you like and then tap **Add**.

How You Set Your Preferences to Enable Requisition Creation

User requisition preferences specify default information for requisition creation.

Your user preferences are validated when you login to the application. Any error, such as a required setting that has no value, causes the preferences window to be displayed. Use the Edit button on the preferences window to edit your preferences. Requisition preferences errors must be fixed before you can create requisitions.

Set your preferences on the Requisitions page. From the Navigator, select **Purchase Requisitions (New)>Preferences**.

On the Preferences page you configure:

- Your default requisitioning BU.
- Delivery defaults.
- Billing defaults.
- Project Costing defaults.
- Charge accounts.

How You Set Defaults for Requisitioning BU

You must select the Requisitioning Business Unit to which your preferences will apply. Select your BU from the **Requisitioning BU** drop-down list.

How You Set Defaults for Delivery

Set these values in the Delivery section:

- Requester: Select the default requester for requisition creation.
- Deliver-to Location: Select a default deliver-to location for requisition lines. Based on your selection on the Requisition page, the application will show only those deliver-to locations that are enabled for the deliver-to organization derived for a line and locations that aren't assigned to any specific organization.

Note: You can configure one-time address for the Expense destination type.

- Destination Type: Specify the default destination type, Expense or Inventory. If you select Inventory, you can optionally select a default subinventory.
- Subinventory: You can select a default subinventory if the Destination Type is set to Inventory.

How You Set Defaults for Billing

Use the **Projects Costing** subsection to set default project settings.

Use the **Charge Accounts** subsection to set default accounts for requisition billing.

Charge Accounts include these fields:

- Charge Account Nickname: Specify a nickname for each charge account number.
- Charge To: Specify account number.

Add a new charge account using the + icon to the list of previously saved accounts by clicking **Add**. From the overflow menu of the charge accounts list, you can perform these actions:

- Click **Edit** to edit the account.
- Click **Delete** to delete the account.
- Click **Set as Primary** to set it as your primary account.

Shopping Catalog Search

When you search for items in the catalog, the application displays search results matching the keywords you entered in order of relevance from highest to lowest.

When you use the search box, the application generates automatic suggestions based on these parameters:

- Your recently searched keywords. These suggestions are indicated by a clock icon.
- The catalog content that you have access to. These suggestions are indicated by a magnifying glass icon.

To search items or services, you can either use the autosuggested keywords or enter attribute values as keywords. The keyword search works on these matching criteria:

- Begins With: Search results return matches that begin with the word specified.
- Stemming: Searches match words with their plural form and other tenses.
- Fuzzy Matching: Searches match words with similar spelling.
- Quotation Marks: Enclosing a phrase in quotation marks ensures that the exact phrase is present. If multiple words are entered without quotation marks, any result that matches one or more words is returned.

Here's the list that illustrates what attributes can be used with which content type:

Attribute	BPA Line	Master Item	Punchout Catalog	Punchout Search Item	Smart Form
Name	No	No	Yes	No	Yes
Agreement Number	Yes	No	No	Yes	Yes
Purchasing Category	Yes	Yes	No	Yes	Yes
Assigned Browsing Categories	Yes	Yes	Yes	Yes	Yes
Restrict to Browsing Category	No	No	No	No	Yes
UNSPSC	Yes	No	No	No	No
Item Number	Yes	Yes	No	No	No
Description	Yes	Yes	Yes	Yes	Yes
Keywords	No	No	Yes	No	Yes
GTIN	No	Yes	No	No	No
Manufacturer	Yes	Yes (0 or more)	No	Yes	Yes
Manufacturer Part Number	Yes	Yes (0 or more)	No	Yes	Yes
Supplier	Yes	Yes (0 or more)	Yes	Yes	Yes
Supplier Item	Yes	Yes (0 or more)	No	Yes	Yes

Supplier Item Auxiliary ID	Yes	No	No	Yes	No
Long Description	Yes	Yes	No	Yes	No
Alias	Yes	No	No	No	No
Comments	Yes	No	No	No	No

Here's the list that illustrates what attribute information is displayed in search results:

Attribute	Master Item	BPA Line with Backing Master Item	BPA Line without Backing Master Item	Punchout Search Item	Punchout Catalog	Smart Form
Item Description	Always	Always	Always	Always	Not Applicable	Not Applicable
Name	Not Applicable	Not Applicable	Not Applicable	Not Applicable	Always	Always
Image	Primary image in PIM	Thumbnail image from BPA	Thumbnail image from BPA	Item image	Catalog image	Smart Form image
Brand (Manufacturer)	If only 1 trading partner of type Manufacturer	Manufacturer from BPA line	Manufacturer	Manufacturer	Not Applicable	Not Applicable
Sold By (Supplier)	If only 1 trading partner of type Supplier	Supplier	Supplier	Supplier	Not Applicable	Not Applicable
Packaging String	Per availability and Opt In	Per availability and Opt In	Not Applicable	Not Applicable	Not Applicable	Not Applicable
Price per UOM	Always	Always	For Goods lines	Always	Not Applicable	Not Applicable
Add to Cart Link	Always	Always	Always	Not Applicable	Not Applicable	Not Applicable
Go to Site Link	Not Applicable	Not Applicable	Not Applicable	Always	Always	Not Applicable
Create Request Link	Not Applicable	Not Applicable	Not Applicable	Not Applicable	Not Applicable	Always

Requisition Search

When you search for requisitions on the My Requisitions page, the application shows the requisitions and lines created by you. By default, these are listed in the descending order of the creation date most recently created being at the top.

You can use the smart search that supports searchable attributes across requisition headers, lines, and distributions with built-in fuzzy matching. This provides a powerful search experience with more potential matches. You can narrow search results down progressively by using additional keywords.

When you use the search box, the application generates automatic suggestions based on these parameters:

- Your recently searched keywords. These suggestions are indicated by a clock icon.
- The requisition data. These suggestions are indicated by a magnifying glass icon.

A single search will search across requisition headers, lines, and distributions and returns matching requisitions and lines, excluding lines in Split or Replaced status. Searchable attributes are:

- Header: Requisition Number and Requisition Description.
- Line: Item Number, Item Description, Purchasing Category, Manufacturer, Manufacturer Part Number, Supplier, Supplier Item Number, Purchase Order Number, Transfer Order Number, Requester Name, Internal Deliver-to Location Name, and Deliver-to Address for One-time Locations.
- Distribution: Project Name, Project Number, and Cost Center.

Note: The application can display up to 10,000 requisition lines when you search requisitions.

How to Refine Requisition Search Using Filters

You can refine your search results using filters on the My Requisitions page.

Here's the list of filters that you can use:

- Requisitioning BU
- Creation Date
- Submission Date
- Action Required
- Requisition Status
- Supplier
- Category
- Deliver-to Location
- Entered By
- Line Status
- Special Handling Request Type
- Requester
- Requester Email

Note: The value with the highest count is displayed as the default. You can select that or any other value from the filter chip to narrow the results down based on your requirements.

Create Requisitions

What's the difference between an order and a requisition?

An order is a formal authorization to purchase goods or services. Your purchasing department creates a purchase order, which a supplier receives. A purchase order can be tracked until you receive the goods or services.

A requisition is a request for the goods or services. If approved, a purchase order is created to fulfill the requisition.

Create Catalog Requisitions

Create a Requisition

You can create a requisition in different ways in the application. You can shop for items from a local catalog, punchout catalog, or by creating a noncatalog request for items that aren't available in a catalog.



Here are the steps to create a requisition:

1. From the Navigator, under Procurement, select **Purchase Requisitions (New)**.
2. On the Requisitions page, in the Search field, enter the item or service that you want to order and click **Search**.
Alternatively, you can browse for items by selecting a category under the Featured categories section.
3. Items matching your search are displayed in order of relevance from highest to lowest on the Search Results page.
4. Select the item you want to order and add it to your requisition by clicking **Add to Cart**. The item is added to your shopping cart.
Alternatively, you can click the item, you will be presented with the Product Details page that contains details about the item. You can check the details and add it to your requisition by clicking **Add to Cart**. The item is added to your shopping cart.
5. Go to the Cart using the navigation bar on the page.
6. The Cart page contains the items that you added. You can update the quantity or delete items in the cart if needed.
If you change the quantity, the amounts in the requisition summary panel updates accordingly.
7. To update the requisition details, click the **Edit** icon in the Requisition summary section.
8. On the Requisition page, you can enter and edit the additional information such as delivery locations, project numbers, and add attachments.
9. Click **Update** to confirm your changes.
10. On the Cart page, to submit the requisition, click **Submit**.
That's it. You have created the requisition. It appears in the My recent requisitions section on the Home page where you can view the status and monitor its progress.

Shopping Lists

Shopping Lists

Shopping List is the collective term for Public and Personal Shopping Lists.

Public Shopping List

Public Shopping Lists are created by the procurement catalog administrator, and are collections of items available to a preparer or a requester for requisitioning. A Public Shopping List is also used to support kit requisitions, for example, office supplies, or a new hire kit. The availability of a Public Shopping List is based on the procurement BU in which the

list is created, and whether the preparer is granted access to the list. The availability of public shopping lists is controlled by the content zones the lists are included in.

Public Shopping Lists are created in procurement BUs, and can be shared across the requisitioning BUs served by the procurement BU services. If the procurement BU is the same as the requisitioning BU, only one requisitioning BU will have access to the Public Shopping List. If a procurement BU services multiple requisitioning BUs, the public shopping lists can be shared across the requisitioning business units that it services.

The procurement catalog administrator can add the following to a Public Shopping List through the supplier item catalog:

- Agreement Lines (both description-only and master item lines)
- Master Items

The availability of a public shopping list and its items to a preparer is determined by these conditions:

- The public shopping list is available to the user based on the content zone assignments.
- The master item or agreement lines are available to the user based on the content zone assignments.
- The master item is available in the deliver-to organization of the user and agreement lines are available to the requisitioning business unit of the user.
- The public shopping list is valid based on its start and end dates.

The catalog administrator can indicate a suggested quantity on a public shopping list item which will be defaulted when the preparer views the public shopping list.

The sequence value for the public shopping list items determines the order of display for the public shopping list lines when viewed by the user.

Personal Shopping List

You access personal shopping lists that you create and maintain in Shopping Lists. Personal shopping lists are separate from public shopping lists.

A shopping list is a collection of items created by a preparer or a requester. It allows you to quickly requisition items that you order frequently.

To create a personal shopping list, click Create Shopping List on the Shopping Lists page, provide a name for your list and click Create. Alternatively, you can create a new list when you add items to it from the search results or noncatalog request pages.

To add items to a personal shopping list, when viewing an item either in the search results or in product details after searching, click Add to List. In the Add to List page, select the destination list and click Add to Selected List. You can also create a new list by clicking Add to New List. Similarly, you can add noncatalog or smart form requests to a personal shopping list.

What's the difference between a Public Shopping List and Personal Shopping List?

Public shopping lists are created by procurement catalog administrators.

The availability of a public shopping list depends on which procurement BU it was created in and whether the preparer was granted access to it

With personal shopping lists you can create your own personal shopping lists. Use these to quickly requisition items that you order frequently.

Create a Requisition Using a Shopping List

You can create a requisition using a shopping list to quickly shop items that you order frequently. You can select items from the public shopping lists you have access to or the personal shopping lists you have created.

Here are the steps to create a requisition using a shopping list:

1. From the Navigator, under Procurement, select **Purchase Requisitions (New)**.
2. On the Requisitions page, in the Actions menu, click **Shopping Lists**.
3. The Shopping Lists page lists any public shopping lists that you have access to and any shopping lists that you have created for personal use.
You can also search shopping lists by name if you have many shopping lists.
4. Click the shopping list you want to order from.
5. Search for items within the shopping list by Item, Description, Supplier, Supplier Item, Manufacturer, or, Manufacturer Part Number attributes.
6. To add any item with the default quantity to your cart, select the check box.
Alternatively, if you update the quantity for a specific item, the item will be automatically select for you.
7. After selecting all the items you want to order, click **Add to Cart**. The items will be added to your shopping cart.
8. Go to the Cart using the navigation bar on the page.
9. The Cart page contains the items that you added, review the requisition details.
10. On the Cart page, to submit the requisition, click **Submit**.

That's it. You have created the requisition. It appears in the My recent requisitions section on the Home page where you can view the status and monitor its progress.

How You Search, Select, and Add Items to the Cart from a Shopping List

Search for items or services in the shopping list with a smart search similar to catalog search that supports additional searchable attributes and built-in fuzzy matching.

Search for items or services in the shopping list with a smart search similar to catalog search that supports additional searchable attributes and built-in fuzzy matching.

The searchable attributes include attributes such as item description, long description, supplier, supplier item, manufacturer, manufacturer part number, item number, and agreement number. You can successively narrow down search results by adding more than one keyword. You can drill down into the item to view more details.

An item will be automatically selected for you when you update the quantity to a value greater than 0.

The current item selection will be cleared whenever you search. Therefore, it's recommended that you add the selected items before you search.

You can add a single item, a set of items, or all items to the cart. If your selection also contains items with 0 quantity, those won't be added to the cart.

How can I quickly reorder an item?

Items you order frequently can be added to a personal shopping list. You can quickly add those items to a requisition from the list.

After searching for an item, from the search results, select **Add to My Shopping List**. Select any list you have created. You can also create a personal shopping list and add an item simultaneously. Create and manage shopping lists by clicking **Shopping Lists** drop down > **Create Shopping List** button on the Requisitions page.

How You Display Master Items in Search Results

These are the conditions for displaying master items in search results:

- It must be enabled for the deliver-to organization. The deliver-to organization is derived from the Location defined in the Requisition Preferences.
- It must have a description in the language the item is being searched.
- It should belong to a purchasing category.
- It should not be a CTO or ATO item.
- It should not be enabled for outside processing.
- One of these is applicable:
 - It's purchasable and the item's list price should be equal or greater than zero.
 - It's internal orderable.

How You Procure Goods from Preferred Supply Sources During Catalog Shopping

You can procure goods from preferred supply sources for items where multiple potential sources are available in the Self Service Procurement application.

The top preferred source is automatically determined based on:

- The priority specified on the blanket purchase agreement (for supplier-sourced items) or,
- The top-ranked source organization (for internal transfers).

When you procure goods from preferred supply sources, you will always be presented with the relevant information of the preferred supplier source or internal source to make an informed buying decision. If you're an advanced user, you can view all available supply sources, including available on hand quantity for internal sources and select the appropriate source based on your requirements. When you search for goods or use a featured category, catalog search results will only show matching master items. You must drill down to the product details to view source-related details, including pricing, and then add the item to the cart.

Here's how the top preferred source is determined for different item types:

- Purchasable only item:

The following hierarchy is applied to determine the top preferred agreement source:

- a. Agreement with the highest priority.
- b. If multiple agreements contain the same highest priority ranking or no agreements carry a priority, then the agreement with oldest creation date.
- c. If multiple agreements have same creation date, then the agreement with the lowest agreement line.

- Internally Orderable only item:

The source organization with the highest option rank will be the preferred supply source.

- Both Purchasable and Internally Orderable:

- For the Expense destination type, the internal source with the highest option ranking will be the preferred source. If an internal source isn't found, then a blanket purchase agreement will be used.

- For the Inventory destination type, the blanket purchase agreement with the highest priority will be the preferred source. If there's no agreement available, then the highest ranked internal source will be used as the supply source.

With the Allow Users to Shop from All Supply Sources during Catalog Shopping privilege, you can select a different source other than the preferred source from the list of available internal and supplier supply sources. Internal sources will always be displayed first in the alternate sources, followed by agreement sources.

Here are some of the considerations for procuring goods from preferred supply sources for items where multiple potential sources are available:

- For internal sources, the unit of measure will be the unit of issue of the source organization. If the unit of issue isn't defined in the source organization, then UOM will be the primary UOM in the destination organization.
- The Available sources page shows a maximum of 25 supplier sources (blanket purchase agreement) and 25 internal sources (source organization).
- On the Available sources page, you can show the manufacture name and manufacturer part number for each agreement using extensibility. This information helps you to know if the item is available with different manufacturers from the suppliers. In addition, you can also hide the supplier item and agreement number.
- Available on-hand quantity in each internal supply source is always shown in the primary UOM of the deliver-to organization.
- Catalog search will only match master items and not agreement lines that contain the master item.
- This applies to only to master items. Behavior for other catalog content like agreement lines without an item, punchout, and smart form requests remains the same.
- This applies only to catalog shopping (Keyword search and Featured category drill down). Behavior for shopping lists remains the same.

How You Change Description and Pricing for Catalog Items During Shopping

You can change the following information for catalog items during shopping:

- Description and price for a master item.
- Price or amount for a blanket purchase agreement line based on the type of line.

You can change price and description for catalog items depending on these conditions:

Catalog Content Type	Attribute	Conditions for Attribute Modification
Master Item	Price	Additional privilege is required.*
Master Item	Description	- Additional privilege is required.* - Product Information Management item setup is configured to allow description update on purchasing documents.
Blanket Purchase Agreement Line	Price or Amount	- The Agreement Price Override on Requisition Lines Allowed (ORA_POR_BPA_PRICE_OVERRIDE) profile option is set to Yes. - Blanket purchase agreement line setup is configured to allow price override.

Catalog Content Type	Attribute	Conditions for Attribute Modification
Blanket Purchase Agreement Line	Description	- The Override of Agreement Line Description on Requisition Lines Allowed (ORA_POR_BPA_DESCRIPTION_OVERRIDE) profile option is set to Yes. - Blanket purchase agreement line setup is configured to allow description update.

*Either the Create Requisition with Quick Entry privilege or the Allow users to override master item attributes during catalog shopping privilege is required.

This is how you can modify the values for price and description for catalog items:

- By drilling down to the Product Details page from the search result card for the item. You can make the desired change and upon adding to the cart the requisition line will be created with specified values.
- To modify the values of the catalog item after it has been added to the cart, navigate to the Line Product Details page by clicking the item description link for the line in the shopping cart.

Here are some of the considerations for modify the values for price and description:

- For blanket purchase agreement lines with currency other than the ledger currency, the transactional currency price or amount is updatable on both the Product Details and the Line Product Details pages.
- On the Product Details page, the updates to any of the attributes are only applicable to the Add to Cart action. The Add to List action always adds the item with original attribute values. Also, the changes made to attributes are visible until you are on the page.
- For items that can be sourced from inventory or supplier, any changes to the attributes made will be ignored if the source is determined to be inventory upon Add to Cart.

Create Noncatalog Requisitions

What's a Noncatalog Request?

Use noncatalog requests to purchase goods and services not available in the catalog. You can use noncatalog requests to order Goods and Fixed Price Services.

Use the Purchase Requisitions (New) work area to create noncatalog requests. Select the new supplier check box if the supplier you want to order from isn't an approved supplier. With this selected, you can enter information for suppliers that aren't yet approved for use by your organization.

What's the difference between a catalog request and a noncatalog request?

A catalog request is a request for any item that you can search for and select in the catalog.

A noncatalog request is a request for an item not found in the catalog. For noncatalog requests, information is manually entered for the item.

Create a Noncatalog Request

You can create a noncatalog request to purchase goods and services not available in the catalog. You can use noncatalog requests to order Goods and Fixed Price Services.

Here are the steps to create a noncatalog request:

1. From the Navigator, under Procurement, select **Purchase Requisitions (New)**.
2. On the Requisitions page, click **Create Noncatalog Request**.
3. On the Noncatalog Request page, enter the item description and select the item type.
4. Provide the pricing details.
5. Select the supplier you want to order from and provide the required details.

Alternatively, you can select the new supplier check box if the supplier you want to order from isn't an approved supplier. With this selected, you can enter information for suppliers that aren't yet approved for use by your organization.

6. To add the request, click **Add to Cart**. The request is added to your shopping cart.
7. To go to the Cart page, click **View Cart** on the confirmation message.
8. On the Cart page, to submit the requisition, click **Submit**.

That's it. You have created the requisition. It appears on the My recent requisitions section on the Home page where you can view the status and monitor its progress.

How You Use Noncatalog Requests to Order Rate-Based Services

You can use noncatalog requests to order rate-based services using the Services billed by quantity item type.

You can set the product type tax determinant to Services when you use the Services billed by quantity item type to ensure tax rates applicable for services are used for tax determination of rate-based services.

How You Use Different Item Types in Noncatalog Requests

You can use noncatalog requests to order Goods and Fixed Price Services. On the Configure Requisitioning Business Function page, you can control which item type is used by default by selecting the default line type.

Here are some considerations while selecting different item types:

- The Services billed by quantity item type is associated with the seeded line type Rate Based Services.
- The Goods billed by quantity item type is associated with the seeded line type Goods.
- The Services billed by amount item type is associated with the seeded line type Fixed Price Services.

What's a smart form?

A smart form is used by catalog administrators to define noncatalog request forms.

Catalog administrators can define forms for multiple purposes: goods based or fixed price services based request types.

A smart form can contain default information and can be extended using information templates to collect additional information.

Related Topics

- [What's an information template?](#)

What's an information template?

Information templates add additional attributes to a smart form to gather additional information from the requisition preparer.

Information templates can also be associated with items and categories.

Create a Requisition Using a Smart Form

You can create a requisition using a smart form to create request for items you want to order. A smart form can contain default information and can be extended using information templates to collect additional information.

Here are the steps to create a requisition using a smart form:

1. From the Navigator, under Procurement, select **Purchase Requisitions (New)**.
2. On the Requisitions page, search for the smart form you want to use.
3. Select the smart form and click **Create Request**.
4. On the Create Request page, review the available information, add more information, or modify the existing information wherever permitted by the Catalog administrator.
5. To add the request, click **Add to Cart**. The request is added to your shopping cart.
6. To go to the Cart page, click **View Cart** on the confirmation message.
7. On the Cart page, to submit the requisition, click **Submit**.

That's it. You have created the requisition. It appears in the My recent requisitions section on the Home page where you can view the status and monitor its progress.

Internal Material Transfers

Internal Material Transfer Requisitions

An internal material transfer is a manual transfer of materials to expense or between organizations.

The application supports internal material transfers for self service users, and for advanced procurement requesters. (Internal material transfers aren't supported for automated requests such as FBDI Import and Purchase Request Web Service)

Budgetary control and encumbrance accounting are supported for internal material transfers to expense destination in requisition lines with or without project details.

Both inventory and expense destination types are supported for internal material transfers.

Before you can enter internal material transfer requisitions, the Internal Material Transfers feature must be enabled for the Self Service Procurement functional area.

You must also have these privileges to work with internal material transfers:

- Create Requisition for Internal Material Transfers - let's you create internal material transfers requisitions.

- Get Internal Transfer Requesting Organization Price - enables obtaining transfer prices from the requesting organization for an internal transfer order
- Manage Inventory Transfer Order - allows the management of inventory transfer orders

For more information, see the Define Procurement Configuration Options chapter in the Implementing Procurement guide.

Source Organizations and Destination Types

Both inventory and expense destination types are supported for internal material transfers.

For expense destinations, the destination inventory organization is used as the preferred source organization. For inventory destinations, the source organization is determined based on supply source ranking information.

Source Organizations and Self Service Requisitions

When you search for an item in the Shopping Home page, items that are available internally are returned in the search result with a badge indicating that the item is internally orderable. This way you know that the item can be potentially sourced internally even if it's a purchasable item.

The internal availability indicator is shown for these item configurations:

- Item is only internally transferable
- Item is both purchasable and internally transferable, whether the item is a master item or an agreement-backed item

The application transparently determines whether the item is available internally and can be fulfilled using an internal material transfer, or whether it must be purchased from an external supplier. When the item is available within the organization, the application determines the best way to source it.

Source Organizations, Rankings, and Advanced Procurement Requesters

As an advanced procurement requester, you can use internal material transfers to quickly request items. You can create requisition lines to balance time-sensitive inventory levels, or to transfer items between locations. Both expense or inventory destinations are supported.

Optionally, you can manually select a source organization. Different source organizations are ranked based on previously established sourcing rules or using distance information.

Available inventory quantities are displayed along with the source organizations in the primary UOM of the item when Supply Availability Details for Internal Transfers is enabled in the Configure Requisitioning Business Unit task.

For planned items, the source organization ranking can be configured using the sourcing rules in Oracle Fusion Global Order Promising. For non-planned items, the ranking is determined using the distance values configured for the from and to organization pairs in the Manage Interorganization Parameters task.

See Setup of Interorganization Parameters for Transfer Orders in the SCM Cloud Implementing Manufacturing and Supply Chain Materials Management guide.

Intersubinventory Transfer

For inventory destination transfers, you can use Self Service Procurement to transfer materials from a source organization that stocks the material to a destination organization.

Note: You can't transfer materials from a source subinventory to a destination subinventory within the same organization using Self Service Procurement.

Transfer Prices

A transfer price is the price that one organization charges for the goods or services that it provides to another inventory organization.

Transfer prices are automatically calculated and displayed directly in the requisition line for an internal material transfer and are updated according to the supply source chosen.

Transfer prices can be based on:

- Cost
- A price previously negotiated between two organizations
- A financial trade agreement between the supplier organization and its immediate financial trade partner (either the requesting or an intermediary organization)
- Other factors such as the item involved, sender organization, profit center, partner profit center and so on

Oracle Supply Chain Financial Orchestration when integrated with Procurement provides support for the transfer price calculation. For more information on how transfer prices are calculated, see *Internal Material Transfer Price: How It Is Calculated* in the Oracle SCM Cloud Implementing Manufacturing and Supply Chain Materials Management guide.

Budgetary Control and Encumbrance Accounting

Budgetary control and encumbrance accounting rules are supported for expense destination internal material transfers with and without project.

With funds checking, users can ensure that budget funds are available before a requisition for an internal transfer is submitted for approval. Funds reservation can occur on requisition submission or on completion of requisition approval depending on your budgetary control configuration. Insufficient funds override rules and approvers can be configured as part of your budgetary control setup. Find the page in the Setup and Maintenance work area, Financials offering, Manage Budgetary Control task.

Encumbrance accounting entries are created for transactions subject to budgetary control and encumbrance accounting when the Create Accounting ESS program executes.

For more information see *Define Budgetary Control and Encumbrance Accounting* in the Oracle Fusion Cloud Procurement: Implementing Procurement guide.

Life Cycle Tracking

Visibility into the life cycle of transfer orders, shipments, and receipts is supported by means of the status on the requisition line.

You can request only the full cancellation of a transfer order line.

Approvals

As an advanced procurement requester, you can use internal material transfers to quickly request items, or to transfer items between locations, with control over the source of the item to choose the most appropriate option.

Both inter- and intra-organization transfers are supported for expense destinations. For inventory destinations, only inter-organization transfers are supported. A requisition can include both transfer items and purchase requests.

Approval routing for requisitions including internal transfers works the same as it does for purchase requisitions. When the requisition is approved, a transfer order is automatically created. Transfer order activity is visible in lifecycle tracking for the requisition.

The Internal Transfer Requisition approval attribute let's you tailor the approval rules of requisitions for internal transfers to your business needs. For more information, see *Approval Rules for Internal Material Transfer Requisitions: Explained* in the *Implementing Procurement* guide.

Related Topics

- [How You Procure Goods from Preferred Supply Sources During Catalog Shopping](#)
- [Overview of Internal Material Transfers](#)
- [Approval Rules for Internal Material Transfer Requisitions](#)
- [How the Internal Material Transfer Price Is Calculated](#)
- [Setup of Interorganization Parameters for Transfer Orders](#)
- [Set Up Promising to Support Your Transfer Flow](#)

Project Costing for Internal Material Transfers

You can request internally stocked items to fulfill project material requirements. Create internal requisitions for expense destination items and charge the transfer cost to projects by including project costing details in the distribution.

When entering project details in the distribution, you must consider these points:

- When projects are provided, only one distribution is allowed for Internal Material Transfer to expense destination. This means, you won't be able to split the distributions for an Internal Material Transfer line which is going to expense and which has project details. If the Internal Material Transfer line going to expense already has multiple distributions, you won't be able to add project associations to distributions.
- When projects are provided for Internal Material Transfers to expense destination, Budgetary Control and Encumbrance Accounting is supported for expense destination internal transfer orders with project or without project.
- Similar to purchase requisition lines, your preference project default will also apply to Internal Material Transfer to expense.
- For inventory destination, you must opt in to Project-Driven Supply chain feature from Manufacturing and Supply Chain Materials Management offering and enable inventory organization for project tracking. When the feature is opted in, you can transfer common inventory to a project site and charge the expenditure to the project.

These are the capabilities that are supported:

- Create project-stripped internal requisition with an expense destination type
- Create project commitment on requisition approval, this can be viewed in PPM
- Create project-stripped transfer orders with expense destination type
- Charge the expenditure to the project at destination

These capabilities reduce project costs and improve agility by allowing you to aggregate common material demand across projects and allocate material and costs to projects when used.

Budgetary Control and Encumbrance Accounting for Expense Destination Internal Material Transfers

Budgetary control and encumbrance accounting is supported for expense destination internal transfer orders with project or without project.

With funds checking, you can ensure that budget funds are available before a requisition for an internal transfer is submitted for approval. Depending on your budgetary control configuration, the funds will be reserved either at the time the requisition is submitted for approval, or when the requisition is approved.

Insufficient funds override rules and approvers can be configured as part of budgetary control setup.

Encumbrance accounting entries are created for transactions subject to budgetary control and encumbrance accounting when the Create Accounting ESS program executes.

Use the Requisition for internal material transfer transaction subtype to enable budgetary control of requisitions for internal material transfers.

Budget managers can decide whether to enable budgetary control for this transaction type. When it's enabled, Oracle Self Service Procurement will permit funds check and funds reservation for expense destination internal material transfers.

For more information see the Define Budgetary Control and Encumbrance Accounting chapter in the Implementing Procurement guide.

Related Topics

- [How You Define the Funds Reservation Point for Purchasing Documents](#)
- [How You Define Funds Override Rules for a Control Budget](#)

Transfer Pricing for Internal Material Transfers

The transfer price is the amount organization charges for the goods or services that it provides to another inventory organization.

You can see the transfer price displayed in the Price field for a requisition line for internal material transfer items, and in the Transfer Price field in Transfer Order pages.

The transfer price can be based on a number of factors, such as cost or pricing agreements between subunits, and is calculated through integration with Oracle Fusion Supply Chain Financial Orchestration.

The transfer price is re-calculated whenever there is a change to the source organization. In addition, when the requisition is submitted for approval, the application will retrieve the latest transfer price information.

For more information on how the Transfer Price is calculated, see Internal Material Transfer Price: How It Is Calculated in the Oracle SCM Cloud Implementing Manufacturing and Supply Chain Materials Management guide.

How to Set the Unit of Measure and the Rounding Factor for Internal Material Transfers

To set the unit of measure and the rounding factor for internal material transfers, the Purchasing attributes: Unit of Issue and Rounding Factor need to be set when defining or updating inventory items.

These attributes determine the unit of measure to be used for internal material transfers, and whether and how the quantity should be rounded off.

Unit of Issue

When specified, the application uses the unit of issue as the default unit of measure for internal material transfer requests. In the Purchasing attributes of the item definition, you can specify the unit of issue by entering the unit of measure you typically use to issue the item from inventory. You use units of issue to round order quantities, minimizing shipping, warehousing, and handling costs. The unit of issue must belong to the same unit of measure class as the

primary unit of measure. When no unit of issue is specified for the item, the application uses the primary unit of measure of the item as the default unit of measure for internal material transfers.

Rounding Factor

Rounding Factor ensures that the unit of issue resolves to an integer rather than a fractional amount when you create requisitions for internal material transfers. In the Purchasing attributes of the item definition, you can specify a rounding factor by entering a number between 0 and 1. This factor determines how to round the quantity on an internal material transfer requisition that results from conversions between the requisition line unit of measure and the item's *Unit of Issue*.

For example, suppose the requisition line unit of measure is *each*, and the unit of issue is *dozen*. For an internal requisition of 20 each, the application converts the order quantity to 1.75 dozen. With a rounding factor of 0.6, the application rounds up the order quantity to 2 dozen. (Rounding factor of 0.75 also rounds up to 2 dozen.) With a rounding factor of 0.8, the application rounds down the order quantity to 1 dozen.

Note: To enable the rounding factor for internal material transfers, you must also set the Rounding Factor Enforced for Internal Material Transfers profile option (ORA_POR_ENABLE_ROUNDING_FACTOR_FOR_IMT) to Yes.

Related Topics

- [List of Profile Options](#)

How You Create Special Handling Requisitions

You can create requisitions requiring special handling by your suppliers. While creating the requisition, you can capture handling details in special handling descriptive flexfields on the document header and lines.

For example, create bill-only documents that include details such as the physician's name and the item's lot and serial number.

Here are some of the considerations for creating special handling requisitions:

- You can't delete special handling types after you create them in the Manage Special Handling Types task. Disable the special handling type so that requesters and buyers no longer see the type as a choice when creating documents.
- The context associated with the special handling type can't be changed after creating the type. When you create a special handling document, the context will default onto the document and control which segments you see. You won't be able to see or change the context itself on the document.
- The Bill Only special handling type and associated contexts are seeded. You can use them as is or configure them.
- Any changes to the Special Handling Attributes for Headers or Special Handling Attributes for Lines flexfields are shared between Self Service Procurement and Purchasing. New and changed contexts and segments will show up in both applications.
- To create special handling requisitions online, enable the Procure Goods and Services Using the Redwood Self Service Procurement Application feature.
- All special handling requisition lines must have a supplier and supplier site. The supplier and supplier site must be the same across all requisition lines.
- Internal material transfers aren't supported on special handling requisitions.
- If Automatically Create Receipt is enabled for the special handling type:

- You can't create lines with items that are lot or serial controlled.
- Receipt routing will be read-only and set to Direct Delivery.
- The destination type must be Expense.
- Regardless of the grouping settings on the procurement business unit or agreement, special handling requisitions can't be grouped with any other requisitions. Special handling requisition lines also can't be grouped.
- You can't split or update special handling requisition lines from catalog on the Process Requisitions page. You can't group special handling requisition lines manually on the Edit Document Builder page.
- A special handling type is available as a header-level approval attribute for writing rules.
- The Bill Only special handling type is associated with the Bill Only Context for Headers and Bill Only Context for Lines.
 - The Bill Only Context for Headers context includes these context-sensitive segments:
 - Physician Name
 - Date of Service
 - Reference Number
 - The Bill Only Context for Lines context includes these context-sensitive segments:
 - Lot
 - Serial Number

Oracle Healthcare Marketplace

Overview of Oracle Healthcare Marketplace

Oracle Healthcare Marketplace gives you access to a vast list of healthcare items that have been cleansed and enriched with GTINs, manufacturer part numbers, and relevant healthcare attributes.

If you don't find what you need within your local catalog or preferred contracts, you can search an extensive healthcare product catalog within the same shopping experience. A noncatalog request submitted with items from Oracle Healthcare Marketplace provides the buying organization the key product details for buying and sourcing efficiency.

Considerations for Searching Items in Oracle Healthcare Marketplace

Oracle Healthcare Marketplace gives you access to a vast list of healthcare items that have been cleansed and enriched with GTINs, manufacturer part numbers and relevant healthcare attributes.

Here are some of the considerations before searching items in Oracle Healthcare Marketplace:

- Before you can search items in Oracle Healthcare Marketplace, you must meet these conditions:
 - You must have an agreement with Symmetric.
 - You must configure the connection that allows Oracle to connect to Symmetric to execute a search and return results.
 - You must have the Search Oracle Healthcare Marketplace for Items (POR_SEARCH_ORACLE_HEALTHCARE_MARKETPLACE_PRIV) privilege.
 - You must have opted in to the Procure Items from Oracle Healthcare Marketplace feature.
 - First, search in your local catalog. If you have opted into the Procure Extended Contract Items feature, search for items there next. If you still can't find the item you're looking for, you can then search in Oracle Healthcare Marketplace.

- Price and source aren't available for items returned from a search of Oracle Healthcare Marketplace.
- When you add a search result to your shopping cart, the application tries to match the returned Unit of Measure (UOM) and category with the corresponding UOM and category in Fusion. If no match is found, the respective value will be left blank. However, even if a match is found, you can select or change the UOM and category as needed.
- Purchase orders can't be automatically created for items from Oracle Healthcare Marketplace. The lines must be sent to a buyer for manual processing into a purchase order. This also means that a requester can't select the Negotiated checkbox while shopping.

How You Change Segments of the Charge Account after the Charge Account Is Generated

The application derives the charge account from the employee charge account and the purchasing category.

After a requisition line is generated and you try to change some of the segments in the charge account that was derived by the rule, the application won't accept the change and revert it back to the one derived by the rule.

If you want to change some of the segments of the charge account after the charge account is generated, you need to add this condition to your natural account segment rule:

```
"Cross BU" = N 'And' "Requisition Charge Account"."All" Is null
```

This means the application will apply the segment overlay rule if you didn't manually enter a requisition charge account, in which case the requisition charge account will be null.

Here's how you add the condition to your natural account segment:

1. In the Setup and Maintenance work area, search for the Manage Account Rules.
2. On the Manage Account Rules page, to create a new natural account rule, click **Create**.
3. On the Create Account Rule page, enter details for the required fields.
4. Select Segment for Rule Type and then select Natural Account Segment.
5. In the Rules section, select Mapping set for Value Type and map it with the required mapping set.
6. In the Condition section, add this condition: "Cross BU" = N 'And' "Requisition Charge Account"."All" Is null
7. Click **Save and Close**.

How You Deliver to a Structured One-Time Address from a Requisition

As a requester, you can see a structured one-time delivery address while viewing and editing a requisition.

Key details you should know about a structured one-time delivery address on a requisition include:

- What is a structured one-time delivery address?
- How is it displayed on a requisition?
- How is it used in a requisition?

When You Use One-Time Delivery Address

Use a one-time address to specify a delivery address that's not attached to any defined location. When the feature is enabled in the application, you can enter a structured one-time delivery address for shipping when entering or editing a requisition.

How a Structured One-Time Delivery Address is Displayed on a Requisition

On a requisition, a structured one-time delivery address is displayed in fields when the **Deliver-to Location Type** field is set to **One Time**.

As a requester you can see the structured one-time delivery address wherever the deliver-to location is shown on a requisition, such as:

- Requisitions page, in the line details in the Requisition Lines section
- Edit Requisition page, in the Search Results: Requisition Lines section
- Requisition Lines page, in the Search Results section
- Requisition PDF.

Hover over a structured one-time delivery address to view a tool tip displaying the full address. Click the contextual icon next to a structured one-time delivery address to view the location on a map.

How You Enable One-Time Delivery Addresses

To use structured one-time delivery addresses, the Capture One-Time Delivery Address in Structured Fields feature must be enabled for Procurement, and structured one-time addresses must be enabled for your BU. In addition, you must be assigned a role that includes the Create Requisition with One Time Location privilege.

How You Specify a One-Time delivery Address

In the Purchase Requisitions work area, on the **Edit Requisition** or **Enter Requisition Line** pages, select **One Time** from the **Deliver-to Location Type** drop-down list. If structured one-time addresses are enabled for your BU, enter the address in the fields provided. The fields and allowable values are based on the address style for the country you select. If structured one-time addresses aren't enabled for your BU, enter the address in the **Deliver-to Address** field.

How You Validate a Structured One-Time Address

If structured one-time delivery addresses are enabled for your BU, address values are validated against a template as you enter them. The template used depends on the country you select for the address. You are reminded of required fields, and are prevented from choosing invalid values for fields. If the address template for your country is configured by your administrator to use address cleansing, a **Verify Address** icon appears. Click it to check the address.

Related Topics

- [Structured One-Time Delivery Address in Purchase Orders](#)

Purchase Requisitions for Outside Processing in Procurement

As a buyer or procurement manager, you can manage requisitions to support the handling of outside processing items.

Important aspects for understanding and working with requisitions for outside processing include the following:

- How procurement fits into the outside processing flow.
- Prerequisite setup needed for the automated flow in procurement.
- Outside processing details visible on a requisition.

Procurement Role in Outside Processing

Oracle Fusion Cloud Procurement integrates with Oracle Fusion Cloud Supply Chain Management to support the automatic creation of requisition lines for outside processing items. When there is work order demand for supplier operations for outside processing services, the general flow is:

1. Oracle Fusion Supply Chain Orchestration calls the Purchase Request web service, to send a request to Procurement for an outside processing item.
2. The web service accepts the request to create an externally managed requisition for the item.
3. Based on a blanket purchase agreement for the outside processing item, a purchase order is generated from the requisition, either automatically or manually.

Prerequisite Setup

Use setup tasks found in the Setup and Maintenance work area to configure the automatic creation and approval of requisitions for outside processing items:

- Create the supplier record for a provider of outside processing services. Use the Create Supplier task in the Suppliers functional area.
- Define account derivation rules. Use the Manage Mapping Sets task in the Procurement Transaction Account Rules functional area.
- Set up document approval rules. Use the Manage Requisition Approvals and Manage Purchasing Document Approvals tasks in the Approval Management functional area.
- Either use the delivered document style for outside processing purchasing documents, or create one. Use the Manage Document Styles task in the Procurement Foundation functional area.
- Create purchase agreements for outside processing items. Use the Create Agreements task, in the Purchase Agreements work area.

Outside Processing Details in Requisitions

An outside processing requisition can only come from the integration with Supply Chain Orchestration. You can't:

- See the externally managed, outside processing requisition in the Purchase Requisitions work area.
- Use the Purchase Requisitions work area to create requisitions with outside processing items, or source them to an agreement with an outside processing document style.

You can see the outside processing requisition information in the Purchase Orders work area, if the requisition isn't automatically converted into a purchase order. You can search for outside processing requisitions requiring manual processing, using the Process Requisitions and View Requisition Lines tasks. Use the Advanced Search function to add the Work Order Number as a search field.

In the search results, for outside processing items, the Description column displays an Information icon. Display text for the icon states, "This is an outside processing transaction". Click the icon to view the Manufacturing Details dialog.

When you review outside processing requisitions, in addition to the usual requisition information you can also see these details:

- Description on the requisition line includes an Information icon. Display text for the icon states, "This is an outside processing transaction".
- Click the icon to view the Manufacturing Details dialog, which displays the Product, Work Order, and Operation Sequence.

When a requisition line with an outside processing item isn't automatically converted to a purchase order, you can:

- Manually process the line into a purchase order.
- Split the requisition line.

You can't add an outside processing item to an existing order that doesn't have the outside processing document style applied.

How Funds Are Reserved for Requisitions

Budget control is available for requisitions. Based on the control budget setup, funds are reserved either when the preparer submits the requisition, or when the requisition is approved.

For requisitions that require a long approval process, reserving the funds when the requisition is submitted ensures the available funds aren't consumed by other transactions.

Key aspects of funds reservation for a requisition are:

- How funds are reserved for a requisition
- Setup needed for funds reservation
- How encumbrance accounting interacts with reserve on submit
- What happens to reserved funds if the requisition isn't approved
- What you can do if funds aren't available in the budget

How Funds Are Reserved

Funds reservation is done automatically either when you submit a requisition or after the requisition is approved. Control budgets apply to a requisition line based on the charge of account, budget date, and project specified at the distribution level. Funds are reserved based on the setup for the control budget, when a requisition subject to budgetary control is submitted or approved.

Note: For imported requisitions either you can reserve funds after the requisition is approved or you can import an incomplete requisition using FBDI or the Purchase Request Web Service, submit it for approval after completion, and have funds reserved upon submission.

Setup Needed for Funds Reservation

You can enable budgetary control for ledgers, business units assigned to a ledger, projects, transaction types, and journal sources and categories.

Your organization can choose the point at which funds are reserved for requisitions, either on requisition submission or requisition approval. In the Setup and Maintenance work area, use the Manage Budgetary Control task in the Manage Budgetary Control and Encumbrance Accounting offering of the Financials functional area.

For the Requisition transaction type, you can enable budgetary control and encumbrance accounting for these transaction subtypes:

Transaction Type	Transaction Subtype	Description
Requisition	Non-project internal material transfer to expense	Internal material transfers to expense destination without project details. It doesn't include intercompany transfers.
Requisition	Project internal material transfer to expense	Internal material transfers to expense destination with project details. It doesn't include intercompany transfers.
Requisition	Requisition for supplier purchases	Purchase requisitions to expense destination with or without project details, and purchase requisitions to inventory destination without project details. It doesn't include purchase requisitions for the Supply Chain integration flows such as back-to-back, drop ship and manufacturing destination types, outside processing, and requisitions with Procurement card.

Note: When you turn off any of the transaction subtypes and the business unit is still enabled for budgetary control, the requisition line and its distributions will have Not Applicable funds status. If budgetary control is enabled at the BU level, all transactions are subject to budgetary control. But when you turn it off at the transaction subtype level, the application ensures your transaction carries a nonapplicable funds status, which is the same as having no control budget applicable for the transaction.

How Encumbrance Accounting Interacts with Reserve on Submit

Encumbrance accounting is created only upon implementation of the requisition, not when the requisition is submitted.

Note: Use the Create Accounting process to generate journal entries for submission to Oracle Fusion General Ledger. This process creates encumbrance journals in the general ledger.

What Happens When the Requisition Is Not Approved

If a requisition for which funds have been reserved on submission is rejected during the approval process, any funds previously reserved are released and put back into the budget.

What Happens When Funds Are Not Available

When budget isn't available for a requisition, you can request a funds override to resolve the constraint if all of the following are true:

- You have the Request Budgetary Control Override security privilege.

- Funds override is enabled for the control budget
- The overall override limit for the control budget hasn't been exceeded
- A funds override approver can be identified for the transaction based on the control budget's override rules
- As the requester or the approver, you have the Request Budgetary Control Override security privilege.

You can also request override if you're the approver, and have the needed security privilege.

The funds override process supports a funds override request, funds override approval and reserving funds with an override at approval.

How You Edit Budgetary-Controlled Requisitions

As an approver, you can edit a budgetary-controlled requisition submitted by a preparer, if the Allow Approvers to Update Budgetary-Controlled Requisitions feature is enabled for your application. You can edit the chart of accounts, project details, quantity ordered and so on. When you submit the edited budgetary-controlled requisition, the application runs budget checks and handles the funds reservation on either submit or approval, depending on the budgetary controls configuration.

If the budget check fails, you're notified with an appropriate error message. If you reject the requisition, funds won't be reserved if they haven't been already, and the requisition won't be submitted.

If you have the Request Budgetary Control Override security privilege, you can request override.

The Budgetary Control Analysis Account Activities is an Oracle Analytics Publisher report that helps you see which activities are consuming your budget. Approver edits of a Budgetary Control and Encumbrance Accounting-enabled requisition during the approval process results in the creation of the following entries in the report:

Action by Approver	Transaction Action
Approver clicks Edit button	Requisition withdraw
Approver clicks Funds Check button	Requisition check
Approver clicks Submit button	Requisition submit

Related Topics

- [Funds Override for Requisitions](#)
- [Funds Override for Purchase Orders](#)
- [Funds Reservation for a Purchase Order](#)
- [How You Define the Funds Reservation Point for Purchasing Documents](#)

Funds Override for Requisitions

As an advanced requester, you can submit a requisition with insufficient funds and request a funds override. The requisition must be subject to a control budget with funds override enabled.

The funds override request is sent to the appropriate person for approval. After approval is secured, the funds are reserved for the requisition.

Key factors affecting whether and how you can process requests for which there is insufficient funds are:

- Prerequisites such as budgetary control setup and security privileges
- Submitting a requisition with insufficient funds
- Requesting override for insufficient funds
- Approval routing based on budgetary control setup
- Viewing the funds override in the requisition

Prerequisites

To request an insufficient funds override, you must be assigned a role that includes the Request Budgetary Control Override privilege. Your organization can also add or remove the privilege from user-defined roles.

You can request funds override for a requisition only if:

- The transaction is subject to a control budget that has funds override enabled
- The override limit for the control budget isn't exhausted
- A funds override approver can be identified
- The required override amount for each distribution is equal to or less than the approver's override approval limit

Your organization sets up funds override rules for a control budget using the Manage Control Budgets task, in the Financials offering.

How You Submit a Requisition with Insufficient Funds

Prior to submitting a requisition for approval, you can perform a funds check. Assuming the prerequisite criteria are met, if the transaction lacks sufficient funds, you can still submit the requisition for approval.

Request Override for Insufficient Funds

When you submit a requisition and it fails funds check, you're provided the option to request an insufficient funds override request.

1. The Warning dialog displays the message, "Funds check failed for the requisition but override is available. Do you want to submit the requisition?"
2. Click **View Funds Check Result** to display results in the Funds Check: Requisition dialog.
3. On the Warning dialog, enter a Justification and click **Yes** to submit the funds override request.
4. Click **Continue** to request a funds override.
5. Click **OK** on the confirmation dialog.

Related Topics

- [How Funds Are Reserved for Requisitions](#)

Source Documents and Requisitions

Consider these situations when you source documents and requisitions.

How You Use Blanket Purchase Agreements to Source Requisitions That Contain Description-Based Items

Blanket purchase agreements (BPAs) are created for description-based items. But when you use a Smart Form request or the Enter Requisition Line flow to create requisitions, for description-based requests, only contract purchase agreements (CPAs) are available in the Agreements selector. But you require to leverage the BPAs to meet your requirements.

To resolve, leverage the auto-source functionality that the Requisitions to Purchasing integration offers by using the Supplier Item as your reference when adding the items either from Smart Form or the Enter Requisition Line flow.

1. When creating requisition lines using the Enter Requisition Line and Smart Form pages, enter the supplier.
2. Enter the supplier item attribute that corresponds to the BPA description-only item.

Note:

- You must provide the same Supplier Item defined in the BPA line. Line type, category, and currency must match as well along with Supplier and Supplier Item. The UOMs need not match, but conversion should exist between these UOMs for the item to get auto sourced to the BPA. Also, don't select any agreement from the Agreements selector.
- Noncatalog request will also get auto sourced to the BPA based on the supplier item when the requisition is submitted. Whereas the items added from Smart Form or the Enter Requisition Line flow, will get auto sourced at the time of add to cart only.

Here's Why Blanket Agreements aren't Sourced in the Enter Requisition Line Flow

When you as the advanced procurement requester create a requisition using the Enter Requisition Line flow, select the master item that definitely has a backing blanket agreement. To confirm this, search for the item on the shopping page by either using a keyword search or the Shop by Category feature and the item is returned in the search results as a blanket agreement backed line. Now, when you select the same item in the said flow and add the item to the Shopping Cart and click Review, you find that there's no blanket agreement.

To resolve, check to see if these steps are done:

1. In the Enter Requisition Line flow, is the item selected from the search LOV, the source type is changed to supplier, and then added to cart.
2. Are the attributes such as Line Type, Description, Price, Currency, and UOM updated manually.
3. Does the UOM on the BPA line is different from the primary UOM of the item entered.

If only step 1 is done, then the item that's added to the shopping cart will be sourced from the blanket agreement successfully. But, if the flow includes any additional updates like in step 2, then the item won't get sourced from the blanket agreement.

If the UOM on the blanket agreement is different from the primary UOM of the item, then the BU must allow requisition-to-agreement UOM conversion. To enable this, in the Setup and Maintenance work area, use the Configure Requisitioning Business Function task in the Procurement Foundation functional area, select the **Allow requisition-to-agreement UOM conversion** check box for the Requisitioning BU.

If you change specific parameters around what you're looking to do effectively, then this invalidates the automatic sourcing requirement, this is because the parameters such as line type, description, price, currency, and UOM are all effective in looking for the correct agreement. So, when you encounter this issue, as a first level triage, do check the flow closely to understand how and what was done in creating the requisition.

How You Autogenerate Orders from Negotiated Requisition Lines

When you check the Negotiated checkbox on a requisition line that's being added from Noncatalog Request, Enter Requisition line, or Smart Form Request, though the request contains a valid supplier and a site, the application won't autogenerate the purchase order from the requisition.

To resolve, check these:

- While adding the item to cart, the Negotiated checkbox is selected.
- Requisition contains a supplier and a supplier site.
- Buyer assignment rules derive a valid buyer.
- To autogenerate purchase orders, in the Setup and Maintenance work area, use the Configure Procurement Business Function task in the Procurement Foundation functional area, select the **Autogenerate orders from requester-negotiated requisition lines** check box.

How You Prevent a Requisition Line from Being Autosourced into a Purchase Order

When you want the buyer to source a requisition based on additional criteria such as supplier, with the touchless buying setup, the application always attempts to source a requisition into an order through an agreement.

When you don't want to automatically create a purchase order, do this:

1. On the Purchase Agreement page, deselect these checkboxes:
 - Enable automatic sourcing
 - Automatically generate orders
 - Automatically submit for approval

When you don't want to automatically create a purchase order but let the item to be sourced to the agreement, select Enable automatic sourcing and deselect Automatically generate orders checkboxes.

2. On the smart form definition page or Create Noncatalog request page, deselect the **Negotiated** checkbox to prevent from autogenerating an order for that specific item.

Personalize the Create Non-Catalog Request page to view the check box.

3. To prevent automatic generation of purchase orders for the requester negotiated lines at BU level, in the Setup and Maintenance work area, use the Configure Procurement Business Function task in the Procurement Foundation functional area, deselect **Autogenerate orders from requester-negotiated requisition lines** check box for the procurement BU.
4. To prevent automatic sourcing of requisition lines to an agreement for the requisitions created either from requisition import or purchase request web service, use the Autosource Flag. This helps to retain the user provided price and the unit of measure (UOM) on the requisition line.

When Does a Blanket Agreement Not Get Autosourced During Requisition Creation

Let's look at why sourcing to a blanket agreement is prevented or why the blanket agreement isn't sourced as expected

With All things being equal, when you create a requisition through the Enter Requisition Line process (and in exception scenarios use a Smart Form or Non Catalog Request process), the application attempts to source any eligible blanket agreement and the types of blanket agreement that can be sourced and they include:

- Quantity based goods or services
- Amount based services

An eligible BPA must satisfy these requirements:

- The agreement and agreement line must be in open status.
- The agreement and agreement line isn't expired.
- The currency on the requisition line matches the currency on the blanket purchase agreement.
- The requested delivery date is within the effective dates of the blanket agreement.

More on Autosourcing

The process of autosourcing is where the requester isn't manually selecting a blanket agreement during the requisition creation process. So during shopping, if the search results already return an agreement backed line or during the Enter Requisition Line flow, if you manually select a blanket agreement, then these aren't autosourced agreements.

When Does Autosource Happen

Typically, an agreement is autosourced on a requisition line when you add the line to the shopping cart and navigate to the Edit Requisition details from any flow (Whether the Enter Requisition Line flow or others). In addition, the autosourcing is attempted at the time of submit, which is mostly intended to check whether there are any eligible agreements to source from, particularly if there's a lapse in time from the creation of the requisition to its submission. Auto sourcing will also happen when requisitions are created through either requisition import or purchase request web service.

When Does Autosource Not Happen

If any of these attributes were manually updated by you as the requester, then the application won't call the auto source API. Not sourcing an agreement is only relevant to a pure master item or a description based item.

The Master Items scenarios are as follows:

- Line Type
- Description (assuming the item allows description override)
- UOM
- Price
- Currency

Regarding Description Based Lines

The application won't source a BPA for description based lines if the supplier item is either not provided or the one provided doesn't exactly match the same supplier item value on a blanket agreement line.

Reason for This Behavior

The items won't get autosourced when attributes Line Type, Description, UOM, Price, or Currency are modified, the reason is that when a requester has knowingly updated these attributes (normally requesters aren't expected to update master item details), the intent is assumed to be a specific requisition where the request isn't something that can be met by a standard agreement. The requisition in this case will most likely end up in the Buyer's Process Requisitions queue for further review before getting placed on an order.

So when you allow these master item attributes to be updateable, be aware of the consequences that this impacts on whether or not the standard agreements will or won't apply to your requester initiated requisitions.

How You Disable Automatic Sourcing of Requisition Lines

To disable automatic sourcing of requisition line to an agreement, you can use the Disable Automatic Sourcing of Requisition Lines feature. Using the feature, you can source the requisition line from suppliers who can best fulfill the requirements.

For example, if a shorter lead time is required, you can source the requisition line from the supplier who can fulfill the requirement rather than sourcing it according to an existing agreement.

Here are some of the consideration for using the feature:

- It applies only to requisition lines created using the Enter Requisition Line page. It doesn't apply to requisition lines created using Smart Forms, Noncatalog request, or REST resources.
- It applies only to new requisition lines that don't include a document source or existing requisition lines whose document source is no longer valid. You must have created the lines using the Enter Requisition Line page in both cases.
- After a requisition line is created with the feature turned on, the behavior of the line will be consistent even if the feature is subsequently turned off. For example, suppose the feature is turned on, and a requisition line that doesn't have a valid document source is created using the Enter Requisition Line page. In that case, the requisition line will never be automatically sourced to an agreement even if the feature is later turned off.

How You Purchase Goods and Services for Work Orders

You can shop for work order items in the Purchase Requisitions work area.

Work order requisitions use a destination type of Work Order. As a work order requisition progresses through the procurement flow work, order information is stored in requisitions and purchase orders.

How You Buy Supplies for a Work Order

You can requisition items for a work order in two ways.

- When creating a work order in the Maintenance work area, you can navigate directly to the Requisitions page in the Purchase Requisitions work area, you can shop for your items, and then return to the maintenance work order.
- You can start directly from the Requisitions page in the Purchase Requisitions work area, do your shopping, and specify the maintenance or manufacturing work order details in the requisition before you submit it.

How You Requisition Work Order Items from Oracle Maintenance Cloud

You can shop for work order items as part of an integrated flow between the Maintenance work area, where you manage your maintenance documents, and the Purchase Requisitions work area, where you manage requisition documents. For example, when creating a work order in the Maintenance work area, from the Edit Work Order page, you click Review Purchased Item Details. This opens the Purchased Item Details page. Next, you click the Create Requisition button on this page to navigate directly to the Purchase Requisitions work area.

After shopping for items you need for your work order, you submit the requisition. A purchase order for your items is automatically created, and you're returned to the Maintenance work area. Both the procurement requisition and

purchase order documents include work order details like work order numbers and sequence numbers from your maintenance work order.

How You Shop for Work Order Items

Need to buy some additional goods or services to support a work order? You can go directly to the Requisitions page, shop for your items, and apply the requisition to your existing, open work order. On the Requisitions page, you specify the work order identifier and the operation sequence for the work order that you want the requisition to apply to.

Work order details are included on Requisition and Purchase Order documents for reference, so you can keep track of things.

How You Purchase Goods and Services for Project-Specific Manufacturing and Maintenance Work Orders

You can enable Project-Driven Supply Chain to create maintenance and manufacturing project-specific work orders.

Project-Driven Supply Chain begins with the creation of a project in Oracle Portfolio Management. The integration of Oracle Project Management and Oracle Supply Chain enables supply chain products to support project attributes. Information such as project numbers and project cost attributes are available in the supply chain products to execute activities in the context of a project.

After you have enabled project-driven supply chain, when you create a purchase requisition and associate it with a project-based work order, the work order project and the task automatically display in the requisition distribution. You can use the provided list of values to select the values for the other project attributes, but the project and task must match the work order project and task.

Here's how it works:

1. A purchase order will be created referencing the work order and the project details from the requisition.
2. The purchase order is delivered to the work order destination, consumed, and costed in the work order.
3. The expenditure incurred will be transferred to Oracle Project Portfolio Management.
4. And finally, the invoicing is done based on your setting in Project Contracts.

The project-specific manufacturing and maintenance work orders let you expedite the procurement of unplanned materials for work orders and also capture material costs for the specific project and task.

Required Roles and Setup for Work Order Direct Purchases

As a requester, you need the Manage Requisition of Items with Work Order Destination Type privilege to create requisitions with the Work Order destination type. To use this feature, your administrator has to enable support for Work Order destination types in Oracle Maintenance by selecting Allow direct purchases for work orders on the Manage Plant Parameters page.

How You Find and Track In-Progress Work Order Documents

When you view an automatically created purchase order for a work order, the work order number and operation sequence are visible on the Purchase Order Schedule page. You will find them under the Work Order Details section. They're read only, so you can't make any changes to them.

You can search for work order requisitions using the Work Order fields on the Manage Requisitions page. They're in the Advanced Search section.

Related Topics

- [How the Project-Driven Supply Chain Solution Works](#)
- [How You Set Up Project-Driven Supply Chain](#)
- [How You Purchase Project-Specific Inventory](#)

How You Request Items That Are Priced in Their Secondary UOM

For items with dual UOMs, create requisitions in the same UOM that you use to pack and ship it and in the UOM that's different from the UOM that you use to price and invoice the item.

You can use the UI to create requisitions for items with dual UOMs, and use the requisition import to create internally managed requisitions for items with dual UOMs. You can also use the requisition import (FBDI or Purchase Request Web Service) to create externally managed requisitions for items with dual UOMs.

When you create a requisition using the UI, Purchase Request web service or file-based data import (FBDI), you don't have to provide a quantity in two units of measure for dual UOM controlled items. You can provide either the ordering UOM quantity or the secondary UOM quantity, and the transaction will be automatically tracked in both UOMs based on the UOM conversion rules.

After opting in to the Purchase Items That Are Priced in Their Secondary UOM feature, you can use dual units of measure to:

- Track the item in a UOM that's different from the UOM that you use to stock the item. For example, use the primary UOM, Cases, to track the quantity that your customer orders, and use the secondary UOM, Pounds, to track the secondary quantity that you price and ship.
- Create requisition lines, using the UI or requisition import, in two units of measure: ordered and secondary.
- Charge the right price to your purchase requests based on the actual quantity shipped in secondary UOM using blanket purchase agreements.
- Process invoices for the purchase order line based on the actual units received in the secondary UOM of the item.

Related Topics

- [What's a Dual Unit of Measure?](#)

Considerations for Requesting Items That Are Priced in Their Secondary UOM

Here are some of the considerations before using the Purchase Items That Are Priced in Their Secondary UOM feature:

- Use this feature to price requisition line for items that use dual units of measure in the ordering UOM or the secondary UOM using blanket purchase agreements.
- Enable an item for dual unit of measure tracking. The Manage Items task is used in the Product Information Management work area to set the Tracking Unit of Measure attribute to Primary and Secondary for the item.

- Create your units of measure and then create the standard conversion to convert between the primary UOM and the secondary UOM.
- Your choices are different depending on whether you have a blanket agreement for the requisition line.
 - Do have it, and the agreement line is priced in the item's secondary UOM. The agreement line price is converted to the primary UOM of the item, which is then saved as the requisition line unit price. In this case, you can't override the price of the blanket purchase agreement line, even if the price override is enabled.
 - Do have it, and the agreement line isn't priced in the item's secondary UOM. The agreement line price is saved as the requisition line unit price. If the price override is enabled in the agreement, you can override the agreement price in the requisition line.
 - Don't have it. Price is required and you must provide it during requisition import when you import items with UOM that's different from the primary UOM of the item. You can either provide the unit price for the ordering UOM or use the item's list price as the price with the primary UOM of the item.
- When creating the requisition, you can provide either the ordering quantity or the secondary quantity. If you provide both, the secondary UOM quantity is calculated according to UOM conversion rules. The item's deviation factors don't apply to this feature.
- You can't use this feature with the purchase requisition REST resource or the UI to create requisition for items that use dual units of measure.
- You can't use this feature to create requisitions with the base model or configuration components that are specified with dual UOM.

Inventory Transfers in Self Service Procurement

You transfer items by including them in a requisition. A transfer item can be included in a requisition only if the item is configured to be internally transferable.

You can specify transfer items by:

- choosing them from a catalog
- adding them when entering requisition lines
- adding them when updating, duplicating, or submitting a draft requisition

The requisition line detail allows selection of the Source Type (Inventory, or Supplier). The Source Organization is displayed. You can change it by clicking Select Source. For more information, see [Supply Source Selection for Internal Transfer Requisitions](#).

Related Topics

- [Supply Source Selection for Internal Transfer Requisitions](#)

Supply Source Selection for Internal Transfer Requisitions

As an advanced procurement requester, you can select a supply source for requisition line items that are sourced as internal.

When the source type is Supplier, the requisition line is for purchase from a supplier and will be fulfilled using a purchase order. When the source type is Inventory, the requisition line is an internal material transfer and will be fulfilled through a transfer order.

When adding or editing a requisition line, click **Select Source** to change the Source Organization. Alternatively, on the Edit Requisition screen, select the line in Requisition Lines and edit it. The Edit Line dialog box shows line details, including Source Organization. To change the source organization, click **Select Source**.

The Select Supply Source dialog includes a ranked list of possible supply organizations, along with information about them. Select the one you want and click **OK** to switch the line to the chosen supply organization.

Import Requisitions

Import Requisitions

As a buyer, you can import requisitions into Oracle Fusion Cloud Procurement from other Oracle applications or other external applications.

Before You Start

Only a buyer can run the import process. Before you run the import process, you must have loaded the requisition data into the appropriate interface tables.

Note: You can load requisition data to interface tables using predefined templates and the **Load Interface File for Import** scheduled process. These are both part of the External Data Integration Services for Oracle Cloud feature.

For more information refer to the Oracle Fusion Cloud Procurement: File-Based Data Import (FBDI)for Procurement guide on the Oracle Help Center.

Import Process

To run the process to import requisitions, follow these steps:

1. In the **Purchase Agreements** or **Purchase Orders** work area, on the **Tasks** tab, open the **Import Requisitions** task.
2. On the Import Requisitions page, click **Submit New Process**.
3. On the Import Requisitions dialog, select one or more import parameters before running the process. The following table lists the available parameters and their descriptions:

Parameter	Description
Import Source (optional)	Use to match against the records in the interface tables to retrieve the right set of records for processing.
Import Batch ID (optional)	Use to match against the records in the interface tables to retrieve the right set of records for processing.

Parameter	Description
Maximum Batch Size (optional)	Use to limit the number of requisition lines that are batch processed. If the parameter isn't specified, the default value of 2500 is used as the maximum batch size.
Requisitioning BU (required)	Use to ensure only the records with the specified requisitioning business unit (BU) are processed.
Group By (required)	Use to specify grouping of requisition lines. Choices include: Item, Buyer, Category, Location, Supplier, and None. None means to group all requisition lines together. This field is dependent on the Requisitioning BU field. When you select a requisitioning BU, the value from the business unit's Group Requisition Import By field is displayed as a default here.
Next Requisition Number (optional)	Use to specify the next requisition number when none is specified in the requisition header interface table.
Initiate Approval after Requisition Import (required)	Set the value to Yes if you want imported draft requisitions submitted for approval immediately after the process completes.
Error Processing (required)	Select from the possible values All or Partial. All: The default value for this parameter. A requisition is created only if all the lines from the interface header pass validation. Partial: A requisition is created with only the lines that pass validation, even though some lines fail validation.

4. Click Submit.

How Imported Requisitions are Processed

During the import process, the requisition levels are validated in succession: header, line, and distribution. Any records that fail validation are reported and not included in further processing.

The requisition lines are then grouped into individual requisitions and given unique numbers. Due to the grouping of lines, one record in a requisition header interface table may correspond to multiple created requisitions.

Requisitions that are valid, grouped, and numbered are then inserted into the main requisition tables.

Then either the Generate Orders program or the Requisition Approval process is initiated, depending on the:

- Status of the requisition
- Value of the input parameter **Initiate Approval after Requisition Import**

- Value of the requisitioning business function configuration option **Create Order Immediately After Requisition Import**

In the event of an interruption such as a server stoppage, the job restarts automatically from the point of failure without having to reprocess the entire set of records.

Related Topics

- [Overview of External Data Integration Services for Importing Data](#)
- [How You Configure Business Units with Requisitioning Business Functions](#)

Edit Requisitions

When can you edit a requisition?

You can edit a requisition only if you are the preparer of the requisition.

You won't be able to edit the requisition if any of these conditions is true:

- The requisition was canceled.
- The lines in the requisition are placed on a purchase order and you don't have the Change Purchase Order as Procurement Requester privilege.

When you try to edit a requisition, depending on the requisition status, you will notice these flows:

Requisition State	Edit Function
Requisition has editable lines that are in Draft, Withdrawn, Rejected, or Returned status	Editable lines are loaded to the cart.
Pending Approval	You are prompted that the requisition will be withdrawn and upon your confirmation, lines are withdrawn and loaded to the cart.
Requisition is in Approved status and all the lines in the requisition are on the same purchase order	You are prompted to create a change order for the PO. If the requisition is on a purchase order, then you can't edit the requisition. You must submit a purchase order change order.
Requisition is in Approved status and not placed on a purchase order	You are prompted that requisition will be withdrawn and upon your confirmation, lines are withdrawn and loaded to the cart.

Edit a Requisition

In this scenario, let's see how you can edit a requisition that has one or more editable lines.



Here are the steps to edit the requisition:

1. From the Navigator, under Procurement, select **Purchase Requisitions (New)**.
2. On the Home page, click the **My Requisitions** tab.
3. On the My Requisitions page, using the filter chips, search the requisition you want to edit.
4. To edit the requisition, click the **Requisitions** tab and then under More Actions for the requisition, click **Edit**.
5. The Cart page contains all the editable lines in the requisition. You can update the quantity or delete items in the cart if needed.

If you change the quantity, the amounts in the requisition summary panel updates accordingly.

6. To update the requisition details, click the **Edit** icon in the Requisition summary section.
Alternatively, you can either click the item link or click the **Truck** icon to edit the requisition. Clicking the item link will open the Line Details page and clicking the Truck icon will open the Delivery and Billing Details page.
7. On the Line Details page, you can update line description, source details, manufacturer details, and pricing details.
8. Click **Update** to confirm your changes or click **Update and Continue** to update delivery and billing details.
9. On the Delivery and Billing Details page, update the details you want to edit.
10. To confirm your changes, click **Update**.
11. On the Cart page, to submit the requisition, click **Submit**.

When can you edit a requisition line?

You can edit a requisition line only if you are the preparer of the requisition.

You won't be able to edit the requisition line if any of these conditions is true:

- The requisition line is in Canceled or Order Canceled status.
- The requisition line is placed on a purchase order and you don't have the Change Purchase Order as Procurement Requester privilege.

When you try to edit a requisition line, depending on the requisition line status, you will notice these flows:

Requisition Line Status	Edit Function
Draft, Withdrawn, Rejected, or Returned	Editable lines are loaded to the cart.
Pending Approval or Approved	You are prompted to first withdraw the line.
Ordered	You are prompted to create a change order for the PO. If the requisition line is on a purchase order, then you can't edit the requisition line. You must submit a purchase order change order.

When can you withdraw a requisition line?

You can withdraw a requisition line only if you are the preparer of the requisition.

You won't be able to withdraw the requisition line if any of these conditions is true:

- The requisition line is in Canceled or Order Canceled status.
- The requisition line is placed on a purchase order.

Edit a Requisition Line

In this scenario, let's see how you can edit a requisition line that's in Draft status.

Here are the steps to edit the requisition line:

1. From the Navigator, under Procurement, select **Purchase Requisitions (New)**.
2. On the Home page, click the **My Requisitions** tab.
3. On the My Requisitions page, click the **Lines** tab and using the filter chips, search the requisition lines you want to edit.
4. To edit the requisition line, under More Actions for the requisition line, click **Edit**.
5. The Cart page contains all the editable lines in the requisition.
6. To edit a specific requisition line, you can either click the item link or click the **Truck** icon to edit the requisition line. Clicking the item link will open the Line Details page and clicking the Truck icon will open the Delivery and Billing Details page.
7. On the Line Details page, you can update line description, source details, manufacturer details, and pricing details.
8. Click **Update** to confirm your changes or click **Update and Continue** to update delivery and billing details.
9. On the Delivery and Billing Details page, update the details you want to edit.
10. To confirm your changes, click **Update**.
11. On the Cart page, to submit the requisition, click **Submit**.

How You Resolve Pending Approval Requisitions

As a requester, you can resolve requisitions that are in Pending Approval status due to technical or infrastructure issues by manually withdrawing the requisitions. You can cancel or resubmit the withdrawn requisitions as required.

If the requisition approval process hasn't started within five minutes of submitting a requisition, you can manually withdraw or cancel the requisition after five minutes, even with the requisition in Pending Approval status.

Note: The default wait time is five minutes before which a requisition that submitted can't be canceled or withdrawn. However, your Procurement Application Administrator using the `ORA_POR_WITHDRAW_CANCEL_WAIT_TIME` profile option can adjust the wait time as needed

Reassign Requisitions

How You Update Preparer and Requester

Reassign procurement transactions if an individual leaves your company, changes business units, changes job roles, or is on a leave of absence. Reassigning procurement transactions ensures that transaction flow is maintained.

Use the Update Preparer and Requester action, available on the Home page under the Actions menu, to perform reassignments. You can update the Entered by person for the requisition, the requester attributes on requisitions, and requester attributes on purchase orders.

How You Update Preparer and Requester

From the Update Preparer and Requester page, you can:

- Replace a preparer if the requisition contains at least one line that's pending approval.
- Replace a requester if the following conditions are met:
 - Requisition line is pending approval.
 - Approved requisition line that's not associated with a purchase or transfer order.
 - Approved requisition line that's associated with a Purchase Order line schedule with status not finally closed, or canceled.
 - Purchase Order Distribution line with schedule status not finally closed, or canceled.
 - Purchase Order Distribution line that's a part of a change order with status not canceled or processed.
- Replace a change initiator on Purchase Orders with status not canceled or processed, and that were initiated by a preparer.

Note: You must be assigned a role that includes the Reassign Requisition privilege to view, in the **Person to be Replaced** field, the list of persons for you to select, else this field is read-only and it defaults to the name of the signed-in user.

How You Restart Approvals for Pending Requisitions

To automatically restart approvals when requisitions with status Pending approval are updated, set **Restart Approval After Submission** to Yes on the Update Preparer and Requester page.

How you reassign a requisition

From the My Requisitions page, you can reassign a requisition to a new owner. Select the requisition and then select Reassign from the Actions menu. You can also use the Requisition Details page for reassigning a requisition.

In the Reassign requisition drawer, specify the new owner. Select **Notify the assignee** to send a notification to the new owner about the reassignment.

The assignee becomes the Entered By person and can view and modify the requisitions as though they were the original preparer.

You can reassign a requisition in any status (Canceled, Incomplete, In process, Approved, Rejected, and Returned).

By default, you can reassign only requisitions that you created. If you have the permission to reassign requisitions created by others, you can reassign any requisition you're allowed access to on the Manage Requisitions page. Use the POR_VIEW_REQUISITION_ALL_PRIV and POR_REASSIGN_REQUISITION_PRIV privileges to view and reassign requisitions created by others.

Manage Requisition Life Cycle

Requisition Life Cycle

Requisition Life Cycle refers to the entire process of requesting goods or services, receiving them, and ensuring that suppliers are paid.

By viewing the life cycle of a requisition, you can find out the latest status of requested items. You can also see if there are issues with a requisition, or simply get an overview of all processing information associated with a requisition or requisition line.

Status icons may appear at the start of requisition lines, depending on a line's status. For example, a warning icon is displayed at the start of rejected lines. Hover your mouse over a status icons to display details about the status of the line.

Displayed requisition life cycle information is grouped by a purchase order number, if one exists. For example, if all lines on the requisition are placed on one purchase order, all the related downstream documents are visible on one page. If the lines on the requisition are placed on two purchase orders, the life cycle information can be viewed separately for the two groups of requisition lines.

Life Cycle Information

Summary information on the Requisition Life Cycle page can include (depending on application configuration):

- Requisition Lines
- Negotiations
- Orders
- Shipments
- Receipts
- Invoices

If permission is granted to view the details of these documents, it's possible to drill down further to view:

- Negotiation Details
- Order Details
- Shipment Details
- Receipt Details

- Invoice and Payment Details

Review a Requisition Life Cycle

You can review the life cycle of a requisition.



In this scenario, you want to review how a requisition is progressing by reviewing its life cycle. To review the life cycle of a requisition:

1. From the Navigator, under Procurement click **Purchase Requisitions (New)**.
2. The Requisitions page lists the requisition-related tasks you can perform. Click the **My Requisitions** tab.
3. On the My Requisitions page, you can search for a requisition, or select a requisition from the requisition list in the Search results section.
For example, you can search for a requisition by entering the document number in the **Requisitions** field, and then clicking **Search**.
4. In the Search Results section, locate the requisition you want to review and select the **View Life Cycle** action to view the information for the entire requisition.
5. On the Requisition Life Cycle page, the life cycle information is grouped by the purchase order number, if one exists. For example, if all lines on the requisition are placed on one purchase order, all the related downstream documents are visible on one page. If the lines on the requisition are placed on two purchase orders, you need to select the purchase order number from the context switcher to view the life cycle information of the requisition lines that are tied to the second purchase order.
6. View the Ordered, Delivered, In Receiving, In Transit, Paid Invoiced, Partially Paid Invoiced, and Unpaid Invoiced amounts on the bar chart.
7. View the requisition lines details. You can also drill down to the purchase order details by clicking the **View Purchase Order** button.
8. View the status of requisition-related documents such as negotiations, shipments, receipts, and invoices.
9. Click the negotiation number, shipment number, receipt number, and invoice number links to drill down into each record for additional details.

Cancel Requisitions

Cancel a Requisition

This topic describes how to cancel a requisition with no purchase order, and a requisition with an open purchase order.

To cancel an open requisition with no purchase order:

1. From the Navigator, under Procurement, click **Purchase Requisitions**.
2. The Requisitions page lists all the requisition tasks that you can perform. Click **Manage Requisitions**.

3. The Search Results area of the Manage Requisitions page includes detailed information about your requisitions. Locate the requisition that you want to cancel, the one that doesn't have a purchase order.

In the **Order** column no order number is displayed, and there is no **Order Status**.

4. Click the **Requisition** number to open the requisition.
5. On the Requisition page, click **Actions > Cancel Requisition**.
6. On the Cancel Requisition dialog box, enter the reason for the cancellation in the **Reason** field, and then click **OK**.
7. Click **OK** to confirm the cancellation.
8. On the Requisition page notice the **Status** is changed to **Canceled**.
9. Click **Done**.

To cancel a requisition with an open purchase order:

1. On the Manage Requisitions page, in the Search region, enter the requisition number in the **Requisition** field.
2. Click Search.
3. In the Search Results, notice the **Order** number is displayed and the **Order Status** is **Open**.
4. Select the line for the requisition.
5. From the **Actions** menu, select the **Cancel Requisition** option.
6. On the Cancel Requisition dialog box, enter the reason for the cancellation in the **Reason** field, and then click **OK**.
7. Click **OK** to confirm the cancellation.
8. Click **Done**.
9. On the Manage Requisitions page, you can check the status of the order for the requisition you canceled. The **Order Status** displays **Canceled**.
10. Click **Done**.

How can I track or change my change or cancellation request?

For requisitions on approved purchase orders, your changes are made to the purchase order through change requests.

From the Requisition Details page, you can access pending change requests until they are approved. You can also access the latest version of the purchase order. From the Document History page, you can view all submitted change requests to the purchase orders associated with the requisition.

Cancellation of lines on purchase orders are also handled through change requests.

Changes to purchase orders are not reflected on the requisition. The purchase order contains the most up-to-date information.

What happens if I delete a requisition line after it's approved?

If the line status is incomplete, the line is marked for deletion. When you click Save and Close, the line is deleted.

If you delete a line for which the status isn't incomplete, the cancel operation is completed before you save and close.

Cancel Requisition Lines Using a Spreadsheet

As an authorized procurement user you can cancel requisition lines in batches using a spreadsheet.

For example, you can review requisition lines that have been inactive for a long period of time. If they're overdue for cancellation, you can update their status to free up reserved funds.

Follow these steps to cancel requisition lines using a spreadsheet:

- Select and download requisition lines to a spreadsheet.
- Review the lines in the spreadsheet and update their status to canceled.
- Upload the spreadsheet to update the application.

Before You Start

Before you can cancel requisition lines using a spreadsheet, you must install the Oracle ADF Desktop Integration client software on your computer. The add-in enables desktop integration with Microsoft Excel workbooks. Download the installation files from **Navigator > Tools > Download Desktop Integrator Installer**.

Select and Download Requisition Lines

Follow these steps to select and download requisition lines to a spreadsheet:

1. Open the Cancel Requisition Lines in Spreadsheet task. (**Navigator > Purchase Requisitions work area > Requisitions page > More Tasks drop-down list > Cancel Requisition Lines in Spreadsheet task**).
Note: To see the task you must have the Cancel Requisition Line in Spreadsheet privilege. This privilege isn't delivered with any standard reference roles. Authorized procurement users must be assigned the privilege.
2. In the Cancel Requisition Lines in Spreadsheet dialog, enter criteria to select the lines you want to review for cancellation.

Selection Criteria	Required?	Comments
Requisitioning BU	Yes	You must enter a requisitioning business unit. The default value is derived from the current requisitioning business unit from your user preferences on the Edit Requisition Preferences page.
Entered By	No	You can enter the name of the requisition preparer to limit the requisitions you want to review for cancellation.
From and To Creation Date	No	You can enter a date or date range during which the requisitions were created.

Selection Criteria	Required?	Comments
From and To Budget Date	No	You can enter a date or a date range for the budget associated with the requisition line distributions. The budget date range selection criteria is displayed only if budgetary control is enabled for the requisitioning business unit.
Exclude Project Related	No	You can opt to exclude requisition lines that are project-related.

- Click Create in Spreadsheet. All requisition lines matching the selection criteria are downloaded to an ADFdi spreadsheet. In addition, the lines downloaded include only those in Approved status, and not placed in any purchase order or transfer order.
Note: Externally managed requisitions, created using the Purchase Request web service, aren't downloaded to the spreadsheet. They must be canceled using the web service.
- In the Opening CancelRequisitionLines.xlsx dialog, select Open with Microsoft Office Excel, then click OK.
- In the Connect dialog, click Yes.
- In the Oracle Fusion Applications Sign In dialog, enter your User ID and Password, and click Sign In.

Review the Lines and Update Their Status

Follow these steps to use the Cancel Requisition Lines spreadsheet to review the downloaded requisition lines and update their status:

- In the Cancel Requisition Lines spreadsheet, there are two tabs: Instructions and Cancel Lines. Click the Cancel Lines tab.
- In the Cancel Lines tab, the list of selection criteria used to download the rows of requisition lines is displayed.
 - Review the lines in the spreadsheet and determine which to cancel.
 - For each line in the spreadsheet you want to cancel, enter a Reason for the cancellation. For each Reason you enter, a triangle icon displays in the Mark for Cancellation column.

Upload the Spreadsheet to Update the Application

Follow these steps to upload the edited spreadsheet and update the application.

- In the Cancel Lines tab on the spreadsheet ribbon, click the Upload icon.
- The Status column for each row displays the processing status for the uploaded requisition line.
 - Processed rows show the status: Row Updated Successfully. Click the Status Viewer icon on the spreadsheet ribbon. In the Status Viewer pane you can see the message: No Error.
 - Rows with an upload error show the status: Update Failed. Click the Status Viewer icon on the spreadsheet ribbon. In the Status Viewer pane you can examine the error details.

You can work in small batches. Take action on a few rows and upload them. After successful processing, you can click the Download icon in the spreadsheet ribbon to download the updated lines. The same combination of selection criteria used to create the original spreadsheet are used to retrieve the lines. Any lines that were updated to Canceled status are removed from the results. When all processing is complete and you're done canceling lines, close the spreadsheet.

Related Topics

- [Guidelines for Using Desktop Integrated Excel Workbooks](#)

Track Document History

Document History

Document history is a view of a sequential list of all actions that were performed on a given requisition.

You can view a list of actions performed on a requisition, including the type of action and when and by whom they were performed. The document history can include approvals, orders associated with the requisition, any changes processed on the orders, and other actions, including cancellation or returned requisition by the buyer.

The document history includes these actions taken on the requisition:

- Requisition submission
- Requisition Cancellation
- Approval actions such as approve, reject, request more information, or reassigning the approval request to others
- Buyer modifications to the requisition
- Downstream document events, including purchase orders, change orders, or transfer order creation

You can view the document history from the actions available on the My Requisitions page for the requisitions or from the actions available when viewing requisition details.

The Document History page captures these details:

- Action Performed
- User who performed the action
- Additional Information
- User Comments
- Action Timestamps

Some actions on the Document History page are linked. These links can be used to view details of specific document which includes:

- Purchase Order
- Change Order
- Transfer Order

Requisition Status

You can view the status of requisitions in the My Requisitions table and on the Manage Requisitions page.

Status Description

The table lists all requisition statuses and their descriptions.

Requisition Status	Description
Approved	A requisition is approved if on initial submission for approval it was approved. The requisition retains the status of approved unless all the active lines on the requisition have a different status. Then, the new status is rolled up to the requisition header. Note: An approved requisition can contain lines with other statuses such as returned, withdrawn, rejected, and so on. For example, a requisition with multiple lines is approved, so both the header and the lines are approved. If a buyer returns a line, the header and line remain approved with the exception of the returned line, which will have the status of returned. If a line from the approved requisition is withdrawn, the status remains the same for the other lines and header.
Canceled	A requisition is canceled if all the lines on the requisition except for those with a status of split or replaced have a status of canceled.
Pending Approval	A requisition line that's submitted but hasn't yet gone through the approval process is pending approval. A requisition is pending approval if all the active lines on the requisition are pending approval.
Draft	A requisition is saved as draft when it's not submitted for approval.
Rejected	A requisition is rejected if all the active lines on the requisition have a status of rejected (all the active lines were rejected during the approval process).
Returned	A requisition is returned if all the active lines on the requisition have a status of returned (all the active lines on the requisition have been returned by the buyer).
Withdrawn	A requisition can be withdrawn after submission for approval if, for example, modifications to the requisition are required. This gives the requisition withdrawn status.

Approve Requisitions

How You Can Attach Documents during the Approval Process

As an approver, you can add attachments to notifications and requisitions during the approval process.

- Notification (Workflow Task)
- Requisition

Notification (Workflow Task)

As an approver, you can add attachments and comments in the task details of the approval task assigned to you. These attachments get added to the task and not to the document. Anyone with access to the task can see the attachments. The requester can see the attachment from approval emails or notifications.

Note: When requesters or buyers view the requisition or purchase order, they won't be able to view the attachments you added because these attachments get added to the task and not to the document.

Requisition

You can add attachments to a requisition using the Edit Requisition link on the notification only if you have the Edit Requisition as Approver privilege. These attachments get added to the document and requesters and buyers can see these attachments.

Related Topics

- [Use Your Worklist to Manage Workflow Tasks](#)

Reject Requisition Request

How Requisition Approvals Based on Budgetary Control Are Routed

Funds override is approved as part of the document approval process, using the override rules set up for the control budget. Your organization sets up approval rules for requisitions using the Manage Requisition Approvals task, in the Approval Management functional area.

The override approver for the requisition is identified automatically, based on the setup for the control budget, and added to the end of the approvers list. Use the Manage Approvals action in the Edit Requisition page to see the override approver added to the approver list. The funds override, or reservation of funds, occurs after all approvals are secured.

View the Reserved Funds in the Requisition

You can see whether funds override is approved on the requisition.

1. The Funds Status displays the value: Reserved.
2. Click Reserved to open the Funds Reservation: Requisition dialog.
3. The dialog displays the message, "Override was taken."

Related Topics

- [How You Define Funds Override Rules for a Control Budget](#)
- [How You Manage Funds Override Approval Rules for Requisitions and Purchase Orders](#)

How can I reject individual items on a multi-item requisition?

You can't selectively approve or reject individual items. You can edit a requisition to add or delete items, modify requisition quantity, and then approve the requisition.

If the approver needs to reject specific lines on the requisition, the approver should reject the entire requisition. The approver can include comments on the Worklist task to highlight the rejection reason. The preparer then must update the requisition and resubmit it for approval.

FAQs for Request Requisition Information

What happens if I need more information about the requisition before I approve it?

You can view requisition details and document history on the Worklist task.

FAQs for Review Requisition Request

How can I edit a requisition pending my approval?

If you are an approver and have the privilege to edit a requisition, click the Edit Requisition link from the Worklist task.

What happens if I begin modifying the requisition as an approver?

If you begin modifying the requisition, no other approvers can take action. The requisition will resume or restart the approval process after you submit the changed requisition. You must submit the requisition before you can start working on other requisitions.

What happens to the approval routing of the requisition after I submit changes as an approver?

Depending on the application setup for the requisitioning BU, the approvals will either be restarted from the beginning, or will continue on the current approval path.

FAQs for Approve Requisition Request

When do I approve a requisition after I submit changes as the approver?

A requisition is automatically approved by an approver, who makes any needed modifications and submits the requisition. However, the requisition will continue to be routed for approvals if there are additional approvers.

What can I do if my requisition remains in pending approval status for a long time?

If your requisition is in pending approval status for a long time and none of the approvers have received a notification to approve it, you must review the approval errors on the Action Details page.

To view the Action Details page, click the Pending approval link on the Manage Requisitions, View Requisition Details, or Home page.

On the Action Details page, you can review the issue occurred during the approval processing in the Approval Process Error Details section. You can then share the details with your administrator, who can use the information to review and recover the transaction using Transaction Console.

Related Topics

- [Manage Workflow Transactions](#)

How You Use Different Approval Statuses

In the Self Service Procurement application, you can track the status of your request through various stages of approval and post approval.

Here's the list of statuses that are updated on the requisition header and line to indicate the progress of your request post approval:

Status	Line	Header
Ordered	The requisition line is placed on a purchase order and the order status was Open at least once.	If all active lines on a requisition are in Ordered status, the requisition header status will be Ordered.
Shipped	A shipment was created with partial or full quantity of requested goods. This is applicable only to goods-based lines.	If all active lines on a requisition are in Shipped status, the requisition header status will be Shipped.
In receiving	A receipt was created with partial or full quantity of requested goods. This isn't applicable to amount-based lines.	If all active lines on a requisition are in In receiving status, the requisition header status will be In receiving.
Delivered	Partial or full quantity or amount of requested goods or services were delivered.	If all active lines on a requisition are in Delivered status, the requisition header status will be Delivered.
Billed	Partial or full quantity or amount of requested goods or services were invoiced. This is applicable only when the purchase order schedule associated with the requisition line has the Match Approval Level set to 2 Way and Receipt Tolerance Percentage set to 100%.	If all active lines on a requisition are in Billed status, the requisition header status will be Billed.
Order on hold	The purchase order fulfilling the requisition line was placed on hold.	If all active lines on a requisition are in Order on hold status, the requisition header status will be Order on hold.
Order canceled	The purchase order fulfilling the requisition line was fully canceled with or without reinstatement.	If all active lines on a requisition are fully canceled without reinstatement, the requisition header status will be Order canceled.
Transfer initiated	The requisition line is placed on a transfer order and the order status was Open at least once.	If all active lines on a requisition are in Transfer initiated status, the requisition header status will be Transfer initiated.
Transfer canceled	The requisition line is placed on a transfer order and the transfer order line was canceled.	If all active lines on a requisition are in Transfer canceled status, the requisition header status will be Transfer canceled.

See line details	Not applicable	If active lines on a requisition are in different statuses, the requisition header status will be See line details.
Cancellation pending	A cancellation request on the purchase order line is submitted by the requisition preparer and is pending approval.	Not applicable
Approved	The requisition line has been approved and is ready for further processing (for example, ordering or sourcing).	If all active lines on a requisition are approved, the requisition header status will be Approved.
Canceled	The requisition line was canceled and is no longer considered for processing.	If all active lines on a requisition are canceled, the requisition header status will be Canceled.
Draft	The requisition line is in draft state and hasn't been submitted for approval.	If all lines on a requisition are in draft, the requisition header status will be Draft.
Pending Approval	The requisition line has been submitted and is awaiting approval.	If all active lines on a requisition are pending approval, the requisition header status will be Pending Approval.
Rejected	The requisition line was rejected during the approval process.	If all active lines on a requisition are rejected, the requisition header status will be Rejected.
Returned	The requisition line was returned to the requester for correction or additional information.	If all active lines on a requisition are returned, the requisition header status will be Returned.
Withdrawn	The requisition line was withdrawn by the requester before approval was completed.	If all active lines on a requisition are withdrawn, the requisition header status will be Withdrawn.
Order processing	The requisition line is being processed to create or update a purchase order.	If all active lines on a requisition are in order processing, the requisition header status will be Order processing.
On negotiation	The requisition line is undergoing negotiation with suppliers (for example, via RFQ).	If all active lines on a requisition are in negotiation, the requisition header status will be On negotiation.
On contract	The requisition line is associated with an enterprise contract during processing (for example, through the Process Requisitions flow), indicating that sourcing is being fulfilled via that contract.	If all active lines on a requisition are on enterprise contract, the requisition header status will be On contract.
Transfer order canceled	The transfer order associated with the requisition line was canceled.	If all active lines on a requisition are in transfer order canceled status, the requisition header status will be Transfer order canceled.
Replaced	The requisition line was replaced by another line, typically due to changes in item, supplier, or sourcing details.	Not applicable
Split	The requisition line was split into multiple lines to accommodate changes such as quantity distribution, delivery schedules.	Not applicable
Order Canceled Reinstated	The purchase order associated with the requisition line was previously canceled and later reinstated, restoring the line for processing.	Not applicable

Note: Active lines are those lines that aren't in any of Canceled, Split, Replaced, or Order canceled status.

How You Resolve Requisition Lines with Invoice Holds

To resolve requisition lines with invoice holds, as a requester, you can either create a change order for an overbilled invoice or confirm receipts to resolve invoice holds for 3-way match invoices that are pending receipts.

- Create a change order for an overbilled invoice

Note: A line will be marked as requiring a change order if the invoice linked to the line is on hold and the hold code is QTY ORD or AMT ORD. The line will be marked for the user even if the user doesn't have the privilege to create change orders.

- Confirm a receipt to remove an invoice hold

Note: A line will only be marked as needing user to confirm a receipt if these conditions are true:

- Purchase order line has an expense destination
- Match Approval Level is 3-way.
- Receipt Routing is Direct delivery.
- The invoice is placed on hold and the hold code is QTY REC or AMT REC.

Here's what you need to do to confirm the receipt to remove the invoice hold:

- a. On the My Requisitions or Requisition Details page, use the Confirm Receipt action to confirm the receipt for the requisition line you choose to receive.
- b. On the Confirm receipt drawer, you can choose to receive the items in full or just up to the invoiced quantity.
- c. Click **Confirm** after making your selection, a receipt will be created automatically.

Note: In the Confirm receipt drawer, use the Go to My Receipts to add more details option to add more details before receiving, you will be directed to the Self Service Receiving application to continue. From there, you can either receive immediately or add more information to create the receipt.

Here are some of the considerations for resolving requisition lines with invoice holds:

- You must run the Update Requisition Line Action Required Code scheduled job for application to mark requisition lines whose invoices are on hold. The lines will be marked after the scheduled job has run.
- You can run the Update Requisition Line Action Required Code scheduled job to mark all requisition lines whose corresponding invoices are on hold due to any of these hold codes - QTY ORD, QTY REC, AMT ORD, AMT REC.
- To ensure that your users are no longer notified about pending actions after taking the necessary action, you must run and complete the Validate Invoice scheduled job before initiating the Update Requisition Line Action Required Code scheduled job.

- The default Confirm receipt action is set to Receive in full in the drawer. Ensure you review the options and select your desired choice before clicking Confirm.
- You will see the link to go to the My Receipts application in the Confirm Receipt drawer only if the Redwood Receiving application is enabled.
- You must have these privileges to confirm receipts:
 - Create Receipt with the Responsive Self Service Receiving Application (RCV_CREATE_RECEIPT_WITH_PWA_PRIV) if you are the requester on the requisition line.
 - Create Receipt for Procurement Preparer with the Responsive Self Service Receiving Application privilege (RCV_CREATE_RECEIPT_PROCUREMENT_PREPARER_PWA) if you are the preparer and to confirm the receipt on behalf of the requester on the line.
- You must perform the initial ingestion to view items and confirm receipts. Follow these steps to perform the initial ingestion:
 - a. Log in as the Supply Chain Application Administrator or Procurement Application Administrator user.
 - b. Navigate to **Tools > Scheduled Processes**, then select **Schedule New Process**.
 - c. Search and select the process name: ESS job to create index definition and perform initial ingest to OSCS.

Parameter values for index name to reingest:

- fa-scm-rcv-expected-po-receipts
- fa-scm-rcv-expected-asn-receipts
- fa-scm-rcv-expected-to-receipts

Note: If you have already run these processes earlier (for example, when enabling the Redwood Self Service Receiving Application), you don't need to run them again.

FAQs for the Self Service Procurement Application

Can I browse a catalog using browsing and purchasing categories?

You can't use the Self Service Procurement application to browse catalog category hierarchy. However, you can use the Featured Categories section to view items under a specific top category.

How search results are sorted and what attributes can I use to sort the results?

The search results are sorted by relevance, and the item with the highest relevance is displayed at the top. The relevance score is determined by the application. There are no other sorting mechanisms to sort the results.

Why is the charge account not displayed on the Cart Requisition Summary page?

In the Oracle Self Service Procurement application, the charge account information is displayed according to these parameters:

- If a requisition is costed to a project, the application doesn't display charge account information in the Requisition Summary section, instead only project and task details are displayed.
- If a requisition isn't costed to a project, the charge account will be displayed in the Requisition Summary section.

Process Requisition Lines

Evaluate Approved Requisition Lines

Create Procurement Documents from Requisitions

Use the Process Requisitions page to search for, select, and group existing requisition demand to create procurement documents. You can find the page in the Purchase Agreements or Purchase Orders work areas, using the Process Requisitions task.

Search for requisition lines using entered or saved search parameters. Select all requisition lines that meet your procurement needs. Once you have identified the appropriate requisition lines, you can add them to the document builder and create your order or negotiation. Define the document builder outcome using document type, document style, and line grouping.

Note: You can specify a contract purchase agreement or a blanket purchase agreement as the source document when processing requisition lines into a purchase order using the document builder.

When the application is configured to copy descriptive flexfields from requisition headers or lines to corresponding purchase order headers or lines, you can't group requisition lines.

When the application is configured to copy only descriptive flexfields from requisition headers and not from lines, requisition grouping is allowed. If you manually enter multiple lines in the Edit Document Builder page, line grouping options are disabled in the Actions drop-down list.

Related Topics

- [Set Up Descriptive Flexfield Copying from Requisitions to Purchase Orders](#)
- [What's a document style?](#)

How You Use Document Builder to Create Purchasing Documents

As a buyer, you can use the Document Builder on the Process Requisitions page to create procurement documents from requisition lines you have selected. To use the Document Builder, navigate to the Purchase Orders work area's Process Requisitions task.

How You Select a Document Type

When you add requisition lines to the Document Builder, the Add to Document Builder dialog box displays. In the document **Type** field, you can indicate the type of document that you're planning to build from the selected requisition lines.

- Create a new purchase order.
- Add to an existing purchase order that's still being authored or drafted.
- If you have enabled the Add New Approved Requisitions to Existing Open Purchase Orders feature, you can add a requisition line that doesn't reference goods shipped to third parties or work orders to an existing open purchase order instead of creating a separate purchase order for the requisition.

Note: To use the Add New Approved Requisitions to Existing Open Purchase Orders feature, you must enable the feature in the Offerings work area, in the Procurement Offering.

- If your organization has implemented Oracle Sourcing, you can also initiate drafting a new negotiation document like an auction or request for quote.

If you select **New Negotiation**, you can then select additional negotiation attributes. If you're not familiar with these attributes, defaults are provided. For more information you can also refer to the related topics listed at the end of this topic.

How You Group Requisition Lines

On the Process Requisitions page, in the Document Builder pane, requisition lines appear as individual lines. Similar lines may be combined together into a single order line based on your setup. Click the **Edit** button to open the Edit Document Builder page. Use the page to see and adjust how multiple requisition lines should be combined on the resulting order. From the **Actions** menu in the Document Builder Lines section, you can select from three options to control requisition line grouping:

- **Group Lines Using System Defaults**
With this option, you rely on the application settings that determine whether each requisition line fulfilled in the document should have its own order line, or should be combined with other requisition lines.
- **Group Lines Manually**
With this option, you provide the order line number for each requisition line. You decide which requisition lines should be combined into a single order line and which requisition lines should have their own order line.
- **Do Not Group Lines**
Use this option to ensure that each requisition line has its own order line.

You can switch between these options to see how they affect your purchase order line numbers before selecting the final option. For example, you could start using the application defaults. Then you could switch to manually grouping to adjust a few of those defaults. To revert your changes, you could switch back to using the application defaults and the application recalculates the order line numbers.

Related Topics

- [What's a document style?](#)

Reassign Requisition Lines to Buyer

What's the difference between return and reassign?

If the requisition line should not be used in a procurement document, you can return it to the requester. For example, as a buyer you might require additional information before processing a line into a purchase order.

If the requisition line should be assigned to a different buyer, you can reassign it.

Analyze Requisition Lines

Requisition Saved Searches Options

Some of the most common searches are predefined for you to use. You can modify saved searches to meet your needs, or create your own.

Requisition Line Searches

Although the Procurement BU that you specify narrows down the available requisition lines you can process, search is your primary tool to consolidate random requisition lines into a collection of just those you're interested in.

Basic search is accomplished by simply filling in a few of the provided fields. With advanced search, you can perform queries that require entries to find matches using a relationship other than just an equal to match as is done in a basic search. Optionally you can choose from the Saved Searches list that lets you save and reuse any frequently used set of search criteria.

On the Process Requisitions page, these saved searches appear as options in the Saved Search field.

Predefined Saved Searches

This type of saved search has already been created for you.

Some examples are:

- My requisition lines that failed automation
 - Requisition lines assigned to you that require some analysis to determine further action after failing automatic document creation. For example, a requisition line that is still in the requisition pool despite having one of the following:
 - The line references a procurement card.
 - The line references an emergency purchase order number.
 - The line references a source agreement that's configured for automatic ordering.
- My requisition lines requiring negotiation

Requisition lines assigned to you for which you need to create a negotiation.

- All my requisition lines requiring action

This saved search shows all requisition lines in your processing queue.

Personalized Saved Searches

You can change some attributes of a predefined saved search by selecting **Personalize**. For example, you could set the "My requisition lines that failed automation" search to be the default search when you open the page.

How You Create Saved Searches

If you often have the need to look up the same combination of requisition lines, you can save your basic or advanced search as a saved search. Simply enter your criteria in either basic or advanced search and click **Save**.

Related Topics

- [How Purchase Orders Are Automatically Created](#)

Update Requisition Lines

Split a Requisition Line

A requisition line can be split into multiple requisition lines that can represent the same or different items.

For example, if the requisition line quantity is so large that a single supplier can't fill the entire order, then the order must be split to be filled by more than one supplier. Additionally, if you have a requisition line item that contains parts that you want to order as unique items, you can expand the requisition line into several lines. Use the Split window to split an existing requisition line into multiple requisition lines. Any new requisition lines can then be split as well.

In this scenario you have decided to split the requisition between two suppliers. To do that, you must split the original line, and then include each line in a separate purchase order for the supplier. This table shows the split lines for an original requisition line where the quantity was 50.

Requisition	Line	Item	Line Description	Quantity	UOM
1050555	2	ZL455-S505	Green Satellite Laptop	30	Each
1050555	3	ZL455-S505	Green Satellite Laptop	20	Each

You decide to purchase 30 units from Atlantic Tech and 20 units from Acme Office Supplies. Once you select the line and apply the **Split** action, you can enter the new quantities for the split requisition lines:

Split a Requisition Line

1. Select the requisition line to be split.
2. Select **Split** from the Actions menu.
3. The Split window opens with the original line and a duplicate of it with zero quantity.
4. Change the original line quantity and the new line quantity.

5. Click **Save** and **Close** to return to the Process Requisition work area.

Budgetary Control Restrictions on Split or Update Actions for Requisition Lines

As a buyer, you can split or update a requisition line when processing it into a purchase order, under the following conditions.

- When budgetary control isn't enabled for the requisitioning business unit.
- When budgetary control is enabled for the requisitioning business unit; the requisition line isn't subject to budgetary control, based on the budget date and account or project; and the funds status is Not Applicable.

To process a requisition line into a purchase order, use the Process Requisition task in either the Purchase Agreements or Purchase Orders work area.

Related Topics

- [How You Determine Applicable Control Budgets](#)

Disabled Requisition Lines

Disabled lines are lines on a requisition that can't be updated by a preparer or approver. Disabled lines can have one of the following statuses:

- Approved
- Replaced
- Split
- Canceled

A preparer can edit only lines with a status of rejected, returned, withdrawn, or their own newly created lines. To edit an approved line, the preparer must first withdraw the line. This changes the status of the line to withdrawn.

An approver can edit only lines with a status of pending approval, or new lines created by the approver.

FAQs for Process Requisition Lines

How can I update a requisition line from the catalog?

If an item on a requisition line should have been ordered from the procurement catalog, but was not, you can easily access the procurement catalog from the Process Requisitions page and replace the incorrect item with the equivalent catalog item.

Use the **Update from Catalog** action, and then select the replacement item in the catalog.

What's the difference between view requisition lines and process requisitions?

Use the View Requisition Lines page to search and view requisition lines, including the life cycle of the requisition line.

Use the Process Requisitions page to take actions on requisition lines:

- Place requisition demand onto purchase orders or negotiations
- Return requisition lines to requesters

- Reassign requisition lines to another buyer
- Modify requisition lines by either splitting the line quantities or replacing the line item with a catalog item

What does lines being processed mean?

Lines being processed refers to requisition lines that the buyer is currently working on.

This includes lines placed on a draft PO, lines created by the buyer during a split, or a original requisition line that was split or replaced (updated in the catalog) and for which processing isn't complete.

8 Purchase Orders

Use the Purchase Orders Work Area

Purchase Order Infolets

An infolet is a small interactive widget that gives you key information and shows you what's going on in the areas you work on. You might also find something that you need to follow up on.

The Purchase Orders work area landing page has purchasing transactions that require buyer's attention and infolets that include key alerts and important metrics.

Here's the list of infolets that are available on the Purchase Orders work area to provide insight into purchase orders:

- **Orders Requiring Attention:** Shows counts of purchase orders that might require a buyer's attention, such as failed submission, orders rejected, or invoice holds.
- **Orders in Process:** Shows the total number of orders and change orders in process. The statuses this infolet shows are Pending Approval status, Pending Acknowledgment status, Pending Signature status, Change Pending Approval status, Change Pending Acknowledgment status, and Change Pending Signature status. This infolet also shows counts by order status.
- **Recent Activity:** Provides visibility to recent actions taken on the buyer's orders, such as acknowledgment and receipts.
- **Requisition Lines:** Shows a count of requisition lines in the buyer's queue.
- **Incomplete:** Shows counts of incomplete orders and change orders that are assigned to the buyer.
- **Open Schedules:** Shows the number of active order schedules by schedule status.
- **Aging Requisition Lines:** Shows the counts of unprocessed requisitions by the number of days they aren't processed.
- **Orders Pending Acknowledgment:** Shows the count of purchase orders that are pending acknowledgment and overdue.

Note: Infolets in the Purchase Orders Overview page only reports on transaction count where the transactions are assigned to the logged in user.

Related Topics

- [How You Use and Personalize Infolets in Oracle Fusion Cloud SCM and Procurement](#)
- [Overview of Infolets](#)

Orders Requiring Attention Infolet

The Orders Requiring Attention infolet identifies any orders that have some kind of problem that you may want to check. This includes orders that have been rejected, failed automatic submission, or have invoices on hold.

You can click the status number to see a list of the orders having that status. From the list, you can click an order number link to view and update the order details. You can and resubmit orders that have been rejected. You should drill into any order that has failed automatic submission to determine and correct the error that caused the failure. Then you can resubmit the order. Finally, you can view details for any order with an invoice hold.

Related Topics

- [How You Use and Personalize Infolets in Oracle Fusion Cloud SCM and Procurement](#)

Create Purchase Order

What's the difference between an order and a requisition?

An order is a formal authorization to purchase goods or services. Your purchasing department creates a purchase order, which a supplier receives. A purchase order can be tracked until you receive the goods or services.

A requisition is a request for the goods or services. If approved, a purchase order is created to fulfill the requisition.

What's the difference between a purchase order, a purchase agreement, and a contract agreement?

Oracle Purchasing provides the following purchase order types: purchase order, blanket purchase agreement, and contract purchase agreement.

Note that your organization can change the names of these documents to suit your business needs, but in their basic form the following describes their function:

- **Purchase Order**
You generally create a purchase order for a one-time purchase of various items. You create a purchase order when you know the details of the goods or services that you require, estimated costs, quantities, delivery schedules, and accounting distributions.
- **Blanket Purchase Agreement**
You create blanket purchase agreements when you know the details of the goods or services you plan to buy from a specific supplier in a period, but you do not yet know the detail of your delivery schedules. You can use blanket purchase agreements to specify negotiated prices for your items before actually purchasing them. Prices for items can be negotiated on a blanket purchase agreement by a procurement business unit which can then be made available to multiple requisitioning business units.
- **Contract Purchase Agreement**
You create a contract purchase agreement with your supplier to agree on specific terms and conditions without indicating the goods and services that you will be purchasing. You can later issue purchase orders referencing your contracts using terms negotiated on a contract purchase agreement by a procurement business unit which can then be made available to multiple requisitioning business units.

How Purchasing Document Header Defaults Work

To minimize document creation time and reduce errors, a comprehensive defaulting mechanism is used to provide most required purchasing document header information. In this context, default means that the application provides this information for you.

How Purchasing Document Header Defaulting Rules Work

The header or general information portion of a purchasing document contains the details that apply to the entire document.

The table lists the header fields that can appear on a purchasing document page. The following columns indicate where the default comes from for each document type. Document types include purchase order, blanket purchase agreement, and contract agreement.

- These rules don't apply to the case when a line is brought over from the catalog or a requisition line.
- In the following table, when options for a purchasing document header default rule are listed as 1, 2, 3 and so on, the application looks first for the option specified as number 1. If information isn't available in this source, it uses the next numbered source, and so on.

Header Fields	Purchase Order	Blanket Purchase Agreement	Contract Agreement
Automatically Generate Orders	Not applicable	Procurement Business Function Configuration of the Procurement BU	Procurement Business Function Configuration of the Procurement BU
Automatically Submit for Approval	Not applicable	Procurement Business Function Configuration of the Procurement BU	Procurement Business Function Configuration of the Procurement BU
Bill-to Location	1. Supplier Site Assignment record of the supplier site in the Sold-to BU 2. Common Payables and Procurement Configuration setting for the Sold-to BU 3. Location of the Bill-to BU, if it's Bill-to Site	Not applicable	Not applicable
Buyer	Current signed in user who opens the create document window	Current signed in user who opens the create document window	Current signed in user who opens the create document window
Shipping Method	1. Source Agreement 2. Supplier Site 3. Procurement Business Function Configuration of the Procurement BU	1. Supplier Site 2. Procurement Business Function Configuration of the Procurement BU	1. Supplier Site 2. Procurement Business Function Configuration of the Procurement BU
Communication Method	1. Supplier Site 2. None	Same as purchase order	Same as purchase order

Header Fields	Purchase Order	Blanket Purchase Agreement	Contract Agreement
	Note: For Change Orders: Procurement Business Function Configuration of the Procurement BU		
Confirming order	Deselected	Deselected	Deselected
Conversion Date	1. The current date in the legal entity's time zone, if available. 2. Otherwise, the current date in the application server's time zone.	Not applicable	Not applicable
Conversion Rate Type	1. If currency is fixed rate as defined in GL then set to EMU Fixed 2. Common Payables and Procurement Configuration setting for the Sold-to BU 3. Set it to Corporate	Not applicable	Not applicable
Currency	1. Invoice Currency of the Supplier Site 2. Primary ledger currency of the Sold-to LE	1. Invoice Currency of the Supplier Site 2. Procurement Business Function Configuration of the Procurement BU	Same as blanket purchase agreement
Default Ship-to Location (If only Services, the attribute name is Default Work Location)	1. Supplier Site Assignment record in the Requisitioning BU 2. Requisitioning Business Function Configuration of the Requisitioning BU	Not applicable	Not applicable
Email (If Communication Method is email)	1. Supplier Contact 2. Supplier Site	Same as purchase order	Same as purchase order
FOB	1. Supplier Site 2. Procurement Business Function Configuration of the Procurement BU	Same as purchase order	Same as purchase order
Fax (If Communication Method is Fax)	1. Supplier Contact 2. Supplier Site	Same as purchase order	same as purchase order
Freight Terms	1. Supplier Site 2. Procurement Business Function Configuration of the Procurement BU	Same as purchase order	Same as purchase order

Header Fields	Purchase Order	Blanket Purchase Agreement	Contract Agreement
Group Requisitions	Not applicable	Procurement Business Function Configuration of the Procurement BU	Not applicable
Group Requisition Lines	Not applicable	Procurement Business Function Configuration of the Procurement BU	Not applicable
Pay on Receipt	1. Source Agreement 2. Supplier Site 3. Deselected	1. Supplier Site 2. Deselected	1. Supplier Site 2. Deselected
Payment Terms	1. Supplier Agreement 2. Supplier Site 3. Procurement Business Function Configuration of the Procurement BU 4. Manage Invoice Options task setup for invoicing business unit, in the Setup and Maintenance work area	1. Supplier Site 2. Procurement Business Function Configuration of the Procurement BU	1. Supplier Site 2. Procurement Business Function Configuration of the Procurement BU
Document Style	Style Display Name for the Purchase Order document type as specified in the Style "Standard Style"	Style Display Name for the Blanket Purchase Agreement document type as specified in the Style "Standard Style"	Style Display Name for the Contract Purchase Agreement document type as specified in the Style "Standard Style"
Procurement BU	1. Assigned Procurement BU of the worker, if there is one and only one active assignment. 2. Profile option "Default Procurement Business Unit", if there is more than one active assignment for the worker 3. Blank	Same as purchase order	Same as purchase order
Retroactive Pricing Terms	Not applicable	Selected	Not applicable
Required Acknowledgment	Supplier Site	Supplier Site: Only when the site is set to Document. Otherwise, it's None.	Supplier Site: Only when the site is set to Document. Otherwise, it's None.
Requisitioning BU	1. Client of the Procurement BU if there is only active client. 2. Buyer's Procurement BU Assignment details, if there are multiple clients of the Procurement BU 3. Blank	Same as purchase order	Same as purchase order
Supplier Site	Supplier, if there is only one active purchasing site for the Procurement BU with an active site	Supplier, if there is only one active purchasing site for the Procurement BU	Supplier, if there is only one active purchasing site for the Procurement BU

Header Fields	Purchase Order	Blanket Purchase Agreement	Contract Agreement
	assignment for the Requisitioning BU		
Supplier Contact	Supplier Site, if there is only one active contact for the site	Same as purchase order	Same as purchase order
Taxation Country	Country of the Legal Entity of the Sold-to LE	Not applicable	Not applicable
Use requested date	Not applicable	Procurement Business Function Configuration of the Procurement BU	Not applicable
Use ship-to organization and location	Not applicable	Procurement Business Function Configuration of the Procurement BU	Not applicable
Aging Onset Point	Not applicable	1. Supplier Site 2. Configuration Procurement Business Function parameters for the Procurement BU on the document header 3. None	1. Supplier Site 2. Configuration Procurement Business Function parameters for the Procurement BU on the document header 3. None
Aging Period Days	Not applicable	1. Supplier Site 2. Configuration Procurement Business Function parameters for the Procurement BU on the document header 3. None	1. Supplier Site 2. Configuration Procurement Business Function parameters for the Procurement BU on the document header 3. None
Allow ordering from unassigned sites	Not applicable	Deselected	Deselected
Amount Limit	Not applicable	• New Agreement Amount entered by the user, if Amount Limit and Agreement Amount are same • No change in the default value when the user updates Agreement Amount, if Amount Limit and the original Agreement Amount values aren't same	• New Agreement Amount entered by the user, if Amount Limit and Agreement Amount are same • No change in the default value when the user updates Agreement Amount, if Amount Limit and the original Agreement Amount values aren't same
Bill-to BU	1. Source Agreement 2. Supplier Site Assignment	Not applicable	Not applicable
Buyer managed transportation	1. Source Agreement 2. Supplier Site	1. Supplier Site 2. Procurement Business Function Configuration of the Procurement BU	1. Supplier Site 2. Procurement Business Function Configuration of the Procurement BU

Header Fields	Purchase Order	Blanket Purchase Agreement	Contract Agreement
	3. Procurement Business Function Configuration of the Procurement BU		
Default line as consignment line	- If no value is entered, and the Consignment terms enabled check box is selected, then default to Selected - Else, default to Deselected	- If no value is entered, and the Consignment terms enabled check box is selected, then default to Selected - Else, default to Deselected	- If no value is entered, and the Consignment terms enabled check box is selected, then default to Selected - Else, default to Deselected
Document Fiscal Classification	The attribute value defaults from the tax setup	Not applicable	Not applicable
First Party Tax Registration Number	Tax Defaulting API	Not applicable	Not applicable
Taxation Country	Country of the Sold-to LE	Not applicable	Not applicable
Enable automatic sourcing	Not applicable	Not applicable	Procurement Business Function Configuration of the Procurement BU
Punchout requests only	Not applicable	Not applicable	Procurement Business Function Configuration of the Procurement BU
Use customer sales order	Not applicable	The default value of the attribute is derived from the Use customer sales order check box on the Procurement BU in which the agreement is being created	The default value of the attribute is derived from the Use customer sales order check box on the Procurement BU in which the agreement is being created
Communicate repriced orders	Not applicable	Selected	Not applicable
Enable retroactive pricing	Not applicable	Selected	Selected
Initiate process upon agreement approval	Not applicable	Deselected	Not applicable
Reprice open orders only	Not applicable	Selected	Not applicable

Related Topics

- Where do the purchase order defaults come from?

How Purchasing Document Line Defaults Work

To minimize document creation time and reduce errors, a comprehensive defaulting mechanism is used to provide most required purchasing document line information. In this context, default means that the application provides this information for you when you create a new line.

How Purchasing Document Line Defaulting Rules Work

The table lists the line fields that can display on a purchasing document page. The following columns indicate where the default comes from for that document type. Document types include purchase orders and blanket purchase agreements.

- When information labels are listed as 1, 2, 3, and so on, the application looks first to the option specified as number 1. If information isn't available in this source, it uses the next numbered source.

Line Fields	Purchase Order	Blanket Purchase Agreement
Allow Price Override	Not applicable	Deselected for goods lines and selected for services lines
Category Name	- Item as defined in the Ship-to Organization - Line Type	Same as purchase order
Deliver-to Location	- Requester's location if its ship-to location matches the ship-to location of the line - Ship-to location of the associated schedule	Not applicable
Description	Item as defined in the Ship-to Organization	Not applicable
Destination Type	"Inventory" if item is stockable in Ship-to Organization and inventory is implemented "Expense"	Not applicable
Hazard Class	- Source Agreement Line - UN Number - Item as defined in the Inventory Organization on Procurement Business Function Configuration of the Procurement BU	- UN Number - Item as defined in the Inventory Organization on Procurement Business Function Configuration of the Procurement BU
Invoice Close Tolerance Percent	100 if procurement card on the header - Item as defined in the Ship-to Organization - Configure Procurement Business Function - Set it to "0"	Not applicable
Invoice Match Option	- Item as defined in the Ship-to Organization - Line Type - Supplier Site	Not applicable

Line Fields	Purchase Order	Blanket Purchase Agreement
	4. "Order"	
Location	- Header - BU assignment record of the source agreement corresponding to the Requisitioning BU - Supplier Site Assignment record of the supplier site in the Requisitioning BU - Requisitioning Business Function Configuration of the Requisitioning BU	Not applicable
Match Approval Level	- Item as defined in the Ship-to Organization - Line Type - Supplier Site - Procurement Business Function Configuration of the Procurement BU "2-Way" Note that if the default value is "4-Way" and one of these conditions is true, then set the default to "3-Way": - Purchase basis of the line type is SERVICES - Receipt Routing is NOT Inspection Required	Not applicable
Negotiated	- Selected, if the PO is created from a source agreement - Agreement Line, if the PO line is sourced from a blanket purchase agreement - Deselected	Selected
Organization	- Inventory Organization associated with the line Ship-to Location - Inventory Organization associated with the header Ship-to Location - Deliver-to Organization from the Requisitioning Business Function Configuration of the Requisitioning BU	Not applicable
Price	- Source agreement - Item as defined in the Inventory Organization on Procurement Business Function Configuration of the Procurement BU	Item as defined in the Inventory Organization on Procurement Business Function Configuration of the Procurement BU
Price Break Type	Not Applicable	Procurement Business Function Configuration of the Procurement BU
Secondary Quantity	Based on the conversion of the primary UOM and secondary UOM if the Defaulting definition of the UOM for the item is "Fixed" or "Default"	Not applicable
Supplier Item	- Requisition line being fulfilled - Source Blanket Purchase Agreement line - Applicable Approved Supplier List entry	Master Item*

Line Fields	Purchase Order	Blanket Purchase Agreement
	4. Master Item* *If these conditions are met: - The trading partner type for the item master must be a supplier. - The trading partner name must match the supplier on the purchase order. - The trading partner item status must be active or null. - The supplier item relationship start date must be effective while creating a purchase order. - The relationship status must not be obsolete. - Only one relationship must meet these conditions for the master item.	*If the Populate Trading Partner Item Details on Agreements profile Option is set to Yes and these conditions are met: - The trading partner type for the item master must be a supplier. - The trading partner name must match the supplier on the blanket purchase agreement. - The trading partner item status must be active or null. - The supplier item relationship start date must be effective while creating a blanket purchase agreement. - The relationship status must not be obsolete. - Only one relationship must meet these conditions for the master item.
Manufacturer	1. Source Blanket Purchase Agreement line 2. Requisition line for a punchout item 3. Master Item* *If these conditions are met: - The trading partner type for the item master must be a manufacturer. - The manufacturer status must be active or null. - The manufacturer item relationship start date must be effective while creating a purchase order. - The relationship status must not be obsolete. - Only one relationship must meet these conditions for the master item.	Master Item* *If the Populate Trading Partner Item Details on Agreements profile Option is set to Yes and these conditions are met: - The trading partner type for the item master must be a manufacturer. - The manufacturer status must be active or null. - The manufacturer item relationship start date must be effective while creating a blanket purchase agreement. - The relationship status must not be obsolete. - Only one relationship must meet these conditions for the master item.
Manufacturer Part Number	1. Source Blanket Purchase Agreement line 2. Requisition line for a punchout item 3. Master Item* *If these conditions are met: - The trading partner type for the item master must be a manufacturer. - The manufacturer status must be active or null. - The manufacturer item relationship start date must be effective while creating a purchase order. - The relationship status must not be obsolete. - Only one relationship must meet these conditions for the master item.	Master Item* *If the Populate Trading Partner Item Details on Agreements profile Option is set to Yes and these conditions are met: - The trading partner type for the item master must be a manufacturer. - The manufacturer status must be active or null. - The manufacturer item relationship start date must be effective while creating a blanket purchase agreement. - The relationship status must not be obsolete. - Only one relationship must meet these conditions for the master item.

Line Fields	Purchase Order	Blanket Purchase Agreement
Type	1. Procurement Business Function Configuration of the Procurement BU 2. Document Style 3. "Goods."	Same as purchase order
UN Number	1. Source agreement line 2. Item as defined in the Ship-to Organization	Item as defined in the Inventory Organization on Procurement Business Function Configuration of the Procurement BU
UOM	1. Item as defined in the Ship-to Organization 2. Line Type	1. Item as defined in the Inventory Organization on Procurement Business Function Configuration of the Procurement BU 2. Line Type
Aging Period Days	Not Applicable	If the field is blank and the Consignment Line is set to Y, then the attribute value defaults from the document header
Allow item description update	Not Applicable	1. Item definition in the Inventory Organization specified on Procurement Options of the Procurement BU of the agreement 2. Deselected, if no item
Consignment Line	Not Applicable	If the field is blank and the Consignment Line is set to Y, then the attribute value defaults from the document header
Destination Charge Account	The default value of the attribute is derived by calling Transaction Account Builder, if any of these is true: • The PO schedule has a financial orchestration flow and destination type is Expense and project hasn't been entered • The PO schedule has a financial orchestration flow and destination type is Expense and project has been entered and PJC_ALLOW_ACCOUNT_OVERRIDE profile allows account to be updated	Not applicable
Intended Use	The attribute value defaults from the tax setup	Not applicable
PO Charge Account	If the field is editable and it's blank, default value of the attribute is derived by using Transaction Account Builder	Not applicable
Product Category	The attribute value defaults from the tax setup	Not applicable
Product Fiscal Classification	The attribute value defaults from the tax setup	Not applicable

Line Fields	Purchase Order	Blanket Purchase Agreement
Product Type	The attribute value defaults from the tax setup	Not applicable
Shipping Method	1. Source Agreement 2. Header	Not applicable
Tax Classification	The attribute value defaults from the tax setup	Not applicable
Transaction Business Category	The attribute value defaults from the tax setup	Not applicable
User-Defined Fiscal Classification	The attribute value defaults from the tax setup	Not applicable

Related Topics

- [Where do the purchase order defaults come from?](#)

How Purchase Order Schedule Defaults Work

To minimize document creation time and reduce errors a comprehensive defaulting mechanism is used to provide most required purchasing document line information. In this context default means that the application provides this information for you when you create a new line.

How Purchase Order Schedule Default Rules Work

The table lists the schedule fields that can display on the purchase order page. The following column indicates where the default comes from.

- These rules don't apply to purchase order lines brought over from a catalog or requisition lines.
- In the following table, when options for a purchase order schedule default rule are listed as 1, 2, 3, and so on, this means the application looks first for the option specified as number 1. If information isn't available in this source, it uses the next numbered source, and so on.

Schedule Fields	Purchase Order Default Rules
Accrue at Receipt	If it's editable, and the destination type is set to Expense and 'Accrue Expense Items' is set to 'At Receipt' in common options for Payables and Procurement, then default Accrue at receipt value as follows: 1. Selected, if Match Approval Level is either 3-way or 4-way or Receipt Close Tolerance Percentage is NOT 100 2. Else, Deselected
Allow Substitute Receipts check box	The Allow Substitute Receipts check box is selected or deselected by default, based on its settings in the following: 1. The item definition in the ship-to organization. 2. The supplier site. 3. The receiving options for the ship-to organization.

Schedule Fields	Purchase Order Default Rules
	4. Otherwise, the Allow Substitute Receipts check box is deselected by default.
Country of Origin	If PO Approved Supplier List exists, then the default value is derived as follows: 1. Item 2. Ship-to Organization 3. Supplier Site Else, from the supplier site.
Destination Type	The Destination Type field's default value is derived from the following: 1. The schedule's associated purchase order line. 2. If the item definition in the ship-to organization is Stockable, then the destination type's default value is Inventory. 3. Otherwise, the default value is Expense.
Deliver-to Location	The Deliver-to Location field's default value is derived from the corresponding value in the following: 1. The requester's location, if the requester is specified, and if the ship-to location matches that of the related purchase order line. 2. Otherwise, the default value is the schedule's ship-to location.
Early Receipt Tolerance in Days	The Early Receipt Tolerance in Days field's default value is derived from the corresponding value in the following: 1. The item definition in the ship-to organization. 2. The supplier site. 3. The receiving options of the ship-to organization. 4. Otherwise, the default value is 0 days.
Invoice Close Tolerance Percent	The Invoice Close Tolerance Percent field's default value is derived from the following: 1. If the Procurement Card field displays on the purchase order header, then the default value is 100 percent. 2. The item definition in the ship-to organization. 3. The Configure Procurement Business Function task for the procurement business unit. 4. Otherwise, the default value is 0 percent.
Invoice Match Option	The Invoice Match Option field's default value is derived from the corresponding value in the following: 1. The item definition in the ship-to organization. 2. The line type. 3. The supplier site. 4. Otherwise, the default value is Order.
Late Receipt Tolerance in Days	The Late Receipt Tolerance in Days field's default value is derived from the corresponding value in the following: 1. The item definition in the ship-to organization. 2. The supplier site. 3. The receiving options of the ship-to organization. 4. Otherwise, the default value is 0 days.
Location	The Location field's default value is derived from the corresponding value in the following: 1. The ship-to organization from the associated purchase order line.

Schedule Fields	Purchase Order Default Rules
	- The business unit assignment record of the source agreement, corresponding to the requisitioning business unit. - The supplier site assignment of the requisitioning business unit. - The Configure Requisition Business Function task for the requisitioning business unit.
Match Approval Level	The Match Approval Level field's default value is derived from the corresponding value in the following: - The item definition in the ship-to organization - The line type - The supplier site. - The Configure Procurement Business Function task for the procurement business unit - Otherwise, the default value is "2-Way" match - If Receipt Routing is Inspection Required then Match Approval Level is always defaulted as 4-Way Note that if the default value is "4-Way" and one of these conditions is true, then set the defaults to "3-Way": - Purchase basis of the line type is Services - Receipt Routing is NOT Inspection Required - Destination Type is "Drop Ship"
Organization	The Organization field's default value is derived from the corresponding value in the following: - The inventory organization associated with the schedule's location. - The inventory organization associated with the location of the purchase order line. - The deliver-to organization from the Requisitioning Business Function Configuration task for the requisitioning business unit.
Over-receipt Action	The Over-receipt Action field's default value is derived from the corresponding value in the following: - The item definition in the ship-to organization. - The supplier site. - The receiving options for the ship-to organization. - Otherwise, the default value is None.
Over-receipt Tolerance Percent	The Over-receipt Tolerance Percent field's default value is derived from the corresponding value in the following: - The item definition in the ship-to organization. - The supplier site. - The receiving options for the ship-to organization. - Otherwise, the default value is set to 0 percent.
Receipt Close Tolerance Percent	The Receipt Close Tolerance Percent field's default value is derived from the corresponding value in the following: - The item definition in the ship-to organization. - The line type. - The Configure Procurement Business Function task for the procurement business unit. - Otherwise, the default value is set to 0 percent.
Receipt Date Exception Action	The Receipt Date Exception Action field's default value is derived from the corresponding value in the following: - The item definition in the ship-to organization. - The supplier site.

Schedule Fields	Purchase Order Default Rules
	- The receiving options for the ship-to organization. - Otherwise, the default value is set to None.
Receipt Routing	If line type is set to have a purchase basis of Goods and Destination Type isn't 'Drop Ship', default the attribute value as follows: - The item definition in the ship-to organization - The supplier site. - The receiving options for the ship-to organization. Else, set the value to Direct Delivery
Secondary Quantity	If the default definition of the Unit of Measure (UOM) field for the item is Fixed or Default, then the default value for the Secondary Quantity field is derived from the primary quantity, based on the conversion of the primary UOM and secondary UOM.
Ship-to Exception Action	The Ship-to Exception Action field's default value is derived from the corresponding value in the following: - The item definition in the ship-to organization. - The supplier site. - The receiving options for the ship-to organization. - Otherwise, the default value is None.
Destination Charge Account	The default value of the attribute is derived by calling Transaction Account Builder, if any of these is true: - The PO schedule has a financial orchestration flow and destination type is Expense and project hasn't been entered - The PO schedule has a financial orchestration flow and destination type is Expense and project has been entered and PJC_ALLOW_ACCOUNT_OVERRIDE profile allows account to be updated
Intended Use	The attribute value defaults from the tax setup
PO Charge Account	If the field is editable and it's blank, default value is derived by calling Transaction Account Builder
Product Fiscal Classification	The attribute value defaults from the tax setup
Product Type	The attribute value defaults from the tax setup
Quantity	If the line type is set to have a purchasing basis of Goods: - Default the value from the line, if it's the first schedule of the line - Default the value to the line quantity minus the sum of the schedule quantities, if it's generated by splitting the lines - Null, if the calculated quantity is zero or negative
Shipping Method	- Source Agreement - Header
Tax Classification	The attribute value defaults from the tax setup

Schedule Fields	Purchase Order Default Rules
Transaction Business Category	The attribute value defaults from the tax setup
User-Defined Fiscal Classification	The attribute value defaults from the tax setup

Related Topics

- [Where do the purchase order defaults come from?](#)

How Purchase Order Distribution Defaults Work

To minimize document creation time and reduce errors a comprehensive defaulting mechanism is used to provide most required purchasing order distribution information. Default, in this context, means that the application provides this information for you when you create a new distribution.

How Purchase Order Distribution Defaulting Rules Work

The distribution portion of an order contains the details that apply to the distributions:

The table lists the distribution fields that can appear on a purchasing document page. The following column indicates where the default comes from..

- These rules don't apply to the case when a line is brought over from the catalog or a requisition line.
- When information labels are listed as 1-2-3, the application looks first for the option specified as 1. If information isn't available in this source, it uses the next numbered source.

Distribution Fields	Purchase Order
Conversion Date	Header
Conversion Rate	Header
Deliver-to Location	1. Schedule 2. Requester's location, if the ship-to location matches that of the schedule 3. Ship-to Location of the associated schedule
Destination Charge Account	The default value of the attribute is derived by calling Transaction Account Builder, if any of these is true: • The PO schedule has a financial orchestration flow and destination type is Expense and project hasn't been entered • The PO schedule has a financial orchestration flow and destination type is Expense and project has been entered and PJC_ALLOW_ACCOUNT_OVERRIDE profile allows account to be updated
PO Charge Account	If the field is editable and it's blank, the default value of the attribute is derived by calling Transaction Account Builder

Related Topics

- [Where do the purchase order defaults come from?](#)

How does the conversion rate type value default for purchase orders with a backing requisition?

The conversion rate on the purchase order is from the purchase order transaction currency to the Sold-to LE ledger currency. The following hierarchy is used to derive the conversion rate type:

1. The value is taken from the Document Builder if the requisition is manually processed.
2. If the purchase order originated from a Supply Chain Financial Orchestration flow, the value is taken from the Common Payables and Procurement Options for the management business unit of the flow's purchasing trade organization.

Purchasing trade organization details can be viewed when SFO is implemented. You can get the purchasing trade organization and orchestration agreement details from the schedules of a purchase order line.

3. If the purchase order didn't originate from a Supply Chain Financial Orchestration flow, the value is taken from the Common Payables and Procurement Options for the management business unit of the deliver-to organization of the first requisition line.
4. If the previous steps don't return a value, it's set to Corporate.

How is currency derived on a purchase order when it's autocreated from a requisition?

The following hierarchy is used to derive the purchase order currency (out of the box):

If the purchase order is sourced to a blanket purchase agreement:

- Blanket Purchase Agreement (BPA) or Requisition line currency.

If the purchase order is sourced to a blanket purchase agreement:

- Requisition line currency.
- Primary ledger currency of the Sold-to LE on the purchase order.

Otherwise:

- Supplier site invoice currency.
- Requisition line currency.
- Primary ledger currency of the Sold-to LE on the purchase order.

If the Process Requisitions into Purchase Orders in the Invoice Currency of the Supplier Site feature is enabled, then the following hierarchy is used to derive the purchase order currency:

If the purchase order is sourced to a blanket purchase agreement:

- Supplier site invoice currency.
- Blanket Purchase Agreement (BPA) or Requisition line currency.

If the purchase order is sourced to a contract purchase agreement:

- Supplier site invoice currency.
- Requisition line currency.
- Primary ledger currency of the Sold-to LE on the purchase order.

Otherwise:

- Supplier site invoice currency.
- Requisition line currency.
- Primary ledger currency of the Sold-to LE on the purchase order.

When does Transaction Account Builder trigger for a purchase order?

Transaction Accounting Builder is called to build and populate the charge account in these cases:

- At save time, if the account hasn't been manually entered.
- After the initial save, if the these fields are updated: Item, Organization, Category, Destination Type, Subinventory, Requester, and Project attributes.
- When you select Rebuild Accounts.

Purchasing Document Validation Checks

The application validates a purchasing document against a set of rules to ensure that this is a valid purchasing document. If it's not, an error or warning is provided.

Document Validation Checks

You can validate your purchasing document or change order using the **Validate** action. If there is an error or warning, the application displays a dialog listing all errors and warnings for you to review. When you submit a document or a change order for approval, the application executes the same validation checks. Some of these validations are performed prior to a change order creating a new version of the document. This ensures that the changes are still relevant in the context of the current state of the document life cycle. For example, any reduction in ordered quantity takes into account any recent receipts and doesn't reduce the quantity beyond what has already been received.

This table lists some of these validation checks, and indicates the document type and document level each validation check is applied to. If a validation check applies to a document type, a Y is displayed in the column. If a validation doesn't apply to a document type, an N is displayed in the column. Purchasing document types include: purchase order, blanket purchase agreement and contract purchase agreement.

Validation	Level	Purchase Order	Blanket Purchase Agreement	Contract Purchase Agreement
The agreement must be assigned for usage to at least one requisitioning BU.	Header	N	Y	Y
The amount limit must be greater than or equal to the minimum release amount.	Header	N	Y	Y
Amount limit of an agreement can't be reduced below the amount that has already been released.	Header	N	Y	Y
The document must have a supplier site	Header	Y	Y	Y
The document must have a supplier.	Header	Y	Y	Y
The document must have at least one line.	Header	Y	Y	N
Total amount released can't exceed the amount limit on the agreement.	Header	Y	N	N
The amount released against an agreement on the order must be greater than or equal to the minimum release amount specified on the agreement.	Header	Y	N	N
The amount released against an agreement line on the order must be greater than or equal to the minimum release amount on the agreement line.	Header	Y	N	N
If supplier hold enforcement is in place, supplier site on the document must not be on purchasing hold.	Header	Y	Y	Y
If retroactive pricing is enabled for open orders only and any accounting has happened on the	Line	Y	N	N

Validation	Level	Purchase Order	Blanket Purchase Agreement	Contract Purchase Agreement
line then price can't be changed.				
The line ordered amount must be equal to the sum of the ordered amount of all schedules of the line.	Line	Y	N	N
The line price change exceeds the price update tolerance specified on the blanket purchase agreement.	Line	N	Y	N
The price limit must be greater than or equal to the price if price override is allowed.	Line	N	Y	N
The purchase order line price must be less than or equal to the source agreement price limit.	Line	Y	N	N
The purchase order line quantity must equal the sum of its schedule quantities.	Line	Y	N	N
Amounts or quantities can't exceed the limit on the referenced blanket agreement line.	Line	Y	N	N
The ordered amount can't exceed the approved amount of the requisition line by more than the price change tolerance amount specified for the requisitioning BU.	Schedule	Y	N	N
The ordered amount must be greater than or equal to the received amount for service lines.	Schedule	Y	N	N
The ordered quantity must be greater than or equal to the received quantity for goods lines.	Schedule	Y	N	N

Validation	Level	Purchase Order	Blanket Purchase Agreement	Contract Purchase Agreement
The price on the order can't exceed the price on the requisition line by more than the price change tolerance percentage specified for the requisitioning business unit.	Schedule	Y	N	N
The purchase order schedule quantity must equal the sum of its distribution quantities.	Schedule	Y	N	N
The schedule order amount must be equal to the sum of its distribution ordered amounts.	Schedule	Y	N	N
The secondary quantity is required for a dual UOM controlled item.	Schedule	Y	N	N
The supplier must be an approved supplier for items requiring an approved supplier.	Schedule	Y	Y	N
The supplier must not be a debarred supplier.	Schedule	Y	Y	Y
Purchase order schedules with inventory destination can only have one distribution.	Schedule	Y	N	N
The ordered amount must be greater than or equal to the billed amount.	Distribution	Y	N	N
The ordered amount must be greater than or equal to the delivered amount.	Distribution	Y	N	N
The ordered quantity must be greater than or equal to the billed quantity.	Distribution	Y	N	N
The ordered quantity must be greater than or equal to the delivered quantity.	Distribution	Y	N	N

Validation	Level	Purchase Order	Blanket Purchase Agreement	Contract Purchase Agreement

How You Prevent Purchase Order Releases if Agreement Lines Would be Over Released

You can configure the application to prevent purchase order submission if agreement lines would be over released.

When you enter the agreement quantity and agreement amount for a blanket purchase agreement line and use the Prevent Purchase Order Releases When Amounts or Quantities Exceed the Limits on the Referenced Blanket Agreement Line feature, the application prevents the purchase order release if that will cause the total amount or quantity released against the agreement line to exceed its line-level limit.

How can I check the reason why my purchasing document is in the Rejected or Incomplete status?

When purchasing documents fail validation checks, the documents either remain in the Incomplete or Rejected status depending on whether the validation errors occurred before or after approval.

You can use visual aids to identify purchasing documents that failed validation checks. These visual aids are available for purchase orders and purchase agreements on UI pages such as Manage Orders, Manage Agreements, View Purchase Order, Edit Purchase Order, View Agreement, and Edit Agreement.

To see the validation errors' details, click the visual aid or inspect the FYI notification that you get when documents fail validation checks. The Document History page also captures additional information when documents fail validation checks after approval.

How You Use Keyword Searches in Oracle Purchasing

When you initially arrive on the Manage Orders or the Manage Agreements pages, you can enter values into the Keywords field. Using the keywords field, you can perform a full or partial search.

The application searches for a match between the value you enter and either the supplier name, supplier number, purchase order number, or agreement number.

Related Topics

- [How the Procurement Keyword Search Index Is Processed](#)

How the Procurement Keyword Search Index Is Processed

Two scheduled processes synchronize the Procurement Keyword Search Index with data updated in the Oracle Fusion Cloud Procurement tables.

Name	Description
Update Purchasing Keyword Search Index	Updates the search index with new data. For example, the purchase order number for a purchase order you created is added to the index. The default setting for this scheduled process is to run every 30 minutes.
Maintain Procurement Keyword Search Index	Maintains the search index with existing data that's updated. For example, a supplier name you changed is added to the index. The default setting for this scheduled process is to run once daily.

Settings That Affect Procurement Keyword Search Index Updates

Since the two scheduled processes are set up to run at the specified default intervals, no extra setup is required. If needed, you can change the default setup for the scheduled processes to run on a frequency that better meets the needs of your organization.

Related Topics

- [Submit Scheduled Processes and Process Sets](#)

How You Use the Perform Purchasing Processes Schedule Job

You have to submit the request for the SchedulePoJobs process only once when you navigate to Purchase Orders or Purchase Agreements page. The request for the SchedulePoJobs process takes care of automatic scheduling for these processes:

Process	Description
SyncKeywordSearchJob	• Runs once daily at 12:00 a.m. UTC • Needed for rebuilding the text indexes used for Keyword Search
UpdateKeywordSearchJob	• Runs every 30 minutes • Needed for building the text indexes used for Keyword Search, based on updates
PurgeRecentActivitiesJob	• Runs once daily at 12:00 a.m. UTC • Needed to purge rows displayed in the Recent Activities infolet if there are more than 25 activities. This infolet can show maximum 25 entries.

Process	Description
	• Needed to purge interface data older than 30 days that's used for staging the POs during the Requisition to PO conversion.
ProcessSignatureStatusJob	• Runs every 30 minutes • Needed for automatically process documents that are in sent for signature status to synchronize it accordingly with DocuSign envelop status Note: This job will be scheduled only if the Enable Electronic Signature for Procurement Documents feature is enabled.

How You Search for Master Items Using Multiple Item Attributes When Creating Purchasing Documents

To search for master items using multiple item attributes, you must use the Search for Master Items Using Multiple Item Attributes When Creating Purchasing Documents feature.

Using the feature, you can use keywords to search for items to add to a purchase order or blanket purchase agreement. You can search for items using attributes such as Manufacturer, Manufacturer Part Number, Supplier Part Number, Cross-Reference Value, or Extensible Flexfields (EFFs).

When an item has multiple manufacturer and manufacturer part numbers, you can select the combination of values that you want to bring back to the purchase order or blanket purchase agreement line. When an item has multiple supplier part numbers, the application will bring back the supplier part number to the purchase order or blanket purchase agreement line only if you select the one corresponding to the supplier specified on the purchasing document.

Note: For blanket purchase agreements, the Populate Trading Partner Item Details on Agreements profile option must be set to Yes.

Keyword search lets you find items quickly that you're looking for. Before you can use the keyword search, you must build the index. To know how to build index for attributes, see the Build Item Keyword Index topic on the Implementing Product Management guide.

When using keyword search, you can take advantage of automatic suggestions from the keyword index. Up to 15 automatic suggestions are provided in these categories:

- Item number and description: If the search text matches the item number or description
- Item class: If the search text matches the item class
- Attributes: If the search text matches the value of one of the indexed attributes
- Relationships: If the search text matches the indexed item relationships

To use automatic suggestions from the keyword index, you must use the Filter Your Item Selections for Transactions Using Automatic Suggestions feature.

Related Topics

- [Build Item Keyword Index](#)

Set Up Descriptive Flexfield Copying from Requisitions to Purchase Orders

You can use profile options to control whether the application copies descriptive flexfields from requisitions to purchase orders.

You have the option to copy flexfields from requisitions to associated purchase orders at the following levels:

- header to header
- line to line
- distribution to distribution

To configure the profile options, follow these steps:

1. Access the Manage Administrator Profile Values task in the Setup and Maintenance work area, Procurement Foundation functional area.
2. On the Manage Administrator Profile Values page, enter the profile option code or name and click Search.
3. In the Search Results, click to select the row for the profile option.
4. You can configure the profile option at the site level only. In the Profile Values section, select Yes to enable the profile option, or No to disable it.

List of Profile Options

This table lists the profile options you can use to control the copying of descriptive flexfields from requisitions to purchase orders.

Profile Option Code	Profile Option Name	Description
PO_COPY_REQ_HDR_DFF_TO_PO	Requisition Header Descriptive Flexfields Copied to Purchase Order Headers	Enable descriptive flexfields to be copied from a requisition header to the corresponding purchase order header when creating a new purchase order.
PO_COPY_REQ_LINE_DFF_TO_PO	Requisition Line Descriptive Flexfields Copied to Purchase Order Lines	Enable descriptive flexfields to be copied from a requisition line to the corresponding purchase order line.
PO_COPY_REQ_DFF_TO_PO	Requisition Distribution Descriptive Flexfields Copied to Purchase Order Distributions	Enable descriptive flexfields to be copied from a requisition distribution to the corresponding purchase order distribution.

When you enable these profile options:

- Copying of descriptive flexfields is enabled in the automated and manual requisition to purchase order creation flows.

- Grouping of requisitions and requisition lines on a purchase order is prevented.
- If either the header profile (PO_COPY_REQ_HDR_DFF_TO_PO) or the line profile (PO_COPY_REQ_LINE_DFF_TO_PO) is set, requisition line grouping is prevented.
- If the header profile (PO_COPY_REQ_HDR_DFF_TO_PO) isn't set, requisition grouping is allowed.
- Grouping requisition *lines* on a single PO line is prevented in all cases.

Related Topics

- [Create and Edit Profile Options](#)

How You Can Derive and Validate Descriptive Flexfield Values Using Purchasing Document Header Attributes

You can use purchasing document header attributes such as procurement business unit when configuring descriptive flexfields. You can use the attributes to define value sets to limit the list of possible values.

With default values and value sets, you can reduce the data entry time for purchase orders and purchase agreements.

Your Procurement administrator can define value sets with logic to derive values based on purchasing document parameters. For details on how to define flexfields and value sets, refer to the Flexfield section of the Configuring and Extending Applications guide.

This table shows the purchasing document attributes that are enabled as flexfield parameters and the syntax for the value set logic. These parameters are available in the Purchasing Document Headers, Lines, Schedules, and Distributions flexfields.

Parameter	Syntax
Requisition BU ID	:{PARAMETER.RequisitioningBUId}
Procurement BU ID	:{PARAMETER.ProcurementBUId}
Document Type	:{PARAMETER.DocumentType}
Sold-to Legal Entity ID	:{PARAMETER.SoldtoLegalEntityId}
Document Style ID	:{PARAMETER.DocumentStyleId}

Here is an example of how to use purchasing document header attributes.

In this example, we will see how to default the descriptive flexfield context segment to the document type and show different context sensitive segments depending on the document type. In this example, when creating a purchase order, the document type will be STANDARD and the page will only show the Context Sensitive Segments for that context.

1. Create a value set for the document type, and define these values:

- **From clause:** po_lookup_codes types

- Value Column Name: `types.LOOKUP_CODE`
- Where clause: `types.LOOKUP_TYPE = 'DOCUMENT_SUBTYPE' and types.LOOKUP_CODE = :`
`{PARAMETER.DocumentType}`

2. Set the value set of the Context Segment to the value set you defined.
3. Create a context for each document type (STANDARD, BLANKET, and CONTRACT) and define Context Sensitive Segments for each context.
4. Save your changes and deploy the flexfield.

Related Topics

- [Overview of Flexfields](#)

Purchase Order Pricing

If your purchase order line is sourced to a blanket purchase agreement, the order line price is based on a matching price break from the agreement line, if there is one. Otherwise, the price is determined from the agreement line itself.

How a Matching Price Break Is Identified

To identify a matching price break, the application performs the following checks:

1. For noncumulative price breaks, if the price break quantity isn't less than the ordered quantity from the current order.
2. For cumulative price breaks, if the price break quantity isn't less than the ordered quantity from the current order, plus any quantity that has already been ordered.
3. For the pricing date, if the date is within the effective period of the price break.

The pricing date by default is the requested delivery date from the order line, or the current calendar date if the order line does not have a requested delivery date specified.

4. If the price break ship-to organization, or the location when specified, matches those from the current order line.

If more than one price break satisfies these conditions, then the application uses the lowest price from these price breaks.

Purpose of Use Order Date for Order Pricing

You can use order date to determine the price on purchase orders instead of requested delivery or shipment dates. When you use the Use Order Date to Determine the Price on Purchase Orders feature, existing purchase order lines aren't repriced when the line's requested delivery or shipment dates are modified. Further, when requisition lines are sourced from a blanket purchase agreement, the price on requisition lines will be derived using the application date instead of the requested delivery date.

Note:

If you are not using the feature, the application uses the requested delivery or ship dates to derive the price on purchase order lines sourced from a blanket purchase agreement. As a result, existing purchase order lines would be repriced if a line's requested delivery or shipment dates were modified.

What Happens When You Enable Use Order Date for Order Pricing

Create a new blanket purchase agreement or edit an existing one and select the Use order date for order pricing control. To use the feature, you must configure non-cumulative price breaks on blanket purchase agreements by specifying a start and end date such that the order date lies between the start and end date of a price break.

This table provides an example of a blanket purchase agreement configured with price breaks:

Price Break	Price	Discount Percent	Start Date	End Date
1	90	10	1/1/23	1/15/23
2	80	20	1/16/23	2/28/23

This table provides an example of how price is derived on the PO based on order date when the feature is enabled:

Scenario	Order Date	Purchase Order Line Price	Requested Delivery Date
When a purchase order is created and submitted	1/12/23	90	1/14/23
When a change order is created to update requested delivery date on the purchase order	1/12/23	90	2/4/23

In the example, the order date on a purchase order sourced from a blanket purchase agreement is 1/12/23. The blanket purchase agreement associated with the purchase order has non-cumulative price breaks configured such that the order date lies between the start and end date of the first price break. The item price on 1/12/23 is 90 USD. When a change order is created to update the requested delivery date to 2/4/23, the price on the purchase order remains as unchanged.

Project Information in Requisitions and Purchase Orders

You can create and manage requisitions and purchase orders for sponsored project expenditures. For purchase orders, use the Project Details section of the order's line distribution to enter project information.

Aspects of using project information in requisitions and purchase orders that are covered in this topic are:

- Project attributes in requisitions and purchase orders.
- Project costing integration.
- Additional areas where project attributes are used.
- What Happens When You Implement Project Costing.

Project Attributes in Requisitions and Purchase Orders

You can track sponsored project information in requisitions and purchase orders using these fields:

- Project Number
- Task Number

- Expenditure Item Date
- Expenditure Type
- Expenditure Organization
- Contract Number
- Funding Source

Project Costing Integration

You can use the following fields to support integration with Oracle Fusion Project Costing:

- Expenditure Item Date
- Expenditure Type
- Expenditure Organization

Additional Areas Where Project Attributes Are Used

Sponsored project information can also be used when:

- Importing requisitions or purchase orders through the Cloud Import Template, Open Interface, or from external applications through a web service.
- Setting up account generation defaults.
- Setting up approval routing and rules.

What Happens When You Implement Project Costing

Your organization must implement the Project Costing functional area of the Project Financial Management offering, using the Setup and Maintenance work area. This enables the display of the Project Costing Details and Project Details sections in requisitions and purchase orders, respectively.

For inventory destination, you must use the Project-Driven Supply chain feature from Manufacturing and Supply Chain Materials Management offering and enable inventory organization for project tracking.

How You Search for Requisitions and Purchase Orders Using Project Details

Using project attributes such as project number and task number, you can search for purchase orders and purchase order schedules on the Manage Orders page.

On the View Requisition Lines page, you can filter requisition lines by project attributes.

On the Process Requisitions page, you can search for requisitions by project number and task number. In order to do so, you must enter the requisitioning BU before entering a value for the project number. Similarly, you must enter a project number before entering a task number.

Structured One-Time Delivery Address in Purchase Orders

As a buyer you can see a structured one-time delivery address while processing a requisition line into a purchase order, and while viewing and editing a purchase order that has a backing requisition.

Key details you should know about a structured one-time delivery address on a purchase order include:

- What is a structured one-time delivery address?
- How is it displayed on a purchase order?
- How is it used in a purchase order?

Purpose of a Structured One-Time Delivery Address

When the feature is enabled in the application, a requester can enter a structured one-time delivery address for shipping when entering a requisition. The requester can use a structured one-time delivery address when a delivery should be made to a unique address not attached to an existing location in the application.

Structured one-time delivery address information is captured on a purchase order having a line sourced from the requisition. As a buyer, you can't enter or edit a structured one-time delivery address directly on a purchase order. You can't change the address on a purchase order line, schedule or distribution having a structured one-time address.

When the feature is enabled in the application, existing purchase orders created from requisitions with free-format one-time addresses aren't automatically upgraded to the structured one-time address format.

How a Structured One-Time Delivery Address Is Displayed on a Purchase Order

On a purchase order, a structured one-time delivery address is displayed in the fields for the **Ship-to Location** and **Deliver-to Location**. Structured one-time delivery address information is displayed in the same format as in the source requisition. As a buyer you can see the structured one-time delivery address wherever the ship-to or deliver-to location is shown in a purchase order, such as:

- Process Requisitions page, in the Search Results: Requisition Lines section
- Process Requisitions: Add to Document Builder dialog
- Process Requisitions: Edit Document Builder page
- Requisition Lines page, in the Search Results section
- Manage Orders page, Schedules tab, in the Search Results
- Purchase Order and Change Order pages, on the Main tab, in the General section
- Purchase Order and Change Order pages: Lines, Schedules and Distributions tabs, in both tables and details pages

Hover over a structured one-time delivery address to view a tool tip displaying the full address. You can also click the contextual icon next to a structured one-time delivery address to view the location on a map.

On the Manage Orders pages you can't use the existing Ship-to Location and Deliver-to Location fields to search based on structured one-time address attributes.

How a Structured One-Time Delivery Address Is Used in a Purchase Order

The application calculates taxes based on the structured one-time delivery address entered on the source requisition, and displays the taxes on the purchase order.

You can communicate the structured one-time delivery address to the supplier using all supported methods, including PDF and electronic communication. For electronic communication, Oracle Collaboration Messaging is the supported framework.

Unstructured One-Time Delivery Address in Purchase Orders

As a buyer you can see an unstructured one-time delivery address while processing a requisition line into a purchase order. You can also see such an address while viewing and editing a purchase order that has a backing requisition.

Your ability to see an unstructured one-time address is subject to the configuration of your application. Key details you should know about an unstructured one-time delivery address on a purchase order include:

- What is the purpose of an unstructured one-time delivery address?
- How is the address displayed on a requisition line?
- How is the address displayed on a purchase order?

Purpose of an Unstructured One-Time Delivery Address

When the application is configured to allow it, a requester can enter a one-time address when entering a requisition line. They would do this when a delivery should be shipped to a unique address not attached to an existing location in the application. The requester enters an unstructured one-time address into a free-form field.

How the Address Is Displayed on a Requisition Line

You can see an unstructured one-time delivery address on a requisition line when all the following conditions apply:

1. The **Capture One-Time Delivery Address in Structured Fields on Requisitions** feature isn't enabled. It's found in the Offerings work area, Procurement offering, Procurement Foundation functional area.
2. The **Allow One-Time Address** option is selected for the requisitioning business unit. It's configured in the Configure Requisitioning Business function task in the Setup and Maintenance work area, in the Procurement Foundation functional area.
3. The requester has entered an unstructured one-time address on the requisition line.

How the Address Is Displayed in a Purchase Order

You can see the unstructured one-time delivery address captured in an attachment on a purchase order schedule sourced from a requisition line having such an address. You can't enter or edit an unstructured one-time delivery address directly on a purchase order. You can't change the address on a purchase order schedule having such an address.

The unstructured one-time address is included on the purchase order line in the purchase order PDF communicated to the supplier.

Related Topics

- [How You Deliver to a Structured One-Time Address from a Requisition](#)
- [How You Configure Business Units with Requisitioning Business Functions](#)
- [How do I update existing setup data?](#)
- [Configure Offerings](#)

How Price Precision Works in Purchasing

Precision refers to the number of digits placed after the decimal point. The maximum number of decimal places allowed for price on the UI is 10. If you provide more than 10 decimals, the application will round it off to 10 decimals.

Scenario

Currency: USD

Precision: 2

Extended Precision: 5

Quantity: 2

Let's see how different price entries will be displayed on a purchase order on the UI.

Price You Entered	How Price Is Displayed on the PO*	Quantity	Ordered Amount**
\$10	\$10.00	2	\$20.00
\$10.2	\$10.20	2	\$20.40
\$10.0123456789	\$10.0123456789	2	\$20.02
\$10.01234567896	\$10.0123456790	2	\$20.02
\$10.01234567894	\$10.0123456789	2	\$20.02

*The minimum number of decimals displayed for price on the UI is based on currency precision. The maximum number of decimal places allowed for price on the UI is 10. The currency extended precision doesn't affect how price is displayed on the UI.

**The number of decimals displayed for ordered amount is based on currency precision.

How You Firm a Schedule

When you firm an order, Master Scheduling or Manufacturing Resource Planning (MRP) uses the firm date to create a time fence within that it won't suggest new planned purchase orders, cancellations, or reschedule-in actions.

It continues to suggest reschedule-out actions for orders within the time fence. If several shipments with different promised or need-by dates reference the same item, Master Scheduling or MRP sets the time fence at the latest of all scheduled dates. You can firm orders at the schedule level or shipment level. If you firm at the schedule level, Purchasing applies this control to every shipment on the document.

Cancel Purchase Order

What happens if a purchasing document is canceled?

As a procurement agent, you can terminate an existing contract to buy from a supplier by canceling document headers, lines, or schedules.

Canceled documents can be communicated to the supplier. The communicated documents are marked with a cancellation notice to highlight this action to the supplier.

When you cancel a purchase order entity, you're still able to receive or pay for canceled items and services as well as pay for all previously received orders up to the over-receipt tolerance based on the new ordered after cancellation.

As a supplier, you can also terminate an existing contract to supply items by canceling document headers, lines, or schedules. Such cancellation request requires review and approval by the buying organization.

You can't modify a canceled entity or its components. For example, if you cancel a line you can't modify the associated schedules and distributions.

Use the Actions menu to cancel a document.

Note: After a requisition is approved and processed into a purchase order, its status remains approved and the requisition line remains linked to the purchase order, even if you cancel the PO. Cancel Unfulfilled Demand controls whether a backing requisition is canceled when you cancel a PO, and it's determined by purchasing options: Never, Always, or Optional. You can reinstate the requisition line by selecting No for cancel unfulfilled demand.

Related Topics

- [Effects of Control Actions on Purchasing Documents](#)
- [How You Configure Business Units with Requisitioning Business Functions](#)

Create Purchase Order from Requisition

Create Procurement Documents from Requisitions

Use the Process Requisitions page to search for, select, and group existing requisition demand to create procurement documents. You can find the page in the Purchase Agreements or Purchase Orders work areas, using the Process Requisitions task.

Search for requisition lines using entered or saved search parameters. Select all requisition lines that meet your procurement needs. Once you have identified the appropriate requisition lines, you can add them to the document builder and create your order or negotiation. Define the document builder outcome using document type, document style, and line grouping.

Note: You can specify a contract purchase agreement or a blanket purchase agreement as the source document when processing requisition lines into a purchase order using the document builder.

When the application is configured to copy descriptive flexfields from requisition headers or lines to corresponding purchase order headers or lines, you can't group requisition lines.

When the application is configured to copy only descriptive flexfields from requisition headers and not from lines, requisition grouping is allowed. If you manually enter multiple lines in the Edit Document Builder page, line grouping options are disabled in the Actions drop-down list.

Related Topics

- [Set Up Descriptive Flexfield Copying from Requisitions to Purchase Orders](#)
- [What's a document style?](#)

How You Populate the Purchase Order Description from the Requisition Description

To populate purchase order description from the backing requisition automatically when creating new purchase orders, you must use the Populate the Purchase Order Description from the Requisition Description feature.

Here are some of the considerations before using the feature:

- The purchase order description populates from the requisition description only in these cases:
 - When the application automatically generates a purchase order based on an approved requisition.
 - When you manually process requisition demand into a new purchase order.
 - When you choose a negotiation outcome to be a purchase order and negotiation has a backing requisition.
- The requisition description doesn't get copied when grouping multiple requisitions into a single purchase order.
- The requisition description doesn't get copied when you add a new requisition line to an existing order.

How You Copy Requisition Header Attachments to the Purchase Order Header

To copy requisition header attachments to the purchase order header, use the Copy Requisition Header Attachments to the Purchase Order Header feature.

When you use this feature, the application copies the requisition header attachments to the purchase order header.

Note:

Only requisition attachment categories that exactly match to Purchasing attachment categories, such as Miscellaneous, To Approver, To Buyer, To Receiver, and To Supplier, will be copied over to purchase order. Requisition attachments of the Internal to Requisition type are unique to the Requisition and won't be copied to the purchase order.

How You Search for Requisition Lines Using Requisition Lines Descriptive Flexfields

On the Process Requisitions page, you can filter requisitions to be processed into purchase orders using requisition line descriptive flexfields.

To search for requisition lines using global and context-sensitive descriptive flexfields, use the Advanced Search option on the Process Requisitions page. To add the context-sensitive segments to the search panel, use the Add Fields option after selecting a value for the context segment.

Here are some of the considerations for using the Search Requisitions by Line Descriptive Flexfields as a Buyer feature:

- The Additional Line Information column on the Process Requisitions Search Results table displays the global descriptive flexfields from the requisition line.
- The Additional Details column on the Search Results table displays the matched values of global and context-sensitive descriptive flexfields from the requisition line.
- The Additional Requisition Information column on the Process Requisitions Search Results table displays global descriptive flexfields from the requisition header.

How You Generate Purchase Orders from Requisitions in the Invoice Currency of the Supplier Site

To generate purchase orders from requisitions in the invoice currency of the supplier site, you can use the Process Requisitions into Purchase Orders in the Invoice Currency of the Supplier Site feature and set the supplier site invoice currency.

You can use the feature for purchase orders created from backing requisitions regardless of how the purchase order was created from the requisition. The purchase order could have been created using touchless buying, the Process Requisitions page, or the Requisition Processing Requests REST API.

You can use the feature for these business scenarios:

- Prices on blanket purchase agreements are negotiated with suppliers in a foreign currency (for example, USD), and purchase orders need to be generated from requisitions in the local currency (for example, INR).
- Procurement Requester creates noncatalog requests by providing the negotiated price in a foreign currency (for example, USD), and purchase orders need to be generated from those requisitions in the local currency (for example, INR).
- Requisitions originating from a punchout catalog contain the negotiated price in a foreign currency (for example, USD), and purchase orders need to be generated from those requisitions in the local currency (for example, INR).

Here are some of the considerations before you use the feature:

- You can use the feature for purchase orders created from backing requisitions that reference blanket purchase agreements, contract purchase agreements, or without any source agreement.
- You can also use the feature for purchase orders created from an emergency requisition.
- When you use the feature, the values for conversion rate type and conversion date on the purchase order defaults from:
 - The conversion rate type defaults from the Procurement Business Unit Configuration.
 - The conversion date defaults from the purchase order creation date in the legal entity's time zone.
- You can't procure configured items in the local currency.
- When you cancel a purchase order, unfulfilled requisition demand will be reinstated in the purchase order currency instead of the original requisition line currency.
- The purchase orders that don't have a backing requisition can't be released in a different currency if they reference a blanket purchase agreement.

How can I update the price on purchase orders for items requested from punchout marketplaces?

You can update the price using the Update the Price on Purchase Orders for Items Requested from Punchout Marketplaces feature.

To use the feature, you must allow price override on purchase orders on the punchout catalog. To allow price override on purchase orders, on the Manage Catalogs page, you must select the **Allow price override on purchase order lines** check box.

Here are some of the considerations for using the feature:

- You can update the price on purchase order lines that are sourced to a blanket purchase agreement if the agreement line allows price override in addition to the punchout catalog configuration.
- You can update the price on purchase orders through a change order regardless of whether the change order was initiated by the buyer, supplier, or requester.
- In addition to updating the price from the UI, you can update the price using REST Services, Purchase Order Web Service, and Retroactive Price Update program.
- When you have opted in to the Capture Supplier Discounts on Purchase Order Lines feature, you can update the item's base price and provide a discount instead of updating the unit price.
- You can't update the price on purchase order lines using the Purchase Order Web Service if the lines have a discount.
- You can use the punchout catalog configuration to allow price updates on purchase orders lines for all punchout catalog sources such as cXML, Oracle native XML, and Oracle Business Network.

Create Purchase Order from Requisition Automatically

How Purchase Orders Are Automatically Created

You can use automated order creation to automatically convert an approved requisition into a purchase order, and communicate it to the supplier. Automated order creation can be done with no manual intervention from a procurement agent.

Automated ordering, or touchless buying, mimics the manual process by:

- Finding a supplier to source the items from.
- Finding an agreement with the supplier to derive terms and conditions, including the price.

You can configure automated order buying for requisitions created in the following ways:

- Requisitions for catalog items, including:
 - Items from agreements
 - Punchout catalog items
- Requisitions imported through the requisitions open interface

Requisitions sourced to a contract purchase agreement must have the **Negotiated** check box selected on the requisition line in order to be automatically converted to a purchase order.

Related Topics

- [Supplier Agreement Order Automation Controls](#)

How Multiple Requisitions Are Displayed on Purchase Orders

The application displays the requisition number if a purchase order references only one requisition.

If a purchase order references more than one requisition, the application only displays **multiple** instead of all requisition numbers. You can check the details of requisitions at the distribution level.

Why my requisition wasn't automatically converted into a purchase order?

You can use automated order creation to automatically convert an approved requisition into a purchase order. Automated order creation can be done with no manual intervention from a procurement agent.

However, automated order creation can fail because of one of these reasons:

- The requisition line doesn't have a valid buyer.
- The requisition line requires negotiation.
- The requisition line doesn't have a supplier or supplier site.
- The requisition line has an item that's not purchasable in the default inventory organization of the assigned procurement BU.
- The requisition line references a Procurement Card but one of these conditions is true:
 - The Procurement Card isn't active.
 - The supplier site doesn't accept a Procurement Card.
 - An active financial orchestration flow exists.
- The requisition line is an emergency request, but the emergency PO already exists.
- The requisition line doesn't have a valid source agreement.
- The requisition line is sourced to a valid contract purchase agreement, but the Negotiated check box on the requisition line isn't selected.
- The Automatically generate orders check box isn't selected on the source agreement.
- The Consolidate Online Requisitions into Few Purchase Orders feature is enabled and you didn't run the Generate Orders process to create the purchase order. This condition applies if the backing agreement to which the requisition is sourced has the Group requisitions check box selected.

Automate Order Creation for Requisitions Without Previously Negotiated Agreements

You can configure automated purchase order creation from purchase requisitions, without using previously negotiated blanket or contract purchase agreements.

Use this feature to automatically generate purchase orders from approved requisitions having requisition lines with the following characteristics:

- There's no associated purchase agreement.
- Valid supplier information is provided.
- Purchasing terms (prices, terms, conditions, quantity, and so on) are already negotiated with the supplier.

To configure automated order creation from requisitions, without using previously negotiated agreements, perform these tasks:

1. In the procurement business function setup for each impacted business unit, select the following check box:
Autogenerate orders from requester-negotiated requisition lines.
 - a. Use the Configure Procurement Business Function task. Find the task in the Setup and Maintenance work area, Procurement offering, Procurement Foundation functional area.

When you select the option, requisition lines marked as **Negotiated** are automatically processed to purchase orders, even without any purchase agreement reference.
2. Use Page Composer to modify relevant pages to display the **Negotiated** check box. The check box is hidden by default.

Pages you may choose to modify include the Smart Form, Noncatalog Request, Enter Requisition Line, and Edit Requisition.
3. Assign the following security privilege to affected requesters: **Create Requisition with Changes to Negotiated Indicator.**

When assigned this privilege, requesters can set requisition lines as **Negotiated** when creating requisitions.
4. Optionally, set up Smart Forms for associated requisitioning transactions.

You can also use the **Negotiated** option when importing requisitions using the Purchase Request Web Service or file-based data import. The **Negotiated** option is also referred to as **Negotiated By Preparer**.

Related Topics

- [How can I automatically generate an order from a requisition, without a previously negotiated agreement?](#)
- [Modify UI Components Using Page Composer](#)
- [Smart Forms](#)

How can I automatically generate an order from a requisition, without a previously negotiated agreement?

When entering a requisition, select the Negotiated check box on the requisition line.

Your ability to mark a requisition line as negotiated is subject to your organization's configuration of the application, and your security privileges. You must provide valid supplier information for the requisition. Purchasing terms (prices, terms, conditions, quantity, and so on) must already be negotiated with the supplier.

Related Topics

- [Automate Order Creation for Requisitions Without Previously Negotiated Agreements](#)

What's the difference between negotiated and negotiation required?

Negotiated means the purchasing terms (prices, terms, conditions, quantity, and so on) for a requisition line that are already negotiated with the supplier.

You select the option on a requisition line to support automated purchase order creation from the requisition, without the need for a previously negotiated blanket or contract purchase agreement.

Negotiation Required means that further negotiation with the supplier is required to determine the purchasing terms. You should complete the negotiation process before you create the purchase order. From the Process Requisition page, you can create the negotiation document with the requisition line information. Alternatively, you can negotiate

purchasing terms offline, and process the requisition line into a purchase order without having a formal negotiation. The application provides a warning that you are bypassing the formal negotiation process, but you can continue.

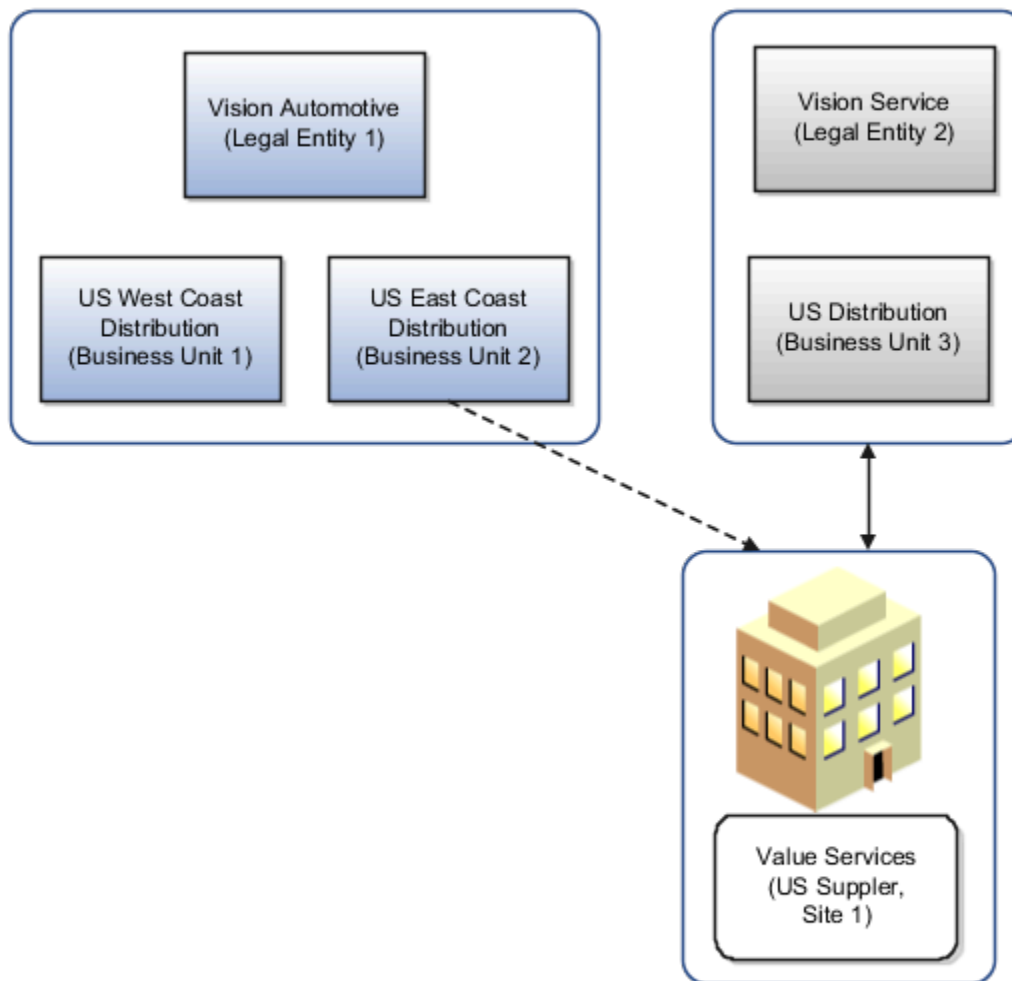
Example of How to Create a Purchase Order for Another Legal Entity

You can increase operational efficiency by allowing a legal entity to procure goods and services for another legal entity without having to produce formal intercompany buy and sell documentation. In this case there is no integration with Oracle Fusion Supply Chain Financial Orchestration.

Scenario

The Vision Service, US Distribution unit, orders a service from a favored supplier, Value Services. Vision Service has the service delivered to Vision Automotive, East Coast Distribution unit.

This figure shows the transaction in a flow diagram. The requesting entity is Vision Automotive, US East Coast Distribution unit. They are legal entity 1, business unit 2. The ordering entity is Vision Service, US Distribution unit. They are legal entity 2, business unit 3. The supplier is Value Services. They are US supplier site 1. As a result, legal entity 1 receives services from a supplier that are ordered by legal entity 2.



Need for Multiple Legal Entities

Enterprises often have multiple legal entities across countries and at times multiple legal entities are registered even within a country. In order to be cost effective, members of closely related legal entities devise ways to take advantage of scale. A few ways they achieve this are; by enabling one legal entity to procure goods on behalf of several other related legal entities and thus benefiting from volume purchases or by channeling purchases for resale through legal entities located in favorable tax jurisdictions, resulting in lower effective tax rates on corporate financial statements.

The following prerequisite is required:

- Allow Multiple Legal Entities on Order is set to **Allow** on the **Configure Requisitioning Business Process** page.

Create the Purchase Order

The buyer creates a purchase order in legal entity A (header sold-to legal entity) but there are schedules that have ship-to organizations pointing to legal entity A and B. The balancing segment on the account will correspond to legal entity A. Intercompany Payables and Receivables invoices aren't be created in this case. However, intercompany journal entries are created in the general ledger once the transaction is accrued.

Related Topics

- [What's a legal entity's role in global procurement?](#)

Example of Intercompany Purchase Order With Formal Documentation

Using a financial orchestration flow, you can increase tax efficiency in your supply chain by automatically routing your purchases from a supplier in a given country through one or more legal entities registered in favorable tax jurisdictions.

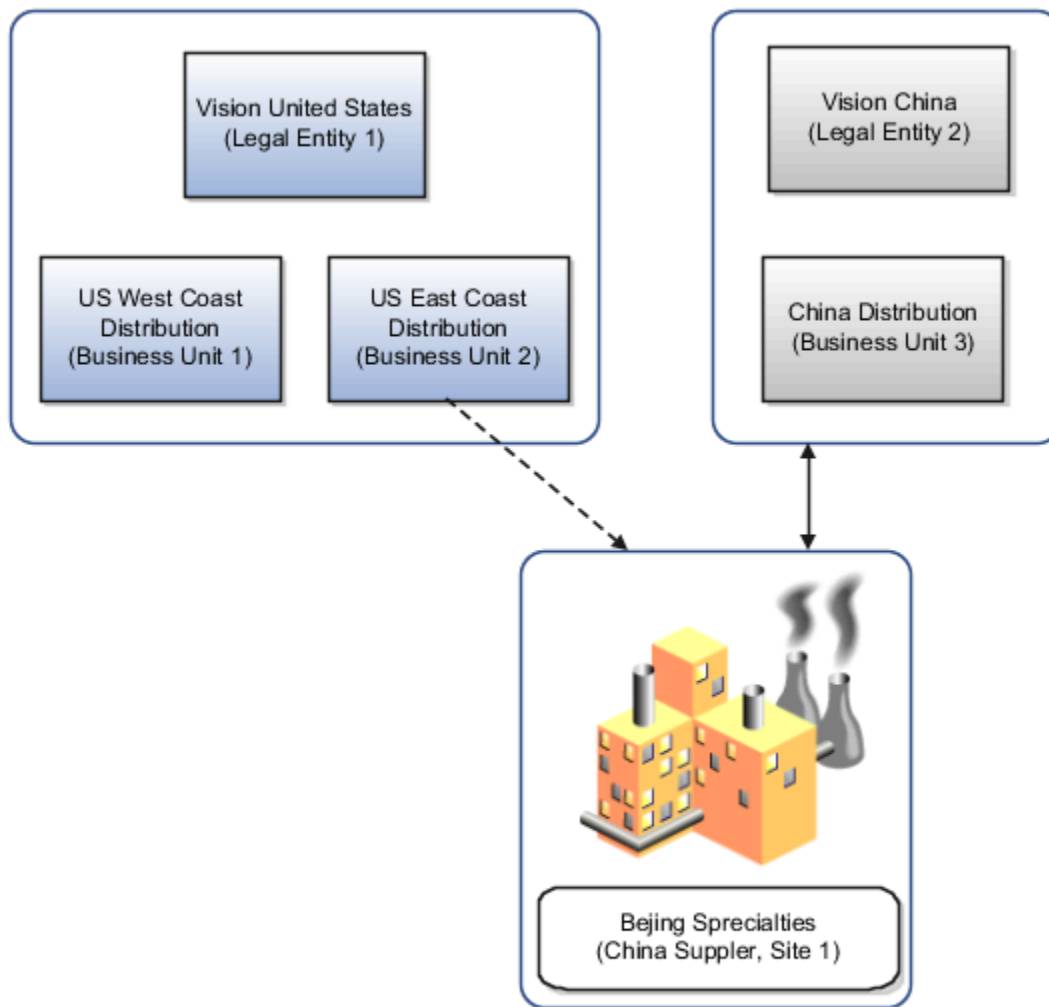
This can be formalized using Oracle Fusion Supply Chain Financial Orchestration to:

- Enforce the sold-to legal entity on a purchase order using an eligible financial orchestration flow.
- Control the usage of a financial orchestration flow based on rules authored using attributes such as supplier country and item category.

Scenario

Business units 1 and 2, US West Coast Distribution and US East Coast Distribution, roll up to legal entity 1, Vision United States. Purchase orders are issued by either of these requesting business units to a Chinese supplier site, China Supplier Site 1. The purchase orders have the sold-to legal entity set to a Chinese subsidiary, Vision China. The immediate liability for the purchases isn't assumed by the requesting organization, rather it's assumed by the Chinese subsidiary. In such cases, the requesting organization typically doesn't have direct relationship with the supplier site fulfilling the order. Instead, it's the subsidiary that enters into a contract with the supplier site to buy the ordered goods.

This figure shows the transaction in a flow diagram. The requesting entity is Vision United States, US East Coast Distribution unit. They are legal entity 1, business unit 2. The sold-to legal entity with liability for the purchase is Vision China, China Distribution unit. They are legal entity 2, business unit 3. The supplier is Beijing Specialties. They are China supplier site 1.



This scenario describes a financial orchestration flow (essentially a trade agreement) created in Oracle Fusion Supply Chain Financial Orchestration between two legal entities. A purchase order is created using attributes that the application can use to identify an orchestration flow. The associated sold-to legal entity is placed on the order. On each schedule the financial orchestration flow and the purchasing trade organization is captured. Based on receiving transactions, intercompany payables and receivables invoices are created.

Related Topics

- [What's a legal entity's role in global procurement?](#)
- [Overview of Global Procurement Trade Accounting](#)

Create Purchase Order Online

Considerations for Purchase Order Creation

A purchase order is a commercial document that's used to request a seller to supply a product or service in return for payment. In Oracle Purchasing a purchase order can be created through an automated process or entered manually.

Consider these key attributes when creating a purchase order:

- Document Style
- Business Units (BU): Procurement BU, Requisitioning BU, Sold-to Legal Entity and Bill-to BU.
- Supplier, Supplier Site, and Supplier Contact
- Communication Method
- Bill-to Location
- Currency

Document Style

When you create a purchase order you select an appropriate document style. The document style helps to:

- Reduce the complexity of creating a purchase order by exposing only the needed functionality on the order.
- Control the look and feel of the user interface to match the usage of the purchase order and your business needs.

Business Units

It is important you understand the use of these business units in a purchase order.

Procurement BU

The procurement BU is responsible for procurement business functions including: supplier management, contract negotiation and administration, and purchase order issuance and administration. As a buyer, you can only create purchase orders for those business units who are identified as clients of your procurement BU. Depending on business requirements, a procurement BU can either:

- Perform these functions in response to its own requirements for purchased goods and services.
- Serve as a shared procurement service center that can process requisitions from multiple "client" business units.

Your procurement BU affiliation also gives you access to process those requisitions originating from these clients, and identified for processing in your procurement BU.

Requisitioning BU

The requisitioning BU, the business unit where the items are needed, is also typically the business unit that bears financial responsibility for the purchase.

Sold-to Legal Entity

In certain scenarios, businesses find it beneficial to channel purchases through international subsidiaries instead of directly dealing with suppliers. Examples include scenarios dealing with global trade or supply chain. The reasons range

from country-specific legal requirements to favorable tax treatment. The sold-to legal entity on the purchase order identifies the party the purchase order goods or services are sold to. The sold-to legal entity is a legal entity with a tax registration number, and is liable for the purchase. Purchase order document numbers are sequenced uniquely for a sold-to business unit.

When you create a purchase order you can select any legal entity assigned to the ledger of the requisitioning BU without configuring new supply chain orchestration flows. For selecting any legal entity assigned to the ledger of the requisitioning BU without configuring new supply chain orchestration flows, set the Multiple Legal Entities on Order attribute to Allow or Warning on the Configure Requisitioning Business Process page.

Note: To select a sold-to legal entity on the purchase order, use the Override Purchase Order Sold To Legal Entity privilege. This privilege isn't assigned to any predefined job role.

Bill-to BU

The bill-to BU identifies the business unit responsible for processing invoices for the purchase order. The supplier site assignment record identifies the bill-to business unit for a client business unit. In the local procurement scenario, the client is the requisitioning business unit. You can centrally process invoices for orders from multiple requisitioning business units in a single bill-to business unit on the purchase order.

Supplier, Supplier Site, and Supplier Contact

Enter or select the name of the Supplier for this purchase order. To submit a purchase order for approval, you must provide a supplier.

Note: You can't change the supplier after the purchase order is open. The purchase order becomes a legal document when you and the supplier approve it (acknowledgment optionally may be required). To change the supplier after you approve a purchase order, you must cancel the existing purchase order. Then create a new one for the other supplier.

Enter or select the Supplier Site for this purchase order. If the supplier you choose has only one site, the value populates this field. Before you can submit a purchase order for approval, you must provide a supplier site.

You can optionally enter the name of the contact at the supplier site. If the supplier you choose has only one contact name, the value populates this field.

Communication Method

You can communicate your purchase orders and agreements, along with any attachments to suppliers using print, fax, or email. Attachments might include amendments, contract terms, and contractual deliverables.

You can also communicate purchase orders and their change orders using Oracle Collaboration Messaging.

For electronic business to business communication, you can only communicate attachments with purchase orders and change orders when using Oracle Collaboration Messaging.

The default communication method on the document is from the specified supplier site's preferred communication method.

The application automatically initiates the communication process upon approval of the document, if:

- A communication method other than None is specified on the document.
- Or the supplier site is set up for communication by means of business to business electronic communication.

Alternatively, you can communicate documents to your supplier in batch by scheduling the Communicate Purchasing Documents process. The process sends the communication using the method specified on the purchasing document.

To resend your document, use the Communicate action. With this action you can use a communication method different from the supplier's preferred communication method.

Bill-to Location

Enter the Bill-to Location for the purchase order. If you entered a supplier and supplier site, the default location is the location you assigned to the supplier or supplier site. You can accept this value or change it to another location.

Currency

Enter or select the Currency for the purchase order. You can change currency information until the purchase order is approved.

Related Topics

- [Purchase Order Lines](#)
- [Considerations for Purchase Order Schedules](#)
- [Considerations for Purchase Order Distributions](#)
- [What's a document style?](#)
- [Document Style Options](#)

Considerations for Purchase Order Terms

Use the Terms region to enter terms and shipping information for a purchase order. Key attributes to consider here are:

- Acknowledgment
- Payment Terms
- Freight Terms
- FOB
- Pay on receipt
- Confirming order

Acknowledgment

Select an acknowledgment method if you require the supplier to accept your document before it becomes legally binding and can be executed. If you select a method, you can enter the Acknowledgment Within Days, which indicates when you require the supplier to return an acknowledgment for your order.

Choices for Acknowledgment method are:

- Document: This method applies to all purchasing documents. The supplier must accept or reject the document in its entirety, no exceptions allowed.
- Document and Schedule: This method applies only to purchase orders. This option allows suppliers to provide order acknowledgment response (accept or reject) on a schedule by schedule basis. Using this option allows suppliers to fulfill the accepted items on the order while renegotiating the other items using a change order.
- Document and Line: This method applies only to blanket purchase agreements. This option allows suppliers to provide an acknowledgment response (accept or reject) on a line by line basis. Using this option allows suppliers to accept a subset of agreement lines and renegotiate the other lines.

- None: Acknowledgment isn't required to execute against the document.

Pay on Receipt

Pay on receipt means that the application will automatically generate an invoice for this purchase order when it's received. Pay on receipt automates the settlement process eliminating the need for suppliers to send a separate invoice, especially paper invoices. This reduces the load on your Accounts Payable department..

Confirming Order

Select Confirming order to indicate that the purchase order is a confirming order. A confirming order is an order that you're submitting formally to confirm a verbal order already placed with the supplier. For confirming orders, the following is printed on the purchase order header: "This is a confirming order. Do not duplicate."

Related Topics

- [How can I record a supplier acknowledgment for a purchasing document?](#)

Purchase Order Lines

Use the Lines region to enter the details of the goods or services being ordered on a purchase order. Key attributes to consider here are:

- Line type
- Item
- Revision
- Category
- Shipping and Delivery
- Source Document

Line Type

Line types differentiate purchases for various commodities such as goods and services. Goods are ordered by quantity and price, whereas services are ordered by price.

Implications of your selection of line type:

- The style of the document you're creating can limit the line types that you can choose from. For example, if the style only allows for purchases of fixed price services then only fixed price services line types are available to choose from.
- The line type isn't editable once the line is saved. If you need to change your line type after saving it, you must delete the line and add another.
- When you enter a line type, the application automatically defaults attributes for the line being created.

Item

Enter the Item you want to purchase. Typically the item is an identifier of goods already defined in your procurement catalog. If you enter a defined item, the application displays the purchasing category, item description, unit of measure, and unit price associated with the item. To create a purchase order line for a one-time item, simply skip the item number field and enter a purchasing category and an item description.

Revision

When entering a line, if you select an item revision, you must choose the current version. Your purchase order submission will fail if any of the lines references an item revision that isn't currently effective.

To buy items without any revision restrictions, you must use the Purchase Past and Future Revisions of Items Feature. Using the feature, you can purchase items without any item revision restrictions, including revisions that are already expired or will be effective in the future.

Using the Order the Current Item Revision for Revision-Controlled Items feature, any time you order a revision-controlled item, the application automatically selects the current revision of the item. You can update the revision if necessary.

Category

When entering a line, enter or select the purchasing category of the item you want to purchase. If you choose an item, the application displays the purchasing category for the item. You can't change the purchasing category if you choose an item.

Shipping and Delivery

The shipping and delivery location, as well as organization should default from the purchase order header information you provided. Enter or select the requested delivery date when the requester needs the item. If the supplier provided a promised delivery date of the items, enter that.

Source Document

When you're creating an order for a predefined item, the application automatically tries to detect an available source agreement that can be leveraged for this purchase.

Based on several transaction attributes like the supplier, supplier site, item, ship-to organization and location, the application looks for the appropriate approved supplier list entry. From the approved supplier list entry it deduces the source blanket or contract agreement. If there is no approved supplier list entry, then it tries to directly look for the appropriate blanket agreement based on the transaction attributes. If there is no blanket, then it tries to find a contract agreement.

Related Topics

- [Examples of Purchase Order Line Types](#)
- [Purchase Order Pricing](#)

How You Create Special Handling Purchase Orders

Create purchase orders requiring special handling by your suppliers. You can capture handling details in special handling descriptive flexfields on the document header and lines. You can create special handling orders from special handling requisitions or create standalone special handling orders.

For example, create bill-only documents that include details such as the physician's name and the item's lot and serial number.

When you generate an order from a special handling requisition, any details you capture on the requisition will be copied to the order.

Note: You can require buyer review, override B2B communication, and automatically create receipts for your special handling orders.

Here are some of the considerations for creating special handling purchase orders:

- You can't delete special handling types after you create them in the Manage Special Handling Types task. Disable the special handling type so that requesters and buyers no longer see the type as a choice when creating documents.
- The context associated with the special handling type can't be changed after creating the type. When you create a special handling document, the context will default onto the document and control which segments you see. You won't be able to see or change the context itself on the document.
- The Bill Only special handling type and associated contexts are seeded. You can use them as is or configure them.
- Any changes to the Special Handling Attributes for Headers or Special Handling Attributes for Lines flexfields are shared between Self Service Procurement and Purchasing. New and changed contexts and segments will show up in both applications.
- You can't create special handling orders using styles that have consignment terms, configuration ordering, outside processing, or complex work enabled.
- If Automatically Create Receipt is enabled for the special handling type:
 - You can't create lines with items that are lot or serial controlled.
 - Receipt routing will be read-only and set to Direct Delivery.
 - The destination type must be Expense.
- When you use the Create Requisitions and Purchase Orders Requiring Special Handling feature, the Override B2B Communication setting will be available on purchase orders without needing to opt in to the 23B feature Override B2B Communication of Purchase Orders. You will still need the corresponding privilege to change the value.
- If B2B messages are set up for the document and the supplier site, the application will enable Override B2B Communication on special handling orders if the Override B2B communication for special handling orders setting on the supplier site is enabled.
- You can't duplicate special handling orders or lines.
- A special handling type is available as a header-level approval attribute for writing rules.
- Special handling type and code are available in the Purchase Order data model. You can configure your PDF template with the data model fields to send special handling details to your supplier.
- The Bill Only special handling type is associated with the Bill Only Context for Headers and Bill Only Context for Lines.
 - The Bill Only Context for Headers context includes these context-sensitive segments:
 - Physician Name
 - Date of Service
 - Reference Number
 - The Bill Only Context for Lines context includes these context-sensitive segments:
 - Lot
 - Serial Number

How You Create Purchase Order Lines with Negative Amounts

To create purchase order lines with negative amounts to record credits to the ordered amount that you have negotiated with your supplier, you can use the Create Purchase Order Lines with Negative Amounts feature.

For example, you can use a negative amount line to represent credit for an equipment trade in. When you receive an invoice with a negative amount line, you can match the invoice line to the negative amount order line.

Here are some of the considerations for creating purchase order lines with negative amounts:

- You can't create negotiations or purchase agreements with credit line types.
- Credit line types are set to have a Purchase Basis of Amount, Product Type of Services, Match Approval Level of 2 Way, Invoice Match Option of Order, and Receipt Close Tolerance Percent of 100.
- Document styles with credit line types enabled can't support consignment terms, configuration ordering, outside processing, or complex work.
- Purchase order lines with a credit line type (credit lines) can have a zero or negative amount.
- For the standard document style, you can enable the Credit Line Types Enabled setting on the Manage Document Styles page. After you enable the setting, it can't be disabled.
- As credit line types are amount-based, you can't enter an inventory item or quantity for credit lines.
- You can create and update credit lines through the application, FBDI, or REST resources.
- You can't associate an agreement with a purchase order credit line.
- You can't associate an agreement with a purchase order credit line.
- As the receipt close tolerance percent is set to 100, credit lines go into Closed for Receiving status after implementation.
- You can't create a receipt for a credit line. Receiving-related fields such as Over-Receipt Action are disabled. Accrue on Receipt is set to No and disabled.
- You can create rules in the Transaction Account Builder for credit line types by using the new Line Type source.
- You can't create a credit line if the requisitioning business unit has fiscal document processing enabled.
- You can't create a credit line if financial orchestration determines an agreement for the line.

Examples of Purchase Order Line Types

These examples demonstrate why the line type feature is an important part of the purchase order. It enables you to clearly differentiate orders for goods from those for services.

When to Use Quantity-Based Line Types

Use quantity-based line types when you want to specify the quantity, unit of measure, and unit price for the items you're ordering. Oracle Purchasing provides Goods as an initial quantity-based line type. You can modify this line type or create new quantity-based line types to satisfy your business needs.

This table provides an example of a line with the line type Goods.

Type	Item	Quantity	UOM	Price
Goods	AS54888	8	Each	\$1,107

When to Use Fixed Price-Based Line Types

You can use fixed price-based line types when you want to order general business services by a fixed amount. Purchasing provides Fixed Price Services as an initial fixed price-based line type. You create an order for fixed price service by selecting a fixed price services line type, category, item description, and total amount of the service. You can receive and match fixed price services by amount.

This table provides an example of a fixed price-based line with the line type of Fixed Price Services.

Type	Description	Category	Price
Fixed Price Services	Office Cleaning	Office Miscellaneous	\$1,350

When to Use Rate-Based Line Types

You can use rate-based line types when you want to order services billed by quantity. Purchasing provides Rate Based Services as an initial rate-based line type. You create an order for rate-based service by selecting a line type, category, description, quantity, UOM, and unit price for the services you're ordering.

This table provides an example of a line with the line type of Rate Based Services.

Type	Description	Category	Quantity	UOM	Price
Rate Based Services	Underground Cable Installation	Installation and Maintenance	100	Square foot	\$10

How You Purchase Items That Are Priced in Their Secondary UOM

To purchase items that are priced in their secondary UOM, use the Purchase Items That Are Priced in Their Secondary UOM feature.

You can use the feature to order a dual UOM item in the same UOM that you use to pack and ship it, and price the item in the secondary UOM. For example, order the item in the item's primary UOM, Case, and price it in the item's secondary UOM, Pounds.

Here are consideration for using the feature:

- Use the UOM on the purchase order line or the item's secondary UOM to price your new order line.
- Price items in the secondary UOM by specifying it as the pricing UOM, a new attribute on the order line.
- Manually enter the price in the pricing UOM. Alternatively, use a blanket purchase agreement line where the item is priced in the secondary UOM, and the pricing UOM on the order line will be the item's secondary UOM.
- Process the invoice for the purchase order line according to the actual quantity that you receive in the item's secondary UOM.

Here are some of the use cases and expected behavior when you use the feature.

Use Case	Expected Behavior
If you use an agreement	You can't change the UOM or pricing UOM on the order line. If the UOM on the agreement line is in the item's secondary UOM, then the UOM on the order line will be the item's primary UOM and the pricing UOM on the order line will be the item's secondary UOM. For example, if the item's primary UOM is Case, and the secondary UOM is Pounds, and the UOM on the agreement line is Pounds, then the order line's UOM is Case, and the pricing UOM on the order line is Pounds.
If you don't use an agreement	The pricing UOM value on the line defaults from the Pricing attribute in Product Information Management. You can manually change this value to the UOM on the order line or the item's secondary UOM.

Note: Using the feature, you can price items in the secondary UOM, but you can't order items in the secondary UOM. The Pricing UOM of the order line can be the secondary UOM, but the UOM of the order line can't be the secondary UOM.

Related Topics

- [What's a Dual Unit of Measure?](#)

Considerations for Purchasing Items That Are Priced in Their Secondary UOM

Here's the information for you to consider regarding the Purchase Items That Are Priced in Their Secondary UOM feature:

- If you enable this feature, you won't be able to disable it afterwards.
- Use the Product Information Management work area to set the primary UOM and the secondary UOM for the item.
- Purchasing won't update lines on any purchase orders that already exist and will continue to price them according to the UOM on the order line.
- This feature automatically calculates the secondary quantity from the ordered quantity. When you enter the secondary quantity in the secondary UOM for a dual UOM item, the application automatically calculates the quantity in the UOM on the order line.
- You can price, but can't order, items in the secondary UOM. The Pricing UOM of the order line can be the secondary UOM, but the UOM of the order line can't be the secondary UOM.
- You can't use this feature with the Purchase Order web service.
- Close for Receiving uses the ordered UOM.
- Close for Invoicing uses the pricing UOM.
- If the billed quantity is greater than the received quantity for the purchase order schedule, and if you price the schedule in the secondary UOM, then you can't cancel or reduce the quantity on the schedule.
- If you price the order line in the secondary UOM, then you can't use the order line for consignment.
- If a configuration model or any child component uses dual units of measure, then you can't create a requisition for the configured item.
- You can use Page Composer to expose the Secondary UOM attribute and the Secondary Quantity attribute in the search results on the Schedule tab of the Manage Orders page.
- You can include the secondary quantity and the secondary UOM when you create an advance shipment notice (ASN), advance shipment billing notice (ASBN), and when you manage an inbound shipment.
- If the secondary quantity received is different from the Put Away secondary quantity, you will notice an imbalance in your receiving inspection account between Cost Accounting and Receipt Accounting.
- If you return an item, and if the secondary quantity on your return is more than the secondary quantity received, you will notice an imbalance in your receiving inspection account between Cost Accounting and Receipt Accounting.
- The pricing UOM is available in the Purchase Order Data Model used for supplier communication. To view the pricing UOM in the purchase order PDF, add the field to the Purchase Order PDF Report template.
- You can't include the pricing UOM in an Oracle Transactional Business Intelligence (OTBI) report.

How You Can Track Purchase Order Schedules in Primary and Secondary UOMs

You can track and monitor the execution of the purchase order schedules in primary and secondary UOMs.

The schedule life cycle for dual UOM items priced in their secondary UOM shows the primary and secondary quantities on the schedule life cycle summary and receipts section. Receipt's invoiced quantity, open to invoice, and not available to invoice are shown in the pricing UOM. For the invoices section, the invoiced matched quantity is displayed in the pricing UOM.

How You Capture Supplier Discounts on Purchase Order Lines

You can capture supplier discounts from the base price of goods and services. You can enter discounts for both new and existing purchase orders.

These are the cases when you capture discount on purchase order lines:

- When there is an agreed price in the agreement but you need to capture additional supplier discounts.
- When there is no agreement, and you need to capture supplier discounts.

Note: You can apply the discount to all purchase order lines with a single action initiated from the purchase order header.

Use the Lines region to enter the details of supplier discounts on purchase order lines. Key attributes to consider here are:

- Base Price: The original price per unit of the item or service offered.
- Discount Type: The type that indicates whether the discount value is an amount or percentage.
- Discount: The value that indicates the discount percent or amount of the purchase order line.
- Discount Reason: The description of the reason for the discount.
- Price: The discounted price per unit of the item or service offered.

Examples of Supplier Discounts on Purchase Order Lines

You can specify discounts either in percentage or in amount, and you can specify a reason for the discount.

Scenario

This table provides an example of a supplier discount in percentage.

Base Price	Discount Type	Discount	Discount Reason	Price
10.00	Percent	10	Marketing Campaign	9.00

Scenario

This table provides an example of a supplier discount in amount.

Base Price	Discount Type	Discount	Discount Reason	Price
10.00	Amount	2.00	Marketing Campaign	8.00

Base Price	Discount Type	Discount	Discount Reason	Price

Considerations for Purchase Order Schedules

A purchase order schedule specifies the quantity, ship-to location, date you want your supplier to deliver the items on a purchase order line, and country of origin for the items.

Use the Schedules region or page to enter multiple shipment schedules for standard purchase order lines and to edit schedules that were automatically created for you. When you save your work, purchase order distributions are created if sufficient valid default information is available and if there are no existing distributions. Key areas to consider for schedules are:

- Shipping and delivery
- Billing

Note: You can check the fulfillment status of purchase order schedules from the View Purchase Order page without leaving the page. You can view the received and invoiced quantities and amounts alongside the scheduled quantities and amounts from the Schedule tab. The invoice amounts and quantities are also available on the Manage Schedules page.

Shipping and Delivery

Each purchase order line has one or more due dates and external delivery locations carried on a schedule. Create a schedule for each unique delivery address and due date. The critical information for a single schedule defaults from the line. For additional schedules the key delivery attributes are ship-to location, quantity, and required date.

Billing

Like the delivery information, if a further breakdown of the billing information is required additional schedules may have to be created for a purchase order line. For additional schedules the key billing attributes are approval matching and invoice matching,

Related Topics

- [Purchase Order Lines](#)
- [Examples of Purchase Order Schedules](#)
- [Match Approval Level Options](#)

Examples of Purchase Order Schedules

A purchase order schedule specifies the shipment details about the item on a purchase order line. The following scenarios illustrate both the required single schedule per line and when you might have multiples. These examples only highlight common fields.

Scenario

This table provides an example of a purchase order line with one schedule per line.

Schedule	Location	Quantity	Need-by Date
1	V1- New York City	9	8/15/2012

Scenario

This table provides an example of a purchase order line with schedules for multiple delivery dates. In this example, the schedule from the previous example is split into three shipments. Each shipment has a modified quantity and requested delivery date.

Schedule	Location	Quantity	Need-by Date
1	V1- New York City	3	8/15/2012
2	V1- New York City	3	9/15/2012
3	V1- New York City	3	10/15/2012

Related Topics

- [Considerations for Purchase Order Schedules](#)

Considerations for Purchase Order Distributions

A purchase order distribution specifies how the purchase order schedule is to be charged to the organization.

The purchase order Distributions tab or page is used to enter distribution information for purchase order schedules or to view distributions that were automatically created for you. You can enter multiple distributions per schedule.

What Happens When You Save Distribution Information

Enter the purchasing accounts. When you save your changes in this window, the application automatically creates the following accounts for each distribution:

- *PO Charge Account*: the account to charge for the cost of this item in the purchasing business unit
- *PO Accrual Account*: the payables accrual account in the purchasing business unit
- *PO Variance Account*: the invoice price variance account in the purchasing business unit

Related Topics

- [Considerations for Purchase Order Schedules](#)
- [Examples of Purchase Order Distributions](#)

Examples of Purchase Order Distributions

A purchase order distribution specifies the internal billing details about a purchase order schedule line. The following scenarios illustrate both the required single distribution per schedule and when you might have multiples. These examples only highlight common fields.

Scenario

A purchase order schedule requires at least one distribution per line. This table provides an example of a purchase order schedule with one distribution.

Distribution	Destination Type	Deliver-to Location	Quantity	PO Charge Account
1	Expense	New York HQ	4	01-510-7530-0000-000

Scenario

This table provides an example of distributions for a schedule that requires multiple delivery locations and corresponding charge accounts. This was achieved by means of splitting the distribution in the previous example. The quantity and deliver-to locations on the distribution lines are changed.

Distribution	Destination Type	Deliver-to Location	Quantity	PO Charge Account
1	Expense	New York HQ	2	01-510-7530-0000-000
2	Expense	New York Finance	2	01-550-7530-0000-000

Related Topics

- [Considerations for Purchase Order Distributions](#)

How the Sold-To Legal Entity Is Determined

The sold-to party on a purchase order is the party that's liable for the purchase order, and has relationship with the location of the supplier that's going to fulfill the purchase order.

Settings That Affect Determination of the Sold-To Legal Entity

The following attributes are used by the application to determine the sold-to legal entity on a purchase order.

- Supplier
- Supplier Site
- Country of the supplier site
- Deliver-to location
- Receiving Organization
- Item Category
- Item Asset Indicator

How the Sold-To Legal Entity Is Determined

These steps are performed in and by the application to determine the sold-to legal entity on a purchase order.

1. Information for an order such as requisition BU, supplier, and supplier site is entered. For requisition to purchase order automation the application knows this and other information from the requisition.

2. The application checks to see if Oracle Fusion Supply Chain Financial Orchestration is implemented. If so, it calls the SFO process and passes all the necessary information.
3. SFO gathers some additional information such as profit center BU and asset indicator and identifies a financial orchestration flow based on available attributes. The sold-to legal entity (LE) is associated with the financial orchestration flow.
4. If SFO isn't implemented or SFO returns no agreement, and hence no LE is found, then the application finds the inventory organization using this logic:
 - o If Multiple Legal Entities on Order attribute is set to either Allow or Warning, which means centralized procurement, then the legal entity of the Requisitioning BU is used.
 - o If Multiple Legal Entities on Order attribute is set to Error, which means decentralized procurement where every LE orders for themselves, then the header level legal entity defaults from the inventory organization for the ship-to/deliver-to organization. The hierarchy for determining the deliver-to organization on the requisition is as follows:
 - i. If the deliver-to location on the requisition line is associated with an inventory organization, then that becomes the ship-to/deliver-to organization.
 - ii. If the deliver-to location on the requisition line isn't associated with an inventory organization, then the application checks whether the deliver-to location in the requester's preferences is associated with an inventory organization. If it's, then that becomes the ship-to/deliver-to organization.
 - iii. If neither location (on the requisition line or in the requester's preferences) is associated with an inventory organization, then the application uses the default deliver-to organization defined for the requisitioning BU.

Here's a simplified example of how that might work:

1. A requisition is selected on the Process Requisitions page and added to the document builder.
2. The application identifies the country of the supplier site from the supplier master for the purchase order.
3. The application determines the inventory organization associated with the deliver-to location.
4. The application identifies the profit center BU of the inventory organization.
5. The application checks if Oracle Fusion Financial Orchestration is enabled.
6. If enabled, it determines the financial orchestration flow by matching the profit center BU to the receiving BU and supplier country.
7. The sold-to legal entity specified on this flow is returned back which is included in the document builder.
8. The sold-to legal entity is carried over to the purchase order.

How can I add or edit contract terms for purchasing documents?

As a procurement agent, you can make use of the library of legal clauses, documents and deliverables to add to your purchasing document.

Oracle Fusion Procurement Contracts must be implemented. You can configure the application to automatically apply a contract template to your purchasing document, based on predefined rules. You can also add additional clauses based on responses to a set of predefined questions.

Related Topics

Add Contract and Supporting Documents to a Purchasing Document

You can add contract documents and supporting documents to a purchasing document, provided Oracle Fusion Procurement Contracts is implemented. Purchasing documents include contract purchase agreements, blanket purchase agreements, purchase orders and their change orders.

To add contract documents and supporting documents to a purchasing document follow these steps:

1. Open the purchasing document. Depending on the type of purchasing document, from the **Navigator** you can use either the **Purchase Agreements** or **Purchase Orders** work area.
 - You can either create a new document or open an existing document.
2. From the Edit Document page, click the **Contract Terms** tab.
 - For an existing purchasing document, if you can't see the **Contract Terms** tab then select **Actions > Edit** to open the Edit Document page.
3. To see the **Documents** subtab, you must have already added contract terms. If you have previously added contract terms and you can see the **Documents** subtab, then skip this step and go to step 4.
 - a. If you haven't previously added contract terms, click the **Add Contract Terms** button and use the **Add Contract Terms** dialog box to add terms.
4. On the Edit Document page, on the **Contract Terms** tab, click the **Documents** subtab.
5. On the **Documents** subtab, you can add or remove documents using the functionality in the **Contract Documents** and **Supporting Documents** sections, respectively.

When adding supporting documents, you can categorize the documents using either the predefined attachment categories (**Supporting Document** and **Contract Image**), or any administrator-defined categories configured by your organization.

Related Topics

- [What type of documents can I attach to a contract?](#)

How You Associate a Master Contract with a Purchasing Document

In the Procurement offering, you must opt in and enable the Associate a Master Contract with a Purchasing Document feature in the Offerings work area.

When the feature is enabled, you can associate a new purchasing document or update an already active or open purchasing document with a master contract. Here's what you have to do:

1. Open the purchasing document. Depending on the type of purchasing document, you can use either the Purchase Agreements or Purchase Orders work area.
 - You can either create a new document or open an existing document.
2. On the Edit Document page, on the Main tab, add or update the master contract number in the Master Contract field.

Here are some considerations for associating a master contract with a purchasing document:

- You can associate a new purchasing document or update an already active or open purchasing document with master contracts using the UI or FBDI template.
- Only active enterprise contracts with buy intent for either the primary party (supplier) or any of its parents can be associated with a purchase agreement.
- The master contract must not have any lines as determined by the contract type.
- When you duplicate a purchasing document that has a master contract association, the master contract isn't copied to the new agreement. However, you can manually enter the value.
- To include a master contract on either a PDF or electronic purchasing document that you share with suppliers, you must modify the corresponding layout and mapping.
- The master contract attribute is available for OTBI subject area analysis.

What master contract variables can I use while authoring purchasing documents?

You can use master contract variables to refer to the information from the master contract associated with your purchase orders and purchase agreements. These variables get automatically resolved based on the referenced master contract.

Here's the list of master contract variables you can use to refer to the information from the parent contract directly:

- Master Contract Number
- Master Contract Supplier
- Master Contract Start Date
- Master Contract End Date
- Master Contract Agreement Amount
- Master Contract Currency

Funds Reservation for a Purchase Order

As a buyer, you can reserve funds for a purchase order that's subject to budgetary control.

Based on the control budget setup, this can occur either when you submit the document, or when the document is approved. This ensures the available funds aren't consumed by other transactions before the purchase order is fulfilled.

Key aspects of funds reservation for a purchase order are:

- How funds are reserved for a purchase order.
- Setup needed for funds reservation.
- How encumbrance accounting interacts with reserve on submit.
- What happens to reserved funds if the order isn't approved.
- What you can do if funds aren't available in the budget.

How Funds are Reserved

Funds reservation is done automatically, either when the purchase order is submitted or approved. Funds are reserved based on the setup for the requisitioning business unit and business function.

Set Up Needed for Funds Reservation

Your organization can choose the point at which funds are reserved for purchase orders, either on document submission or document approval. Do this using the Manage Budgetary Control and Encumbrance Accounting page. Find the page in the Setup and Maintenance work area, Financials offering, Manage Budgetary Control task.

How Encumbrance Accounting Interacts with Reserve on Submit

Encumbrance accounting is only created upon implementation of the purchase order or change order. No encumbrance accounting is created at submit time.

What Happens When the Order Isn't Approved

If a transaction for which funds have been reserved on submission is rejected during the approval process, any funds previously reserved are either:

- Released back to the available funds

- Reinstated to the backing transaction

For example, a purchase order with a backing requisition for which funds were reserved at submit is rejected during the approval process. The funds are reinstated to the backing requisition.

What Happens When Funds Aren't Available

When a purchase order is needed and budget isn't available, you can request a funds override if:

- Funds override is enabled for the control budget, and,
- The overall override limit for the control budget hasn't been exceeded, and,
- A funds override approver can be identified for the transaction based on the control budget's override rules.

The funds override process supports a funds override request, funds override approval and reserving funds with an override at approval.

Related Topics

- [How You Define the Funds Reservation Point for Purchasing Documents](#)

Funds Override for Purchase Orders

As a buyer, you can submit a purchase order with insufficient funds and request a funds override. The purchase order must be subject to a control budget with funds override enabled.

The funds override request is sent to the appropriate person for approval. After approval is secured, the funds are reserved for the purchase order.

Key factors affecting whether and how you can submit a request for an insufficient funds override are:

- Prerequisites such as budgetary control setup and security privileges.
- Submitting an order with insufficient funds.
- Requesting override for insufficient funds.
- Approval routing based on budgetary control setup.
- Viewing the funds override in the purchase order.

Prerequisites

To request an insufficient funds override, you must have the function security privilege Request Budgetary Control Override. The privilege is delivered with the following roles:

- Advanced Procurement Requester
- Buyer
- Category Manager
- Procurement Manager

Your organization can also add the privilege to or remove it from a role that's configured from a copy of a predefined role.

You can request funds override for a purchase order transaction only if:

- The transaction is subject to a control budget that has funds override enabled.
- The override limit for the control budget isn't exhausted.

- A funds override approver can be identified.
- The required override amount for each distribution is equal to or less than the approver's override approval limit.

Your organization sets up funds override rules for a control budget using the Manage Control Budgets task. Find the task in the Setup and Maintenance work area, Financials offering, Budgetary Control and Encumbrance Accounting functional area.

How You Submit an Order with Insufficient Funds

You can submit purchase orders on the Edit Document page. Find it in the Purchase Orders work area, in tasks such as Create Order or Manage Orders. Prior to submitting a purchase order for approval, you can perform a funds check. Assuming the prerequisite criteria are met, if the transaction lacks sufficient funds you can still submit the order for approval.

Request Override for Insufficient Funds

When you submit a transaction and it fails funds check, you're provided the option to request an insufficient funds override request.

1. The Warnings dialog displays the message, "The distribution failed funds check. A funds override will be requested if you submit the document."
2. Click Continue to request a funds override.
3. On the Warning dialog, enter a Justification and click Yes to submit the funds override request.
4. Click OK on the confirmation dialog.

Approval Routing Based on Budgetary Control

Funds override is approved as part of the document approval process, using the override rules set up for the control budget. Your organization sets up approval rules for purchase orders using the Manage Purchasing Document Approvals task. You can find the task in the Setup and Maintenance work area, Approval Management functional area.

The override approver for the transaction is identified automatically, based on the setup for the control budget. There must be only one override approver. If the override rules return multiple override approvers, the application picks one of them randomly. In the delivered approval rule, the funds override approver is added at the last stage of the approval workflow. If your organization wants the funds override approval to happen at a different stage, they can:

1. Disable the delivered approval rule, and,
2. Define their own approval rule.

You can use the Manage Approvals action in the Edit Document page to see the override approver added to the approval workflow.

The actual funds override to reserve funds occurs after all approvals are secured.

View the Reserved Funds in the Purchase Order

You can see whether the funds override is approved on the purchase order header.

1. The Funds Status displays the value: Reserved.
2. Click Reserved to open the Funds Reservation: Purchase Order dialog.
3. The dialog displays the message, "Override was taken."

Related Topics

- [Funds Override for Requisitions](#)
- [How You Define Funds Override Rules for a Control Budget](#)
- [How You Manage Funds Override Approval Rules for Requisitions and Purchase Orders](#)

How You Override B2B Communication of Purchase Orders

To override the B2B communication of purchase orders, you must select the Override B2B communication check box on the Edit PO page.

If you have enabled Override B2B communication on the purchase order, you can use an alternate communication method, using the Communication Method setting, such as email or fax.

Here are some of the considerations for enabling the Override B2B communication option on purchase orders:

- Purchase orders with Override B2B communication enabled won't be communicated using B2B. If there is a Communication Method set on the purchase order, the order will be communicated using that method. If the Communication Method is None, the order won't be communicated.
- Purchase orders with Override B2B communication disabled will be communicated using the B2B message set up on the supplier site.
- The Override B2B communication check box is only visible if there is a B2B message set up for the document type (purchase order, change order, cancellation order).
- The default value for Override B2B communication is disabled.
- Only buyers with the Override Purchase Order B2B Communication privilege can change the Override B2B communication value.
- You can set Override B2B communication using the application, file-based data import, or the Draft Purchase Orders REST resource.

How You View Inclusive and Exclusive Tax Information in Purchase Orders

You can view inclusive and exclusive tax information, and the nonrecoverable and recoverable components of those taxes, on your purchase orders.

For you to view these tax details, the Inclusive Tax Handling in Procure to Pay Flows feature must be enabled. Related inclusive and exclusive tax setup must also be completed in the Financials offering.

Normally the price entered on a purchase order line is considered as the item price and excludes all taxes. Applicable taxes are calculated on top of the line or schedule amount.

In some countries, tax authority guidelines require transaction taxes to be calculated and tracked as part of the pricing in your transactions. When the inclusive tax handling feature is implemented and set up, the application calculates and tracks details of the taxes on purchase orders processed in Oracle Enterprise Resource Planning Cloud. You can view these tax details in elements of the purchase order header, lines, schedules and distributions.

On the purchase order header:

- The **Ordered** amount includes the item costs and inclusive taxes. Click the link to open the **Inclusive Tax** dialog box, which displays a summary of the nonrecoverable and recoverable inclusive taxes.
- The **Total Tax** amount includes the exclusive taxes. Click the link to open the **Total Tax** dialog box, which displays a summary of the nonrecoverable and recoverable exclusive taxes.
- The **Total** amount includes the **Ordered** amount plus the **Total Tax** amount.

On the purchase order lines and schedules:

- The **Ordered** and **Total Tax** amounts also link to the **Inclusive Tax** and **Total Tax** dialog boxes, respectively.
- Use the **View Tax Lines** action to open the **Tax Lines** dialog, which displays details of the nonrecoverable and recoverable taxes. You can also see which taxes are marked as inclusive. Those taxes not marked as inclusive are exclusive.

On the purchase order distributions:

- The **Ordered** and **Total Tax** amounts also link to the **Inclusive Tax** and **Total Tax** dialog boxes, respectively.
- Use the **View Tax Distributions** action to open the **Tax Distributions** dialog, which displays details of the nonrecoverable and recoverable taxes. This dialog doesn't indicate which taxes are inclusive or exclusive.

You can also view this tax information in the purchase order details and change order pages.

Related Topics

- [How You Configure Inclusive Tax Calculation for Purchasing](#)

Buyer Managed Transportation in Procurement

Buyer managed transportation functionality provides a structured way to communicate your buying organization's intent to manage the transportation for a purchasing transaction.

When buyer managed transportation is enabled in the Procurement offering, you can:

- Indicate in a negotiation, agreement or purchase order (PO) your buying organization's preference to arrange transportation for a purchasing transaction.
- Identify the shipping method.
- Specify the requested ship date for goods.
- Communicate these details to the supplier.

Negotiations

When authoring a negotiation, you can select or update the buyer managed transportation option as part of the terms. You can also include the requested ship date. The supplier promises shipment against the requested ship date, with a promised ship date, so there is no ambiguity. The supplier can also respond with a different promised ship date if they're unable to meet the requested ship date.

Agreements

You can use a blanket purchase agreement to communicate your buyer managed transportation term. When you create an agreement, the buyer managed transportation value can be populated by default. The default action is based on the existing buyer managed transportation values set up in these tasks, in the following order of precedence:

1. The value for the supplier site. This is set with the Manage Supplier task in the Supplier work area.
2. The value for the business unit. This is set with the Configure Procurement Business Function task, Setup and Maintenance work area, Procurement Foundation functional area.

If an agreement is created from a negotiation award, the corresponding value for the buyer managed transportation setting is copied over to the agreement.

Requisitions

You can't create or view requisitions using buyer managed transportation attributes from the Purchase Requisitions work area. The Buyer Managed Transportation, Requested Ship Date, and Shipping Method fields aren't available for you to create or view a requisition.

Oracle Fusion Cloud Procurement can accept externally managed, planning system requests specifying ship dates and shipping methods. Procurement can create requisitions from these requests, and purchase orders can be generated either automatically or manually. For requisitions requiring manual processing, you can see the following buyer managed transportation information in the Process Requisitions page:

- Shipping method.
- Requested ship or delivery date.

This table lists the terms used to refer to ship and delivery dates, and their descriptions:

Ship or Delivery Date Term	Description
Requested ship date	For buyer managed transportation, the date the supplier is expected to have the goods ready for pickup from their site.
Promised ship date	For buyer managed transportation, the date the supplier promises to have the goods ready for pickup from their site.
Requested delivery date	For supplier managed transportation, the date by which the supplier is expected to have the goods delivered to the buyer's site.
Promised delivery date.	For supplier managed transportation, the date by which the supplier promises to deliver the goods to the buyer's site.

Purchase Orders

When you search for existing PO schedules, you can see the requested and promised ship dates in the results.

When you create a PO, the buyer managed transportation setting can be populated by default. The value is populated based on the existing values for the setting from the following tasks, in this order of precedence:

1. The value from the source blanket purchase agreement specified on the PO, set in the Purchase Agreements work area, Manage Agreements task.
2. The value for the supplier site, set in the Supplier work area, Manage Supplier task.
3. The value for the business unit, as set in the Setup and Maintenance work area, Configure Procurement Business Function task. You can find the task in the Procurement offering, Procurement Foundation functional area.

If a PO is created from a negotiation award, the value for the buyer managed transportation setting is copied over to the PO.

You can see the following buyer managed transportation information in the purchase order Terms tab:

- Buyer Managed Transportation setting
- Shipping Method

You can see the following buyer managed transportation attributes in purchase order schedules:

- Shipping Method
- Requested Ship Date
- Promised Ship Date
- Requested Delivery Date
- Promised Delivery Date
- Rejection Reason
- Anticipated Arrival Date

For documents that specify ship dates, an anticipated arrival date can be calculated and displayed. The anticipated date for the goods to arrive at the buying organization's site is calculated using the following information, if available:

- Requested or promised ship date.
- Specified shipping method.
- Transit time between the two locations.

Supplier Portal

The supplier can see the buyer managed transportation information in negotiations, agreements and orders. They see it in communications such as PDF and business to business messages, and on the supplier portal. The supplier can use the supplier portal to:

- Receive and review an order that indicates whether or not transportation arrangements are buyer managed.
- Review the requested ship or delivery date, depending on the transportation arrangement specified.
- Acknowledge the order and respond.
- Provide a promised ship date if the transportation is buyer managed, or a promised delivery date if not.

Related Topics

- [How You Set Up Buyer Managed Transportation](#)

Contract Manufacturing Integration in Procurement

When contract manufacturing is enabled, you can process procurement transactions for contract manufacturing service items.

Important aspects of contract manufacturing integration in procurement transactions include the following:

- How procurement fits into the contract manufacturing flow.
- How the request to purchasing is transmitted.
- What contract manufacturing details are provided in requisitions.
- What contract manufacturing details are provided in purchase orders.

Procurement Role in Contract Manufacturing

Procurement of contract manufacturing service items is supported in plan-to-produce, and back-to-back order fulfillment flows. The general flow is summarized as follows:

1. Oracle Fusion Supply Chain Orchestration calls the Purchase Request Web Service to send a request to Oracle Fusion Cloud Procurement for a contract manufacturing service item.
2. The Purchase Request Web Service accepts the request to create an externally managed requisition for the item.
3. A purchase order (PO) is generated from the requisition, either automatically or manually.
4. The PO, along with the work definition as an attachment, is communicated to the contract manufacturer (CM).

Contract Manufacturing Details in Requisitions

You can't see the externally managed, contract manufacturing requisition in Oracle Self Service Procurement. You can see the requisition information in Oracle Purchasing, if the requisition isn't automatically converted into a PO. You can search for contract manufacturing requisitions requiring manual processing on the Process Requisitions page. Product and Work Order are available for use as a search criteria. When you review contract manufacturing requisitions, in addition to the usual requisition information you can also see these details:

- Line Type is Goods.
- Destination Type is Inventory.
- Organization is the contract manufacturing organization.
- Item is the contract manufacturing service item.
- Item Description on the requisition line includes an information icon with display-text stating, "This is a contract manufacturing transaction."
- Information icon opens a dialog that displays the Product and Work Order information.

You can also use the View Requisition Lines page to view contract manufacturing requisition details.

Contract Manufacturing Details in Purchase Orders

In the PO general header information, you can see the following contract manufacturing details:

- Supplier is the contract manufacturer.
- Supplier Site is the contract manufacturer's location.

In the PO line information, you can see the following contract manufacturing details:

- Line Type is Goods.
- Destination Type is Inventory.
- Item is the contract manufacturing service item.
- Description includes an information icon with display-text stating, "This is a contract manufacturing transaction."
- Information icon opens a dialog displaying the Product and Work Order number.
- Organization is the contract manufacturer's production facility.
- The work definition document is an attachment to the line.

In the PO schedule information you can see the following contract manufacturing-related details:

- Destination Type is Inventory.

- Work Order number.

When you communicate the PO to the supplier, it includes the contract manufacturing, product and work order information. This applies to PDF, e-mail, fax or print communication methods.

You can search for contract manufacturing-related PO's using the product and work order numbers.

For more information about contract manufacturing, see the Oracle Fusion Cloud SCM Implementing Manufacturing and Supply Chain Materials Management guide.

Related Topics

- [How You Set Up Manufacturing](#)

Back-to-Back Order Fulfillment Integration in Procurement

When back-to-back order fulfillment is enabled, you can process procurement transactions for back-to-back items.

In back-to-back orders the supplier ships goods back to your company, for consolidation before shipping out to the customer.

Important aspects of back-to-back integration in procurement transactions include the following:

- How procurement fits into the back-to-back order fulfillment flow.
- How the back-to-back request to purchasing is transmitted.
- What back-to-back order details are provided in a purchase requisition (requisition).
- What back-to-back order details are provided in a purchase order (PO).

Procurement Role in Back-to-Back

The general flow for the procurement role in back-to-back order fulfillment is summarized as follows:

1. The supply recommendation to meet a back-to-back sales order demand is to buy the item from a supplier.
2. Oracle Fusion Supply Chain Orchestration calls the Purchase Request Web Service to send a request to Oracle Fusion Cloud Procurement for a back-to-back item.
3. The Purchase Request Web Service accepts the request to create an externally managed requisition for the item.
4. A PO is generated from the requisition, either automatically or manually.
5. The PO is communicated to the supplier using the communication method set up for the supplier site.

Back-to-Back Details in Requisitions

You can't see the externally managed, back-to-back requisition in Oracle Self Service Procurement. You can see the requisition information in Oracle Purchasing, if the requisition isn't automatically converted into a PO. You can search for back-to-back requisitions requiring manual processing on the Process Requisitions page. Customer Sales Order and Ship-to Party are available for use as search criteria. When you review back-to-back requisitions, in addition to the usual requisition information you can also see these details:

- Back-to-Back Order indicator is selected.
- Ship-to Party.
- Customer Sales Order.
- Deliver-to Location, which is the internal location the goods are shipped to.

- For back-to-back order lines, an information icon with display text stating, "Requested goods are to fulfill a customer sales order."

You can also use the View Requisition Lines page to view back-to-back requisition details.

Back-to-Back Details in Purchase Orders

The back-to-back requisition can be converted to a PO, either automatically or manually. You can see the following back-to-back information in the PO:

- Back-to-Back Order indicator is selected.
- Ship-to Party.
- Ship-to Location
- Customer Sales Order.
- Deliver-to Location.
- Information icon with display text stating, "Scheduled goods are to fulfill a customer sales order."

The Ship-to Party and Customer Sales Order information isn't displayed to the supplier user.

Related Topics

- [How You Set Up Back-to-Back Order Fulfillment](#)

Drop Shipment Order Fulfillment Integration in Procurement

When drop shipment order fulfillment (drop ship) is enabled, you can process procurement transactions for drop ship items.

In drop ship orders, the supplier ships goods directly to your company's customer.

Important aspects of drop ship integration in procurement transactions include the following:

- How procurement fits into the drop ship order fulfillment flow.
- How the drop ship request to purchasing is transmitted.
- What drop ship order details are provided in a purchase requisition (requisition).
- What drop ship order details are provided in a purchase order (PO).

Procurement Role in Drop Ship

The general flow for the procurement role in drop ship order fulfillment is summarized as follows:

1. The supply recommendation to meet a drop ship sales order is to purchase the item from a supplier.
2. Oracle Fusion Cloud Order Management calls the Purchase Request Web Service to send a request to Oracle Fusion Cloud Procurement for a drop ship customer item.
3. The Purchase Request Web Service accepts the request to create an externally managed requisition for the item.
4. A PO is generated from the requisition, either automatically or manually.
5. The PO is communicated to the supplier using the communication method set up for the supplier site.

Drop Ship Details in Requisitions

You can't see the externally managed, drop ship requisition information in Oracle Self Service Procurement. You can see the information in Oracle Purchasing, if the requisition isn't automatically converted into a PO.

You can search for drop ship requisitions requiring manual processing on the Process Requisitions page. Customer Sales Order and Ship-to Party are available for use as search criteria on the Process Requisitions and View Requisition Lines pages. Use the Advanced Search function to add the fields to the search. When you review drop ship requisitions, in addition to the usual requisition information you can also see these details:

- Information icon for the requisition line, with display text stating, "Requested goods are to be shipped to a third party." The display text is a link, click it to open the Customer Sales Order dialog.
- Item.
- Ship-to Party.
- Ship-to Location, which displays the customer location from the sales order.
- Deliver-to Location, which displays the customer location or other external delivery location from the sales order.
- Information icon for the locations, with display text indicating the location is a third-party location.
- Customer Sales Order number is displayed as a link. Click it to open a dialog displaying these customer sales order and customer purchase order details:
 - Customer Sales Order Line.
 - Customer Sales Order Schedule.
 - Customer Purchase Order.
 - Customer Purchase Order Line.
 - Customer Purchase Order Schedule.
 - Customer Item.
 - Customer Item Description.
 - Ship-to Party name, Address and Contact.
 - Deliver-to Party name, Address, and Contact if different from the ship-to party.
- Destination type is Drop Ship, to distinguish the request from an inventory replenishment request.

Note: Do not manually split requisition lines for externally managed requisitions such as for drop shipments.

Drop Ship Details in Purchase Orders

The drop ship requisition can be converted to a PO, either automatically or manually. You can search for the PO by Customer Sales Order number and Ship-to Party. On the Manage Orders page, Schedules tab, use the Advanced Search function to add the fields to the search. Similar to the requisition, you can see the following drop ship information in the PO:

- Information icon for the PO schedule, with display text stating, "Scheduled goods are to be shipped to a third party." The display text is a link. Click it to open the Customer Sales Order dialog.
- Item is the customer item.
- Ship-to Party.
- Ship-to Location, which displays the customer location from the sales order.
- Deliver-to Location, which displays the customer location or other external location from the sales order.

- Location names are displayed as a link. Click it to open a dialog displaying the Ship-to Party name, Address and Contact information. The Deliver-to Party name, Address and Contact information is also displayed, if different from the ship-to party.
- Information icons for the locations, displaying text indicating the location is a third-party location.
- Customer Sales Order number is displayed as a link. Click it to open the Customer Sales Order dialog. Information displayed in the dialog is the same information as for the requisition.
- Destination type is Drop Ship, to distinguish the order from an inventory replenishment order.

Restricted Changes to Drop Ship Purchase Orders

If the drop ship sales order contains models, kits, or ship sets, then you won't be able to change any of these attributes on the drop ship purchase order:

- Supplier and supplier site
- Quantity
- UOM

Additionally, you can't add new lines, split schedules, or cancel schedules or documents from Oracle Purchasing Cloud. You should initiate these changes from Oracle Order Management Cloud.

You must group all lines that are part of a configured item, kit, or shipment set into a single purchase order. You can't spread them across different purchase orders.

For example, assume your sales order has these order lines:

Sales Order Line	Item	Shipment Set
1	AS54888, Standard Desktop Computer	S1
2	AS9000, Standard Laptop Computer	S1
3	PTO54222, Phone	S1

In the example, all the lines are in the same shipment set, so you must include AS54888, AS9000, and PTO54222 in the same purchase order.

Note: A buyer can use the Purchase Orders work area to release a purchase order hold and freeze initiated by Oracle Order Management, which could result in stuck sales orders. However, you can't release the hold and unfreeze such POs unless you have the Release Purchase Order Hold and Freeze Initiated by Requester privilege.

Related Topics

- [How You Set up Drop Shipment Order Fulfillment](#)

Configured Item Order Fulfillment Integration in Procurement

When configured item order fulfillment is enabled, you can process procurement transactions for configured items.

Important aspects of configured item integration in procurement transactions include the following:

- How procurement fits into the configured item order fulfillment flow.

- How the configured item request to purchasing is transmitted.
- What configured item order details are provided in a purchase requisition (requisition).
- What configured item order details are provided in a purchase order (PO).

Procurement Role in Configured Item Orders

Configured products may be procured or made to order, and may result in back-to-back or drop ship purchase orders. The key difference is in the processing of a configured product. The general flow for the procurement role in configured item order fulfillment (CTO) is summarized as follows:

1. The supply chain or order orchestration recommendation to meet a supply or sales order is to purchase the item from a supplier.
2. The supply chain or order orchestration application calls the Purchase Request Web Service to send a request to Oracle Fusion Cloud Procurement.
3. The Purchase Request Web Service accepts the request to create an externally managed requisition for the item.
4. A PO is generated from the requisition, either automatically or manually.
5. The PO is communicated to the supplier using the communication method set up for the supplier site.

Configured Item Order Details in Requisitions

Create a blanket purchase agreement for orders of a configured item using a CTO-specific document style. You can use the BPA to manage and maintain price lists for the base model and options for the configured item. The pricing information for base model and options can also come from the PRWS request. When a requisition is created for a configured item, the price of the configuration is determined from the pricing for the base model and options.

You can't see the externally managed, configured item requisition in Oracle Self Service Procurement. You can see the requisition information in Oracle Purchasing, if the requisition isn't automatically converted to a PO. Search for configured item requisitions requiring manual processing on the Process Requisitions page. When you review configured item requisitions, in addition to the usual requisition information you can also see these details:

- Customer Sales Order, which is the supply or sales order number.
- Configured Item name and description.
- Base Model and Option item name and description.
- Base Model, Option and Configuration item pricing.

You can also use the View Requisition Lines page to view configured item requisition details.

Configured Item Order Details in Purchase Orders

A configured item requisition can be converted to a PO, either automatically or manually. A purchase order for a configured item order must be created from a requisition.

You can search for an existing PO by the Base Model number. Use the Advanced Search on the Manage Orders page, Schedules tab. From the Search Results, use the View Configuration icon next to the Line Description to open the Configuration page. From there you can view the configuration details, such as:

- Configuration Item, Description and Configuration Price.
- Base Model and Base Model Price.
- Selected Options Price.
- For selected options, the Option Item, Description including options and option classes, and Price.

You can see the following configured item information in the PO line:

- Configured Item and Description.
- View Configuration icon, next to the Description, which you can use to view the Configuration page.
- Selected option Item, Description including option class, and Price.

You can see the following configured item-related information in the PO schedule:

- Customer Sales Order, which is the supply or sales order number.

Related Topics

- [How You Set Up Configured Item Order Fulfillment](#)

Purchase Orders for Outside Processing in Procurement

As a buyer or procurement manager, you can manage purchase orders to support the handling of outside processing items.

Important aspects for understanding and working with purchase orders for outside processing include the following:

- How procurement fits into the outside processing flow.
- Prerequisite setup needed for the automated flow in procurement.
- How to search for an outside processing purchase order.
- Outside processing attributes visible on a purchase order.
- How you can manage an outside processing purchase order.

Procurement Role in Outside Processing

Oracle Fusion Cloud Procurement integrates with Oracle Fusion Cloud Supply Chain Management, to support the automatic creation of requisitions and purchase orders for outside processing items. When there is work order demand for supplier operations for outside processing services, the general flow is:

1. Oracle Fusion Supply Chain Orchestration calls the Purchase Request web service, to send a request to Procurement for an outside processing item.
2. The web service accepts the request to create an externally managed requisition for the item.
3. Based on a blanket purchase agreement for the outside processing item, a purchase order is generated from the requisition, either automatically or manually.

Prerequisite Setup

Use setup tasks in the Setup and Maintenance work area to support the automatic creation and approval of purchase orders for outside processing items:

- Create the supplier record for providers of outside processing services. Use the Create Supplier task in the Suppliers work area.
- Define account derivation rules. Use the Manage Mapping Sets task.
- Set up document approval rules. Use the Manage Purchasing Document Approvals task in the Approval Management functional area.
- Use either the delivered document style for outside processing purchasing documents, or create one. Use the Manage Document Styles task in the Procurement Foundation functional area.

- Create purchase agreements for outside processing items. From the Navigator, access the Purchase Agreements work area, Create Agreements task.

How You Search for an Outside Processing Purchase Order

You can search for outside processing purchase orders using the Purchase Order work area, Manage Orders task.

On the Manage Orders page, on the Headers tab, use the advanced search function to add the Document Style as a search field. Select one of the delivered or created outside processing document styles to narrow your search.

On the Schedules tab, you can also use the advanced search to add the Document Style, Work Order number or Destination Type as search fields. For outside processing transactions the destination type is Work Order.

On the Schedules tab, in the search results, the Description column for an outside processing item displays an Information icon. The display text for the icon states, "This is an outside processing transaction". Click the icon to view the Manufacturing Details dialog, which displays the Product, Work Order, and Operation Sequence.

Outside Processing Details on a Purchase Order

When viewing an order, the text on the page tab and title includes the name of the outside processing document style. For example: Outside Processing Purchase Order 1003608.

You can see these outside processing attributes throughout the purchase order life cycle, when managing purchase order and change order lines and schedules:

- Destination Type is Work Order.
- Item is the outside processing item.
- Item Description on the purchase order line includes an Information icon. Display text for the icon states, "This is an outside processing transaction". Click the icon to view the Manufacturing Details dialog, which displays the Product, Work Order, and Operation Sequence.

Outside processing attributes are also communicated on the purchase order and change order document PDF. As a buyer using the Purchase Orders work area, or as a supplier using the Oracle Supplier Portal, you can see the following:

- The name of the outside processing document style is included in the document title.
- On outside processing lines text is displayed stating, "Attention: This is an outside processing transaction."

How You Manage an Outside Processing Purchase Order

Managing an outside processing purchase order is similar to managing any other type of purchase order. However, as a buyer you can't:

- Duplicate purchase orders or purchase order lines with an outside processing item.
- Add an outside processing item to a purchase order that doesn't have the outside processing document style applied.
- Manually add an outside processing item to a draft purchase order.
- Create a purchase order for an outside processing item using the Purchase Order import template, or the Purchase Order web service.

Related Topics

- [Purchase Requisitions for Outside Processing in Procurement](#)

Supplier Managed Purchasing Documents for Outside Processing

As a supplier user you can manage purchasing documents to support your handling of outside processing items.

To manage purchasing documents for outside processing you must understand the following:

- What is an outside processing purchasing document?
- How can you search for an outside processing purchase agreement?
- What outside processing attributes are visible on an outside processing purchase agreement?
- How can you search for an outside processing purchase order?
- What outside processing attributes are visible on an outside processing purchase order?
- How you can manage an outside processing purchasing document?

Outside Processing Purchasing Documents

An outside processing purchase order is created based on manufacturing work order demand for an outside processing service your organization provides. A purchase order for the outside processing item is generated based on the details in an outside processing purchase agreement.

You search for and manage outside processing purchase agreements and purchase orders in the Supplier Portal work area. Use the Manage Agreements and Manage Orders tasks.

Search for an Outside Processing Purchase Agreement

On the Manage Agreements page, Headers tab, you can view the Document Style column in the search results. Look for agreements with an outside processing document style. For example, Outside Processing Blanket Purchase Agreement.

You can also use the advanced search function to narrow your search results to see only outside processing agreements. Add the Document Style field as a search field, and search for a particular outside processing document style.

Outside Processing Details on a Purchase Agreement

When you open an outside processing purchase agreement, the document style displays in the page name. For example, Outside Processing Blanket Agreement 123456. The document style also displays in the agreement name on the PDF version of the agreement.

Search for an Outside Processing Purchase Order

On the Manage Orders page, on the Headers tab, use the advanced search function to narrow your search results to see only outside processing orders. Add the Document Style as a search field, and search for a particular outside processing document style.

On the Schedules tab, you can also use the advanced search to add the Document Style or Work Order number as search fields.

On the Schedules tab, in the search results, the Description column for an outside processing item displays an Information icon. The display text for the icon states, "This is an outside processing transaction". Click the icon to view the Manufacturing Details dialog, which displays the Product, Work Order, and Operation Sequence.

Outside Processing Details on a Purchase Order

When viewing an order, the text on the page tab and title includes the name of the outside processing document style. For example: Outside Processing Purchase Order 1003608.

You can see these outside processing attributes when managing purchase order and change order lines and schedules:

- Destination Type is Work Order.
- Item is the outside processing item.
- Item Description on the purchase order line includes an Information icon. Display text for the icon states, "This is an outside processing transaction". Click the icon to view the Manufacturing Details dialog, which displays the Product, Work Order, and Operation Sequence.

Outside processing attributes are also communicated on the purchase order and change order document PDF. You can see the following:

- The name of the outside processing document style is included in the document title.
- On outside processing lines text is displayed stating, "Attention: This is an outside processing transaction."

Manage an Outside Processing Purchasing Document

Managing an outside processing purchasing document is similar to managing any other type of purchasing document. As a supplier, you can:

- Acknowledge purchase agreements and purchase orders for outside processing items.
- Split purchase order schedules for outside processing items, and request different requested or ship dates.

You can also use the Supplier Portal work area to support consecutive outside processing operations. These are operations where your organization performs an outside processing service, and ships the partially finished item to another supplier for subsequent processing. Use the Create ASN task to enter an advanced shipment notice for an outside processing item. The shipment notice can be processed in Oracle Fusion Receiving.

How You Use the Deliver-to Inventory Organization Time Zone When Fulfilling Supply Chain Demand

You can use the Use the Deliver-to Inventory Organization Time Zone When Fulfilling Supply Chain Demand feature to use the time zone specified on the inventory organization definition for deriving the local time zone for delivery and shipping locations.

With this feature, Oracle Order Management back-to-back sales orders, Oracle Supply Planning, and Oracle Manufacturing can communicate the requested delivery or shipping dates to Procurement in the time zone of the deliver-to and ship-to organizations. This ensures that the requested dates on purchase requisitions aren't past dates as per the time zone specified in the deliver-to organization in the upstream applications.

Here are some of the considerations for using the feature:

- In the requisition import program (FBDI or Purchase Request Web Service), the requested delivery date and requested ship date are validated according to the local time zone of the destination inventory organization.
- The requested delivery date also defaults for requisitions created using the requisition import program or manually entered in UIs. The default date is the current date in the destination inventory organization time zone plus the number of days in the offset profile: POR: Requested Delivery Date Offset.
- For requisitions for one-time locations, the requested delivery date is according to the time zone of the default deliver-to organization in the Requisitioning BU.
- You can't use this feature for purchase requests for drop ship sales orders. For drop ship sales orders, the requested delivery and ship dates are currently validated according to the time zone of the legal entity of the inventory organization. If the legal entity time zone isn't enabled, the date validation is based on the UTC.

- For internal material transfers, the requested delivery date of the requisition line is converted from the inventory organization's local time zone to the UTC zone for transfer order creation.

How You Apply Ship-to Organization and Ship-to Location Specific Pricing When Available

You can use the Apply Ship-to Organization and Ship-to Location Specific Pricing When Available feature to configure pricing such that requisition and purchase order lines are always priced from ship-to organization or ship-to location specific price breaks whenever available.

When multiple applicable price breaks exist for a purchase, the following hierarchy is applied to select the price break from which the unit price will be taken:

1. Price break with matching ship-to organization and ship-to location that results in the lowest unit price.
2. Price break with matching ship-to organization and blank ship-to location that results in the lowest unit price.
3. Price break with blank ship-to organization and blank ship-to location that results in the lowest unit price.

When you configure pricing such that requisition and purchase order lines are always priced from ship-to organization or ship-to location specific price breaks, it could result in selecting a higher price.

Let's see how this works with an example.

Suppose this is the list of multiple price breaks defined for a blanket agreement line.

Price Break	Ship-to Organization	Ship-to Location	Quantity	Price
1	Blank	Blank	100	\$10
2	Blank	Blank	200	\$8
3	V1	Blank	200	\$12
4	V1	Seattle	200	\$14

Here's the unit price that would be derived from these price breaks for different purchases based on the ordered quantity, ship-to organization, and ship-to location before and after using the feature.

Ship-to Organization	Ship-to Location	Ordered Quantity	Unit Price without Using the Feature	Unit Price with Using the Feature
V2	New York	150	\$10	\$10 (No impact because ship-to organization and ship-to location values are blank.)
V2	New York	250	\$8	\$8 (No impact because ship-to organization and ship-to location are blank.)
V1	New York	250	\$8	\$12 (Price Break 3 is selected because it's specific for the V1 ship-to organization.)

Ship-to Organization	Ship-to Location	Ordered Quantity	Unit Price without Using the Feature	Unit Price with Using the Feature
V1	Seattle	250	\$8	\$14 (Price Break 4 is selected because it's specific for the V1 ship-to organization and Seattle location.)

Note: When multiple price breaks apply to a purchase based on the ordered quantity, ship-to organization, ship-to location, the application will select the one resulting in the lowest price, even if another price break with the quantity closer to the ordered quantity exists.

FAQs for Create Purchase Order Online

Where do the purchase order defaults come from?

Some document fields are filled in automatically when you first create a purchase order. A comprehensive defaulting mechanism provides most required purchase order information and minimizes document creation time. In most cases, but not all, you can change the defaulted information.

Related Topics

- [How Purchasing Document Header Defaults Work](#)
- [How Purchasing Document Line Defaults Work](#)
- [How Purchase Order Schedule Defaults Work](#)
- [How Purchase Order Distribution Defaults Work](#)

What's a document layout?

The document layout determines the appearance of the document when viewed or communicated to the supplier.

For purchasing documents other than requisitions, you can select the appropriate layout for a document type. These layout templates determine what information is displayed along with providing the headers, footers, text style, and pagination of the printed document. You also select a contract terms layout if procurement contracts is deployed.

Standard layouts are provided with the application but you can create your own layouts. You usually define these during application implementation.

Related Topics

- [What's a document style?](#)
- [Document Style Options](#)

How can I disable automatic communication of purchase order changes to suppliers?

You can disable the Communicate purchase order changes setting on the Configure Procurement Business Function to prevent the communication of change orders to suppliers.

When you disable the setting, change orders will be created with the Communication Method set to None and Acknowledgment Required set to None. However, you can manually update these values on individual change orders to enable supplier communication if needed.

Note: The Communicate purchase order changes setting on the Configure Procurement Business Function is enabled by default. To prevent the communication of change orders to suppliers, you must disable the setting.

How can I add line items from existing blanket purchase agreements to my order?

You can add lines to an order from existing blanket purchase agreements using the **Add from Catalog** action.

How are master item purchases classified with the most current purchasing category association?

Master item purchases are classified based on the most current purchasing category association on the item definition.

Master item purchases sourced from an agreement line are classified based on the most current purchasing category association on the item definition and not the purchasing category on the source agreement line, which might be from an older purchasing category association on the item definition.

Note: Automatic document sourcing of purchasing agreements for master items on purchase orders doesn't consider purchasing category as a matching criterion.

What's a consignment order?

A consignment order is created when you use the terms and conditions of a consignment agreement and specify the delivery details, quantities, locations and dates for the consigned goods to be delivered.

Related Topics

- [How can I create a purchase order for consignment inventory items?](#)

How can I create a purchase order for consignment inventory items?

You begin by creating a purchase order with a document style for a consignment order.

- Choose your consignment supplier and add the consignment items for this order.
- Verify that the items were sourced by a consignment agreement and that Consignment Line is checked on the line.
- Submit the order for approval.

What's a financial route?

The route in which financial transactions belonging to a financial orchestration flow are settled. This can be different from the physical route and involve one or more intermediary nodes forming part of the route.

The intermediary nodes are internal organizations that are not part of the physical supply chain transaction but are part of the financial route.

What's a legal entity's role in global procurement?

You model your legal entities in Oracle Fusion Applications. If you make purchases from or sell to other legal entities, you must define these other legal entities. You then use legal entity relationships to determine which transactions are intercompany and require intercompany accounting.

Related Topics

- [Model Legal Entities](#)

Complex Work Procurement

Overview of Complex Work Procurement

Complex Work Procurement is an end-to-end integrated solution across the Oracle Fusion Cloud Procurement, Oracle Fusion Cloud Financials, and Oracle Fusion Cloud Supply Chain Management applications. This solution is designed to model procurement of complex contracts in industries such as construction, consulting, and professional services.

Complex work contracts tend to have high dollar values and long lead times, and are governed by complex payment terms. You can use Complex Work Procurement to manage various aspects of the acquisition processes involved in procuring complex work.

How You Create Purchase Orders with Retainage Terms

Retainage is the amount withheld from payment to ensure that the contractor finishes work as agreed. Your organization will release the retainage amount only after verifying that the contractor has fulfilled all contractual obligations.

You can create purchase orders with retainage terms by specifying retainage rates and maximum retainage amounts on the purchase order lines. If needed, you can specify different retainage rates by schedule for the same purchase order line. Invoices matched to such purchase orders will automatically withhold an amount as per the specified rate. The maximum retainage amount sets the limit up to which you can withhold retainage from matched invoices.

Retainage Rate: It's the percentage of the invoice amount that will be withheld before releasing payments to the contractor. This attribute appears on the PO Line if the document style enables the use of the retainage.

Maximum Retainage Amount: It's the maximum amount of retainage that can be withheld on a purchase order line. This attribute appears on the PO line if the document style enables the use of retainage. Every time retainage is withheld on an invoice, the application checks that the total retained amount from invoices matched to the PO line doesn't exceed this value.

Using the Create Purchase Orders with Retainage Terms feature, you can perform these tasks:

- Create purchase orders with negotiated retainage terms from awarded bids in Oracle Sourcing Cloud.

- Communicate purchase orders with retainage terms via email or electronic messaging.
- Configure Oracle Analytics Publisher templates to include the retainage terms.
- Monitor retainage balances on your purchase orders from the Purchase Order Life cycle and Schedule Life cycle pages.
- Analyze retainage-enabled purchase orders using the OTBI Purchasing Real time subject area.
- Create retainage-related contract terms for purchase orders using these contract variables:
 - Retainage Rate system variable: It represents the common retainage rate across purchase orders schedules.
 - Multiple Retainage Rates system variable: It indicates that multiple values exist for retainage rate across purchase order schedules.
 - Maximum Retainage Amount system variable: It represents the maximum retainage amount for single-line purchase orders.

Related Topics

- [Negotiate Retainage for Services](#)
- [Configure Retainage](#)
- [Considerations for Configuring Retainage](#)

Considerations for Creating Purchase Orders with Retainage Terms

Here are some of the considerations for creating purchase orders with retainage terms:

- Retainage rate defaults on schedules from the purchase order lines. However, you can specify different retainage rates by schedule for the same purchase order line.
- You can import purchase orders with retainage terms using the purchase order file-based data import template, or Draft Purchase Orders REST API.

How You Create Purchase Orders for Complex Services with Progress Payment Schedules

You can define progress payment schedules for fixed-price services, which are of high value and have long lead times. Using progress payment schedules, you can allocate estimated costs to various portions of work in a complex contract.

You can use purchase order schedules to model the payment schedules for your complex contracts. The payment schedules could be either for a lump sum amount or rate-based.

- **Lump Sum:** Specify the purchase order schedule type as a lump sum if payment needs to be released based on the stage of work completion. For this schedule type, specify the work description and the associated cost.
- **Rate:** Specify the purchase schedule type as a rate if payment needs to be released based on the units of work completed. For this schedule type, specify the work description, unit price, quantity and unit of measure.

You can use the Complex Work Style document style for creating purchase orders for procurement of complex services. Orders created using this document style are enabled for both progress payments and retainage. When you create purchase orders from a backing requisition or negotiation outcome by selecting a document style enabled for progress payments, the resulting order will have one default lump sum schedule with the entire contract sum allocated. You can create additional progress payment schedules by splitting an existing schedule online or using REST services. To create progress payment schedules in bulk, use the Oracle Visual Builder Add-in for Excel with REST services.

When creating a change order, you can modify these new progress payment schedule attributes: Type, Description, and Price. You can modify the schedule's Type and Description until a receipt or invoice is created. If you modify any of these attributes using the seeded change order template, the application will create an external change order.

To create purchase orders for procurement of complex services, you can either use the seeded Complex Work Style document style or create a new document style and set the Progress Payments Enables to Yes.

Considerations for Creating Purchase Orders for Complex Services with Progress Payment Schedules

You can define progress payment schedules for fixed-price services, which are of high value and have long lead times. Using progress payment schedules, you can allocate estimated costs to various portions of work in a complex contract.

Here are some of the considerations for creating purchase orders for complex services with progress payment schedules:

- You can create purchase orders with progress payment schedules online or using REST services, but not using the file-based import (FBDI).
- Progress payment schedules are only supported if the purchase basis of the line type is AMOUNT.
- You can't enable progress payment schedules for document styles that have blanket purchase agreements enabled or have these seeded document styles: Standard Style, Consignment Purchases Style, Configure to Order Style, and Outside Processing Style.
- You can acknowledge complex purchase orders only at the document level.
- To view the amount retained from each schedule and the retainage amount released, use the View > Columns menu on the Schedules tab of the View Purchase Orders page and expose the Retainage and Retainage Released columns.
- When canceling the schedules, you can't reinstate the unfulfilled requisition demand for the individual progress payment schedules. However, you can reinstate the demand for the purchase order and lines in these cases:
 - When the purchase order isn't subject to budgetary control
 - When the purchase order document currency matches with the primary ledger currency of the requisitioning business unit
- You can use the progress payment schedule description as a source to create new journal line rules for creating encumbrance journal entries for purchase orders.
- Progress payment schedules also trigger intercompany transactions if financial orchestration flow applies for the procurement transaction.
- If you have to receive the progress payment schedules, you can use the My Receipts UI. When you set the progress payment schedules to accrue at receipt, Receipt Accounting books accrual for the received amount when receipts are recorded. However, when you set it to accrue at period end, Receipt Accounting books an accrual for uninvoiced receipts as part of the period end accrual process.
- When you match invoices with progress payment schedules, an amount is automatically withheld if a retainage rate is specified on the schedule and the payment due to the supplier is reduced by the retained amount. The invoice matching window and invoice lines table show the description from the purchase order schedules.

How You Create Work Confirmations for Purchase Orders with Progress Payments Schedule

You can use the Work Confirmations for Purchase Orders with Progress Payments Schedule feature to create work confirmations for complex work purchase orders as a supplier and seek approval for the completed work against the progress payment schedule items.

As a supplier user, you can report on work completion for your complex work purchase orders. You can also specify the value of work performed in the current period either in terms of the currency amount, units completed or percentage completed. Buyers and requesters can also create work confirmation on behalf of their Suppliers.

You can use the feature to perform these activities:

- For projects with many progress payment schedules, you can use the Oracle Visual Builder Add-in for Excel with the Purchase Order Schedules REST API to quickly download the schedules onto a spreadsheet and easily specify the value of work done against those schedules. After you've entered all values for a period, use the Confirm Work action to upload progress against the progress payment schedules to the work confirmation being drafted.
- Review the contract summary section when viewing or authoring the work confirmation to quickly assess its impact on the overall contract completion status. The contract summary section provides a view of the contract sum, alongside the total value of the completed work, the total value of work confirmed previously, the amount requested for confirmation in the current period, and the projected retainage amount.
- Review and track status of the submitted work confirmations by searching for work confirmations using attributes such as purchase order description and purchase order number.
- Configure approval routing for work confirmations by authoring rules based on various transaction attributes. The notification to approvers includes a PDF version of the work confirmation listing all schedules against which progress was reported. You can modify the work confirmation approval notification and PDF content using the work confirmation data model.
- Automatically create a receipt transaction against the purchase order after approval for work confirmation. The receipt facilitates a 3-way match when an invoice is created. For supplier sites enabled for Pay on Receipt, the receipt is used to trigger the creation of an automated self-billed invoice.
- View work confirmations summary in the order life cycle for progress payment schedules on the Purchase Order Life Cycle and Schedule Life Cycle pages. You can view details such as receipt generated from an approved work confirmation, work performed in the current period, work approved in earlier periods, total work completed, and remaining balances for the progress payment schedules. These details are also available on the View Order page.

Considerations for Creating Work Confirmations for Purchase Orders with Progress Payment Schedule

Here are some of the considerations for creating working confirmations for purchase orders with progress payment schedules:

- You can create work confirmations either online or using the REST resources.
- You can bypass approval for work confirmation requests using the Work Confirmations REST API only. You must have the required security privileges to bypass approval.
- You can enable work confirmation only on document styles that have progress payments enabled and if there are no receipts created for the purchase orders of that style.
- You can create work confirmations for progress payment schedules that don't have a pending cancellation request and aren't in these statuses: Canceled, Closed, Closed for Receiving, and Finally Closed.

- You can delete a work confirmation or its lines only when the work confirmation is in the incomplete status.
- You can't update or cancel an approved work confirmation request.
- You can't submit another work confirmation request against a progress payment schedule if the previously submitted work confirmation is in the pending approval status.
- You can't receive the complex work purchase orders using the My Receipts UI if the document style has work confirmation enabled.
- To manage work confirmation requests on behalf of other agents, you must be an active procurement agent with FULL access to other procurement agents' purchase orders.
- You can't cancel a progress payment schedule if there are one or more work confirmation requests against the schedule in the approved or pending approval status. Instead, you can reduce the progress payment schedule's amount and quantity to match the total amount and quantity requested through work confirmations.
- You can't update the type and description of a progress payment schedule if there are work confirmation requests against the schedule in the approved or pending approval status.
- You can't update the price of a rate-based schedule that has approved work confirmations or pending approval work confirmation requests.
- If the progress payment schedules are set to accrue-at receipt, Receipt Accounting will book the accrual for the work confirmation amount when the receipt is recorded. Otherwise, Receipt Accounting will book the accrual for uninvoiced receipts as part of the period end accrual process.

Import Purchase Orders

How You Import Purchasing Documents

As a buyer, you can import purchasing documents from external applications into Oracle Purchasing.

How You Import Purchasing Documents

Run the purchasing document import tasks from the Purchase Agreements or Purchase Orders work areas to import purchasing documents. Use the following purchasing tasks to import purchasing documents:

- Import Orders
- Import Blanket Agreements
- Import Contract Agreements

Run the import process to import purchase orders, blanket agreements, or contract agreements into the application for further processing.

You can query, modify and validate successfully imported documents. During import, records that have insufficient or invalid data are rejected. You can use an automatically produced report to review the documents that couldn't be imported. You can resubmit the import task after making corrections to rejected documents.

How You Import Extended Item Attributes and Translations into Blanket Agreements

You can import rich catalog content data such as thumbnail images, image URLs, item availability and lead time information, and other extended item attributes into blanket agreements using file-based data import. You can also import extended item attribute translations such as item description, item manufacturer, comments and so on.

Use the PO_ATTR_VALUES_INTERFACE and PO_ATTR_VALUES_TLP_INTERFACE sheets to specify these attributes in your import file. You can get complete details on the data supported by the import templates in the Oracle Fusion Cloud Procurement: File-Based Data Import (FBDI) for Procurement guide on the Oracle Help Center.

Before You Start

Only a buyer can run the import process. Before you can run the import process, you must first have loaded the relevant information into the appropriate interface tables.

Note: You can load data to interface tables using predefined templates and the Load Interface File for Import scheduled process. Both are part of the External Data Integration Services for Oracle Cloud. For other implementations, optionally use this feature only if you have SFTP configured for it.

For more information refer to the Oracle Fusion Cloud Procurement: File-Based Data Import (FBDI) for Procurement guide on the Oracle Help Center.

Limitations

File-based data import doesn't support the creation or update of purchasing documents with more than 10,000 distributions. Exceeding 10,000 distributions can cause performance issues and could lead to failures.

Here are some of the examples of 10,000 distributions:

- 1 Purchase order, 1 line, 1 schedule each, 10,000 distributions each
- 1 Purchase order, 1 line, 10,000 schedules each, 1 distribution each
- 1 Purchase order, 10,000 lines, 1 schedule each, 1 distribution each

These fields aren't available on the FBDI template:

- Requires Signature
- Use Ship-to Location
- Schedule Group
- Reprice open orders only
- Initiate process upon agreement approval
- Punchout requests only
- Notification Controls

Purchase Agreement Attributes You Can Update Using FBDI

You can update header attributes for both blanket purchase agreements and contract purchase agreements. In addition, you can update line attributes, price break attributes, item attributes, and item attribute translations for blanket purchase agreements.

Updates to purchase orders via FBDI aren't supported. We recommend that you use the Purchase Order web service (SOAP) for updates to purchase orders.

BPA/CPA Header Attributes	Business Unit Access Attributes	BPA Line Attributes	BPA Price Break Attributes	BPA Item Attributes	BPA Item Attribute Translations
Buyer	Purchasing Site	Item Description*	Price	Thumbnail Image	Description

BPA/CPA Header Attributes	Business Unit Access Attributes	BPA Line Attributes	BPA Price Break Attributes	BPA Item Attributes	BPA Item Attribute Translations
Description	Order Locally	Item Revision	Discount	Image URL	Manufacturer
Payment Terms	Ship-to Location	Agreement Amount	Start Date	Manufacturer Part Number	Comments
Agreement Amount	Bill-to BU	Allow Price Override	End Date	Rounding Factor	Alias
Amount Limit	Bill-to Location	Not to Exceed Price		Availability	Long Description
Start Date	Enabled	Supplier Item**		Lead Time	
End Date		Negotiated		UNSPSC	
Note to Supplier		Minimum Release Amount		Attachment URL	
Automatically Generate Orders		Expiration Date		Supplier URL	
Automatically Submit for Approval		Supplier Part Auxiliary ID**		Manufacturer URL	
All Descriptive Flexfields		Price		Item Descriptive Flexfields	
Master Contract Number		Amount			
Master Contract Type		Price Break Type***			
Use ship-to location					
Use customer sales order					
Use need-by date					
Use ship-to organization and location					
Allow ordering from unassigned sites					
Apply price updates to existing orders					
Communicate price updates					

BPA/CPA Header Attributes	Business Unit Access Attributes	BPA Line Attributes	BPA Price Break Attributes	BPA Item Attributes	BPA Item Attribute Translations
Initiate retroactive price upon agreement approval					
Reprice open orders only					

* You can only update this attribute if Allow Description Update is set to **x**.

** You can only update this attribute if a line number is provided. If you don't provide a line number, a new line is created instead of updating an existing line.

*** This attribute applies to the **Edit Change Order** and **Edit Line** details page. Set this attribute to **Noncumulative** and read only if the **Start Date** or **End Date** is populated for any of the price breaks. Also, this field is read only if any order references a blank purchase agreement line.

Run Import Process

To run the process to import purchase orders, blanket agreements, or contract agreements into the application, follow these steps:

1. From the Purchase Agreements or Purchase Orders work area, open the appropriate task you want to use:
 - o Import Orders
 - o Import Blanket Agreements
 - o Import Contract Agreements
2. Depending on the purchase document import task you're using, you can set one or more selection parameters before running the process. The following table lists some of the possible selection parameters and their descriptions.

Parameter	Description
Procurement BU	Specify the name of the Procurement business unit that these documents should be imported into.
Default Buyer	Specify the name of the buyer to be used when one isn't included in the import data.
Create or Update Item	Select "Yes" to create an item that doesn't exist or update an existing item.
Approval Action	Select one of the following actions: - o Do Not Approve: Imports the document in Incomplete status requiring manual interaction. - o Submit for Approval: Imports the document and submits it to the approval process after the document is imported. - o Bypass Approval: Imports the document in Open (approved) status without going through the approval process.

Parameter	Description
Batch ID	Enter the value for your import data from the file-based data import template, to select the interface table data to be processed in the current run. For example: Batch ID = 123. Use it in conjunction with Import Source to identify the documents to be loaded to the application tables.
Import Source	Enter the value for your import data from the file-based data import template, to select the interface table data to be processed in the current run. For example: Import Source = External Contracts. Use it in conjunction with Batch ID to identify the documents to be loaded to the application tables.
Default Requisitioning BU	Specify the name of the Requisitioning business unit to be used when one isn't included in the import data.
Communicate Orders, or Communicate Agreements	Select Yes to have imported purchasing documents communicated to the supplier. Select No to not have imported purchasing documents communicated to the supplier.

3. When the processes are complete, view the output report in PDF format. The report details the status of the records that were imported. If a record couldn't be imported, then the Status is set to Rejected with a reason for the rejection.
4. Fix the problems that are identified in the report and then resubmit the import task.

How You View the Import Process Results

The results for each import process are compiled in a PDF output report which you can view online or print. The validation error details are accessible from the Purchasing Document Import Errors report. To see the report click the Output icon in the Scheduled Processes region of the import page.

Related Topics

- [Examples of Purchase Order Line Types](#)

What status options are available to purge purchasing document interface records?

You can purge purchasing document interface records in any status, including those that haven't yet been processed. When selecting the data to purge, you can choose from these options:

- Accepted and Rejected: Purge records that have been processed and either accepted or rejected.
- Accepted: Purge records that have been processed and accepted.
- Rejected: Purge records that have been processed and rejected.
- Stuck In Process: Purge records that remain marked as "in process" after the import program ends abnormally.
- Unprocessed: Purge records that haven't yet been processed.
- All: Purge all records.

Compliance Checklist

Create a Compliance Checklist

Create compliance checklists to collect and track the completion of compliance documentation required for audit purposes.

You can reference compliance checklists on purchasing documents and their associated change documents. You can configure purchasing document approval rules based on checklist existence and checklist status.

Compliance checklists facilitate and streamline the collection of required documentation to ensure compliance with procurement rules and regulations. Incorporating checklists in your procurement process by linking them to purchasing transactions reduces business risk while improving audit controls.

Checklists are created from user-defined templates to drive the consistency needed for the compliance standards.

A checklist includes an optional prerequisite section and one or more checklist sections. Questions in the prerequisite section may be frequently referenced in the checklist sections, which enables you to present related questions and requirements throughout the checklist, resulting in a dynamic template. After you respond to the prerequisite questions, the checklist is generated.

Your response to a checklist question can guide which follow-up questions are displayed in the checklist. If a checklist question is mapped to a prerequisite question, the checklist question response is automatically set based on your response to the prerequisite question.

While the checklist is in progress, the validate action can be used to see if any required responses or documents are missing. The checklist is automatically validated when you complete it.

A checklist with a prerequisite section is created with the status of draft. After the prerequisite section is completed and you continue to the checklist sections, the checklist status is set to in progress. The checklist can be marked completed after all the required questions are answered, and the required documents are uploaded.

After its completed, the checklist can no longer be modified unless it's reopened, at which point the checklist status is set back to in progress. You can also view a PDF version of the checklist anytime. It contains all checklist questions, their responses, and a list of the attached documents.

You can manage the compliance checklists from the Purchase Orders or Purchase Agreements work area.

Consider these when you are working with compliance checklists:

- You can't submit a purchasing document for approval if the checklist associated with the document was canceled.
- You can only associate checklists to a purchasing document using the UI and FBDI.
- Up to 7 levels of checklist question branching is supported.
- Only an up-to-date template can be used to create a checklist. If any update to a question creates a new question revision, uptake the new question revision in any questions referencing the outdated question. Similarly, for any sections that include the outdated question. If a section has a new revision, any templates containing the outdated section should also uptake the new section revision.
- The attachments listed in the checklist PDF need to be individually downloaded from the checklist.
- The Checklist Title and Checklist Number attributes are available in the purchase order notification data model in Oracle Analytics Publisher.

Do these tasks to work with checklists:

1. Enable access to manage checklists for procurement agents:
 - a. 1. In the Setup and Maintenance work area, use the **Manage Procurement Agents** task:
 - Offering: Procurement
 - Functional Area: Procurement Foundation
 - b. Select the Allowed check box for Manage Compliance Checklists action.
2. Create a checklist:
 - a. In the **New compliance checklist** dialog, select and provide the required details and then click **Create**.
 - b. Save the checklist.
3. Manage search capabilities: To manage search capabilities for compliance checklists, submit the ESS job to create index definition and perform initial ingest to OSCI scheduled job. Use these index names when submitting the process: Compliance checklists: fa-prc-compliancechecklists
4. You can perform these optional steps for checklists.
 - o Configure the numbering sequence of compliance checklists for a procurement business unit.
 - i. In the Setup and Maintenance work area, use the **Manage Procurement Document Numbering task**:
 - o Offering: Procurement
 - o Functional Area: Procurement Foundation
 - ii. Create a numbering sequence for a procurement business unit.
 - o Configure approval rules using checklist attributes.
 - i. In the Setup and Maintenance work area, use the Manage Purchasing Document Approvals task:
 - o Offering: Procurement
 - o Functional Area: Approval Management
 - ii. Create an approval rule using checklist attributes. For example, you can auto-reject the purchasing documents if checklist status is in progress.

How You Associate a Checklist with Purchasing Documents

To associate a checklist with purchasing documents, use the Create Compliance Checklists for Purchasing Documents feature.

The checklist is prepared to track compliance requirements for a specific procurement transaction. This could be a purchase order, purchase agreement, or change order that may result in a new document revision. You can:

- Create and make progress on the checklist even before the intended procurement document is created.
- Associate the checklist with its intended document before the document is submitted for approval.
- Configure purchasing approval rules to ensure documents have an associated checklist with the appropriate status as necessary.

You can drill down to a checklist from a purchase order or purchase agreement. Each checklist is unique for a purchasing document. You can access the checklists associated with a purchasing document and its associated change documents from the Revision History and Change History pages.

Consider these when you are working with compliance checklists:

- You can only associate checklists to a purchasing document using the UI and FBDI.

- The Checklist Title and Checklist Number attributes are available in the purchase order notification data model in Oracle Analytics Publisher.

Approve Purchase Order

How You Approve Purchasing Documents

Document approval electronically routes the purchasing document to all identified approvers and records their approval actions.

Oracle Purchasing leverages the Oracle Approval Management Service for purchasing document approvals. Approval Management Service is a robust engine that enables administrators to organize and author approval routing rules based on numerous seeded document attributes such as ordered amount, price, category, and contract terms exist. Based on your unique business requirements, administrators can choose to send the approval request to approvers in parallel or in a sequence. Approvals can be sought using supervisory chain, position or job level hierarchy, or using a list of approvers.

This table lists several approval routing rules examples. For each example an approval rule condition and corresponding action are provided.

Condition	Action
Purchase order amount exceeds a certain threshold	Route to procurement agent's manager
Purchase order amount is greater than backing requisition amount	Route to requester's manager
Line price change percent on a blanket agreement exceeds the Price Update Tolerance Percent	Route for category manager approval
Non-standard contract terms	Route for legal approval
Line category name is "Travel"	Route for travel approval

Configure Bypass Approval Processing for Automatically Generated Purchase Orders

As a procurement application administrator, you can configure a procurement business unit to support bypass of approvals for automated requisition to purchase order creation flows.

When configured, the application bypasses approval processing of purchase orders that are generated and submitted automatically to fulfill requisitions for previously negotiated goods and services.

Follow these steps to configure the procurement business function for a business unit, to support bypass of approvals for automated requisition to purchase order flows.

1. In the Setup and Maintenance work area, access the **Configure Procurement Business Function** task in the **Procurement Foundation** functional area.
2. Specify the procurement business unit.
3. On the Configure Procurement Business Function page, in the Purchasing section, select the **Bypass approvals for automatically submitted orders** check box.
4. Click **Save**.

This configuration eliminates redundant approval processing for approved requisitions from negotiated sources. Requisition lines being fulfilled by a purchase order must have the **Negotiated** option selected. Approval processing is bypassed for the following flows where a purchase order is automatically generated and submitted from:

- A requisition line from an external application, using the Purchase Request web service.
- A requisition line imported using file-based data import.
- A requisition referencing a blanket purchase agreement where the agreement controls **Automatically generate orders**, and **Automatically submit for approval** are selected.
- A requisition referencing a contract agreement where the agreement controls **Automatically generate orders**, and **Automatically submit for approval** are selected.
- A requisition line from a punchout catalog, having the **All Prices are Negotiated** option selected.
- A requisition line from a Smart Form with the **Negotiated** option selected.
- A requisition line for a noncatalog item having the **Negotiated** option selected.

Emergency requisition lines and requisition lines charged to procurement cards can also be automatically processed into Purchase Orders. If such lines aren't marked as **Negotiated**, they're still subject to approvals processing.

The ability to bypass approvals doesn't apply to purchase orders generated from sourcing awards even if they're automatically submitted for approval.

The **Submit and Bypass Approval** action is recorded on the Document History page, along with the value for the buyer name.

How You Bypass Approvals for Automatically Submitted Purchase Orders

As a buyer, you can manage automatically generated purchase orders that have bypassed approval processing.

Your administrator can configure the application to support bypass approvals processing for purchase orders that are generated and submitted automatically. The configuration affects purchase orders generated to fulfill requisitions for previously negotiated goods and services. The administrator configures the feature for a procurement business unit, using the Configure Procurement Business Function task in the Setup and Maintenance work area.

When the feature is enabled, the application eliminates redundant approval processing for approved requisitions from negotiated sources. Requisition lines fulfilled by automatically generated purchase orders must have the **Negotiated** option selected. In this context, negotiated means the price, terms and conditions for the ordered items or services have already been negotiated with the supplier.

To be subject to bypass approval processing, a purchase order must be both created and submitted automatically. When the purchase order bypasses approvals, document history records the action and the person who performs the action. You can view the submit and bypass approval action on the order's Document History page. You can view and manage the open purchase order using the Manage Orders task in the Purchase Orders or Purchase Agreements work areas.

Related Topics

- [Configure Bypass Approval Processing for Automatically Generated Purchase Orders](#)

How You Approve a Funds Override for a Requisition or Purchase Order

As a procurement user who's a funds override approver, you're sent notifications to approve requests for insufficient funds override. Depending on your organization's approval policies, you may receive notifications for purchase requisitions or purchase orders.

Key factors affecting how you receive and act on funds override approval notifications are:

- How you're selected to approve a funds override request.
- How you check for a notification to approve a funds override.
- How you take action to approve or reject a funds override.

How You're Selected to Act on a Request

A requester or buyer can submit for approval a transaction that's subject to budgetary control, and has failed funds check due to insufficient funds. While doing so, they submit a request for an insufficient funds override.

A transaction requiring insufficient funds override approval is automatically routed to you when:

- Funds override is enabled for the control budget for the transaction.
- The override limit for the control budget hasn't been exhausted.
- You are identified as a funds override approver for the control budget.
- The required override amount for each distribution is equal to or less than your funds override approval limit.

How You Check for a Notification

You can see the notification from your Oracle Cloud Applications home page.

1. In the global header area, click the Notifications icon.
2. In the Pending Notifications dialog, you can see the notification title in a list of your notifications.
 - For example, Action Required: Approve Purchase Order 123.
 - You can also see the requester's name on the notification row.

How You Take Action on a Request

If you need no additional information to act on the insufficient funds override request, you can take action directly on the Pending Notification dialog. Click either the Reject or Approve button associated with the notification line.

If you need additional information before you act on the funds override request, click the notification title link. On the approval dialog that opens, you can see information such as:

- A warning message stating, "This document failed funds check. A funds override is requested."
- Instruction text stating, "Enter any reasons for rejection, questions, or approval notes in the comments region."
- A section displaying the notification details, such as: The requester or buyer name, the transaction amount, and the justification for the insufficient funds override request.
- Additional sections with the transaction details, including funds status.

To act on the insufficient funds override request from the approval dialog, you can click either the Approve or Reject button.

Once all approvals for a transaction are secured, including your funds override approval, the funds are reserved for the transaction.

FAQs for Approve Purchase Order

How can I insert additional approvers and viewers?

As a procurement agent or a requester, you can view the application generated list of approvers using the Manage Approvals page. You can add approvers and viewers on this page based on approval configuration.

How can I view the approval actions performed on a document?

Select your purchasing document in the application and use the View Document History action to view all approval actions performed on the document.

How can I route a purchase order for approval to a project manager's reporting hierarchy?

As a procurement application administrator, you can set up an approval rule for a purchase order based on a project manager or their reporting hierarchy. This way, when procuring goods or services for projects, you can enforce approval policy and effectively manage project orders.

Use the project manager attribute to set up an approval rule action to route the approval notification. You can set up the rule to route using a single approver, job level, or supervisory hierarchy. To do this, use the Manage Purchasing Document Approvals task. Find the task in the Setup and Maintenance work area, Procurement offering, Approval Management functional area.

How can I route a purchasing document for approval based on the requester's supervisory hierarchy?

As a procurement application administrator, you can set up an approval rule condition for a purchasing document based on the requester's supervisory hierarchy. This way, when procuring goods or services, you can enforce different approval policies for different organizations.

You can use the name or user name of the top ten supervisors on the requester's supervisory hierarchy. Use this attribute to set up an approval rule condition, where the top-level supervisor's name identifies the organization. To do

this, use the Manage Purchasing Document Approvals task. Find the task in the Setup and Maintenance work area, Procurement offering, Approval Management functional area.

How can I clear purchasing documents that are stuck in the Pending Approval status?

Documents can remain in the Pending Approval status due to incorrect approval configuration or temporary server glitches. When you click the document status, you get a diagnostic message that lists the corrective actions required to resolve the issue.

How can I bypass approvals when importing purchasing documents using file-based data import?

You can submit and bypass approvals when importing blanket purchase agreements, contract agreements and purchase orders using file-based data import. On the import templates, apply the Bypass Approval action in the Approval Action column.

You must have the **Import Purchasing Document Bypassing Approval** privilege. The privilege is not included with any predefined roles. Your administrator can grant the privilege as needed, to individual users such as buyers or other procurement agents.

For more information about the import templates, see the Oracle Fusion Cloud Procurement: File-Based Data Import (FBDI) for Procurement guide on the Oracle Help Center.

How can I bypass approvals when creating purchase orders using the Purchase Order web service?

You can submit and bypass approvals when creating purchase orders using the Purchase Order web service. Use the Approval Action attribute in the service.

You must have the **Import Purchasing Document Bypassing Approval** privilege. The privilege is not included with any predefined roles. Your administrator can grant the privilege to individual users as needed.

For more information about the Purchase Order web service, see the Oracle Fusion Cloud Procurement: SOAP Web Services for Procurement guide on the Oracle Help Center.

Evaluate Purchase Order Approval Status

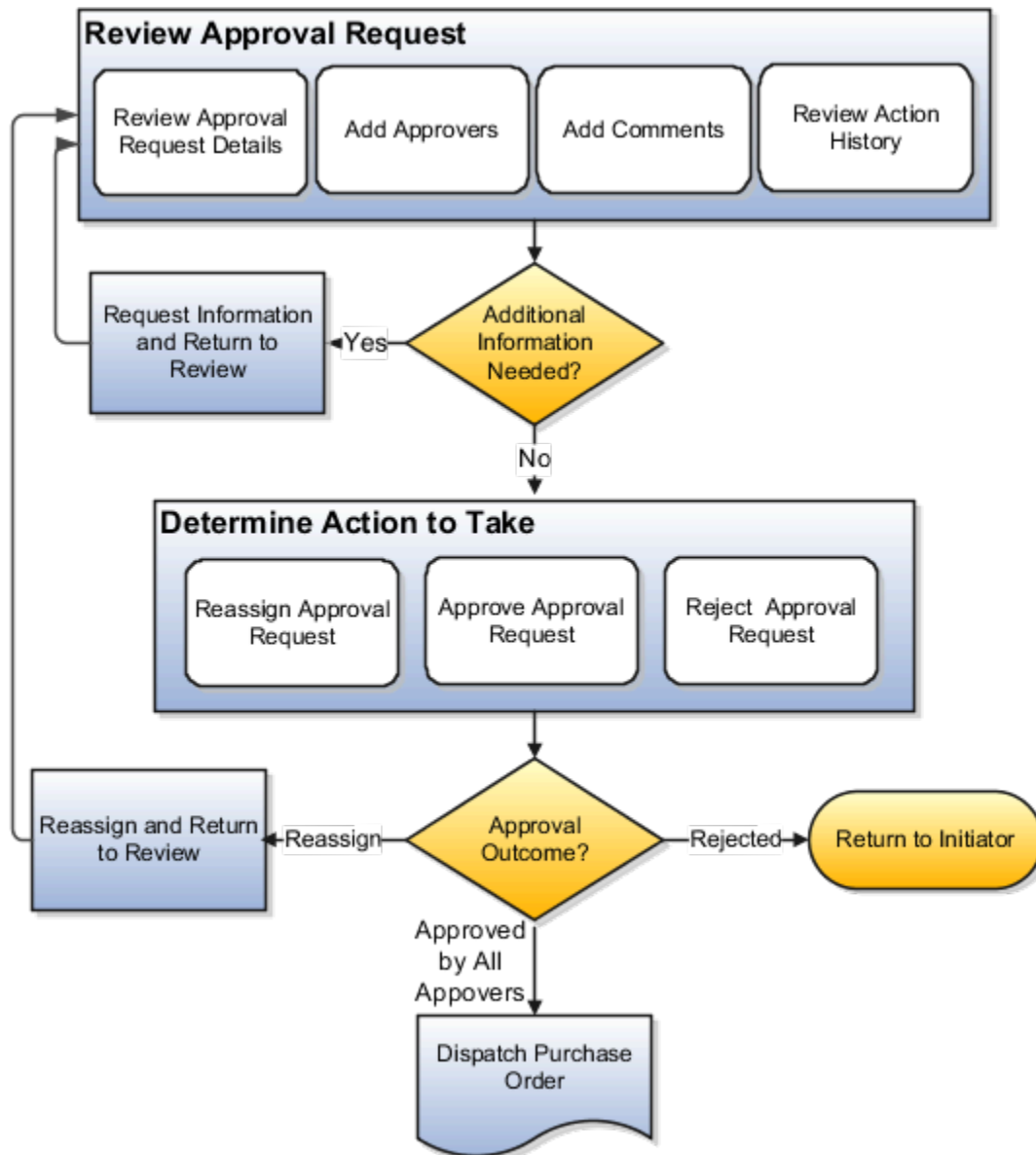
How Purchase Order Approval Is Processed

Document approval electronically routes the purchase order to all identified approvers and records their approval actions. It determines the routing using a rules engine which is configured to accommodate your organization's unique business requirements.

Approvers can then review the document details, add comments, and add attachments before approving, rejecting, or routing the document to additional approvers.

This figure shows a simplified document approval flow you might take as a document approver: Review the approval request details and action history. You can also add approvers and comments, if needed. Request additional information, if needed. Determine the approval action to take. You can approve, reject or reassign the approval

request. Based on your approval action, the approval outcome for the purchase order can be to: Continue through the approval process to other approvers. Return a rejected approval request to the initiator. Return the approval request to review by reassignment to another approver. Once approved by all approvers, the document can be dispatched by communication to the supplier.



Setup for Purchase Order Approval

You perform setup for purchase order approval in the Setup and Maintenance work area, Procurement offering, Approval Management functional area. Use the Manage Purchasing Document Approvals task.

How Purchase Order Approval Is Processed

Using the rules engine, the original purchase order or change order is routed to appropriate approvers for their approval.

Routing rules can be based on multiple document attributes, including:

- Header: Document Type, Creation Method, Contract Attributes, Amount
- Line: Category, Amount
- Schedule: Requested Delivery Date, Ship-to Organization, Destination Type, Amount
- Distribution: Requester, Project, Cost Center, Amount
- Backing Requisition: Requester, Difference from Requisition Amount

The rules engine enables you freedom of choice over how approval takes place:

- Multiple Stages: Category, Terms, Requisitions, Accounts and Projects

Approval stages are used to create rules based on the different sets of document attributes. In addition, stages help you organize the approval rules. For example, all rules pertaining to commercial or legal terms can be authored in the terms stage.

- Voting Regimes

If approvals are sought in parallel these are used to determine if all, only a specified percentage, or only the first of the approvers need to approve. However, only First Responder Wins is currently supported.

- Approval Groups

Set of approvers to whom the approval request needs to be sent. For example, a group of category managers approving all or specific category purchases.

- Participant Types

There are four participant types: Serial, Parallel, Single, and FYI.

This table provides several examples of approval routing rules based on a condition and action.

Condition	Action
Purchase order amount exceeds a certain threshold	Route to procurement agent's manager
Purchase order amount is greater than backing requisition amount	Route to requester's manager
Non-standard contract terms	Route for legal approval
Line's category name is "Travel"	Route for travel approval

Related Topics

- [How can I view the approval actions performed on a document?](#)
- [How You Approve Purchasing Documents](#)

How can I find the approver with whom the document or an active change order is pending for approval?

Select your purchasing document in the application and use the **Status** link to open the Action Details page. This page displays all approvers who performed an action, current approvers, and future approvers.

Acknowledge Purchase Order

How You Manage Purchasing Documents Requiring Supplier Acknowledgment

As a procurement agent, such as a buyer or category manager, you can manage purchasing documents requiring supplier acknowledgment. This includes purchase agreements, purchase orders and their change orders.

Important aspects of managing supplier acknowledgment of purchasing documents include:

- Setup to require supplier acknowledgment.
- Approval and acknowledgment actions.
- Supplier acknowledgment actions.
- Cancellation actions.

How You Setup Purchasing Documents to Require Acknowledgment

You can set up purchasing documents to require supplier acknowledgment and specify the acknowledgment method by which the acknowledgment is required. To do this, use the **Required Acknowledgment** and **Acknowledge Within Days** fields. These acknowledgment control fields are on the view and edit pages for the:

- Supplier site
- Purchase agreement
- Purchase order

In the Suppliers work area, enter values for the acknowledgment control fields on the Edit Site page, Purchasing tab, in the controls section. The application uses the values you enter on the supplier site definition as defaults, when you create purchase orders using the supplier site. The defaults are used in all order creation modes:

- File-based uploads
- Web services
- Automated requisition to purchase order flows
- Manual order entry using the Create Order or Process Requisition tasks

Use the acknowledgment control fields on a purchase agreement or purchase order to manually specify the acknowledgment requirements for the document. In the Purchase Agreement and Purchase Order work areas, set the acknowledgment control fields on the Edit Document pages, on the Terms tab.

Depending on the purchasing document type, the available acknowledgment method options for the **Required Acknowledgment** field are:

- Document
- Document and Schedule (purchase orders only)

- Document and Line (purchase agreements only)
- None

Approval and Acknowledgment Actions

When you submit a purchasing document for approval, the document status changes to Pending Approval. At this point, the document can be:

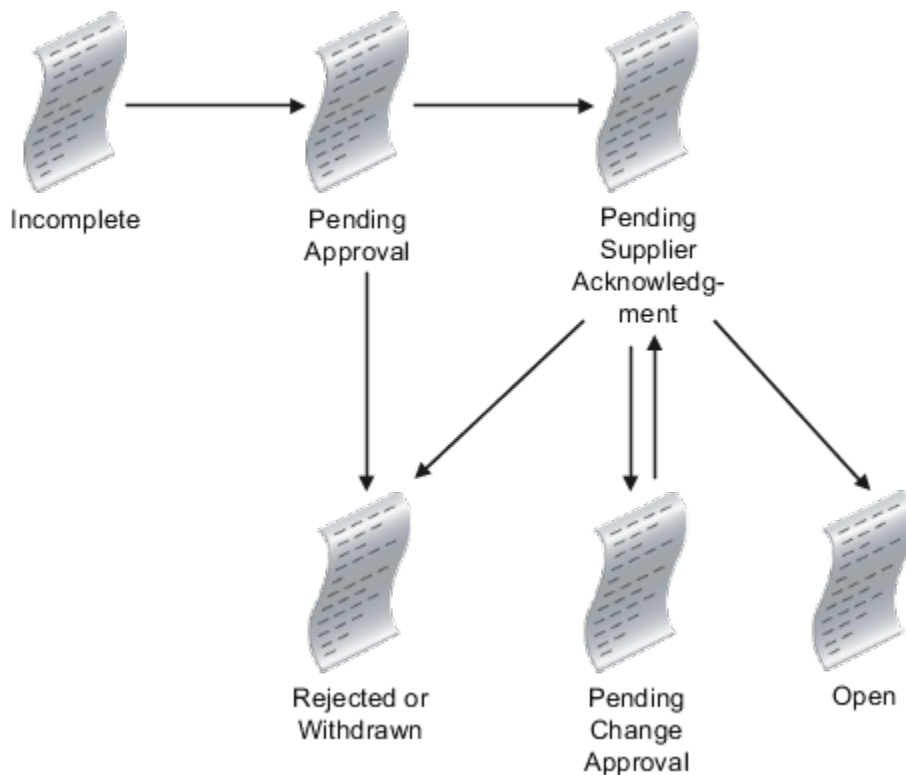
- Rejected by an approver.
- Withdrawn by the buyer or category manager.
- Approved by all approvers and dispatched to the supplier.

If the approved document is set up to require supplier acknowledgment, the application automatically sends a notification to the supplier contact requesting an acknowledgment response. The document status changes from Pending Approval to Pending Supplier Acknowledgment. You can monitor purchasing documents and change orders awaiting acknowledgment using the Purchase Agreements and Purchase Orders work areas. You can use the following methods to see acknowledgment requests past their due date:

- As Watchlist items.
- In the Attention Required infolet on the work area overview pages.

If you withdraw a document currently pending supplier acknowledgment and make edits to it, the application captures the changes in a change order. This allows you, any reviewers and approvers, and the supplier to see the changes made to the initial document.

This figure illustrates the status changes a purchasing document can pass through. The status of a document can flow from Incomplete to Pending Approval, to Pending Supplier Acknowledgment, to Open. At times during this cycle, a document can also be in Rejected, Withdrawn or Pending Change Approval status.



How You Approve Supplier Proposed Changes

If a supplier proposes changes to a purchasing document requiring acknowledgment, you can either:

- Approve the change order. The application merges the change order into the base document and opens the document for fulfillment.
- Reject the changes. The application sets the base document status to Pending Supplier Acknowledgment.

What Happens When You Cancel a Purchasing Document

If you decide to cancel a purchasing document, any change orders associated with the document are also canceled.

Related Topics

- [Considerations for Purchase Order Terms](#)
- [How can I record a supplier acknowledgment for a purchasing document?](#)
- [Supplier Acknowledgment of Purchasing Documents](#)

How can I record a supplier acknowledgment for a purchasing document?

As a supplier, your formal acknowledgment may be required before a purchasing document becomes legally binding and can be implemented.

You can use the Supplier Portal work area to view purchasing documents and change orders awaiting acknowledgment, and record your response. New acknowledgment requests also show up as Worklist items on the portal, and in email notifications. To record an acknowledgment, use the Acknowledge action on the document.

A buyer for the buying organization can use the Purchase Agreements and Purchase Orders work areas to monitor purchasing documents awaiting acknowledgment. Acknowledgment requests past their due date are presented as Watchlist items. Overdue acknowledgment requests also appear in the Requiring Attention infolet on the work area Overview pages. A buyer can record a supplier's offline acknowledgment on the supplier's behalf, using the Acknowledge action on the document.

Related Topics

- [Considerations for Purchase Order Terms](#)
- [How You Manage Purchasing Documents Requiring Supplier Acknowledgment](#)
- [Supplier Acknowledgment of Purchasing Documents](#)
- [Acknowledge Purchase Order Schedules Using a Spreadsheet](#)

Supplier Acknowledgment of Purchasing Documents

As a supplier user, you can acknowledge and respond to purchasing documents using the Supplier Portal work area. This includes purchase agreements and purchase orders, and their change orders.

Important aspects of acknowledging and responding to purchasing documents include:

- Finding purchasing documents requiring acknowledgment.
- Acknowledging purchase agreements and their change orders.
- Acknowledging purchase orders and their change orders.

Find Purchasing Documents Requiring Acknowledgment

When a purchasing document requires your acknowledgment, you receive the following types of notifications:

- Watchlist, which you can view in the Supplier Portal work area.
- Email, which you can view in your email account.

You can use the Manage Agreements or Manage Orders tasks to search for purchasing documents having the status Pending Supplier Acknowledgment.

Acknowledge Purchase Agreements

When a purchase agreement or its change order is submitted for acknowledgment, you can respond using the Supplier Portal work area. Use the Acknowledge Document page to perform these acknowledgment actions:

- Accept the agreement. The application moves the agreement to **Open** status, ready for implementation.
- Partially accept an agreement requiring acknowledgment at the document and line level. You can accept some lines, reject the remaining lines, and accept the document at the header level. The application puts the document in **Open** status, ready for implementation with the accepted lines. Rejected lines are canceled.
- Reject the agreement. The application moves the purchase agreement to **Rejected** status.

Acknowledge Purchase Orders

When a purchase order or its change order is submitted for acknowledgment, you can respond using the Supplier Portal work area. Use the Acknowledge Document page to perform these acknowledgment actions:

- Accept the order. The application moves the order to **Open** status, ready for implementation.
- Partially accept an order requiring acknowledgment at the document and schedule level. You can accept some schedules, reject the remaining schedules, and accept the document at the header level. The application puts the document in **Open** status, ready for implementation with the accepted schedules. Rejected schedules are canceled.

Note: The order line is automatically canceled if it's rejected during supplier acknowledgement.

- Reject the order. The application moves the order to **Rejected** status.

During acknowledgment you can also propose changes to the order. You can do this only for orders and their change orders pending acknowledgment at the document and schedule level. To do this, use the **Edit** button to submit a change order. The types of changes you can propose are the same as for any change order. For example, you can propose changes to the price, quantity, delivery dates, and to split schedules.

Once you submit a change order, the status of the base document changes to **Pending Change Approval**. The change order is subject to the review and approval of the buying organization. The buyer can either:

- Approve the changes. This merges the change order into the base document and opens the base document for implementation.
- Reject the changes. This sets the status of the base document to **Pending Supplier Acknowledgment**.

You can repeat the process until the document is accepted and approved by both parties.

If you change your mind, you can withdraw the change order. The change order is canceled. The base document remains in **Pending Supplier Acknowledgment** status. You can still take an acknowledgment action to accept or reject the base document.

For larger numbers of acknowledgment actions, you can also use the **Acknowledge Schedules from Spreadsheet** task. Use the task to download all order schedules pending acknowledgment to a spreadsheet. Use the spreadsheet to indicate your acknowledgment response (accept, reject or propose a change) and upload your response to the application.

If your organization has implemented the Purchase Order web service, you can also use it to propose changes during acknowledgment. You can do this only for those purchase orders and their change orders requiring acknowledgment at the document and schedule level.

Related Topics

- [How can I record a supplier acknowledgment for a purchasing document?](#)
- [Acknowledge Purchase Order Schedules Using a Spreadsheet](#)

How You Allow Delivery on Purchase Orders That Are Pending Supplier Acknowledgment

You can use the Allow Delivery on Purchase Orders That Are Pending Supplier Acknowledgment feature to set orders that require acknowledgment to the Open status after approvals and signature to process advance shipments notices, receipts, and invoices immediately.

Your suppliers can acknowledge the latest revision in the Supplier Portal or send acknowledgment electronically.

Here are some of the considerations before using the feature:

- This feature applies to purchase orders only.
- After you opt in to the feature, your suppliers need to acknowledge any existing purchase orders or change orders in the Pending Supplier Acknowledgment status before the orders become implemented.
- The Required Acknowledgment field, after opt in, has only Yes and No values. This is the change for the already implemented orders:
 - Yes: for Required Acknowledgment set to Document or Document and Schedule.
 - No: for Required Acknowledgment set to None.
- Your suppliers can acknowledge and record the Supplier Order and Acknowledgment note for the latest revision if no formal acknowledgment has already been recorded. This note can be found in the document history of the latest revision.
 - To make schedule-level changes or rejections, your suppliers can create a change order to change or cancel the schedules.
 - To reject the entire order, your suppliers can cancel the document.
 - As a buyer, you can also acknowledge on behalf of your suppliers.
- After you opt in to the feature, acknowledging orders enabled for buyer managed transportation won't automatically update the promised ship date.
- Orders that require acknowledgment created after opt in can't be acknowledged using the Acknowledge Schedules from Spreadsheet task. You can acknowledge the order in the Purchasing work area, or in the Supplier Portal.
- The Orders Pending Acknowledgment infolet shows the count of purchase orders that are pending acknowledgment and overdue.
 - Initial orders are tracked as pending acknowledgment if no formal acknowledgment, advance shipment notice, receipt, or invoice is processed for the orders.
 - Orders with subsequent revisions are tracked as pending acknowledgment if no formal acknowledgment has been received for the latest revision.

Acknowledge Purchase Order Schedules Using a Spreadsheet

As a supplier user, you can acknowledge purchase order schedules in batches using a spreadsheet. This applies only to purchase orders that are pending supplier acknowledgment at the document and schedule level.

During acknowledgment you can also propose changes to the schedules, indicating to the buyer the changes required before you can fulfill the schedules.

Complete these three main tasks to acknowledge schedules using a spreadsheet:

1. Navigate to the Acknowledge Schedules in Spreadsheet task and open the spreadsheet.
2. Review the schedules in the spreadsheet and provide your acknowledgment responses.
3. Upload the spreadsheet to update the application.

Prerequisite

Before you can acknowledge schedules using a spreadsheet, you must install the Oracle Application Development Framework Desktop Integration (ADFdi) client software on your computer. The add-in enables desktop integration with Microsoft Excel workbooks. Download the installation files from: **Navigator > Tools > Download Desktop Integrator Installer**.

Navigate to Task and Open Spreadsheet

Follow these steps to navigate to the Acknowledge Schedules in Spreadsheet task and open the spreadsheet.

1. Sign in to Oracle Applications Cloud.
2. Open the Supplier Portal work area. (**Navigator** > **Supplier Portal work area**).
3. On the Overview page select the Acknowledge Schedules in Spreadsheet task.
4. All purchase order schedules pending supplier acknowledgment, at the document and schedule level, are downloaded to an ADFdi spreadsheet.
5. In the Opening AcknowledgeSchedules.xlsx dialog, select Open with Microsoft Office Excel, then click OK.
6. In the Connect dialog, click Yes.
7. In the Oracle Applications Cloud Sign In dialog, enter your User ID and Password, and click Sign In.

Review Schedules and Provide Responses or Changes

Follow these steps to use the Acknowledge Schedules spreadsheet to review the downloaded schedules and provide your responses or changes.

1. In the Acknowledge Schedules spreadsheet, there are two tabs: Instructions and Acknowledge Schedules.
2. On the Acknowledge Schedules tab, review the schedules in the spreadsheet. Determine which schedules to accept, reject, propose changes for, or take no action on.
3. For each schedule in the spreadsheet that you want to act on, you can optionally take one of the following actions:

- a. Provide an acknowledgment response. In the Response column, select either Accept or Reject.

You must provide a reason when you reject a schedule.

Note: Procurement agents can see rejection comments in the schedule status dialog window. They can either hover or click the schedule status to view the rejection reason.

- b. Propose changes to the promised date, ordered quantity, or to split the schedule.

You must provide a reason when proposing a change to the promised date or ordered quantity.

Use the Split button to stagger schedule deliveries. This runs an Excel macro, see the Instructions tab about enabling macros in Excel. You must update the quantity and promised date on the original and split schedule.

Upload Spreadsheet to Update Application

Follow these steps to upload the edited spreadsheet and update the application.

1. In the Acknowledge Schedules tab, on the spreadsheet ribbon, click the Upload icon to submit your responses and proposed changes.
2. The Status column for each row displays the processing status for the uploaded purchase order schedule.
 - a. Processed rows show the status: Row Updated Successfully. Click the Status Viewer icon on the spreadsheet ribbon. In the Status Viewer pane you can see the message: No Error.
 - b. Processed split rows show the status: Row inserted successfully. Click the Status Viewer icon on the spreadsheet ribbon. In the Status Viewer pane you can see the message: No Error.
 - c. Rows with an upload error show the status: Update Failed. Click the Status Viewer icon on the spreadsheet ribbon. In the Status Viewer pane you can examine the error details.

You can work in small batches. Take action on a few rows and upload them. After successful processing, you can click the Download icon in the spreadsheet ribbon. The application downloads any purchase order schedules remaining in pending acknowledgment status at the document and schedule level.

Related Topics

- [Supplier Acknowledgment of Purchasing Documents](#)
- [Guidelines for Using Desktop Integrated Excel Workbooks](#)

Sign Purchasing Document

Prepare Purchasing Documents for Electronic Signatures

As a buyer, you can prepare and send purchase agreements, purchase orders and change orders to obtain electronic signature. You can also manage purchasing documents that are sent for electronic signature.

Key aspects of working with purchasing documents that require electronic signature are:

- Prerequisite feature configuration and setup.
- Preparing and sending a purchasing document for electronic signature.
- Managing a purchasing document that's sent for electronic signature.

Before You Start

Before you can prepare a purchasing document for electronic signature, your organization must have completed the following prerequisite tasks:

- Obtained a license from, registered with, and set up an administration account with DocuSign, the electronic signature service provider.
- Enabled and configured the electronic signature feature in Oracle Applications Cloud, using the Setup and Maintenance work area.
- Added you as a user to the DocuSign administration account.

Prepare Purchasing Document

You can prepare a purchasing document for electronic signature using the Purchase Agreements or Purchase Orders work areas.

1. When you create the document, you can specify the document requires electronic signature. To do this, open the document. On the Edit Document page, select the Requires Signature check box on the Main tab, Terms subtab.
2. When you're done creating the purchasing document, submit it for approval and acknowledgment.
3. After approval and acknowledgment are complete, you can prepare the purchasing document for electronic signature. Open the purchasing document, and select the Prepare for Signature option from the Actions drop-down list. When signing documents using DocuSign OAuth 2.0 authentication, you're prompted to grant consent for the authentication application to prepare envelopes on your behalf. You must grant one-time consent. After granting consent, close the message and perform the Prepare for Signature action again.

The Prepare for Signature page includes the following:

- The notification email.

- The purchasing document PDF.
- Any contract documents.
- Any other attachments for the supplier.

You can use the Prepare for Signature page to perform actions such as:

- Click the To button to review the email notification text.
- Add signers as recipients to the notification email.
- Enter a subject and message.
- Assign a signature task to each recipient.
- Add other documents as needed, so the signers can review all terms and conditions that are relevant to the purchasing document before they sign it.

Note: The documents you can attach must be less than 25MB, and none of the documents should have more than 2000 pages. However, if the attachment size exceeds 25MB, you can either reduce the attachment size or continue with the envelope creation only with the purchasing document PDF and without the attachment.

- Indicate whether to route the document for signature sequentially or concurrently.

When you're done preparing the purchasing document for signature, click the Send button to send the email notification to the signers.

Note: The Prepare for Signature page displays a DocuSign user interface within your application, integrating functionality from the electronic service provider's web site. For more information about using the page, refer to the DocuSign Support Center at <https://support.docusign.com>.

Manage Purchasing Document

In the Manage Agreements and Manage Orders tasks, you can search for purchasing documents requiring signature. Add the Requires Signature attribute as an advanced search field to find purchasing documents that are in process or electronically signed. You can also add the Requires Signature column to the search results.

After you send a document for signature, and the document is in Sent for Signature status, you can manage the signature process. With the purchasing document open, select the Manage Signature option from the Actions drop-down list. The Manage Signature page opens from the DocuSign web site. You can select the following options from the Other Actions drop-down list:

- **Correct:** Use to enter missing or correct existing information. You can resend the document for signature.
- **Void:** Use to make changes to the purchasing document after it's sent for signature. This withdraws the document from the electronic signature process.
- **View History:** Use to view the signature history of the document.

Note: If you are the owner or recipient of the envelope, you can view the signature history by accessing the Request Signature link from the document history page. Other users can view the signing history from the purchasing document PDF report if they have access to the purchasing document.

This table lists electronic signature processing statuses you can view throughout the life cycle of a purchasing document that requires signature. A description of each status is also provided.

Status	Description
Pending Signature Preparation	Applies to an approved document that requires signature and is pending signature preparation. Also applies to an approved document for which the signature packet has expired, or is manually voided.
Sent for Signature	Applies to a document which is prepared for and sent for signature.
Open	Applies to a document if all the signers sign it.
Rejected	Applies to a document if one of the signers declines to sign it.

The final electronically signed version of a purchasing document is stored in the application and is used for supplier communication.

Related Topics

- [How can I electronically sign a purchasing document?](#)
- [How You Manage Refresh Document Signature Status](#)
- [How You Configure Electronic Signature for Purchasing Documents](#)

How You Manage Refresh Document Signature Status

As a procurement application administrator, you can manage the Refresh Document Signature Status scheduled process.

The scheduled process retrieves the signature status of all purchasing documents currently sent out for signature, and updates their status in the application.

Settings That Affect the Refresh Document Signature Status Process

You can schedule the process to run periodically at a specified interval. To do this, from the Navigator click Scheduled Processes.

How the Purchasing Document Signature Status Is Processed

The scheduled process reviews the status of all in process signature packets for documents requiring signature. The status of the documents is updated in the application. The final electronically signed version of a purchasing document signature packet is stored in the application, and is used for supplier communication.

After the scheduled process is run, users of the Manage Agreements and Manage Orders work areas can view the following:

- Updated signature status of a purchasing document.
- Updated document signature history.

How can I electronically sign a purchasing document?

When you are sent a purchasing document for your electronic signature, you receive an email from DocuSign sent on behalf of the sender. Review the email, follow the instructions to review the document and attachments, and sign or decline the document.

For more information refer to the DocuSign Support Center at <https://support.docusign.com>.

Dispatch Purchase Order

Dispatch Purchase Order

Purchasing Document Report

Use the purchasing document report to communicate to the supplier the details of a purchase order or purchase agreement. The report provides information about goods or services that you require, costs, quantities, payment terms, and delivery schedules.

The purchasing document report is a PDF file. The report is typically created electronically following document approval. You can also run it manually.

Run the purchasing document report using the **Communicate Purchasing Documents** task, in the Purchase Agreements and Purchase Orders work areas. On the Communicate Purchasing Documents page, click the **Submit New Process** button.

Standard Parameters

Procurement BU

Select the procurement business unit.

Document Selection

Select documents to be processed. You can process a specific document or a group according to actions performed on the documents.

- Changed
- New
- New and Changed
- Specified

Note: Some of the following parameters may not be available based on your choice for Document Selection.

Document Type

Select the document type: **Blanket Purchase Agreement**, **Contract Purchase Agreement**, or **Purchase Order**.

Buyer

Select the buyer name.

Supplier

Select the supplier name.

Supplier Site

Select the supplier site to restrict the documents to a specific supplier site.

Sold-to Legal Entity

Select the sold-to legal entity.

Document Number

Enter the document number to communicate a specific document.

Change Order

Enter the change order to communicate a specific document.

Printer

Select your output device.

Purchasing Document Report

Below are some highlights of the report contents. The fields that display vary based on the document type. For more information about predefined analytics and reports, see the Analyze and Report page for Oracle Fusion Cloud Procurement on the Oracle Help Center.

The following table includes important purchase order report contents for the document header.

Field	Description
Order	The purchase order number.
Ordered	The total amount for all lines in the order.
Agreement	The purchase agreement number.
Agreement Amount	The total estimated amount for the purchase agreement.
Procurement BU	The name of the procurement business unit prints on line 1 followed by up to 3 lines of address. On line 5, the city, state (or province), and ZIP Code are printed. The country prints on line 6.
Page	The page number.
Sold To	The sold to information contains up to 3 lines of address. After the address, the city, state (or province), and ZIP Code is printed on line 4. On line 5, the country is printed.
Supplier	The supplier name prints on line 1 followed by up to 3 lines of address. On line 5, the city, state (or province), and ZIP Code are printed. The country prints on line 6.
Ship To	The ship to information contains up to 3 lines of address. After the address, the city, state (or province), and ZIP Code is printed on line 4. On line 5, the country is printed. The ship to location is printed even if the same as the bill to location.

Field	Description
Bill To	The bill to information contains up to 3 lines of address. After the address, the city, state (or province), and ZIP Code is printed on line 4. On line 5, the country is printed. The bill to location is printed even if the same as the ship to location.
Payment Terms	The payment terms are specified as a payment due date and, optionally, a discount percent and discount due date.
Freight Terms	The Freight Terms are negotiated with the supplier. The terms specify whether you or the supplier pays for freight charges on goods you order from the supplier.
FOB (Freight on Board)	The FOB specifies the point or location where ownership title of goods is transferred from the supplier to you. For example, Origin or Destination.
Shipping Method	The specific shipping method to be used. For example: Ground, or Airborne.

The following table includes important purchase order report contents for the document lines.

Field	Description
Line	The purchase order line number.
Item	The description of the goods or services.
UOM	The unit of measure for the item.
Price	The item price.
Quantity	The quantity of the item you're ordering, if the line type is quantity-based.

Related Topics

- [What's a purchasing document report template?](#)
- [How You Configure Purchasing Document Reports](#)

Set Up the Purchasing Document Email Sender

Use the Purchase Order Email Sender profile option to set up the email sender for purchasing documents sent to suppliers.

As an administrator you can set up the profile option using the Manage Administrator Profile Values page. To configure the profile option:

1. In the Setup and Maintenance work area, access the Manage Administrator Profile Values task in the Procurement Foundation functional area.

2. On the Manage Administrator Profile Values page, in the Application drop-down list, select Purchasing. Then click Search.
3. In the Search Results, open the PO_FROM_EMAIL_ADDRESS profile option code.
4. You can configure the profile option at the site level only. In the Profile Values section select one of the values: Buyer, Automatic, or Specified Email Address.

Buyer

Buyer is the default value. The buyer's electronic mail address is used to send purchasing documents to the supplier. The supplier can reply to the buyer's electronic mail address, rather than a system-generated one which doesn't accept any reply.

Automatic

If you select this value, the system-generated electronic mail address is used to send purchasing documents to the supplier. The system-generated electronic mail address doesn't accept any reply. You might choose this value if, for example, your supplier's email system filters out the buyer emails.

Specified Email Address

If you select this value, you can configure any email address for the sender instead of using the system-generated or buyer's email address. You might choose this value if, for example, you want to receive replies from suppliers in a centrally monitored inbox. When you configure an organization-wide email address for purchasing document communication, your suppliers can add the address to their list of approved senders.

Note: To communicate purchasing documents, you must set the Sender Email Address for Supplier Communication profile option (ORA_PO_GENERIC_EMAIL_ADDRESS) to the organization-wide email address.

How You Send Purchasing Document Attachments as Separate Files in Supplier Emails

As an administrator with the required privilege, you can configure the application to send purchasing document attachments as separate files in the supplier emails. Attaching separate files avoids blocking of a Zip file by your suppliers' email applications.

To configure the application to send purchasing document attachments as separate files, opt in to and enable the **Send Purchasing Document Attachments as Separate Files** feature in the Offerings work area, in the Procurement offering.

You can enable and disable this feature as needed. When the feature is enabled, all attachments marked as **To Supplier** are presented to the supplier as separate attachments in the email communication.

Related Topics

- [Configure Offerings](#)

How You Modify a Delivered Email Template to Communicate Purchasing Documents

As an implementor or procurement application administrator, you can modify templates for outgoing supplier email communications of purchasing documents. To do this, use Oracle Analytics Publisher to make a copy of the delivered Purchase Document Email Report that contains the templates.

You can modify the templates to tailor the email subject line or body text for a purchasing document type. You can find the **Purchase Document Email Data Model** in the Reports and Analytics catalog, in the Purchasing folder. The data

model contains delivered attributes, and you can extend it to meet your organization's requirements. You can also find the **Purchase Document Email Report** in the catalog's Purchasing folder. The report references the data model. The report includes these email document templates:

- Purchase Order Email Subject
- Purchase Order Email Body
- Purchase Agreement Email Subject
- Purchase Agreement Email Body

Modify a Default Email Template

To modify a delivered email template follow these steps:

1. In the Navigator, click Reports and Analytics.
2. On the Reports and Analytics page, click the Browse Catalog icon.
3. On the Catalog page, in the Folders pane, open the Purchasing folder. (Under the **Shared Folders folder > Procurement folder.**)
4. In the Purchasing folder, locate the Purchase Document Email Report, click the More link, and copy the report to your folder.
5. Locate the copy of the Purchase Document Email Report. (Under the **Shared Folders folder > Custom folder > Procurement folder > Purchasing folder.**)
6. Click the copy of the Purchase Document Email Report to select it, and click Edit.
7. On the Purchase Document Email Report page, select the template that you want to modify. Select the template that corresponds to the document type (agreement or order) and section (subject or body). For example, Purchase Order Email Subject Template.
8. Click Edit to download the template file. For example, the template file might have a file name such as Purchase Order Subject Layout.rtf.
9. Use Oracle Business Publisher desktop tools to edit the template.
10. Upload the modified template back to Oracle Analytics Publisher. Select the appropriate folder for your implementation.

How can I suppress supplier communication when importing purchasing documents?

Use the import parameters **Communicate Orders** and **Communicate Agreements** to control whether or not to disable supplier communications when importing purchasing documents. When you set either parameter to **No**, an imported order, change order, or agreement is not communicated to the supplier.

You can find the Import Orders, Import Blanket Agreements, and Import Contract Agreements tasks in the Purchase Order and Purchase Agreement work areas.

Control Supplier Communications

As procurement application administrator, you can control supplier communications using profile options. You can turn on or off supplier communications, or override the supplier recipient email.

For example, you can disable outbound supplier email communication in test environments. You can then simulate procurement flows using data migrated from a production environment, without communicating purchasing documents to your suppliers. Use these two purchasing profile options to control supplier communications.

- Control Supplier Communication
- Override Email Address

To configure the profile options, follow these steps:

1. In the Setup and Maintenance work area, access the Manage Administrator Profile Values task in the Procurement Foundation functional area.
2. On the Manage Administrator Profile Values page, in the Application drop-down list, select Purchasing. Then click Search.
3. In the Search Results, locate and click the profile option: Control Supplier Communication.
 - a. Use the profile option to control outbound supplier communication. The profile option may only be configured at the site level.
4. In the PO_CONTROL_SUPPLIER_COMMUNICATION: Profile Values section, select a value. This table lists the values and their descriptions.

Value	Description
Enable	Select this value to enable all outbound supplier communication.
Disable	Select this value to disable all outbound supplier communication.
Override Email Recipient	Select this value to simulate communication. All supplier communication, including electronic communication, is directed to the email specified in the profile option: Override Email. An email is sent for all types of communication, without respect to the method specified on a purchasing document.

5. Click Save.
6. If you selected the Override Email Recipient value for the Control Supplier Communication profile option, continue to follow these additional steps.

In the Search Results, locate and click to select the profile option: Override Email Address.

 - a. Use the profile option to specify a fixed address to which all supplier email communications are sent. Configure this option when the profile option Control Supplier Communication is set to the value Override Email Recipient. The profile option may only be configured at the site level.
7. Click Save.

Related Topics

- [Configure Offerings](#)

How can I enable delivery of purchase order attachments using electronic messaging?

You can enable the delivery of attachments with purchase orders and change orders when using Oracle Collaboration Messaging. To do this, sign in as procurement application administrator. Use the following profile option: Include Attachments in Electronic Communication.

Find the profile option in the Setup and Maintenance work area, Manage Administrator Profile Values task. When the profile option is enabled, you can include an attachment in communications using Oracle Collaboration Messaging when the attachment is:

- Attached at the purchase order or change order document header, line or schedule level.

- Classified as: To Supplier.

What happens if the size limit exceeds in a supplier communication email?

The total attachment size is set in the Maximum File Size Megabytes setting on the Configure Procurement Business Function page. The recommended setting is 5MB.

If the total attachment size exceeds this setting, the email will be sent with only the PDF so that the email size is below maximum size. Additionally, a notification will be sent to the buyer indicating that not all attachments were sent to the supplier.

How can I send attachments as separate files in a supplier communication email?

By default, attachments will be sent as a single Zip file in the supplier communication email. If you want to send attachments as separate files, you can enable the Send Purchasing Document Attachments as Separate Files feature on the Edit Features: Purchasing page.

How can I include attachments in electronic communication?

Attachments can be included in the bodies of OAGIS 10.1 purchase order outbound collaboration messages. To enable attachments in electronic communication, you can set the Include Attachments in Electronic Communication profile option to Yes.

The maximum attachment size can be set on the Manage Collaboration Messaging Configuration page, and the default setting is 2MB.

Amend Purchase Order

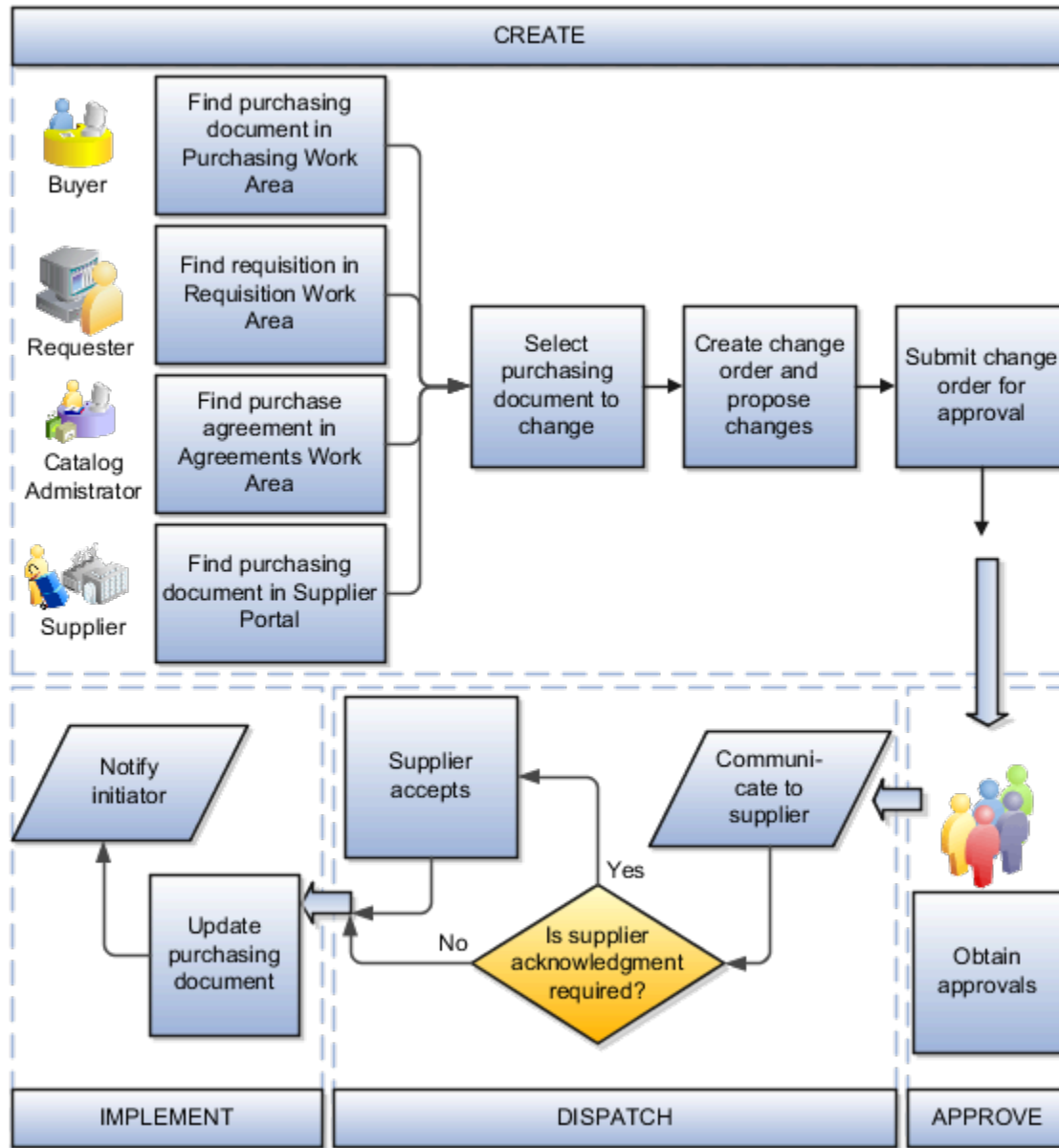
Change Order Life Cycle

As a procurement agent, requester, supplier or catalog administrator, you can propose changes to an active purchasing document. Using a change order, you can indicate changes to the current version of a document, including cancellation of the document.

You can manage change orders throughout the life cycle of a purchasing document, including:

- Creation
- Approval
- Dispatch
- Implementation

This figure shows the flow of change orders through the typical document life cycle, from creation through approval, dispatch and implementation. In this typical flow a user creates a change order for a document and submits it for approval. Once approved, the change order can be communicated to the supplier for acknowledgment.



How You Create A Change Order

You can initiate a change on a purchasing document. To do this, open the document from your own work area. You can search for the document, create a change order using the Edit action, and start proposing changes. The scope of change that you can propose is determined by the work area that you're using to open the document. For example:

- As a buyer using the Purchase Orders work area, you can propose changes to a purchase order's contract terms and conditions.
- As a supplier using the Supplier Portal work area, you can propose changes to a purchase order requiring acknowledgment at the document and schedule level.
- As a catalog administrator using the Catalog work area, you can upload lines to a purchase agreement.

On the Edit Change Order page, select the Review Changes action to review the details of the proposed changes. The Review Changes page shows each attribute you're changing, and its original and changed values.

When you submit a change order for approval, the application validates the change order for accuracy, completeness and policy deviations.

How You Approve A Change Order

When you submit a change order, the application uses the same approval workflow to route the change order as for a purchasing document. Attributes relevant for a change order are available for you to use in approval rules, such as:

- PO Ordered Amount Changed
- Price Change Percent
- Nonstandard Clause Modified

As an internal user, you can view the approvers for your change order, based on the routing rules, using the Manage Approvals page. You can insert additional approvers and viewers, if needed.

As an approver, you receive an approval request highlighting critical information you can use to make an approval decision, such as:

- Party initiating the change.
- Amount changed.
- Contract deviations.

You can navigate to the approval task detail to view the purchasing document in its entirety. If needed, you may request more information.

How You Dispatch A Change Order

You can communicate an external change order using a supplier's preferred means, such as business to business, print, fax or email. Manually communicate a change order to a supplier using the Communicate action. Communicate change orders in batch using the Communicate Purchasing Documents task. As a supplier user you can view the change order using the Supplier Portal work area.

As a procurement agent, you may optionally require supplier acknowledgment on an external change order. A procurement agent for the buying organization can also record a supplier's offline acknowledgment.

As a supplier user, you can use the Supplier Portal work area's Acknowledgment page to perform acknowledgment online. For purchase orders and their change orders requiring acknowledgment at the document and schedule level, supplier users may propose changes during acknowledgment.

What Happens When You Implement A Change Order

When you implement a change order, the application validates that the change order information is still valid.

- If the change order information is still valid, the application makes the changes to the active purchasing document.
- If not, the change order is canceled and the change order initiator is notified.

The active purchasing document is revised when an external change order is implemented. The application archives change orders, external or internal. This provides you visibility into the changes made to a purchasing document. You

can view them using the Change History page. Supplier users can view all external change orders using the Revision History page. The application notifies relevant parties of successful implementation of a change order.

How Change Order Numbering Works

The number assigned to a change order reflects whether the purchasing document is new, or is open.

After a purchasing document is approved, but prior to its implementation, you can make edits using a change order. The change order numbering starts from 0-1, where:

- 0 indicates the revision number of the base purchasing document, and,
- 1 indicates the change order number.

Subsequent edits during this time create change orders with similar numbering, such as 0-2, 0-3, and so on.

After a purchasing document is open, the numbering for change orders is 1, 2, 3 and so on. If you create a change order on top of a change order, the numbering is 1-1, 1-2, and so on.

Related Topics

- [Document History](#)
- [Internal and External Change Orders](#)
- [Change Orders](#)

Create Purchase Order Change Order

Change Orders

As a procurement agent, requester, or supplier you can propose changes to the currently approved version of a purchasing document during issuance and fulfillment.

In any of these roles, evolving business conditions may require you to make changes to active purchasing documents. For example:

- As a requester whose requisition is being processed in a purchase order, you may want to postpone or cancel what you have requested.
- As a buyer who's responsible for administering a purchase order, you may want to change the terms or conditions on the order.
- As a supplier who's tasked with fulfilling the order, you may want to stagger the delivery schedule or revise the pricing.

Change orders enable you to propose changes to an active purchasing document, by indicating your changes to the current version of the document.

During change order creation and approval, the currently approved version of the purchasing document is preserved until the change order processing is complete. The current version is used as the source of truth for all downstream activities such as receipts, invoices, and sourcing against an agreement. Only after approval, acceptance, and validation of the change order is complete does it get applied to create a new version of the purchasing document.

Internal and External Change Orders

Change orders enable all of the affected parties to propose changes to an active purchasing document by indicating their desired changes to the current version of the document. The change order is considered internal or external depending on the document attributes being changed.

A purchasing document is a contractually binding document between a buying organization and a selling organization, and hence it captures contractual terms like products or services to be delivered, delivery schedule and payment terms. Any change proposed to any of these kind of attributes must be communicated to and accepted by both parties before the changes become binding. These attributes are called supplier facing attributes.

In addition to supplier facing attributes, a purchasing document also contains attributes that are required for administrative purposes within the buying organization, such as cost centers or projects that would be funding the purchase, internal delivery instructions, various tolerances and controls to ensure satisfactory order execution. These attributes are called internal control attributes.

A change order that proposes changes to only internal control attributes is an internal change order, all other change orders are external. Change order type on a change order indicates whether the change order is an internal change order or an external change order. Unlike an external change order, an internal change order doesn't get communicated to the supplier and doesn't cause a new revision of the document. Although internal changes don't cause a new revision of the document, history of such changes is maintained in the same manner as external changes and can be accessed from the View Change History page.

How You Ensure Buyers Process Requester-Initiated Changes

You can require buyers to review and process requester-initiated changes to open purchase orders.

When you do, any changes proposed by requesters will be automatically created as internal change orders. This applies even if the proposed changes include supplier-facing attributes that would create a revision to the purchase order document.

This is how the process works:

1. The requester creates requester-initiated change on the open purchase order.
2. The buyer is notified when a requester-initiated change requires their action. After the internal change order is approved, the buyer will receive a notification and will be required to act on the requester-initiated change.

Note: The Requester-Initiated Change Requires Action notification can be modified by updating the Purchase Order Approval Notification Layout Template in Oracle Analytics Publisher.

3. The buyer reviews the requester-initiated change on Pending Buyer Action status. The Pending Buyer Action status on the requester change order indicates that the buyer must review the proposed changes and either modify them, submit them as they are, or reject them.

When buyers process a requester-initiated change on pending buyer action, either through the edit or submit action, a buyer change order is created with the details copied from the requester-initiated change.

- If the buyer processes a requester change through the edit action, the buyer change order is created with an incomplete status.
- If the buyer processes a requester change through the submit action without editing, the application validates that the information in the created buyer change order is still valid after submission. If the information is no longer valid, the buyer will be notified that validation failed for the buyer change order, and the status will be set to incomplete.

4. The Accept action is recorded on the purchase order document history for the requester change order.
 - Deleting a buyer change order in an incomplete status related to a requester-initiated change sets the requester change order back to Pending Buyer Action. It also removes the accept action for the requester change order from the purchase order document history and clears the processed requester change order from its change history.
 - When canceling a buyer change order related to a requester-initiated change, both the buyer change order and the requester-initiated change get canceled.

Here are some considerations for requiring buyers to review and process requester-initiated changes to open purchase orders:

- A new infolet called Change Requests is available for buyers in the Purchase Orders work area. This infolet shows the number of pending requester change orders that require buyer action.

Note: The Change Requests infolet is hidden by default and can be exposed by clicking the My Infolets icon on the Purchase Orders work area.

- A new approval attribute named Processed by Buyer from Requester-Initiated Changes is available to create approval rules. You can set conditions to check if the buyer change order originated from a requester-initiated change and route it for approval accordingly.
- You can create requester-initiated changes using the Self Service Procurement application and Draft Purchase Orders REST resource.

FAQs for Create Purchase Order Change Order

How can I create a change order?

A change order is created by selecting the document and using the **Edit** or **Cancel** action. If an active change order doesn't exist, the application will create a change order for you.

How can I view the change history of a document?

You can view the document change history from the Search, View Purchase Order, or View Purchase Agreement page using the **View Change History** or the **View Revision History** action to view archived change orders relevant to you.

Select a change order and take the **Review Changes** action to view the details of the changes that were proposed on the change order.

How can I process multiple change orders on the same document concurrently?

There can be only one active change order on a purchasing document at any point in time. If you have a change to propose and there is an active change order on the same document, you will need to wait for that change order to get processed.

As the buyer on a purchasing document, the application lets you prioritize your changes by allowing canceling the current change order even if it's not initiated by you and creating a new change order for you to propose your changes.

How can I set up an approval rule to route a requester-initiated change order to the requisition's overriding approver?

Create an approval rule with a condition to check if the backing requisition has an overriding approver. Also configure the condition to check if the change order is requester-initiated.

In the rule action, you can route the change order approval through the override approver's job levels, supervisor hierarchy, or position hierarchy.

Create the approval rule using the Manage Purchasing Document Approvals task. Find the task in the Setup and Maintenance work area, Procurement offering, Approvals Management functional area.

How can I route a requester-initiated change order for approval to the requisition's overriding approver?

When you use the Purchase Requisitions work area to create a requisition, you can specify an override approver to replace the first approver.

Your organization can also set up an approval rule to route any subsequent requester-initiated change orders to the same override approver. This ensures your override approver is also able to approve any changes you initiate after the requisition is processed into a purchase order.

Related Topics

- [How can I set up an approval rule to route a requester-initiated change order to the requisition's overriding approver?](#)

How You Can Automate Invoice Validation to Release Purchase Orders with Invoice Holds

You can use the Automate Invoice Validation to Release Holds Upon Purchase Order Change feature to enable automatic validation of matched invoices to release holds upon change order implementation.

The invoice validation process will automatically be initiated upon change order implementation only for matched invoices with holds of reason type matching hold. The purchase order change order corrects the variance between the purchase order and matched invoice to release the hold. Matched invoices with holds of other hold reasons still need to be validated either manually or through a scheduled process.

How You Correct the Supplier Item Number on Purchase Orders Sourced from Blanket Agreements

To correct the supplier item number on purchase orders sourced from blanket agreements, you can use the Correct the Supplier Item Number on Purchase Orders feature.

Using the feature, you can update the supplier item number on purchase orders via the Edit Change Order page. During the Purchase Order Acknowledgment process, as a supplier, you can update supplier item number to make corrections on purchase order lines sourced from blanket purchase agreements.

Here are some considerations for using the feature:

- Using the feature, buyers can also update the supplier item number on behalf of their suppliers.
- Suppliers can correct supplier item numbers through the Oracle Purchase Order Acknowledgment Inbound message on Oracle Fusion Cloud Collaboration Messaging Framework. Such changes are possible even if the purchase order line is sourced from a blanket purchase agreement.
- You can update supplier items on Incomplete and Open purchase orders sourced from blanket purchase agreements using the REST Draft Purchase Orders resource.

Cancel Purchase Order Change Order

What happens if the change order I submitted is no longer needed?

You can withdraw a change order that's pending approval or pending supplier acknowledgment using the **Withdraw** action, make further edits, and resubmit it for approval. You can also cancel the change order if the change isn't required at all.

Update Purchase Order Change Order Details

How can I view the changes proposed on a change order?

You can view all changes proposed for a change order on the Review Changes page. This page shows all changed attributes, their original, and their new values. Changes made to contract terms are also shown.

The page hides internal control attributes, as defined in the change order template, from suppliers.

Attributes You Can't Update after the Purchasing Document Is Implemented

This table lists the attributes you can't update after the purchasing document is implemented:

PO	BPA	CPA
Header - Procurement BU - Requisitioning BU - Sold-to Legal Entity - Bill-to BU - Supplier - Supplier Site (only if there's a PA reference) - Currency - Procurement Card - Buyer Managed Transportation Line - Item - Item Revision - Item Description - Supplier Item (only if there's no BPA reference) - Category Name	Header - Procurement BU - Supplier - Currency - Pay on use Line - Item - Category Name - UOM	Header - Procurement BU - Supplier - Currency

PO	BPA	CPA
• UOM • Product • Base Model Price • Price (only if Allow Price Updates on Open Orders is disabled) • Supplier Configuration ID • Source Agreement • Source Agreement Line • Consignment Line Schedule • Secondary Quantity • Secondary UOM • Work Order • Ship-to Organization • Sales Order Number • Sales Order Line Number • Sales Order Schedule Number		

Price Purchase Orders Retroactively

How can I apply my agreement pricing changes to existing open orders?

You can run the **Launch Retroactive Price Update** process to apply price changes from a blanket purchase agreement to purchase order lines created referencing the agreement line. Note that you can set up your agreement to launch this program automatically upon implementation of change orders with changes to pricing.

How Retroactive Price Updates Are Processed

Run the Initiate Retroactive Price Update scheduled process to apply price changes from a blanket purchase agreement to purchase order lines sourced from the agreement.

To run the process, from the Purchase Agreements or Purchase Orders work areas, click the **Initiate Retroactive Pricing Update** task. The retroactive pricing program can also be initiated upon approving the blanket purchase agreement.

Settings That Affect Retroactive Price Updates

This table lists the parameters you can set, with their descriptions, for the Initiate Retroactive Price Update process. The parameters affect how the process selects purchase order lines to update with pricing changes.

Parameter	Description
Procurement Business Unit	The BU that's responsible for and manages the purchasing transactions for the purchasing document.

Parameter	Description
Agreement Number	The specific BPA number for which you want the pricing updated. PO lines that reference the BPA are selected, subject to other settings.
Item	An item for which you want the pricing updated.
Category	A category for which you want the pricing updated.
Date From	A date to identify the purchase orders to be updated.
Communicate Updates	The communication method is determined by the supplier notification method for the supplier site. Select this check box if you want the updated releases or purchase orders communicated to the supplier.

How Retroactive Price Updates Are Processed

The process runs based on the parameters you set. It uses the following additional criteria to select eligible PO lines for a price update:

- Draft purchase orders with the following statuses are selected: Incomplete, Rejected, and Withdrawn.
- Open purchase orders, including orders which are approved and don't have a pending change order, with the following statuses are selected: Open, On Hold, Closed, Closed for Receiving, and Closed for Invoicing.
- PO lines that have the Consignment Line option set to Yes aren't updated.
- If the **Reprice open orders only** check box is selected, the program only considers PO lines that have no accrued receipts or invoices matched to them. If the check box isn't selected, the program considers all PO lines, including those with accrued receipts or invoices.

Manage Purchase Order Life Cycle

Purchase Order Life Cycle

Managing the purchase order life cycle enables all key stakeholders of the purchase order; the procurement agent, the requester, and the supplier to track and monitor the execution cycle of the order and initiate and manage changes to the order including cancellations.

Life Cycle Tasks

Key Life Cycle Tasks:

- Track fulfillment status
- Reassign order ownership from one agent to another
- Control fulfillment activities

- Place order on hold
 - Close order for invoicing
 - Close order for receiving
- Control amendment activities
 - Initiate order amendments including cancellations
 - Freeze document
- Finally close the document

Life Cycle Features

Key Life Cycle Features:

- Work areas for buyers and suppliers
 - Deliver access to active orders in the queue
 - Highlight life cycle events requiring attention
- Comprehensive life cycle management actions
- Real time order fulfillment status
- Embedded analytics
 - Provide trend statistics on buyer workload and activities
 - Provide supplier key performance indicators
- Center driven procurement
 - Manage orders for multiple requisitioning business units

Related Topics

- [Considerations for Purchase Order Creation](#)

Purchase Order Statuses

You can view the status of purchase orders on the Manage Orders page.

Here's the list of purchase order statuses and their descriptions:

Purchase Order Status	Description
Canceled	It indicates that the order is canceled and will not be fulfilled anymore.
Closed	It indicates that no further fulfillment activity is expected on the order.
Closed for Invoicing	It indicates that no further invoicing activity is expected on the order.

Purchase Order Status	Description
Closed for Receiving	It indicates that no further receiving activity is expected on the order.
Finally Closed	It indicates that all receiving and invoicing activity on the order has completed, and it can now be archived and purged.
Incomplete	It indicates that the document is pending further authoring and submission.
On Hold	It indicates that receiving and invoicing activity is temporarily suspended on the order. These activities can resume after the hold is removed.
Open	It indicates that the order is open for receiving and invoicing.
Pending Acknowledgment	It indicates that the order is pending acknowledgment from the supplier.
Pending Approval	It indicates that the order is pending approval.
Pending Change Approval	It indicates that the order is pending the approval of a change proposed by the buyer or the supplier.
Pending Signature	It indicates that the order is pending signature preparation.
Rejected	It indicates that the order is rejected during approval or supplier acknowledgment.
Sent for Signature	It indicates that the order is sent for signature.
Withdrawn	It indicates that the order was withdrawn by the procurement agent while it was pending approval or acknowledgment.

Here's the list of purchase order line statuses and their descriptions:

Purchase Order Line Status	Description
Canceled	It indicates that the order line is canceled.
Closed	It indicates that no further fulfillment activity is expected on the purchase order line.
Closed for Invoicing	It indicates that no further invoicing activity is expected on the purchase order line.
Closed for Receiving	It indicates that no further receiving activity is expected on the purchase order line.
Finally Closed	It indicates that all receiving and invoicing activity on the purchase order line is complete.

Purchase Order Line Status	Description
On Hold	It indicates that the receiving and invoicing activity is temporarily suspended on the order. These activities can resume after the hold is removed.
Open	It indicates that the order line is open for receiving and invoicing activities.
Rejected	It indicates that the order line is rejected by supplier during acknowledgment.

Effects of Control Actions on Purchasing Documents

The following tables describe the effects of control actions or statuses on purchasing documents.

Effects of Control Actions on Purchase Orders

This table lists the effects of purchase order control actions. Purchase order control actions include: Close, Close for Invoicing, Close for Receiving, Cancel, Finally Close, Freeze and Hold. For a given control action, a corresponding control effect may be indicated as one of the following:

- Yes, it does occur.
- No, it doesn't occur.
- Or, a more detailed explanation is provided.

Control Effect	Close	Close for Invoicing	Close for Receiving	Cancel	Finally Close	Freeze	Hold
Modify controlled entity?	Yes	Yes	Yes	No	No	No	Yes
Action causes revision change?	No	No	No	Yes	No	No	No
Communicate document?	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Receive against controlled entity?	Yes	Yes	Yes	Yes, up to overreceipt tolerance	No	Yes	No
Return to supplier against controlled entity?	Yes	Yes	Yes	Yes	No	Yes	Yes

Control Effect	Close	Close for Invoicing	Close for Receiving	Cancel	Finally Close	Freeze	Hold
Invoice against controlled entity?	Yes	Yes	Yes	Yes	No	Yes	No
Effect on supply or available to promise?	Closed quantity no longer available as supply; supply is recreated when reopened	No effect	Closed quantity no longer available as supply; supply is recreated when reopened	Canceled quantity no longer available as supply	Finally Closed quantity no longer available as supply	No effect	No effect
Effect on associated requisitions?	No effect	No effect	No effect	Determined by Purchasing Options: Never, Always, Optional	No effect	No effect	No effect

Effects of Control Actions on Purchase Agreements

This table lists the effects of purchase agreement control actions. Purchase agreement control actions include: Cancel, Finally Close, Freeze and Hold. For a given control action, a corresponding control effect may be indicated as one of the following:

- Yes, it does occur.
- No, it doesn't occur.

Control Effect	Cancel	Finally Close	Freeze	Hold
Modify controlled entity?	No	No	No	Yes
Action causes revision change?	Yes	No	No	No
Communicate document?	Yes	Yes	Yes	Yes
Can release against the document?	No	No	Yes	No

Document History for Purchasing Documents

As a requester, category manager, buyer, approver or supplier you can track all actions taken on a purchasing document. Use the Document History page to view a sequential list of all actions that were performed on a given purchase agreement or purchase order.

You can view document history from the Purchase Agreements work area, Manage Agreements task, or the Purchase Orders work area, Manage Orders task. To view the page, open a document and either click the Status link or select the View Document History action.

Document History Information

The information you can view on the Document History is organized into three tracking levels:

1. The header and status information for the original document.
2. Actions taken on the original document. For example, Request Acknowledgment, or Change Order.
3. Actions taken on change orders. For example, Submit.

History information you can view for a document includes:

- Document header information, such as: buyer, supplier and supplier site, procurement business unit, document number, and status.
- Action performed.
- Performed by party and name.
- Action date.
- Additional Information.

Document history actions you can view include:

- Approvals (For example: Submitted, Approved, Rejected)
- Changes (For example: Change Submitted, Pending Change Approval, and Change Approved)
- Other Actions (For example Canceled, Returned, or Reassigned)

Action Details

When you click an action link on the page, you can open additional pages to view further action details. For example:

- Click a purchase order number link to view the order.
- Click a change order link to view the change order page.
- Click a submit action link to view the approval path for the document, including any approval actions already taken.

Related Topics

- [How can I find the history of an order or agreement?](#)
- [Document History](#)

How You Reassign Purchasing Documents

You can run a process to reassign purchasing documents from one buyer to another, including purchase agreements, contract agreements and purchase orders.

To run the process use the Reassign Purchasing Documents task, from the Purchase Agreements or Purchase Orders work area.

Note: To use the Reassign Purchasing Documents task you must have a role with the Reassign Purchasing Document privilege. For example, Procurement Manager, Category Manager or Buyer.

Settings That Affect the Reassign Purchasing Documents Process

This table lists selection parameters and their descriptions for the Reassign Purchasing Documents process.

Parameter	Description
Document Type	Required. Reassigns documents based on document type. Values include: Purchase Agreements, Purchase Orders, and Purchase Orders and Agreements.
Procurement BU	Required. Reassigns documents for the specified procurement business unit.
Requisitioning BU	Optional. Reassigns documents for a specified requisitioning business unit within the procurement business unit.
Supplier	Optional. Reassigns documents for a specified supplier, within the specified procurement business unit.
Old Buyer	Required. Reassigns documents from the specified buyer to another specified new buyer.
New Buyer	Required. Reassigns documents from the specified old buyer to this specified new buyer.

How Reassign Purchasing Documents Is Processed

Based solely on the required parameters, you can reassign purchasing documents from one buyer to another, for a specified document type and procurement business unit.

You can also use the optional parameters to perform a more granular reassignment of a subset of those purchasing documents between buyers.

- Reassign documents of a specified type for a requisitioning business unit within the procurement business unit.
- Reassign documents of a specified type within the procurement business unit, for a specified supplier.

Centralized Procurement Billing

Procurement billing services can be centralized without requiring financial orchestration flows which simplifies both the process and the accounting.

Key components of centralized billing are:

- Bill-to business unit (BU) as invoice processing party
- Sold-to legal entity (LE) as the liable party
- No inter-company invoices required

Bill-to Business Unit

This is the business unit which vouchers supplier invoices for a received purchase order. A single bill-to BU can serve as a centralized invoice processing party for multiple requisitioning business units. The bill-to BU on the purchase order is derived from the bill-to BU specified on the supplier site assignment for the requisitioning BU on the purchase order.

Sold-to Legal Entity

This is the legal entity that's financially responsible for the purchases on a purchase order and is specified on that purchase order. So even though the invoicing is handled by another party the liability for the purchase remains with this legal entity.

Inter-company Invoices

Using this method of centralized billing means that no inter-company invoices are required. Accounting for the purchases are managed through standard general ledger journal entries.

Related Topics

- [What's a legal entity's role in global procurement?](#)

FAQs for Track Purchase Order Life Cycle

How can I check order fulfillment status?

You can check order fulfillment status using the Order Life Cycle page, which summarizes all downstream fulfillment and settlement activities including in-transit shipments, shipped amounts, receipts and invoices.

The page highlights any remaining pending balances pending for such activities. This page also provides links to further examine specific transaction details.

For additional information, from a schedule, you can drill down into the Schedule Life Cycle page.

Sometimes an order's receipt or invoicing numbers are larger than the order specifies. To quickly identify these situations at a glance, the application can be configured by your administrator to view order and schedule life cycle information as bar graphs instead of pie charts.

How can I find the history of an order or agreement?

You can view the Document History page. Open the page from the Purchase Orders work area, Manage Orders task, or the Purchase Agreements work area, Manage Agreement task.

- In the search results, click the document's **Status** link.
- On the document view or edit pages, click the document's Status link, or select the View Document History action.

Use the Document History page to view a comprehensive audit trail of all actions taken, changes proposed, and changes implemented on the document. You can also view action details for the document.

Related Topics

- [Document History](#)
- [Document History for Purchasing Documents](#)

How can I view tracking or life cycle information on a consignment order?

You can view summary information regarding the consignment life cycle on the contextual area of the view purchase order page and the view purchase order schedule details page. You can also drill down to the Schedule Life Cycle page for more complete details.

The Schedule Life Cycle page lets you track amount and quantity details such as agreed, ordered, shipped, consigned, delivered, and invoiced.

Close Purchase Order

What happens if a purchase order is closed?

You can close and reopen purchase orders and their components using the Actions menu. You would close the order if you don't expect any further transactions and want it not to appear on any open document queries.

You can reopen either through a manual action or a return of material. In rare occasions, an increase in ordered quantity or the addition of new ordered items results in a reopen.

The application has the ability to automatically set the status to closed for schedules, lines, and entire orders based on controls that are defined by your organization. Once all schedules for a given line are closed, the line is closed. When all lines for a given header are closed, the document is closed.

The closing controls include:

- Receipt Close Tolerance Percent
- Receipt Close Point
- Invoice Close Tolerance Percent

A schedule has a status of Closed for Receiving when it satisfies the two receipt close controls. This doesn't prevent further receipts but begins the steps necessary to automatically close the document. A schedule has a status of Closed for Invoicing when it satisfies the invoice close control. This status won't prevent you from matching an invoice to the purchase order or to the receipt but begins the steps needed to automatically close the document. Both of these statuses can apply to the header, line, and schedule levels.

Related Topics

- [What's a receipt close tolerance percent?](#)
- [What's an invoice close tolerance percent?](#)
- [Effects of Control Actions on Purchasing Documents](#)

What's an invoice close tolerance percent?

This setting is used to close a schedule for invoicing. It is the allowable difference (expressed as a percentage) between the amount invoiced stated on the order schedule and the actual amount invoiced.

Invoiced amounts can vary up to this difference without preventing an automatic closed for receipt status. You can override this option for specific items and orders.

For example, with an invoice close tolerance percent of 99 the schedule would automatically be closed for invoicing when 1 percent of the amount is invoiced.

What's a receipt close tolerance percent?

This setting is used in combination with the closing point to close a schedule for receiving. It is the allowable difference (expressed as a percentage) between the quantity stated on the order schedule and the actual quantity received.

Quantities can vary up to this difference without preventing an automatic closed for receipt status. You can override this option for specific items and orders.

Note: You must also set the receiving close point.

For example, with a receipt close tolerance percent of 99 with a quantity ordered of 100 and a closing point of receipt the schedule would automatically be closed for receiving when 1 of the 100 are received.

Related Topics

- [Receipt Close Point](#)

Close Purchase Order Schedules Using a Spreadsheet

As a user with the Buyer role you can close or finally close approved purchase order schedules in batches using a spreadsheet.

For example, you can review open transactions that have been inactive for a long period of time. If they're overdue for closure you can update their status.

Follow these steps to close schedules using a spreadsheet:

- Select and download purchase order schedules to a spreadsheet.
- Review the schedules in the spreadsheet and update their status to closed or finally closed.
- Upload the spreadsheet to update the application.

Before You Start

Before you can close schedules using a spreadsheet, you must install the Oracle ADF Desktop Integration client software on your computer. The add-in enables desktop integration with Microsoft Excel workbooks. Download the installation files from **Navigator > Tools > Download Desktop Integrator Installer**.

Select and Download Purchase Order Schedules

Follow these steps to select and download purchase order schedules to a spreadsheet:

1. **Navigator > Purchase Orders work area > Purchase Orders page.**
2. **Task pane > Close Schedules in Spreadsheet task.**

Note: To see the task you must have the Close Purchase Order, or Final Close Purchase Order privilege.

3. In the Close Schedules in Spreadsheet dialog, enter criteria to select the schedules you want to review for closure. This table lists the available selection criteria, whether or not the selection criteria is required, and additional comments.

Selection Criteria	Required?	Comments
Procurement BU	Yes	You must enter the procurement business unit for the purchase order schedules. The default value is derived from the following: a. The procurement business unit from your setup in the Manage Procurement Agents task, if you have only one business unit defined. b. Otherwise, the procurement business unit from the profile option Default Procurement Business Unit. c. Otherwise, no default value is displayed.
Requisitioning BU	Yes	You must enter the requisitioning business unit for the purchase order schedules. The default value is derived from the following. a. The requisitioning business unit specified as a client of the procurement business unit, if there is only one requisitioning business unit specified. b. Otherwise, the requisitioning business unit from your setup in the Manage Procurement Agents task. c. Otherwise, no default value is displayed.
From and To PO Creation Date	No	You can enter a date or date range during which the purchase orders were created.
Days of Inactivity	No	You can enter the number of days since a purchasing document had receiving or invoice activity.
Requester	No	You can select schedules containing distributions associated with a particular requester.
From and To Budget Date	No	You can enter a date or date range for the budget period in the budget calendar. A schedule is included in the output if it has at least one distribution with a budget date within the given range.

Selection Criteria	Required?	Comments
Exclude Project Related	No	You can opt to exclude purchase order schedules that have project-related distributions.

4. Click Create in Spreadsheet. All schedules matching the selection criteria are downloaded to an ADFdi spreadsheet. In addition, the schedules downloaded include only those in the following statuses:
 - o open
 - o closed
 - o closed for invoicing
 - o closed for receiving
 - o canceled
 - o on hold
5. In the Opening CloseSchedules.xlsx dialog, select Open with Microsoft Office Excel, then click OK.
6. In the Connect dialog, click Yes.
7. In the Oracle Fusion Applications Sign In dialog, enter your User ID and Password, and click Sign In.

Review the Schedules and Update Their Status

Follow these steps to use the Close Schedules spreadsheet to review the downloaded schedules and update their status:

1. In the Close Schedules spreadsheet, there are two tabs: Instructions and Close Schedules.
2. In the Close Schedules tab, the list of selection criteria used to download the rows of schedules displays at the top.
 - a. Review the schedules in the spreadsheet to determine which to close, finally close, or to not act on.
 - b. For each schedule in the spreadsheet, in the Action column, select one from the list of values: Close, Finally Close, or blank for those you choose not to act on.
 - c. Optionally, you can enter a Reason for closing a schedule.

Upload the Spreadsheet to Update the Application

Follow these steps to upload the edited spreadsheet and update the application.

1. In the Close Schedules tab on the spreadsheet ribbon, click the Upload icon.
2. The Status column for each row displays the processing status for the uploaded purchase order schedule.
 - a. Processed rows show the status: Row Updated Successfully. Click the Status Viewer icon on the spreadsheet ribbon. In the Status Viewer pane you can see the message: No Error.
 - b. Rows with an upload error show the status: Update Failed. Click the Status Viewer icon on the spreadsheet ribbon. In the Status Viewer pane you can examine the error details.

You can work in small batches. Take action on a few rows and upload them. After successful processing, you can click the Download icon in the spreadsheet ribbon to download the updated schedules. The same combination of selection criteria used to create the original spreadsheet are used to retrieve the schedules. Any schedules that were updated to Finally Closed status are removed from the results.

Note: The maximum number of schedules that can be processed at one time using the spreadsheet is 5000. You can use the selection criteria on the Close Schedules in Spreadsheet dialog to process batches smaller than the maximum.

Related Topics

- [Guidelines for Using Desktop Integrated Excel Workbooks](#)

Freeze Purchase Order

What happens if I freeze a purchasing document?

Freeze your purchase orders to prevent changes or additions while maintaining the ability to receive and match invoices against received schedules. Freezing a purchase order cancels any pending change order that might exist on the purchase order.

Use the Actions menu to freeze or unfreeze a document.

Related Topics

- [Effects of Control Actions on Purchasing Documents](#)

Hold Purchase Order

What happens if a purchasing document is put on hold?

Place documents on hold to prevent receiving and invoicing until you remove the hold.

Use the Actions menu to hold or remove a hold on a document.

Related Topics

- [Effects of Control Actions on Purchasing Documents](#)

Retire Purchase Order

What happens if a purchasing document status is finally closed?

You can prevent modifications to or actions against completed documents, lines, and schedules by final closing them.

You can't perform certain actions against final-closed entities, such as receive, transfer, inspect, deliver, correct receipt quantities, invoice, return to supplier, or return to receiving. You can approve documents that include final-closed entities, but you can't approve documents that are final closed at the header level. You can print final-closed documents because that has no bearing on your contractual relationship with the supplier.

A schedule is finally closed when an accounts payable clerk indicates a final match while matching an invoice.

Related Topics

- [What happens if a purchase order is closed?](#)
- [Effects of Control Actions on Purchasing Documents](#)

9 Supplier Agreements

Use the Purchase Agreements Work Area

Purchase Agreement Infolets

An infolet is a small interactive widget that gives you key information and shows you what's going on in the areas you work on. You might also find something that you need to follow up on.

The Purchase Agreements work area landing page highlights purchasing agreement transactions that require category manager's attention and infolets that include key alerts and important metrics.

Here's the list of infolets that are available on the Purchase Agreements work area to provide insight into purchase agreements:

- **Requiring Attention:** Displays counts of agreements that might require a category manager's attention, such as agreements rejected or agreements with upload errors.
- **In Process:** Displays the total number of agreements and change orders in process. It also displays counts by status.
- **Recent Activity:** Provides visibility to recent actions taken on the category manager's agreements, such as acknowledgment and change orders.
- **Expiring:** Displays counts of expiring agreements that are assigned to the category manager.
- **Incomplete:** Displays counts of incomplete agreements and change orders that are assigned to the category manager.
- **Amount Consumed:** Displays agreements by consumption rate, including agreements that are over consumed.
- **Consumption at Risk:** Shows agreements that have consumption issues based on the predefined released amounts captured on the individual agreement.
- **No Activity:** Displays the number of agreements that have had no activity in the past six months.

Note: Infolets in the Purchase Agreements Overview page only reports on transaction count where the transactions are assigned to the logged in user.

Related Topics

- [How You Use and Personalize Infolets in Oracle Fusion Cloud SCM and Procurement](#)
- [Overview of Infolets](#)

Consumption at Risk Infolet

Use the Consumption at Risk infolet to track amounts released against your purchase agreements. You can view a summary of agreements with consumption at risk, and take necessary actions to correct the causes.

You can view the infolet from the **Purchase Agreements** work area, on the **Overview** page. The infolet shows any agreements which are under released, over released, or more than 100 percent released. The information is based on the notification controls set up on the agreement's Controls tab. Click a bar in the graph to view the agreements with a particular consumption status. If there are more than one agreement in the category, a list of the agreements is displayed in the Manage Agreements page. Click an agreement number link to view the details of the agreement.

This table lists the categories of agreements displayed on the Consumption at Risk infolet, with descriptions.

Category	Description
Over 100%	Includes the agreements that have released more than the agreement amount specified on an agreement.
Over-released	Applies to agreements with any notification control entry with a condition of Amount Released. Includes the agreements that have released more than the specified amount or percentage of the agreement amount.
Under-released	Applies to agreements with any notification control entry with a condition of Amount Not Released. Includes the agreements that haven't released up to the specified amount or specified percentage of agreement amount.

Related Topics

- [How You Use and Personalize Infolets in Oracle Fusion Cloud SCM and Procurement](#)
- [Set Up an Agreement to Monitor Consumption Risk](#)

Set Up an Agreement to Monitor Consumption Risk

You can set up an agreement to monitor the amounts released. Based on the setup, the application populates the Consumption at Risk infolet with information about the amount released or not released against the agreement.

To set up an agreement to monitor the amount released or not released:

1. Use the Purchase Agreements work area to create a new agreement, or edit an existing one.
2. On the agreement's Controls tab, in the Notification Controls section, add a new row to the table.
3. In the Condition column, select either Amount Released or Amount Not Released.
 - To monitor over released amounts, you can set up the Amount Released in the notification controls.
 - To monitor under released amounts, you can set up the Amount Not Released in the notification controls.
4. You can set up the notification controls to monitor releases by amount or by percent. To monitor releases by percent, you must first have entered a value in the Agreement Amount field on the agreement's Main tab, General section.
5. Optionally, you can use the Start Date and End Date fields to define a period for tracking an amount released against the agreement.
6. Click Save.

Related Topics

- [Consumption at Risk Infolet](#)
- [How You Use and Personalize Infolets in Oracle Fusion Cloud SCM and Procurement](#)

Set Up an Agreement to Notify Agents about the Agreement Expiry

To set up an agreement to notify agents about the agreement expiry, follow these steps:

1. Use the Purchase Agreements work area to create a new agreement or edit an existing one.
2. On the agreement's Controls tab, in the Notification Controls section, add a new row to the table.
3. In the Condition column, select Expiration.
4. Use the Start Date and End Date fields to define a period for notifying agents about the agreement expiry.
5. Click **Save**.

Create Supplier Agreement

What's the difference between a purchase order, a purchase agreement, and a contract agreement?

Oracle Purchasing provides the following purchase order types: purchase order, blanket purchase agreement, and contract purchase agreement.

Note that your organization can change the names of these documents to suit your business needs, but in their basic form the following describes their function:

- Purchase Order

You generally create a purchase order for a one-time purchase of various items. You create a purchase order when you know the details of the goods or services that you require, estimated costs, quantities, delivery schedules, and accounting distributions.

- Blanket Purchase Agreement

You create blanket purchase agreements when you know the details of the goods or services you plan to buy from a specific supplier in a period, but you do not yet know the detail of your delivery schedules. You can use blanket purchase agreements to specify negotiated prices for your items before actually purchasing them. Prices for items can be negotiated on a blanket purchase agreement by a procurement business unit which can then be made available to multiple requisitioning business units.

- Contract Purchase Agreement

You create a contract purchase agreement with your supplier to agree on specific terms and conditions without indicating the goods and services that you will be purchasing. You can later issue purchase orders referencing

your contracts using terms negotiated on a contract purchase agreement by a procurement business unit which can then be made available to multiple requisitioning business units.

How Purchasing Document Header Defaults Work

To minimize document creation time and reduce errors, a comprehensive defaulting mechanism is used to provide most required purchasing document header information. In this context, default means that the application provides this information for you.

How Purchasing Document Header Defaulting Rules Work

The header or general information portion of a purchasing document contains the details that apply to the entire document.

The table lists the header fields that can appear on a purchasing document page. The following columns indicate where the default comes from for each document type. Document types include purchase order, blanket purchase agreement, and contract agreement.

- These rules don't apply to the case when a line is brought over from the catalog or a requisition line.
- In the following table, when options for a purchasing document header default rule are listed as 1, 2, 3 and so on, the application looks first for the option specified as number 1. If information isn't available in this source, it uses the next numbered source, and so on.

Header Fields	Purchase Order	Blanket Purchase Agreement	Contract Agreement
Automatically Generate Orders	Not applicable	Procurement Business Function Configuration of the Procurement BU	Procurement Business Function Configuration of the Procurement BU
Automatically Submit for Approval	Not applicable	Procurement Business Function Configuration of the Procurement BU	Procurement Business Function Configuration of the Procurement BU
Bill-to Location	1. Supplier Site Assignment record of the supplier site in the Sold-to BU 2. Common Payables and Procurement Configuration setting for the Sold-to BU 3. Location of the Bill-to BU, if it's Bill-to Site	Not applicable	Not applicable
Buyer	Current signed in user who opens the create document window	Current signed in user who opens the create document window	Current signed in user who opens the create document window
Shipping Method	1. Source Agreement 2. Supplier Site 3. Procurement Business Function Configuration of the Procurement BU	1. Supplier Site 2. Procurement Business Function Configuration of the Procurement BU	1. Supplier Site 2. Procurement Business Function Configuration of the Procurement BU

Header Fields	Purchase Order	Blanket Purchase Agreement	Contract Agreement
Communication Method	1. Supplier Site 2. None Note: For Change Orders: Procurement Business Function Configuration of the Procurement BU	Same as purchase order	Same as purchase order
Confirming order	Deselected	Deselected	Deselected
Conversion Date	1. The current date in the legal entity's time zone, if available. 2. Otherwise, the current date in the application server's time zone.	Not applicable	Not applicable
Conversion Rate Type	1. If currency is fixed rate as defined in GL then set to EMU Fixed 2. Common Payables and Procurement Configuration setting for the Sold-to BU 3. Set it to Corporate	Not applicable	Not applicable
Currency	1. Invoice Currency of the Supplier Site 2. Primary ledger currency of the Sold-to LE	1. Invoice Currency of the Supplier Site 2. Procurement Business Function Configuration of the Procurement BU	Same as blanket purchase agreement
Default Ship-to Location (If only Services, the attribute name is Default Work Location)	1. Supplier Site Assignment record in the Requisitioning BU 2. Requisitioning Business Function Configuration of the Requisitioning BU	Not applicable	Not applicable
Email (If Communication Method is email)	1. Supplier Contact 2. Supplier Site	Same as purchase order	Same as purchase order
FOB	1. Supplier Site 2. Procurement Business Function Configuration of the Procurement BU	Same as purchase order	Same as purchase order
Fax (If Communication Method is Fax)	1. Supplier Contact 2. Supplier Site	Same as purchase order	same as purchase order
Freight Terms	1. Supplier Site	Same as purchase order	Same as purchase order

Header Fields	Purchase Order	Blanket Purchase Agreement	Contract Agreement
	Procurement Business Function Configuration of the Procurement BU		
Group Requisitions	Not applicable	Procurement Business Function Configuration of the Procurement BU	Not applicable
Group Requisition Lines	Not applicable	Procurement Business Function Configuration of the Procurement BU	Not applicable
Pay on Receipt	- Source Agreement - Supplier Site - Deselected	- Supplier Site - Deselected	- Supplier Site - Deselected
Payment Terms	- Supplier Agreement - Supplier Site - Procurement Business Function Configuration of the Procurement BU - Manage Invoice Options task setup for invoicing business unit, in the Setup and Maintenance work area	- Supplier Site - Procurement Business Function Configuration of the Procurement BU	- Supplier Site - Procurement Business Function Configuration of the Procurement BU
Document Style	Style Display Name for the Purchase Order document type as specified in the Style "Standard Style"	Style Display Name for the Blanket Purchase Agreement document type as specified in the Style "Standard Style"	Style Display Name for the Contract Purchase Agreement document type as specified in the Style "Standard Style"
Procurement BU	- Assigned Procurement BU of the worker, if there is one and only one active assignment. - Profile option "Default Procurement Business Unit", if there is more than one active assignment for the worker - Blank	Same as purchase order	Same as purchase order
Retroactive Pricing Terms	Not applicable	Selected	Not applicable
Required Acknowledgment	Supplier Site	Supplier Site: Only when the site is set to Document. Otherwise, it's None.	Supplier Site: Only when the site is set to Document. Otherwise, it's None.
Requisitioning BU	- Client of the Procurement BU if there is only active client. - Buyer's Procurement BU Assignment details, if there are multiple clients of the Procurement BU - Blank	Same as purchase order	Same as purchase order

Header Fields	Purchase Order	Blanket Purchase Agreement	Contract Agreement
Supplier Site	Supplier, if there is only one active purchasing site for the Procurement BU with an active site assignment for the Requisitioning BU	Supplier, if there is only one active purchasing site for the Procurement BU	Supplier, if there is only one active purchasing site for the Procurement BU
Supplier Contact	Supplier Site, if there is only one active contact for the site	Same as purchase order	Same as purchase order
Taxation Country	Country of the Legal Entity of the Sold-to LE	Not applicable	Not applicable
Use requested date	Not applicable	Procurement Business Function Configuration of the Procurement BU	Not applicable
Use ship-to organization and location	Not applicable	Procurement Business Function Configuration of the Procurement BU	Not applicable
Aging Onset Point	Not applicable	1. Supplier Site 2. Configuration Procurement Business Function parameters for the Procurement BU on the document header 3. None	1. Supplier Site 2. Configuration Procurement Business Function parameters for the Procurement BU on the document header 3. None
Aging Period Days	Not applicable	1. Supplier Site 2. Configuration Procurement Business Function parameters for the Procurement BU on the document header 3. None	1. Supplier Site 2. Configuration Procurement Business Function parameters for the Procurement BU on the document header 3. None
Allow ordering from unassigned sites	Not applicable	Deselected	Deselected
Amount Limit	Not applicable	• New Agreement Amount entered by the user, if Amount Limit and Agreement Amount are same • No change in the default value when the user updates Agreement Amount, if Amount Limit and the original Agreement Amount values aren't same	• New Agreement Amount entered by the user, if Amount Limit and Agreement Amount are same • No change in the default value when the user updates Agreement Amount, if Amount Limit and the original Agreement Amount values aren't same
Bill-to BU	1. Source Agreement 2. Supplier Site Assignment	Not applicable	Not applicable
Buyer managed transportation	1. Source Agreement	1. Supplier Site	1. Supplier Site

Header Fields	Purchase Order	Blanket Purchase Agreement	Contract Agreement
	2. Supplier Site 3. Procurement Business Function Configuration of the Procurement BU	2. Procurement Business Function Configuration of the Procurement BU	2. Procurement Business Function Configuration of the Procurement BU
Default line as consignment line	- If no value is entered, and the Consignment terms enabled check box is selected, then default to Selected - Else, default to Deselected	- If no value is entered, and the Consignment terms enabled check box is selected, then default to Selected - Else, default to Deselected	- If no value is entered, and the Consignment terms enabled check box is selected, then default to Selected - Else, default to Deselected
Document Fiscal Classification	The attribute value defaults from the tax setup	Not applicable	Not applicable
First Party Tax Registration Number	Tax Defaulting API	Not applicable	Not applicable
Taxation Country	Country of the Sold-to LE	Not applicable	Not applicable
Enable automatic sourcing	Not applicable	Not applicable	Procurement Business Function Configuration of the Procurement BU
Punchout requests only	Not applicable	Not applicable	Procurement Business Function Configuration of the Procurement BU
Use customer sales order	Not applicable	The default value of the attribute is derived from the Use customer sales order check box on the Procurement BU in which the agreement is being created	The default value of the attribute is derived from the Use customer sales order check box on the Procurement BU in which the agreement is being created
Communicate repriced orders	Not applicable	Selected	Not applicable
Enable retroactive pricing	Not applicable	Selected	Selected
Initiate process upon agreement approval	Not applicable	Deselected	Not applicable
Reprice open orders only	Not applicable	Selected	Not applicable

Related Topics

- Where do the purchase order defaults come from?

How Purchasing Document Line Defaults Work

To minimize document creation time and reduce errors, a comprehensive defaulting mechanism is used to provide most required purchasing document line information. In this context, default means that the application provides this information for you when you create a new line.

How Purchasing Document Line Defaulting Rules Work

The table lists the line fields that can display on a purchasing document page. The following columns indicate where the default comes from for that document type. Document types include purchase orders and blanket purchase agreements.

- When information labels are listed as 1, 2, 3, and so on, the application looks first to the option specified as number 1. If information isn't available in this source, it uses the next numbered source.

Line Fields	Purchase Order	Blanket Purchase Agreement
Allow Price Override	Not applicable	Deselected for goods lines and selected for services lines
Category Name	- Item as defined in the Ship-to Organization - Line Type	Same as purchase order
Deliver-to Location	- Requester's location if its ship-to location matches the ship-to location of the line - Ship-to location of the associated schedule	Not applicable
Description	Item as defined in the Ship-to Organization	Not applicable
Destination Type	"Inventory" if item is stockable in Ship-to Organization and inventory is implemented "Expense"	Not applicable
Hazard Class	- Source Agreement Line - UN Number - Item as defined in the Inventory Organization on Procurement Business Function Configuration of the Procurement BU	- UN Number - Item as defined in the Inventory Organization on Procurement Business Function Configuration of the Procurement BU
Invoice Close Tolerance Percent	100 if procurement card on the header - Item as defined in the Ship-to Organization - Configure Procurement Business Function - Set it to "0"	Not applicable
Invoice Match Option	- Item as defined in the Ship-to Organization - Line Type - Supplier Site	Not applicable

Line Fields	Purchase Order	Blanket Purchase Agreement
	4. "Order"	
Location	- Header - BU assignment record of the source agreement corresponding to the Requisitioning BU - Supplier Site Assignment record of the supplier site in the Requisitioning BU - Requisitioning Business Function Configuration of the Requisitioning BU	Not applicable
Match Approval Level	- Item as defined in the Ship-to Organization - Line Type - Supplier Site - Procurement Business Function Configuration of the Procurement BU "2-Way" Note that if the default value is "4-Way" and one of these conditions is true, then set the default to "3-Way": - Purchase basis of the line type is SERVICES - Receipt Routing is NOT Inspection Required	Not applicable
Negotiated	- Selected, if the PO is created from a source agreement - Agreement Line, if the PO line is sourced from a blanket purchase agreement - Deselected	Selected
Organization	- Inventory Organization associated with the line Ship-to Location - Inventory Organization associated with the header Ship-to Location - Deliver-to Organization from the Requisitioning Business Function Configuration of the Requisitioning BU	Not applicable
Price	- Source agreement - Item as defined in the Inventory Organization on Procurement Business Function Configuration of the Procurement BU	Item as defined in the Inventory Organization on Procurement Business Function Configuration of the Procurement BU
Price Break Type	Not Applicable	Procurement Business Function Configuration of the Procurement BU
Secondary Quantity	Based on the conversion of the primary UOM and secondary UOM if the Defaulting definition of the UOM for the item is "Fixed" or "Default"	Not applicable
Supplier Item	- Requisition line being fulfilled - Source Blanket Purchase Agreement line - Applicable Approved Supplier List entry	Master Item*

Line Fields	Purchase Order	Blanket Purchase Agreement
	4. Master Item* *If these conditions are met: - The trading partner type for the item master must be a supplier. - The trading partner name must match the supplier on the purchase order. - The trading partner item status must be active or null. - The supplier item relationship start date must be effective while creating a purchase order. - The relationship status must not be obsolete. - Only one relationship must meet these conditions for the master item.	*If the Populate Trading Partner Item Details on Agreements profile Option is set to Yes and these conditions are met: - The trading partner type for the item master must be a supplier. - The trading partner name must match the supplier on the blanket purchase agreement. - The trading partner item status must be active or null. - The supplier item relationship start date must be effective while creating a blanket purchase agreement. - The relationship status must not be obsolete. - Only one relationship must meet these conditions for the master item.
Manufacturer	1. Source Blanket Purchase Agreement line 2. Requisition line for a punchout item 3. Master Item* *If these conditions are met: - The trading partner type for the item master must be a manufacturer. - The manufacturer status must be active or null. - The manufacturer item relationship start date must be effective while creating a purchase order. - The relationship status must not be obsolete. - Only one relationship must meet these conditions for the master item.	Master Item* *If the Populate Trading Partner Item Details on Agreements profile Option is set to Yes and these conditions are met: - The trading partner type for the item master must be a manufacturer. - The manufacturer status must be active or null. - The manufacturer item relationship start date must be effective while creating a blanket purchase agreement. - The relationship status must not be obsolete. - Only one relationship must meet these conditions for the master item.
Manufacturer Part Number	1. Source Blanket Purchase Agreement line 2. Requisition line for a punchout item 3. Master Item* *If these conditions are met: - The trading partner type for the item master must be a manufacturer. - The manufacturer status must be active or null. - The manufacturer item relationship start date must be effective while creating a purchase order. - The relationship status must not be obsolete. - Only one relationship must meet these conditions for the master item.	Master Item* *If the Populate Trading Partner Item Details on Agreements profile Option is set to Yes and these conditions are met: - The trading partner type for the item master must be a manufacturer. - The manufacturer status must be active or null. - The manufacturer item relationship start date must be effective while creating a blanket purchase agreement. - The relationship status must not be obsolete. - Only one relationship must meet these conditions for the master item.

Line Fields	Purchase Order	Blanket Purchase Agreement
Type	1. Procurement Business Function Configuration of the Procurement BU 2. Document Style 3. "Goods."	Same as purchase order
UN Number	1. Source agreement line 2. Item as defined in the Ship-to Organization	Item as defined in the Inventory Organization on Procurement Business Function Configuration of the Procurement BU
UOM	1. Item as defined in the Ship-to Organization 2. Line Type	1. Item as defined in the Inventory Organization on Procurement Business Function Configuration of the Procurement BU 2. Line Type
Aging Period Days	Not Applicable	If the field is blank and the Consignment Line is set to Y, then the attribute value defaults from the document header
Allow item description update	Not Applicable	1. Item definition in the Inventory Organization specified on Procurement Options of the Procurement BU of the agreement 2. Deselected, if no item
Consignment Line	Not Applicable	If the field is blank and the Consignment Line is set to Y, then the attribute value defaults from the document header
Destination Charge Account	The default value of the attribute is derived by calling Transaction Account Builder, if any of these is true: • The PO schedule has a financial orchestration flow and destination type is Expense and project hasn't been entered • The PO schedule has a financial orchestration flow and destination type is Expense and project has been entered and PJC_ALLOW_ACCOUNT_OVERRIDE profile allows account to be updated	Not applicable
Intended Use	The attribute value defaults from the tax setup	Not applicable
PO Charge Account	If the field is editable and it's blank, default value of the attribute is derived by using Transaction Account Builder	Not applicable
Product Category	The attribute value defaults from the tax setup	Not applicable
Product Fiscal Classification	The attribute value defaults from the tax setup	Not applicable

Line Fields	Purchase Order	Blanket Purchase Agreement
Product Type	The attribute value defaults from the tax setup	Not applicable
Shipping Method	1. Source Agreement 2. Header	Not applicable
Tax Classification	The attribute value defaults from the tax setup	Not applicable
Transaction Business Category	The attribute value defaults from the tax setup	Not applicable
User-Defined Fiscal Classification	The attribute value defaults from the tax setup	Not applicable

Related Topics

- [Where do the purchase order defaults come from?](#)

Create Supplier Agreement Online

Considerations for Creating Supplier Agreements

A supplier agreement is a long-term agreement for the purchase of goods and services from a supplier. The two types of supplier agreements are blanket purchase agreements and contract purchase agreements.

Procurement agents can create a draft supplier agreement by any of the following methods:

- Create a supplier agreement in the user interface.
- Duplicate an existing agreement.
- Import a supplier agreement from an external application.
- Process a negotiation award into a supplier agreement.
- Process a supplier contract deliverable into a supplier agreement

Consider the following main attributes when entering a supplier agreement.

- Document Style
- Business Unit: Procurement BU
- Supplier, Supplier Site, and Supplier Contact
- Currency
- Communication Method
- Agreement Amount and Amount Limit
- Price Update Tolerance Percent

Document Style

When you create a supplier agreement, you select an appropriate document style to reduce the complexity of creating the supplier agreement. The document style exposes only the needed functionality on the agreement. For example, you

may want to create a blanket purchase agreement with your supplier only for services. You can choose a document style that allows only services lines on the agreement.

Procurement BU

Procurement business units are responsible for procurement business functions, including supplier management, contract negotiation and administration, and order issuance and administration.

Depending on business requirements, a procurement business unit can either:

- Perform these functions in response to its own requirements for purchased goods and services.
- Serve as a shared procurement service center that can process requisitions from multiple client business units.

As a buyer, you can choose a procurement business unit to own and manage the supplier agreement through its life cycle. You can then provide the client business units access to the agreement so they can purchase using the agreement.

Supplier, Supplier Site, and Supplier Contact

Enter or select the name of the Supplier for this supplier agreement. To submit a supplier agreement for approval, you must provide a supplier.

Enter or select the Supplier Site for this supplier agreement.

You can optionally enter the name of the contact at the supplier site. If the supplier you choose has only one contact name, the value populates this field.

Currency

Enter or select the Currency for the supplier agreement. You can change currency information until the supplier agreement is approved.

Communication Method

You can communicate your agreements, along with any attachments to suppliers using print, fax, or email. Attachments might include amendments, contract terms and contractual deliverables.

You can also communicate supplier agreements using Oracle Collaboration Messaging.

For electronic business to business communication, you can't communicate attachments with agreements.

Communication Method is populated with a value based on the specified supplier site's preferred communication method.

The application automatically initiates the communication process upon approval of the document, if:

- A communication method other than None is specified on the document.
- Or the supplier site is set up for communication by means of business to business electronic communication.

Alternatively, you can communicate documents to your supplier in batch by scheduling the Communicate Purchasing Documents process. The process sends the communication using the method specified on the purchasing document.

If the automatic communication fails for any reason, you can resend the document using the Communicate action. Use this action to select a communication method different from the supplier's preferred communication method.

Agreement and Limit Amount

You can specify the agreement amount, which represents the amount you expect to buy from the supplier over the lifetime of the agreement.

You can specify the limit or maximum amount you intend to buy from the supplier over the lifetime of the agreement. The application prevents you from issuing purchase orders against the agreement once the amount limit has been reached.

Price Update Tolerance Percent

The application alerts you if the price change percent on any change order for the agreement exceeds the Price Update Tolerance Percent on any line. Such lines are clearly highlighted in the approval request task detail to enable an approver to make an informed decision.

Related Topics

- [What's the difference between a purchase order, a purchase agreement, and a contract agreement?](#)
- [Allow Retroactive Pricing Options](#)
- [Supplier Agreement Order Automation Controls](#)
- [What's a document style?](#)
- [Standard Purchasing Terms and Conditions](#)

Example of Supplier Agreement Business Unit Access

As a procurement agent you can specify the client requisitioning business units that can purchase using a supplier agreement. Do this using the agreement's Business Unit Access region, on the Control tab.

You can allow all clients of the procurement business unit to purchase using the agreement, or a specific client, or some subset. In addition, you can specify the supplier site, ship-to location, and bill-to location for purchase orders created for these client business units.

Each client requisitioning business unit can either:

- Retain the responsibility of creating and administering their own purchase orders for the goods and services they're buying against the agreement.
- Outsource the responsibility to the procurement business unit service provider.

As a procurement agent you can configure the level of business process outsourcing using the Order Locally check box:

- When you select the Order Locally check box, the client requisitioning business unit creates and administers its own purchase orders. The supplier sites a user can select are:
 - assigned to the active requisitioning business unit,
 - and are created in the active requisitioning business unit.
- When you leave the Order Locally check box not selected, the client requisitioning business unit outsources the purchase order administration to the service provider. The supplier sites a user can select are:
 - assigned to the active requisitioning business unit,
 - but are created in another business unit different from the active requisitioning business unit.

To see how this works, consider the following scenario:

- Vision Corporation has two business units, Vision Operations and Vision Services, both of which have the requisitioning business function.
- Vision Operations has the procurement business function and provides the procurement service for all requisitions created by its client, Vision Services.
- A blanket purchase agreement with supplier Advanced Network Devices is hosted by Vision Operations, and is made available to Vision Services.
- Vision Operations handles all purchase order administration for Vision Services.

Business Unit Access Scenario for Vision Corporation

1. Add a business unit access record for Vision Services. This business unit can now access the agreement content.
2. Ensure that the Order Locally check box is not selected. The purchase orders created for Vision Services are administered by the procurement business unit Vision Operations.
3. Specify the supplier site to fulfill the purchase orders created for Vision Services. Also enter the ship-to and bill-to locations to be used on the purchase order.

Related Topics

- [Supplier Agreement Order Automation Controls](#)

Supplier Agreement Order Automation Controls

You can set up supplier agreements so that approved requisitions automatically create purchase orders that are sent to suppliers. You can configure the degree of order automation required for each agreement.

Enabling Order Automation

To enable the automated order process, complete these steps:

1. In the Purchase Orders or Purchase Agreements work area, use the Create Agreement task to set up an agreement for frequently purchased items.
2. On the agreement's Controls tab, Business Unit Access region, enable the agreement for the appropriate requisitioning business units and supplier sites.
3. In the Order Creation Options region, indicate on the agreement that requisitions for these items must automatically create purchase orders.

Configuring the Level of Order Creation Automation

In an agreement's Order Creation Options region, you can configure the level of order creation automation for an agreement as follows:

- Select the **Automatically generate orders** check box to create orders automatically.
- Select the **Automatically submit for approval** check box to also submit the orders automatically for approval.

Select both options to provide complete automation for repeat orders of goods and services. For high-value items, you may prefer to select the first option only, so the generated orders can be manually reviewed and submitted for approval.

When you select the **Automatically generate orders** option, the automatic conversion of purchase requisitions into purchase orders is subject to eligibility checks. For example, the agreement must be valid, the agreement must not be expired, and so on.

Grouping Requisitions

You can also control how requisitions and requisition lines are combined on order lines in the purchase order.

When the application is configured to copy descriptive flexfields from requisition headers or lines to corresponding purchase order headers or lines, you can't group requisition lines.

When the application is configured to copy only descriptive flexfields from requisition headers and not from lines, requisition grouping is allowed. If you manually enter multiple lines in the Edit Document Builder page, line grouping options are disabled in the Actions drop-down list.

Allow Ordering From Unassigned Sites

Select the **Allow ordering from unassigned sites** checkbox to indicate that the agreement can be used to source requisitions for supplier sites not listed as purchasing sites in the agreement's business unit assignments. This option doesn't apply to purchase orders created without a backing requisition or when the agreement isn't specified at the time of creating or processing the requisition into a purchase order.

Automatic Order Generation and Requisition Grouping

You can optionally set up the purchase agreement to automatically do these two tasks:

- Create purchase orders from requisitions
- Submit them for approval

If this automation is set up and you want to group requisitions, the purchase orders are created on approval before you can do any requisition grouping. When you enable the Consolidate Online Requisitions into Fewer Purchase Orders feature, orders from online requisitions won't be created automatically and requisitions will be processed the grouping options.

Here's the list of outcomes based on the features you have enabled.

Use Case	Consolidate Online Requisitions into Fewer Purchase Orders Feature Enabled	CPA/BPA is Set Up for Automatic Creation of POs	Outcome
Grouping of multiple online requisitions into single PO isn't needed	No	Yes	POs will be created automatically upon approval
Grouping of multiple online requisitions into single PO isn't needed	No	No	Requisitions will go into pool for manual processing
Grouping of multiple online requisitions into single PO is needed	Yes	Yes	Requisitions will be processed into orders and grouped based on the grouping options when Generate Orders is executed
Grouping of multiple online requisitions into single PO is needed	Yes	No	Requisitions will go into pool for manual processing when Generate Orders is executed

Related Topics

- [Set Up Descriptive Flexfield Copying from Requisitions to Purchase Orders](#)
- [Group Requisitions Options](#)

Allow Retroactive Pricing Options

Retroactive price updates automatically update existing purchase orders retroactively with price break quantities from the parent blanket agreement.

When to Choose Open Orders Only

Choose this option to allow retroactive price updates to open orders with no receiving or invoicing activity.

When to Choose All Orders

Choose this option to allow retroactive price updates to all orders irrespective of whether they have been received or invoiced.

Blanket Purchase Agreement Lines

Blanket purchase agreement lines include details of the goods or services to be purchased from the supplier. The line doesn't contain delivery dates or individual delivery quantities or amounts.

A blanket purchase agreement line can be created in the following ways:

- Add a line manually
- Duplicate an existing line
- Add a line from the procurement catalog
- Add lines using the upload process

Consider the following attributes when entering a blanket purchase agreement line.

- Line Type
- Item
- Category
- Price Break Type
- Item Attributes

Line Type

Line types differentiate purchases for various commodities such as goods and services. Goods are ordered by quantity and price, whereas services are ordered by price.

Implications of your selection of line type:

- The style of the document you're creating can limit the line types that you can choose from. For example, if the style only allows for purchases of fixed price services then only fixed price services line types are available to choose from.
- The line type isn't editable once the line is saved. If you need to change your line type after saving it, you must delete the line and add another.
- When you enter a line type, the application automatically defaults attributes for the line being created.

Item

Enter the Item you want to purchase. Typically the item is an identifier of goods already defined in your procurement catalog. If you enter a defined item, the application displays the purchasing category, item description, unit of measure, and unit price associated with the item.

Category

When entering a line, enter or select the purchasing category of the item you want to purchase. If you choose an item, the application displays the purchasing category for the item. You can't change the purchasing category if you choose an item.

Price Break Type

This attribute is applicable only to blanket purchase agreements. Use the price break type control to leverage cumulative pricing functionality on your blanket purchase agreements and drive pricing discounts based on cumulative purchases across all the client business units buying off the agreement. Select Cumulative if you want the application to choose the price break by considering previous purchase order released quantities for the blanket line. Select Noncumulative if you want the application to choose the price break by using the individual purchase order line quantity.

The following example illustrates how this works.

Blanket Purchase Agreement Line Price = \$10

This table defines a set of sample price breaks based on the quantity purchased.

Quantity	Price Break
< 100	10
101-200	9
> 201	8

This table shows example purchase orders, with line quantities and price breaks based on the sample price breaks defined in the previous table. The cumulative and noncumulative pricing columns demonstrate how price type affects the price break.

Purchase Order	Line	Quantity	Cumulative Pricing	Noncumulative Pricing
ABC-US-1001	1	120	9	9
ABC-US-1002	1	90	8	10
ABC-US-1003	1	410	8	8
Total Released Amount			\$5080	\$5260

Item Attributes

This feature applies only to blanket purchase agreements. You can provide more information such as supplier item auxiliary identifier, supplier URL, manufacturer name, manufacturer URL, manufacturer part number, UNSPSC, image URL, and thumbnail image about the item or the service using the item attributes on the agreement line. This information is then displayed to requesters when they view the agreement content on the catalog. If supplier specifies a SupplierPartAuxiliaryID, then that value is stored as the Supplier Configuration ID on the requisition line.

Note: If you don't provide an image URL and thumbnail image for the defined item in the agreement line, then the primary image from the item definition in Product Information Management is displayed during shopping in Oracle Self Service Procurement.

Some of these item attributes are also translatable into the other languages installed in your application. You can use the agreement loader process to add translations of the item attributes.

How You Automatically Determine Requested Delivery Date Using Lead Time

In the Line page, in the Item Attributes section, use the Lead Time Days field to specify the agreed-upon lead time for delivery. The application can be configured to automatically determine the requested delivery date on purchase orders created from requisitions using the Lead Time Days value.

When requisitions are converted to orders, the requested delivery date on the requisition line is compared to the current date plus the Lead Time Days on the agreement line. The later date is used for the requested delivery date on the order.

Related Topics

- [Enter Price Break Information for Blanket Purchase Agreement Lines](#)

Enter Price Break Information for Blanket Purchase Agreement Lines

Price breaks are reductions in the price of an item depending on certain conditions such as purchasing in bulk or from a certain location. The Price Break region of the Lines page enables you to enter price break information for blanket purchase agreement lines.

Suppliers often offer a reduction in per-unit price if your order exceeds a specified quantity. Price breaks are entered as basic price lists based on quantity ordered combined with either the price or the discount. You can also specify start and end dates.

Note: Price breaks can be specified to be cumulative or noncumulative. Cumulative indicates that you want to choose the price break by adding the current order schedule quantity to the total quantity already ordered against the blanket purchase agreement line. Otherwise, the price break is chosen by using the individual order line quantity.

In this scenario a procurement agent, Mathew Mancia, creates two blanket purchase agreement lines for some paper supplies for the New York office. This table lists the information he enters in the lines, including: quantities, price, and price breaks.

Ship-to Organization	Location	Quantity	Price	Discount Percent	Start Date	EndDate
V1	V1 - New York City	100	294	2.0	To be determined	To be determined

Ship-to Organization	Location	Quantity	Price	Discount Percent	Start Date	EndDate
V1	V1 - New York City	200	291	3.0	To be determined	To be determined

Enter Price Breaks

1. He enters the V1 ship-to organization. When an item is entered, only organizations in which the item is defined can be selected.
2. He enters the New York shipping location for the price break. He can select only locations for this organization or locations for which no organization is defined.
3. He enters the minimum quantity, 100, that must be ordered to obtain this price break.
4. He enters the price of \$294 for this quantity. The application calculates the discount percent. Optionally he could enter a Discount Percent to have the price calculated.
5. Optionally he could enter a start date that this price break becomes effective.
6. Optionally he could enter an end date that this price is no longer effective after.
7. He adds an additional line and repeats 1 to 6 for one additional price break.

How You Update Blanket Purchase Agreement Price Breaks in Bulk

You can use the Update Blanket Purchase Agreement Price Breaks in Bulk feature to update blanket purchase agreements with the latest prices from your suppliers.

You can update the price, discount, start date, and end date of multiple blanket purchase agreement price breaks simultaneously.

The application performs one of these actions when you try to update price breaks using the feature:

- If the price break number exists, updates the price break details corresponding to the price break number you provided in the FBDI template.
- If the price break number you provided doesn't exist, creates a new price break.

Here's how you can update the price and start date of multiple blanket purchase agreement price breaks simultaneously.

This table shows the existing price breaks and other details.

Price Break Number	Quantity	Price	Start Date	End Date
1	10	2490	2020/01/01	2020/12/31
2	40	2480	2020/01/01	2020/12/31
3	90	2470	2020/01/01	

This table shows the details you will enter in the FBDI template to update the price breaks.

Price Break Number	Quantity	Price	Start Date	End Date
1		2485		

Price Break Number	Quantity	Price	Start Date	End Date
2		2475	2020/04/01	
3				2020/12/31
4	100	2465	2020/04/01	2020/12/31

- Price break 1 gets updated with the new price.
- Price break 2 gets updated with the new price and start date.
- Price break 3 gets updated with the new end date.
- Price break 4 gets created because there was no price break with that number.

How You Create a Purchase Agreement for Outside Processing

As a user such as a buyer or category manager, you can create purchase agreements for outside processing items. Purchase agreements for outside processing items support the automatic creation of outside processing purchase orders from externally managed purchase requisitions.

To create purchase agreements for outside processing items, use the Create Agreement task in the Purchase Agreements or Purchase Orders work areas. Key elements of this task are:

- Selecting the outside processing document style.
- Adding outside processing items to the agreement.

How You Select the Document Style

In the Create Agreement dialog, Style drop-down list, you must select an outside processing document style. Two predefined outside processing styles are delivered:

- Outside Processing Blanket Agreement
- Outside Processing Contract Agreement

You can also select from outside processing agreement document styles your organization has created, if any.

How You Add an Outside Processing Item

You can add an outside processing item to the Items field, on the Lines tab of a blanket purchase agreement. You can only do so if the agreement has an outside processing document style. There can be one or more outside processing items, as well as non-outside processing items, on a blanket purchase agreement.

Related Topics

- [How can I import a blanket purchase agreement for outside processing?](#)

How You Search for and Identify Purchase Agreements for Outside Processing

As a buyer or category manager, you can search for and identify existing purchase agreements for outside processing items. Use the Manage Agreements task in the Purchase Agreements work area.

Key factors in managing a blanket purchase agreement for outside processing are:

- How to search for and identify an outside processing purchase agreement.
- How to recognize outside processing information about a purchase agreement.

Search for an Outside Processing Blanket Purchase Agreement

When you create a purchase agreement for an outside processing item, you apply an outside processing document style to the agreement. On the Manage Agreements page, in the search results, view the Document Style column to identify agreements with an outside processing document style. You can also narrow your search for outside processing purchase agreements using an advanced search.

1. In the Search section, click Advanced.
2. Click Add Fields and select the Document Style option.
3. In the Document Style field enter the search criteria for the outside processing document style you want to narrow the search to. You can select one of the delivered styles, or a style created by your organization, if any.
4. Click Search.

Outside Processing Information about the Purchase Agreement

When you open an existing outside processing agreement, the document style displays as part of the page name. For example: Outside Processing Blanket Agreement 123456. The outside processing document style enables you to add outside processing items to a blanket purchase agreement.

Related Topics

- [How You Create a Purchase Agreement for Outside Processing](#)
- [How You Review the Delivered Document Style for Outside Processing](#)

How You Disable Automatic Order Creation for New Agreements

You can disable automatic order creation for new agreements by disabling the autogenerate orders option on the Configure Procurement Business Function page.

The option to autogenerate orders from requisition lines sourced to agreements is enabled by default on the Configure Procurement Business Function page. To disable the option, you must deselect the Autogenerate orders from requisition lines sourced to agreement check box.

In addition, for new contract purchase agreements, you can enable automatic document sourcing only for punchout-initiated requests. To enable this option, you must select the Punchout requests only check box

How You Assign Priorities to Blanket Purchase Agreements to Rank Source Agreements for Requisitions and Purchase Orders

You can use the Rank Blanket Purchase Agreements to Prioritize Source Selection on Requisitions and Purchase Orders feature to assign priorities to blanket purchase agreements to rank candidate source agreements for requisitions and purchase order lines.

You can assign priorities to blank purchase agreements in the Order Processing section of the Agreement Controls tab on the Edit Order page. You can assign any number between 1 and 999, wherein any agreement without a priority is treated as having the lowest priority (999).

When multiple blanket purchase agreements are available for automatic document sourcing, the following hierarchy is applied to select a source agreement:

1. Agreement owned by the requisitioning business unit acting as its own procurement business unit.

2. Agreement with the option to automatically generate orders.
3. Agreement with the highest priority.
4. Agreement with the earliest start date.
5. Most recently created agreement.

Here are some of the considerations for using the feature:

- Blanket purchase agreement priorities can be assigned or updated from either the UI or the file-based data import process (FBDI).
- Priorities aren't applicable to contract purchase agreements.
- If you use approved supplier lists, the application will first attempt to identify a source agreement from the relevant approved supplier list entries and will use the agreements' priorities to break ties whenever necessary.

FAQs for Create Supplier Agreement Online

Where do the supplier agreement defaults come from?

Some document fields are filled in automatically when you first create a supplier agreement. The application provides a comprehensive defaulting mechanism for most of the required attributes to minimize document creation effort.

For most of the attributes, but not all, you can change the defaulted information.

Related Topics

- [How Purchasing Document Header Defaults Work](#)
- [How Purchasing Document Line Defaults Work](#)

How can I disable automatic communication of purchase agreements to suppliers?

You can disable the Communicate purchase agreements setting on the Configure Procurement Business Function to prevent the communication of purchase agreements to suppliers.

When you disable the setting, new purchase agreements will be created with the Communication Method set to None and Acknowledgment Required set to None. However, you can manually update these values on individual purchase agreements to enable supplier communication if needed.

Note: The Communicate purchase agreements setting on the Configure Procurement Business Function page is enabled by default. To prevent the communication of purchase agreements to suppliers, you must disable the setting.

What's a consignment agreement?

A consignment agreement is a long term agreement you create for the purchase of goods under a consignment arrangement with your supplier.

Consignment inventories consist of items that are in possession of one party (for example, customers, dealers, or agents) but remain the property of another party (for example, the manufacturer).

The consignment agreement carries the terms and conditions, details of the goods to be purchased on consignment from the supplier, and negotiated amounts. It does not indicate the delivery details, quantities, locations or dates for the consigned goods to be delivered. These details are specified on the consignment order issued against the consigned agreement.

Related Topics

- [How can I create a purchase agreement for consignment inventory items?](#)

How can I create a purchase agreement for consignment inventory items?

You begin by creating a blanket purchase agreement with a document style for a consignment agreement.

- Enter or verify the consignment terms for the agreement such as Billing Cycle Closing Date.
- Next you add the consignment items for this agreement.
- You would complete the agreement by submitting the agreement for approval. Optionally, you could require acknowledgment from the supplier

How can I import a blanket purchase agreement for outside processing?

You can use the Blanket Purchase Agreement Import template to upload outside processing items to a blanket purchase agreement with an outside processing document style.

In the header, use the Style column to enter the outside processing document style. In a line, use the Item and Item Description columns to enter the outside processing item.

Cancel Supplier Agreement

What happens if a purchasing document is canceled?

As a procurement agent, you can terminate an existing contract to buy from a supplier by canceling document headers, lines, or schedules.

Canceled documents can be communicated to the supplier. The communicated documents are marked with a cancellation notice to highlight this action to the supplier.

When you cancel a purchase order entity, you're still able to receive or pay for canceled items and services as well as pay for all previously received orders up to the over-receipt tolerance based on the new ordered after cancellation.

As a supplier, you can also terminate an existing contract to supply items by canceling document headers, lines, or schedules. Such cancellation request requires review and approval by the buying organization.

You can't modify a canceled entity or its components. For example, if you cancel a line you can't modify the associated schedules and distributions.

Use the Actions menu to cancel a document.

Note: After a requisition is approved and processed into a purchase order, its status remains approved and the requisition line remains linked to the purchase order, even if you cancel the PO. Cancel Unfulfilled Demand controls whether a backing requisition is canceled when you cancel a PO, and it's determined by purchasing options: Never, Always, or Optional. You can reinstate the requisition line by selecting No for cancel unfulfilled demand.

Related Topics

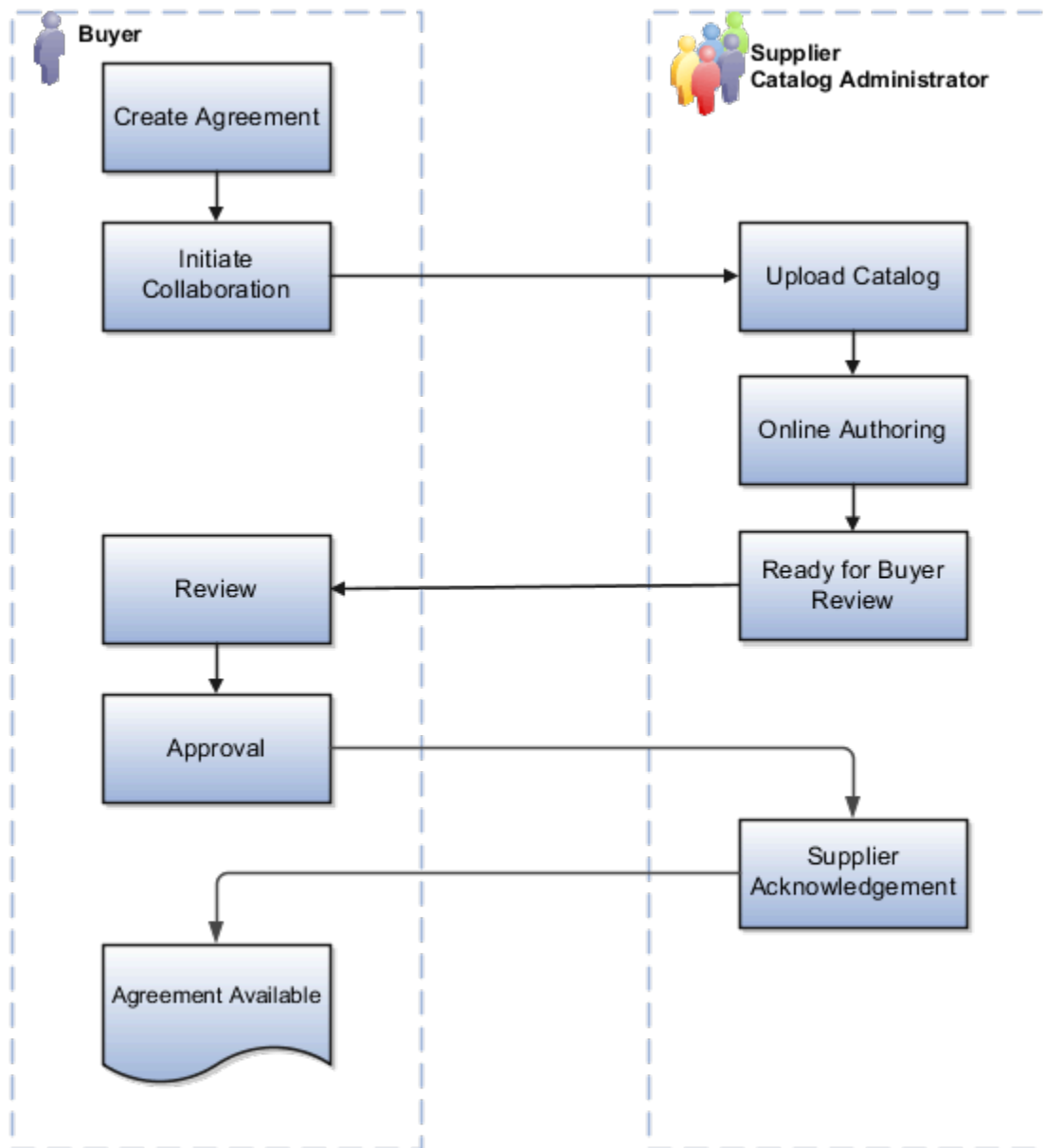
- [Effects of Control Actions on Purchasing Documents](#)
- [How You Configure Business Units with Requisitioning Business Functions](#)

Author Supplier Agreement Catalog Content

How You Author Catalogs Collaboratively

Collaborative Catalog Authoring allows procurement agents to establish the terms, and suppliers or catalog administrators to provide the catalog content. This allows agents to transfer the catalog content management workload to the supplier, and refocus their efforts on more strategic tasks.

This figure shows the collaborative catalog authoring process. The agent can create the skeleton blanket purchase agreement and transfer the document either to the supplier or the catalog administrator to provide the catalog content. The supplier or catalog administrator can add content to the agreement either by uploading in XML, cXML, CIF, and tab delimited formats or by using online authoring and then transfer the document back to the agent after authoring is complete. The agent can then review the content added, make necessary changes, and submit the document for any required approval or supplier acceptance.



Import Purchase Agreements

How You Import Purchasing Documents

As a buyer, you can import purchasing documents from external applications into Oracle Purchasing.

How You Import Purchasing Documents

Run the purchasing document import tasks from the Purchase Agreements or Purchase Orders work areas to import purchasing documents. Use the following purchasing tasks to import purchasing documents:

- Import Orders
- Import Blanket Agreements
- Import Contract Agreements

Run the import process to import purchase orders, blanket agreements, or contract agreements into the application for further processing.

You can query, modify and validate successfully imported documents. During import, records that have insufficient or invalid data are rejected. You can use an automatically produced report to review the documents that couldn't be imported. You can resubmit the import task after making corrections to rejected documents.

How You Import Extended Item Attributes and Translations into Blanket Agreements

You can import rich catalog content data such as thumbnail images, image URLs, item availability and lead time information, and other extended item attributes into blanket agreements using file-based data import. You can also import extended item attribute translations such as item description, item manufacturer, comments and so on.

Use the PO_ATTR_VALUES_INTERFACE and PO_ATTR_VALUES_TLP_INTERFACE sheets to specify these attributes in your import file. You can get complete details on the data supported by the import templates in the Oracle Fusion Cloud Procurement: File-Based Data Import (FBDI) for Procurement guide on the Oracle Help Center.

Before You Start

Only a buyer can run the import process. Before you can run the import process, you must first have loaded the relevant information into the appropriate interface tables.

Note: You can load data to interface tables using predefined templates and the Load Interface File for Import scheduled process. Both are part of the External Data Integration Services for Oracle Cloud. For other implementations, optionally use this feature only if you have SFTP configured for it.

For more information refer to the Oracle Fusion Cloud Procurement: File-Based Data Import (FBDI) for Procurement guide on the Oracle Help Center.

Limitations

File-based data import doesn't support the creation or update of purchasing documents with more than 10,000 distributions. Exceeding 10,000 distributions can cause performance issues and could lead to failures.

Here are some of the examples of 10,000 distributions:

- 1 Purchase order, 1 line, 1 schedule each, 10,000 distributions each
- 1 Purchase order, 1 line, 10,000 schedules each, 1 distribution each
- 1 Purchase order, 10,000 lines, 1 schedule each, 1 distribution each

These fields aren't available on the FBDI template:

- Requires Signature
- Use Ship-to Location

- Schedule Group
- Reprice open orders only
- Initiate process upon agreement approval
- Punchout requests only
- Notification Controls

Purchase Agreement Attributes You Can Update Using FBDI

You can update header attributes for both blanket purchase agreements and contract purchase agreements. In addition, you can update line attributes, price break attributes, item attributes, and item attribute translations for blanket purchase agreements.

Updates to purchase orders via FBDI aren't supported. We recommend that you use the Purchase Order web service (SOAP) for updates to purchase orders.

BPA/CPA Header Attributes	Business Unit Access Attributes	BPA Line Attributes	BPA Price Break Attributes	BPA Item Attributes	BPA Item Attribute Translations
Buyer	Purchasing Site	Item Description*	Price	Thumbnail Image	Description
Description	Order Locally	Item Revision	Discount	Image URL	Manufacturer
Payment Terms	Ship-to Location	Agreement Amount	Start Date	Manufacturer Part Number	Comments
Agreement Amount	Bill-to BU	Allow Price Override	End Date	Rounding Factor	Alias
Amount Limit	Bill-to Location	Not to Exceed Price		Availability	Long Description
Start Date	Enabled	Supplier Item**		Lead Time	
End Date		Negotiated		UNSPSC	
Note to Supplier		Minimum Release Amount		Attachment URL	
Automatically Generate Orders		Expiration Date		Supplier URL	
Automatically Submit for Approval		Supplier Part Auxiliary ID**		Manufacturer URL	
All Descriptive Flexfields		Price		Item Descriptive Flexfields	
Master Contract Number		Amount			

BPA/CPA Header Attributes	Business Unit Access Attributes	BPA Line Attributes	BPA Price Break Attributes	BPA Item Attributes	BPA Item Attribute Translations
Master Contract Type		Price Break Type***			
Use ship-to location					
Use customer sales order					
Use need-by date					
Use ship-to organization and location					
Allow ordering from unassigned sites					
Apply price updates to existing orders					
Communicate price updates					
Initiate retroactive price upon agreement approval					
Reprice open orders only					

* You can only update this attribute if Allow Description Update is set to **x**.

** You can only update this attribute if a line number is provided. If you don't provide a line number, a new line is created instead of updating an existing line.

*** This attribute applies to the **Edit Change Order** and **Edit Line** details page. Set this attribute to **Noncumulative** and read only if the **Start Date** or **End Date** is populated for any of the price breaks. Also, this field is read only if any order references a blank purchase agreement line.

Run Import Process

To run the process to import purchase orders, blanket agreements, or contract agreements into the application, follow these steps:

1. From the Purchase Agreements or Purchase Orders work area, open the appropriate task you want to use:
 - o Import Orders
 - o Import Blanket Agreements
 - o Import Contract Agreements

2. Depending on the purchase document import task you're using, you can set one or more selection parameters before running the process. The following table lists some of the possible selection parameters and their descriptions.

Parameter	Description
Procurement BU	Specify the name of the Procurement business unit that these documents should be imported into.
Default Buyer	Specify the name of the buyer to be used when one isn't included in the import data.
Create or Update Item	Select "Yes" to create an item that doesn't exist or update an existing item.
Approval Action	Select one of the following actions: ○ Do Not Approve: Imports the document in Incomplete status requiring manual interaction. ○ Submit for Approval: Imports the document and submits it to the approval process after the document is imported. ○ Bypass Approval: Imports the document in Open (approved) status without going through the approval process.
Batch ID	Enter the value for your import data from the file-based data import template, to select the interface table data to be processed in the current run. For example: Batch ID = 123. Use it in conjunction with Import Source to identify the documents to be loaded to the application tables.
Import Source	Enter the value for your import data from the file-based data import template, to select the interface table data to be processed in the current run. For example: Import Source = External Contracts. Use it in conjunction with Batch ID to identify the documents to be loaded to the application tables.
Default Requisitioning BU	Specify the name of the Requisitioning business unit to be used when one isn't included in the import data.
Communicate Orders, or Communicate Agreements	Select Yes to have imported purchasing documents communicated to the supplier. Select No to not have imported purchasing documents communicated to the supplier.

3. When the processes are complete, view the output report in PDF format. The report details the status of the records that were imported. If a record couldn't be imported, then the Status is set to Rejected with a reason for the rejection.
4. Fix the problems that are identified in the report and then resubmit the import task.

How You View the Import Process Results

The results for each import process are compiled in a PDF output report which you can view online or print. The validation error details are accessible from the Purchasing Document Import Errors report. To see the report click the Output icon in the Scheduled Processes region of the import page.

Related Topics

- [Examples of Purchase Order Line Types](#)

How You Create Master Items from the Blanket Purchase Agreement Import

You can create items from the Blanket Purchase Agreement import by specifying items on the FBDI template.

To create the item:

- Specify the item in the FBDI template.
- Submit the Blanket Purchase Agreement Import job with the Create or Update Item parameter set to Y.

The application will create the item in PIM if the specified item doesn't exist.

Master Items with Trading Partner Item Associations

You can create trading partner items (supplier items and manufacturer part numbers) from the Blanket Purchase Agreement import by using the Create Master Items with Trading Partner Item Associations from the Blanket Purchase Agreement Import feature. This helps in:

- Automatically deriving the item class for new master items.
- Automatically generating the item number based on the item number generation method assigned to the item class.
- Automatically creating items in all child organizations of the item master organization associated with the procurement business unit.
- Automatically derive the primary UOM from either the base UOM of the BPA line's unit class or the lowest UOM in the item's packaging string.
- Performing duplicate checks before creating new master items or trading partner items to support these use cases:
 - Create new trading partner items and their relationships to new master items.
 - Add new trading partner items to an existing master item by providing the master item number.
 - Add a supplier item to an existing master item by providing the manufacturer part number to identify the master item.
 - Create relationships between existing trading partner items and existing or new master items.
- Ensuring manufacturers provided for new manufacturer part numbers are valid.
- Ensuring Product Information Management remains the single source of truth for trading partner item information by not storing trading partner item references on imported BPA lines when corresponding trading partner items are created in Product Information Management.

Compliance Checklist

Create a Compliance Checklist

Create compliance checklists to collect and track the completion of compliance documentation required for audit purposes.

You can reference compliance checklists on purchasing documents and their associated change documents. You can configure purchasing document approval rules based on checklist existence and checklist status.

Compliance checklists facilitate and streamline the collection of required documentation to ensure compliance with procurement rules and regulations. Incorporating checklists in your procurement process by linking them to purchasing transactions reduces business risk while improving audit controls.

Checklists are created from user-defined templates to drive the consistency needed for the compliance standards.

A checklist includes an optional prerequisite section and one or more checklist sections. Questions in the prerequisite section may be frequently referenced in the checklist sections, which enables you to present related questions and requirements throughout the checklist, resulting in a dynamic template. After you respond to the prerequisite questions, the checklist is generated.

Your response to a checklist question can guide which follow-up questions are displayed in the checklist. If a checklist question is mapped to a prerequisite question, the checklist question response is automatically set based on your response to the prerequisite question.

While the checklist is in progress, the validate action can be used to see if any required responses or documents are missing. The checklist is automatically validated when you complete it.

A checklist with a prerequisite section is created with the status of draft. After the prerequisite section is completed and you continue to the checklist sections, the checklist status is set to in progress. The checklist can be marked completed after all the required questions are answered, and the required documents are uploaded.

After its completed, the checklist can no longer be modified unless it's reopened, at which point the checklist status is set back to in progress. You can also view a PDF version of the checklist anytime. It contains all checklist questions, their responses, and a list of the attached documents.

You can manage the compliance checklists from the Purchase Orders or Purchase Agreements work area.

Consider these when you are working with compliance checklists:

- You can't submit a purchasing document for approval if the checklist associated with the document was canceled.
- You can only associate checklists to a purchasing document using the UI and FBDI.
- Up to 7 levels of checklist question branching is supported.
- Only an up-to-date template can be used to create a checklist. If any update to a question creates a new question revision, uptake the new question revision in any questions referencing the outdated question. Similarly, for any sections that include the outdated question. If a section has a new revision, any templates containing the outdated section should also uptake the new section revision.
- The attachments listed in the checklist PDF need to be individually downloaded from the checklist.
- The Checklist Title and Checklist Number attributes are available in the purchase order notification data model in Oracle Analytics Publisher.

Do these tasks to work with checklists:

1. Enable access to manage checklists for procurement agents:
 - a. 1. In the Setup and Maintenance work area, use the **Manage Procurement Agents** task:
 - Offering: Procurement
 - Functional Area: Procurement Foundation
 - b. Select the Allowed check box for Manage Compliance Checklists action.
2. Create a checklist:
 - a. In the **New compliance checklist** dialog, select and provide the required details and then click **Create**.
 - b. Save the checklist.
3. Manage search capabilities: To manage search capabilities for compliance checklists, submit the ESS job to create index definition and perform initial ingest to OSCI scheduled job. Use these index names when submitting the process: Compliance checklists: fa-prc-compliancechecklists
4. You can perform these optional steps for checklists.
 - o Configure the numbering sequence of compliance checklists for a procurement business unit.
 - i. In the Setup and Maintenance work area, use the **Manage Procurement Document Numbering task**:
 - o Offering: Procurement
 - o Functional Area: Procurement Foundation
 - ii. Create a numbering sequence for a procurement business unit.
 - o Configure approval rules using checklist attributes.
 - i. In the Setup and Maintenance work area, use the Manage Purchasing Document Approvals task:
 - o Offering: Procurement
 - o Functional Area: Approval Management
 - ii. Create an approval rule using checklist attributes. For example, you can auto-reject the purchasing documents if checklist status is in progress.

How You Associate a Checklist with Purchasing Documents

To associate a checklist with purchasing documents, use the Create Compliance Checklists for Purchasing Documents feature.

The checklist is prepared to track compliance requirements for a specific procurement transaction. This could be a purchase order, purchase agreement, or change order that may result in a new document revision. You can:

- Create and make progress on the checklist even before the intended procurement document is created.
- Associate the checklist with its intended document before the document is submitted for approval.
- Configure purchasing approval rules to ensure documents have an associated checklist with the appropriate status as necessary.

You can drill down to a checklist from a purchase order or purchase agreement. Each checklist is unique for a purchasing document. You can access the checklists associated with a purchasing document and its associated change documents from the Revision History and Change History pages.

Consider these when you are working with compliance checklists:

- You can only associate checklists to a purchasing document using the UI and FBDI.

- The Checklist Title and Checklist Number attributes are available in the purchase order notification data model in Oracle Analytics Publisher.

Approve Supplier Agreement

How You Approve Purchasing Documents

Document approval electronically routes the purchasing document to all identified approvers and records their approval actions.

Oracle Purchasing leverages the Oracle Approval Management Service for purchasing document approvals. Approval Management Service is a robust engine that enables administrators to organize and author approval routing rules based on numerous seeded document attributes such as ordered amount, price, category, and contract terms exist. Based on your unique business requirements, administrators can choose to send the approval request to approvers in parallel or in a sequence. Approvals can be sought using supervisory chain, position or job level hierarchy, or using a list of approvers.

This table lists several approval routing rules examples. For each example an approval rule condition and corresponding action are provided.

Condition	Action
Purchase order amount exceeds a certain threshold	Route to procurement agent's manager
Purchase order amount is greater than backing requisition amount	Route to requester's manager
Line price change percent on a blanket agreement exceeds the Price Update Tolerance Percent	Route for category manager approval
Non-standard contract terms	Route for legal approval
Line category name is "Travel"	Route for travel approval

FAQs for Approve Supplier Agreement

How can I insert additional approvers and viewers?

As a procurement agent or a requester, you can view the application generated list of approvers using the Manage Approvals page. You can add approvers and viewers on this page based on approval configuration.

How can I view the approval actions performed on a document?

Select your purchasing document in the application and use the View Document History action to view all approval actions performed on the document.

Evaluate Supplier Agreement Approval Status

How can I find the approver with whom the document or an active change order is pending for approval?

Select your purchasing document in the application and use the **Status** link to open the Action Details page. This page displays all approvers who performed an action, current approvers, and future approvers.

Acknowledge Supplier Agreement

How can I record a supplier acknowledgment for a purchasing document?

As a supplier, your formal acknowledgment may be required before a purchasing document becomes legally binding and can be implemented.

You can use the Supplier Portal work area to view purchasing documents and change orders awaiting acknowledgment, and record your response. New acknowledgment requests also show up as Worklist items on the portal, and in email notifications. To record an acknowledgment, use the Acknowledge action on the document.

A buyer for the buying organization can use the Purchase Agreements and Purchase Orders work areas to monitor purchasing documents awaiting acknowledgment. Acknowledgment requests past their due date are presented as Watchlist items. Overdue acknowledgment requests also appear in the Requiring Attention infolet on the work area Overview pages. A buyer can record a supplier's offline acknowledgment on the supplier's behalf, using the Acknowledge action on the document.

Related Topics

- [Considerations for Purchase Order Terms](#)
- [How You Manage Purchasing Documents Requiring Supplier Acknowledgment](#)
- [Supplier Acknowledgment of Purchasing Documents](#)
- [Acknowledge Purchase Order Schedules Using a Spreadsheet](#)

Sign Purchasing Documents

Prepare Purchasing Documents for Electronic Signatures

As a buyer, you can prepare and send purchase agreements, purchase orders and change orders to obtain electronic signature. You can also manage purchasing documents that are sent for electronic signature.

Key aspects of working with purchasing documents that require electronic signature are:

- Prerequisite feature configuration and setup.
- Preparing and sending a purchasing document for electronic signature.
- Managing a purchasing document that's sent for electronic signature.

Before You Start

Before you can prepare a purchasing document for electronic signature, your organization must have completed the following prerequisite tasks:

- Obtained a license from, registered with, and set up an administration account with DocuSign, the electronic signature service provider.
- Enabled and configured the electronic signature feature in Oracle Applications Cloud, using the Setup and Maintenance work area.
- Added you as a user to the DocuSign administration account.

Prepare Purchasing Document

You can prepare a purchasing document for electronic signature using the Purchase Agreements or Purchase Orders work areas.

1. When you create the document, you can specify the document requires electronic signature. To do this, open the document. On the Edit Document page, select the Requires Signature check box on the Main tab, Terms subtab.
2. When you're done creating the purchasing document, submit it for approval and acknowledgment.
3. After approval and acknowledgment are complete, you can prepare the purchasing document for electronic signature. Open the purchasing document, and select the Prepare for Signature option from the Actions drop-down list. When signing documents using DocuSign OAuth 2.0 authentication, you're prompted to grant consent for the authentication application to prepare envelopes on your behalf. You must grant one-time consent. After granting consent, close the message and perform the Prepare for Signature action again.

The Prepare for Signature page includes the following:

- The notification email.
- The purchasing document PDF.
- Any contract documents.
- Any other attachments for the supplier.

You can use the Prepare for Signature page to perform actions such as:

- Click the To button to review the email notification text.
- Add signers as recipients to the notification email.
- Enter a subject and message.
- Assign a signature task to each recipient.

- Add other documents as needed, so the signers can review all terms and conditions that are relevant to the purchasing document before they sign it.

Note: The documents you can attach must be less than 25MB, and none of the documents should have more than 2000 pages. However, if the attachment size exceeds 25MB, you can either reduce the attachment size or continue with the envelope creation only with the purchasing document PDF and without the attachment.

- Indicate whether to route the document for signature sequentially or concurrently.

When you're done preparing the purchasing document for signature, click the Send button to send the email notification to the signers.

Note: The Prepare for Signature page displays a DocuSign user interface within your application, integrating functionality from the electronic service provider's web site. For more information about using the page, refer to the DocuSign Support Center at <https://support.docusign.com>.

Manage Purchasing Document

In the Manage Agreements and Manage Orders tasks, you can search for purchasing documents requiring signature. Add the Requires Signature attribute as an advanced search field to find purchasing documents that are in process or electronically signed. You can also add the Requires Signature column to the search results.

After you send a document for signature, and the document is in Sent for Signature status, you can manage the signature process. With the purchasing document open, select the Manage Signature option from the Actions drop-down list. The Manage Signature page opens from the DocuSign web site. You can select the following options from the Other Actions drop-down list:

- Correct: Use to enter missing or correct existing information. You can resend the document for signature.
- Void: Use to make changes to the purchasing document after it's sent for signature. This withdraws the document from the electronic signature process.
- View History: Use to view the signature history of the document.

Note: If you are the owner or recipient of the envelope, you can view the signature history by accessing the Request Signature link from the document history page. Other users can view the signing history from the purchasing document PDF report if they have access to the purchasing document.

This table lists electronic signature processing statuses you can view throughout the life cycle of a purchasing document that requires signature. A description of each status is also provided.

Status	Description
Pending Signature Preparation	Applies to an approved document that requires signature and is pending signature preparation. Also applies to an approved document for which the signature packet has expired, or is manually voided.
Sent for Signature	Applies to a document which is prepared for and sent for signature.
Open	Applies to a document if all the signers sign it.
Rejected	Applies to a document if one of the signers declines to sign it.

The final electronically signed version of a purchasing document is stored in the application and is used for supplier communication.

Related Topics

- [How can I electronically sign a purchasing document?](#)
- [How You Manage Refresh Document Signature Status](#)
- [How You Configure Electronic Signature for Purchasing Documents](#)

How You Manage Refresh Document Signature Status

As a procurement application administrator, you can manage the Refresh Document Signature Status scheduled process.

The scheduled process retrieves the signature status of all purchasing documents currently sent out for signature, and updates their status in the application.

Settings That Affect the Refresh Document Signature Status Process

You can schedule the process to run periodically at a specified interval. To do this, from the Navigator click Scheduled Processes.

How the Purchasing Document Signature Status Is Processed

The scheduled process reviews the status of all in process signature packets for documents requiring signature. The status of the documents is updated in the application. The final electronically signed version of a purchasing document signature packet is stored in the application, and is used for supplier communication.

After the scheduled process is run, users of the Manage Agreements and Manage Orders work areas can view the following:

- Updated signature status of a purchasing document.
- Updated document signature history.

How can I electronically sign a purchasing document?

When you are sent a purchasing document for your electronic signature, you receive an email from DocuSign sent on behalf of the sender. Review the email, follow the instructions to review the document and attachments, and sign or decline the document.

For more information refer to the DocuSign Support Center at <https://support.docusign.com>.

Dispatch Supplier Agreement

Set Up the Purchasing Document Email Sender

Use the Purchase Order Email Sender profile option to set up the email sender for purchasing documents sent to suppliers.

As an administrator you can set up the profile option using the Manage Administrator Profile Values page. To configure the profile option:

1. In the Setup and Maintenance work area, access the Manage Administrator Profile Values task in the Procurement Foundation functional area.
2. On the Manage Administrator Profile Values page, in the Application drop-down list, select Purchasing. Then click Search.
3. In the Search Results, open the PO_FROM_EMAIL_ADDRESS profile option code.
4. You can configure the profile option at the site level only. In the Profile Values section select one of the values: Buyer, Automatic, or Specified Email Address.

Buyer

Buyer is the default value. The buyer's electronic mail address is used to send purchasing documents to the supplier. The supplier can reply to the buyer's electronic mail address, rather than a system-generated one which doesn't accept any reply.

Automatic

If you select this value, the system-generated electronic mail address is used to send purchasing documents to the supplier. The system-generated electronic mail address doesn't accept any reply. You might choose this value if, for example, your supplier's email system filters out the buyer emails.

Specified Email Address

If you select this value, you can configure any email address for the sender instead of using the system-generated or buyer's email address. You might choose this value if, for example, you want to receive replies from suppliers in a centrally monitored inbox. When you configure an organization-wide email address for purchasing document communication, your suppliers can add the address to their list of approved senders.

Note: To communicate purchasing documents, you must set the Sender Email Address for Supplier Communication profile option (ORA_PO_GENERIC_EMAIL_ADDRESS) to the organization-wide email address.

Amend Supplier Agreement

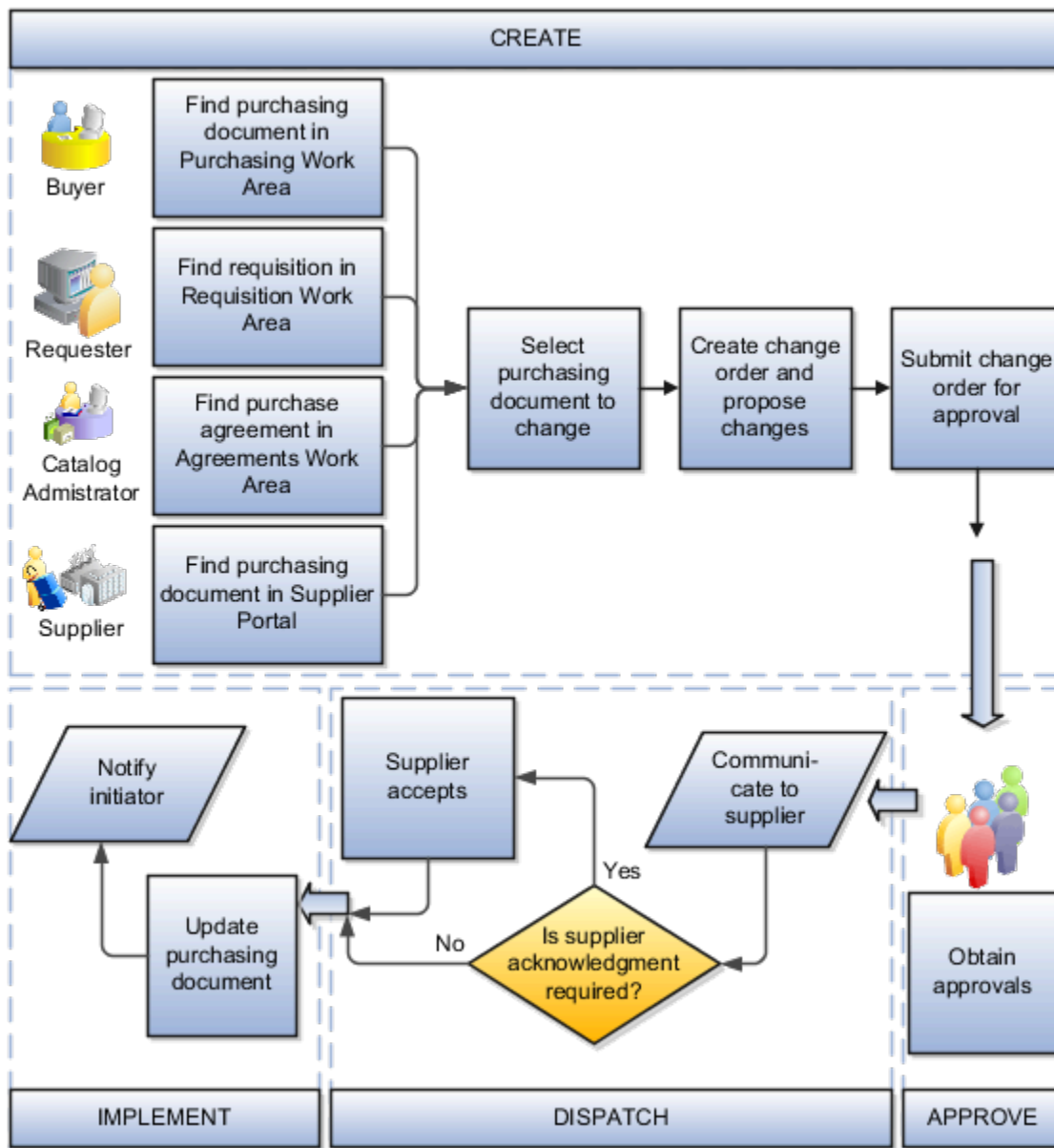
Change Order Life Cycle

As a procurement agent, requester, supplier or catalog administrator, you can propose changes to an active purchasing document. Using a change order, you can indicate changes to the current version of a document, including cancellation of the document.

You can manage change orders throughout the life cycle of a purchasing document, including:

- Creation
- Approval
- Dispatch
- Implementation

This figure shows the flow of change orders through the typical document life cycle, from creation through approval, dispatch and implementation. In this typical flow a user creates a change order for a document and submits it for approval. Once approved, the change order can be communicated to the supplier for acknowledgment.



How You Create A Change Order

You can initiate a change on a purchasing document. To do this, open the document from your own work area. You can search for the document, create a change order using the Edit action, and start proposing changes. The scope of change that you can propose is determined by the work area that you're using to open the document. For example:

- As a buyer using the Purchase Orders work area, you can propose changes to a purchase order's contract terms and conditions.

- As a supplier using the Supplier Portal work area, you can propose changes to a purchase order requiring acknowledgment at the document and schedule level.
- As a catalog administrator using the Catalog work area, you can upload lines to a purchase agreement.

On the Edit Change Order page, select the Review Changes action to review the details of the proposed changes. The Review Changes page shows each attribute you're changing, and its original and changed values.

When you submit a change order for approval, the application validates the change order for accuracy, completeness and policy deviations.

How You Approve A Change Order

When you submit a change order, the application uses the same approval workflow to route the change order as for a purchasing document. Attributes relevant for a change order are available for you to use in approval rules, such as:

- PO Ordered Amount Changed
- Price Change Percent
- Nonstandard Clause Modified

As an internal user, you can view the approvers for your change order, based on the routing rules, using the Manage Approvals page. You can insert additional approvers and viewers, if needed.

As an approver, you receive an approval request highlighting critical information you can use to make an approval decision, such as:

- Party initiating the change.
- Amount changed.
- Contract deviations.

You can navigate to the approval task detail to view the purchasing document in its entirety. If needed, you may request more information.

How You Dispatch A Change Order

You can communicate an external change order using a supplier's preferred means, such as business to business, print, fax or email. Manually communicate a change order to a supplier using the Communicate action. Communicate change orders in batch using the Communicate Purchasing Documents task. As a supplier user you can view the change order using the Supplier Portal work area.

As a procurement agent, you may optionally require supplier acknowledgment on an external change order. A procurement agent for the buying organization can also record a supplier's offline acknowledgment.

As a supplier user, you can use the Supplier Portal work area's Acknowledgment page to perform acknowledgment online. For purchase orders and their change orders requiring acknowledgment at the document and schedule level, supplier users may propose changes during acknowledgment.

What Happens When You Implement A Change Order

When you implement a change order, the application validates that the change order information is still valid.

- If the change order information is still valid, the application makes the changes to the active purchasing document.
- If not, the change order is canceled and the change order initiator is notified.

The active purchasing document is revised when an external change order is implemented. The application archives change orders, external or internal. This provides you visibility into the changes made to a purchasing document. You can view them using the Change History page. Supplier users can view all external change orders using the Revision History page. The application notifies relevant parties of successful implementation of a change order.

How Change Order Numbering Works

The number assigned to a change order reflects whether the purchasing document is new, or is open.

After a purchasing document is approved, but prior to its implementation, you can make edits using a change order. The change order numbering starts from 0-1, where:

- 0 indicates the revision number of the base purchasing document, and,
- 1 indicates the change order number.

Subsequent edits during this time create change orders with similar numbering, such as 0-2, 0-3, and so on.

After a purchasing document is open, the numbering for change orders is 1, 2, 3 and so on. If you create a change order on top of a change order, the numbering is 1-1, 1-2, and so on.

Related Topics

- [Document History](#)
- [Internal and External Change Orders](#)
- [Change Orders](#)

Create Supplier Agreement Change Order

Change Orders

As a procurement agent, requester, or supplier you can propose changes to the currently approved version of a purchasing document during issuance and fulfillment.

In any of these roles, evolving business conditions may require you to make changes to active purchasing documents. For example:

- As a requester whose requisition is being processed in a purchase order, you may want to postpone or cancel what you have requested.
- As a buyer who's responsible for administering a purchase order, you may want to change the terms or conditions on the order.
- As a supplier who's tasked with fulfilling the order, you may want to stagger the delivery schedule or revise the pricing.

Change orders enable you to propose changes to an active purchasing document, by indicating your changes to the current version of the document.

During change order creation and approval, the currently approved version of the purchasing document is preserved until the change order processing is complete. The current version is used as the source of truth for all downstream activities such as receipts, invoices, and sourcing against an agreement. Only after approval, acceptance, and validation of the change order is complete does it get applied to create a new version of the purchasing document.

Internal and External Change Orders

Change orders enable all of the affected parties to propose changes to an active purchasing document by indicating their desired changes to the current version of the document. The change order is considered internal or external depending on the document attributes being changed.

A purchasing document is a contractually binding document between a buying organization and a selling organization, and hence it captures contractual terms like products or services to be delivered, delivery schedule and payment terms. Any change proposed to any of these kind of attributes must be communicated to and accepted by both parties before the changes become binding. These attributes are called supplier facing attributes.

In addition to supplier facing attributes, a purchasing document also contains attributes that are required for administrative purposes within the buying organization, such as cost centers or projects that would be funding the purchase, internal delivery instructions, various tolerances and controls to ensure satisfactory order execution. These attributes are called internal control attributes.

A change order that proposes changes to only internal control attributes is an internal change order, all other change orders are external. Change order type on a change order indicates whether the change order is an internal change order or an external change order. Unlike an external change order, an internal change order doesn't get communicated to the supplier and doesn't cause a new revision of the document. Although internal changes don't cause a new revision of the document, history of such changes is maintained in the same manner as external changes and can be accessed from the View Change History page.

FAQs for Create Supplier Agreement Change Order

How can I create a change order?

A change order is created by selecting the document and using the **Edit** or **Cancel** action. If an active change order doesn't exist, the application will create a change order for you.

How can I view the change history of a document?

You can view the document change history from the Search, View Purchase Order, or View Purchase Agreement page using the **View Change History** or the **View Revision History** action to view archived change orders relevant to you.

Select a change order and take the **Review Changes** action to view the details of the changes that were proposed on the change order.

How can I process multiple change orders on the same document concurrently?

There can be only one active change order on a purchasing document at any point in time. If you have a change to propose and there is an active change order on the same document, you will need to wait for that change order to get processed.

As the buyer on a purchasing document, the application lets you prioritize your changes by allowing canceling the current change order even if it's not initiated by you and creating a new change order for you to propose your changes.

Cancel Supplier Agreement Change Order

What happens if the change order I submitted is no longer needed?

You can withdraw a change order that's pending approval or pending supplier acknowledgment using the **Withdraw** action, make further edits, and resubmit it for approval. You can also cancel the change order if the change isn't required at all.

Manage Supplier Agreement Life Cycle

Supplier Agreement Life Cycle

Managing the supplier agreement life cycle enables all key stakeholders of the supplier agreement; the procurement agent, the catalog administrator, and the supplier to track and monitor the execution cycle of the agreement and initiate and manage changes to the agreement including cancellations.

Life Cycle Tasks

Key Life Cycle Tasks:

- Open agreement for release once approved and accepted
- Track agreement execution status
- Reassign agreement ownership from one agent to another
- Control downstream activities
- Control amendment activities
- Notify agent when agreement nears expiration
- Finally close the document

Life Cycle Features

Key Life Cycle Features:

- Streamlined work centers for agents and suppliers
 - Quick access to active agreements
 - Highlight lifecycle events requiring attention
- Comprehensive life cycle management actions
- Renegotiate agreements
 - Initiate sourcing events for expiring agreements
- Monitor agreement execution status

- Quick access to release documents
- Simplified drill down to document history, revision history, and change history

Related Topics

- [Considerations for Creating Supplier Agreements](#)
- [What happens if a purchasing document is put on hold?](#)
- [What happens if I freeze a purchasing document?](#)
- [What happens if a purchase order is closed?](#)

Effects of Control Actions on Purchasing Documents

The following tables describe the effects of control actions or statuses on purchasing documents.

Effects of Control Actions on Purchase Orders

This table lists the effects of purchase order control actions. Purchase order control actions include: Close, Close for Invoicing, Close for Receiving, Cancel, Finally Close, Freeze and Hold. For a given control action, a corresponding control effect may be indicated as one of the following:

- Yes, it does occur.
- No, it doesn't occur.
- Or, a more detailed explanation is provided.

Control Effect	Close	Close for Invoicing	Close for Receiving	Cancel	Finally Close	Freeze	Hold
Modify controlled entity?	Yes	Yes	Yes	No	No	No	Yes
Action causes revision change?	No	No	No	Yes	No	No	No
Communicate document?	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Receive against controlled entity?	Yes	Yes	Yes	Yes, up to overreceipt tolerance	No	Yes	No
Return to supplier against controlled entity?	Yes	Yes	Yes	Yes	No	Yes	Yes

Control Effect	Close	Close for Invoicing	Close for Receiving	Cancel	Finally Close	Freeze	Hold
Invoice against controlled entity?	Yes	Yes	Yes	Yes	No	Yes	No
Effect on supply or available to promise?	Closed quantity no longer available as supply; supply is recreated when reopened	No effect	Closed quantity no longer available as supply; supply is recreated when reopened	Canceled quantity no longer available as supply	Finally Closed quantity no longer available as supply	No effect	No effect
Effect on associated requisitions?	No effect	No effect	No effect	Determined by Purchasing Options: Never, Always, Optional	No effect	No effect	No effect

Effects of Control Actions on Purchase Agreements

This table lists the effects of purchase agreement control actions. Purchase agreement control actions include: Cancel, Finally Close, Freeze and Hold. For a given control action, a corresponding control effect may be indicated as one of the following:

- Yes, it does occur.
- No, it doesn't occur.

Control Effect	Cancel	Finally Close	Freeze	Hold
Modify controlled entity?	No	No	No	Yes
Action causes revision change?	Yes	No	No	No
Communicate document?	Yes	Yes	Yes	Yes
Can release against the document?	No	No	Yes	No

Centralized Procurement Billing

Procurement billing services can be centralized without requiring financial orchestration flows which simplifies both the process and the accounting.

Key components of centralized billing are:

- Bill-to business unit (BU) as invoice processing party
- Sold-to legal entity (LE) as the liable party
- No inter-company invoices required

Bill-to Business Unit

This is the business unit which vouchers supplier invoices for a received purchase order. A single bill-to BU can serve as a centralized invoice processing party for multiple requisitioning business units. The bill-to BU on the purchase order is derived from the bill-to BU specified on the supplier site assignment for the requisitioning BU on the purchase order.

Sold-to Legal Entity

This is the legal entity that's financially responsible for the purchases on a purchase order and is specified on that purchase order. So even though the invoicing is handled by another party the liability for the purchase remains with this legal entity.

Inter-company Invoices

Using this method of centralized billing means that no inter-company invoices are required. Accounting for the purchases are managed through standard general ledger journal entries.

Related Topics

- [What's a legal entity's role in global procurement?](#)

Freeze Supplier Agreement

What happens if I freeze a purchasing document?

Freeze your purchase orders to prevent changes or additions while maintaining the ability to receive and match invoices against received schedules. Freezing a purchase order cancels any pending change order that might exist on the purchase order.

Use the Actions menu to freeze or unfreeze a document.

Related Topics

- [Effects of Control Actions on Purchasing Documents](#)

FAQs for Track Supplier Agreement Life Cycle

How can I check order fulfillment status?

You can check order fulfillment status using the Order Life Cycle page, which summarizes all downstream fulfillment and settlement activities including in-transit shipments, shipped amounts, receipts and invoices.

The page highlights any remaining pending balances pending for such activities. This page also provides links to further examine specific transaction details.

For additional information, from a schedule, you can drill down into the Schedule Life Cycle page.

Sometimes an order's receipt or invoicing numbers are larger than the order specifies. To quickly identify these situations at a glance, the application can be configured by your administrator to view order and schedule life cycle information as bar graphs instead of pie charts.

How can I find the history of an order or agreement?

You can view the Document History page. Open the page from the Purchase Orders work area, Manage Orders task, or the Purchase Agreements work area, Manage Agreement task.

- In the search results, click the document's **Status** link.
- On the document view or edit pages, click the document's Status link, or select the View Document History action.

Use the Document History page to view a comprehensive audit trail of all actions taken, changes proposed, and changes implemented on the document. You can also view action details for the document.

Related Topics

- [Document History](#)
- [Document History for Purchasing Documents](#)

How can I view tracking or life cycle information on a consignment agreement?

You can click the **Agreement Amount Life Cycle** icon to view more information in order to manage the consignment process. An information window allows you to track the agreed, ordered, received, delivered, and invoiced amounts for the agreement.

Hold Supplier Agreement

What happens if a purchasing document is put on hold?

Place documents on hold to prevent receiving and invoicing until you remove the hold.

Use the Actions menu to hold or remove a hold on a document.

Related Topics

- [Effects of Control Actions on Purchasing Documents](#)

10 Transaction Console

Manage Workflow Transactions

After workflow tasks are created, it's helpful to keep track of them and jump in when needed, especially when something goes wrong. If you have the appropriate access, you can monitor and troubleshoot workflow tasks for others and for yourself.

Use the Transaction Manager: Transactions page in the Transaction Console work area to manage transactions. A transaction is a business process that involves a workflow task. Here are some of the things you can do:

- Track transaction statuses and download spreadsheets with information about transactions.
- Download and review diagnostic logs for transactions. For example, you can see the conditions in the approval rules that might have caused an error.
- Depending on what's going on with the transaction and what access you have, you might be able to, for example, reassign or recover the transaction.

Find Transactions

Follow these steps:

1. Click **Navigator > Tools > Transaction Console**.
2. If you see tabs, make sure you're on the Transaction Summary tab.
3. On the Transaction Manager: Transactions page, check the **Last Refresh** time stamp after the page title to see when the transaction statuses were last updated. Click the **Refresh** icon if needed. You can refresh any time as long as someone else didn't already start a refresh.
 - You can also click the **Refresh** icon for a specific row in the table to refresh individual transactions.
 - Also, the **Refresh Transaction Administrator Console Transaction Status** scheduled process automatically runs to refresh the statuses.
 - If you open the details for a specific transaction (step 5), its status also refreshes and you see the latest on the details page.
4. View the transactions with a status that matches the default Status filter, for example Failed. You can remove this filter to get results for all statuses. Or, use the search and filters to apply your own criteria, for example, to find transactions that are priority 1 or submitted by a specific person, or to use more performant fields.
 - You can use the search to find results based on keywords in the **Name** or **Process Name** column, or specifically use the Name or Process Name filters. Name is the person or object the workflow task applies to, and the process reflects the type of workflow task.
 - You can personalize filters to add or hide filters, and create saved searches for future use. For example, it's recommended to use the more performant **Assignee Name** field instead of Assigned To, and to select the **Assignee Role** field to search for transactions assigned to a specified role. If the **Submitted By** field is part of your saved search, you may be prompted to re-create the search to take advantage of a more performant Submitted By field.
5. Select and act on the transactions right there from the results table, or click the transaction in the **Name** column to see details, such as diagnostic information for failed transactions, and go from there.

Act On Transactions Without Opening Details

Here's what you do:

1. Select one or more transactions from the results table.
2. Optionally use the **Priority** menu to set an issue priority, so that you can later filter on the priority to find these transactions.
3. Open the **Actions** menu and select an action. If you selected more than one transaction, you see only the actions that can apply to all of them.

Use Transaction Details

What you can see and do in the transaction details depends on the transaction status and what access you have. For example, for transactions that are in progress or completed, you might see the approval history, which shows who already approved and who the current assignee is, if any.

For failed transactions, you can get information about the issues and, if you're an administrator, usually take some action:

1. Select an issue from the **Issues** list, if the transaction has more than one issue.
2. Review the information in the Instructions and Details sections, including any description and resolution for the issue, as well as the related workflow task and approval rule.
3. Click the **Download** link to get the diagnostic log.
4. Use the **Issue Priority** list to set an issue priority, if you want to later filter on the priority to find this transaction.
5. From the **Assigned To** list, select the person who should fix the issue, for tracking and filtering purposes.

Note: You can change the Assigned To field in your saved search to the more performant **Assignee Name** field, and add the **Assignee Role** field to search for transactions assigned to a specified role.

6. Add comments, for example to track what you're doing to address the issue, or note down any service request IDs. You and others can see these comments only in the Transaction Console, not with the workflow task in the worklist.
7. If you can, take action to address the issue. Here are some examples of how you might go about it:
 - Open the **Actions** menu and select an action to manage the transaction.
 - Follow up with the person you assigned the issue to or your help desk. Give them the diagnostic log and other information from the transaction details.
 - Reconfigure the approval rule that the transaction is based on, and have the workflow task resubmitted.
8. Select another issue from the **Issues** list, if any, and go through the same process.
9. Click **Save and Close**.

Download a Spreadsheet of Transactions

This is all you need to do:

1. In the results table, select the transactions you want to include in the spreadsheet. To get all transactions, either select all of them or none at all.
2. On the **Actions** menu, click **Download**.

Related Topics

- [Statuses for Filtering Transactions](#)
- [Actions for Managing Transactions](#)
- [Automatically Refresh Transaction Statuses](#)
- [Use Filters with Keyword Searches](#)
- [Save Keyword Searches with Filters](#)

Statuses for Filtering Transactions

Use the Transaction Manager: Transactions page in the Transaction Console work area to track the status of transactions. For example, you can filter the transactions by status to see just the transactions that are in progress or stuck.

Note: These statuses aren't the actual workflow task statuses that you see in the worklist or in notifications.

Status	Description
Auto Recovery	The transaction ran into some issues, but the application is trying to fix them without any action on your end.
Completed	All approvals are done and the transaction successfully went through all processes.
Draft	The transaction is saved but not submitted yet. This status doesn't apply to all product families.
Failed	The transaction has one or more errors, for example, due to a network or database outage, or an issue in the approval rules setup.
In Progress	At least one approval is still pending for the transaction before it's all done.
Stuck	The transaction was submitted, but ran into issues so the workflow task doesn't exist yet.
Submitted	The transaction was just created and hasn't moved on yet to another status. This status doesn't apply to all product families.

Related Topics

- [Manage Workflow Transactions](#)
- [Actions and Statuses for Workflow Tasks](#)

Actions for Managing Transactions

Use the Transaction Manager: Transactions page in the Transaction Console work area to manage and troubleshoot transactions. There are many actions you can take. For example, you can withdraw a transaction even if you're not the one who submitted it.

What you can do depends on the transaction status and the custom roles you have. Some actions, such as approve and reassign, are the same as the ones you can take on the workflow tasks from the worklist or from notifications.

Action	Description
Add Comment	Add your notes for the transaction, for example to track what you're doing to address the issue, or to jot down any service request IDs. You and others can see these comments only in the Transaction Console.
Alert Initiator on Error	Notify the submitter if the transaction ends up in error.
Approve	Approve the transaction if the workflow task is currently assigned to you to approve or reject.
Download	Get a spreadsheet with information about the selected transactions.
Reassign	Reassign the workflow task to an approver, the submitter, or someone else. This action isn't available if the workflow task is based on a Position list builder.
Recover	Restart the process after the transaction stopped due to errors. After you address the issue, use this action to pick up where the process had stopped and try what had ended up in error again.
Reject	Reject the transaction if the workflow task is currently assigned to you to approve or reject.
Resend Email Notification	Send an email notification to the current assignee of the workflow task, for example, if they can't find the original email. This action is available only if the transaction is in progress and involves a workflow task that's currently assigned. - In some cases, the in-app notification is sent as well. - If someone from a group of approvers has claimed the task but hasn't acted on it, the notification is still sent to the entire group.
Terminate Process	Completely end the transaction so that no one can see or act on the workflow task again.
Withdraw	Remove the workflow task from the workflow. You can ask the submitter to submit again, for example, after an issue is resolved.

Related Topics

- [Manage Workflow Transactions](#)
- [Statuses for Filtering Transactions](#)
- [Actions and Statuses for Workflow Tasks](#)

11 External Purchase Prices

Overview of External Purchase Prices

External Purchase Prices enables you to import product prices from external contracting applications or group purchasing organizations through an open interface.

You can select lines for purchasing or you can set selection criteria to automatically select the lines for purchasing to be created as blanket purchase agreements. Purchase prices are selected based on the selection criteria and are automatically created as blanket purchase agreements.

The External Purchase Prices solution includes these features:

- Import External purchase prices
- Update item and category for external purchase prices
- Cancel, select, include, or exclude lines from purchasing
- External purchase prices and change orders
- Select and import purchase agreements from external purchase prices
- External purchase price mappings

Consider these factors when you're working in the External Purchase Prices work area:

- External purchase prices are specific to a requisitioning BU and specific to a supplier.
- Purchase agreements created for items managed through external purchase prices should not be updated directly. Any changes required to purchase agreement like, canceling a line, updating the price, or description should be updated only in the external purchase prices. These changes are automatically implemented in the purchase agreements through the import purchase agreements from the Import External Purchase Prices scheduled process.

Import External Purchase Prices

You can import external purchase prices using: the REST API for external purchase prices requests, File-Based Data Import (FBDI) with the External Purchase Price template, or the Import External Purchase Prices scheduled process.

How You Import External Purchase Prices Using REST API

You can import external purchase prices from external contracting applications or group purchasing organizations using the External Purchase Prices Requests resource. With this resource, you can import new external purchase prices and their lines. The resource creates records in the external purchase price interface tables. You can update or cancel existing external purchase prices and add, update, or cancel their lines.

For more information, see the External Purchase Prices Requests REST Endpoints section of the *REST API for Oracle Fusion Cloud Procurement* guide.

How You Import External Purchase Prices Using FBDI

You can create a large volume of external purchase prices using file-based data import. In the File-Based Data Import for Oracle Procurement Cloud guide, go to the External Purchase Prices section and download the template `SchExternalPurchasePricesImportTemplate.xlsx`. The spreadsheet contains three tabs: Instructions and CSV Generation, `SCH_EPP_HEADERS_INT`, and `SCH_EPP_LINES_INT`. Load data into these tabs and import the file using the guidance provided in the Instructions and CSV Generation tab of the spreadsheet. Also see the Load Data into Tables section in this guide for more information.

Note: You can't update existing external purchase prices, headers, or lines using FBDI. Use REST API to update or cancel existing external purchase prices and add, update, or cancel their lines. For information on updating external purchase prices headers and lines using REST API see the External Purchase Prices Requests section in the *REST API for Oracle Fusion Cloud Procurement* guide.

How the Import External Purchase Prices Scheduled Process Works

The Import External Purchase Prices scheduled process imports the records from the interface table as external purchase prices when the header action is Create. It imports the records as change orders when the header action is Update or Cancel. The Approval Required option in the interface headers indicates if the external purchase prices or change orders need to be manually approved. If the Approval Required option is selected, the records are imported in Pending Approval status. Otherwise, the records are imported in Approved status. This import process can be scheduled to run at predefined intervals as per business requirements and also can be manually submitted when needed.

These are some of the considerations to keep in mind while using the Import External Purchase Prices scheduled process:

- A manufacturer part number is required for external purchase price lines. When a manufacturer part number is associated as a trading partner item to an item number, the item is automatically derived and shown in the external purchase price lines.
- It isn't necessary to associate items for all the manufacturer part numbers in the external purchase price. When an item is not associated to a manufacturer part number, associate a purchasing category to the manufacturer part number in the manage mappings page. When importing external purchase prices, the purchasing category mapping row where the manufacturer is specified is given precedence over the mapping row without a manufacturer.
- You can import external purchase prices with or without an item or a purchase category mapping for the manufacturer part. If neither item number nor a purchasing category mapping exists for the manufacturer part, the external purchase prices are imported as excluded from purchasing and the lines are not imported into Purchase Agreements. When you choose to include these lines for purchasing at a later point of time, you can define the item and trading partner relationship, or a purchasing category mapping, as the case may be.
- The change orders for an external purchase price are processed sequentially in the order in which they were created. If a change order is pending approval, any subsequent change orders are queued in not processed status. Change orders in not processed status will be automatically processed in the next run of the Import External Purchase Prices scheduled process if there are no prior change orders in pending approval status. The external purchase prices in pending approval status and change orders in either pending approval status or not processed status are shown as exceptions in the External Purchase Prices work area.

The import errors exception card is displayed when errors have occurred during import in the External Purchase Prices work area. From here, you can drill down to the Errors During Import page which lists the detailed error messages and

the attributes that caused the error. Once the errors are resolved, the interface records are processed in the next run of the Import External Purchase Prices scheduled process.

From the errors during import page, you can download the Microsoft Excel template for managing the external purchase prices interface data. This predefined template uses the Oracle Visual Builder Add-in for Excel to download the import errors and interface data from External Purchase Prices to a spreadsheet. You can use this template to view the interface headers and lines data. Additionally, you can delete the interface headers or lines and upload the changes back to the External Purchase Prices work area.

Update Item and Category for External Purchase Prices

If you imported external purchase prices without an item or a purchase category mapping, the external purchase prices are imported as disabled or excluded for purchasing and the lines are not imported into purchase agreements.

You can update the item and category for these external purchase prices using a scheduled process. You can then include those lines for purchasing either manually or by using the Include for Purchasing option in the scheduled process.

For more information on manually including lines for purchasing, see [Work with External Purchase Prices or Lines](#).

How You Update Item and Category Using a Scheduled Process

The Update Item and Category for External Purchase Prices scheduled process automatically updates the external purchase price lines with the item and purchasing category, based on the trading partner relationship. When a trading partner relationship doesn't exist, the process checks if a purchasing category mapping exists for the manufacturer part number. If the mapping is available, the process updates the external purchase prices. These are some of the options you can choose in the process details page:

- Submit the process for either all or for a specific requisitioning business unit by selecting the Requisitioning BU.
- Choose to automatically include for purchasing, external purchase price lines for which an item or a purchasing category mapping was found. Select Yes in the Include for Purchasing menu.

Note: If you select No in the Include for Purchasing menu, you can manually include these lines for purchasing using a Visual Builder Add-in enabled Excel Template at any point of time. For more information, see [Work with External Purchase Prices or Lines](#).

- Convert existing description-based external purchase price lines into lines with item number. When you select the option to include lines with purchasing category, the process checks for items that are created for manufacturer parts without an item number even if they are enabled for purchasing. If a trading partner relationship exists, the existing line in the external purchase price is canceled and a new line is created for the manufacturer part number along with the item number. If the external purchase price line exists in a purchase agreement, the purchasing agreement line is also updated with the item number.

Select and Import Purchase Agreements from External Purchase Prices

The Import Purchase Agreements from the External Purchase Prices scheduled process creates purchase agreements from the external purchase prices. All Approved external purchase price lines that are effective as of date are eligible for selection to create purchase agreements.

Selected external purchase price lines are created as purchase agreements. The process checks for any changes to the external purchase prices after the process was last run and updates the purchase agreements with all the required changes. Depending on the type of changes, the process may create a new purchase agreement, or add lines to the existing purchase agreement, update, or end date existing purchase agreement lines.

Here are a few things to consider when using the Import Purchase Agreements from the External Purchase Prices scheduled process:

- A separate purchase agreement is created for each combination of requisitioning business unit and supplier site.
- New external purchase price lines are added to purchase agreements that already exist for a requisitioning BU and supplier site. When no purchase agreements exist for the combination, a new purchase agreement is created.
- For a requisitioning business unit, manufacturer part, and unit of measure combination, if multiple external purchase price line exists and if you haven't selected lines for purchasing, one of the lines is automatically selected based on the external purchase prices selection criteria and created as purchase agreement lines.
- It isn't required to associate an item to the external purchase price lines. When an item number isn't associated to the manufacturer part number in an external purchase price line, then the purchase agreement lines are created with only the description and without an item number.

When the purchase agreements are created from external purchase prices, these attributes are populated in the purchase agreement header.

Attribute	Value
Interface Source Code	The value is always SCHEPP.
Procurement BU	From External Purchase Prices.
Currency Code	From External Purchase Prices.
Supplier	From External Purchase Prices.
Supplier Site	From External Purchase Prices.
Description	The value is always: Created by External Purchase Prices
Change Order Description	The value is always: Created by External Purchase Prices
Approval Action	The default value is BYPASS.

Attribute	Value
	To submit the purchase agreements created from external purchase prices for approval, change the value of the External Purchase Prices Options lookup (ORA_SCH_EPP_BPA_APRVL_OPTION) to SUBMIT.
Allow ordering from unassigned sites	The default value is N. To enable the POs referring to purchase agreements that are created from external purchase prices to order from unassigned supplier sites, change the value of the External Purchase Prices Options lookup (ORA_SCH_EPP_BPA_UNASIGND_SITE) to Y.

These attributes are populated in the purchase agreement lines when purchase agreements are created from external purchase prices.

Attribute	Value
Item	From the external purchase price line, when available.
Description	From the external purchase price line.
Purchasing Category	From the external purchase price line.
UOM Code	From the external purchase price line.
Unit Price	Final Price from external purchase price line.
Supplier Item	From the external purchase price line, when available.
Manufacturer	From External Purchase Prices.
Manufacturer Part Number	Final Price from external purchase price line.

This Import Purchase Agreements from the External Purchase Prices process updates the data to the purchasing document open interface tables to create or update purchase agreements. After the data is inserted into the interface tables, the import blanket agreements process is automatically submitted. Any errors that may have occurred during the import blanket agreement process is displayed as purchase agreement exception in the External Purchase Prices work area.

In this example, let's select and import purchase agreements from three different approved external purchase prices selection criteria.

Selection Criteria:

Attribute	Selection Criteria
Source Type	Local, regional, GPO
Party Type	Manufacturer
Lowest Price	This option is selected.

External Purchase Prices:

External Purchase Prices:	External Purchase Price Number	3001	3002	3003
	Contract Type	GPO	Local	Local
	Supplier	Supplier1001	Supplier1002	Supplier1003
Manufacturer Part Number	Description	Final Price	Final Price	Final Price
MPN2001	Tablet 50 mg	10.00*		
MPN2002	Tablet 25 mg	20.00*		
MPN2003	Injection 50 ml	30.00*		
MPN2004	Injection 25 ml	40.00	45.00*	48.00
MPN2005	Tablet 75 mg	50.00	55.00*	58.00
MPN2006	Tablet 10 mg	60.00	65.00*	68.00
MPN2007	Tablet 15 mg	70.00	75.00	72.00*

* Selected purchase price lines for the manufacturer part numbers.

Summary of the import Purchase Agreements:

- The lines for manufacturer part numbers MPN2001, MPN2002, and MPN2003 are included in the purchase agreement from external purchase price 3001 with source GPO and supplier supplier1001 as there are no other external purchase prices for these manufacturer part numbers.
- The lines for manufacturer part numbers MPN2001 through MPN2006 are included in the purchase agreement from external purchase price 3002 with source Local and supplier Supplier1002 as the selection criteria is set for preference of local source type over GPO source type and the Lowest Price check box is selected, that's, if there are more than one line with local source type, then the line with the lowest price is selected.
- For MPN2007, the price from the local source is selected over the GPO source and within the two local source lines the line with the lowest price from external purchase price 2003 for supplier 3003 is selected.

Related Topics

- [How Purchasing Document Header Defaults Work](#)
- [How Purchasing Document Line Defaults Work](#)

Manage External Purchase Prices

Manage External Purchase Prices

You can search for and view external purchase prices. You can also manage changes to and approve external purchase prices, and cancel, include, or exclude external purchase price lines.

Search External Purchase Prices

In the External Purchase Prices work area, you can use search to find specific external purchase prices.

You can use various attributes such as status, number, requisitioning BU, source type, manufacturer, supplier, source contract reference, manufacturer part, or item to search for external purchase prices.

View External Purchase Prices

In the External Purchase Prices work area, click the external purchase price number to view the lines.

The statuses assigned to external purchase prices and their lines are:

Type	Status
External Purchase Price Header	Approved - The external purchase price is approved. Lines belonging to approved external purchase prices are only eligible for selection to create Purchase Agreements. Pending Approval - The external purchase price must be approved. Canceled - The external Purchase Price is canceled.
External Purchase Price Line	Approved - The external purchase price line is approved and isn't selected for purchase agreements. User selected – The user has selected the line to be included for purchasing. The selection criteria specified in the Manage External Purchase Prices Selection Criteria setup won't be applied to the items with manually selected lines. Selected - The approved external purchase price line is selected and exists in a purchase agreement. Pending Approval - The lines belong to an external purchase price pending approval. Error - The purchase agreement couldn't be updated for this line due to an error. The details of the error are shown as Purchase Agreements Error in the Exceptions page. Canceled - The line is canceled and won't be used for selection. Excluded - The external purchase price line will not be considered for selection when creating the purchase agreements.

Type	Status
Change Order Header	Approved - The change order is approved and the changes have been updated to the external purchase price. Pending Approval - The change order must be approved before the changes are updated to the external purchase price. Canceled - The change order is canceled and the changes won't be updated to the external purchase prices. Error - An error occurred while implementing the change order. The details of the error are shown as Change Order Error in the exceptions page. Not Processed - These external purchase prices are queued and are processed when the prior external purchase prices are approved.

Approve External Purchase Prices

Application administrators can use the External Purchase Prices Approval workflow to approve or reject external purchase prices or change orders and configure appropriate approval rules based on the external purchase price attributes.

The external purchase prices and change orders are automatically routed through approval on import, and the approvers selected through the approval rules are notified. The external purchase prices or change orders can't be updated if the status is Pending Approval.

On rejection by any of the approvers, the external purchase prices or the change orders are moved to the Rejected status. BPM Administrators can withdraw an external purchase price or change order from the approval workflow. On withdrawal, the external purchase price or the change order is moved to the Withdrawn status. To cancel the external purchase price or change order in the Rejected or Withdrawn status, you must have the Manage External Purchase Prices (SCH_MANAGE_EXTERNAL_PURCHASE_PRICES_PRIV) privilege. You can also opt to cancel one or more lines that are the reason for rejection or withdrawal and resubmit the external purchase price or change order for approval. See .

The external purchase prices in the Rejected or Withdrawn status and those external purchase prices and change orders that are in Pending Approval status for more than a preselected time period are also shown as exceptions. You can set this time period in the Manage External Purchase Prices Lookups page.

Monitor and Troubleshoot Approval Exceptions from the Transaction Console

You can manage external purchase price approval transactions from the Transaction Console work area, Transaction Manager: Transactions page. The transaction status and your roles determine which transaction details are visible to you, and the actions that you can take.

Here are some of the things you can do:

- View the approval history for transactions that are completed or in progress. You can see the approval status from all approvers, and the current assignee if any.
- Download and review diagnostic logs for transactions with errors. For example, you can see the conditions in the approval rules that might have caused the error.

- Reassign or recover the transaction depending on what's going on with the transaction and what roles you have.

Related Topics

- [Oracle External Purchase Price Approvals Setup](#)

Work with External Purchase Prices or Lines

You can cancel external purchase prices or lines if for example, they are not required or if they have errors. You can also choose to select lines for purchasing or exclude lines from purchasing.

Consider these factors when performing any of the actions:

- **Cancel external purchase prices or lines:** You can cancel an external purchase price. All the lines in the external purchase price are canceled and those corresponding lines if present in BPAs are end-dated. You can also cancel selected lines in an external purchase price. In case the canceled lines were present in a BPA, they're end-dated in the BPA. In both these cases, the selection process then checks for the next best eligible lines to be included in the BPA. If you cancel lines before approval, you can undo the cancellation. However, if you cancel approved lines, they're permanently canceled.
- **Select lines for purchasing:** You can select multiple external purchase prices for an item and unit of measure combination in a requisitioning business unit. On the external purchase price page, select one or more external purchase price lines. In the More Actions drop-down, click Select for Purchasing. The status of the manually selected lines is shown as User Selected. You can also manually select lines using the visual builder add-in enabled excel template. Download the template, manually select the lines for purchasing across different external purchase prices, and then upload the template. The selection criteria specified in the Manage External Purchase Prices Selection Criteria setup won't be applied to the items with manually selected lines. When more than one external purchase price line is selected for the same item and unit of measure combination, all the selected lines will be available in the blanket purchase agreements.
- **Exclude lines from purchasing:** The lines imported with the external purchase prices are included for purchasing by default, except in cases where they're imported without an item or a purchase category mapping. You have the option to exclude lines from purchasing. The excluded lines won't be considered for selection when creating the purchase agreements.

You can also include back those excluded lines if you need to, using the Include for Purchasing action.

- **Manage lines across different external purchase prices:** You can include or exclude external purchase price lines across external purchase prices using a Visual Builder Add-in enabled Excel Template.

Here's how you manage external purchase price lines using the template:

- a. Download the template.
- b. Search and download external purchase price lines across different external purchase prices using any of the header or line attributes such as manufacturer part, item number, supplier part, status, and so on.
- c. Modify the status using the Purchase Enabled Flag or Canceled Flag and upload the changes.
- d. Upload the template with the changes.

Manage Changes to External Purchase Prices

Any updates to the external purchase prices are imported as change orders. If the change orders are imported with the approval required option, they must be approved before the changes are updated to the external purchase price.

The change orders for an external purchase price are processed sequentially in the order in which they were created. If a change order is pending approval, any subsequent change orders are queued in not processed status. Change orders in not processed status will be automatically processed in the next run of the Import External Purchase Prices scheduled process, if there are no prior change orders in pending approval status. The external purchase prices in pending approval status and change orders in either pending approval status or not processed status are shown as exceptions in the External Purchase Prices work area.

You can view the history of all the change orders for an external purchase price in the change orders tab of the external purchase prices page. If there's an update to the existing external purchase prices, for example, these are the updates, then the change orders and subsequent results are as follows:

Selection Criteria:

Attribute	Selection Criteria
Source Type	Local, regional, GPO
Party Type	Manufacturer
Lowest Price	This option is selected.

For more information on external purchase prices selection criteria, see [Manage External Purchase Prices Selection Criteria](#).

External Purchase Prices before update.

	External Purchase Price Number	3001	3002	3003
	Contract Type	GPO	Local	Local
	Supplier	Supplier1001	Supplier1002	Supplier1003
Manufacturer Part Number	Description	Final Price	Final Price	Final Price
MPN2003	Injection 50 ml	30.00*		
MPN2004	Injection 25 ml	40.00	45.00*	48.00
MPN2007	Tablet 15mg	70.00	75.00	72.00*

	External Purchase Price Number	3001	3002	3003
MPN2008	Tablet 20mg	100.00	90.00	85.00*

* Selected purchase Price lines for the manufacturer part numbers.

- Change Order 1 created for External Purchase Price 3002 with the following changes
 - New line added for MPN2003 with final Price 35.00
 - Line with MPN2004 canceled
- Change Order 1 created for External Purchase Price 3003 with the following changes
 - Final Price for MPN2007 updated from 72.00 to 79.00
 - Final Price for MPN2008 updated from 85.00 to 82.00

External Purchase Prices after update.

	External Purchase Price Number	3001	3002	3003
	Contract Type	GPO	Local	Local
	Supplier	Supplier1001	Supplier1002	Supplier1003
Manufacturer Part Number	Description	Final Price	Final Price	Final Price
MPN2003	Injection 50 ml	30.00	35.00*	
MPN2004	Injection 25 ml	40.00		48.00*
MPN2007	Tablet 15mg	70.00	75.00*	79.00
MPN2008	Tablet 20mg	100.00	90.00	82.00*

* Selected purchase Price lines for the manufacturer part numbers.

Summary of changes in Purchase Agreements due to the updates:

- Now that there is an external purchase price from Local source type for MPN2003, the line with this item is end dated from Purchase Agreement for Supplier1001 and the item will be added to the Purchase Agreement for Supplier1002.
- The line with MPN2004 will be end dated in the Purchase Agreement created for Supplier Supplier1002, because the line is canceled in the external purchase Price. The item will now be added to the Purchase Agreement with Supplier Supplier1003, the only external purchase price now available with local source type.

- For MPN2007, due to the price update, the lowest price 75.00 is now available in External Purchase Price 3002. Hence, the line with this item will be end-dated in the purchase agreement with supplier Supplier1003 and a new line will be added with this item in the purchase agreement with supplier Supplier1002.
- For MPN2008, due to the price update, the line with this item is updated with the new price in the purchase agreement with Supplier1003.

External Purchase Prices Mappings

When the external purchase prices are imported from an external application, the values of some of the attributes may be different from the corresponding values in Oracle Fusion Cloud Procurement. External purchase prices mappings helps you to bridge this gap.

You can create mappings using the Manage External Purchase Prices Business Unit Mapping setup task or from the External Purchase Prices Mappings page. To create or update the mapping data in bulk, download the template from the External Purchase Prices Mappings page. The Import External Purchase Prices process uses this data to translate the value of the attributes in the source system to the corresponding value in Oracle Procurement.

Attributes	Description
Requisitioning BU	Map the source organization code or identifier to one or more requisitioning business units belonging to a procurement BU. A requisitioning business unit can be mapped to only one active source organization.
Purchasing Category	Map the manufacturer part number to a purchasing category. In case a manufacturer part number belongs to different manufacturers, you can map that manufacturer part number combined with different manufacturers, to different purchasing categories. This mapping is required only when a manufacturer part number isn't associated to an item number in the item relationships.
Supplier Site	Map a source supplier to a supplier and supplier site. You can map the same source supplier to different supplier sites in different procurement BUs.
Unit of Measure	Map the source unit of measure (UOM) and quantity to a UOM code. The same source unit of measure can be mapped to different UOM codes for different suppliers.

Work with Requisitioning BU Mappings

Map multiple requisitioning business units to a source organization and create external purchase prices for the group of requisitioning business units specified in these mappings. The purchase agreements created from these external purchase prices are accessible to all the requisitioning BUs in the group.

If any purchase agreements couldn't be updated due to errors after you create or modify the mappings, the error status is shown for those mappings in the requisitioning BU mapping page. The external purchase prices work area also displays the number of purchase agreements in error. Drill down from the card to the purchase agreement exceptions page to view the error details. After resolving the errors, update the purchase agreements by submitting the scheduled process Update BU Access for Purchase Agreements Created from External Purchase Prices.

Create a Requisitioning BU Mapping

To create a new mapping,

1. Click **Add** on the External Purchase Prices Mappings page to open the Create Mapping panel.
2. Enter the name of the source organization and select the procurement BU.
3. In the Requisitioning BU section, add requisitioning BUs of that procurement BU from the drop-down list and click **Create**.

Add Requisitioning BUs to an Existing Mapping

You can modify the list of requisitioning BUs mapped to a source organization at any time. To add requisitioning BUs to an existing mapping:

1. On the External Purchase Prices Mappings page click on a source organization's requisitioning BUs to open the Manage Mappings panel.
2. Add requisitioning BUs and click **Update**.

If external purchase prices exist for the mapping, the BU access of the purchase agreements created for those external purchase prices are automatically updated with the newly added requisitioning business units.

If any purchase agreements couldn't be updated due to errors, the error status is shown for those mappings in the requisitioning BU mapping page and the external purchase prices work area displays the number of purchase agreements in error. Drill down from the card to the purchase agreement exceptions page to view the error details. After resolving the errors, update the purchase agreements by submitting the scheduled process Update BU Access for Purchase Agreements Created from External Purchase Prices.

Remove Requisitioning BUs from an Existing Mapping

You can delete requisitioning BUs mapped to a source organization on the Mapping Details panel by clicking the delete button against the requisitioning BU's name. These conditions must be met for requisitioning BUs to be deleted from an existing requisitioning BU mapping:

- There must be no purchase agreements created for the external purchase prices tied to those requisitioning BUs.
- The source organization must have more than one requisitioning BU mapped to it. If there's only one requisitioning BU mapped to a source organization, you can't delete that requisitioning BU from the mapping.

However, if purchase agreements exist for the external purchase prices that are tied to the requisitioning BUs that you want to delete, follow these steps to delete those requisitioning BUs:

1. From the mapping, identify the external purchase price lines that are tied to the requisitioning BUs that you want to delete and exclude them from purchasing. You can exclude the lines for purchasing using one of these methods:
 - a. On the External Purchase Prices page, select those lines and click Exclude from Selection.
 - b. Click Download Template and modify the status using the Canceled Flag, upload the changes.
2. Submit the Import Purchase Agreements from External Purchase Prices scheduled process to end date the excluded external purchase price lines in the purchase agreements.
3. On the Mapping Details panel, delete the requisitioning BUs from the mapping.
4. Include the excluded lines for purchasing manually using one of these methods:
 - a. On the External Purchase Prices page, select those lines and click Include for Purchasing.
 - b. Click Download Template and modify the status using the Purchase Enabled Flag, upload the changes.

5. Submit the Import Purchase Agreements from External Purchase Prices scheduled process again to create new purchase agreements with the revised list of requisitioning BUs for these external purchase prices.
6. You can verify that the lines are updated with an end date and cancel the lines as they are no longer in use.

On the Mapping Details panel, you can change the status of the mapping to inactive by turning off the Active switch. For the status to be changed to inactive, the mapping must not be used in other external purchase prices in any status other than canceled.

Selection Criteria for External Purchase Prices

Set criteria to determine how external purchase price lines are selected when multiple lines are available for a combination of item, unit of measure, and requisitioning business unit.

You can apply the selection criteria at a business unit or for all business units. You can set selection criteria using the attributes Source Type, Party Type, and Lowest Price. The Source Type attribute gives you these options:

Source Type Options	Description
Local, regional, group purchasing organization (GPO)	Select this option when you prefer an external purchase price sourced from a local contract over an external purchase price sourced from a regional contract. External purchase prices sourced from a GPO contract are least preferred.
Regional, local, GPO	Select this option when you prefer an external purchase price sourced from a regional contract over an external purchase price sourced from a local contract. External purchase prices sourced from a GPO contract are least preferred.
None	The source type won't be considered for selecting the external purchase price lines.

When you select the external purchase prices, the Party Type criteria option will be used after applying the source type criteria. The Party Type attribute gives you these options:

Party Type Options	Description
Distributor	Select this option when you prefer to purchase your items from a distributor over purchasing them from the manufacturer.
Manufacturer	Select this option when you prefer to purchase your items from the manufacturer over purchasing them from a distributor.
None	The party type won't be considered for selecting the external purchase price lines.

Select the **Lowest Price** check box if you prefer external purchase price with the lowest price. When you select the external purchase price lines, the lowest price criteria will be applied after applying the source type and party type criteria.

If multiple external purchase prices are eligible for selection after applying the selection criteria, then the latest external purchase price line is selected for the item.

12 Item Replacement

Overview of Item Replacement

Item replacement is a unified solution across the Oracle Fusion Cloud Procurement and Oracle Fusion Cloud Inventory Management applications.

When there are supply disruptions from external supply sources, you can replace the original item with a replacement item. Or you can choose an alternate supplier for the same item. Based on the nature of the supply disruption, the replacement can be permanent or temporary. For example, if the item is discontinued by the manufacturer, it's a permanent replacement. When the supply is expected to be restored in future, it can be treated as a temporary replacement. You can replace items using the master item number or the manufacturer part number.

In Oracle Procurement, you can:

- Create replacement tasks when there are supply disruptions such as back order or recall.
- Review alternate options for each impacted organization and initiate replacement.
- Notify stakeholders about the replacement in effect and switch the replenishment attributes for the disrupted and replacement items. This helps planners and PAR counters to ensure that they don't create any new replenishment requests for the disrupted item until supply is restored.
- Replace unfulfilled purchase orders in bulk with the selected alternate item or supply source.
- Review purchase orders that were impacted due to mass replacement or reinstatement.
- Review errors that occurred during mass replacement and reprocess the records.
- Delete an item replacement task.
- Make a temporary replacement permanent.
- Reinstatement the original item or supplier for temporary replacements.

In this guide, you'll find information about the actions that a buyer can take for item replacement in Oracle Procurement. For more information about the actions that a planner can take in Oracle Inventory Management, see Item Replacement in the Using Inventory Management guide.

Prerequisites

These are the prerequisites for item replacement.

- To manage the item replacement task, you must be assigned a role that includes the Manage Item Replacement (SCH_MANAGE_ITEM_REPLACEMENT_PRIV) privilege. To access notification content corresponding to item replacement, you must be assigned a role that includes the Manage Item Replacement Notifications (SCH_MANAGE_ITEM_REPLACEMENT_NOTIFICATIONS_PRIV) privilege.
- To access the Item Replacement work area, you should be a buyer defined as a procurement agent with the manage orders permission for the procurement business units in which you would want to manage item replacement tasks.
- If you choose to replace the item using the manufacturer part number, ensure that both these conditions are met:

- A trading partner relationship exists with the corresponding master item number.
 - The purchase agreement has captured the manufacturer part number.
- A purchase agreement is required for the original item and the replacement item, or alternate supplier in case of a supplier replacement.
- To send notifications, configure rules in the BPM worklist. For more information, see the Configure Business Rules for Item Replacement Notifications in the Implementing Procurement guide.

Related Topics

- [Configure Business Rules for Item Replacement Notifications](#)

Considerations for Item Replacement

These are the considerations to keep in mind when using item replacement.

- Item replacement isn't supported for:
 - Back-to-back fulfillment
 - Make items
 - Configured items
 - Items set for outside processing
 - Items with dual UOM control
- You can create only one replacement task for an item-supplier combination for a group of organizations.
- Inventory items and expense items can't replace each other
- Consignment order and standard order can't replace each other.
- Order quantity calculation and rounding is done as per UOM conversion defined for the alternate source. If the unit of measure for the original item differs from that of the replacement item or replacement source, the converted quantity could end up being a decimal number. Ensure that the rounding factor is defined in the BPA line or in the purchasing attributes for the item in Product Information Management > Manage Items. If the rounding factor is defined in both places, BPA takes precedence.

This table explains the rounding factor logic used in three different scenarios with examples. The UOM of the original item is Each and that of the replacement item or source is B10.

	Original Quantity and UOM	Converted Quantity and UOM	Rounding Factor	Decimal Factor of the Converted Quantity	Rounded Off to	Quantity After Rounding Off
Rounding factor > Converted quantity decimal factor	15 Each	1.5 B10	0.6	0.5	Floor	1 B10
Rounding factor < Converted quantity decimal factor	17 Each	1.7 B10	0.6	0.7	Ceiling	2 B10

	Original Quantity and UOM	Converted Quantity and UOM	Rounding Factor	Decimal Factor of the Converted Quantity	Rounded Off to	Quantity After Rounding Off
quantity decimal factor						
Rounding factor = Converted quantity decimal factor	16 Each	1.6 B10	0.6	0.6	Ceiling	3 B10

Create a Replacement Task

You can access the Item Replacement task as a buyer defined as a procurement agent with the Manage Orders permission.

This procedure explains how to create a replacement task for an item. You can follow the same steps to replace a supplier by choosing supplier replacement options instead.

1. In the Purchase Orders work area, open the task panels tab.
2. Click **Manage Mass Replacement of Items** in the Administration work group to open the Item Replacement page.
3. Select a business unit and click **Create Item Replacement**.
4. On the New Item Replacement page, define a replacement task for the item using either its master item number or manufacturer part number.
5. Select these replacement settings:
 - Select a reason for supply disruption. This information becomes available on the Replacement Details page from where you initiate replacements and reinstatements.
 - Level: Either globally across all organizations together or for each organization individually. If you're selecting Globally Across all Organizations, make sure that the replacement solution is the same for all organizations. Select Each Organization Individually if the supply disruption impacts only specific organizations or the replacement solution differs across organizations.
 - Permanent or temporary depending on whether the supply can be restored or not. In temporary replacements, you can also select an expected availability date.
6. Click **Create** to create the replacement task. The Item Replacement page for that item displays a list of impacted organizations which are serviced by the selected procurement business unit.

Note: An organization is eligible for a replacement and appears on this list if the requisitioning BU associated with the organization has an approved purchase agreement for the item-supplier combination. Additionally, it must either have unfulfilled PO lines, or have MRP planning enabled, or its replenishment source must be defined as supplier.

The Item Replacement page for an item also displays this information:

- The number of substitute items already defined in the Product Information Management work area and available for replacement.
- The number of alternate suppliers available for the disrupted item with a valid purchase agreement.

- The number of unfulfilled PO lines that would need mass replacement.
- 7. Click an organization to initiate the replacement. On the Replacement Options page, review and set these options:
 - Replacement method: You can select Alternate supplier or Alternate item if both options are available to choose from. Otherwise, the available method is pre assigned.
 - Select one of the items for replacement. The source agreement details, if available, are displayed.
- 8. If no source agreements are available, create a new purchase agreement line for the alternate item. You can either import the agreement from External Purchase Prices or create it from the Manage Agreements page from the Manage Agreements page in the Purchase Agreement work area. For more information on how to perform these actions, see how to create a purchase agreement or Import External Purchase Prices.
- 9. Click **Continue** to confirm replacement. Here's what happens when you confirm replacement:
 - If the item is enabled for min-max planning, an FYI notification is sent to planners and PAR counters informing them that an item replacement is in effect and the original item's subinventories and locators are disabled for replenishment.
 - If the item is enabled for MRP planning, a supply hold is created automatically in Product Information Management. The supply hold is enabled by the attribute Create Supply After, to which a future arbitrary date is assigned to ensure that no new planned order is created for this disrupted item from an external supply source.

If the replacement method is alternate supplier, no notification is sent at this step because the original item's subinventories and locators won't be disabled for replenishment.

For more information about configuring rules in the BPM worklist to send notifications, see [Configure Business Rules for Item Replacement Notifications](#).

- 10. Now you'll see a list of eligible Purchase Orders that need mass replacement of the original item.

Note: To be available for mass replacement, the PO lines shouldn't be on drop shipment. Additionally, the PO lines shouldn't have been shipped, received, or billed.

Considerations for choosing a replacement option and use cases specific to the replacement options are described in this table.

Replacement option	Description	Considerations
Replace PO Line	Updates the item and its related purchase order line attributes with the information for the new item. This action is available only when the replacement method is set to Alternate item sourced to the same supplier.	This option isn't supported for: ◦ Multiple distribution lines. ◦ Lines that are fully received and returned. ◦ Lines that are associated with trade operations for landed costing.
Cancel and Create New PO Line	Cancels the line for the original item and creates a new line with the replacement item. If the supply source is replaced or is different for the replacement item, a new purchase order is created.	This option isn't supported for consignment PO lines.
Skip PO Line	Skips the purchase order line from undergoing mass update. A buyer has the option of skipping the PO from undergoing mass update with this option.	You can use this option in cases such as this example.

Replacement option	Description	Considerations
		If the supplier has already shipped the items for a PO without an advance shipment notice, the buyer can manually skip the PO for mass update, as it doesn't warrant a replacement.

11. Click **Finish** to complete the item replacement process. These notifications are sent when you click Finish:
 - A notification is sent to the requesters of the backing requisition on the purchase orders, informing them about the replacement of their originally requested item with the substitute item or supply source.
 - A notification is sent to the planner through which they can find the item replacement task in Oracle Inventory Management and take further actions to update inventory entities for the replacement item.

For more information about configuring notifications, see [Configure Business Rules for Item Replacement Notifications](#).

12. After a mass replacement, you can review information such as which purchase order lines were impacted or newly created, and which attributes changed. On the Replacement Details page, in the Replacement POs section you'll find the purchase order lines that have undergone mass updates during the replacement. Additionally, the document number, supplier part number, order quantity, purchasing unit of measure, and unit price derived for a PO line during the mass replacement for the original purchase order line attributes are listed. The replacement action taken for each PO line is also available for historical reference.

Once the replacement action is taken on the POs, any errors that occurred during the mass update are indicated for the replacement task and for each organization on the Item Replacement details page. You can resubmit the replacement process after correcting the errors.

A temporary replacement can be made permanent if the reinstatement process hasn't been started for any of the organizations for which the item or supplier is replaced. On the item replacement details page of a temporary replacement task, click the Make Permanent button to make it a permanent replacement.

Delete a Replacement Task

You can delete a replacement task if the replacement process hasn't been initiated for any of the organizations pertaining to the task.

In the Item Replacement page click a replacement task to open it. In the item replacement details page, click Delete to delete the task.

Reinstate an Original Item or Supplier

If you created a temporary replacement for an item, you can reinstate the original item for purchase when the item is available. You can also reinstate the original supplier.

1. On the Item Replacement landing page, select the organization.

Note: When the replacement was initiated, the original purchase agreement might have been end dated. Ensure that there's a valid purchase agreement line for the original item against the original supplier before you proceed to the next step.

2. On the Replacement Summary page, click **Reinstate Original Item**.
3. On the Reinstatement Options page, you'll see the source agreement for the original item. Select the purchase agreement for the original item and supplier and click **Continue**. To reinstate an original supplier, select the original purchase agreement as the source agreement.

Here's what happens when you confirm the reinstatement option:

- An FYI notification is sent to the planners informing them that item reinstatement is in effect and planning for all the replacement item subinventories and locators is disabled.
- If the item is enabled for MRP planning, the Create Supply After attribute is cleared thereby removing the supply hold, and planned orders can start getting created.

4. The Purchase Orders page opens and displays a list of purchase orders for the alternate item. Select the purchase orders and click a replacement action to reinstate in bulk.
5. Click **Finish** to complete the replacement task. These notifications are sent when you click Finish:
 - A notification is sent to the requesters of the backing requisition on the purchase orders, informing them about the replacement of their originally requested item with the reinstated item or supply source.
 - A notification is sent to the planner through which they can find the item replacement task in Oracle Fusion Cloud Inventory and take further actions to update inventory entities for the reinstated item.

For more information on notifications, see [Configure Business Rules for Item Replacement Notifications](#).

6. After the reinstatement, you can review information such as which purchase order lines were impacted or newly created, and which attributes changed. On the Replacement Details page, in the Reinstatement POs section you'll find the purchase order lines that have undergone mass updates during the reinstatement phase.

Mark as Completed

In an item replacement task, you can initiate replacement on individual organizations and perform a mass update on purchase orders for those organizations.

However, if there are certain organizations in which you don't want the replacement to be done, you won't initiate replacement in those organizations and their status will remain Pending. In such a case, you can use the Mark as Completed option to indicate that the replacement task is complete.

Note: After you complete the item replacement process for an organization and the planner in Oracle Inventory Management completes the replacement of the inventory entities for that organization, the Mark as Completed option is available on the replacement details page. The Mark as Completed action is available only in permanent replacements.

13 Global Search

What attributes can I use to search a requisition using the global search?

Here's the list of attributes you can use to search a requisition using the search extension framework for global search.

Requisition Header Attributes

Preparer (Entered By), Requisitioning BU, Requisition Number, Description, Document Status, Justification, Creation Date, and Preparer Email (Primary Email of the Entered By User).

Requisition Line Attributes

Requester, Email of Requester, Assigned Buyer, Assigned Buyer Email, Item, Item Description, Item Category, Deliver To Location (Internal or One-time and for One-time search can be on specific elements of the Structured Address Fields), Purchase Order, Transfer Order, Supplier (including Alternate Name), Supplier Site, Procurement BU, Manufacturer, Manufacturer Part Number, Supplier Part Number, Last Submitted Date, Base Model, Work Order, Work Order Product, Customer Sales Order, and Ship To Customer Location.

Requisition Distribution Attributes

Charge Account (can search on specific segments or a combination), Project Number, and Project Task Number.

Related Topics

- [Considerations for Using the Search Extension Framework for Global Search](#)

What attributes can I use to search a purchase order using the global search?

Here's the lists of attributes you can use to search a purchase order using the search extension framework for global search:

- Order Number, Description, Requisition Description, Note to Receiver, Buyer (display name, list name, and email), Procurement BU, Requisitioning BU, Sold-to LE, Bill-to BU, and Document Style
- Note to Supplier, Supplier (including Alternate Name), Supplier Site (including Alternate Name), Supplier Contact, and Supplier Item
- Item Description, Work Order Product, Item, Item Category Name, Item Category Description, Base Model Item, Manufacturer, and Manufacturer Part Number
- Work Order Number, Sales Order Number, Ship-to Location, Ship-to Customer, and Ship-to Customer Location.

- Charge Account, Requester (display name, list name, and email), Deliver-to Location, Deliver-to Customer, Deliver-to Customer Location, Project Name, and Project Task Number

Note: When you use the global search, attributes that match your search are displayed in a highlighted text. This helps in identifying sections of the document where there was a match.

Related Topics

- [Considerations for Using the Search Extension Framework for Global Search](#)

What attributes can I use to search a purchase agreement using the global search?

Here's the list of attributes you can use to search a purchase agreement using the search extension framework for global search:

- Agreement Number, Description, Note to Receiver, Document Style, Procurement BU, and Buyer (display name, list name, and email)
- Note to Supplier, Supplier (including Alternate Name), Supplier Site (including Alternate Site Name), Supplier Contact, Supplier Item, Supplier Part Auxiliary Identifier, Supplier Top Model, and Supplier Parent Item
- Item, Item Description, Item Category Name, Item Category Description, Top Model, Parent Item, UNSPSC, Manufacturer Part Number, Long Description, Manufacturer, Alias, and Comments

Note: When you use the global search, attributes that match your search are displayed in a highlighted text. This helps in identifying sections of the document where there was a match.

Related Topics

- [Considerations for Using the Search Extension Framework for Global Search](#)

14 Supplier Negotiations

Negotiations

Oracle Supplier Negotiations

Your negotiation document specifies the details of the negotiation for potential suppliers. While being developed, your document can be stored as a draft until you're ready to publish it.

There are several ways by which you can create a negotiation document. There are also tools to help simplify the creation process.

- You can use a negotiation style to control the look of the document and the features available. A style is a good way to create a streamlined negotiation.
- You can use a negotiation template to create a base negotiation document containing much of the line and supplier-related information. You can have a default negotiation template when you create a negotiation. Having a default template will ensure that negotiations are created with the correct information, improve efficiency, maintain accuracy, and save time. Once you have a template defined, you can reuse it without having to reenter negotiation information. You must have access to the Procurement Business Unit for this the template was defined to access it. You can enforce the usage of the negotiation template by requiring that category managers must select the template.
- You can use requisitions in Purchasing to create a negotiation document. When you use this method, the requisition information is used to create the negotiation lines.

If you create your negotiation from scratch, as you create your negotiation, a series of train stops appear. These identify major sections of the negotiation document for which you may need to enter information, depending on the goal of the negotiation. The following descriptions describe the purpose for each negotiation section. Note that depending on which negotiation style you're using, one or more of the sections may not be available for use and so may not appear among the train stops.

How You Write a Cover Page and Specify Overview Information

You can create a cover page to associate with your negotiation document. Overview information specifies negotiation level controls.

Your cover page can include standard company text as well as document specific details. You can use variables to represent values that are used throughout the document and which may be updated often. An example could be important dates for deadlines in the document timeline. Using variables ensures that values are always synchronized. A cover page is optional.

On the Overview page, you specify many negotiation controls such as preview, open and close dates. For multilingual negotiation, you can define allowable currencies and exchange rates. You can specify many ranking and response controls.

- Header information, including
The negotiation title, number, description, and Procurement BU

- Schedule controls, including
 - Preview date, open date, close date, and award date
- Negotiation controls, including
 - Response visibility, display and print formats
- Requirements controls, including
 - weighting and scoring information.
- Line controls, including
 - Price tier/break information, ranking method and display, alternate response/line flags
- Response controls, including
 - rules about using multiple responses

If you have enabled the generative Artificial Intelligence (AI), then you can leverage the generative AI to author the cover page text for your negotiation. Simply enter the key details like the title, synopsis, item categories, and significant dates, and then use the AI Assist to generate the cover page text.

AI will use the information from the draft negotiation and suggest content to include for you to get started. If you like a suggestion, you can review and accept it. If not, you can always edit it before or after accepting it. You also have the option to regenerate and explore different contents and formats until you find the one that fits your needs.

Consider these when you're creating a negotiation cover page with Generative AI.

- The cover page text suggestions generated by artificial intelligence may contain inaccuracies and should be reviewed before adding to the negotiation.
- The cover page text suggestions may be addressed to suppliers, featuring a placeholder for your contact details at the end, which you can modify as necessary.

Requirements

Requirements solicit company level information. You can use a supplier's answers to requirement questions in addition to the other response information to help evaluate the supplier's response. You can have the application score responses automatically, or you can score them yourself. Requirement scores can also be weighted to more accurately reflect their importance within the negotiation. You can use questions and qualification areas that have been defined in Oracle Supplier Qualification as requirements and requirement sections.

Collaboration Team Members

You can introduce collaboration team members with access only to scoring, where the scoring-only assigned team member will only enter scores for the requirements assigned to that person.

Negotiation Lines

Your lines are the heart of your negotiation. They identify the items and services which you're sourcing. You can add individual lines or lots or line groups. You can specify quantity details such as price breaks and line details such as line attributes for use in response ranking. You can use cost factors to identify additional line costs such as shipping or insurance. You can use retainage to withhold funds from payment to ensure that the supplier finishes work as agreed.

Contract Terms

If Oracle Procurement Contracts is installed and configured, you can access contract information created and stored in Procurement Contracts and associate it with your negotiation document. Such information could identify important deliverables or contract clauses suppliers must provide along with the timeline governing the deliverable management. See help information on Procurement Contracts for details on contract terms and clauses.

Create Contracts

You can create a base contract to negotiate terms with all suppliers. The base contract doesn't contain any primary parties. Suppliers can review the negotiation contract terms as part of the response process, share their acceptance with the contract terms or suppliers can share their concerns by redlining the contract terms document. You can either create an enterprise class contract or an agreement class contract based on your requirement.

You can either choose a structured terms template or a simplified terms template for the base contract. If you want to author contract terms later or if you want to choose attached document as contract source, you can leave the contract terms template field blank. After creating the base contract, you can edit the contract and change the contract source to attached document.

Supplier Contacts

The Suppliers train stop gives you access to the Supplier-related pages. Using these pages, you can specify the suppliers based on their eligibility, their sites and contacts whom you want to notify about the negotiation. You can use the search capabilities of the Supplier pages to find and identify eligible incumbent suppliers, suppliers who are approved sources for a particular item or service, and suppliers to whom the negotiation is of particular interest. You can identify the supplier contacts that have an active user account to add to the negotiation invitation list. This way, you can ensure that the invitation is sent to contacts who have access to supplier portal to create and submit their responses. Supplier contacts you identify are sent notifications with information about the negotiation and are invited to participate. If the response control: Restrict to invited suppliers is enabled, only suppliers on the invitation list can participate. If you select a supplier site, then for that supplier, only contacts registered for that site can view and participate in the negotiation.

Due to mergers or acquisitions, the supplier contact of the parent company may have increased responsibility to respond to the negotiations of their subsidiaries. Supplier contact can negotiate on behalf of multiple supplier companies as long as they have appropriate data access for these subsidiaries. This ensures that the supplier contacts of the parent company can only respond to the negotiations of the subsidiaries to which they have access to.

The invited contact of the parent company will now receive the negotiation terms and conditions of its subsidiaries in a notification email. After the parent supplier contact accepts the terms, they receive the negotiation invitation email with the negotiation details intended for its subsidiary. They can now review negotiation details and acknowledge the intent to participate in the negotiation. It is possible a parent supplier contact can be invited on behalf of multiple suppliers. They can see the supplier company for which the negotiation is intended.

The activity of the parent supplier contacts is also recorded in the supplier activity log and can be tracked when monitoring supplier activities. When award is completed and shared with suppliers, the parent supplier contact is notified. When purchasing documents are created, you must select an active contact of the child supplier company on the purchase order or agreement.

You can select a specific supplier contact to invite in a negotiation, and also specify an additional email to send the invitation notification and PDF. But often it isn't known which person is the right sourcing contact. There can be several supplier contacts at the company who need to be notified about the negotiation opportunity in order to maximize the chances of the supplier's participation.

You can notify all the contacts for an invited supplier. Supplier contacts with and without supplier portal user accounts will receive the notification email and PDF. Once notified, contacts who don't have a user account may initiate user account creation, or submit offline responses for buyers to record as surrogate responses.

You can also notify all contacts when you invite additional suppliers after publishing the negotiation. When you choose to notify all contacts, selecting a primary supplier contact is optional.

When you send an online message to all participants, all the contacts of the invited supplier having active user accounts receive the online message notification. Similarly, all the contacts of the invited supplier having active user accounts are notified when an amendment is published, or if the negotiation is paused, resumed, extended, or closed.

How You Review and Publish a Negotiation Document

The application validates your work as you create a negotiation document. As you move from one page to another, the application checks your work and displays any error messages applicable to the work you have completed so far. Additionally, you can use the Validate option from the Actions menu at any time. You can also use the Review train stop to review your work at a higher and more complete level. The review display presents a column of links you can use to access a particular section of the document. If you want to update a section, you can click the train stop.

Once you're finished creating the negotiation document, you publish it to make it visible and accessible within the application. Suppliers can view the negotiation during the preview period (if any) and can create draft responses, but they can't submit the response to the negotiation until its open date is reached. You can always modify the negotiation internally, for example, by inviting additional suppliers or updating the collaboration team, however, once you publish a document, create an amendment to make any changes the suppliers see.

If document approval rules are defined for your environment, your document may be automatically approved and published, or it may be submitted to approvers for review. Then once all approvals have been obtained, the negotiation document is automatically published. In the Negotiations work area, the Messages infolet shows messages on ongoing negotiations in which you're participating.

Related Topics

- [Examples of Negotiation Controls](#)
- [Negotiation Lines](#)
- [How You Invite Suppliers to Negotiations](#)
- [How You Review a Negotiation](#)

Negotiation Types

The available negotiation types are as follows: Request for information (RFI), request for quotation (RFQ), and auction.

RFI

RFIs are used to qualify suppliers and their goods and services for subsequent procurement activities. RFIs are used more for gathering information on the goods and service provided by a supplier than related to a particular price information. Therefore, RFIs typically don't make reference to item price or quantity.

RFIs identify important item criteria on which the buyer needs information. The supplier responds by answering the buyer's questions. The buyer uses supplier responses to identify the group of suppliers who should be included in the subsequent negotiation. RFIs can be (and typically are) taken to multiple rounds until the buyer has enough information

to identify supplier(s) with which to deal. At the conclusion of the RFI cycle, the information contained in the RFI can be copied into an RFQ or buyer's auction.

RFQ

RFQ is a document that an organization submits to one or more potential suppliers eliciting quotations for a product or service.

RFQs enable buyers to collect quotes from suppliers for complex and hard to define items or services, such as made-to-order manufacturing or construction projects. The RFQ process is generally the longest of the negotiation processes.

After the suppliers have submitted an initial round of proposals (quotes), the buyer has the power to fine tune the RFQ and initiate detailed negotiations, as necessary. This process may go through multiple rounds of negotiations and quotes.

RFQs can be blind (buyer can see the quotes during the RFQ, but suppliers can't) or sealed (neither buyer nor suppliers can see the quotes until the RFQ is closed and the quotes are unsealed), so suppliers can never see each other's quotes while the negotiation is in progress.

Auction

A type of negotiation where suppliers can place competitive bids within a designated time frame.

Auctions enable buyers to solicit bids for goods and services that are clearly defined, such as office furniture or memory chips. Buyers can discover new suppliers or buyers and get competitive pricing or improved service. Buyers can tailor each auction to control who can see bids during the auction, whether multiple rounds of bidding are possible, and whether partial bids are allowed.

Many different items can be included in an auction. If permitted by the buyer, suppliers can view all bids submitted while the auction is open. This information generates competition and encourages suppliers to submit their best possible price. After the auction is completed, suppliers are immediately notified of the auction results through online notifications.

The table lists the features' matrix in relation with the negotiation types. Based on your feature requirements, you can select the required negotiation type.

Features	RFI	RFQ	Auction
Restrict supplier participation	Supported	Supported	Supported
Two-stage RFQ	Not Supported	Supported	Not Supported
Autoextend	Not Supported	Not Supported	Supported
Prebid submissions	Not Supported	Supported	Supported
Large negotiation	Supported	Supported	Supported
Staggered closing	Not Supported	Not Supported	Supported
Proxy bidding	Not Supported	Not Supported	Supported
Mass price reduction	Not Supported	Supported	Supported
Monitor negotiation	Not Supported	Supported	Supported

Negotiation Abstracts

Abstracts are negotiation summaries that you post on your external website for suppliers. Your suppliers can read information about your upcoming negotiations.

They can decide if they want to participate without having to log in to the sourcing application to view information. Include attachments for suppliers when you post the abstract on the public website.

Abstracts are used mainly in public sector entities such as state and local governments, EMEA and US federal negotiations.

Abstract Information

When you define an abstract, you specify when the abstract information is made available. You can have the abstract posted at these times:

- During negotiation open period to inform suppliers about the negotiation and how to participate.
- After negotiation is awarded to publish award notice to external web site.

You can use two types of fields in your abstract definition. These fields are always available:

- Negotiation Number
- Title
- Synopsis
- Negotiation Type (auction, RFQ, RFI)
- Preview, Open, or Close dates
- Negotiation Status
- Buyer
- Attachment Description

Use the Synopsis field to describe your negotiation. The descriptive information in the field is what your suppliers see when they view the negotiation abstract.

Also, if the descriptive flexfields associated with abstracts have been enabled, there may be additional fields you can use.

If you amend the negotiation, open a new round of responding, or duplicate the negotiation to create a new negotiation document, the abstract information is copied. Abstract information is also copied over when a negotiation is saved to template.

Using Abstracts

You can manually post an abstract in draft status. You can automatically post the abstract for negotiations in submitted, preview or active status. Once you have posted the abstract on external web site, you can remove it if necessary.

Enabling Abstracts

You enable the abstract functionality in Setup and Maintenance. You must create or update a negotiation style to support abstracts (style sheets that support Two-stage negotiations have abstracts enabled by default). You must also configure the abstract listing page.

To create a style sheet that accepts abstracts:

1. In the **Setup and Maintenance** work area, go to the task: Manage Negotiation Styles:
 - o Offering: Procurement
 - o Functional Area: Sourcing
 - o Task: Manage Negotiation Styles
2. On the Manage Negotiation styles task and click the link.
3. On the manage Negotiation Styles page, and click the Add icon (the plus sign).
4. On the create Negotiation Style page, from the Overview section in Controls, select the Abstract check box.
5. Enter the remaining attributes as needed for this style.
6. Click Save and Close. You use this negotiation style later when you define negotiations for which you want to create an abstract.

To create the Abstract Listing page:

1. In the **Setup and Maintenance** work area, go to the task: Configure Procurement Business Function:
 - o Offering: Procurement
 - o Functional Area: Sourcing
 - o Task: Configure Procurement Business Function
2. From the search results, click the link for Configure Procurement Business Function.
3. On the Specify Procurement BU page, select the procurement business unit for which you want to create the Abstract Listing.
4. On the Main tab of the Configure Procurement Business Function page, in Sourcing, click Configure Negotiation Abstract Listing page.
5. On the Configure Negotiation Abstract Listing page.
6. Select default formats for dates, time, and negotiation numbers.
7. Select the appropriate language and time zone for this BU.
8. Specify a URL where you want the abstracts to appear.
9. Finally, you can specify default header and footer text.
10. Click Save and Close.

Using Abstracts with a Negotiation

Once you have enabled abstracts for your Procurement BU, you start adding abstracts to your negotiations.

1. Click the Create Negotiations link from the Task panel.
2. On the Create Negotiation dialog box, select a negotiation style that supports abstracts.
3. On the Overview page, enter text into the Synopsis field. This text description of the negotiation is what the supplier sees when viewing the abstract.
4. Click the Abstracts tab.
5. In the Abstract Controls section: specify
 - o Whether to include a negotiation .pdf with the abstract.
 - o Whether the abstract is posted automatically. If you choose this option, you must also specify which event triggers the abstract posts.
 - o A layout for the award notice and the response tabulation.
 - o In any of the descriptive flexfields for the Abstract Control section have been implemented there will be additional fields which you may want to enter information.

- Whether to include all the negotiation attachments categorized as **To Supplier** in the abstract listing by selecting the control **Include negotiation attachments to supplier**. You can attach a file, text, or URL link.
- 6. If you want to see what abstract looks like, click Preview Abstract.
- 7. After you have finished defining your abstract, you can continue defining the negotiation

Variables In Negotiation Documents

When creating a negotiation document, you can use placeholders called variables to represent textual entries in the document. The variables refer to pieces of information defined elsewhere in the document.

After the value of the referenced information is entered, users can see the variable substituted with that value in the Preview window as well as on the Review page. Using variables lets you to ensure that the document is current and that any necessary updates are made consistently throughout the entire document.

Example of Using Variables

For example, on a negotiation document cover page, the title and open and close dates could be specified as variables. Then at a later point during document creation, when the title and open/close dates are actually specified, the variable values on the cover page would be assigned. Also, if at a later date, the title, open or close dates are modified, the variable values are automatically updated.

Examples of Negotiation Controls

Negotiation controls determine which features are available to a negotiation and how they are used. The availability and default values for these controls are specified by which negotiation style you select when you begin defining your negotiation, however, you can override the values here.

Schedule Controls

You have several settings that control the negotiation time line.

- Preview Dates

You can choose to set a preview date for your negotiation. Suppliers can submit their prebids when the negotiation (auction or RFQ) is in the preview status.

- Open Dates

You can choose to open the negotiation immediately, as soon as you publish it, or you can choose a future date on which the negotiation opens for responding.

If approvals are enabled for your procurement BU, then you could choose **Open upon approval** or a specific date as open date. For open date, you can't set the number of days after the approval date.

- Close Date

You must specify a close date. After the close date is reached, the supplier can't submit more responses from the Oracle Supplier Portal, but the buyer can still create surrogate responses for the suppliers. If the negotiation is an auction, you can optionally choose to enable the autoextend or staggered closing feature.

If approvals are enabled for your procurement BU, you can select a specific date as close date, or a set number of days after the open date.

- Award Date

You can specify an award date for the information of the suppliers. Award dates are not enforced by the application. You can award the negotiation at any time after closing it.

Negotiation Controls

You have three controls that control the visibility of supplier responses and the general appearance of the negotiation document.

- Response visibility

Response visibility controls when suppliers can see information from competing responses.

- Open - in an open negotiation, suppliers can see competing response information while the negotiation is active.
- Blind - in a blind negotiation, suppliers can only see the best bid value (if allowed).
- Sealed - in a sealed negotiation, buyers cannot see any responses until they are unlocked, and suppliers cannot see any competing response information until the responses are unlocked.
- When the response visibility control is set to blind, even supplier contacts from the same supplier won't be able to see each other's responses. It'll be displayed as blind.
- However, if you want other supplier contacts to see the responses, the response visibility can be chosen as open or sealed. Unseal the negotiation so that other contacts can see the responses.
- Consider these when you're working with RFQs:
 - RFQs enable buyers to collect quotes from suppliers for complex and hard to define items or services, such as made-to-order manufacturing or construction projects. The RFQ process is generally the longest of the negotiation processes.
 - After the suppliers have submitted an initial round of proposals (quotes), the buyer can fine tune the RFQ and initiate detailed negotiations, as necessary. This process may go through multiple rounds of negotiations and quotes.
 - RFQs can be blind (buyer can see the quotes during the RFQ, but suppliers can't) or sealed (neither buyer nor suppliers can see the quotes until the RFQ is closed and the quotes are unsealed), so suppliers can never see each other's quotes while the negotiation is in progress.
- Negotiation layout, response layout, contract terms layout - you can select from predefined document layouts for printing.
- There are two seeded negotiation PDF templates available; one for suppliers and one for buyer. This allows you to tailor a different negotiation PDF document for suppliers and buyers accordingly. For more information see, [How You Configure Buyer Negotiation PDF with Oracle Analytics Publisher](#) and [How You Configure Supplier Negotiation PDF with Oracle Analytics Publisher](#).

Requirements Controls

Requirements are questions presented to participating suppliers to elicit high-level information. Supplier responses to requirements can be assigned scores for use when evaluating among competing responses.

- **Enable weights**
If you enable this control, you can weight the negotiation requirements to reflect their relative importance.
- **Display scoring criteria to suppliers**
If you enable this control, the scoring criteria specified by the negotiation author is displayed to the suppliers.
- **Default maximum score**
The default maximum score sets a default value for the highest value you can enter when scoring supplier responses. You can override this value when creating the actual requirement. However, if many of the requirements you create share the same maximum value, you can simply specify it here as the default to automatically appear.

Line Controls

You use the line control section to specify whether price tiering is available for the negotiation lines. You also specify how line rank is calculated and indicated.

- **Price tiers**
The kind of price tiers you have available depends on the negotiation outcome. If the outcome is a standard purchase order, you can only use quantity-based price tiers. If the outcome is a blanket purchase agreement, you can use either price breaks or quantity-based price tiers. If you select none, you cannot create any price tier information.
- **Rank indicator**
You can select whether the top responses are ranked using a numeric ranking (1-3), or whether only the best response is indicated. You can also choose to have no ranking shown.
- **Ranking method**
You can select whether a supplier response is ranked using the price alone, or whether responses to any line attributes are also used when evaluating response rank. If you do not select Multiattribute scoring, you can define line attributes, but you cannot score them.

RFIs allow buyers to solicit information from suppliers on the goods and services the suppliers provide. This allows buyers to qualify a group of suppliers and identify the suppliers to be included later in the negotiation. As the ranking method can't be applied to an RFI, you can't use the acceptable values in multi-attribute scoring. But, you can create an RFQ for multiattribute scoring.

Response Controls

You have several settings that control which application features are available to the supplier, and how supplier responses are handled.

- You can restrict the participants only to suppliers which were included in the invitation list you specify for the negotiation. If you do not restrict the participants, suppliers could find the negotiation by searching the open negotiations visible in their system. They could access the negotiation and place a response.

- You can allow suppliers to see the notes, attachments, or contract terms of other suppliers' responses. This control is only available with sealed negotiations.
- You can allow suppliers to choose which lines to respond to. With this setting enabled, suppliers can choose to not respond to certain lines. If you do not enable this setting, suppliers must respond to every line in the negotiation.
- You can allow suppliers to place multiple responses to a line. If you do not enable this setting, a supplier can only place a single response per round of responding.
- You can choose to display the current best price to suppliers in a blind negotiation. This allows the suppliers to see what price they should beat if they submit a subsequent response. This setting is only available with blind negotiations.
- If you allow multiple responses, you can choose to force the supplier to submit a response that is
 - Lower than the supplier's last response
 - Lower than the current best price

Related Topics

- [Staggered Closing](#)
- [What are automatic extensions?](#)

Examples of Negotiation Response Rules

There are several settings you can specify to control how suppliers must respond to your negotiation. Many of the default values are inherited from the negotiation style which you select when you begin creating the negotiation, but you can override them here as necessary.

Restricting Supplier Participation

Unless otherwise restricted, a supplier can search and see any negotiation in preview or active status that's associated with a business unit to which the supplier has access. The supplier can participate in any visible negotiation unless you specify that the participants are limited to those suppliers explicitly invited. For example, you might want to limit participation in a negotiation to only incumbent suppliers. In this case, you select the "Restrict to invited suppliers" response rule.

The default for RFQs is to restrict to invited suppliers.

Allowing Line Selection

You can require a supplier to respond to all lines in the negotiation, or allow the supplier contact to select which lines she replies to. For example, if you have a large negotiation with many lines covering many different product types, you may want to allow suppliers to only respond to the items or services they provide.

Displaying the Best Price

In open negotiations, suppliers can see information from competing responses. In blind negotiations however, suppliers can't see any other suppliers' responses. In a negotiation that allows multiple responses within the same round, you may want to display the best price value so the supplier knows how much to reduce the response price to become competitive again. You can do this by enabling the "Display best price to suppliers" response control.

Allowing Multiple Responses Per Round

Typically, a single response is allowed per supplier contact per round. But, you can allow supplier contacts to submit multiple responses within the same round. For example, you might want to allow multiple responses to foster competition among several suppliers.

Allow Response Revision

You can allow supplier contacts to submit a revision to the earlier submitted response from within the same round.

Allow Suppliers to Negotiate Retainage

You can define the retainage values, that's the retainage rate and maximum retainage amount, and choose if the supplier can negotiate on the specified values.

Display Transformed Amount to Suppliers

You can allow suppliers to view the transformed amount. Select this to encourage a round of competitive responses from the suppliers.

Display Transformed Line Rank to Suppliers

You can allow suppliers to view the display transformed line rank to suppliers.

Display Transformed Overall Rank to Suppliers

You can allow suppliers to view the display transformed overall rank to suppliers.

Staggered Closing

You can use staggered closing to cause the closing of a negotiation's lines to cascade through the negotiation once the negotiation's initial close time is reached.

You specify the close time and date for the first negotiation line and then specify a staggered closing period. The first negotiation line closes at the negotiation time originally defined in the negotiation document. The second (and remaining) negotiation line remains open. After the specified staggered closing period, the next line closes. The remaining lines close in a similar fashion, each line closing after its preceding line. Lines in lots or groups have the same close time. When using staggered closing, the lines close in the order they're defined in the document, the sequence in which the lines appear on the negotiation document is important.

Negotiation Style Contents

Negotiation styles control the definition of your negotiation documents. Negotiation styles can specify the terminology used within the document and control which processing capabilities can be performed using the style.

For example, you can define a simple negotiation style and then use it to create very straightforward, streamlined negotiations. Alternately, you can create a negotiation style that takes advantage of many processing features. You can then use this style to create a complex negotiation.

Using negotiation styles, you can define default textual content for use in a negotiation document. Also, you can identify which negotiation capabilities are available when using this negotiation style.

Header Information

You enter header information to describe your negotiation style.

The following table shows the header level fields used in negotiation styles.

Field	Meaning
Negotiation Style	Name of the negotiation style you're creating
Description	Optional text description of the style and its usage
Code	A unique alphanumeric code to identify the style.
Status	Availability of the style for use

Document Types

You can specify which document types category managers can create using this style. You can also change the terminology used to refer to different document types and related terms. For example, you might want to change the term **quote** to **offer**.

The following table shows the fields you can define for different document types.

Field	Meaning
Enable	If enable is checked, you can use this style when creating negotiations of that type.
Document Type	Type of negotiation
Negotiation Display Name	Current display name used for this type of negotiation
Response Document Type	Name of the response for this negotiation type
Response Display Name	The current display name for responses to this negotiation type
Edit Content	Icon that you can use to modify the negotiation display name and the response display name

How You Set Negotiation Controls

You can use a negotiation style to identify the negotiation features that are available using the style. You can enable or disable some controls, such as proxy bidding. Other controls are required, such as the negotiation close date. The

negotiation controls that you can enable or disable are grouped according to the page they appear on. To enable a particular product feature for this negotiation style, select its check box.

Features include:

- Two-stage RFQ
- Integration with Oracle Fusion Project Management project plans.
- Abstracts.
- Team Scoring.
- Single document (Negotiation Document Format): Negotiation details attachment is available in a single PDF document.
- Lines in a separate spreadsheet (Negotiation Document Format): Negotiation details attachment will be a compressed file containing a PDF and negotiation lines CSV spreadsheet.
- Composite Scoring

You can use the seeded negotiation styles to understand how to conduct simple, standard, or two stage negotiations. These seeded negotiation styles can't be edited, but are available to create negotiations in the Negotiations work area. However, you can create a copy and then tailor the negotiation style to select the features needed for your business and turn off the rest. You can also inactivate the seeded styles. Once they're inactive, these seeded styles aren't available for category managers when creating negotiations.

Related Topics

- [Oracle Supplier Negotiations](#)
- [Examples of Negotiation Controls](#)
- [How You Use a Two-Stage RFQ](#)
- [Associate a Negotiation with an Oracle Fusion Project Management Project Plan](#)

Choices to Use Autoextensions

You can select to have the close time of your auction be automatically extended if a new winning bid is received during the final minutes of your auction. These extensions are called autoextensions and are only available with auctions.

Settings that Affect Autoextensions

The following parameters work together to control how autoextensions are performed by the applications.

Allow autoextend - allows autoextensions to be defined for this negotiation. Checking Allow autoextend displays the following autoextend controls.

Lowest Triggering Response Rank - You can choose to have an autoextension triggered for any number of the top ranked bids. For example, you could choose to have autoextension triggered whenever you receive a better bid for not only the current winning bid, but also for the current second or third best bids as well. If you know you award this line to multiple suppliers, the feature enables you to encourage competition on not just the top bid, but competing bids as well. Enable this feature by specifying the bid rank for which the receipt of a bid ranked in this position or higher triggers autoextend. If this field is left blank, any bid triggers autoextensions.

Lines to Autoextend - Identifies individual lines to autoextend. You can choose to autoextend all lines or only the lines that triggered the autoextend.

Start Time of Autoextensions - You can start autoextensions from the scheduled close time of the auction or the time that a triggering bid is received during the triggering period prior to the close time. For example, if you select "Close date" and you enable an autoextend start time of 30 minutes, if triggering bid is received within the final 30 minutes of the auction, your auction automatically extends for 30 minutes past the scheduled close time. However, if you select "Receipt time of triggering response," your extension begins as soon as a triggering bid is received within the triggering period.

Triggering Period - the period prior to the close date during which responses can trigger autoextend.

Length of Extensions - the duration of each autoextension

Number of Extensions - the number of times a negotiation autoextend. Leaving this field blank allows an unlimited number of autoextensions.

For example, you could specify a triggering period of 30 minutes, an extension length of 20 minutes, and a start time of close date. With these settings, if a triggering bid is received at any time within the last 30 minutes of the auction, the close date is moved to 20 minutes past the original close date and time.

Negotiation Styles

You can create multiple negotiation styles that control the creation of your negotiation documents. Negotiation styles can specify the terminology used within the document and control which processing capabilities can be performed using the style.

You can also create default content for certain sections of a negotiation document.

For example, you might create a slimmed down style that doesn't include Instructions

- Instructions
- Autoextend settings
- Staggered closing
- Cost factors
- Contract terms

For some Sourcing capabilities, you must create a negotiation style that supports the capability. For example, to use the following capabilities:

- Two stage RFQ
- Project tasks
- Alternate responses

Document Terminology

For each negotiation there is a pair of documents: negotiation document created by the category manager and a response document created by the supplier contact. Each of these documents has a label. Within the application, there are three types of negotiations: auction, RFI, or RFQ. Each type has its own document labels; however, you can change the labels used in the negotiation style.

The following table shows the predefined values for negotiation document and response document.

Negotiation Document	Supplier-side Response Document
Auction	Bid
RFI	Response
RFQ	Quote

When creating a negotiation style, you can create alternate labels for the category manager-side or supplier-side documents. Then any negotiation document created using that style replaces the default labels with the labels you created in the style. These replacements appear both in the online application and any printed versions of the document.

For example, you could use Tender or Offer for the supplier-side document, and you could use Solicitation for the buyer-side document.

Processing Capabilities and Defaults

In addition to specifying alternate document labels, you can select which processing capabilities are available using a negotiation style. By default, all capabilities are available. To create a style without that capability, simply deselect the capability when creating the style. The controls used with a negotiation style are the same controls used when creating a normal negotiation.

Note the following controls:

- If you want to create two stage RFQs using this style, you must click the Two state RFQ check box.
- If you want to use this style to associate a negotiation to Oracle Projects project plan information, click the Project tasks check box.
- If you want to allow the supplier to respond with different line information, click the Alternate response lines check box.

Related Topics

- [Oracle Supplier Negotiations](#)

Prebid Submissions

When you want suppliers to disclose their bids before a negotiation opens, you can ask suppliers to submit their prebids when the negotiation (auction or RFQ) is in the preview status.

You can review prebids and find supplier's threshold prices before the negotiation goes live. You can then make necessary adjustments to the negotiation by creating an amendment even before the negotiation opens. When suppliers submit a prebid, it's recorded in the supplier activity log. Once the negotiation switches from preview to active status, the prebid becomes supplier's first bid.

With prebids, you can ensure that suppliers understand the requirements, ask clarifying questions, and communicate to category manager the intent to participate, all before the negotiation opens. This makes the negotiation (RFQ or Auction) process more streamlined because the category manager has addressed supplier questions during the prebid

phase. The prebid process also ensures that suppliers are entering their initial starting position for the negotiation before any competitive information is revealed.

Prebid Submission Tasks

Buyer Tasks:

To create a negotiation in which you want prebid submissions from suppliers, you can do these tasks:

1. Create a negotiation style in which prebid is enabled.
2. Create a negotiation based on the prebid enabled negotiation style.
3. In the Edit Negotiation page, select the **Preview immediately** check box or specify the preview date, deselect the **Open immediately** check box, and set **Open date** to a future date.
4. Add requirements, negotiation lines, and suppliers.
5. Publish the negotiation.

Supplier tasks:

Create and submit a prebid response.

If required, you can do these tasks:

- Revise and then submit the prebid response.
- Create a second response, export the response using the response line spreadsheet.
- Fill and import the Response Line Spreadsheet, and submit the response.

Buyer tasks:

- Login as buyer and create a prebid surrogate response.
- Close the negotiation and award the responses created as prebid, and complete award.

Collaboration Teams

When creating a negotiation, category managers can nominate collaboration team members to participate in the creation and administration of the sourcing document. This can include actions over the entire life of the sourcing document from the initial creation through the award process.

You must be a category manager to manage the collaboration team.

Team Members

The negotiation creator and the creator's manager are included as team members by default. Other persons can be added to the team. The negotiation creator can send new members notifications when they're added to the team. Team members can be added throughout the life of the negotiation. The person adding the member can specify whether the new member has full access or read only access to the document. View team members who are inactive as they're no longer working with the organization or they have a change in job assignment. Before you publish a draft negotiation, you will see a warning if any members in the collaboration team are inactive.

Member Tasks

Each member can be assigned specific tasks. Such tasks could include defining the item attributes, monitoring participating and inviting additional suppliers, awarding business to supplier, and generating purchasing documents. The negotiation creator can assign a date by which all the tasks must be completed.

Scoring Teams

If a negotiation accepts team scoring, the negotiation author can create scoring teams and assign collaboration team members as participants. Then the scoring team is assigned to one or more requirement sections. Once a negotiation is closed and the scoring phase is opened, members of a scoring team can view and score supplier responses to manually scored requirements that are in the sections assigned to their scoring team. But, a scoring-only access member can only view responses to requirements that are assigned to them, they can't view responses to requirements that aren't assigned to them.

For example, if a scoring team member, John Doe, is part of the technical team and this team has been assigned the technical requirements, then John can see the responses to the technical requirements as the negotiation isn't sealed.

Suppliers often attach additional documents or links when responding to lines in a negotiation. These attachments may contain item information, or price lists. But in sealed negotiations, or in negotiations that require distinct technical or commercial evaluation, disclosing pricing information to certain evaluators who are scoring-only team members isn't allowed.

You can hide response line attachments from scoring only members that don't have price visibility.

Scoring-only team members with no price visibility won't be able to view or download response line attachments from any UI pages where they can view response details. They also won't be able to download these attachments in Excel using Visual Builder add-in or using REST API.

When response visibility is Open or Blind, scoring team members can view the supplier responses of the requirements that are assigned to them.

But when response visibility is sealed, the scoring team members can view the responses of requirements assigned to them only after the negotiation is unlocked. Seal a negotiation if you want to prevent the scoring team members from seeing the responses.

Project Resources as Collaboration Team Members

You can associate Oracle Sourcing negotiations with project tasks in Oracle Fusion Cloud Project Management project plans. Oracle Fusion Cloud Human Capital Management (HCM) labor resources assigned to project tasks will typically be part of the collaboration team for that negotiation. After you create project tasks to track key negotiation events, you assign labor resources to the tasks. You can quickly search and add project resources as collaboration team members. You must ensure that the project resources assigned to the tasks are also Human Capital Management (HCM) people. You must be a project manager on the project to manage the project plan

Related Topics

- [Example of Managing a Collaboration Team](#)
- [Create Collaboration Teams](#)
- [Associate a Negotiation with an Oracle Fusion Project Management Project Plan](#)

Create Collaboration Teams

Category managers can nominate collaboration team members to participate in the creation and administration of the sourcing document.

Julianna, the category manager for Vision Corporation, is defining a new RFQ. There are several other members in her department who are assigned tasks to perform. Julianna will add these members to a collaboration team for her RFQ.

Define a Collaboration Team

1. On the Edit Negotiation: Overview page, she clicks the **Collaboration Team** tab. She sees that she and her manager are already defined as team members. She needs to add two more members to handle the participants and monitor the responses.
2. She clicks the plus sign icon to add a new row to the Members table. In the resulting row, she clicks in the **Team Member** cell and uses the **Search and Select: Team Member** query to select John Finn, a coworker or hers, and add him to the collaboration team. She accepts the default of Full access, and in the Task text box, she enters **Monitor supplier participation and add additional suppliers as necessary**. She sets the Target Date to the date when the negotiation ends.
3. In the **Supplier Messages** drop-down list, she can select if the member with scoring-only access can send and receive supplier messages, only receive messages from suppliers, or be restricted from any messaging with suppliers.

The supplier messages options aren't editable for full and view only access members; Also the default value for full access members is send and receive and the default value for view only members is receive only.

4. She adds a new row to the table. Her manager has asked her to add a new employee to the team so he can gain experience in monitoring negotiations. She gives him view access and does not assign him any task.
5. Julianna continues adding team members, specifying their tasks, and granting them appropriate access levels.

Using Sourcing Negotiations with Project Management Project Plans

A strategic sourcing initiative can contain multiple stages from spend analysis to contract award to contract creation. Many organizations manage these stages as a project with numerous project team members, tasks and deliverables.

Project management is often necessary to coordinate and execute on sourcing initiatives including managing tasks, allocating resources, and reporting on actual savings. Managing sourcing initiatives often requires coordination among various stakeholders, including category managers, project managers, and suppliers.

You can associate a negotiation created in Oracle Sourcing with the project plan created in Oracle Project Management. You can also associate a project task to a specific event in the negotiation life cycle, so when the negotiation event occurs, it automatically completes the project task. When the negotiation event occurs, the project task progress is updated to complete automatically.

You have the flexibility to associate a project task to multiple negotiations and also associate a negotiation to multiple project tasks. You must associate a negotiation at the project task level. Associating a negotiation at the project task level gives you the flexibility to link a single project plan to multiple negotiations or a single negotiation to multiple project plans, but it also associates the progress of a project task to a specific sourcing event that can occur in the negotiation life cycle.

Associate Negotiations with Oracle Fusion Project Management Project Plans

You can create the association between a negotiation and a project plan in two ways. You can create and associate the negotiation while you're defining the project tasks. Otherwise, you can create and associate project tasks when you define your negotiation. You must be a project manager to create a project plan.

Manage Project Task Progress

Project tasks can be associated to negotiation events that occur throughout the life cycle of a negotiation, and you can view a task's status while in Sourcing. You can only see the tasks associated with the negotiation when you view task from the context of the negotiation. When you associate a project task to a negotiation, you can optionally select a Task Completion Event for that association. This enables you to associate a project task's progress to negotiation events that occur in the life cycle of a negotiation. When the event occurs the project task progress is updated to complete automatically. These task completion negotiation events are predefined and they're of 2 types - Manual and Automatic. When a task is tied to an automatic event, the task progress is automatically updated when the negotiation event occurs. When a task is tied to a manual event, then you need to manually perform the complete task action in Sourcing to mark the event as complete.

Note the following points:

- You can remove existing tasks tied to task completion events only if the existing tasks aren't completed, which means percent complete isn't 100%. But you can always remove existing project tasks that aren't tied to any task completion events.
- If you amend a negotiation, then all the project tasks that aren't yet completed and pointing to the old negotiation automatically point to the new amendment. If a project task is completed, then it's not updated, and it still points to the old negotiation.
Any changes to project plan tasks in an amendment aren't displayed on the Review Changes page.
- No project plan information is carried over if a negotiation is duplicated or used to create a template.

Associate a Negotiation with an Oracle Fusion Project Management Project Plan

You can associate different negotiation events to tasks in an Oracle Fusion Project Management project plan. You might want to do this if at various points in the project life cycle, you need to conduct a negotiation to identify suppliers.

You can have multiple project plan tasks associated with a single negotiation, or you can have multiple negotiations associated with tasks from a single project plan. You can view the details about the project tasks and the associated negotiation from either Project Management or Oracle Sourcing.

In this example, Sean Pollard, a project manager is going to associate a bridge construction project with a negotiation that he is creating. Over the course of this negotiation definition, Sean will:

- Create a negotiation to source for materials needed by the construction project
- Identify requirements for the negotiation
- Associate the requirements definition stage with tasks in the Bridge Construction project.
- Create a new project to develop the procurement contract
- Assign resources to the new project
- Add the new project resources to the negotiation collaboration team

Associate a New Negotiation with Existing Project Tasks

In this first scenario, Sean begins creating a new negotiation. For the section that defines the negotiation requirements, he identifies resources from the project plan who should be added as members of the collaboration team. This scenario assumes that:

- Sean has both the category manager and the project manager roles.
 - There is a project plan called **Bridge Construction Project** with a task called **Specify negotiation requirements** that is already defined in Oracle Fusion Project Management.
 - There is a negotiation style defined that allows a negotiation to include project information.
1. Sean begins on the Sourcing work area **Navigator > Procurement > Negotiations**.
 2. He clicks **Create Negotiation** from the Tasks menu.
 3. On the **Create Negotiation** dialog box he accepts the default values for Procurement BU, Negotiation Type, Outcome, and Negotiation Currency. He also makes sure to select a negotiation style that supports projects, so he selects the Standard Negotiation style.
 4. He clicks **Create**.
 5. On the Edit Negotiation: Overview page, he enters **Bridge Construction Project** as the negotiation title, and selects a date three months in the future as the end date.
 6. He clicks **Project Tasks**.
 7. He clicks **Associate Project Task**.
 8. On the dialog box, he partially enters the project name, **Bridge**. From the autosuggest list, he selects the project name **Bridge Construction Project**.
 9. When the dialog box redisplay with the full project name, he uses the down arrow beside the Task field to display the list of tasks for this project.
 10. From the list, Sean selects **Specify negotiation requirements**, to associate this task with a negotiation event.
 11. When the dialog box redisplay with the task name, Sean uses the down arrow to display a list of Task Completion Events. He selects **Requirements defined** as the task completion event for this task.
 12. He clicks **OK**.
 13. Now Sean needs to add the project resources to collaboration team, so he clicks the **Collaboration Team** link.
 14. He clicks **Add Project Resources**.
 15. On the dialog box, he searches for his project.
 16. He clicks **Search**.
 17. When the dialog box reappears, it shows the resources defined to this project.
 18. Sean selects and highlights all the people defined as resources for this project.
 19. He clicks **Apply** and then **OK**.
 20. Finally, Sean returns to the Edit Negotiation: Overview page, he clicks **Save** to save the information associated to a negotiation.

Associate a New Project Plan with an Existing Negotiation

While associating project tasks and resources with his negotiation, Sean notices that there is no project plan that concerns creating the procurement contract information. He decides to create a new project plan that deals with the contract terms. He will create this new project plan and associate it with the contract-related events in his negotiation. This scenario assumes that:

- There is a negotiation style defined that allows a negotiation to include project information.
 - Sean has the category manager and the project manager roles.
1. Sean returns to the Project Tasks tab on the Edit Negotiation: Overview page, he clicks **Create Project Plan**. This opens a new window where he can define his project plan.

2. On the Create dialog box, he enters **Bridge Construction - Create Contract Information** as the name, sets finish date to six months away, and clicks **Save and Close**.
3. On the Manage Project Plan page, he clicks on the plus sign and adds a task he calls Define Basic Contract. He clicks **Save** and then selects the **Manage Project Resources** option from the menu.
4. When the Manage Project Resources page appears, he clicks **Add Resource**.
5. On the Add Project Resource pop up he clicks the down arrow next to Resource. He selects and adds the following resources to his project plan.

Name	Role
George White	Project team member
Eric Schweizer	Project team member
Lisa Phillips	Project team member

6. Once he has defined all the resources for his project, he clicks **Save and Close** to return to the Manage Project Plan page.
7. He clicks **Save**.
8. To continue defining his negotiation, Sean clicks the Edit Negotiation: Overview tab.

Negotiation Terms and Conditions

Negotiation terms and conditions outline any legal or functional constraints under which the negotiation is conducted.

The procurement application administrator defines the negotiation terms and conditions once (in as many of the installed languages as are necessary) for each procurement BU. Once defined, these terms and conditions are used by all negotiations within that procurement BU.

Supplier Users and Terms and Conditions

You can allow supplier users to view a negotiation only after accepting the terms and conditions or allow supplier users to view a negotiation but submit responses only after accepting the terms and conditions.

If there are multiple supplier users from the same supplier, then each one of them must accept the terms and conditions. Any subsequent users from the same supplier are assumed to have also accepted the terms and conditions.

Some negotiations may require sharing sensitive information to suppliers with whom you may not have established relationships. To mitigate this risk, you require suppliers to comply with the specified negotiation terms and conditions prior to viewing any negotiation information. Procurement administrators can define negotiation terms and conditions at the procurement BU level and choose to display negotiation terms to suppliers and get their acceptance before providing suppliers access to view the negotiation. You can also add these terms and conditions document as an attachment.

Here's more information when you intend to get an acceptance from the supplier user before sharing access to the negotiation:

- When a category manager publishes a negotiation, all the invited supplier contacts receive these negotiation terms and conditions in a notification email. They can review the terms and accept or decline from the notification itself.
- A category manager is notified when a supplier contact accepts or declines terms.
- After the supplier contacts accept the terms, they receive the negotiation invitation email with the negotiation details. They can now review negotiation details and acknowledge the intent to participate in the negotiation.
- When suppliers accept or decline terms, it's recorded in the supplier activity log and can be tracked when monitoring supplier activities.
- Category manager can view which suppliers have accepted or declined terms, and their comments.
- When you create a surrogate response on behalf of a supplier contact, the terms for that supplier and supplier site combination are automatically accepted.

Related Topics

- [Specify a Negotiation Currency Conversion Rate](#)
- [Set Up Negotiation Terms and Conditions](#)

Specify a Negotiation Currency Conversion Rate

If you anticipate that you will receive responses to your negotiation from other countries, you can specify the conversion rates the application should use when converting responses. You can use predefined rates or define new rates yourself to be used with the negotiation.

In this example, a category manager is creating a negotiation document to use when conducting an RFQ. Since she anticipates responses from both Europe and Asia, she allows responses in several currencies in addition to the negotiation currency (USD).

Include a Negotiation Conversion Rate

1. On the Terms tab of the Edit Negotiation: Overview page, the category manager views the default negotiation currency. She can select a different currency and specify a different precision value. She knows her negotiation is going to accept responses in currencies other than the negotiation currency. She wants to specify the conversion rates for these additional currencies, so she clicks Allow responses in other currencies.
2. If the negotiation allows responses in currencies other than the negotiation currency, the category manager must specify the conversion rate between the negotiation currency and the response currency allowed. There may be many conversion rates that are already specified in the application. If appropriate for the negotiation, she can search for and use a particular conversion rate for a particular date. For this negotiation, the category manager wants to specify a new conversion rate, she selects User from the Conversion Rate Type menu.
3. If she needs to allow responses in currencies other than the negotiation currency, she clicks the plus icon to add a row to the response currencies table.
4. She selects the new currency by clicking in the Response Currency column and selecting the response currency from the drop-down menu.
5. If she is using an existing conversion rate, she is finished specifying that currency's information (although she can change the price precision value).

6. To specify a new conversion rate for the response currency, the category manager enters the conversion rate in the Conversion Rate column. The rate is expressed as the number of negotiation currency units equaling one response currency unit.
7. Once she enters and saves the conversion rate value, she is ready to continue creating the negotiation document.

Create Negotiation Requirements

You can use negotiation requirements to solicit additional important information from your suppliers. This information could include company history and performance, their best practices, environmental policies, or any certifications or licenses.

You create requirements for a negotiation in the form of questions. When adding requirements to your negotiations, you can either define new requirements or use predefined requirements.

In this scenario, you will

- Add a requirement section header.
- Add new requirement questions to the section header.
- Specify acceptable values for an attribute.
- Copy an existing question as a new requirement.
- Copy an existing qualification area as a new requirement section
- Add requirements with generative AI.

Add Requirement Section Headers

1. On the Edit Negotiation: Requirements page, you select the **Add Predefined Section** option from the **Actions** menu in the Requirements section.
2. The first requirement section contains general questions about the company. From the name drop-down, you select **Business**, since the section will contain questions about the business structure of the supplier.
3. When the new row appears with the empty name field, open the drop-down menu and select **General** from the list.

Add New Requirements to a Section

1. After you have selected the section header, click **Add Requirement** to begin adding requirements to the section. When the Edit Requirements page appears, specify the first requirement attributes as shown in the following table:

Attribute	Value
Requirement	Enter the state where you are incorporated
Response Required	Yes
Value Type	Text (This is the default)

Attribute	Value
Target	(no target)
Display Target	No
Scoring	Manual
Weight	20
Maximum Score	10
Knockout Score	5

- Since you are manually scoring this requirement, there are no acceptable requirement values to specify, so you click **Save and Close**. Then highlight the row for the General section header and click **Add Requirement** to add a second requirement.
- You enter the requirement attributes as shown in the following table.

Attribute	Value
Requirement	Enter the state where you are incorporated
Response Required	Yes
Value Type	Text (This is the default)
Target	(no target)
Display Target	No
Scoring	Automatic
Weight	20
Knockout Score	5

Specify Acceptable Values for an Attribute

1. Since you chose to have this requirement scored automatically, you must specify the acceptable values and their individual scores. You enter this information into the Acceptable Values table. Since this requirement requires a text data value, the format for each entry consists only of the value and its score. So you enter the allowable state values as in the following table.

Value	Score
CA	10
OR	10
WA	10
NY	5
DE	5

2. After you have specified the acceptable values for these requirements, you click **Save and Close**. You have created two requirements for the General requirements section. You can continue creating additional requirement sections and requirements as needed for your negotiation.

Copy an Existing Question as a Requirement

Next, you will copy an existing question as an additional requirement in the General requirement section. While still highlighting the row for the section:

1. Click **Add Predefined Questions**.
2. On the Add Predefined Questions dialog box, you can enter values and then search for the question you want to add. You can search on the question name or the beginning of the question text. In this example, you will add a question **When does your fiscal year start?** This question has a list of month values defined. These will automatically be copied over as acceptable values for this requirement.

You can add predefined questions from the questions library. When a supplier responds to these predefined questions in a negotiation, the responses get saved in the response repository. When supplier bidder creates a response, these responses to predefined questions are automatically defaulted. You can control the defaulting of the supplier responses from the response repository for the Procurement BU. The predefined questions are from the Supplier Qualification work area.

3. When the search results appear, select the question and click **Apply** and then **OK**. You return to the Edit Negotiation: Requirement page, and the question is added to the requirement section.

If there is scoring information defined for a question from the Question Library, that scoring information is copied onto the negotiation. If the question is defined as optional in the Question Library, you can modify the scoring criteria for the requirement. If the question is defined as required in the Question Library, you cannot modify the scoring criteria.

Copy an Existing Qualification Area as a Requirement Section

Finally, you will copy an existing qualification area from Oracle Supplier Qualification question library. When you copy a qualifications area, the area name is used as the section name, and the questions in the area are added as requirements to the area. All the appropriate attributes defined for the area and questions are copied over.

1. From the **Actions** menu at the Requirements section, select the **Add Predefined Qualification Area** option.
2. On the Add Predefined Qualification Area dialog box, you enter an area name of Certifications and Licenses. Then you click **Apply** and **OK**. The qualification area is added as a new requirement section containing all the questions are requirements. If you need to edit the questions, you can highlight it and click the edit icon (the pencil icon). If you don't need a question that was contained in the qualification area, you can highlight and click the delete icon (the plus icon).
3. Now you have added all the requirements you need for this negotiation. You can click **Preview Questionnaire** to see how the questionnaire will be displayed to a supplier.

Add Requirements with Generative AI

Soliciting information in supplier negotiations can involve significant effort, beginning with research and analysis to determine the right set of requirements to capture from suppliers.

Generative AI can dramatically shorten the time needed to author requirements that are pertinent to the negotiation. With AI embedded in the negotiation flow, it can suggest requirements on topics such as supplier information, technical expertise, financial and commercial viability, or various risk factors.

When you create a negotiation, in the requirements section, click **AI Assist**. AI uses key information like negotiation type, title, line categories, and requirement section name to generate a set of relevant requirements.

If you have added sections and requirements already from the negotiation template or predefined qualification areas, you can select any of these sections to generate additional requirements. You can also add a new section and have AI generate new requirements to include.

Additionally, you have the flexibility to make edits to the requirements before adding them.

To know more details about languages and geographies where this feature is available, refer to the [Fusion Generative AI Data Center Region Availability](#).

Related Topics

- [Acceptable Supplier Qualification Requirement Values](#)
- [Requirement Properties](#)
- [Setup Tasks to Use Generative AI for Negotiation Cover Page](#)

Examples of Using Spreadsheet Import

Spreadsheet processing is a good method to use when there is a large amount of data to process. When using spreadsheet processing, you export a spreadsheet, complete it offline and then import it back to the application.

Using spreadsheets offline enable process large amounts of data without having to deal with application response or network delay times. Spreadsheets also allow for easy offline review.

How You Use Spreadsheet Processing

To use spreadsheets, you export the .zip file from the appropriate page. You can export the spreadsheet in rich text format or lightweight format. The rich text format has borders but no cell lines. The lightweight format has grid lines but no borders. When saving in Excel, the rich text format results in larger files. This .zip contains the empty spreadsheet for you to complete and also includes files containing reference lists of any valid column values which the spreadsheet may require.

Once you export the .zip file and extract the contents, you can complete the spreadsheet. There are readme files containing information about how to complete the spreadsheet available from the application and the Help Portal.

After completing the spreadsheet, return to the import page in the application. Browse to the location where you saved your completed spreadsheet. Select the completed spreadsheet file and import back to the application.

The application validates your entries. You receive messages for any errors found. If there were any errors, the application backs out any updates it has done. This enables you to simply correct the spreadsheet and reimport.

How You Define and Import Requirements

You can use spreadsheet processing to add requirements to your negotiation. Spreadsheets make it easy to enter the large amounts of text that are necessary to fully explain the information you want from the supplier.

How You Define and Import Negotiation Lines

You can use spreadsheet import to define lines for any type of negotiation or negotiation outcome. This includes also defining cost factors and line attributes. When your negotiation contains many similar lines, spreadsheet processing makes it easy to copy line definitions and change only the necessary details.

Configure the MS Excel templates to add sections, requirements, and acceptable values using the Oracle Visual Builder plug-in. Use the template to fetch, create, and update negotiation requirements in bulk.

Consider these when you're uploading requirements using an MS Excel template:

- You can upload requirements only to negotiations in draft status.
- These aren't supported:
 - You can't add branching requirements. These are additional questions that suppliers see when they select a response.
 - You can't delete requirements using this template.

How You Enter and Upload Award Decisions

You can use spreadsheet processing to analyze responses and enter award decisions. Spreadsheet fields are immediately updated and adjusted as needed as you view and fine-tune award decisions. This enable perform what-if analysis and see the results without having to import the information back to the application.

How You Submit Responses

Note that suppliers can also use spreadsheet processing to submit their responses to negotiations.

Negotiation Lines

Your negotiation lines are the heart of your negotiation. Here you describe the items and services you want to purchase.

On the Edit Negotiations: Lines page, you can easily define all your negotiation information, pricing information as well as other aspects of the line you want to negotiate with the prospective supplier.

As you create your negotiation lines, use the information in the following tables to complete your line fields

- Required and Basic Fields
- Price Calculations and Controls
- Additional Line Information
- Spreadsheet Import
- Alternate Lines

Required and Basic Fields

As you create your negotiation lines, you enter values into fields. In the following tables, these fields are marked with asterisks. You must enter a value for this field, although in many cases a default value is present already and is displayed. Which fields are required varies depending on the negotiation outcome. Some fields only appear if the negotiation outcome is a purchase order, while other fields only appear if the negotiation outcome is a purchase agreement. The following table displays the required and basic fields and which negotiation outcome uses them

The following table shows the fields of a negotiation line and in which negotiation outcome they appear.

Field	Used in Which Negotiation Outcomes	Meaning
Line	All	The number of the line in the negotiation
Requisitioning BU	Standard Purchase Order (auction)	The business unit requesting the item or service.
Line Type	All	The type of line, for example goods or services
Item	All	Item identifier
Revision	All	The latest revision number of the item
*Description	All	Text description of the line
*Category Name	All	Category containing the item
*Quantity	Standard Purchase Order	Number of units being negotiated for
Estimated Quantity	Blanked Purchase Agreement	The expected number of units to be purchased over the life of the agreement.

Field	Used in Which Negotiation Outcomes	Meaning
*Unit of Measure (UOM)	All	Unit of measure
Estimated Total Amount	Blanket Purchase Agreement	The estimated amount of business (in the negotiation currency) that you expect to pay for this line
Minimum Release Amount	Blanket Purchase Agreement	The minimum amount which can be released against an agreement.
Location	Standard Purchase Order	The name of the address where you want the item or service to be delivered. Not entering a location results in the default location being used.
Requested Delivery Date	RFI	The date the buyer would like to accept delivery of the line
Requested Ship Date	Standard Purchase Order	The date the buyer would like the supplier to ship the line item units
Current Price	All	The price currently being paid for one unit of the item
Start Price	All	The item price at which responses to the negotiation should begin
Target Price	All	The price the buying organization wants to pay for one unit of the item
Display Target Price	All	Whether to display the target price to a responder
Note to Suppliers	All	Any text notes or comments for the suppliers
Allow Alternate Lines	All	Allows the supplier to respond with a line different from the defined negotiation line
Edit	All	The edit icon.

Pricing Calculations and Controls

There are two optional fields you can use to control and report on price competition. The Start Price value controls responding and requires that the supplier enter the initial response at a price lower than the Start Price value. The Current Price value specifies how much you're currently spending for one unit of the item or service. If you enter a current price value, Oracle Sourcing can calculate and display the savings. The savings values are useful later when analyzing competing responses.

Additional Line Information

In addition to price, there is other information you can add to your lines and negotiate with your potential supplier.

Cost factors identify additional costs which may be associated with the item or service. Such additional costs could include customs duties, storage, or transportation. You can identify these costs with your negotiation line and include supplier responses into the total cost of the line when analyzing responses.

You can use price breaks and price tiers to negotiate pricing structures. You can create price breaks for negotiations with a purchase agreement outcome based on location, quantity, and start/end dates. You can define price tiers for all negotiation outcomes based on quantity alone.

You can use line attributes to obtain detailed information about the supplier's response to the negotiation line. Line attributes target information other than price which could be important when evaluating supplier responses. You can allow suppliers to enter free form text, or require them to select from a predefined list of acceptable values. If the negotiation is a multiattribute negotiation, you can enter response score values, and the Sourcing calculates the score for a particular response. A line can have multiple attributes and each attribute can be weighted to reflect the relative importance of that attribute for the line.

There are two methods for adding attributes to a line. You can create and add multiple single attributes to a line, or you can add one or more predefined lists of attributes called an attribute list. If predefined grouping labels (called Attribute Groups) are defined in your application, you can use these labels to structure your attributes and attribute lists.

Lots and Groups

Category managers can define lots that contain a collection of lines, giving a hierarchical structure to the sourcing document. A lot may be an assembled product or lines may be organized into lots to obtain the most competitive response. Suppliers are required to evaluate the entire lot and place a response at the lot level. Suppliers may optionally provide line-level responses as well. Category managers analyze the responses and make award decisions at the lot level. When the category manager creates a purchasing document from the award, awarded lots are transferred to purchasing document lines.

Negotiation lines can also be organized into groups for ease of analysis and award. Groups are collections of related lines that allow category managers to model market baskets. Suppliers respond to individual lines within the group, and pricing information is automatically rolled up to the group level for enhanced analysis. Category managers can analyze and make award decisions for the entire group, or they can choose to select the best supplier responses for individual lines within the group. Awarded lines are transferred to the purchasing document, if the category manager created one from the award.

A lot is a complete negotiation line on its own. As such, it can have line attributes, cost factors, and any other characteristics a negotiation line. A group is simply a named collection of negotiation lines. Groups have no attributes other than price (which is the sum of all its line price values). Lots and groups must have at least one subordinate line defined. You can't insert lots within groups or groups within lots. You can add independent lines into lots and groups (although you can't move a line with a backing requisition into a lot), and you can move lot lines and group lines into other lots or groups.

Spreadsheet Import

You can use the spreadsheet import feature to streamline the creation of large numbers of lines. You simply export and save the spreadsheet template. Using the reference information, you complete the spreadsheet with your line information. Once the spreadsheet is completed, you import it back into the application. During the import process, each line is verified. If any error is found, all line information is reversed, and error messages alert you to the problems the application found. You can correct the spreadsheet and reimport to correct the problems.

Alternate Lines

If you want, you can allow your supplier to respond with an alternate line. This alternate response line is in addition to the supplier's response to the line you originally defined to the negotiation. The supplier might want to add a new line to suggest alternate response information such as a different set of price breaks, cost factors, line attributes, or UOM specifications. To allow alternate lines, on the Create Negotiation: Overview train stop, you must set the Allow Alternate Lines option to yes. Then when defining your separate negotiation lines, set Allow Alternate Lines to Yes.

Related Topics

- [Cost Factors and Cost Factor Lists](#)
- [Examples of Line Attributes](#)
- [Price Breaks and Price Tiers](#)

Negotiation Terms

You can use the Terms tab to specify the payment or discount conditions as well as the transportation arrangements.

You can also use the Terms tab to set up currency conversion rates for multi-currency negotiations.

Agreement Terms

These terms apply only to agreements (blanket purchase agreement or contract purchase agreement)

The following table shows the negotiation terms that are related to agreements and an explanation for each term.

Field	Meaning
Agreement Start Date	The date on which the agreement becomes effective
Agreement End Date	The date on which the agreement expires
Agreement Amount	The expected final amount over the lifetime of the agreement
Minimum Release Amount	This amount restricts the association of the agreement to a PR release if the released amount isn't greater or equal to the minimum amount.

Payment and Shipping and Handling

These terms specify the payment and transportation arrangements that are used on the purchase documents.

The following table shows terms related to payment and shipping and handling.

Field	Meaning
Payment terms	The terms used to schedule payments and to calculate due dates, discount dates, and discount amounts for each invoice.

Field	Meaning
Shipping Method	The shipping method you want the supplier to use
Freight terms	The terms that determine whether you or your supplier pay for freight charges
FOB	The point during the shipping process at which you accept responsibility for the item
Buyer managed transportation	Indicates that you're responsible for arranging the transportation, from picking up the requested goods to delivering to ship-to locations specified on the order.

Multi-Currency

When you create your negotiation, the negotiation currency is set according to the Procurement BU that owns the negotiation, although you can change that if necessary. You can specify the price precision (or number of decimal places) that's used in any calculations performed.

If you have suppliers who want to respond in a different currency, you can also identify any additional currencies in which you accept responses. To enable multi-currency negotiations, check the Allow responses in other currencies check box. You must specify the additional currency and specify an conversion rate between the negotiation currency and that response currency.

Related Topics

- [Specify a Negotiation Currency Conversion Rate](#)

What Happens When You Import Lines to Negotiations by Spreadsheet

By Importing negotiation lines by spreadsheet you can effectively reduce negotiation creation time by completing a spreadsheet file offline and then using that file to import your line information.

This feature is especially useful for negotiations with a large number of lines or complex lines with multiple attributes. This topic contains instructions on how to complete the spreadsheet file and import it to your new negotiation.

The .zip file you export contains a template for you to fill out. You have other reference files containing any cost factors, UOM values, and attribute groups in the application in case you need to use them.

Once you've exported the appropriate spreadsheet files, fill in the template file with your negotiation line information. The following table describes each spreadsheet field in detail and indicates which fields are required and which are optional. Required fields are marked with an asterisk (*). You must enter a value for a required. You don't have to enter a value for an optional field.

The table also explains each field's length restrictions. If a field's maximum data length is 4000 characters, the length for a multi-byte language such as Japanese the limit is smaller. If the field length is less than 4000 characters, the maximum length is the same for both single-byte and multi-byte languages.

The table shows the fields as they appear in the exported spreadsheet. Some columns always appear while other columns appear depending on which negotiation outcome is selected, standard purchase order or blanket or contract purchase agreement. Generally, you can rearrange the column sequence but don't change the column titles. The attribute, cost factor, price breaks, and price tier columns are an exception to this rule. They should not be rearranged. Be sure that the End of Line Delimiter column is the last column of your spreadsheet. You may also delete optional columns; see the Note following the table for more details.

Notes: All date, time and price format settings should be the same as your user preference settings in the application; for example, 1212,40 vs. 1,212.40. When entering numeric values into the specified fields, set the cell format as Text; other formats might result in error upon importing. If the format is Text and the length is longer than 255 characters, set the cell format as General.

Note that the application treats the values you enter as case sensitive. For example, Lot line is correct, Lot Line isn't and causes an error.

How You Add Negotiation Lines Spreadsheet Column Explanations

The table shows the different fields available in the import lines spreadsheet. It explains which fields are used with which negotiation type and outcome.

Column Name	All Outcomes	Purchase Order Outcome Only	Purchase Agreement Outcome Only
Line with Price and Quantity (applicable to RFIs only)	Enter Yes to create a line requiring price and quantity values.	NA	NA
* Type	Select the type of line you're defining. Valid entries include Line, Lot, Lot line, or Group, Group line. To create a lot, first define a row for the lot, and then define a row for each of the lot lines. Lots and lot lines are defined the same way as regular lines. That is, they can have line attributes, cost factors and other line-related characteristics. Make sure you define your lot lines immediately after the lot row. To create a group, first define a row for the group, and then define a row for each of the group lines. Group level rows are defined differently from regular lines. They can't have line attributes, cost factors or other line-related characteristics. When defining a group level entry, enter values only for the Type, Description and End of Line Delimiter columns. Make sure you define your group lines immediately after your group row. Group lines rows are defined the same way as regular lines and can	NA	NA

Column Name	All Outcomes	Purchase Order Outcome Only	Purchase Agreement Outcome Only
	have attributes, cost factors, and other line-related characteristics.		
Description	Enter a description of each line you want to purchase. This column has a maximum length of 2500 characters.	NA	NA
Requisitioning BU	The business unit requesting the item or service. This column doesn't appear if you're using standalone Sourcing.	NA	NA
Line Type	Distinguishes between quantity-based and services-based lines. Select one of the predefined values set up in the application.	NA	NA
Item	Enter the item number based on the value in the Item Master in the application.	NA	NA
Revision	Enter the item revision number.	NA	NA
Category Name	The category name describes the broad family or category to which the line belongs. The application has predefined categories for all items.	NA	NA
Quantity	NA	Enter the number of units (in terms of the unit of measure you defined) you want to purchase.	NA
Estimated Quantity	NA	NA	The estimated number of units of the item required, in the buyer's specified unit.
UOM	Enter the unit of measure in which you want to negotiate for the line if it's different from the UOM associated with that line type. See the AddLinesUOM.txt file in the .zip for available UOM values.	NA	NA
Location	NA	Enter the name of the address where you want the item or service to be delivered. Not entering a location results in the default	NA

Column Name	All Outcomes	Purchase Order Outcome Only	Purchase Agreement Outcome Only
		location being used. If this is a new location, you must first enter the location online before you can use it in this template.	
Requested Delivery Date	NA	To request delivery to your location address on a specific date, enter that delivery date in this column. Make sure you use the same format in the spreadsheet as the date format in your user preferences for the application.	NA
Estimated Total Amount	NA	NA	Estimated amount of business in dollars that you expect to pay for this line.
Minimum Release Amount	NA	NA	Enter the minimum amount which can be released against an agreement.
Current Price	Enter the price at which you currently buy one unit of the item or service. If you plan to add cost factors to a line, this value represents the Total Current Price for one unit of the item or service. The price should be entered in numeric format (for example, 5.75). Five seventy-five is invalid. Omit currency signs. Current price is used by the application when calculating savings.	NA	NA
Start Price	Enter the starting response price for one unit of the item or service you want to purchase. If you plan to add cost factors to a line, this value represents the Start Price Total for one unit of the item or service. Use the unit of measure and currency you've specified for this negotiation. The price should be entered in numeric format (for example, 5.75). Five seventy-five is invalid. Omit currency signs.	NA	NA
Target Price	Enter the price at which you want to purchase one unit of the item or service. If you plan to add cost factors to a line, this value represents the Target Total Price for one unit of the item or service. State the price in terms of the unit of measure and currency that you've specified for this	NA	NA

Column Name	All Outcomes	Purchase Order Outcome Only	Purchase Agreement Outcome Only
	negotiation. The price should be entered in numeric format (for example, 5.75). Five seventy-five is invalid. Omit currency signs.		
Display Target Price	Enter Yes or No to indicate whether you want to display the target price to the suppliers. The application defaults to No if you don't enter a value.	NA	NA
Allow Alternate Lines	Designate whether the supplier can enter an alternate line in response to this negotiation.	NA	NA
Note to Suppliers	Enter a text note to the suppliers who submit responses on the item or service you want to purchase. This column has a maximum data length of 4000 characters.	NA	NA
Line Target Price	Enter the total target price of your line excluding any cost factors. This column only appears if cost factors are enabled for this negotiation.	NA	NA
Display Line Target Price	Enter Yes or No to indicate whether you want the line target price to be displayed to suppliers. This column only appears if cost factors are enabled for this negotiation.	NA	NA
Cost Factor	Enter the name of any cost factor to which you want the suppliers to respond. This column only appears if cost factors are enabled for the negotiation. A text file AddLinesCostFactors.txt is included in the exported .zip. The Cost Factor column and the three following columns comprise the group of columns used to define a single cost factor for this line. Insert and complete a new group of the four columns for each additional cost factor associated with this line.	NA	NA
Pricing Basis	Enter per unit, fixed amount or percentage of line price, to specify how the particular cost factor value is calculated. This column only	NA	NA

Column Name	All Outcomes	Purchase Order Outcome Only	Purchase Agreement Outcome Only
	appears if cost factors are enabled for the negotiation		
Cost Factor Target Value	Enter the target value of the cost factor. This column only appears if cost factors are enabled for the negotiation	NA	NA
Display Cost Factor Target	Enter Yes or No to indicate whether you want the cost factor's target value to be displayed to suppliers. This column only appears if cost factors are enabled for the negotiation	NA	NA
Suppliers Modify Price Breaks	Enter Yes or No to provide the supplier with the ability to modify the price breaks.	NA	NA
Price Break Type	Select Cumulative to apply the price break to the cumulative quantity on all released shipments for the item as part of the blanket purchase agreement. Select Noncumulative to apply the price break to quantity purchased on a single release against the blanket purchase agreement.	NA	NA
Price Break Ship-to Organization	Ship-to organization where the price break applies.	NA	NA
Price Break Location	Ship-to location where the price break will be applied.	NA	NA
Price Break Quantity	Specify the quantity for which this price break is requested.	NA	NA
Price Break Target Price	Specify a price that the buying organization wants to pay for one unit of the item.	NA	NA
Price Break Start Date	Specify the start date for delivering the items for which this price break is requested.	NA	NA
Price Break End Date	Specify the end date for delivering the items for which this price break is requested.	NA	NA

Column Name	All Outcomes	Purchase Order Outcome Only	Purchase Agreement Outcome Only
Price Tier Minimum Quantity	Specify the minimum quantity the buying organization requires for this quantity-based price tier.	NA	NA
Price Tier Maximum Quantity	Specify the maximum quantity the buying organization requires for this quantity-based price tier.	NA	NA
Price Tier Target Price	Specify a price that the buying organization wants to pay for one unit of the item for this quantity-based price tier.	NA	NA
Attribute	Enter the name of the line attribute you want to define (Example: PPM rate, grade). The Attribute column and the five following columns comprise the group of columns used to define a single attribute for this line. Insert and complete a new group of the six columns for each additional attribute associated with this line.	NA	Maximum character length 4000 characters
Attribute Group	Used to categorize attributes. If a value for Attribute Group isn't defined, the default Attribute Group value is used. See the AddLineAttributeGroups.txt spreadsheet included in the .zip for the group values available to this negotiation.	NA	Maximum length 240 characters
Attribute Response	Enter Required, Optional or Display only to indicate how you want the suppliers to respond, and whether entering a response value is required or optional. If this is a multiattribute scoring negotiation and you want to score the attribute, then it must be Required.	NA	NA
Attribute Value Type	The format of the attribute value you want to specify and need suppliers to enter. Enter Text for text, Number for number, Date for date or URL for URLs. Text can display all types.	NA	NA
Attribute Target	The target value for the attribute. Your entry must match the Attribute Value Type you specify.	NA	Maximum length 4000 characters

Column Name	All Outcomes	Purchase Order Outcome Only	Purchase Agreement Outcome Only
Display Attribute Target	Enter Yes or No to indicate whether you want the attribute target to be displayed to suppliers.	NA	NA
* End of Line Delimiter	Enter EOL.	NA	NA

The spreadsheet template contains the six columns (Line Target Price , Display Line Target Price, Cost Factor, Pricing Basis, Cost Factor Target Value, and Display Cost Factor Target) that are required to define one cost factor. If you want to enter more cost factors, for each additional cost factor, copy the last four columns (Cost Factor, Pricing Basis, Cost Factor Target Value, Display Cost Factor Target) and insert them after the existing six columns. You can enter as many cost factors as you want. Cost factor columns can be blank. For example, you may want to have the first cost factor for every line to be Tooling. However, if Tooling doesn't apply to a particular line, simply leave the columns referring to Tooling blank for that line.

The spreadsheet template contains eight columns of which one column Suppliers Modify Price Breaks is common for all price breaks and the columns Price Break Type, Price Break Ship-to Organization, Price Break Location, Price Break Quantity, Price Break Target Price, Price Break Start Date, and Price Break End Date are required to define one price break. Also, the eight columns must be treated as a group: either all columns are deleted or none are deleted.

The spreadsheet template contains three columns Price Tier Minimum Quantity, Price Tier Maximum Quantity, and Price Tier Target Price that are required to define one price tier. Also, the three columns must be treated as a group: either all columns are deleted or none are deleted. During an import, either price break or price tier can be added.

The spreadsheet template contains the six columns (Attribute, Attribute Group, Attribute Response, Attribute Value Type, Attribute Target, Display Attribute Target) that are required to define one attribute. If you want to enter more attributes, simply copy the attribute columns and insert them at the end of the spreadsheet immediately preceding the End of Line Delimiter column. You can enter as many attributes as you want. Attribute columns can be blank. For example, you might want to have the first attribute for every line to be Grade. If Grade doesn't apply to a particular line, simply leave the columns referring to Grade blank for that line.

You can modify the spreadsheet files by deleting any of the optional columns although you can't delete these columns: Action (when creating amendments or new rounds of responding), Type, Internal Line ID (when creating amendments or new rounds of responding), End of Line Delimiter. Also, the six attribute columns and the six cost factor columns must be treated as a group: either all columns are deleted or none are deleted.

If you're creating a multiattribute scoring negotiation, you must enter the scores and weights details online after the lines are imported.

Lookup Files

Three lookup files are included in the .zip file you export from the application. These files contain the values defined in the application for

- Attribute groups
- Cost Factors
- UOM values

For cost factors and UOM values, you can use values contained in these files to complete the template as appropriate. If you try to use a value that doesn't exist, your import process returns an error. If you need additional or different cost factors, or UOM values, you must define them in the application first.

For attribute groups, you can use the predefined ones, or you can create ones in the spreadsheet.

The table shows the fields in the attribute lookup file.

Name	Description
Attribute Group	The name of the attribute group
Description	Description of the attribute group.

The table shows the fields in the cost factor lookup file.

Name	Description
Cost Factor	Name of the cost factor.
Description	Description of the cost factor.
Pricing Basis	Method used to calculate the cost factor.

The table shows the fields in the UOM lookup file.

Name	Description
UOM	Name of the UOM.
Description	Description of the UOM value.

Import Your Line Information

1. Once you've completed your spreadsheet, save it to the location of your choice. Your spreadsheet must be saved as a tab delimited file.
2. Return to the application. Follow the directions to import your completed spreadsheet.
3. When the application receives your spreadsheet for import, the spreadsheet validation process occurs and your imported lines appear on the screen.
4. If the application discovers errors on your spreadsheet, the spreadsheet lines on which those errors occurred are identified, and the application notes the specific error that occurred. Errors are diagnosed in 3 phases:
 - o Phase one checks file errors.
 - o Phase two checks column errors.
 - o Phase three checks field errors.

Errors are listed in a table, which identifies the Spreadsheet Row Number, Column Title, Value, and Error that occurred. Common errors include:

- File errors occur when your spreadsheet file type or file format doesn't match the import format type supported by the application. For example, if you import a word-processing file which the application doesn't recognize, a file error occurs.
 - Format errors occur when information that you entered in your spreadsheet can't be understood by the application. For example, if you enter alphabetic characters into fields where only numeric characters are expected, a format error appears. Also check that the column names and column sequence in the file you're importing matches the names and sequence in the file you exported.
 - Validation errors occur when information that you entered on your spreadsheet doesn't match corresponding information already held within the application. For example, if you enter values for UOM or, Category Name that the application doesn't recognize, a validation error occurs.
5. If any of your spreadsheet lines contain errors, the application indicates the necessary corrections. Open the spreadsheet file you tried to import, make changes where necessary, save the file, browse to find the updated file, and run the import process again. Note: If any error occurs during the import, none of the lines are loaded. Note also that because the errors are checked in phases, you might need to try importing more than once to fix all the errors and obtain a clean import.
 6. If the application detects no error on your spreadsheet, all your negotiation lines import successfully. You can then edit any of your lines.
 7. Once your negotiation lines import successfully, continue the negotiation creation process.

Example of Importing Lines into a Negotiation

In this example the category manager uses spreadsheet export and import to add lines to an agreement negotiation for janitorial supplies that she's creating. Specifically, she adds

- 10 lots of cleaning supplies. Each lot has
 - One line for 100 dozen cleaning brushes,
 - One line for 90 dozen cleaning rags,
 - One line for 50 dozen cleaning brooms,
- A group of cleaning solutions consisting of
 - 20 gallons of cleaning solvent.
 - 15 gallons for cleaning disinfectant.

Using these instructions, she exports the spreadsheet .zip, opens it, and completes the template according to the details in the tables described earlier. Notice that possible cost factors and line attributes aren't shown in this example, but could also be included if appropriate. Once the template is finished, it looks like the following:

The table shows the sample initial spreadsheet.

Type	Description	Line Type	Item	Revision	Category Name	Estimated Quantity	UOM	Other Columns...	End of Line Delimiter
Lot	Cleaning Supplies	Goods	NA	NA	Miscellaneous maintenance supplies	10	EA	NA	EOL

Type	Description	Line Type	Item	Revision	Category Name	Estimated Quantity	UOM	Other Columns...	End of Line Delimiter
Lot line	Cleaning brushes	Goods	NA	NA	Miscellaneous maintenance supplies	100	Dozen	NA	EOL
Lot line	Cleaning rags	Goods	NA	NA	Miscellaneous maintenance supplies	90	Dozen	NA	EOL
Lot line	Cleaning brooms	Goods	NA	NA	Miscellaneous maintenance supplies	50	Dozen	NA	EOL
Group	Cleaning Solutions	NA	NA	NA	NA	NA	NA	NA	EOL
Group line	Solvent	Goods	NA	NA	Miscellaneous maintenance supplies	20	Gallon	NA	EOL
Group line	Disinfectants	Goods	NA	NA	Miscellaneous maintenance supplies	15	Gallon	NA	EOL

She returns to the application and imports the completed spreadsheet. If there are any errors, they're displayed. She corrects the errors and imports again. Note that because errors are checked in phases, it might require more than one import to correct all errors.

Additional Instructions for Multiple Rounds of Responding or Amendments

You can use the line import spreadsheet to amend the list of lines in a subsequent round of responding. When you start a new round of responding you can add, delete, and update lines from a spreadsheet. This gives you the flexibility to quickly launch the new round. To adjust the list of lines using a spreadsheet you typically follow these steps:

1. Export the spreadsheet template. It includes the lines already available from the previous round.
2. Make the appropriate changes to the line.
3. Import the modified spreadsheet.
4. Confirm the modifications.

The spreadsheet template you import between rounds of responding is slightly different than the one used to create the original negotiation lines. The main differences are:

- The exported spreadsheet is populated with the lines available from the previous round.
- The template includes five additional columns as shown.

The table shows the fields in a spreadsheet used in a multi-round negotiation.

Column Name	Description
From Requisition	The Yes or No value indicates whether the line was created from a requisition in the previous round. If the value is Yes, then don't modify these values for the next round: Requisitioning BU, Line Type, Item, Revision, Description (if Item is specified), Category Name, UOM, and Location.
From Agreement	The Yes or No value indicates whether the line was created from an agreement in the previous round. If the value is Yes, then don't modify these values for the next round: Line Type, Item, Description (if Item is specified), and Category Name.
Line	The current line number as displayed in the negotiation. This column is for reference only and helps you identify the lines that you want to update or delete. Don't modify the values in this column. Leave this column empty if you're adding a new line. Note that existing line numbers don't change.
Action	Specify to add, update, or delete the line. You can enter one of these values: • + to add a new line. • - to delete an existing line. • # to update an existing line. If you leave the Action column blank, the application ignores the row, leaving the line unchanged. Note: If you're using Excel, use the Tab key to exit the Action column.
Internal Line ID	Application generated ID that's populated when you export the spreadsheet template. Don't change the values in this column. If you're adding a new line, leave the Internal Line ID column blank. Internal Line ID must be the last column before the End of Line Delimiter column.

For example, assume your initial spreadsheet looks like this:

The table shows the sample initial lines spreadsheet.

Line Number	Action	Type	Description	Estimated Quantity	UOM	Other Columns...	Internal Line ID	End of Line Delimiter
1	NA	Lot	Cleaning Supplies	10	EA	NA	123.221	EOL
1.1	NA	Lot line	Cleaning Brushes	100	Dozen	NA	123.321	EOL
1.2	NA	Lot line	Cleaning Rags	90	Dozen	NA	234.432	EOL
1.3	NA	Lot line	Brooms	50	Dozen	NA	345.654	EOL

Line Number	Action	Type	Description	Estimated Quantity	UOM	Other Columns...	Internal Line ID	End of Line Delimiter
2	NA	Group	Cleaning Solutions	NA	NA	NA	345.745	EOL
2.1	NA	Group line	Solvent	20	Gal	NA	346.234	EOL
2.2	NA	Group line	Disinfectants	15	Gal	NA	3467.121	EOL

Amend the line list and import the spreadsheet.

- To modify a line, enter a '#' in the Action column. You can change any attribute between rounds of negotiating. Scores and weights are automatically copied over to the next round if matching attributes are found.
- To delete a line, enter a '-' in the Action column.
- To add a line, enter a '+' in the Action column and follow the steps indicated in the previous section to complete the remaining columns. Lines are defined the same way that you entered them when you created the previous round of negotiation. don't enter a value for the internal line ID for the line that you're adding.

Continuing the example, you can modify the spreadsheet to delete line 1.2, change the Quantity of line 1.3, and add a new line:

The table shows the example spreadsheet with modifications.

Line Number	Action	Type	Description	Estimated Quantity	UOM	Other Columns	Internal Line ID	End of Line Delimiter
1	NA	Lot	Cleaning Supplies	10	EA	NA	123.221	EOL
1.1	NA	Lot line	Cleaning Brushes	100	Dozen	NA	123.321	EOL
1.2	-	Lot line	Cleaning Rags	90	Dozen	NA	234.432	EOL
1.3	#	Lot line	Brooms	75	Dozen	NA	345.645	EOL
NA	+	Lot line	Mops	5	Dozen	NA	NA	EOL
2	NA	Group	Cleaning Solutions	NA	NA	NA	345.745	EOL
2.1	NA	Group line	Solvent	20	Gal	NA	346.234	EOL
2.2	NA	Group line	Disinfectants	15	Gal	NA	3467.121	EOL

The table shows list of updated lines.

Line Number	Action	Type	Description	Estimated Quantity	UOM	Other Columns	Internal Line ID	End of Line Delimiter
1	NA	Lot	Cleaning Supplies	10	EA	NA	123.221	EOL
1.1	NA	Lot line	Cleaning Brushes	100	Dozen	NA	123.321	EOL
1.3	NA	Lot line	Brooms	75	Dozen	NA	345.645	EOL
1.4	NA	Lot line	Mops	5	Dozen	NA	568.245	EOL
2	NA	Group	Cleaning Solutions	NA	NA	NA	345.745	EOL
2.1	NA	Group line	Solvent	20	Gal	NA	346.234	EOL
2.2	NA	Group line	Disinfectants	15	Gal	NA	3467.121	EOL

Price Breaks and Price Tiers

Quantity-based price tiers and price breaks allow you to negotiate line prices with your supplier based on characteristics of your order.

For example, with both price tiers and price breaks, you may expect to receive a discount from your supplier if you buy a large quantity of units, and you may specify several quantity levels and the prices you're willing to pay at each. Or by negotiating using price breaks, you may additionally choose to pay more per unit if your supplier can ship the order to a special location or by a certain deadline.

You can define two types of price adjustments for a negotiation document: quantity-based price tiers and price breaks. If tiers or breaks are defined, suppliers must reply by entering prices, or modifying the tiers or breaks (if the negotiation creator allows price break modifications). If there are no tiers or breaks defined, the supplier can add tiers or breaks. You can only use quantity-based price tiers or price breaks if the negotiation style you're using allows them.

Quantity Based Price Tiers

Quantity-based price tiers apply only to the quantity of units for your negotiation line. You can add quantity-based price tiers to all negotiations regardless of negotiation outcome. Suppliers can respond to the defined price tiers, modify or delete the defined price tiers, or add their own. For quantity-based price tiers, only the price tier in effect for the awarded line is passed to the purchasing application.

Price Breaks

You can specify price breaks for a location, a date range, and quantity. You can allow suppliers to modify and offer different price breaks. Price breaks can only be used with purchase agreements. For price breaks, the information about the entire price break structure applicable to the awarded line is passed to the purchasing application.

Line Attribute Properties and Their Acceptable Values

Line attributes identify additional information about an item or service requested by the category manager. Use the following properties to describe your line attribute when defining it.

You use a line attribute's properties to control its behavior and how the supplier should respond.

Response

You can control the supplier's interaction with the attribute by specifying the response type. Optional responses don't require a supplier to offer a response. Suppliers must however provide a value for a required response. Suppliers can view attributes which are display only, but they can't respond to them.

Value Type

Value type specifies the data type for the attribute value. There are four value types available. A text value accepts characters and numbers. A number value accepts only numbers and the decimal point. Date values accept dates that you select using the calendar picker. A URL value type accepts a URL in the format `http://url.name.here`. URLs also accept `https`:

Target

For each attribute, you can define a target value. This is the value which is most desirable for this attribute. You can also display the value to the supplier or keep it hidden.

Acceptable Values

For text values, you can specify a list of values from which the supplier can select. Any value not defined to the list isn't accepted. For number and date values, you can define value ranges in terms of From Value and To Value. If you omit a From Value, that range includes everything up to the To value. Likewise, if you omit a To value, the range includes all values starting at the From value and above. Ranges can't overlap. You can specify a single number by defining it as both the From and To values. Dates are defined similar to numbers.

Line Attributes and Multi-Attribute Scoring Negotiations

In a multi-attribute scored negotiation, you can have the application include the response values from the supplier along with the price offered when calculating the rank of that supplier's response. To perform this calculation, you give each possible response value a numeric score and then weight the attribute among the other attributes for the line. Note that while each value's score can be between 0 and 100, the weights for all the attributes defined for a line must add up to 100.

If a negotiation has ranking method set as price only, which is the default value, then the buyer can't define acceptable values for the negotiation line attributes and the supplier won't see acceptable values for the negotiation line attributes.

If the buyer intends to add acceptable values for the negotiation line attributes, then buyer can select the **Ranking Method** as **Multi-attribute** Scoring.

Also, the ranking method - multiattribute scoring is applicable if the document type is an auction or RFQ. For the document type RFI, the value must be price only.

Examples of Line Attributes

Line attributes make your negotiation line more descriptive and can also be used to ensure that all responses submitted for the line include specific additional details.

The response values suppliers provide can also be used together with price offered when ranking responses in multi-attribute ranked negotiations. When you create your negotiation lines, you can add line attributes and require suppliers to respond by selecting a value from a group of values you can specify. Then when you evaluate the supplier responses, you can weighted and score the attribute responses and use this additional information used to make your award decision.

Scenario

For example, a category manager can create an auction to buy vehicles for a delivery service. When she adds the line (for example, called vehicle) to the auction, she can then set up ranges of mileage from which the supplier could select a value. Furthermore, if the category manager marks this attribute as required, then suppliers must specify the mileage of any response.

Scenario

Line attributes can call attention to common or industry-specific characteristics. For example, retail industry negotiation items can include such attributes as "color," "style," and "SKU number." Metal industry negotiation items can include "grade of metal" as an attribute. Adding these as required item attributes that are displayed to suppliers can enable you to modify negotiation items to your specific industry.

Related Topics

- [Line Attribute Properties and Their Acceptable Values](#)
- [Create Attribute Lists](#)
- [Create Line Attributes](#)

Create Attribute Lists

Attribute lists are collections of line attributes that are commonly used together. Procurement application administrators can create public attribute lists for use when creating negotiations.

When a negotiation author associates an attribute list with a negotiation line, all the attributes on the list are associated with the line. Any attributes on the list that aren't needed can be deleted, and additional line attributes can be created if necessary. Attribute lists are an efficient way to streamline the negotiation creation process. They can also be used to encourage standardization and best practices.

In this example, the procurement application administrator is going to create an attribute list.

Create an Attribute List

1. From the Tasks panel, she clicks the Manage Attribute Lists link.
2. On the **Manage Attribute Lists** page, she clicks the Add icon.
3. On the **Create Attribute List** page, she enters name in the Attribute List field, optionally a description, and sets the Status to Active.
4. She clicks **Add Attribute Group** to define a new group, or she can click **Add Predefined Group** to add an existing group to the list.
5. Once the group has been added, she clicks **Add Attribute** and uses the **Add Attribute** page to define an attribute to the list.
6. She repeats the last step until she has added all the necessary attributes to the list.

Default Line Attributes in Negotiations

Many companies want to improve operational efficiency and enforce sourcing standards in their direct material sourcing process. Driving consistency with negotiation templates assures that corporate standards are being adhered to.

In the direct materials business process, there is often consistency across negotiation lines (items, parts, and so on) with line level details such as line level attributes.

You can define default values for line level attributes in the negotiation template, or when creating a negotiation. With this ability to define attributes, buyers can improve operational efficiency by applying these attributes to potentially large volumes of lines.

This feature provides the capability to set default line attributes either in the negotiation template or directly in the negotiation. When default line attributes are set, any new lines added to the negotiation online or using the lines import spreadsheet will have these attributes automatically applied. If negotiation style contains internal cost factors enabled for line price and has default line attributes enabled, The Manage Default Line Details button is displayed.

To set and apply attributes as line defaults:

1. In the Sourcing work area, create a new negotiation template based on seeded style for example, **Standard Negotiation**.
2. In **Lines**, click **Manage Default Line Attributes**.
3. In the **Manage Default Line Attributes** page add group and attributes.
4. Create a negotiation based on the negotiation style and template.
5. In the **Manage Default Line Attributes** page, verify that you can see the group and attributes that were added in the negotiation template.
6. If required, add another predefined group and attribute list and click **Save and Close**.
7. Add a new line in the Lines table using the plus icon. Edit line to navigate to line details, and verify that you can see the groups and attributes added in step 3 and 6.
8. If required, add a new line in the Lines table using a spreadsheet. Edit line to navigate to line details, and verify that you can see the Groups and Attributes added in step 3 and 6.
9. Publish the negotiation.

Negotiate Retainage for Services

Ability to negotiate retainage can be used for complex services where these services require extensive collaboration between the buying and supplying organizations.

Complex services can include consulting, advertising, construction, research and development, and professional services, and they typically require negotiated contracts with complex terms and payment arrangements that span a period of time. These projects are typically high dollar value, long project duration (extending over months or several years) and complex payment terms that are governed by percentage of work completion.

Retainage

Retainage is a practice where you withhold funds from payment to ensure that the supplier finishes work as agreed. The buying organization releases these funds only after verifying that the supplier has fulfilled all contractual obligations. Retainage terms include retainage rate and maximum retainage amount.

Retainage Rate (%)

The retainage rate is the percentage of the amount requested that's withheld before releasing payments to the supplier. Retainage rate is passed on the purchase order line if the document style enables the use of retainage.

Maximum Retainage Amount

The maximum retainage amount is the maximum amount that's withheld on the line. The maximum retainage amount is passed on the purchase order line if the document style enables the use of Retainage.

Negotiate Retainage

To apply retainage, do these tasks:

1. Create an RFQ by selecting a retainage enabled PO as outcome.
2. In the **Overview** train stop, select the **Allow suppliers to negotiate retainage response** rule.
3. In the **Lines** train stop, enter values for retainage rate and maximum retainage amount for every line in the RFQ.
4. Invite suppliers and publish the RFQ.
Suppliers create responses by negotiating the retainage rate and maximum retainage amount.
5. Analyze RFQ.
6. Close the RFQ and award the RFQ to the best supplier.
7. Generate the complex work purchase order.

Related Topics

- [How You Create Purchase Orders with Retainage Terms](#)
- [Oracle Supplier Negotiations](#)
- [Examples of Negotiation Response Rules](#)

Default Internal Cost Factors in Negotiations

Supplier may be qualified for the business but may still have some hidden costs or operational drawbacks.

These operational drawbacks may be deficiencies such as past performance issues, logistics cost due to supplier location, additional project management needs, and so on, which can be quantified and added to the supplier's responses as internal costs.

You as a category manager can provide a default set of these internal cost factors for negotiation lots and lines either in the negotiation template or directly in the negotiation. When default internal cost factors are set, any new lines added to

the negotiation online, using lines import spreadsheet, or REST API will be automatically applied with these internal cost factors.

To set and apply internal cost factors as line defaults:

1. In the Sourcing work area, create a new negotiation template based on seeded style for example, **Standard Negotiation**.
2. In **Lines**, click **Manage Default Line Details**.
3. In the Manage Default Line Details page, click the plus icon to add the internal cost factors and click **Add from List** to add the internal cost factors from a list.
4. Create a negotiation based on the negotiation style and template.
5. If you want to add or update more internal cost factors as default, click Manage Default line details and add the internal cost factors.
6. Publish the negotiation.

Here are things you have to consider when you apply cost factors as line defaults.

- If negotiation style doesn't have internal cost factors enabled for line price but has default line attributes enabled, The **Manage Default Line Attributes** button is displayed.
- When you create a new negotiation line of line type Fixed Price Services, the default internal cost factors of pricing basis Per Unit aren't added to the new line.
- When you create an amendment, save a negotiation as a template, duplicate a negotiation, or create a new negotiation round, inactive default internal cost factors aren't copied to the new document, but existing lines are copied without dropping inactive internal cost factors or their values.

Control Supplier Access

For suppliers you invite to a negotiation, you can control access at the line level. If you don't grant a supplier access to a line, the supplier contact can't see the line and therefore can't respond to that line.

You must grant a supplier access to at least one line.

Define Supplier Access

In this example, the category manager is defining an RFQ to negotiate with Vision's suppliers. Among the lines defined to the negotiation are the following two as shown. Due to past performance, the category manager wants to keep BWP Distributors, Inc. from quoting on line one and Office Supplier, Inc. from quoting on line two. The resulting access authorizations are shown in the following table.

The following table shows the supplier access restrictions defined by the category manager.

Line Number	Office Supplies, Inc.	BWP Distributors, Inc.	M and H International
office credenza 50 EA	yes	no	yes
printer paper 500 BOX	no	yes	yes

1. After adding the three suppliers to the invitation list for the negotiation, the category manager highlights the row for Office Supplies, Inc. and then selects the **Control Line Access** option from the **Actions** menu.

2. On the Suppliers: Control Line Access page, she deselects the check box for negotiation line two and then clicks **Save and Close**.
3. When the Suppliers: Control Line Access page appears again, she uses the same procedure to restrict BWP Distributors Inc. from accessing negotiation line one. Note that the default is to allow M and H International to access both negotiation lines, so the category manager need not alter those access specifications.

How You Invite Suppliers to Negotiations

You can notify all the contacts for an invited supplier. Supplier contacts with and without supplier portal user accounts will receive the notification email and PDF.

You can now invite all suppliers as needed to meet regulatory requirements and provide a fair market opportunity. You can see these suppliers in the UI and in spreadsheets. You can view and add more than 500 suppliers.

You can identify the supplier contacts that have an active user account to add to the negotiation invitation list.

You can also invite supplier contacts who may not have a supplier portal user account as they may be new and not yet onboarded to supplier portal. The negotiation invitation and PDF is emailed to the selected supplier contact. But, when these suppliers submit their quotes offline, the category manager must use the surrogate response functionality to record their responses, or if the supplier contacts receive their user accounts, they can submit their quotes directly in the supplier portal.

For those suppliers you identify, notifications are sent containing information on the negotiation. If you select a supplier site, then for that supplier, only contacts registered with that site receive invitations. If you enable the response control: Restrict to invited suppliers, only suppliers in the invitation list can participate. Otherwise, any supplier Who's registered with the application can view the negotiation and participate. You can only invite a supplier once, but you can invite multiple sites for that supplier. There are several methods you can use when inviting suppliers.

If the supplier has only one site, and one contact associated with the site, then the supplier site and supplier contact is set as default for the invite.

If you know all the supplier contact information, you can enter it directly into the negotiation. This is the quickest way to invite suppliers.

You can use the supplier search capabilities to identify and invite suppliers based on multiple search criteria such as the supplier's business classification, Approved Supplier List status, transaction history, or qualification and assessment status.

You can configure the From and Reply To email address as category manager's email, or a generic email if you don't wish to expose category manager's details, so they're recognized as coming from your organization. You can then monitor out-of-office emails and bounce back emails from suppliers by receiving auto replies. As a category manager, you can then take follow-up action for time-sensitive supplier notifications like Supplier Invitation or Negotiation Award.

You can register a new supplier while creating the negotiation. Selecting the Register and Add option from the Actions menu on the Edit Negotiation: Suppliers page takes you to the Register and Add Supplier page where you can enter information about the new company, its sites, and create a company contact.

You can choose to register the new supplier as a prospective supplier or a spend authorized. If you register the company as a prospective supplier, the supplier can participate as soon as its registration is approved. A prospective supplier can receive invitations, view a negotiation and respond. You can award the supplier business, but you can't issue a purchase document for the supplier until it's approved for conducting financial transactions with your buying organization.

If you choose to register the company as spend authorized, supplier can't participate until its registration request is approved and it's also approved to conduct financial transactions with the buying organization.

Invite Suppliers to a Negotiation

You can notify all the contacts for an invited supplier. Supplier contacts with and without supplier portal user accounts will receive the notification email and PDF.

Once notified, contacts who don't have a user account may initiate user account creation, or submit offline responses for buyers to record as surrogate responses. You can create a list of suppliers and supplier contacts that you want to invite to a negotiation. You can identify the supplier contacts that have an active user account to add to the negotiation invitation list.

Many organizations, especially in the public sector, invite suppliers to participate in sourcing negotiations based on the products and services they have registered for. Some products and services categories have 500 or more suppliers registered. Category managers need to ensure that all suppliers registered for these categories are invited to the negotiation.

You can view and add more than 500 suppliers, but limit to not more than 2000 suppliers in the negotiation. You can now invite suppliers as needed to meet regulatory requirements and provide a fair market opportunity. You can see these suppliers in the UI and in spreadsheets.

You can also invite supplier contacts who may not have a supplier portal user account as they may be new and not yet onboarded to supplier portal. The negotiation invitation and PDF is emailed to the selected supplier contact. But, when these suppliers submit their quotes offline, the category manager must use the surrogate response functionality to record their responses, or if the supplier contacts receive their user accounts, they can submit their quotes directly in the supplier portal.

Supplier contacts on your invitation list are sent an email notification when you publish the negotiation. The invitation notification contains a link the supplier contacts can use to obtain more information on the negotiation. If the response control Restrict to invited suppliers is selected, only suppliers identified in the invitation list can participate in the negotiation. If this control isn't enabled for the negotiation, any supplier with access to the business unit for which the negotiation is defined can view the negotiation and participate.

Based on the negotiation style setting, either the invitation notification attachment will be a single PDF file or a compressed file containing a PDF and negotiation lines CSV spreadsheet. Note that the compressed file attachment will be sent despite supplier control line access where as PDF attachment is only sent when there is no control line access.

You can configure the From and Reply To email address as category manager's email, or a generic email if you don't wish to expose category manager's details, so they're recognized as coming from your organization. You can then monitor out-of-office emails and bounce back emails from suppliers by receiving auto replies. As a category manager, you can then take follow-up action for time-sensitive supplier notifications like Supplier Invitation or Negotiation Award.

In the example, Sue Ellis, a category manager is defining a negotiation. She has come to the step where suppliers are invited.

Invite Suppliers to a Negotiation

1. After creating the Overview and specifying any requirements and the negotiation lines, Sue clicks the Suppliers train stop.
2. On the Edit Negotiation: Suppliers page, she clicks Search and Add.
3. On the Suppliers: Add Suppliers page, she can use many search combinations to identify the suppliers she wants to invite to the negotiation. At least one of the fields must be included in the search. The check boxes can be used to restrict the search. After she specifies how she wants to search for suppliers, she clicks Search.
4. The search matches are displayed in the Search Results table. She can identify the supplier contacts that have an active user account to add to the negotiation invitation list.

She can also invite supplier contacts who may not have a supplier portal user account as they may be new and not yet onboarded to supplier portal. The negotiation invitation and PDF is emailed to any selected supplier contact.

She selects the suppliers she wants to add and clicks Add to Selection.

5. The suppliers she identified appear in the Supplier Selection region. She continues adding suppliers as needed. When she is finished, she clicks Continue and returns to the Edit Negotiation: Suppliers page.
6. If the invited supplier has multiple sites registered, she can select a site. In this case, for that supplier, only contacts for that site can participate in the negotiation. For each supplier, she specifies a contact. This is the main contact to whom notifications are sent. She can optionally select an additional contact for the same supplier.

If the supplier has only one site, and one contact associated with the site, then the supplier site and supplier contact is set as default for the invite.

7. When she returns to the Edit Negotiation: Suppliers page, she can see the list of suppliers she invited. For each supplier invited, she selects a main contact. She can continue to the Review or Publish step.

Prospective Suppliers

When you begin a business relationship with a supplier, the supplier usually has a provisional status. For a provisional supplier, the amount of information you need is typically minimal. You need more information for suppliers with whom you conduct financial transaction.

The level of review and oversight needed for a potential supplier is also typically less than that required by a contracted supplier.

An efficient way of addressing the need for different levels of supplier information is to provide two statuses for the suppliers. The provisional status allows a restricted level of access to the application capabilities. The full status allows access to a more complete range of capabilities.

Prospective Suppliers

Suppliers can ask to be registered with the application either independently by accessing the buying company's registration web page, or they can be registered internally, for example, a category manager can request to register a new supplier when completing an invitation list for a new negotiation. In either case, the registration requests go to the supplier manager for review. Once the supplier manager approves the registration request, the supplier becomes a prospective supplier in the application. Prospective suppliers have a restricted level of access. They can participate in supplier qualification initiatives, and they can view and respond to negotiations. Prospective suppliers are identified within the application by an icon that indicates their prospective status.

Spend Authorized Suppliers

If the category manager decides to award business to a prospective supplier who responded to a negotiation, that supplier needs to be authorized in the application to conduct spend transactions with the buying organization before a purchase document can be created for that supplier. Spend authorization requires a more complete level of information about the supplier and is subject to approval by the supplier manager. Once the supplier is approved for spend operations, they have access to all the normal capabilities of the application.

Purchase Documents for Prospective Suppliers

Prospective suppliers are provisional suppliers that are newly registered with the application. These suppliers haven't been authorized to conduct spend operations with the buying organization. You can award business to prospective suppliers, but before the award can be completed, any prospective suppliers must be spend authorized.

When you complete your award decision, if any business has been awarded to prospective suppliers, the negotiation moves to Award Completion in Progress. The application sends a request to the supplier manager to authorize the supplier for spend operations. Once the supplier is spend authorized, an entry appears in the Recent Activity table in your workbench notifying you that the supplier is now spend authorized. Also, a notification is sent to the original requester of the spend authorization (note that if the supplier was already in the process of being authorized when you made your award decision, the application doesn't consider you the original authorization requester, and you won't receive this notification).

You must monitor your Recent Activity table to know when the spend authorization requests have been processed. Once all the prospective suppliers who have been awarded business for a negotiation are spend authorized, you can create the purchase documents for that negotiation.

If the authorization request is rejected, an entry shows up in your Recent Activity table and you receive a notification (if you're the originating requester). The status for the negotiation reverts back to its previous status, either Award in Progress or Award Approved.

How you Access Supplier Profile Attachments

You can view and download supplier profile attachments from the supplier detail page when researching suppliers on negotiations or qualifications. To access the supplier detail page, click the supplier name in Oracle Sourcing and Oracle Supplier Qualification.

Comprehensive supplier information is shown about transaction history and supplier profile details such as product and services, business classifications, and supplier contacts. All the supplier profile attachments are displayed on supplier details regardless of category. The supported attachment categories include: To Supplier, From Supplier, To Buyer, To Receiver, and Miscellaneous.

How You Review a Negotiation

At any point while you're creating your negotiation, you can review your work. The application validates your work as you create the negotiation document, checking your work and displaying any error messages as you move from one page to another.

At any point, you can use the Validate option from the Actions menu to check your work so far.

Once you complete your negotiation document, you can use the Review train stop to review your work at a higher and more complete level. The review display presents a column of links you can use to access a particular section of the document. If you want to update a section, you can click the train stop to navigate to the initial page of that section of the document in edit mode. You can also print a .pdf copy of the negotiation document for offline reviewing.

Negotiation Requirements

You can request that participants in your negotiation provide high-level information. This information is in addition to that applying to the negotiation lines such as price or quantity. It often solicits details about the supplier company itself.

Note that participants supplying this information can be both external, such as the suppliers themselves, or internal, such as collaboration team members. You solicit this information by adding one or more questions for the supplier to answer. These questions are called requirements.

Examples of requirements might be:

- The number of years the supplier has been in business.
- The supplier's business structure (public or private).
- The supplier's certification status (minority or woman owned).
- The supplier's environmental practices.

Using requirements enables you to obtain important information about aspects of a supplier such as past performance, personnel qualification, and financial visibility. Knowing such information provides you with a better understanding of the supplier and enables you to make a more informed award decision.

If you have defined questions in Oracle Supplier Qualification, you can copy and use them as requirements. Also, if there are qualification areas defined in Supplier Qualification, you can copy and use them as requirement sections. If any questions defined in the Supplier Qualification question library reference an attribute in the supplier profile, any supplier response to that question is used to update that attribute value in the supplier profile.

If there is scoring information defined for a question from the Question Library, that scoring information is copied onto the negotiation. If the question is defined as optional in the Question Library, you can modify the scoring criteria for the requirement. If the question is defined as required in the Question Library, you can't modify the scoring criteria.

If you want to conduct a two stage RFQ, you create two or more requirement sections. For each section, you identify whether it contains technical or commercial requirements. You can have multiple technical sections and multiple commercial sections, but you need at least one of each. In a two stage RFQ, the technical requirements are evaluated before the commercial requirements.

Requirement Properties

Negotiation requirements request additional information about a supplier company. For example, such information could include company history, structure, personnel or industry certifications. Supplier answers to requirements are used in combination with prices offered when evaluating competing responses.

Requirements can also be used internally by other evaluators, for example members of a collaboration team. Requirements are high-level questions that solicit information from suppliers who respond to a negotiation. This can include such information as history, corporate structure, and applicable certifications, among other things.

You can define new requirements for the negotiation or search for and add predefined questions.

Requirement Properties

When defining requirements for a negotiation, you use the requirement's properties to control its behavior. The following table lists the requirement attributes.

Property	Explanation
Section	The section containing the requirement.
Acceptable Value	The acceptable value for the parent which caused this requirement to be displayed.
Requirement	Name of this requirement.
Evaluation Stage	For two stage RFQs, requirements can be defined to a technical requirement section or a commercial requirement section. Requirements in the technical section are unlocked, unsealed, viewed and scored during the technical evaluation stage. Requirements in the commercial section are unlocked, unsealed, viewed, and scored during the commercial stage. The requirements in the commercial section cannot be unlocked until the technical evaluation stage is completed.
Revision	Indicates the current version of the requirement. Revisions are tracked for questions contained in the question library.
Requirement Text	The text for this requirement.
Level	Whether this requirement applies at the company level or at the site level.
Response	You can control the supplier's interaction with the requirement by specifying the response type. - Suppliers do not have to respond to optional requirements. - Suppliers must reply to required requirements. - Suppliers can view but do not have to respond to display only requirements. - Internal evaluators can view and score internal requirements.
Requirement Type	Specifies the format of the requirement question. You can define a: - Simple text entry. - List of values with a single possible selection (displayed as radio buttons). - List of values with a multiple possible selections (displayed as check boxes). If you select either of the list options, you must also define the acceptable values for the list.
Value Type	The value type controls the data type that can be entered. There are six value types available: - A text value accepts characters and numbers: - A single line of text. - Multiple lines of text in a text box. - A numbers value accepts only numbers and the decimal point. - Date values accept dates you select using the calendar picker. - Date and time values use a date picker and time designations.

Property	Explanation
	A URL value type accepts a URL in the format http://url.name.here. URLs also accept https
Target	The optimum response value. This attribute is only displayed if Display Target is enabled.
Display Target	Indicates whether to display the target to the supplier. This attribute is only displayed if the requirement type is a text entry box..
Hint	Optional text prompting the supplier toward a response value.
Attachments from Supplies	Whether the supplier can submit attachments, and if so, whether they are optional or required. This attribute is only displayed if the requirement type is a text entry box..
Allow comments from suppliers	Whether suppliers can add comments to a response.
Scoring	Scoring indicates the method used to assign such scores: manually, automatically, or none. - If you choose None, scores cannot be entered for responses, and no scoring calculations can be made. - If you choose Automatic, the application scores responses when they are submitted by the supplier. The scores are based on the acceptable response values you must define. - If you choose to manually score a response, you (or others) must enter scores once the negotiation is closed. Manually scored requirements can be scored by scoring team members.
Weight	The importance of this requirement relative to all other requirements. Any requirement being scored must have a weight assigned. Weights are used in conjunction with scores to calculate the requirement's (and requirement section's) weighted score. The sum of all requirement weights cannot exceed 100. You enable weights on the General tab of the Overview page. If weights are not allowed, the application uses the maximum score field to limit the maximum score allowed for each requirement.
Maximum Score	The maximum score indicates the maximum numeric score value which can be entered for a response to this requirement.
Knockout Score	A minimum score value that all responses must meet or surpass for that response to be shortlisted for awarding. When you begin awarding the negotiation, you apply the knockout score. All responses having a requirement response value that doesn't meet the knock out value are marked as not shortlisted for awarding.
Attachments	You can attach a file, a URL, or a text string. You can specify that the attachment is visible internally by collaboration team members, or by suppliers. When you upload an attachment, you marked its category: - Internal to Sourcing. - Miscellaneous. - To Supplier.

Acceptable Supplier Qualification Requirement Values

You can specify what values are acceptable to suppliers who respond to requirement questions.

You can define three types of requirements. These control the response options available to you supplier when responding to the requirement.

- Text entry box - the supplier enters one or more lines of text into the input field.
- Multiple choice/Single selection - the supplier selects a single response from the list of possible choices.
- Multiple choice/Multiple selection - the supplier selects one or more responses from the list of possible choices.

Acceptable Values Matrix

This table shows how the interaction of requirement type, value type, and scoring method interact to control whether and what kind of acceptable values you can define:

Requirement Type	Value Type	Scoring Method	Acceptable Value Allowed
Text entry box	Number	All Methods	Not Allowed
Text entry box	Date	All Methods	Not Allowed
Text entry box	Data and time	All Methods`	Not Allowed
Multiple choice/Single selection	Single line text	All methods	Allowed
Multiple choice/Multiple selection	Single line text	All methods	Allowed

Note the following about the table:

- For both multiple choice requirement types, the initial value type is single line text and can't be changed. For those requirement types, you can define acceptable values for any scoring method. You define the acceptable values as a list of entries from which the supplier will select.
- Also for multiple choice requirements types, you can use the Attachments from Suppliers field to allow the supplier to include an attachment for each different acceptable value.

Specifying Target Values

You can optionally identify one of your acceptable values as the target value for that requirement, and you can choose to display the target to your suppliers. To designate a target value:

1. Highlight the value in the **Acceptable Values** table.
2. From the Actions menu, select **Set as Target**.

Requirement Scores

Requirements are high-level questions that solicit information from suppliers who respond to a negotiations. This can include such information as history, corporate structure, and applicable certifications, among other things.

You and other scorers can evaluate and rate supplier responses to a requirement by assigning a numeric score to each of the different supplier responses to the requirement. Additionally, the negotiation author can set a weight for the requirement to reflect that requirement's relative importance among the other requirements for the negotiation.

The negotiation author defines the requirement, the requirement weight, and the maximum possible score value. (The maximum score value defaults onto the negotiation if one has been assigned in the application using the Configure Procurement Business Function setup task for the BU, although you can override the defaults when you define a negotiation). Then after the negotiation is closed, and the scoring phrase is opened, the members of the scoring team can enter their scores. The application uses these values to derive the final score for a supplier response to a requirement. The category manager can then use the requirement scores and response prices to compare supplier responses and make award decisions.

Supplier responses to these requirements can be evaluated and rated by giving the responses scores. Scores can be weighted to indicate the relative importance among other requirements and can also be aggregated to obtain a total response score.

Types of Requirement Scores

Requirements are used to solicit information from suppliers. How this information is used is up to the buyer who defines the requirement. Requirements can have a score method of None, in which case the response from the supplier is for information only and is not used to determine awards. Requirements can be scored automatically, in which case scoring criteria defined by the buyer is used by the application to obtain a score for the supplier response. Finally, scores can be manually viewed by an evaluator who determines a score value and entered it into the document. Score values entered either automatically or manually can be used to help determine award decisions.

Scoring Teams

The author of the negotiation can choose to allow multiple evaluators to score supplier responses by creating a scoring team and assigning members to it. The negotiation author then assigns the scoring team to one or more requirement sections. Then after the negotiation is closed, and the scoring phase is opened, this allows each of the scoring team members to score supplier responses to requirements their requirement sections.

How Score Values are Calculated

When the buyer defines the requirements, a maximum score value is set for all requirements which will be scored. Requirements with a scoring method of None are not scored and therefore have no maximum score value. At award time, the score value (either entered manually or generated automatically) is divided by the value for Maximum Score and the result multiplied by the weight of the Requirement. The weighted scores are rolled up to the response level, that is, a weighted score is calculated for each requirement, each requirement section, and the response as a whole.

Related Topics

- [Negotiation Requirement Responses Scoring](#)
- [Use Scoring Requirements](#)

Rank Suppliers Based on Composite Score of Pricing and Requirements

Many companies evaluate and shortlist suppliers not just based on the best pricing offered, but also on how well they meet requirements. You can use a composite score of requirements and pricing to rank suppliers.

- Category managers can select the overall ranking method as Composite scoring.
- In requirements, a Pricing section is automatically added to score the supplier's response amount.
- Category managers can assign weights to requirement sections including pricing.
- A relative score is calculated for the pricing section based on supplier's response amount. Evaluators score other requirements.
- Composite score is calculated by adding the weighted requirement score and weighted relative score.
- Overall composite rank is derived based on the composite score of response amount and requirements.
- Category managers can see both overall ranks - based on composite score and response amount.

Currently, the overall response rank is based on the lowest response amount and is used to identify the best supplier offer. For some companies, the rank needs to take requirement scores into consideration in addition to the lowest response amount. Requirement scores represent qualitative aspects such as technical capabilities, other commercial considerations, or risk.

Composite Score is derived as follows:

- Relative Score for Pricing = Maximum Score * (Lowest Response Amount/Response Amount)
- Weighted Relative Score = Relative Score * (Pricing Section Weight/Max Score)
- Composite Score = Weighted Relative Score + Weighted Requirement Score

Higher the composite score, higher the overall rank. For example, consider that as a category manager, you do these steps to use composite scoring to select a supplier.

1. Opt in to Rank Suppliers Based on Composite Score of Pricing and Requirements.
2. Check to see that Apply Internal Cost Factors in Supplier Negotiations isn't opted in to.
3. In the negotiation style that you applied to the negotiation, select the **Overall rank** option and the **Requirements** option.
4. Create an RFQ to procure computer accessories, include the details, select the suppliers Compucon Systems and Softgear, and publish the RFQ.

The suppliers responded to the RFQ. The responses include answers to requirements and prices offered for line items. Weights assigned to each section are Pricing 40%, Overview 40%, and Commercial 20%.

For these responses, requirement scores, relative scores, and a composite score are derived as follows. Compucon Systems has quoted the lowest response amount, therefore it's ranked 1 while Softgear is ranked 2.

Here's how the relative score is calculated for pricing section.

Supplier	Response Amount	Overall Rank (Amount)	Relative Score	Weight (%)	Weighted Relative Score (Pricing)
Compucon Systems	\$400.00	1	$10 * (400/400) = 10$	40	$10 * 40/10 = 40$

Supplier	Response Amount	Overall Rank (Amount)	Relative Score	Weight (%)	Weighted Relative Score (Pricing)
Softgear	\$500.00	2	$10 \times (400/500) = 8$	40	$8 \times 40/10 = 32$

Here's how requirement scores are calculated for Compucon Systems:

Requirement Sections	Weight (%)	Requirement Score	Weighted Requirement Score
Overview	40	4	16
Commercial	20	2	4
Total			20

Here's how requirement scores are calculated for Softgear:

Requirement Sections	Weight (%)	Requirement Score	Weighted Requirement Score
Overview	40	4.5	18
Commercial	20	6	12
Total			30

But during requirements evaluation, Softgear scored more than Compucon Systems, which also increased its Composite Score, therefore, Softgear is ranked 1, while Compucon Systems is ranked 2.

Supplier	Weighted Requirement Score	Weighted Relative Score (Pricing)	Composite Score	Overall Rank (Composite)
Softgear	30	32	$30 + 32 = 62$	1
Compucon Systems	20	40	$20 + 40 = 60$	2

You as a category manager can change the section weights during award analysis and view the change in composite score and overall rank (composite) in real-time. You can also override the composite scores as per business needs, and can knockout suppliers if responses don't meet or surpass the bare minimum to be shortlisted for awarding.

How the Question Library Is Used

The Question Library is a collection of existing questions. You can use the entries in the question library when you are defining qualification areas in Oracle Supplier Qualification Management.

You can also use the existing questions as the basis for requirements in Oracle Sourcing negotiations.

Question Library

You can create questions in the question library which can be reused in sourcing negotiations. The questions are version controlled and support similar attributes as requirements. When category managers build the requirements during negotiation creation, they have the ability to search and add questions directly to negotiations. When they add the predefined questions, all the relevant attributes of the questions are copied over to requirements as read only. You can use questions from the Question Library without implementing Oracle Supplier Qualification Management. To implement the Question Library, in the **Setup and Maintenance** work area, use the **Manage Supplier Questions** task in the **Procurement** offering and **Sourcing** functional Area.

In addition to questions, if Oracle Supplier Qualification Management is implemented, you can add qualification areas during negotiation creation. Qualification areas are collections of related questions that are used to qualify a specific aspect of suppliers. When you add predefined qualification areas, the qualification area names are copied as requirement section names. Also all the questions within the qualification areas are copied as requirements within the requirement sections. If necessary, you can change the scoring information.

You can include questions that are mapped to a fixed set of supplier profile attributes. You can add these questions as negotiation requirements. Suppliers' responses to these requirements will now update the profile values when the response repository is updated.

How to Use the Response Repository

The Response Repository contains previous supplier responses to questions that were used in an Oracle Supplier Qualification initiative as well as questions that were used as requirements in Oracle Sourcing negotiations.

Response Repository

The Response Repository stores responses from suppliers who have responded to requirements. The repository contains the supplier responses to initiative questions, supplier responses to sourcing negotiation requirements that were created using questions from the question library, and supplier responses that have been accepted by the qualification manager or approved during the supplier registration process.

If you use a question from the question library as a requirement in a negotiation, then when the responding supplier responds to the requirements, any response values from any previous responses are displayed. Also, if the question is mapped to an attribute in the supplier's profile, the current value for that attribute is displayed. The supplier can then either accept the values as still valid or can update them. Any updated response values are added to the response repository, and used to update the supplier profile attribute.

After the negotiation is closed, from the Actions menu, you can use the Update Supplier Repository option to manually transfer all the requirement responses to the repository. Alternatively, if you decide not to do this manually, the application will automatically transfer all the requirement responses to the repository when you complete the award (for auctions/RFPs) or complete the RFI.

How You Add Requirements by Spreadsheet

Spreadsheets facilitate easy and efficient offline development of negotiation requirements. Spreadsheet import is very useful when dealing with negotiations that have many requirements or requirements having complex criteria.

You can view and complete the spreadsheet online, or you can download the spreadsheet and complete it offline. This facilitates easy entry and review by multiple participants as well as the ability to complete the spreadsheet over a period of time.

For fields which have specific possible values (for example, Yes or No), you can click in the field, and a down arrow appears at the end of the fields. You can click the arrow to display the values for the field. From the dialog window, you can select the appropriate value.

The requirements spreadsheet is not tied to a particular negotiation. You can download and save a spreadsheet containing your values, and then upload it later to a different negotiation.

The following table describes each spreadsheet field and indicates which fields are required and which are optional.

How You Add Requirements Spreadsheet

You can open the spreadsheet online by selecting the Open with option on the Opening Add Requirements dialog window. The spreadsheet opens, and you can enter your values. Once you're finished defining your requirement information, you can save it locally.

The Add Requirements spreadsheet uses Excel 2007 and later. Excel macros generate fields needed to define all your requirements, so you must enable macros to take advantage of all the spreadsheet capabilities. Consult the help for your version of Excel to enable macros.

Once you enable macros and open the spreadsheet file, you will see a new tab called Oracle Sourcing. By using the operations available from this tab, you can easily create new requirements and requirement sections. Specifically, you can:

- Add a section.

You can define a new section name, select and add an existing section name, or use an existing qualification area defined in Oracle Supplier Qualification to create a section including its requirements. When you use a qualification area, its questions are added as requirements.

- Add a requirement.

You can define a completely new requirement, or use existing questions in Oracle Supplier Qualification to create your requirement.

- Add acceptable values.

You can define acceptable values for multiple choice requirements or number/date/date and time requirements that are automatically scored.

- Use the groups displayed in the margin to collapse or expand sections of the spreadsheet to more easily navigate among your requirement sections and requirements.

How You Manipulate the Spreadsheet

Once you open the spreadsheet, you see an additional tab called Oracle Sourcing. If you click that tab, you see three sections.

- Add section

You can use the options available from the Add section to add new requirement sections, requirements, or acceptable values for a requirement.

- Edit section

You can use the options available from the Edit section to perform standard editing tasks.

- Import section

You use the Generate Upload File option to create a .zip file using the information in your spreadsheet.

To add a new requirement section, highlight the row for an existing section. This enables the options in the Add section. Click the **Add Section** option. A new set of entry fields are generated in the spreadsheet, and you can use them to define your new section.

To add a new requirement, highlight any row within the section that will contain the new requirement. Click the **Add Requirement** option. A new set of entry fields is generated where you can define your new requirement.

To add new acceptable values for a requirement, highlight any of the rows for the requirement. Click the **Add Acceptable Value** option. A new row is added to the acceptable values area for the requirement. Note that depending on which requirement type and scoring method you select, the spreadsheet will automatically generate a set of five rows where you can enter acceptable values.

Once you complete your spreadsheet, save it locally. When you're ready to upload your new requirement information, click the **Generate Upload File** option. This creates a .zip file in the same folder where you saved your spreadsheet after you completed it. To upload the requirements to your negotiation, navigate to the Edit Negotiations: Requirements page. From the Actions menu, select the **Add by Spreadsheet > Import Requirements** option. Browse to the location where you saved your spreadsheet and where the generated .zip file is stored. Select the .zip file and click **OK**.

Note that on the Import Requirements window, you have the option to either append your new requirements to any existing requirements, or to overwrite any existing requirements with your new requirements.

Requirement Section Columns

The following table shows the columns used in the requirement section of the Add Requirements spreadsheet.

Column Name	Explanation	Comments/Values
Number	This column appears if you're exporting existing requirements using this spreadsheet. The number value identifies the requirement section.	NA
Section (Required)	The name of the section containing the following requirements. The Section column has a length limit of 240 characters.	If you clicked Add Section , this is a free form text field. If you clicked Add Predefined Section , this field displays a list of predefined sections to choose from.

Column Name	Explanation	Comments/Values
		If you click Add Predefined Qualification Area , the Qualification Area column is displayed instead of the Section column.
Evaluation Stage (Required)	The stage (Technical or Commercial) in a two-stage RFQ during which this requirement is evaluated.	Two stage RFQs group requirements into either technical or commercial requirement sections. All the technical requirements are evaluated and scored before any of the commercial requirements can be unlocked and accessed.
Weight	The weight value reflects the importance of this requirement section to other requirement sections.	The sum of the weights of all the scored requirements across all sections must add up to 100. (Note that you can upload this spreadsheet without the weights equaling 100, assuming you add additional weighted requirements online. But the weights must equal 100 before you can validate or publish the negotiation.) If weights aren't enabled for the negotiation, the Weight column is not displayed in the spreadsheet. Instead, the Maximum Score column is displayed and the total maximum score of all the requirements within the section is shown.

Requirement Columns

The following table shows the columns used to define columns in the Add Requirement spreadsheet.

Column Name	Explanation	Comments/Values
Number	This column appears if you're exporting existing requirements using this spreadsheet. The number value identifies the requirement.	NA
Requirement (Required) Question	Name of the requirement.	Requirements have a limit of 80 characters If you click Add Predefined Question, this column is named Question. If you're exporting existing requirements that are based on questions that have revisions, the revision number is displayed in parenthesis. For example: Applicable certifications (Revision 2).
Requirement Text (Required)	Text of the requirement.	NA
Level (Required)	The level at which this requirement applies.	Supplier/Supplier site

Column Name	Explanation	Comments/Values
Response (Required)	Requirement behavior.	Possible values are: - Required (a supplier response is required) - Optional (a supplier response is not required) - Display only (informational) - Internal (available for internal viewing and scoring)
Requirement Type (Required)	Controls what type of response the supplier can enter.	Possible values are: - Text entry box. - Multiple choice with a single selection. - Multiple choice with multiple selections. If you use either of the multiple choice-based options, you must also define acceptable values for the requirement. (See the following).
Value Type (Required)	Data type allowable for the requirement's response.	The value types available depend on the requirement type. - For multiple choice requirement types, the value is single line text. This value cannot be changed. - For a text entry box requirement, the values can be - Single line text - Multiple line text - Number - Date - Date and time - For Number, Date, and Date and time types for which the scoring method is automatic (see the following), you must also define acceptable values. - From Acceptable Value - To Acceptable Value - Score - URL
Attachments from Suppliers (Required)	Whether a supplier can add attachments to this requirement in a response,	Possible values are: - Not allowed - Required - Optional

Column Name	Explanation	Comments/Values
Allow Comments from Suppliers (Optional)	Whether to allow suppliers to add comments to their response.	Yes/No
Attachments Exist (only if exporting existing requirements)	Yes/No	If you have exported existing requirements, the Attachments Exist column displays and indicates if there are attachments for the requirement.
Hint (Optional)	Additional guidance about the expected response.	The Hint column has a character limit of 1000.
Target	The target response.	Maximum of 4000 characters long (for non-multibyte languages). Lengths for multibyte languages are smaller.
Display Target (Optional)	Indicates whether the target value is shown to suppliers.	Yes/No
Scoring (Required)	How the requirement response will be scored.	Possible values are: - None - Manual For manual scoring, you must also specify a maximum score (if there is no default) and a weight (if weights are enabled). - Automatic For automatic scoring, you must also specify: - Acceptable response values. - Scores for the response values. - The weight for the requirement (if weights are enabled for the negotiation).
Weight (if weights are enabled) (Optional)	Indicates the importance of this requirement relative to the other requirements defined. The value must be a number between 0 and 100.	The total of all scored requirements across all scored sections must be equal to 100.
Maximum Score (Required)	Numeric value indicating the maximum possible score for this requirement.	Must be a positive whole number. If the maximum score is not specified in the spreadsheet, the application will use the default maximum specified for the negotiation (if any) and default that value for the requirement during import.

Column Name	Explanation	Comments/Values
Knockout Score (Optional)	Minimum score a supplier must attain to be shortlisted for award.	Once the negotiation closes and the requirements are scored (either automatically or manually), applying the knockout scores automatically removes from the shortlist all suppliers having a score that doesn't meet or surpass the knockout score for this requirement. Knockout score must be a positive whole number.

Acceptable Value Columns

The following table shows the columns used in the acceptable value section of the Add Requirement spreadsheet.

Column Name	Explanation	Comments/Values
Number	This column appears if you're exporting existing requirements using this spreadsheet. The number value identifies acceptable value.	NA
Acceptable Value (Required)	An acceptable value for the supplier to select. The value has a character limit of 1000.	You can define multiple acceptable values for the same requirement.
Acceptable Value From/Acceptable Value To	A numeric range that encompasses the allowable values.	Acceptable value ranges are used with number, date, date and time value types.
Target (Optional)	Indicated that this value is the target value.	Yes/No
Attachments from Suppliers (Required)	Indicates whether suppliers can add attachments to the value.	Possible values are: • Not allowed • Required • Optional
Score (Required)	The score for this acceptable value.	NA

How You Use a Two-Stage RFQ

Government organizations and departments as well as other public sector enterprises such as banks often follow a two-stage RFQ process. This process involves the submission of quotes in two separate sealed envelopes.

One contains what is called the technical quote, and the other contains what is called the commercial quote. The technical quote includes all responses by a supplier to questions and parameters pertaining to the technical aspects that are used by the sourcing organization to evaluate the technical feasibility of the quotes and the capacity of the suppliers. The commercial quote addresses the issues of price and other factors associated with the execution of the sourced items.

This two stage process is prevalent among some public sector and many government organizations where it's sometimes mandated by law that the buying organization offer the tender or sourcing contract to the lowest price bid from the qualified bidders. The buying organization initially assesses the suppliers to be technically qualified before their price quotes are unsealed and evaluated. This ensures no bias in awarding the contract.

The two-stage RFQ process involves the submission by the suppliers of a technical quote and a commercial quote. The technical quotes are opened and evaluated first to determine a list of qualified suppliers, and only then are the commercial quotes of the qualified suppliers opened and evaluated.

The procedure for conducting and awarding a two-stage RFQ in Oracle Sourcing includes:

1. Create the RFQ document and enable two stage evaluation. Document the technical specifications in one or more requirement sections and identify them as technical requirement sections. Similarly, document the nontechnical specifications in one or more sections and identify them as commercial requirement sections.
2. Publish the RFQ.
3. Suppliers submit quotes, including responses to the Technical and Commercial requirement sections.
4. Close the RFQ to responding.
5. Unlock the technical responses. The buyer and evaluators can now see technical responses.
6. Optionally unseal the technical responses. Suppliers can now see technical response of other suppliers.
7. Technical evaluators review the technical quotes and shortlist the qualified suppliers.
8. Unlock the commercial responses of the qualified suppliers. The buyer and evaluators can now see both the technical and commercial responses.
9. Optionally unseal commercial responses. Suppliers can now see commercial responses of other suppliers.
10. Commercial evaluators review the commercial quotes and can shortlist the qualified suppliers.
11. Make award decisions.

If a buyer or supplier prints a copy of the negotiation, the print indicates that it's a two-part RFQ, and labels Requirements sections appropriately.

The following quote information is visible to the technical reviewers only during the technical stage evaluation. After the commercial responses are unlocked, the entire quote is visible by all evaluators (subject to regular RFQ security).

The table below shows what information a technical evaluator can view.

Quote Information	Technical Evaluators Can See
Technical Requirements responses	Yes
Commercial Requirements responses	No
Price	No
Quantity	Yes
Promise date	Yes

Quote Information	Technical Evaluators Can See
Need-by Date	Yes
Line attributes (including Quantity and Promised Date for Multi-Attribute Scored negotiations)	Yes
Cost factors, price tiers and price breaks	No
"From Supplier: Technical" attachments	Yes
"From Supplier: Commercial" attachments	No
Contract terms, deliverables, and clause variables	Yes
General header attributes (Note to Buyer, Reference Number, Response Currency, Response Valid until)	Yes

If a buyer or supplier prints a copy of the negotiation, the print indicates that it's a two-part RFQ, and labels Requirements sections appropriately.

Create Requirements for a Two-stage RFQ

To conduct a two-stage RFQ you must first create the RFQ document. This document contains two or more special requirement sections. For each section, you indicate if it's a technical requirement section or a commercial requirement section.

Technical requirement sections contain all the technical specifications necessary for the suppliers to successfully complete the RFQ. Commercial requirements section contain all financial information the buying organization needs from the supplier.

Creating Two-Stage RFQs is similar to creating regular RFQs. The main difference is that for each requirement section, you indicate if it's a technical section or a commercial section.

Create Requirements for a Two-Stage RFQ

When creating your requirements, you can use predefined section names or create new section names. In either case however, you must identify each section as either technical or commercial.

Begin by defining your technical requirements:

1. Create the RFQ. On the Create Negotiation dialog box, be sure to select a negotiation style that supports two-stage RFQ and when the dialog box refreshes, check the Two stage evaluation check box.
2. Enter the General, Terms, and Collaboration Team values as appropriate for your RFQ. Click **Requirements**.

3. On the Edit Negotiation: Requirements page, you can use a predefined section by clicking **Add Predefined Section** or create a new section by clicking the **Add Section** button or selecting the **Add Section** option from the **Actions** menu for the Requirements section.
4. When the page refreshes, select a value from the Requirements List of Values if you chose to use a predefined section, or enter the name for the new section if you chose to create a new section.
5. For the section, select either **Technical** or **Commercial** from the Evaluation Stage menu.
6. Create all the necessary requirements to completely describe your technical specifications. Be sure to identify whether each section is a technical or commercial section. If you want to have other evaluators view and score the responses to the requirement, be sure to define the Score value as Manual. Also accept the default maximum score or enter a new value.
7. After you have created your technical and commercial requirements, continue creating the remainder of the negotiation document.

Create Two-Stage RFQs

This worked example provides information on creating two-stage RFQs.



The two-stage RFQ process involves the submission by the suppliers of a technical quote and a commercial quote. The technical quotes are opened and evaluated first to determine a list of qualified suppliers, and only then are the commercial quotes of the qualified suppliers opened and evaluated.

Two-Stage RFQs

1. In the **Navigator**, go to the **Negotiations** work area.
2. From Tasks, select **Create Negotiation**.
3. In Create Negotiation, select **Two Stage Negotiation** style sheet and select the two-stage evaluation option.
4. Click **Create**.
5. In the **Edit Negotiation: Overview** train stop, enter the RFQ title, and then enter the negotiation close date.

Provide the RFQ title as Green Corporation Administration Services, and the close date as an year from today. The Close Date date picker is in the Schedule region. You must create a technical requirement and a commercial requirement.

6. In the **Requirements** train stop, click **Add Section**.
7. In **Requirement**, enter value Skills and Certification and in **Evaluation Stage** select Technical, and then click **Add Requirement**.
8. In **Add Requirement**, do the following: In Requirement enter Duration, in Requirement Text, enter the requirement, How long have you been providing this service? Select requirement type as Text entry box, select scoring as Manual, and weight as 20, and then click **Save and Close**.
9. In the **Requirements** train stop, click **Add Section**.
Add the commercial section.
10. In **Requirement**, enter value Business and Financial Strength and in **Evaluation Stage** select Commercial, and then click **Add Requirement**.
11. In **Add Requirement**, do the following: In Requirement enter Profit, in Requirement Text enter requirement, What was your company's profit for the last fiscal year? Select requirement type as Text entry box, select scoring as Manual, and weight as 20, and then click **Save and Close**.

Conduct RFQ as Next Round After Two-Stage Evaluation

You as a category manager you can conduct an RFQ or auction as the next round after the two-stage evaluation to drive competitive pricing with short listed suppliers.

Once you unlock the commercial evaluation stage in a two-stage RFQ, you can choose to create an RFQ as the next round.

To create a new round as a single stage RFQ.

1. In the **Actions** menu, select **Manage > Create** New Round.
2. In the **Create New Round** dialog box, with the **Negotiation Type** as **RFQ**, clear the **Two stage evaluation** check box.

The **Two stage evaluation** check box becomes editable only after unlocking the commercial stage and not during the technical stage as the requirements in the commercial section can't be unlocked until the technical evaluation stage is completed.

All the negotiation information (including negotiation attachments) gets copied over to the new round.

3. Publish the single stage RFQ.

For an RFQ, all the response attachments get copied over from the previous round to the new round.

Conduct Auction as Next Round After Two-Stage Evaluation

Once you unlock the commercial evaluation stage in a two-stage RFQ, you can choose to create an auction as the next round.

To create a new round as an auction.

1. In the **Actions** menu, select **Manage > Create** New Round.
2. In the **Create New Round** dialog box, with the **Negotiation Type** as **Auction**, provide the required details and publish the auction.

For an auction, only the requirement response attachments gets copied over from the previous round to the new round.

How You Create Large Negotiations

As a category manager, you can create large negotiation lines in Oracle Sourcing.

Customers across industries, such as construction, distribution, retail, manufacturing, and the public sector who use Sourcing might have the need to process very large negotiations. These negotiations can have very high line volumes. You can conduct these large line volume negotiations using the file-based data import and background processing.

Do these tasks to work with large negotiations.

1. Create a draft negotiation with a negotiation style that allows large negotiations. Include all the necessary information in the draft negotiation.

2. Use the FBDI process to import the negotiation lines into the large negotiation. For more information, see the *Oracle Fusion Cloud Procurement: File-Based Data Import (FBDI) for Procurement* guide.
3. Include the suppliers whom you want to participate in the negotiation.
4. Assess the supplier responses and award the negotiation.

More on Large Negotiations

When you're working with large negotiations, you can do these tasks:

- Import a large number of negotiation lines with or without backing requisitions using the file-based data import process (FBDI).
- Search lines in the UI.
- Generate scalable, light-weight negotiation, and response documents.
- Notify all the contacts for an invited supplier.
- Send negotiation documents as notification attachments to approvers and suppliers.
- Monitor the status of scheduled background processes through the negotiation lifecycle. Events such as publish negotiation, create amendment, import award lines spreadsheet trigger background processes. Notifications alert you after a background process is complete.
- Suppliers can import responses using a background process.
- Award large line volumes, and export using a background process.
- Automate large negotiation creation using web services.
- Suppliers can enter a zero price when responding to large negotiations. This allows suppliers to offer items for free or offer services for products that are still under warranty.

About Creating a Large Negotiation

Large negotiations can be created using a negotiation template that copies all the template information except lines to the large negotiation.

A new MS Excel template (.XLSM) is available to import lines in the FBDI process. You must use this template to add, update, or delete negotiation lines and line entities such as external cost factors, quantity-based price tiers, or price breaks. Web services are available to automate this FBDI process.

The import lines template has separate worksheets to add lines, external cost factors, and quantity-based price tiers or price breaks based on negotiation outcome. To add line attributes, you need to specify an attribute list at line level.

You can import lines with backing requisitions by updating the requisitioning BU, requisition, and requisition line columns in the LinesOrderOutcome or LinesAgreementOutcome sheets.

After all the lines are imported successfully, you're notified, and you will be able to review them in the application.

After adding suppliers, to control their line access, you can use an Excel spreadsheet with Visual Builder Add-in or use the Supplier Negotiations REST web services.

Two new negotiation header approval attributes are introduced, which you can use to create negotiation approval rules specific too large negotiations – Large negotiation and Count of lines.

Actions such as validate negotiation and publish negotiation, will trigger a background process. You can monitor their status in the Monitor Processes page and you're notified once the job is completed.

Supplier bidders can provide new supplier items when creating responses to both inventory and description-based line items.

Consider These When You're Working with Large Negotiations

- When you add huge number of lines to a large negotiation, you can split them into multiple batches using the Batch ID attribute and import them one batch at a time.
- The number of large negotiation lines that can be processed efficiently will vary based on several factors, such as the number of line details (cost factors, price tiers, line attributes, lot lines, or group lines), or number of supplier responses when exporting award. We recommend that you benchmark for your common high line volume cases to establish thresholds and guidance when you work with large negotiations.
 - For example, you may be able to use large negotiations to process more than 50,000 lines easily if the lines have about 5 cost factors, 5 price tiers, and 5 attributes. Or, you may want to use large negotiations even for lower line ranges of 200 to 400 lines, if each line has tens of cost factors, attributes or price tiers.

How You Create Purchasing Documents from a Large Negotiation

You can create purchasing documents for large negotiations in Oracle Purchasing using background processes. You need to run two processes to create purchasing documents in Purchasing – Create Purchasing Documents and Submit Purchasing Documents.

After award is completed, click the **Create Purchasing Documents** action to trigger a background process. If the negotiation has backing requisitions, then the award quantity is automatically allocated to satisfy the requisition demand. You will be notified after this process completes. Next, click the **Review and Submit Purchasing Documents** action to navigate to the page where you can review the purchasing documents.

You now have the ability to search the lines in each purchasing document using multiple filtering criteria. You also have the option to retrigger purchasing document creation by clicking the **Reset Purchasing Documents** button. After review, you can click **Submit**. If the negotiation has backing requisitions, then you can review the requisition line quantity allocations in the view line allocations UI, before creating purchasing documents in Purchasing. This action triggers the Submit Purchasing Documents background process, which creates the purchasing documents in Purchasing.

After the process is successfully completed, you will be notified. Now you can view the purchasing documents created from the negotiation and can even drill down to the purchasing documents to view their details.

You can use the profile option, Maximum Lines in a Large Negotiation Outcome Document, `ORA_PON_CREATE_PO_MAX_LINES_LIMIT` to set the upper limit for lines in a purchasing document created from the large negotiation award. If this limit is reached, another purchasing document is created for additional lines. The profile option value must not exceed 10,000.

How Cost Factors Are Calculated

Cost factors allow a buyer to identify and control for additional costs associated with a negotiation line. You can add cost factors to lines in a negotiation document, to line defaults in a negotiation template, or to cost factor lists.

How Cost Factors Are Calculated

Cost factors can be defined as either a per-unit cost, a percentage of the line price, a percentage of response amount, or a fixed amount for both response amount and line. The pricing basis of percentage of response amount is available for internal cost factors only. A single line can have one or more cost factors (of any type) defined for it. All cost factors are added to the line price (the price being offered by the supplier per unit) to obtain the response price. The response price is the actual price per unit when all applicable cost factors are applied.

Response price is calculated as follows: line price + ((line price * any percentage of line cost factor) + any per-unit cost factor + (any fixed amount cost factor / response quantity))

Example calculation: This example shows how a supplier's response is adjusted to take into account all the cost factors defined by the buyer. The numbers represent the values entered by the supplier for the line price and all the cost factors.

- Line price = 30
- Percentage of line cost factor = 35
- Per-unit cost factor = 5
- Fixed amount cost factor = 15
- Response quantity = 100

Calculation: $30 + ((30 * 0.35) + 5 + (15/100)) = \45.65 (response price)

Cost Factors and Cost Factor Lists

Cost factors allow you to identify and negotiate on additional costs related to a line.

There are two types of cost factors:

- External
- Internal

External Cost Factors

External cost factors are influences from outside the organization that have additional monetary implications and add to the final cost for the buying organization. You can use external cost factors to obtain a more realistic idea of the total cost of an item or service by factoring in any additional costs beyond just price. Such costs could include additional costs such as consulting or training. Cost factors can be added to a negotiation line, to lines in negotiation templates, or to collections of cost factors (called cost factor lists). A negotiation line can have more than one cost factor (of any type) defined to it. You can create these types of cost factors.

Fixed Amount Cost Factors

A fixed amount cost factor is a set value for the line, regardless of the quantity of units being asked for by the line.

Per Unit Cost Factors

These cost factors are specified as a set value that's multiplied by the quantity of units being asked for by the line.

Percentage of Line Price Cost Factors

Percentage of line price cost factors are specified as a percentage. The percentage of line price is calculated by multiplying the unit price by the percentage of line price cost factor value.

Internal Cost Factors

Supplier may be qualified for the business but may still have some hidden costs or operational drawbacks. These operational drawbacks may be deficiencies such as past performance issues, logistics cost due to supplier location, additional project management needs, and so on, which can be quantified and added to the supplier's responses as

internal costs. As buyers, you can see the transformed amount calculated by adding these costs, and have the option to show it to suppliers. Responses with the lower transformed amount is ranked higher. Visibility into the transformed amount drives competitive bidding so that the supplier with top overall rank is the real winner in terms of the total cost.

Internal cost factors are determined by the buying organization and applied to the supplier's response amount or line price.

You can apply internal cost factors of these types to supplier response amount. You can then see the transformed response amount and the overall rank at the response header level.

- Percentage of response amount
- Fixed amount

You can apply internal cost factors of these types to negotiation lines, lots, lot lines, and group lines. You can then see the transformed line price and transformed line rank at the line level, and overall rank at the response level thereby aiding the award negotiation process.

- Fixed amount
- Percentage of line price
- Per unit

For more details, see [Apply Internal Cost Factors](#).

Along with applying internal cost to the negotiation lines for suppliers you can set the default internal cost factors for negotiation lines, where in instead of adding internal cost factors line by line, you can set the default internal cost factors for negotiation lines, which are automatically added when negotiation lines are added. For more information, see [Define and Use Default Internal Cost Factors in Negotiations](#).

You can create these types of cost factors.

Fixed Amount Cost Factors

A fixed amount cost factor is a set value added to the response amount or line amount. For lines or lots, it's added to line regardless of the quantity of units being asked for by the line.

Per Unit Cost Factors

These cost factors are specified as a set value that's multiplied by the quantity of units being asked for by the line.

Percentage of Line Price Cost Factors

Percentage of line price cost factors are specified as a percentage. The percentage of line price is calculated by multiplying the unit price by the percentage of line price cost factor value.

Percentage of Response Amount Cost Factor

Percentage of response amount cost factors are specified as a percentage. The percentage of response amount is calculated by multiplying the total response amount at the response level.

Overall Rank

The overall rank is based on the transformed amount. Lower the transformed amount, higher the overall rank. If a supplier doesn't have an internal cost factors assigned, then the response amount is considered for the calculation of the overall rank.

Here are things you can do or you need to know when you're working with internal cost factors.

- As a procurement administrator or category manager, you can create a new negotiation style or update an existing negotiation style to enable the internal cost factors at the response level, line level, or both in a single auction.
- If same set of internal cost factors are often applied to multiple negotiations, then you have the option to create a negotiation template and add internal cost factors to it, set their values, and then use this template to create negotiations.
- The value of the internal cost factors can be negative or positive. The negative internal cost factors will reduce the transformed amount.
- You can add the internal cost factors and set their values at the time of negotiation creation. Additionally, you can adjust the value of internal cost factors applied to the response amount after viewing supplier responses. You can only update line level internal cost factors in negotiations that are in draft status.
- If you don't want to show transformed amounts and ranks to suppliers, and want to use it for your internal analysis only, you must deselect the response rules Display transformed amount to suppliers, Display transformed line rank to suppliers, and Display overall rank to suppliers.
- When the transformed amount for more than one response is same, the earlier response gets the higher overall rank.
- Overall rank isn't calculated for partial responses. To ensure overall rank is calculated for all supplier responses, you must set response rules to not allow suppliers to respond with partial lines or quantities. Also, if a supplier's access is restricted to one or more negotiation lines, then overall rank isn't calculated for responses from that supplier.

Cost Factor Lists

After you create external or internal cost factors, you can create lists of cost factors. Buyers can then apply external cost factor lists to negotiation lines to quickly identify the commonly occurring secondary costs that also must be negotiated. Buyers can create their own personal cost factor lists using external cost factors that have been defined in the application. Buyers can apply internal cost factor lists to transformed amounts at the response header level, negotiation lines, lots, lot lines, and group lines.

Related Topics

- [How Cost Factors Are Calculated](#)
- [How You Calculate Cost Factors in Awards](#)
- [Apply Internal Cost Factors](#)
- [Create Cost Factor Lists](#)
- [Create Cost Factors](#)

Create Cost Factor Lists

You can create a cost factor list to include internal costs or external costs, but a list can't contain both.

An external or an internal cost factor list are a set of cost factors that are commonly used together. Once cost factors are placed on a list, you can apply the list to a negotiation line, and all the cost factors on the list are carried over to the line. After you have applied to the line, you can delete cost factors that aren't required or add additional cost factors as

appropriate. Applying cost factor lists enables you to quickly associate a large number of cost factors with a negotiation line.

For example, Vision Corporation is expanding into a new branch of items and services. Negotiations dealing with this new area need to negotiate new transportation-related costs with suppliers. External cost factors, Shipping, Hazardous materials charge, and Import tax are already defined and a new external cost factor list has to be created.

Define an External Cost Factor List

1. From the Task panel on the Negotiations work area, click the **Manage Cost Factor Lists** link.
2. On the Manage Cost Factor Lists page, click the icon to add a new list.
3. On the Cost Factor List page, enter the **Shipping List** as the cost factor list name and **Common shipping charges** as a description. Select type as **External**.
4. Click the plus sign icon, or select **Add** from the Actions menu.
5. When the new line appears, click in the **Cost Factor** field for the line. From the drop-down menu, search for and select the cost factor appropriate for the new list. The pricing-basis and description for the cost factor is set and can't be changed. Add the cost factor named **Shipping** to the list and then use the plus icon to add **Hazardous materials charge** and **Import tax** to the list.

The external cost factors with pricing basis of Per unit, Percentage of line price, and Fixed amount can be created.

6. When finished adding cost factors, save the list.

Define an Internal Cost Factor List

For example, Vision Corporation also wants to apply internal cost factors for the set of suppliers who are responding to a negotiation. The internal cost factors, Logistics, Project management, and Established Supplier are created, and a new internal cost factor list has to be created.

1. From the Task panel on the Negotiations home page, click the **Manage Cost Factor Lists** link.
2. On the Manage Cost Factor Lists page, click the icon to add a new list.
3. On the Cost Factor List page, enter **MyOrgIC** as the cost factor list name and **internal cost factors** as a description. Select type as **Internal**.
4. Click the plus sign icon, or select **Add** from the **Actions** menu
5. When the new line appears, click the **Cost Factor** field for the line. From the drop-down menu, search for and select the cost factor appropriate for the new list. The pricing basis and description for the cost factor is set and can't be changed. Add the cost factor named Logistics to the list and then use the plus icon to add Project Management and Established Supplier to the list.

The internal cost factors with pricing basis of Per unit, Percentage of line price, Percentage of response amount, and Fixed amount can be created.

6. When you have finished adding the cost factors, save the list.

Apply Internal Cost Factors

Here's how you can applying internal cost factors to an auction.

1. In the Setup and Maintenance work area, do these tasks:
 - a. Go to the **Manage Negotiation Styles** task, create a negotiation style and enable the internal cost factor for line price and response amount, and the overall rank.

This table contains various combinations of negotiation style configurations and response rules, and their outcomes.

When This Negotiation Style Configuration Is Selected	When These Response Rules Are Selected in The Create Negotiation Overview Page	Outcomes
- Internal Cost Factors - o Response Amount - o Line Price - Overall Rank	Response rules to display transformed amount and ranks to suppliers aren't selected.	Internal Cost is applied to both the response amount and line price. However, transformed prices and ranks aren't displayed to suppliers. Buyer see transformed prices and ranks at the line level, transformed amount and overall rank at the response level, and award accordingly.
- Internal Cost Factor - o Line Price - Overall Rank	Response rules to display transformed amount and ranks to suppliers aren't selected.	Internal cost is applied to line price only. However, transformed prices and ranks aren't displayed to suppliers. Buyer sees transformed prices and ranks at the line level, transformed amount and overall rank at the response level, and award accordingly.
- Internal Cost Factor - o Response Amount - Overall Rank	- Display transformed amount to suppliers - Display transformed overall rank to suppliers	Internal cost is applied to the response amount only. Suppliers compete with each other based on transformed response amount and overall rank. Buyers analyze and award based on the transformed response amount and overall rank of suppliers.
- Internal Cost Factor - o Line Price - Overall Rank	- Display transformed amount to suppliers - Display transformed line ranks to suppliers - Display transformed overall rank to suppliers	Internal cost is applied to the line price only. Suppliers see transformed price, transformed line rank, and transformed overall rank. Therefore, they compete with each other based on transformed price, transformed line rank, and transformed overall rank. Buyers analyze and award individual negotiation lines based on the transformed price and transformed line rank of suppliers. Buyers also consider the transformed overall rank of suppliers; If a supplier is trailing in a negotiation line but leading in majority of lines and therefore has a better overall rank, buyer may still choose to award to this supplier.

When This Negotiation Style Configuration Is Selected	When These Response Rules Are Selected in The Create Negotiation Overview Page	Outcomes
- Internal Cost Factors - o Line Price - Overall Rank	- Display transformed line ranks to suppliers - Display transformed overall rank to suppliers	Internal cost is applied to the line price only. Suppliers don't see transformed amounts but can see the transformed ranks. Therefore, they compete with each other based on transformed line and overall rank. Buyers analyze and award individual negotiation lines based on the transformed price and transformed line rank of suppliers. Buyers also consider the transformed overall rank of suppliers; If a supplier is trailing in a negotiation line but leading in majority of lines and therefore has a better overall rank, buyer may still choose to award to this supplier.
- Internal Cost Factors - o Response Amount - o Line Price - Overall Rank	- Display transformed amount to suppliers - Display transformed line ranks to suppliers - Display transformed overall rank to suppliers	Internal cost is applied to the line price only. Suppliers see transformed price, transformed line rank, and transformed overall rank. Therefore, they compete with each other based on transformed price, transformed line rank, and transformed overall rank. Buyers analyze and award individual negotiation lines based on the transformed price and transformed line rank of suppliers. Buyers also consider the transformed overall rank of suppliers; if a supplier is trailing in a negotiation line but leading in overall rank due to lower total internal cost at the response level, buyer may still choose to award to this supplier.

2. In the Negotiations work area, create an auction and set the response rules, transformed amount to suppliers, transformed line rank to suppliers, and transformed overall rank to suppliers.

See table in the preceding step for more details on response rules and the outcomes.

3. To add the internal cost factors, go to the Suppliers train stop and in the Edit Negotiation page, click **Actions > Apply Internal Cost Factors**.

In the Apply Internal Cost Factors page, depending on the selection in the negotiation style, response or lines tabs are visible.

4. Add cost factors to the response amount or line price from the Add Cost Factors page in the respective tabs.

If you're using a negotiation template in which the internal cost factors are already added, then you will automatically see the internal cost factors. However, in the Add Cost Factors page, you can add, delete or update the internal cost factors.

5. After you add the cost factors, you can set their values for suppliers in the Apply Internal Cost Factors page.
6. Publish the auction.

When does a Supplier See Transformed Amounts?

Transformed amount is the sum of the response amount and the internal cost factors.

If you choose not to display the transformed amount to the suppliers, then the supplier sees no adjustment to the bid amount. But the overall rank that the supplier sees is still based on the transformed view of the total bid amount.

Note: Whether or not supplier sees other supplier responses is still restricted by the type of negotiation, either an RFQ or an auction, and the response visibility, which is open, blind, or sealed.

How Transformed Amounts Are Calculated?

Formula for Transformed Line Price:

Transformed Response Price = Line Price + Per Unit Internal Cost + Per Unit External Cost

Transformed Response Price (Purchasing Basis Goods) = Line Price + Sum of line level Fixed Amount internal cost factors/ quantity + Line Price * (Sum of line level Percentage of Line Price internal cost factors) + Sum of line level Per Unit internal cost factors + Sum of line level Fixed Amount external cost factors/ Quantity + Line Price * (Sum of line level Percentage of Line Price external cost factors) + Sum of line level Per Unit external cost factors

Transformed Response Price (Purchasing Basis Services) = Line Price + Sum of line level Fixed Amount internal cost factors + Line Price * (Sum of line level Percentage of Line Price internal cost factors) + Sum of line level Fixed Amount external cost factors + Line Price * (Sum of line level Percentage of Line Price external cost factors)

Transformed Line Amount = Transformed Response Price * Response Quantity

Response Amount = $\sum ((\text{Line Price} + \text{External Cost}) * \text{Quantity})$

Transformed Response Amount = $\sum \text{Transformed Line Amount} + \text{External Cost (Response Level)}$

What Happens if You Select Only Overall Rank?

If internal cost factors aren't applied for suppliers and the overall rank is enabled in the negotiation style, then the overall rank is calculated based on the response amount only. As long as the negotiation style supports overall rank, it's always displayed.

The overall rank is visible to suppliers based on the settings in the response rules of each negotiation.

How can I renegotiate an existing agreement?

The Expiring Agreements section of your Overview page displays agreements for which you're either the owner or a collaboration team member that expire within the next sixty days, or agreements which are up to ninety days past their expiration date.

To negotiate an existing blanket agreement, highlight the agreement and click the Renegotiate button. You can access the negotiation document, modify it as needed, and publish the new negotiation for responding.

What's an attribute list?

A line attribute list is a collection of line attributes that you can apply to a negotiation line. When you apply an attribute list, all the line attributes on the list are associated with that line.

Once applied to the line, you can modify the line attributes if necessary. You can also delete any attributes that aren't appropriate to the line.

What's the difference between a price break and a price tier?

Both price breaks and price tiers are used to identify price reductions being asked for by the buyer or being offered by the supplier.

The main difference is that price tiers are available with all negotiation outcomes, but price breaks are only available with documents having a purchase agreement negotiation outcome. Also, price breaks can be cumulative across the life of the agreement.

Additionally, price breaks can base price reductions on Ship-to Organization, Location, Quantity, and Start and End dates. Price tier reductions are based only on Quantity.

For quantity based price tiers, only the price tier in effect for the awarded line is passed to the purchasing application. For price breaks, the information on the entire price break structure applicable to the awarded line is passed to the purchasing application.

How can I invite suppliers to my negotiation?

You use the Search and Add feature to identify suppliers and add them to your negotiation invitation list. For each supplier you invite, you must also specify a contact.

You can now invite all suppliers as needed to meet regulatory requirements and provide a fair market opportunity. You can see these suppliers in the UI and in spreadsheets. You can view and add more than 500 suppliers.

For the supplier contacts you identify in the invitation list, notifications are sent containing information about the negotiation (if you select a supplier site, then for that supplier, only contacts registered for that site are sent invitations). You can also invite prospective suppliers. Prospective suppliers are registered with the application but not yet approved for conducting spend transactions.

If the supplier has only one site, and one contact associated with the site, then the supplier site and supplier contact is set as default for the invite.

What's the difference between a negotiation style and a negotiation template?

You can use both negotiation styles and negotiation templates when creating negotiation documents. The purpose for each is different, but they both help shorten the creation process. A negotiation style uses only the creation features necessary to create the target type of negotiation.

Any features not required aren't accessible using that negotiation style. For example, if line attributes aren't appropriate to a particular type of negotiation, the procurement application administrator can create a negotiation style that omits line attributes. When that negotiation style is used to create a negotiation document, the application pages used to create line attributes don't appear. By focusing only on the features required by the type of negotiation, the creation process is shortened.

A negotiation template is a skeleton you apply to a new negotiation you're creating. Negotiation templates can provide default data for many of the negotiation document attributes, for example addresses or invited suppliers. You can modify some of these attributes when creating your new negotiation document.

Negotiation templates also let companies standardize practices on negotiation creation. For example, different templates can be used with different item categories. You must have access to the Procurement Business Unit under which the template was created to access and use it.

You can have a default negotiation template when you create a negotiation. You can enforce the usage of the negotiation template by requiring that category managers must select the template.

What happens if I invite eligible suppliers to my negotiation?

You can select one or more eligible suppliers (and their contacts) and invite them to participate in the negotiation. For those suppliers you identify, notifications are sent containing information on the negotiation.

If you enable the response control: Restrict to invited suppliers, only suppliers in the invitation list can participate. Otherwise, any supplier who can view the negotiation can participate.

What happens if I invite suppliers based on their sourcing eligibility status?

Eligibility assessments of a supplier can be that the supplier is eligible to participate, eligible with a warning to participate, or not eligible to participate in a sourcing negotiation.

In Procurement BUs where sourcing eligibility is enforced, category managers will see supplier's eligibility when creating the negotiation. If a supplier that isn't eligible is added to the invitation list, the negotiation can't be published until the supplier is removed. Similarly, if a supplier who's eligible with warning is added, the supplier can still participate in the negotiation, but the category manager will see a warning message.

What are automatic extensions?

You have several possible ways to modify the close time of a negotiation. You can always manually close the negotiation early or extend the negotiation past its original close date and time.

Automatic extensions are also a method you can use to control when a negotiation closes. You define the automatic extension criteria, consisting of the triggering period (a time period prior to the close date/time), the extension length, and the extension scope. Then if a qualifying response is received during the triggering period, the closing time for any negotiation line that falls within the scope of the autoextension is extended by the extension length to become the new close time.

What is a cost factor list?

A cost factor list is a collection of cost factors that you can apply to a negotiation line. When you apply a cost factor list, all the cost factors on the list are associated with that line.

You can delete any cost factors you don't need. Cost factor lists allow you to quickly associate a group of related or commonly used cost factors with a negotiation line. This speeds up the creation process.

What's the difference between negotiation display name and a response display name?

The negotiation documents you create and process have default names and terminology for the most important attributes. For example, the three types of negotiations are auction, RFQ, and RFI. Their corresponding response names are bid, quote, and response.

However, when defining a negotiation style, you can change the names used by the application if you so select, by defining negotiation styles. Any future negotiations created using that style uses the modified names when being viewed online or in any printed versions.

Negotiation Calendar

Different types of negotiations are auctions, RFQs, and RFIs. These are the negotiations for which you are either the owner or a collaboration member, and published negotiations which you can access. Draft negotiations are not shown.

Amended and Round Complete negotiations are displayed as separate negotiation.

- If the preview date and award date are specified, then duration shown is from preview date to award date. If the preview date is not specified, then the preview date is the same as the open date. If award date is not specified,

then the award date is the same as the close date. For negotiations in amended or round completed status, only close date is used even if award date is specified.

- If the award date is not specified and staggered closing is used, then the close date is the close date of the last staggered line.
- If a negotiation is paused, then the event duration does not change until the negotiation is resumed. Then the event duration is adjusted according to new close or award date.

The beginning and ending times displayed depend on the negotiation definition.

Additionally, the calendar shows two kinds of task events.

- Tasks assigned to the user as a collaboration team member. These events will be displayed as all-day tasks on the target date of the task specified in the negotiation. Even if the negotiation is still a draft, this event will appear in the calendar. Tasks without a target date will not be displayed on the Negotiation calendar.
- Tasks assigned to other users in negotiations for which the user is the owner. These events will be displayed as all-days tasks on the target date. Even if the negotiation is still a draft, this event will appear in the calendar. Tasks without a target date will not be displayed on the Negotiation calendar.

Detail Information Available

You can obtain detailed information from the calendar display. You can view detailed information about the negotiation by clicking and drilling down from the negotiation entry in the calendar. You can view detailed information for an event by hovering over the event.

Views Available

There are two views available when viewing calendar information. My View shows you the negotiations and negotiation tasks for which you are either the owner or a collaboration member. Company views shows you everything that is in My View as well as the negotiations in the same Procurement BU to which you have either full or view access.

Examples of Creating Default Content

You can predefine many textual parts of a negotiation document by creating a negotiation style and then creating default content for sections of that style. Creating default text can streamline the negotiation document process and standardize business practices.

The category manager can modify default content as needed when using the negotiation style to create a new negotiation document.

Variables in Content

If there are contract variables defined in Oracle Procurement Contracts, those variables are available for use in default content. By using variables, instead of directly entered values, the document can be kept up to date if changes occur during its development.

To use variables, position the cursor where the variable value should appear and click Insert Variables. Select the appropriate variable and click Insert. For some variables, you can initialize the variable by clicking Preview. For other variables, initialization doesn't happen until actual values are entered later in the definition process.

For example, you might use Close Date on the Cover Page, but the actual date wouldn't display until you specified the date value when defining the Overview page.

Content for Cover Page Tab

You can create content for the Cover Page tab to identify the business entity conducting the negotiation, the negotiation number, negotiation title and other appropriate information.

For example, you might identify the Procurement Business Unit to which this negotiation applies as well as any internal contacts for addressing questions of issues on the negotiation.

Content for Overview Page Tab

The Overview page might contain descriptions of the purpose and intent of the negotiation, response time line, and legal information.

Content for Requirements Tab

The Requirements Tab content provides general instructions and explanations about how to respond to the negotiation requirements. The category manager defines the specific details of each requirement when creating the document.

Content for Lines Tab Content

You can use the Lines tab default content to specify generalized line information, such as pricing guidelines. For example, you might provide details on any price breaks you will offer. You might also want to explain any of the response controls in effect for the negotiation.

Examples of Cloning Default Content

You can predefine many textual parts of a negotiation document by creating a negotiation style and then creating default content for sections of that style. Creating default text can streamline the negotiation document process and standardize business practices.

The category manager can modify default content as needed when using the negotiation style to create a new negotiation document.

Use Variables in Content

If there are contract variables defined in Oracle Fusion Procurement Contracts, those variables are available for use in default content. By using variables, instead of directly entered values, the document can be kept up to date if changes occur during its development.

To use variables, position the cursor where the variable value should appear and click Insert Variables. Select the appropriate variable and click Insert. For some variables, you can initialize the variable by clicking Preview. For other variables, initialization does not happen until actual values are entered later in the definition process.

For example, you might use Close Date on the Cover Page, but the actual date would not display until you specified the date value when defining the Overview page.

Define Cover Page Tab Content

You can create content for the Cover Page tab to identify the business entity conducting the negotiation, the negotiation number, negotiation title and other appropriate information.

For example, you might identify the Procurement Business Unit to which this negotiation applies as well as any internal contacts for addressing questions of issues on the negotiation.

Define Overview Page Tab Content

The Overview page might contain descriptions of the purpose and intent of the negotiation, response time line, and legal information.

Define Requirements Tab Content

The Requirements Tab content provides general instructions and explanations about how to respond to the negotiation requirements. The category manager defines the specific details of each requirement when creating the document.

Define Lines Tab Content

You can use the Lines tab default content to specify generalized line information, such as pricing guidelines. For example, you might provide details on any price breaks you will offer. You might also want to explain any of the response controls in effect for the negotiation.

Supplier Contracts from Negotiation Award

You can create a base contract to negotiate terms with all suppliers. You can create a base contract during a negotiation from the Contracts train stop. The base contract doesn't contain any primary parties.

Suppliers can review the negotiation contract terms as part of the response process, share their acceptance with the contract terms or suppliers can share their concerns by redlining the contract terms document.

Supplier Contracts

After the negotiation is closed, and there's a consensus between you and the supplier over the redlined contract terms, you can create a contract for each supplier you want to award based on responses. The base contract is copied along with other information from the supplier's response to create the supplier contract. You can add the awarded lines to the supplier's contract.

Enterprise Contract Management supports full contract life cycle, ability to negotiate the contract terms with suppliers, download and upload contract terms, compare redlined terms with original terms, and so on. You can leverage this contract functionality in Oracle Sourcing and easily update the contract terms for each supplier during the negotiation process.

View contracts associated to the responses along with purchasing documents and drill down to the associated contracts. You can now use new contract related approval attributes to route negotiation and award approvals based on created contracts.

On the supplier contract, you can see and drill down to the source negotiation and responses from which the contract was created. You can view details such as source application and source document number and if you have passed the awarded lines then you can view the line number.

There are two types of supplier contracts, you can either create an enterprise class contract with or without lines, or an agreement class contract with or without lines. This decision matrix will assist you to choose the contract type you need to select, based on your requirement:

For Contract Type of Class	Allow Lines	Don't Allow Lines
Enterprise	Create standard purchase orders through the supplier contract fulfillment process.	Create a master contract (a contract that holds only contract terms with no lines) and refer

For Contract Type of Class	Allow Lines	Don't Allow Lines
		it in the purchase agreements created from sourcing award.
Agreement	Create blanket purchase agreements through supplier contract fulfillment process.	Create contract purchase agreements through supplier contract fulfillment process.

You can either choose a structured terms template or a simplified terms template for the base contract. If you want to author contract terms later or if you want to choose attached document as contract source, you can leave the contract terms template field blank. After creating the base contract, you can edit the contract and change the contract source to attached document. In the Using Procurement Contracts guide, see the Contract Source Selection section for information on selecting a contract source.

When supplier contract is created from the base contract, all the contract clause variable values from the base contract are copied to the supplier contract. Contract clause variable values are also copied to the new amendment or the new round of the negotiation. But if you want to embed contract terms in the purchasing documents created from the negotiation award, don't opt in to this update 19D feature, Create Supplier Contracts from Negotiation Award. You can view the table of contents for the contract terms within the negotiation documents and response documents.

Create Supplier Contracts from Negotiation Award

Here's how you can create supplier contracts from a negotiation award.

1. As a contract administrator, set up the buy intent for contract type enterprise or agreement and contract terms templates structured or simplified.
2. As a category manager, while creating the negotiation, create a draft base Enterprise Contracts Management contract to hold the contract terms of the negotiation.

You create a base contract to negotiate terms with all suppliers. The base contract doesn't contain any primary parties. Suppliers can review the negotiation contract terms as part of the response process, share their acceptance with the contract terms or suppliers can share their concerns by redlining the contract terms document.

3. To create a base contract, in the Contract Terms train stop, click Create **Contract**. Select the contract type based on your requirement. You can either create an enterprise class contract or an agreement class contract. Use this decision matrix to choose the contract type that you need to select, based on your requirement:

For Contract Type of Class	Allow Lines	Don't Allow Lines
Enterprise	Create standard purchase orders through the supplier contract fulfillment process.	Create a master contract (a contract that holds only contract terms with no lines) and refer it in the purchase agreements created from sourcing award.
Agreement	Create blanket purchase agreements through supplier contract fulfillment process.	Create contract purchase agreements through supplier contract fulfillment process.

4. You can either choose a structured terms template or a simplified terms template for the base contract. If you want to author contract terms later or if you want to choose attached document as contract source, you can leave the contract terms template field blank.

When supplier contract is created from the base contract, all the contract clause variable values from the base contract are copied to the supplier contract.

In the Oracle Fusion Cloud Procurement Using Procurement Contracts guide, see the Contract Source Selection section for information on selecting a contract source.

5. Do the rest of the negotiation and publish it.

Invited suppliers will receive the negotiation invitation along with the base contract terms, which includes clauses and deliverables. Suppliers can download the contract terms for evaluation.

As part of the bid submission, to gather suppliers' acceptance on whether they agree with the base contract terms or not, the category manager must create a requirement to capture the suppliers' acceptance with the contract terms or their concerns with the contract terms. Suppliers can share their concerns by creating and uploading a redlined contract terms document as an attachment to the bid.

6. As part of the collaboration team, evaluate the redlined contract terms. For any common changes that are applicable to the entire supplier base, drill down to the base contract of the negotiation and update the contract terms. You can initiate an online discussion using messages with suppliers to further negotiate the contract terms. Suppliers can send or receive the updated contract terms as an attachment to the online message.
7. After you close the negotiation, evaluate the negotiation, shortlist the bids and start the award process.

If the contract terms agreed upon with one of the shortlisted supplier are different from the base contract terms, create a contract for the corresponding bid.

8. To create the supplier contract for the shortlisted or awarded suppliers, in the Award Negotiation page, select the supplier bid and click **Create Contract**.

A new draft supplier contract is created for that bid by duplicating the negotiation's base contract and stamped with the supplier as the primary party.

9. Go to the supplier contract and update the agreed upon terms with the supplier.
10. To add the awarded lines to the supplier contract, in the Analyze Negotiation page, select the awarded bid and click **Add Awarded Lines to Contract**.

Even after the award is completed or even after the negotiation is completed, you can create supplier contracts and add awarded lines to them.

11. Upon award completion, based on your requirement, you can either create purchasing documents as part of supplier contract line fulfillment flow or you can create directly from sourcing award or you can do both for a given negotiation.

How You Use Descriptive Flexfields for Negotiations

In negotiations, descriptive flexfields are supported to capture information specific to your business on the negotiation header (internal, and visible to suppliers), negotiation line (internal), and the negotiation abstract.

Descriptive Flexfields are used to track additional information important and unique to the business that would otherwise not be captured. Automatic transfer of DFF values can eliminate manual work to bridge the gap between negotiations and purchase documents.

Parameters are available to derive and validate the values in the descriptive flexfields when creating a negotiation. This can be done using page composer-based configurations. Descriptive flexfields can be configured using these negotiation attributes:

- Sourcing Negotiation Abstracts
 - AuctionHeaderId
- Sourcing Negotiation Header
 - Negotiation Type
 - DocumentNumber (Negotiation Number)
 - AuctionHeaderId
 - ProcurementBUId
 - RequisitionBUId
 - Buyer Id
 - DocumentStyleId
- Sourcing Negotiation Lines
 - CategoryId
 - ItemId
 - LineTypeId
 - ProcurementBUId
 - RequisitioningBUId
 - LineDescription
 - AuctionHeaderId
 - LineNumber

Values for the following DFFs can be passed from the negotiation to the outcome purchase order, or purchase agreement.

- Name: Supplier Negotiation Headers
 - Description: Fields for capturing additional information on the supplier negotiation header. These are internal DFF values that aren't visible to suppliers.
- Name: Supplier Negotiation Headers for Suppliers
 - Fields for capturing additional information on the supplier negotiation header that are displayed to both the internal and external parties.
- Name: Supplier Negotiation Lines
 - Description: Fields for capturing additional information on the supplier negotiation line.

Related Topics

- [How You Award Negotiations](#)
- [How You Enable Profile Options](#)

How You Add Requisitions to an Existing Negotiation

When you process requisitions, you can add new requisition lines to either a draft or an active negotiation instead of creating a new negotiation every time. When you add requisitions to an active negotiation, an amendment is created.

The requisition lines are added to the negotiation with all relevant information such as price, quantity, requested date, and attachments. Suppliers from the requisition are added to the supplier invitation list as well. When you add lines to a negotiation using the document builder in Oracle Purchasing, you have the option to group matching requisition lines into a single negotiation line. When matches are found, the quantity from the new requisition line is added to the existing negotiation line quantity. If no matches are found, then a new negotiation line is created for the requisition line.

Consider these when you add new requisition lines to a negotiation:

- The Group Requisition Lines option value is defaulted from the Configure Procurement Business Function setup page.
- For purchase order outcome, requisition lines are grouped if these criteria match:
 - Line type
 - Item, Item revision, and Item description
 - Category
 - Unit of measure (UOM)
 - Requisitioning business unit
 - Ship-to location
- For agreement outcome, requisition lines are grouped if these criteria match:
 - Line type
 - Item, item revision, and item description
 - Category
 - Unit of measure (UOM)
- If different Requested delivery dates are specified for multiple requisition lines, which are grouped, then the earliest date is stamped on the negotiation line.
- If two or more existing negotiation lines match the requisition line, then it's added to the negotiation line with the highest line number.
- If the requisition line has a suggested supplier, then it's added to the negotiation invitation list, only if the supplier and supplier site combination doesn't already exist in the draft negotiation. For negotiations in the Active status, this isn't supported, since amendments currently don't support updating the supplier invitation list.
- Both requisition header and line level attachments are copied to the negotiation line.
- Only requisition attachments with these categories are copied to the negotiation line: To Buyer, To Supplier, and Miscellaneous.
- If you have approvals set up, the amendment process will trigger approval of the changes made to the negotiation from adding the new requisition lines.

Add Requisitions to Large Negotiations

Instead of conducting multiple negotiations, you can now process a large volume of requisition lines in a single negotiation.

To add requisitions to large negotiations:

1. Download the latest PONNegotiationLinesImportTemplate.xlsm import template in the File-Based Data Import for Oracle Procurement Cloud guide, available on the Oracle Help Center.

In the PONNegotiationLinesImportTemplate.xlsm import negotiation lines FBDI template, two new columns are added to LinesOrderOutcome sheet - Requisition, Requisition Line. Three new columns are added to LinesAgreementOutcome sheet - Requisitioning BU, Requisition, Requisition Line.

2. Provide the requisition number and requisition line number backing each negotiation line in the lines import template (.XLSM) and import using the file-based data import process (FBDI).

Supplier responses are captured, analyzed, and awarded using the background processes.

3. Make an award decision, the award quantity is then automatically allocated to satisfy the requisition demand when the Create Purchasing Documents background process is run.
4. Review the requisition line quantity allocations in the view line allocations UI, before creating purchasing documents in Purchasing. (Line allocations page is now enhanced to support lines search across the 3 tab views.)
5. Submit the Purchasing Documents background process, this creates the purchasing documents, which fulfils the requisition demand. Any unallocated requisition line quantity is returned back to the process requisitions pool.

Also, as of now, these aren't available for large negotiations with backing requisitions:

- Grouping of multiple requisitions lines into a single negotiation line.
- Supplier suggestions from requisitions lines aren't carried to negotiation supplier invitation list.
- Header and line attachments from requisition lines aren't carried to the negotiation.
- Editing requisition line quantity allocations manually while creating purchasing documents.
- Reopen completed award action.

Create New Negotiation Round

Initiate a New Round of Response

If you reach the end of a negotiation with no clear winners, you may choose to close the round and initiate a new round of responding. Once a new round has been started, all participants can enter responses again.

This is useful when there are participants you have restricted to a single response per round.

To start a new round of responding, you close the active negotiation, and then create a new round, giving it a new close date. Note that there is a response control you can set to require that a supplier's new response price must be lower than that supplier's last response price in the previous round. The new round has a number suffixed to the original negotiation number. For example, if the original negotiation was number 500, the new round is 500-2.

When you create a new round, you can select to retain the requirements. If you uncheck the option to retain requirements, then none of the previous round requirements are copied to the new round. This gives you the flexibility to skip including requirements that are already answered and scored.

In the new round, suppliers can provide pricing information for the lines. You can view the previous round's requirement scores of the suppliers during award analysis and approval, and make an informed award decision based on previous round scores and new round pricing.

Initiating a New Round of Responding

Vision Corporation is conducting an auction for high end electronics. The auction is close to its close date but the responses have not been acceptable. The category manager decides to take the negotiation to a subsequent round of responding.

1. From the negotiation work area Overview page, the category manager accesses the negotiation.
2. From the negotiation summary page, the category manager selects the Close suboption from the Manage option of the Actions menu. She chooses to close the negotiation immediately and submits the close request.
3. After the negotiation is closed, she selects the Create New Round suboption from the Manage option of the Actions menu.
4. She accepts the defaults on the Create New Round dialog box.
5. On the Edit Negotiation page, she enters a new close date. She makes any other changes to the negotiation and publishes it, opening it to a new round of responding. All suppliers on the invitation list are sent notifications apprising them of the new round.

Seller Negotiations

Seller Negotiations

You can perform competitive forward auctions with bidders to sell items such as excess inventory or retired assets by offering them for bids, gathering bids from various bidders, and then selling the items to the highest bidder.

Seller Negotiations

For the procurement department that's looking to liquidate excess inventory or sell retired assets, there is a requirement to conduct a competitive auction. Unlike a reverse auction used for procuring items at a lower price, in this forward (or seller) auction, the seller awards to the highest bidder. Potential buyers compete by increasing their bids over time before the auction closes. The seller monitors the competitive auction in real time and determines the best award.

Seller negotiations includes these activities:

- Create and publish seller negotiations
- Invite organizations to bid
- Submit and manage bids through Supplier Portal
- Monitor the seller negotiations
- Manage the seller negotiations schedule
- Award the seller negotiation
- Export award information in a spreadsheet

How You Create Seller Negotiations

Create a seller negotiation to sell items to the highest bidders and invite several bidders to participate in the seller negotiation. In the Negotiations work area, in the Manage Seller Negotiations page, you can create a seller negotiation.

In the Overview section, you as an auctioneer must provide basic information of a seller negotiation such as procurement BU, title, synopsis, and all the schedule details. In the Lines section, provide the basic information of a line such as item, description, category name, quantity, and UOM. Bidding for a partial quantity is supported to allow auctioneers to specify whether partial quantity bid is accepted for the line. In addition, you can specify the start price, price increment, and reserve price for the line.

In the Bidders section, you can invite spend authorized, prospective and newly registered suppliers to the seller negotiation. A bidder contact or an additional email is required for each invited bidder.

While creating a seller negotiation you can use these capabilities available for a seller negotiation:

- Autoextend settings are available for a seller negotiation where the winning bid will trigger all lines to be auto extended from the close date of the seller negotiation, and the auctioneer can define the number of extensions, the triggering period, and the length of extension.
- Include a reserve price for a line item where the reserve price is the lowest acceptable price at which you as a seller is obligated to sell the line item to the bidder. You can set a reserve price for a line item and monitor the auction to see if the reserve price is met by the bidder. Also, the bidder doesn't know what the set reserve price is, but they will know if it was met or not met during competitive bidding.
- Projected revenue is displayed in the Monitor Seller Auction page and the projected revenue indicates the maximum revenue from only those lines where the bids meet the reserve price.
- Award the seller negotiation by bid or award the seller negotiation by each line item.
- Share configurable notifications on the seller negotiation based on the Oracle Analytics Publisher templates with the bidders.
- Export the awarded seller negotiation as a spreadsheet and share the spreadsheet with the applications that create sales orders.

How You Bid Through Oracle Supplier Portal

Bidders can submit their bids from the Oracle Supplier Portal. Registered suppliers can bid for a seller negotiation. New potential bidders can also register as suppliers or prospective suppliers using the supplier self-registration process and then bid for a seller negotiation.

On the Supplier Portal landing page, relevant links are available in the Tasks pane to quickly access auctions from seller, view active seller negotiation, and manage seller auction bids. Infolets display the information on seller negotiations that require attention and the recent activities for seller negotiations.

On the Create Bid page there are two main sections Overview and Lines. In the Overview section, bidders can provide the date until when the bid is valid and a reference number. They can also enter note and attachments. In the Lines section, bidders can bid on the price and quantity for each line. While bidding for a seller negotiation, bidders can view the best bids received so far from other bidders.

How You Manage Seller Negotiation

Based on the pricing changes and bidding activity, to maximize revenue, you can change the schedule of the seller negotiation. You can close the seller negotiation early, extend, cancel, and invite additional bidders, pause it, and resume it at a later point of time.

On the Manage Seller Negotiations page, you can enter search criteria to search for the seller negotiation. You can use various search criteria like procurement BU, title, and so on to search for existing seller negotiation. For published seller negotiation, sellers can navigate to the View Seller Negotiation page and perform additional actions. Auctioneers can create new seller negotiation and duplicate existing seller negotiation.

On the View Bid page, bidders can view all the details entered on the bid. They can see how their bids rank in the seller negotiation. The information on when a seller negotiation is going to close is provided. The bid price of the bid ranked

number one among all the active bids submitted so far for a given line is displayed as the best bid price. Bidders can revise bids, cancel proxy bids, and view bid history and navigate to corresponding pages. When a seller negotiation has completed, the award decision is displayed.

With graphical analytics, sellers can monitor the bidding activity in real time, analyze a bidding trend, identify areas and determine whether any follow up actions are necessary. Graphical analytics provides a way to visualize the bidding. Also, tabular data of the bids are available for a detailed analysis.

Sellers can view all the bid details entered by the bidders. In addition, sellers can view bid history, disqualify bids and navigate to the corresponding pages.

You can cancel a seller negotiation only if it's in submitted, preview, active, paused, or closed status.

How You Monitor Seller Negotiation

On the Monitor Seller Negotiation page, sellers can monitor bidding activities in the seller negotiation. Sellers can set the refresh interval on the page and view the latest updates on bid ranking and pricing information for all bidders.

On the View Bid History page, the bidders can now see all the bids submitted to the Seller Negotiation. It will show bids in all statuses except those in draft. They can't see the identity of other bidders, including the name of the bidder company and contact.

How You Award Seller Negotiation

Maximize revenue by making the best award decision, award the entire seller negotiation to a single bid or to multiple bids. Use the graphical analytics to visualize the awarding progress and award decisions.

Award the seller negotiation to a bidder based on the individual bids or award the seller negotiation by line based on the best bids received per line item.

While awarding a seller negotiation, you can attach any supporting attachments, provide a note to accepted and rejected bidders.

How You Export Award

You can export the award decision information in a spreadsheet. The award spreadsheet uses the Oracle Analytics Publisher template. You can share the seller negotiation award as a spreadsheet for applications that are used to prepare sales orders based on these seller negotiation awards.

How Seller Negotiation Are Monitored

Various tasks are consolidated on the Monitor Seller Negotiation page. On the Monitor Seller Negotiation page, you can monitor the bidding trends in a seller negotiation in real time.

The page auto refreshes where you can also set the refresh interval and view the latest updates on bid ranking and pricing information for all bids. You can view all the active bids and if required, disqualify them. Graphical and tabular analytics are available to view the bidding activities and determine the actions required.

You can perform the same actions as those on the View Seller Negotiation page and navigate to the corresponding pages, change seller negotiation schedule. You can extend, close early, pause or resume, and cancel a seller negotiation.

From the active bids received so far, projected revenue is gathered based on the sum of the maximum revenue each line will get, with the condition that, that line's reserve price is already met or reserve price wasn't set. If a line's reserve price wasn't met, then it's excluded from the projected revenue's calculation. In the Lines tab, you can filter out lines that met the reserve price and the lines that didn't meet the reserve price. You can view bid history from this page by toggling views of the bidders table. Analytics are available to track important auction metrics such as projected revenue, bids by amount, and time.

You can quickly respond to discrepancies in the bidding process in real time and intervene when necessary and take appropriate action. Ability to take actions such as pause or extend provides full control over the auction and bidding activity. For example if you noticed any issue with the inventory items you were planning to sell, you can pause the auction and investigate that issue and resume the auction process once resolved and so on. You can also increase the competition by inviting more bidders at any time until the auction closes.

You can monitor the bids received by their bid amount in a bar graph, where only bids in active status are displayed. A scattered graph plots the bids in active and archived status received from multiple bidders for the seller negotiation. The bids pertaining to a single bidder, bidder site, and bidder contact combination are connected by a smoothed line.

How Seller Negotiations Are Awarded

On the Award Seller Auction page, you can either award the entire negotiation to a single bid or award each line to one or more sellers.

While awarding, you can attach any award related supporting attachments, enter a note to accepted bidders and rejected bidders. Export award details in excel and send to downstream system like Accounts Receivables or Asset management to further process it to complete the transaction.

You can analyze reports on bids by amount, award by bidder, award by line, and bids by time. You can view the bid history and export to Excel. You can select to award the overall seller negotiation to a bidder of your choice or, analyze and award the bid line-wise to bidders. You can notify the accepted and rejected bidders by email regarding your decision.

Create Seller Negotiations

Consider these prerequisites: Seller Negotiations is an opt in feature that you can enable from the Setup and Maintenance work area. Sellers who create and award bids to prospective buyers must have the Category Manager job role.

Prospective bidders must have the Supplier Bidder job role, for more information on job roles see the What's New document. Define sellers as active procurement agents with the same Manage Negotiations access. Access to other agents' documents will remain the same as None, View, or Full.

To create a seller negotiation:

1. In the Negotiations work area, select the **Manage Seller Negotiations** task.
2. On the Edit Seller Auction: Overview page, provide a title and select a close date.
3. To autoextend the seller auction, select **Allow autoextend** and provide the details for the triggering period, length of extension, and number of extensions.
4. In the Lines tab, include the items you want to auction. Based on your requirement, set a start price, price increment, reserve price, and allow bids for partial quantities.
5. In the Bidders tab, select the bidders you want to invite for the seller auction.
6. Click **Publish**.

Bidders are sent notifications that they can view when the bidders login to the Oracle Supplier Portal. Bidders can acknowledge the receipt of the notifications.

To bid for seller auctions:

1. In the Supplier Portal work area, in Auctions from Seller, click **View Active Seller Auctions**.
2. On the Active Seller Auctions page, select the auction and then click Create Bid.

When you're creating a bid, if there are bids from other bidders prior to your bid, then for a line item, the best bid price is available for you to view and plan your bid.

3. Provide your bids for the line items and click **Submit**.

You can create multiple bids for a seller negotiation.

4. If you want to revise a bid that you have submitted, in the Manage Seller Auction Bids page, select the bid and then click **Revise**.
5. Revise the bid, click **Save** and then click **Submit**.

To monitor and award seller negotiations:

1. On the Manage Seller Negotiations page, select the seller negotiation you want to monitor by clicking the icon in the Monitor column.
2. On the Monitor Seller Auction page, view the bids, check to see if the reserve price is met. Analyze the overall bid by individual bidders, projected revenue, and bids received for individual line items by various bidders. You can pause, extend, or invite additional bidders to the seller negotiation. You can disqualify a bidder. Based on your decision, award the seller negotiation by bid to an individual bidder or award the seller negotiation per line item.
3. If you have received satisfactory bids, then in the Monitor Seller Auction page, click **Actions > Close** and in Close Negotiation, write a note to the bidders and then click **Submit**.
4. To award a seller auction, in the Seller Auction (negotiation number): Overview page, click **Actions > Award Seller Auction**. To award by bidder, select the bidder and then click **Save**. To award by line, in the Lines tab, select line item, include the award quantity for a bidder with the highest bid and then click **Save**.
5. Click **Complete Award** and in the warning message click **Yes**.
Note: After you complete the award, it can't be undone.
6. In the confirmation message click **OK**.
7. To notify the bidders about the award decision, click **Notify Award Decision**.
When the bidders are notified, they can view the award details.
8. To export an award as a spreadsheet, in the Analyze Seller Auction page, click **Export Award** and save the spreadsheet.

Related Topics

- [Opt In To New Features After Update](#)

Approve Negotiation

Approve Negotiation Request

Document and Award Approvals

Your application may use the approval management system to track and manage approvals of both your negotiation document and your award decisions. You can approve the negotiation document, the negotiation award, or both.

When approvals are used, internal reviewers view and OK the details of the negotiation document and the final award decision.

How Approvals Work

If approvals are enabled, you can have both the negotiation document and the award decision subject to approval before they can be further processed. The Approvals Management Extension is an automated process in which approval

checks are passed from a user, a group of users, or the application to another user or group of users for consideration or action. Similarly, after you make an award decision, you can submit it for approval.

When the negotiation document requires approval, you submit the document for approval once you have completed it. When the document has been approved, the application automatically publishes it. The new status for the document depends on the open and preview dates.

- If the open date is Upon Approval, the status is Active.
- If the preview, open, and close dates are in the future, the status is Submitted.
- If the preview is past but open and close are in the future, the status is Active.
- If the previous and open are in the past but the close is in the future, the status is Active.

For award approval, once the award has been approved, the status changes to Approved, and you can complete the award and generate the purchase documents.

Whether a document or award needs approval depends on the approval rules that are defined for the task (publish or award). For example, a negotiation could be subject to approval because it includes items from a particular category, or an award decision could need approval because the award amount is over a certain limit.

If you're an approver for a document or award, you receive a notification when a document or award becomes available for you to view and evaluate. The notification contains information on the negotiation, attachments, and links for approving or rejecting the document or award. Approvers can download these attached documents from their email notification to make an approval decision.

While a negotiation document is being approved, the status of the negotiation is Approval in Progress. While the award is being approved, the status is Award Approval in Process. If there is an issue and an approver rejects the document or award, you receive a notification with information about the rejection. You can edit and update the document or award and resubmit it for approval. Once the document or award is approved, the status changes to Approved, and you receive a notification that the approval is successful. Then you can continue processing the negotiation:

- When the document is approved, it's automatically published.
- You can complete the award and generate the purchase documents after the award decision has been approved.

Note that approvals tasks are different from collaboration team task assignments (although collaboration team members can also be designated as approvers). Tasks that are assigned to collaboration team members are tracked manually and have no effect on the processing of the negotiation by the application.

During both the document approval process and the award approval process, you can monitor the progress of the approvals by viewing the Negotiation Approval Process and the Award Approval Process pages.

Negotiation Approval Process

When negotiation approvals are enabled, the negotiation document requires approval before being automatically published by the application. If award approvals are enabled then negotiation award will need approvals before award can be completed.

A negotiation document or award's status changes as it proceeds through the approval process. You can send attachments to negotiation approvers and award approvers in the approval notification. These tables explain the different statuses for a negotiation or award and the actions that the category manager can perform.

This table explains the possible statuses for negotiation document approvals.

Negotiation Status	Explanation
Draft	The initial status of the negotiation. Also the status of the negotiation after it's rejected. In this case, the category manager can edit and resubmit the negotiation document.
Approval in process	The negotiation document is in the process of being approved.
Submitted	The negotiation document has been approved, but the preview or open date is in the future.
Withdrawn	The negotiation document has been withdrawn from the approval process by the category manager.
Approved (not published)	The negotiation document has been approved but can't be published because the open or close dates have expired, or there was an error in publishing the negotiation. The category manager can use the Modify Schedule dialog box to enter new dates and publish the negotiation.
Active	The negotiation document has been approved is accepting responses.
Rejected	The negotiation document was rejected by one or more of the approvers. The category manager can edit the document and resubmit it.

This scenario shows a possible sequence of actions a category manager could take as a negotiation document undergoes the approval process.

1. The category manager creates the negotiation document. At this point, the document is in Draft status.
2. On the Overview page, category manager adds attachments in the **To Negotiation Approver** category to send to negotiation approvers.
3. Once the document is complete, the category manager submits it for approval. The document status changes to Approval in Process. The category manager receives a notification that the negotiation has been submitted for approval. All the approvers receive notifications that the negotiation document is ready for their approval. The approval notifications may include attachments for approvers to review prior to making approve or reject decision.
4. For a particular negotiation item, the category manager requires some information from a subject matter expert, the category manager creates a subtask from the **Actions** menu and assigns the subtask to the subject matter expert for information and an approval.
5. The category manager notices there was an omission to the document and so removes it from the approval process to correct the error. The status changes to Withdrawn.
6. The category manager edits the document to correct the error. The document status changes to Draft.
7. The category manager resubmits the document for approval. The status is Approval in Process.
8. All approvers approve the document. The status changes to Active. The category manager receives a notification that the document is approved.

The table explains the possible statuses for negotiation award approvals.

Negotiation Status	Explanation
Award Approval in Process	The award is in the process of being approved.
Withdrawn	The award has been withdrawn from the approval process by the category manager.

Negotiation Status	Explanation
Award Approved	All approval actions have completed and the outcome is "approved."
Award Rejected	The award was rejected by one of the approvers. The category manager can access, edit the award and resubmit it for approval.

The following scenario shows a possible sequence of actions a category manager could take as a negotiation award undergoes the approval process.

1. The category manager completes the award and submits it for approval. The document status changes to Award Approval in Process. The category manager receives a notification that the award has been submitted for approval. All the approvers receive notifications that the award is ready for their approval. The approval award notifications may include attachments for approvers to review prior to making approve or reject decision.
2. On the Overview page, category manager adds attachments in the **To Award Approver** category to send to negotiation approvers.
3. One of the approvers rejects the award decision. The category manager receives a notification that the award has been rejected. The award status is Award Rejected.
4. The category manager edits the award decision and resubmits the award for approval. The document status changes to Award Approval in Process.
5. All approvers approve the award. The status changes to Award Approved. The category manager receives a notification that the award is approved.
6. The category manager completes the award and begins creating the purchasing documents.

As the category manager, you can view the approval chain and add any additional approvers to it. You can also monitor the progress of the approval process by viewing the approval history pages.

How You Modify the Approval Chain

Before submitting the document or award for approval, you can modify the approval chain by adding new users or approval groups. You can't remove any of the approvers that are part of the application generated approval chain. Selecting Manage Negotiation Approvals (for negotiation documents) or the Manage Award Approvals (for award approvals) from the Actions menu. In either case, on the Manage Approvals page, you can see the existing approval chain. In the page, there is a tabular display of the approval steps and their approvers. In the lower portion of the page, you can see a graphical display.

To add a new approver to the chain, highlight the stage entry within the stage that you want to update. You can add additional approvers by clicking the add icon and then searching and selecting a new approver or approval group.

How You Send Attachments to Approvers

You can send attachments to negotiation approvers and award approvers in the approval notification. Approvers can download these documents from their email to make an approval decision. When you create a negotiation, or submit a negotiation award for approval, you can add attachments with the relevant category on the Overview page. When you create a negotiation, you can add attachments in the To Negotiation Approvers category on the Overview page. Similarly, when you create a negotiation award, you can add attachments in the To Award Approvers category on the Award page. These attachments are sent to approvers in approval notifications. Approvers can review these attachments before making an approve or reject decision.

As an approver, you can add additional attachments to the document or award before approving it and sending it on to the next approver in the chain. The notification you received to begin your approval has an icon you can use to browse and add an attachment before you pass the document or award to the next approver.

How You View Approval Histories

You can view the progression of both document and award approvals. From Negotiation summary page, select the View Approval History option from the Actions menu. The page lists the steps in the approval chain and their status at the time you accessed the page. You can refresh the page to view the current status of the negotiation's approval. The page displays each stage of the approvals, identifies the participants, and the result of the participant's action. The most current approval event appears on the page. To drill into the details of the approval stage, click the Submit link.

You can view the document approval process, after you have published the document. You can view the progress of the award approval after you submit the award decision for approval. .

Capture Supplier Response

Acknowledge Participation

What happens if I acknowledge my intent to participate in a negotiation?

Acknowledging your intent to participate in a negotiation only notifies the buyer company that you're interested in responding to the negotiation. Acknowledgment doesn't obligate future participation, nor is it required to participate.

If you want to include any response-related attachments, then upload them in either the response header, line, or requirements, and don't attach them with your notification acknowledgement.

Create Response

Response to Negotiations

After you have viewed the details of the negotiation document, you can determine the best response to create. The response document generated will help you provide a complete response by providing all necessary information.

Additionally, you can also assign a reference number to your response document and use it for your internal tracking.

When negotiating items for manufacturing, distribution, or direct material procurement, you can view the supplier item, manufacturer, and manufacturer part number for the inventory line items in the response spreadsheet attached in the negotiation invitation notification. Also, you can view the details while viewing a negotiation, creating a response, reviewing a response, and awarding the negotiation.

To facilitate seamless interaction between the Sourcing work area and Product Information Management (PIM) work area, an integration setup is required. For more information see Manage Integration of Additional Applications.

Supplier bidders can provide new supplier items when creating responses to both inventory and description-based line items. The new supplier items are copied to the purchasing documents generated after the award. In scenarios where there's no supplier item for the inventory item, the new supplier item is automatically added to item relationships in Product Information Management (PIM) if enabled in BU configuration.

When creating a response to a negotiation with a backing requisition, the supplier bidders are presented with the supplier items coming from the requisition lines and can update them if needed. Similarly, when renegotiating an existing blanket purchase agreement, the suppliers can view and update the supplier items captured in the agreement.

You download the negotiation PDF document to view these details. You can respond to negotiations and identify their part number to provide an accurate quote. These fields are also available to suppliers in the response spreadsheets for efficient and accurate response preparation.

You can enter a zero price when responding to negotiations, thereby offering items for free or services at no cost for products still under warranty.

Consider these when you're working with supplier item, manufacturer, and manufacturer part numbers:

- The supplier item and manufacturer part number must be associated with an inventory item in the item master to be derived and displayed in negotiations.
- If multiple supplier items and multiple manufacturer part numbers are mapped to an inventory item, then none of the part numbers will be displayed in negotiations.
- The supplier item, manufacturer, and manufacturer part number information is currently not displayed in the negotiation PDF document attached to the supplier invitation notification. It's recommended that suppliers download the negotiation PDF documents from supplier portal.
- Alternatively, if the supplier item, manufacturer, and manufacturer part number are required in the negotiation invitation notification, then it is recommended to use the split PDF + Lines only Response spreadsheet, which has the line item information displayed separately in the CSV file.

When completing the response document, consider the following points as well as the following topics:

- You can enter notes into the response document at the header and line levels, and provide attachments for your response.
- You can print a .pdf version of your response for offline review before submitting the response, or after submitting your response for your records.
- The information you're required to provide can vary between negotiations. If you haven't provided all the required response information, you will receive an error message when you try to submit your response and be prompted to supply the missing information.
- If the negotiation creator has allowed alternate lines, you can create a new response line in addition to responding to the originally defined line. You might want to create an alternate line if you want to offer different price breaks or other line information. Your additional response line and your response to the original line are both considered when the category manager analyzes and awards the negotiation.
- If the negotiation creator has allowed it, you can create multiple responses within a round of negotiations. When you create multiple responses, you can offer different line information (as you can in alternate line responding), and you can also offer different responses to other negotiation attributes such as requirements, negotiation terms, or contract terms.

Response Controls

The category manager may have defined any of several parameters to control how you can respond to the negotiations:

- You may be required to offer the entire quantity asked for, or you may be able to offer partial quantities. For example, the negotiation line may ask for 1000 units. You may be required to offer to sell the entire 1000 units, or you may be able to offer to sell fewer.
- You may not be required to respond to all the negotiation lines. In this case, you can choose which lines you respond to.
- You may be able to see other suppliers' contract terms, notes, and attachments.
- If the category manager has allowed multiple responses, you can create additional alternate responses to the negotiation as well as a primary response.
- You may be able to revise your current response

- If the negotiation goes into multiple rounds of responding, you may be required to submit your second round response price at a level lower than the price from the first round of responding.

Requirements

The negotiation may include questions soliciting information about your company or your practices. Such questions are called requirements. The Category Manager may have defined such requirements. If they're defined, a box labeled Requirements appears in the chain of train stops. If responses are required, you must provide an answer. Your responses to requirements may be used along with all other response information when evaluating your response.

Line Price and Other Information

The line price information you're required to provide depends on the negotiation type (auction, RFQ, RFI) and the type of outcome (purchase order, blanket purchase agreement, contract purchase agreement). Line price information can include price or quantity offered.

Additional Line Information

There may also be information you're required to supply at the negotiation line level. An icon will appear in the Required Details column of the Lines table for any line which requires additional response information:

If the Category Manager entered price breaks/price tiers, you must respond to them. Additionally, if allowed, you may be able to modify or offer your own price breaks.

Cost factors are additional costs beyond price on which the Category Manager wants to negotiate. Typical cost factors might include storage, transportation, or tooling.

Line attributes typically ask for additional details about the product or service you're offering. Your responses to line attributes are used along with line and line price information when evaluating your response.

Note: If allowed by the negotiation, you can create alternate response lines in addition to your response to the line defined to the negotiation. You may want to do this if you want to suggest alternate line information such as different price breaks. All of your response lines are considered competing responses, and the category manager can award business to any of them. To add an alternate line, while on the Create Response: Lines page, click the plus sign in the Create Alternate column for any line for which you want to create an alternate. If there is no plus sign for that line, you can't create an alternate line and can enter only a single response.

Spreadsheet Responding

As an alternative to responding online, or if the negotiation contains many requirements or lines to which to respond, you may choose to use the spreadsheet method of responding. With this method, you export a spreadsheet from the application, completing it offline by entering your response information into the spreadsheet. When completed, you import the spreadsheet back to the application. If there are any errors, you're notified immediately so you can correct them import again.

Additional Bidding Features

Proxy bidding and mass price reduction are additional features available to you when responding to auctions.

Proxy bidding enables the application to automatically rebid for you when a competitor submits a lower winning bid. The application automatically rebids with a lower price when a competitor submits a winning bid. When you submit your initial bid, you specify a value (percentage of the initial price offered or a flat amount) and the minimum price you're willing to offer. On any subsequent rebids, the offer price is reduced by a value that you can specify. This happens automatically until you reach your minimum price.

Mass price reduction lets you to reduce the prices being offered on all or a subset of negotiation lines by a set amount. This frees you from having to update each line's price individually.

Online Messaging

Throughout the responding process, you can communicate with the buying organization by using online messaging. You can participate in multiple online conversations within the context of a negotiation. All messages you initiate are addressed to the buying organization and can be viewed by all members of the buying organization who are also participating in the negotiation. You can reply to message you're sent by an individual participant of the buying organization.

Related Topics

- [Manage Item Relationships](#)

Response to a Negotiation by Spreadsheet

After you export the spreadsheet data, you can open it in Microsoft Excel (version 2003 or later). Excel automatically formats the display based on the style format that you selected. The spreadsheet consists of multiple worksheets.

The sections describe the information contained in each worksheet, and the tables in the sections describe each spreadsheet for that worksheet.

Your spreadsheet can have multiple worksheets, depending on the content of the negotiation. Use the instructions in the table to complete the spreadsheet. After you've completed the spreadsheet, you can import the data back to the application.

When responding through spreadsheets, you can enter a zero price when responding to negotiations, thereby offering items for free or services at no cost for products still under warranty.

The table shows the sections of the Respond spreadsheet.

Response Worksheet Section	Contents
Common Section	This section provides general information about the negotiation. You don't enter any information into this section.
General Section	In this section, you can enter your response to negotiation requirements and other general information such as a note to the category manager.
Lines Worksheet	Use this worksheet to enter your response information as required by the category manager.
Requirements Scoring Worksheet	This worksheet shows any requirements scoring information if provided by the category manager. You don't have to enter any response in this worksheet.
Attributes Scoring Worksheet	This worksheet displays any attributes scoring information for line items if provided by the category manager. You don't have to enter any response in this worksheet.

Using Spreadsheet Processing

This file contains the instructions for creating and importing responses in negotiation using an XML spreadsheet. Spreadsheets enable suppliers to easily respond to negotiations offline. Spreadsheet import is very useful when dealing

with large negotiations having many requirements or lines, or having complex lines with many attributes or price tiers. Spreadsheet processing effectively speeds up the response process by enabling you to enter data into your spreadsheet offline and then import the data in a single operation

Common Section

The table shows the fields in the Common section of the spreadsheet.

Field Title	Meaning
Negotiation Title	Title of the negotiation as defined by the category manager, This appears over the common area table.
Negotiation	Type of negotiation, such as auction, RFQ, or RFI, and the number assigned by the application
Close Date	Date and time when the negotiation closes and responses are no longer accepted. Note that the category manager can optionally extend the negotiation or close it early.
Negotiation Currency	Currency defined for the negotiation by the category manager
Response Currency	In a multicurrency negotiation, the currency you selected when you began your response
Price Precision	Price precision applied to the response currency
Conversion Rate	In a multicurrency negotiation, the conversion rate
Company	Name of the buying company
Buyer	Name of the buyer
Phone	Phone number of the category manager
E-mail	Address of the category manager
Supplier	Your company name, as registered with the application
Supplier Site	Your company site

Requirements Section

The requirements section contains questions the category manager wants you to answer. Your responses are used by the category manager when evaluating your response. If there are requirement sections, they're grouped together in the section name. For two stage RFQ, at least one section is labeled technical and one or more sections are labeled commercial. If requirements are scored and the category manager decided to display the scoring information, then you can see it by clicking the View Scoring Criteria link.

If your negotiation contains many requirements, you can control the display by clicking the down arrow. You have several options including sorting the requirements by number to display specific requirements.

When companies conduct complex negotiations with a large number of negotiation lines, and requirements, suppliers need to respond to these negotiations efficiently, which can be challenging when using the full response template of requirements and lines. Supplier bidders can separately respond to requirements using a rich-style spreadsheet consisting only requirements. Category managers have an option to send two separate files to suppliers for collecting responses. One for lines only, and another for requirements.

To respond to requirements in high line volume negotiations using this spreadsheet, in the Export Spreadsheet dialog box, select Requirements only to use this template.

The table shows the fields in the Requirements section of the spreadsheet.

Field Title	Meaning
View Scoring Criteria	Link to the Requirements Scoring Worksheet. This link only appears if the category manager decided to score requirements and provide scoring related information.
Gray bar	- The name of the requirement section is displayed. There's a row for each requirement. If there's a branched requirement, it's in its parent requirement. The hierarchy of the branched requirement is indicated by the numbering value: a. Number: the number of the parent requirement b. Letter: the indicator of which response to the parent requirement triggered the branch question c. If the category manager defined a branching question for this requirement, then the text of the branch question and its response field appear indented in the primary requirement question. - If this is a two stage RFQ, one or more sections are labeled Technical and one or more sections are labeled Commercial.
Response value fields	Enter your responses here. - If the requirement type is multiple choice with either single or multiple selections, and if the category manager defined a branching question for this requirement, the text of the branch question and its response field appear indented in the primary requirement question. - If the requirement is multiple choice with a single selection and if the category manager defined acceptable values for this requirement, you can display them by clicking the field and then clicking the down arrow. - If the category manager defined a branching question for this requirement, the text of the branch question and its response field appear indented in the primary requirement question. Depending on which value you select for the primary question, the branching question becomes unprotected, and you can respond to it. - If the requirement allows multiple selections, the options are listed for the question. To select a value, click the field for the response and select Yes from the dialog box menu. (You can also optionally select No for values you don't need.)
Comments	You can enter comments in the text box.

Lines Worksheet

The Lines worksheet displays the line information defined for this negotiation. Some fields appear depending on whether the negotiation outcome is purchase order or purchase agreement. The table contains descriptions of all possible columns regardless of negotiation outcome.

If your negotiation contains many lines, you can control the display by using the choice list. You have several options including sorting the lines by line number to display specific lines.

The table shows the fields in the Lines worksheet.

Field Name	Meaning
Proxy Decrement Amount or Proxy Decrement Percentage	Enter the amount or percentage by which the application should reduce your response price before submitting a subsequent bid in a proxy negotiation. Proxy bidding is available for the auction outcome only.
Response Amount	Automatically calculated as you enter your responses into the spreadsheet.
Line	Line number and description as entered by the category manager
Item	Unique numeric indicator of the item that the category manager wants to purchase
Revision	Version of the item that the category manager wants to purchase
Rank	Rank of this response among competing responses
Start Price	Starting response price for one unit of the item or service being negotiated. Your response price can't be higher than the response start price.
UOM	Unit of measure in which the category manager plans to buy the item.
Negotiation Quantity	Number of units the buyer wants to purchase
Estimated Quantity	Expected quantity to be bought over the life of the agreement
Estimated Total Amount	Expected total amount that the buyer pays for a fixed price line item over the period of the agreement.
Target Minimum Release Amount	Minimum amount the category manager wants to release against this blanket agreement line.
Response Price	The price you're offering for one unit of the item or service. Use numbers only. Omit currency signs. Required for any lines on which you want to bid. For lines that you don't want to bid on, you can leave all the bid-related columns blank. This only applies to auctions that don't require you to bid on all lines. If this line has cost factors, you don't have to enter a value for this field. Instead enter the line price in the Cost Factors table. The application automatically calculates the response price based on your line price and cost factor responses.

Field Name	Meaning
Proxy Minimum	Enter the minimum price that you're willing to proxy bid for this line. See the online help for a discussion of how proxy bidding works.
Response Quantity	The number of units of the item that you plan to buy. Required for all lines that you want to bid on. If this negotiation allows only full quantities, this field displays the Quantity value and is protected against update. If you're bidding only on selected lines, you can leave all the bid-related columns blank for lines with no bids. This applies only to RFQs that allow you to quote on selected lines. If the line doesn't allow partial quantity bids, this field displays the Response Quantity value and is protected against update.
Promised Delivery Date	Date by which you can promise to deliver the item or service to the category manager's location
Response Minimum Release Amount	The minimum release amount you offer for this agreement line
Note to buyer	Any additional information for the buyer about this negotiation line
Requested Delivery Date	Date by which the item or service the category manager wants to purchase is needed at his location.
Target Price	Target bid price for one unit of the item or service to be purchased
Category Name	Name of the broad family or category to which this line belongs
Location	The address where the item or service must be delivered
Note to Suppliers	Any information the category manager wants to communicate to you

Cost Factors Table

The Cost Factor section displays cost factor information defined by the category manager for this line. The first row of this table is named Line Price. When using cost factors, you enter your per-unit price here instead of in the Response Price field.

The table shows the fields in the Cost Factors table.

Field Name	Meaning
Cost Factor	Name of the cost factor defined by the category manager
Pricing Basis	Method for calculating his particular cost factor Use a fixed amount, a per-unit amount, or a percentage of line price amount.

Field Name	Meaning
Target Value	Amount the category manager expects for this cost factor.
Response Value	Your response to the cost factor.
Response Price	Your response value converted to a per-unit price.

Price Breaks and Tiers Tables

Price breaks are only available for purchase agreement outcome negotiations. If there are empty rows in the table, the category manager has defined the price breaks as optional. In this case, you can enter your own price breaks in the empty rows or modify the existing ones.

Category managers can ask for price breaks or quantity based price tiers in negotiations. Suppliers must respond by entering prices for these tiers. They have the option to modify, replace, or delete the proposed tiers.

When suppliers use the spreadsheet import, the price breaks or price tiers in the spreadsheet will replace the tiers previously added online. As a supplier you can delete or modify the price breaks suggested by category manager when responding using a spreadsheet.

The table shows the fields in the Price Breaks table.

Field Name	Meaning
Type	Cumulative or Non-cumulative. With non-cumulative price breaks, only the quantity for this negotiation is eligible for a price break. With cumulative price breaks, a running total of the item quantity is kept over the life of the agreement, and subsequent negotiations can take advantage of the previously accumulated quantity values.
Location	Category manager's site address for which this break applies
Quantity	Quantity bought
Start Date	Date that this break begins
End Date	Date that this break ends
Target Price	Price that the category manager is expecting. This price is shown only if the price break is optional.
Price Basis	Whether the response value you enter is an actual price or discount percentage of the line price
Response Price	Price or discount percentage of the line price that you're offering

You can use quantity-based price tiers in negotiations with any outcome. They function similarly to price breaks in purchase agreements. You enter your own price tiers in the empty rows or modify the category manager-defined price tiers.

The table shows the fields in the Price Tiers table.

Field Name	Meaning
Minimum Quantity	Minimum number of units available for this price
Maximum Quantity	Maximum number of units available for this price
Price	Price per unit offered for this quantity range

Attributes Table

The Attributes table displays information about the line's attributes. You enter your response in the response value field.

The table shows the fields of the Attributes table.

Field Name	Meaning
View Scoring Criteria	Link that opens the Attribute Scoring worksheet. For Multiattribute Weighted Scoring auctions, you should consult the scoring information that the category manager defined. This link only appears if the category manager defined scoring information for at least one attribute and made the information visible by suppliers.
Attribute	The name of the attribute group and the attribute text is displayed.
Target Value	The target value entered by the category manager for the attribute
Response Value	Your response to the attribute. If the category manager defined acceptable values for this field includes a choice list.
Weighted Score	This field is calculated by the application when you enter a value in the Response Value field. This field only appears if the category manager defined scoring criteria and made the information visible by suppliers.
Total Weighted Score	Automatically calculated by the application as you enter values in the response Value fields. Total Weighted Score is the sum of all the Weighted Score fields. It only appears if the category manager defined scoring criteria and made the information visible by suppliers.

Requirements Scoring Worksheet

The Requirements Scoring worksheet only appears if the category manager defined scoring criteria and made it visible by the supplier. View the Requirements Scoring worksheet to determine how the category manager evaluates your responses to the negotiation's requirements.

The table shows the fields of the Requirements Scoring worksheet.

Field Name	Meaning
Requirement	- The name of the requirement section is displayed. There's a row for each requirement. If there are any branching requirements, the hierarchy of the branched requirements is indicated by the numbering value: a. Number: the number of the parent requirement b. Letter: the indicator of which response to the parent requirement triggered the branch question c. Number: the number of the answer selected for the branch question - If this is a two stage RFQ, one or more sections are labeled Technical and one or more sections are labeled Commercial. You must respond to the requirements in both sections.
Acceptable Values	Acceptable response values for the requirement as defined by the category manager For text requirements, this is a list of values. For numeric, date, and date and time requirements, it can be a set of numbers, dates, or one or more ranges of numbers (ranges can't overlap).
Score	If using automatic scoring, the numeric score assigned to that value by the category manager.
Weight or Maximum Score	If weights are enabled, this field displays the numeric value that the category manager defined to reflect that requirement's importance, relative to other requirements. If weights aren't enabled, this field displays the Maximum Score for the requirements as defined by the category manager.

Attributes Scoring Worksheet

The Attribute Scoring worksheet only appears if at least one line attribute has scoring information defined and the category manager decided to display scoring information to the supplier. Each line that has an attribute for which the category manager has entered score information has a table. Additionally, if there's a table for a line, entries for all attributes for that line appear. These attributes appear even if no scoring information was defined for a particular attribute. You can view the Attribute Scoring worksheet to determine how the category manager evaluates your responses to line attributes.

The table shows the fields of the Attribute Scoring worksheet.

Field Name	Meaning
Attribute	Name of the attribute.
Acceptable Response Values	Acceptable bid values for the attribute as defined by the category manager. A text attribute displays a choice list. Numeric and date type attributes, display a set of numbers, or one or more ranges of numbers (ranges can't overlap).
Score	For each acceptable bid value, the numeric score assigned to that value by the category manager
Weight	For each attribute of the line, the numeric value assigned to it by the category manager to reflect that attribute's importance, relative to any other attributes for the line.

Response to Negotiation Requirements

Requirements are questions the category manager added to the negotiation document to solicit extra information. Many times, these questions concern your company, its history and structure. Requirements might ask about certifications your company has achieved.

Your answers to requirements can be used by evaluators when considering your response to the negotiation.

If there are requirements for you to answer, a Requirements train stop appears. Clicking the train stop opens the Create Response: Requirements page, where you enter your answers into the requirements questionnaire shown.

Respond to Requirements

Requirements are grouped into sections. When you first access the Create Response: Requirements page, you will see the requirements for the first section displayed. If there are additional sections, you can access them from the pull down menu on the side of the page.

The requirements are displayed in a questionnaire form. If this requirement maps to a question which you have answered in the past, your last response is defaulted into the response field. If a requirement response is required, it's identified by an asterisk. Also, in some cases, if you select a particular value for a requirement, additional questions are displayed for you to answer. The category manager may have defined a target value for a requirement. You can provide attachments and comments with your response if the category manager has allowed comments and attachments.

There are several different types of entries you can use to answer to requirement questions, depending on how the Category Manager defined the requirements.

- You can enter free form text in the text boxes provided.
 - You can enter a single line of text or multiple lines in a text box.
 - For Number fields, you enter a numeric value. The acceptable format for the number depends on your user preference.
 - For Date fields, you can use the date picker to select a value.
 - For Date and time fields, you can use the date picker to select the date, the time picker in the format: hours + minutes + seconds, and then the applicable AM or PM radio button.
 - For URL fields, you enter a regular internet address.
- You can select a single entry from a drop down list or menu or values. The values appear as radio buttons.
- You can select multiple values from a defined list of values. The values appear as check boxes.

After you have completed your questionnaire, you continue with the rest of your response. If you haven't answered a required question, a message appears when you attempt to submit your response.

Respond to Requirements

In this example, Jo Brown is a supplier contact who is responding to a negotiation for her procurement department. The negotiation contains requirements that solicit information about the company's certification history and corporate structure.

Jo signs in and sees in her Worklist that there is an invitation to a new negotiation. She clicks on the invitation link and then the Create New Response link in the Related Links section. On the Create Response: Overview page, she views the information about the negotiations and then clicks the link for the Requirements train stop.

Entering Responses to Requirements

1. On the Create Response: Requirements page, she views the questionnaire containing the requirement questions, any target values the category manager defined and marked as viewable. She checks to see if there are multiple requirement sections.
2. Jo returns to the first requirement section named General and answers the questions over the corporate structure. She answers the question "Is your company public or private?" by selecting the radio button option for Public.
3. For the question "Where is your corporate headquarters located?" she enters "Toronto" into the text box.
4. For the question "Do you have a corporate location in any of the following cities?" by selecting the check box entries for Vancouver, Chicago, and Philadelphia from the list of cities.
5. To the question "Select your primary business classification?" she selects the value Small Business. Note that since business classification is an attribute of Jo's company's supplier profile, the value she selects is used to update the company's profile once the profile change request is approved by the buyer company. She also provides some certification information the category manager asked for, and adds an attachment.
6. For the questions "When is the start of your fiscal year?" she uses the date picker to select September 1.
7. To the question "Do you have any subsidiaries?" she selects the Yes radio button. This displays an additional question "Select any countries where your subsidiaries are located." For this additional question, she selects check boxes for US, UK, Germany, Mexico, and Brazil.
8. After responding to all the requirements for section General, she clicks the down arrow to view the next requirement section. Once she has answered all the requirements, she clicks Save and then clicks the link for the Lines train stop to continue creating her response.

How You Respond to Lines Using a Spreadsheet

Your business can have tasks for direct material spaces and these tasks may contain negotiations with large number of lines of typically manufacturing parts, components, or construction equipment if you're in construction industry.

These lines typically have a fixed set of line details like cost factors and attributes that can apply to all lines to drive compliance and standards.

You can respond to a large number of negotiation lines items using tailored spreadsheets. Based on your requirements, you can create responses by a spreadsheet using either of these options or both.

You can export the **Requirements and Lines** spreadsheet to gather all response information like the negotiation overview, requirements, and lines, and line details such as line attributes, cost factors, and price tiers represented in a hierarchy under each line and import your response information in the spreadsheet back into the application. For lines with different set of line details and negotiation or both have requirements, then use the **Requirements and Lines** spreadsheet. For more information, see Responding to a Negotiation by Spreadsheet.

Alternatively, you can export the **Lines only** spreadsheet to respond to the lines in the CSV format for a large volume of lines and import your response information in the spreadsheet back into the application. For direct materials when you have large volume of lines with fixed set of the line details (attributes, cost factors, and so on), then use the **Lines only** spreadsheet.

If you as a supplier can't access the **Lines only** spreadsheet then contact the category manager.

When you're responding to a negotiation and you export the lines only spreadsheet to create a response, a spreadsheet in .csv format with content maintained in linear non-hierarchical lines is available. You can use this spreadsheet to respond to large number of lines with details where you can use Excel functions to drag and copy response values for lines and their details or use filters to search lines and its details.

In the spreadsheet, the lines are exported with details in a linear format including cost factors, price tiers, price breaks, or attributes and you can only change response values. All response values entered are validated during import, and errors are displayed to assist you to fix them and upload again.

To add more price tiers or breaks, insert the same set of columns next to the original set for each new record to be added. For example, add additional Price Tiers by copying and inserting the columns: Price Tier Minimum Quantity, Price Tier Maximum Quantity, Price Tier Target Value, and Price Tier Response Price.

When importing, consider these two ways entries are done in the spreadsheet:

- For basic line header columns (line, item, and so on), you need not maintain the same order.
- For line children entries (attributes, cost factors, and so on), maintain the same order across children entries and same the sequence within each child entry.

Only these date value formats are supported and using any other date value format will throw validation errors.

- Date format: yyyy-mm-dd
- Date-time format: yyyy-mm-dd-hh:mm:ss

Only these currency and number value formats are supported and using any other currency value format will throw validation errors:

Numeric value example: 1,234.567 Or 1234.567

This table contains attributes and the related descriptions you can use to update the spreadsheet before import.

Attribute	Editable	Description
Line	No	The number of the line in the negotiation.
Item	No	Item identifier
Revision	No	The latest revision number of the item.
Start Price	No	The item price at which responses to the negotiation should begin.
UOM	No	Enter the unit of measure in which you want to negotiate for the line if it's different from the UOM associated to that line type. See the AddLinesUOM.txt file in the .zip for available UOM values.
Estimated Quantity	No	The expected number of units to be purchased over the life of the agreement.
Estimated Total Amount	No	The estimated amount of business (in the negotiation currency) that you expect to pay for this line.
Negotiation Quantity	No	The number of units buyer wants to purchase.
Best Response Price	No	The best response price for the line from among the active responses.

Attribute	Editable	Description
Line Price	Conditionally (Required if editable)	The response price offered by the supplier for one unit of the item or service.
Response Price	Conditionally (Required if editable)	The actual price per unit.
Supplier Item	No	The unique part number assigned to the item by the supplier.
Manufacturer	No	The manufacturer who has manufactured this item.
Manufacturer Part Number	No	The unique part number assigned to the item by the manufacturer.
Target Minimum Release Amount	No	Minimum amount the category manager wants to release against this blanket agreement line.
Response Minimum Release Amount	Yes (Optional)	The minimum release amount you offer for this agreement line.
Proxy Minimum	Conditionally (Optional if editable)	Enter the minimum price that you're willing to proxy bid for this line.
Response Quantity	Conditionally (Required if editable)	The number of units of the item that you plan to buy. Required for all lines that you want to bid on. If this negotiation allows only full quantities, this field displays the Quantity value and is protected against update. If you're bidding only on selected lines, you can leave all the bid-related columns blank for lines with no bids. This applies only to RFQs that allow you to quote on selected lines. If the line doesn't allow partial quantity bids, this field displays the Response Quantity value and is protected against update.
Promised Delivery Date	Conditionally (Optional if editable)	The date by which you can promise to deliver the item or service to the category manager's location.
Promised Ship Date	Conditionally (Optional if editable)	The date the supplier delivers the item or service (purchase order only).
Note to Buyer	Yes (Optional)	Any additional information for the buyer about this negotiation line.
Requested Delivery Date	No	The date by which the item or service the category manager wants to purchase is needed at the location.

Attribute	Editable	Description
Requested Ship Date	No	For buyer managed transportation, the date the supplier is expected to have the goods ready for pickup from their site.
Target Price	No	Target bid price for one unit of the item or service to be purchased.
Category Name	No	Name of the broad family or category to which this line belongs.
Location	No	Supplier Site Assignment record of the supplier site in the Requisitioning BU.
Close Date	No	The negotiation close date.
Cost Factor	No	The name of the cost factor defined by the category manager.
Pricing Basis	No	The method for calculating his particular cost factor. Use a fixed amount, a per-unit amount, or a percentage of line price amount.
Cost Factor Target Value	No	The amount the category manager expects for this cost factor.
Cost Factor Response Value	Yes (Required)	Your response to the cost factor.
Cost Factor Response Price	No	Your response value converted to a per-unit price.
Price Break Type	No	Select Cumulative to apply the price break to the cumulative quantity on all released shipments for the item as part of the blanket purchase agreement. Select Noncumulative to apply the price break to quantity purchased on a single release against the blanket purchase agreement.
Price Break Location	Conditionally (editable if for at least one line, supplier can modify price breaks. If editable, this column is optional)	Ship-to location where the price break will be applied.
Price Break Quantity	Conditionally (Required if for at least one line, supplier can modify price breaks else display-only)	Specify the quantity for which this price break is requested.

Attribute	Editable	Description
Price Break Target Value	No	Specify a price that the buying organization wants to pay for one unit of the item.
Price Break Start Date	Conditionally (Required if for at least one line, supplier can modify price breaks AND for noncumulative PB else display-only)	Specify the start date for delivering the items for which this price break is requested.
Price Break End Date	Conditionally (Required if for at least one line, supplier can modify price breaks AND for noncumulative PB else display-only)	Specify the end date for delivering the items for which this price break is requested.
Price Break Pricing Basis	Conditionally (Required if for at least one line, supplier can modify price breaks else display-only)	The background for the price break.
Price Break Response Value	Yes (Required)	The response value got for the price break.
Price Tier Minimum Quantity	Yes (Required)	Specify the minimum quantity the buying organization requires for this quantity-based price tier.
Price Tier Maximum Quantity	Yes (Required)	Specify the maximum quantity the buying organization requires for this quantity-based price tier.
Price Tier Target Value	No	Specify a price that the buying organization wants to pay for one unit of the item for this quantity-based price tier.
Price Tier Response Price	Yes (Required)	Specify a price that the buying organization wants to pay for one unit of the item for this quantity-based price tier.
Attribute	No	Enter the name of the line attribute you want to define (Example: PPM rate, grade). The Attribute column and the five of these columns comprise the group of columns used to define a single attribute for this line. Insert and complete a new group of the six columns for each additional attribute associated with this line.
Attribute Group	No	Used to categorize attributes. If a value for Attribute Group isn't defined, the default Attribute Group value is used. See the AddLineAttributeGroups.txt spreadsheet included in the .zip for the group values available to this negotiation.

Attribute	Editable	Description
Attribute Target	No	The target value for the attribute. Your entry must match the Attribute Value Type you specify.
Attribute Response	Conditionally	Enter Required, Optional or Display only to indicate how you want the suppliers to respond, and whether or not entering a response value is required or optional. If this is a multiattribute scoring negotiation and you want to score the attribute, then it must be Required.
Weighted Score	No	This field is calculated by the application when you enter a value in the Response Value field. This field only appears if the category manager defined scoring criteria and made the information visible by suppliers.
Internal Line ID	No	Unique identifier for each response line.
End of Line Delimiter	Yes	This is the last column of your spreadsheet.

Related Topics

- [Default Line Attributes in Negotiations](#)
- [Response to a Negotiation by Spreadsheet](#)
- [Example of Negotiation Styles](#)

Mass Price Reduction

Mass Price Reduction is a method of rebidding by which you can update the response price on multiple lines with a single rebid action. Mass Price Reduction is useful when you have bids on many similar lines.

When submitting a second or subsequent bid in an auction, the Reduce Price button appears on the Create Response: Lines page. Clicking the Reduce Price button displays the Reduce Price dialog box, which lets you to specify how you want your bids to be updated.

Reduction Price %

You enter a reduction as a percentage. After you enter your percentage reduction amount, clicking the Recalculate button displays the new bid values. Since the reduction amount is calculated from your current bids (not the current best bids), your new bid prices may still not become the new best bids, so you may need to reduce and recalculate until you are satisfied with your new bids. When finished, click Submit.

Apply to

You can select which lines to reduce. You can reduce prices for all negotiation lines you currently have bids on or apply the reduction only to your losing lines. Or you can select which of your lines to update.

Proxy Bidding

Proxy bidding enables you to have the application automatically rebid on your behalf by a set amount whenever a bid that improves on your bid is received. Proxy bidding frees you from having to constantly monitor and react to competing bids.

When creating a bid for a negotiation in which you want to use proxy bidding, you must specify two bid controls: proxy decrement and proxy minimum. These two values control how the applications proxy bids on your behalf.

Proxy Decrement

The proxy decrement is the value by which the application will underbid any competing bid which beats your bid. The negotiation author specifies whether the proxy decrement value you enter is considered a flat amount or a percentage of the current best bid. If the value is being used as a percentage, a percent sign appears at the end of the entry field.

Proxy Minimum

The proxy minimum is the amount at which the application ceases proxy bidding on your behalf. The application will not proxy bid for you if the resulting bid would be less than the proxy minimum you specify.

How Proxy Bids Are Calculated

The proxy bidding process uses the two proxy bid controls you defined (Proxy Decrement and Proxy Minimum) and the current best bid to determine which new bid value to submit on your behalf.

How Proxy Bids Are Calculated

When you submit your initial bid amount, you can enter a number as your proxy decrement. The application considers this as either a fixed amount or as a percentage of the current best bid. Either way, this is the amount used by the application when calculating your next bid price. You also declare the proxy minimum amount, which functions as the floor below which you do not bid.

Proxy Bidding Scenario

In the following example, your initial bid is \$1000 with a proxy decrement value of 10% and a proxy minimum amount of \$500.

The following table shows how a proxy bid is updated during the course of a negotiation.

Competing Bid	Your Proxy Bid
\$995	\$895.5 (\$995 reduced by 10%)
\$763	\$686.7 (\$763 reduced by 10%)
\$660	\$594 (\$660 reduced by 10%)
\$540	Proxy bids no longer submitted because they would drop below your proxy minimum of \$500.

Respond to Price Breaks

Price breaks are reductions in the price of an item depending on certain conditions such as purchasing in bulk or from a certain location.

For example, a seller might ask a certain price for a purchase of up to nine cases of widgets but offer a lower price for a purchase of more ten or more cases. Price breaks can be cumulative or noncumulative. Noncumulative price breaks apply only to quantity bought on a single release against the agreement. Cumulative price break amounts accumulate over the life of the agreement. The category manager can choose to allow the supplier to modify the existing price breaks, including even offering new price breaks.

In this scenario, the category manager for Vision corporation has defined a negotiation to renegotiate an existing catalog with Office Supplier's Inc., one of the company's suppliers. Since this is a purchasing agreement outcome, the negotiation contains price breaks on many of the lines. The category manager has chosen to allow the supplier to modify or offer different price breaks. The price breaks are cumulative over the life of the agreement.

James Ng, Office Supplies Inc.'s customer service representative for the Vision account, responds to the negotiation, including responding to the price breaks.

Respond to Price Breaks

1. After viewing the Overview and Requirements pages (if present) and accepting the terms and conditions, he accesses the negotiation line by clicking the Lines train stop at the top of the Overview page.
2. He enters all the appropriate negotiation line information and then notices the icon under the Required Details for one of the negotiation lines. He clicks the icon to access the Lines: Edit Line page.
3. He sees that the line has additional requested information to which he should respond. This information could include price breaks, price tiers, cost factors, and line attributes. For this line, there are price breaks. He views the price breaks suggested by the buyer and replies with the price his company offers.
4. When finished, he clicks Save and Close to continue responding to the negotiation.

Respond to Price Tiers

Price tiers are reductions in the price of an item in return for purchasing it in bulk.

For example, a supplier might ask a certain price for a purchase of up to nine cases of widgets but offer a lower price for a purchase of ten or more cases. Price tiers are used by the buyer and seller to minimize the amount paid per unit and to maximize the number of units sold.

In this scenario, the Category Manager for Vision corporation has defined a negotiation to renegotiate an existing agreement with Office Supplies, Inc., one of the company's major suppliers, and has specified price tiers on many of the lines. John Angelo, the customer representative for Office Supplies Inc account, and so responds to the negotiation.

Respond to Price Tiers

1. After completing the Overview and Requirements page, John accesses the negotiation line by clicking the Lines train stop.
2. He enters all the appropriate negotiation line information and then notices the icon in the Required Details for one of the negotiation lines. He clicks the icon to access the Lines: Edit Line page.

3. He views the existing price tier values that were entered by the negotiation creator. He can enter a different price level structure if he wants. For example, the original price tiers suggested by the Category Manager might be:

Minimum Amount	Maximum Amount	Price
1	500	16
501	1000	14

4. However, Tom wants to propose a different structure and so enters the following table:

Minimum Amount	Maximum Amount	Price
1	300	16
301	600	14
601	1000	12

5. He also enters a response price. Note that, depending on the quantity he is offering to sell, the price must match the price reflected in the price tiers he is suggesting.
6. Once Tom has finished entering his line information, he clicks Save and proceeds creating his response.

Respond to Cost Factors

When creating a new negotiation, a category manager can add cost factors to any line in the negotiation. Cost factors identify additional costs associated with a line which must be negotiated in addition to the line price.

When you respond to a negotiation that includes cost factors, you can view these specific line details (if allowed by the buyer) and enter the additional information requested.

You can define three types of cost factors:

- Fixed amount: A fixed amount can be specified for the entire negotiation quantity.
- Per unit: Charges are applicable per unit of the line item.
- Percentage of line price: Charges are applicable as a percentage of entered line price for the line item.

Your final response price for the line is calculated by adding all the cost factors for the line per unit.

When you review the cost factors for the negotiation line, consider how each is calculated as you prepare your response. The negotiation creator may have also displayed target values for some of the cost factors.

The following scenario shows how Vijay Singh responds to the cost factors on a negotiation line. Vijay works for an import company with business in Asia and South America.

Respond to Cost Factors

1. Vijay accesses the negotiation and navigates to the Lines tab. He sees an icon in the Required Details column for the line he is responding to. He clicks the icon and accesses the Lines: Edit Line page.
2. On the Lines: Edit Line page, he sees that there are three cost factors associated with the line. He also notices that there is a target of \$100 for the shipping charge.

Cost Factor	Pricing Basis
Shipping	Fixed amount per line
Hazardous material charge	Amount per unit
Insurance	Percentage of line price

3. Vijay enters \$200 as the unit price offered, \$125 for the Shipping cost factor, \$50 for hazardous materials charge, and 20 for Insurance. Since Vijay is offering to sell 100 units, this results in a response price of \$6251.65 for the line: $(200 \times 100 + 125 + 50 \times 100 + 200 \times 20 / 100) \times 100$
4. Once he has entered the values for the cost factors, Vijay continues responding to the negotiation.

How You Respond to Line Attributes

The negotiation document author may have asked you to respond to certain important attributes of a particular negotiation line. Such attributes do not deal with price or additional costs of a line, but instead they are concerned with characteristics of the line.

Line attributes may be required or optional. If a line attribute is optional, you do not have to respond to it. You must respond to all required attributes.

Line attributes can be used when evaluating responses to a negotiation. Such negotiations are called multiattribute scored negotiations. In multiattribute scored negotiations, all required attributes of type text, number, or date, have a list of acceptable values defined by the negotiation author. When you reply to a required attribute in a multiattribute scored negotiation, you must select your response from the predefined values. You can enter a value for a required attribute of the type URL. If the negotiation is not a multiattribute scored negotiation, there are no lists of acceptable values, and you can enter any value appropriate for the attribute data type.

The negotiation document author may have defined some additional information you can use when deciding on your response to the line attribute. If the author specifies a target value for a line attribute, she may choose to display the target value. Additionally, in a multiattribute scored negotiation where there are required attributes, the allowable values are assigned a numeric score that indicates that value's desirability. The author may choose to display this information as well. You should check any targets and scores that are displayed when planning your response to the attribute.

When ready to reply to the attribute, you select an acceptable value from the lists supplied if required or enter the value directly if allowed.

Have Different Response Price Decrement for Each Line in Auctions

In auctions, suppliers often submit multiple bid revisions to compete for business. Negotiation owners require, either that the supplier's revised bid price for a line be lower than the best bid, or lower than their previous bid.

This is enforced by specifying a decrement as an amount or a percentage, which is applied to all lines in the auction. But when auction lines have significant price variation, there's a need to apply an appropriate price decrement for a line based on the price of that product or service.

With this feature, you can now set a different decrement for each line. This will ensure that suppliers bid with a lower price than their previous bid or the best bid for each line according to the line's specified decrement. If suppliers fail to reduce their bid price by the specified line decrement, they will be alerted with the exact amount by which they need to reduce the price on each line.

Consider these when you have different response price decrement for each line in auctions:

- To use bid price decrement for each line in auctions, in the negotiation style, select the **Line level price decrement** check box.
- Line level price decrement is enforced even when the supplier uses proxy bidding.
- Proxy bidding enables the supplier to have the application automatically rebid on their behalf by a set amount when a better bid is submitted by another supplier. The supplier can specify a proxy decrement by which the bid price is automatically reduced in order to beat the competing bid. The proxy decrement must be equal to or greater than the minimum line decrement specified for that line.
- For an auction with line level decrement, you can renegotiate an agreement, create an amendment for an auction, create a new round, and duplicate an auction.

How You Create Response to a Large Negotiation

As a category manager, you can create response to large negotiation lines in Oracle Sourcing.

Invited suppliers will receive an invitation notification with the response lines spreadsheet (.CSV) and the negotiation details PDF as an attachment. Suppliers can directly use this response lines spreadsheet to prepare the response and import it.

Suppliers have the ability to search lines and edit their responses online. Suppliers can export a range of response lines by specifying From and To Line numbers. They can create their response in batches to efficiently manage high line volumes.

Events such as export response lines spreadsheet, import response lines spreadsheet, validate response, and submit response, trigger background processes. Suppliers can monitor them in the Monitor Processes page and they are notified once the job is completed.

You can also submit surrogate responses to the large negotiation on behalf of the suppliers.

Suppliers can revise an existing response or submit multiple responses (if allowed).

Negotiation Deliverables

How Managing Contract Deliverables Works for Suppliers

Use the Manage Contract Deliverables task to communicate the status of deliverables to the purchasing department and to submit any required documents.

Contract deliverables are created by the buyer as part of the contract negotiations and are listed in the contract terms. Each deliverable includes information about the due date and can automatically notify you before it is due.

If a particular deliverable is due periodically, then the application creates separate instances for each of the due dates. Such repeating deliverables share the same name but have different due dates. For example, a safety report that is due

every month after the contract is signed, results in multiple instances of the same deliverable each with the appropriate due date.

The following diagram outlines how you use contract deliverables to communicate with the buyer:

1. Before the due date or when you receive a notification, you log onto the Oracle Supplier Portal. You can edit any deliverable in the Open or Rejected status.
2. You can add a comment to the deliverable and attach any required files and submit the deliverable for buyer review.
3. The buyer reviews your submission and indicates if the deliverable is accepted.
4. If the buyer rejected the deliverable and it is in the Rejected status, then you can edit it and submit it for approval again.
5. If the buyer rejects the deliverable and it is past due, the buyer changes the status to Failed to Perform. You cannot edit deliverables with this status.

Buyer Role in Deliverable Management

The buyer reviews the submission:

- If the buyer accepts your submission, the application sets the deliverable to the Completed status.
- If the buyer rejects the deliverable and it is not yet overdue, the application sets it to the Rejected status. If the rejected deliverable is overdue, then the buyer sets it to the Failed to Perform status. The buyer can also cancel the deliverable or modify the due dates on the deliverable by amending the contract.

Automatic Notifications

If you, the supplier, are the responsible party for the deliverable, then the buyer can set up notifications that inform you automatically:

- Prior to the deliverable due date
- When one of the parties changes the status of the deliverable
- When a deliverable is overdue

Negotiation Amendment

Acknowledge an Amendment

Acknowledging a negotiation amendment.

Helen Morgan has already submitted one quote and is monitoring the negotiation using View Active Negotiations. The negotiation is an open RFQ, and she notices that her response is now trailing a lower response. She decides to submit a new response and clicks the Create Response button. She is presented with a warning message saying the negotiation has been changed, and she must first acknowledge the amendments before she can continue placing a new quote.

Acknowledge an Amendment

1. She clicks **Yes** to continue.
2. The **Acknowledge Amendments** page displays summary information about the changes (amendments) to the existing negotiation document. She views this information about the negotiation document change (in this case, a new negotiation line has been added) and decides whether the change affects her new quote. In this case, she decides that not only will she update her existing quote amount, but that she will also submit a quote on the newly added negotiation line.

3. After viewing the details about all the amendments, she selects the check box stating that she has reviewed and acknowledged the amendments. She clicks Submit.
4. A confirmation appears from which she continues placing her new and updated quotes.

Monitor Negotiation

Examples of Monitoring an Active Negotiation

There are several displays and graphs available for monitoring active negotiations. Displays are divided between Overview and Line level displays.

Also, you can select two displays to view at the same time. Note that the monitoring displays are based on price offered only. They do not include additional response details such as cost factor, price break, or line attribute responses. Savings display's require that the Current Price was specified when the negotiation was defined. Blanket and contract purchase agreements negotiations must have an estimated quantity defined to generate certain graphs.

Overview Displays

- Negotiation Summary
Summary information based on combined supplier responses
- Responses by Supplier
Information displayed by supplier response.
- Savings by Supplier
The savings on the negotiation obtained by accepting that supplier's response for the entire negotiation.
- Responses by Time
Displays the negotiation responses as they are received over the course of the negotiation

Line Displays

- Unit Prices by Time
Displays the unit prices as they are received over the course of the negotiation.
- Responses by Time
Displays the line responses as they are received over the course of the negotiation.
- Savings by Supplier
The savings on the line obtained by accepting that supplier's price.
- Unit Price Savings by Supplier
The same as the Savings by Supplier display, but on a per unit basis.

Extend a Negotiation

Sofia Hernandez, a Category Manager, is monitoring a negotiation that is approaching its close time. She checks the line level Responses by Time display and sees that there is an increasing number of responses for a particular negotiation line. She decided to extend that line to allow more responses to be accepted.

Add Participants

Mario Tesca is a collaboration team member for an active negotiation. His collaboration team task is to monitor the behavior of the participating suppliers. He notices that for one of the negotiations he is watching, all of the invited suppliers have responded, but the offers are not as low expected. He decides to invite additional suppliers to the negotiation, hoping the new suppliers will offer lower prices for the negotiation.

Compare Responses

Jane Nakamura, a negotiation author, notices that a particular supplier is offering much lower prices for several negotiation line groups. She checks the line Savings by Supplier display for that line and verifies that the supplier is offering a significantly lower price for the line. However, when she checks the negotiations Savings by Supplier display, she sees that the overall savings available from this supplier is similar to other suppliers participating in the negotiation.

Negotiation Lifecycle

Negotiation Owner Change

You can change the owner of the negotiation. This includes negotiations of all types and statuses. The new owner must be authorized as a Procurement Agent in the Business Unit that owns the existing negotiation.

The new owner of the negotiation can perform all of the management activities of the previous negotiation owner.

Collaboration Team Updates

The new owner and the owner's manager are added to the collaboration team. The previous owner and manager are kept as regular members of the team.

Notifications and PDF Documents

The new owner receives any notifications generated after the ownership is changed. Also, the new owner appears on any printed copies of the negotiation document.

How You Download Attachments in Negotiations

Category managers and collaboration team members can download all attachments in sourcing documents. From a single location, the category managers and collaboration team members can download all the attachments at once or select the required attachments.

In two-stage bidding, only the eligible attachments for a specific phase (technical or commercial) can be downloaded.

Negotiation Attachments

You must be a category manager, collaboration team member, or a supplier to download all or selected negotiation attachments from one location. The attachments added to the header, line, or requirements are shown.

Response Attachments

You must be a category manager or collaboration team member to download all or selected response attachments from one location. The attachments added to the header, line, or requirements are shown.

You can access the Response Attachments page either from the negotiation, or when scoring responses.

Negotiation Controls

Negotiation controls determine which features are available to a negotiation and how they are used. The availability and default values for these controls are specified by which negotiation style you select when you begin defining your negotiation, however, you can override the values here.

Schedule Controls

You have several settings that control the negotiation time line.

- Preview Dates

You can choose to set a preview date for your negotiation. Suppliers can submit their prebids when the negotiation (auction or RFQ) is in the preview status.

- Open Dates

You can choose to open the negotiation immediately, as soon as you publish it, or you can choose a future date on which the negotiation opens for responding.

If approvals are enabled for your procurement BU, then you could choose **Open upon approval** or a specific date as open date. For open date, you can't set the number of days after the approval date.

- Close Date

You must specify a close date. After the close date is reached, the supplier can't submit more responses from the Oracle Supplier Portal, but the buyer can still create surrogate responses for the suppliers. If the negotiation is an auction, you can optionally choose to enable the autoextend or staggered closing feature.

If approvals are enabled for your procurement BU, you can select a specific date as close date, or a set number of days after the open date.

- Award Date

You can specify an award date for the information of the suppliers. Award dates are not enforced by the application. You can award the negotiation at any time after closing it.

Negotiation Controls

You have three controls that control the visibility of supplier responses and the general appearance of the negotiation document.

- Response visibility

Response visibility controls when suppliers can see information from competing responses.

- Open - in an open negotiation, suppliers can see competing response information while the negotiation is active.
 - Blind - in a blind negotiation, suppliers can only see the best bid value (if allowed).
 - Sealed - in a sealed negotiation, buyers cannot see any responses until they are unlocked, and suppliers cannot see any competing response information until the responses are unlocked.
 - When the response visibility control is set to blind, even supplier contacts from the same supplier won't be able to see each other's responses. It'll be displayed as blind.
 - However, if you want other supplier contacts to see the responses, the response visibility can be chosen as open or sealed. Unseal the negotiation so that other contacts can see the responses.
 - Consider these when you're working with RFQs:
 - RFQs enable buyers to collect quotes from suppliers for complex and hard to define items or services, such as made-to-order manufacturing or construction projects. The RFQ process is generally the longest of the negotiation processes.
 - After the suppliers have submitted an initial round of proposals (quotes), the buyer can fine tune the RFQ and initiate detailed negotiations, as necessary. This process may go through multiple rounds of negotiations and quotes.
 - RFQs can be blind (buyer can see the quotes during the RFQ, but suppliers can't) or sealed (neither buyer nor suppliers can see the quotes until the RFQ is closed and the quotes are unsealed), so suppliers can never see each other's quotes while the negotiation is in progress.
- Negotiation layout, response layout, contract terms layout - you can select from predefined document layouts for printing.

Requirements Controls

Requirements are questions presented to participating suppliers to elicit high-level information. Supplier responses to requirements can be assigned scores for use when evaluating among competing responses.

- Enable weights

If you enable this control, you can weight the negotiation requirements to reflect their relative importance.

- Display scoring criteria to suppliers

If you enable this control, the scoring criteria specified by the negotiation author is displayed to the suppliers.

- Default maximum score

The default maximum score sets a default value for the highest value you can enter when scoring supplier responses. You can override this value when creating the actual requirement. However, if many of the requirements you create share the same maximum value, you can simply specify it here as the default to automatically appear.

Line Controls

You use the line control section to specify whether price tiering is available for the negotiation lines. You also specify how line rank is calculated and indicated.

- Price tiers

The kind of price tiers you have available depends on the negotiation outcome. If the outcome is a standard purchase order, you can only use quantity-based price tiers. If the outcome is a blanket purchase agreement, you can use either price breaks or quantity-based price tiers. If you select none, you cannot create any price tier information.

- Rank indicator

You can select whether the top responses are ranked using a numeric ranking (1-3), or whether only the best response is indicated. You can also choose to have no ranking shown.

- Ranking method

You can select whether a supplier response is ranked using the price alone, or whether responses to any line attributes are also used when evaluating response rank. If you do not select Multiattribute scoring, you can define line attributes, but you cannot score them.

RFIs allow buyers to solicit information from suppliers on the goods and services the suppliers provide. This allows buyers to qualify a group of suppliers and identify the suppliers to be included later in the negotiation. As the ranking method can't be applied to an RFI, you can't use the acceptable values in multi-attribute scoring. But, you can create an RFQ for multiattribute scoring.

Response Controls

You have several settings that control which application features are available to the supplier, and how supplier responses are handled.

- You can restrict the participants only to suppliers which were included in the invitation list you specify for the negotiation. If you do not restrict the participants, suppliers could find the negotiation by searching the open negotiations visible in their system. They could access the negotiation and place a response
- You can allow suppliers to see the notes, attachments, or contract terms of other suppliers' responses. This control is only available with sealed negotiations.
- You can allow suppliers to choose which lines to respond to. With this setting enabled, suppliers can choose to not respond to certain lines. If you do not enable this setting, suppliers must respond to every line in the negotiation.
- You can allow suppliers to place multiple responses to a line. If you do not enable this setting, a supplier can only place a single response per round of responding.
- You can choose to display the current best price to suppliers in a blind negotiation. This allows the suppliers to see what price they should beat if they submit a subsequent response. This setting is only available with blind negotiations.
- If you allow multiple responses, you can choose to force the supplier to submit a response that is:
 - Lower than the supplier's last response
 - Lower than the current best price

Monitor Negotiation

Active Negotiations Monitoring

The Live Monitor feature enables you to graphically view and compare responses to a negotiation in real time. It gives you a single location from which you can generate many detailed graphic and text displays.

You can use these graphs to assist in analyzing your negotiation responses both while a negotiation is active and after it closes

Live Monitor displays summary information for the negotiation. This includes information about participation levels, potential savings, and participating suppliers. Additionally Live Monitor can generate the several displays at the negotiation and line levels. These displays are updated in real time to provide the most current displays. Based on the real-time information displayed on the monitor page, user can take suitable action on the negotiation directly from the Live Monitor.

Overview and lines level information is displayed in different tabs. Users gets all the information to monitor the negotiation effectively without leaving the page. Highly advanced graph components support zooming and scrolling. User can drill down to a response from the graph. Alerts are visible directly on the elements.

The Live Monitor page automatically refreshes. You have the choice between manually refreshing the page or using the automatic refresh option. Change indicator icons highlight the changes between consecutive page refreshes.

Bars representing a response are labeled either by the response number or the supplier name. If there are ties among responses, they're distinguished by time submitted. Suppliers are identified on XY charts by shaped icon. Moving your mouse over a graph point or a chart bad displays the time, amount, supplier and supplier site for that response.

If a negotiation is amended or taken to a new round of responding, response information from the previous version is discarded. Pausing a negotiation doesn't affect Live Monitor information. For charts that track responses over time, the time the first response is received becomes the entry in the graph. The graph contains the close date. The time indicators are adjusted and displayed accordingly.

Live Monitor displays aren't available for:

- RFIs
- Contract purchase agreements which have no lines
- Sealed negotiations. The responses must first be unlocked to be visible in Live Monitor.
- Additionally, to generate savings displays, a Current Price value must be provided in the negotiation document.

Responses by Supplier (Negotiation Level)

The graph shows all responses to the negotiation sorted by response amount (the lowest response value appears first). If the supplier has multiple responses, all responses for that supplier are shown.

Savings by Supplier (Negotiation Level)

The graph displays the cumulative savings available from each supplier participating.

Savings by Time (Negotiation Level)

The chart shows savings from each response plotted against time of response submission. No chart is displayed if current prices weren't specified for the negotiation lines.

Unit Prices by Time (Line Level)

This graph shows all the responses to the negotiation. If the supplier has multiple responses, all responses for that supplier are shown, both active and archived. The chart shows the responses for the line, lot, or group line. This is a scatter graph which plots the responses from multiple suppliers in both active and archived status for the selected negotiation line. The data points (responses) pertaining to a single supplier or supplier site combination are connected by line. The Y axis shows the response price offered for that line unit. The X axis shows the time range over which the responses have been submitted. Vertical lines indicate the close date, the current price (if a current price was defined when the negotiation was created), and the target price (if a target price was defined when the negotiation was created).

Responses by Time (Line Level)

This chart shows all responses for the line, lot, or group line. The Y axis shows the response line amount offered for the line. This is calculated as price * quantity. The X axis shows the time range over which the responses have been submitted. Vertical lines indicate the close date, the current price (if a current price was defined when the negotiation was created), and the target price (if a target price was defined when the negotiation was created).

Savings by Supplier (Line Level)

The chart shows all responses to the negotiation. If the supplier has multiple responses, all responses for that supplier are shown. The Y axis shows the savings percentage offered for the line. The X axis shows the time range over which the responses have been submitted. Values can be positive or negative. If no current price was entered when the buyer created the negotiation, an empty graph is displayed with a message that savings couldn't be calculated.

Unit Price Savings by Supplier (Line Level)

The chart shows the savings for the line, lot, or group line. If the supplier has multiple responses, all responses for that supplier are shown. The Y axis shows the savings percentage offered for the line. The X axis shows the time range over which the bids have been submitted. Values can be positive or negative. If no current price was entered when the buyer created the negotiation, an empty graph is displayed with a message that savings couldn't be calculated.

How You Monitor Negotiations

You can monitor the progress of an open auction using the negotiation monitor page (the negotiation monitor page isn't available for blind or sealed auctions, RFQs or RFLs).

You can review the progress of your bid in real time while the auction is still active. The page automatically appears as soon as you submit your bid. It displays again according to a refresh period that you can set from the Actions menu. The Monitor Auction page for suppliers is automatically refreshed during the last hour of the auction when new bids are submitted, or when the existing bids are revised, disqualified, or both. Upon refresh, suppliers will see the count of lines they are trailing on to help them decide whether to revise their bid. You can also access the monitor by clicking the Monitor Negotiation recommended action link in the Ongoing Negotiations region of the Negotiations tab.

Graphic displays that show visually the rank of your bids in relation to competing bids. The two summary displays show the overall rank of your bids. One chart shows the percentage of your bids which fall into the ranking categories (according to the ranking method or the negotiation). The second displays a comparison of your line bid prices to best bid prices for those lines. Additionally, you can also display line level graphs by highlighting a line in the Lines region and clicking the Show Graph button. You can select which chart you want to view - all bids or active bids only. The resulting display shows your bid price compared to competing bid prices.

You can use the negotiation monitor page to easily rebid on your auction. The Revise button displays the monitor negotiation page in edit mode so you can enter new bid values. You can monitor and control your proxy bidding and mass price reduction operations as well (the page displays a warning for any line which has reached their proxy minimum limit).

Related Topics

- [Active Negotiations Monitoring](#)
- [Examples of Monitoring an Active Negotiation](#)

Example of Extending Auctions

When you create a negotiation document, you set a close date and time. This is the time when the application stops accepting responses to the negotiation.

However, if the negotiation is an auction, and you find that the volume of bids has increased close to the end time, you can extend the auction to allow for more bids be accepted. You can extend the auction manually or tell the application to automatically extend the auction by enabling the autoextend feature. You enable autoextend by specifying extension values when you define the negotiation document.

Extend Auctions

To manually extend an auction, select Extend from the Manage submenu of the Actions menu on the negotiation summary page. In the Extend Negotiation section, you supply a new close date and time and submit your change. All participants are notified of the new close date.

To set up the Autoextend feature, you specify parameter values when defining the negotiation document. These parameters control when the autoextension gets triggered, how many autoextensions are allowed, and the length of each extension.

To update the autoextend parameters for an ongoing auction, select Extend from the Manage submenu of the Actions menu on the negotiation summary page. In the Autoextend section enter the new parameter values and click submit.

Related Topics

How Automatic Extensions Are Calculated

You can choose to have the close time of your auction automatically extended if a new winning bid is received during the final minutes of your auction. These extensions are called autoextensions and are only available with auctions.

Settings That Affect Autoextensions

Allow autoextend - allows autoextensions to be defined for this negotiation. Checking Allow autoextend displays the following autoextend controls.

Lowest Triggering Response Rank - You can choose to have an autoextension triggered for any number of the top ranked bids. For example, you could choose to have autoextension triggered whenever you receive a better bid for not only the current winning bid, but also for the current second or third best bids as well. If you know you will award this line to multiple suppliers, the feature permits you to encourage competition on not just the top bid, but competing bids as well. Enable this feature by specifying the bid rank for which the receipt of a bid ranked in this position or higher triggers autoextend. If this field is left blank, any bid triggers autoextensions.

Lines to Autoextend - Identifies individual lines to autoextend. You can choose to autoextend all lines or only the lines that triggered the autoextend.

Start Time of Autoextensions - You can start autoextensions from the scheduled close time of the auction or the time that a triggering bid is received during the triggering period prior to the close time. For example, if you enable an autoextend start time of 30 minutes and a triggering bid is received within the final 30 minutes of the auction, your auction automatically extends for 30 minutes past the scheduled close time of the auction if you select Close date.

However, if you select Receipt time of triggering response, your extension begins as soon as a triggering bid is received within the triggering period.

Triggering Period - the period prior to close date in which responses can trigger autoextend.

Length of Extensions - the duration of each autoextension

For example, you could specify a triggering period of 30 minutes, an extension length of 20 minutes, and a start time of close date. With these settings, if a triggering bid is received at any time within the last 30 minutes of the auction, the close date is moved to 20 minutes past the original close date and time.

Number of Extensions - the number of times a negotiation autoextend. Leaving this field blank allows an unlimited number of autoextensions.

Monitor Supplier Activities

The Monitor Supplier Activities page displays a detailed and historical information about the activities of the suppliers who are participating in the negotiation. You can create reports on the activities in the BI application.

For each supplier, you can see all the activities that supplier has performed for the negotiation. For each activity, you can see the date and the time the supplier performed the activity. The application logs the activities performed by the supplier such as:

- Viewed negotiation
- Acknowledged participation
- Acknowledged amendment
- Downloaded negotiation PDF document
- Downloaded response PDF document
- Accepted terms and conditions
- Created response
- Submitted response
- Analyzed negotiation
- Accepted negotiation invitation
- Accepted terms and conditions
- Surrogate response created
- Viewed negotiation amendment
- Exported response spreadsheet
- Reviewed round changes

Additionally, you can use the Export to Excel option from the Activities to generate a spreadsheet that you can download and save. To monitor an open negotiation's suppliers:

1. On the **Negotiation** work area, from the task panel, select Monitor Negotiations.
2. On the **Manage Negotiations** page, enter the negotiation number or title and click Search.
3. From the search results, find the negotiation you want to monitor and click its negotiation link.
4. On the **Negotiation** page, from the Actions menu, select **Monitor** > **Monitor Supplier Activities**.
5. On the **Monitor Supplier Activities** page, a table shows the suppliers who are participating in the negotiation. An additional table shows the activities logged so far for that supplier. You can highlight a supplier and the activities for that supplier are displayed.
6. From the **Activities** menu in the **Activity Log** section, you can select Export to Excel to generate a spreadsheet that you can save locally.

Monitoring Supplier Activities

Vision Corporation is currently conducting an auction for supplies and services it's going to use to set up a new West Coast office. Currently there are responses from three suppliers in the auction, two who were originally invited and a third who found the auction during a search. The Category Manager performs the following actions using the Monitor Activities page:

- She wants to see detailed information about the second supplier's activity, so she highlights the row in the Supplier Activities table. The Activities table refreshes with the information about the supplier site, supplier contacts, and any activity they have performed on the negotiation.
- The Category Manager notices that the uninvited participant hasn't entered a response. She recognizes the supplier name and remembers that this supplier has accessed several negotiations in the recent past without ever responding. She suspects the supplier has no intention on responding and is only monitoring the progress of the negotiation to obtain competitive information, so she locks the supplier, preventing any further access.

How You Audit Negotiation Changes

You can track and view real-time data changes performed by the negotiation owner, collaboration team members, and procurement agents on a negotiation by generating audit reports in Oracle Sourcing.

The audit framework captures key information including who performed the update, what operation was performed on the field, when it was performed, and how the value was changed.

Attributes can be configured for audit tracking on these negotiation entities:

- Supplier Negotiation (Header)
- Response Currencies
- Collaboration Team Members
- Requirement Sections
- Requirements
- Lines
- Suppliers

Consider these when you're auditing Negotiations:

- Ensure you enable all the attributes that need to be audited. Changes to an attribute will be tracked only if the attribute is enabled for audit.
- Since results are retrieved online, searching time periods longer than a month may have an impact on system performance.
- It's recommended that you run the report using the parent business object supplier negotiation because the report will also include changes to all child objects. You can use a child object in the search if there is a specific need to track changes for only that object for a given time period.
- If audit history is disabled for objects and attributes, history is still retrieved for the periods when they were enabled.
- The audit setup page provides users with access to all applications enabled for audit tracking. Take care when you make changes in the setup page. The impact of changes in setup can impact users across several applications.
- If an object or attribute is disabled or removed from audit tracking, the changes are prospective and not retrospective. Audit history before such change will continue to be available for reporting.
- Updates to negotiation made by non-UI interfaces such as REST or spreadsheet are also captured.

- Tracking data changes for large negotiations aren't supported. For more information on large negotiations, see *How You Create Large Negotiations*.
- For more on audit policies, see *Audit Policies Audit Policies*.

Configure Audit Reports for Negotiations

To start auditing negotiations, select the attributes you require for change tracking:

1. In the Setup and Maintenance work area, use the Manage Audit Policies task:
 - Offering: Procurement
 - Functional Area: Application Extensions
 - Task: Manage Audit Policies
2. In the Manage Audit Policies page, click the **Configure Business Object Attributes** button and then in the **Product** drop-down list, select **Sourcing**.
3. Select the specific business objects and attributes within each object that you require to enable for audit history tracking. For each business objects, the respective attributes are displayed on the right side.
4. Auditors can click the + sign to add more attributes to the list, that need to be audited.
5. Click the **Save** button.

Audit Reports on Negotiations

To generate Audit Reports:

1. In the navigator, click on **Tools** and then click **Audit Reports**.
1. Search for **Business Object Type** as **Supplier Negotiation**. To see audit data for a specific negotiation, you can use the description search field to search by negotiation number.
2. Select the **Show Attribute Details** checkbox to see old and changed values of specific attributes.
3. Select the **Show additional object identifier columns** check box to see more information about the negotiation.
4. The audit report can be exported to a spreadsheet by clicking the **Actions** drop-down list and selecting the desired format (XLS/CSV).

How You Manage Large Negotiation Lifecycle

As a Category Manager, you can manage a large negotiation lifecycle in Oracle Sourcing.

You can manage the large negotiation lifecycle like other negotiations. For example, you can pause, extend, or close it early. Monitor supplier activities, lockout suppliers, or disqualify a response. You can also create an amendment or a new round with background process to carry over lines.

Invite additional suppliers to a large negotiation after it's published using a background process. The background process will generate the negotiation documents and response lines (.CSV) file, which will be sent to all the newly invited suppliers.

Maintain Negotiation

Example of Managing Negotiations

There are many operations you can perform to manage a negotiation while it's active. You perform these tasks by selecting the appropriate suboption from the Manage options of the Actions menu.

Negotiation Close Time

There are many actions you can take while a negotiation is active and receiving responses.

- The Category Manager may receive inquiries from a supplier asking for clarification about a negotiation requirement or line attribute. The Category Manager pauses the negotiation while she's conducting a discussion with the supplier.
- A negotiation may unexpectedly start receiving a large number of responses in the last few minutes before the close time. The Category Manager may decide to manually extend the negotiation to allow all responses to be submitted. Note that you can also define the application to automatically extend negotiations.
- The Category Manager may have decided to begin a new round or responding. She may have decided that enough valid responses have been received that she can begin awarding the negotiation. For either action, the negotiation must be closed before it can be processed further.
- If the negotiation isn't receiving any responses or the responses are unsatisfactory, you can cancel the negotiation ahead of its close time. A negotiation that has been canceled can no longer be processed.

The Category Manager may decide to close a negotiation early if the manager is satisfied with the supplier response. When the negotiation close date is changed to an earlier date, the close date for the negotiation is updated and along with the in-app notification, all invited and participating suppliers are notified by email. There's an option to enter a note to be included in the supplier's email notification.

Negotiation Owners

You can change the owner of the negotiation. The new owner receives any new notifications. The previous owner and the owner's manager are retained as collaboration team members.

Supplier Contact

You can change the supplier contact after a negotiation is published but before it's closed. The new contact receives any new notifications. The old contact is removed from the negotiation's list of invited suppliers and no longer receives any notifications.

Collaboration Teams

There's a new employee in the procurement department. The Category Manager adds the new employee to the collaboration teams for several ongoing negotiations. She can also manage the access level of the new employee between view-only and full access.

Requirements

You can manage requirements for a negotiation while the negotiation is active. You can add new internal requirements and can change the weighting of external requirements.

How You Invite Additional Suppliers

You can invite additional suppliers to an active negotiation. The suppliers are notified and can begin responding just like the suppliers who were included on the original invitation list.

Negotiation Amendments

You can update details of the negotiation while it's active. For example you could add additional negotiation lines or change the award date. Such changes are used to create an amendment to the negotiation. When you create an amendment, participating suppliers are notified. They must access the negotiation, view the amendment, acknowledge the changes, and resubmit their responses.

Related Topics

- [Negotiation Owner Change](#)
- [Example of Extending Auctions](#)
- [Initiate a New Round of Response](#)

Example of Inviting Additional Suppliers to an Active Negotiation

Suppliers can access your negotiation in different ways: suppliers can find your negotiation by searching online; or you can explicitly invite a supplier to participate.

For example, you can research suppliers from the supplier search page and then specifically invite them by adding them to the supplier invitation list while creating the negotiation document. Then when the negotiation is published, invitation notifications are sent to the suppliers you indicated. Also, you can invite additional suppliers after the negotiation has been published or even if the negotiation has been opened for responding. You might want to invite additional suppliers if the response prices you are receiving are not to your liking, if the responses are not meeting negotiation targets, or if new suppliers contact you and ask to be allowed to participate. When you invite a supplier, you specify a main contact to receive notifications. You can change the main supplier contact at a later time if needed, and you can specify an additional contact if necessary. If the supplier has multiple sites registered, you can optionally identify a single supplier site to participate in the negotiation. If you specify a supplier site as well as a supplier on the invitation, only contacts registered with that supplier site can view and participate in the negotiation. Some suppliers can be registered in the application but have not yet applied for approval to conduct spend transactions with your buying organization. Such suppliers are called prospective suppliers. You can add these suppliers to your invitation list. They will receive invitations and can view and respond to the negotiation. They cannot be included on purchase documents until they are approved for spend transactions, however allowing prospective suppliers to participate in the negotiation allows their spend authorization requests to be evaluated at the same time that the negotiation is proceeding.

How You Add an Additional Supplier

Consider you have a public sector RFQ that is soliciting quotes for the construction of a new public library. When you publish the negotiation, invitations are sent to all construction companies with which you have worked in the past. After reading information on the RFQ, a plumbing company contacts you and asks to participate in the bidding, so you add the company to the negotiation.

How You Change a Supplier Contact

You are renegotiating a contract with a company you have dealt with in the past. You update the new negotiation and publish it, but the company contacts you and informs you that the previous negotiation contact has left the company. Using information from the supplier, you update the negotiation to reflect a new contact at the supplier. Note that the original contact is removed from the invitation list and no longer receives any notifications about this negotiation. The new contact receives notifications going forward.

How You Limit Participation to a Specific Supplier Site

There may be situations where because of certain tax regulations or supplier organization, a negotiation is only appropriate for a supplier site located in a particular country, or a site that performs a particular type of processing. In these cases, you may want to select a supplier site. Then for that supplier, only contacts registered for that site can participate in the negotiation.

Example of Managing a Collaboration Team

Collaboration team members have the ability to view and manage a negotiation throughout its life cycle. They can participate in the creation of the draft, the evaluation of the supplier responses, and the awarding of the negotiation.

They can also be assigned tasks for completion along the way. You can add new collaboration team members or change the capabilities of existing members as needed during the negotiation.

Updates to a Collaboration Team

Consider a collaboration team associated with a long-running RFQ. Since this RFQ is associated with a project plan in Oracle Fusion Project Management, it may be active for a considerable length of time, there are numerous changes that could be appropriate as the negotiation moves from one status to another and as the different tasks are completed in the project plan. Such changes could include:

- One of the team members leaves the company or is transferred to another department. That member should be removed from the team.
- Alternatively, two new employees are hired. For training purposes, you could add them with View Only access and allow them to watch as the negotiation progresses.
- As one member's tasks are completed, she could be assigned new tasks that are appropriate for the new stage of the negotiation.
- In the construction project plan, some of the resources assigned to the tasks associated to this negotiation will be collaborating on the negotiation as well. You can directly search the resources in the associated project plans and add them as collaboration team members to this negotiation.

Here are some things you need to know when a collaboration team member is inactive due to a change in job assignment or is no longer working with the organization:

- Inactive members are highlighted and optionally you can remove or replace them, or leave them in the team as a reference if they have completed the assigned tasks.
- For a new amendment, if the original negotiation has inactive members, then they're included in the new amendment, but they're highlighted. But no warning is displayed when you publish the amended negotiation because in the amendment, the collaboration team can't be updated before you publish the amendment.
- For a new round if the original negotiation has inactive members, they will be copied to the new round, the inactive members are highlighted and the warning is shown when the negotiation is published.

Example of Managing Requirements

You can update and manage a negotiation's requirements even after it has been published. This includes updating existing requirements and adding new internal requirements.

Updating an External Requirement

Suppliers can respond to external requirements, so change the weight. Additionally, if the responses have not been as low as anticipated, you may want to change the knockout score to make more responses eligible for further processing.

Updating Internal Requirements

You can add internal requirements while the negotiation is still active. For example, based on the suppliers who have responded, you may decide to additionally solicit information on supplier history from internal participants and use this extra information when evaluating the supplier responses. Also, if the negotiation is a long-running RFQ with many requirements, the importance of some of the requirements may change in relation to other requirements. You could update the weighting factors for these requirements to reflect their changed importance.

Surrogate Responses

A surrogate response is a negotiation response that you enter on behalf of a supplier company. This feature gives the buying organization the ability to capture responses from suppliers who aren't able to directly enter their responses online.

Supplier companies may submit their responses using different communication methods such as faxing or mailing paper documents, emailing PDF documents or spreadsheets. Once you receive the supplier response, you can enter this response in the application as a surrogate response. Surrogate responses are handled by the application the same as responses entered by suppliers with online access. You use surrogate responses to act on behalf of the supplier to:

- Create and manage draft responses.
- Acknowledge the supplier's intent to participate in the negotiation.
- Enter the values that comprise the supplier's response, including values for requirements, negotiation lines, line attributes, cost factors or price breaks.
- Acknowledge an amendment to the negotiation.
- Update a response for a new round of responding or as required by a negotiation amendment.

You can enter surrogate responses online or using a spreadsheet. All response rules applicable to a regular response entered by the supplier will also be applicable to a surrogate response. All features and bidding tools (like proxy bidding, mass price reduction) that are available to suppliers entering an online response can also be used when creating a surrogate response. Since the supplier has no online access to the application and therefore can't receive notifications, you must stay in communication with the supplier about any changes to the negotiation.

Create a Surrogate Response

Surrogate responses are created by the category manager on behalf of a supplier who doesn't have internet access to the negotiation. The supplier contact conveys the response information to the category manager by fax, e-mail, telephone, or other communication methods.

Once the response is entered, the category manager monitors and updates the response as necessary. For example, if the negotiation goes into a new round, the category manager alerts the supplier contact, requests any new response update information, and updates the response accordingly.

Acknowledging a Supplier's Participation

Clare Furey, the category manager for Novella Inc. has been contacted by Jan Dekker, a supplier contact at Acme Office Supplies. Jan has received information about an RFQ that Clare's company is conducting for furniture for a new branch office. Jan's company would like to participate in the RFQ. Jan does not have the complete response information yet, but she contacts Clare and asks her to indicate that Acme Office Supplies will participate in the upcoming negotiation.

1. Clare accesses the negotiation.
2. On the Negotiation summary page, Clare clicks **Suppliers** under Table of Contents to view the table of suppliers invited to the RFQ.
3. She highlights the row for Acme Office Supplier.

4. She clicks **Acknowledge Supplier Participation**.

Creating a Surrogate Response

1. Clare Furey, the category manager for Novella Inc. has received a quote by phone from Jan Dekker, a supplier contact at Acme Office Supplies. Jan has received information about an RFQ that Clare's company is conducting for furniture for a new branch office. Jan's company would like to participate in the RFQ, so she contacts Clare by phone with her company's quotes on the RFQ lines.
2. Clare needs to enter the response information on behalf of Jan, so she accesses the Negotiation summary page.
3. From the **Actions** menu, she selects **Manage** and then **Create Surrogate Response**. (Alternatively, she could use the **Create Surrogate Response** icon for that supplier in the Suppliers table.)
4. On the Create Surrogate Response popup, Clare searches for Acme Office Supplies as the supplier and Jan Dekker as the supplier contact. Once the search dialog box is complete with the supplier and contact names, Clare clicks **Create**.
5. On the Create Response Overview page, Clare checks that her name appears in the Response Entered By field and that Jan Dekker appears in the Supplier Contact field. She enters today's date as the Response Received On date value and notes that she received the response by e-mail.
6. There are no requirements for this negotiation, so Clare accesses the Lines page. On the Create Response: Lines page, she enters the response values that Jan communicated to her.
7. Once she has entered all the response information, Clare clicks **Review** to check the response information is correct.
8. When she is sure she has entered all the response information correctly, she submits the response.

Acknowledging Amendments on Behalf of a Supplier

The category manager has decided to place an additional line on the furniture RFQ. Clare notifies Jan of the amendment, and Jan passes her company's response information for the new line. Now Clare must submit an amended quote that includes the new line.

1. She accesses the RFQ.
2. From the Actions menu, she selects the Manage option and then the Acknowledge Amendments for Supplier
3. She selects the Acme Office Supplies as the supplier and Jan Dekker as the supplier contact for whom she originally created the surrogate response.
4. On the Acknowledge Amendments page, Clare selects the check box for The supplier contact has reviewed the changes and acknowledged amendment.
5. She selects the acknowledge date.
6. She then submits the acknowledgment.
7. The application responds with a message asking if Clare wants to create a new response for the amended negotiation. She replies Yes.
8. When the application navigates her to the Create Response page, Clare enters the response values Jan gave her, completes the response, and submits it.

How can I resolve the invalid date range error when I create a surrogate response?

When you create a surrogate response, the invalid date range error can occur for these reasons:

- In the **Response Received On** field, if you didn't enter a date in between the negotiation open date and the current system date.
- If the time format preference is set to hours and minutes and you created a surrogate response within a minute after publishing the negotiation.

For example, for a negotiation that you published on say 06/21/2022 11:32 AM, you created a surrogate response in the same minute (that is, within 11:32 AM).

To resolve the invalid date range error, navigate to the Set Preferences work area, click **Navigator > Tools > Set Preferences**.

On the Preferences page, click **Regional**. In the **Time Format** field, select a time format that includes seconds; for example, HH.mm.SS. Click **Save and Close**.

How You Extend a Closed Negotiation

You can extend a closed negotiation to give suppliers more time to respond.

When you extend a closed negotiation, all the participating suppliers are notified of the new deadline for which they can now submit new responses or revise their previous responses. Suppliers that already submitted their final responses don't need to resubmit.

To extend a closed negotiation, in the negotiation's page, click **Actions > Manage > Extend** and in the Extend Negotiation dialog box, provide the new close date and then click **Submit**.

Consider these when you extend a closed negotiation.

- You can extend a negotiation that's in any of these statuses:
 - Closed
 - Closed (Locked)
 - Award in progress (for blind or open response visibility)
- You can't extend a sealed negotiation once it's unlocked.
- You can't extend a closed auction in these scenarios:
 - If staggered closing is enabled.
 - If autoextend is triggered for the lines.

How You Cancel a Closed Negotiation

You can cancel negotiations in all statuses before the purchasing documents are created. All the invited and participating suppliers are notified of the cancellation.

Currently, negotiations with response visibility as Open and Blind can be Canceled before they're closed. And negotiations with response visibility as Sealed can be Canceled before proceeding with the award. But there are scenarios that don't lead to an award, as follows:

- Running mock auctions before the live auctions
- Budget constraints
- Items negotiated are no longer required by the requester
- Negotiation did not receive responses and got closed but there's no requirement to extend the negotiation

In these business scenarios, it is necessary to cancel the negotiation, and notify the suppliers that the negotiation process won't be completed.

Consider these when you cancel a negotiation:

- You won't be able to cancel a negotiation in these statuses as they have reached the end of the negotiation lifecycle:
 - Completed, purchasing document created
 - Amended
 - Round completed
- You can't cancel the negotiations whose approval is in process. You must withdraw the approval first, edit the negotiation, and then proceed further.
 - Approval in process
 - Withdrawn
 - Award approval in process
 - Award withdrawn

Create Online Messages

You conduct online discussions within the context of a negotiation. An online discussion can include one or more conversation threads, which any of the participants can initiate.

You can start communications with other internal users as soon as a draft negotiation is created and then throughout the award cycle. After a negotiation is published, you and other internal users can exchange messages with supplier users who are participating in the negotiation.

You create messages on the Online Messages page. Once you access the negotiation, you can navigate to the Online Messages page from any page by selecting the Messages button.

Creating a Message or Reply

The Online Messages page shows you your message information for this negotiation. The region displays a breakdown of the conversations that exist for this negotiation. Each conversation appears as a folder. You can expand the folder to show all its messages and replies. If you select a message, its text appears in the details region in the lower half of the page.

To create a new message:

1. Select the **Create** option from the **Actions** menu or click the create icon.
2. On the Create Message dialog box, specify the scope of the message using the two list of values menus. To include the supplier in the message, select **Supplier** from the first menu, otherwise select **Internal**. To send the message to a single participant, select that participant from the second menu. Note that if you select a single participant, you set the conversation status to private. If you select **All Participants**, you set the conversation status to public.
3. Enter the name of the subject of the message. This becomes the name of this conversation thread and appears as a new folder in the message hierarchy.
4. Enter your message in the text box. You can use rich text formatting and you can include attachments.
5. When you're finished, click the **Send Instant Message** button.

To create a reply:

1. Highlight the message you want to reply to.
2. Select **Reply** from the **Actions** menu. Since you're replying to an existing message, when the Reply to Message dialog box appears, note that the subject for the reply has already been entered.

3. Enter your message in the text box and send the message when you're finished.

Use Online Messaging

Throughout a negotiation, there may be times when you need to communicate with the buying organization to provide additional information or request clarification. You can use online messaging for these communications.

You can participate in multiple online conversations within the context of a negotiation. All messages you initiate are addressed to the buying organization and can be viewed by all members of the buying organization who are also participating in the negotiation. You can reply to messages you're sent by an individual participant of the buying organization.

You can create and view your messages using the **Online Messages** page. If you have outstanding messages, a Messages button is available followed by the number of unread messages you have. If you have no messages, a Create Messages button is available. Either way, if you click the button you access the **Online Messages** page.

The **Online Messages** page shows you your message information for this negotiation, and displays a breakdown of the conversations that exist for this negotiation. Each conversation appears as a folder. You can expand the folder to see all its messages/replies. If you select a message, its text appears in the details region in the lower half of the page.

Creating a Message

To create a new message:

1. Select the Create option from the Actions menu or click the create icon.
2. On the Create Message dialog box, specify the scope of the message using the two list of values menus
3. Enter the name of the subject of the message. This will become the name of this conversation thread and will appear as a new folder in the message hierarchy.
4. Enter your message in the text box. You can use rich text formatting and you can include attachments.
5. When you're finished, click the Send Instant Message button.

Replying to a Message

To reply to a message:

1. Highlight the message you want to reply to.
2. Select Reply from the Actions menu. Since you're replying to an existing message, when the Reply to Message dialog box appears, note that the subject for the reply has already been entered.
3. Enter your message in the text box and send the message when you're finished.

How You Use Online Messages

Throughout a negotiation, there may be times when you must communicate with other internal users (such as members of your negotiation collaboration team) or suppliers to provide additional information or clarification. Also, collaboration team members may want to communicate with each other.

You can use online messages to communicate online with other participants in your negotiation.

Participants using online messages can be:

- The category manager who created the negotiation.
- All members of the collaboration team.
- Procurement agents with access to the negotiation.
- Suppliers participating in the negotiation.

You use online messages within the context of a negotiation. An online conversation is organized into one or more message threads, which any of the participants can initiate. You can start communications with other internal users as soon as a draft negotiation is created. After a negotiation is published, you and other internal users can exchange messages with supplier users who are participating in the negotiation.

- Internal users can send a message to all other internal and external users or a select group of internal and external users.
- If an internal member is added, the new member can see all messages from the beginning of the negotiation.
- A message sent to a collaboration team is visible by all the team members.
- If there's an amendment to the negotiation, all messages, including messages from the previous version, are visible on the same page.
- Supplier can reply to an internal individual, but they can only send a message to the buying organization as a whole. All the internal participants can see the message, but only internal members with full access can reply.
- You can export all online messages in a negotiation into Microsoft Excel to review them offline, or add as an attachment when submitting the negotiation or award for approval.

The table shows the different view and reply options for participants in sealed negotiations.

Participant	Can Send To	Accessible By
Category Manager Collaboration Team Members (Full Access)	All/Any collaboration team member All/Any internal member All/Any suppliers	The user on the To list All internal users Suppliers
Collaboration Team Members (Without Full Access) Procurement Agent with View Only Access to Other Agents' Documents	All/Any collaboration team member All/Any internal member	The user on the To list
Procurement agent with Full Access to other agents' documents	All/Any collaboration team member All/Any internal member All/Any supplier	The user on the To list Suppliers All internal users
Suppliers	Buyer company	All internal users

The table shows the different view and reply options for participants in the sealed negotiations.

Participant	Can Send To	Accessible By
Category manager Collaboration team members (Full Access)	All/Any collaboration team All/Any internal member Any supplier	The user on the To list Suppliers All internal users

Participant	Can Send To	Accessible By
Collaboration team members (without full access) Procurement agent with View Only access to other agents' documents	All/Any collaboration team All/Any internal member	The user on the To list
Procurement agent with Full Access too other agents' documents	All/Any collaboration team member All/Any internal member All/Any supplier	The user on the To list Suppliers All internal users
Suppliers	Buyer company	All internal users

The table shows the different view and reply options for participants in blind negotiations.

Participant	Can Sent To	Accessible By
Category manager Collaboration team members (Full Access)	All/Any collaboration team member All/Any internal member All/Any suppliers	The user on the To list suppliers All internal users
Collaboration team members (without full access) Procurement agent with View Only access to other agents' documents	All/Any Collaboration Team member All/Any internal member	The user on the To list
Procurement agent with Full Access too other agents' documents	All/Any collaboration team member All/Any internal member All/Any supplier	The user on the To list Suppliers All internal users
Suppliers	Buyer company	Internal users

Message Security

Messages sent to all participants are public and can be viewed by all users - collaboration members, procurement agents, and all suppliers. Messages sent to individual users are private and can only be viewed and replied to by those users. You can change a message thread from public to private by replying to a subset of its participants. Similarly, you can change a private thread to a public thread by replying to all participants to the negotiation.

Message Alerts and Notifications

If you have any unread messages, you receive an alert in your Online Messages field. Clicking the button in this field opens your Online Messages table. From there you can view your messages and reply. You can also subscribe to alert notifications so you're notified whenever a new message or reply exists.

Printing Messages

All messages can be printed. You can print an individual message or all messages for a particular negotiation. The messages appear in the same order as online. You can also archive messages.

View Negotiation Work Area

Ongoing Negotiations Section

The Ongoing Negotiations section of the Negotiation work area Overview page provides a quick and efficient way, to access and to work on all ongoing negotiations for which the user is either the owner or a collaboration team member.

Using the Ongoing Negotiations section, users can:

- Analyze the negotiation
- Award the negotiation
- Generate and view a .pdf version of the buyer facing information
- Monitor the negotiation

Negotiations in the following statuses are considered as ongoing.

- Preview
- Active
- Paused
- Closed
- Award in progress
- Award completed
- Allocation in progress
- Allocation failed
- Completed, purchasing document creation process initiated
- Completed, purchasing document creation process failed
- Completed, purchasing document creation process reinitiated

Sealed Negotiations

For negotiations with a sealed response style, additional statuses are included in the above list relating to locked or sealed context.

How You Track Negotiation Lifecycle Activities

As category managers and collaboration team members, you can track negotiation activities throughout the negotiation lifecycle.

The negotiation activities are available in the enhanced user experience format as a timeline view and a list view where you can also download the entire activity log in MS Excel.

Starting with draft creation, all negotiation actions are recorded, which include, publish, close, extend, amendment, new round, and award. Additionally, actions performed by team members during scoring and response analysis are also recorded and displayed in the timeline.

You can track these activities:

- Negotiation lifecycle activities like create, publish, close, award, create purchasing documents, download negotiation documents and attachments, and reassign negotiation
- Track negotiation creation activities like requirements, lines, , suppliers
- Collaboration team member activities like track changes related to addition, updating, deletion of collaboration team members, scoring, and task completion
- Response activities like surrogate response creation and submission, download response documents and attachments, and disqualify response
- Supplier activities like invite additional suppliers, locking out a supplier, and unlocking a supplier
- Sending messages
- Track REST activities
- Large negotiation like trigger asynchronous processes, import negotiation lines, award, and so on

Recent Activity Table

The Recent Activity section of the Negotiation Work Area Overview page gives you the status of your current negotiations and also lists any recent activity the negotiations have undergone.

It reminds you of any pending tasks and recommends any appropriate action based on the type of activity. If there is a task recommended, clicking the link takes you to the page where you can perform the task. If you do not have authorization to perform the task, the link is disabled. Pending tasks are removed once the task is completed.

Controlling Activity Display

Only negotiation activities for which you are either the owner or a collaboration team member are displayed. For activities which have not yet been performed, no activity date or performer is displayed. You can control the display of the Recent Activity information by entering a date in the Activity Since field. When you generate the display, only activity since the date you entered is displayed (pending tasks are always displayed).

How You Track Negotiation Lifecycle Activities

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- Large negotiation like trigger asynchronous processes, import negotiation lines, award, and so on

Evaluate Negotiation

Score Supplier Responses

Negotiation Requirement Responses Scoring

You can score a supplier's response to a negotiation requirement if the requirement was created with a scoring method of manual. Requirements can also be scored automatically by the application (or not require any scoring).

If the requirement is scored, supplier responses are assigned numeric values (either manually or automatically). The score values interact with the weights assigned to the requirement. You can use the weighted scores to compare responses when making award decisions. You must first close the negotiation before you can score requirements.

When the category manager creates a requirement, she defines any requirements needed to solicit additional information from a supplier. Requirements take the form of questions which the supplier contact answers during the course of creating a response to the negotiation. Once the negotiation is closed by the category manager, a response evaluator can view and rate the supplier responses by assigning a numeric score to each supplier response to the requirement. The category manager can then use the requirement ratings along with response price to determine the best supplier(s) from whom to source the item or service.

If the negotiation supports team scoring, the negotiation author can assign one or more members from the collaboration team to a scoring team. The author then assigns the scoring team to one or more requirement sections.

After the negotiation is closed and scoring is opened, the scoring team members can view and score supplier responses to the requirements in the sections that are assigned to their scoring team. Once the scoring team members have entered their scores, and the scoring phase is closed, the application calculates the final score for the requirement.

When calculating scores for supplier responses, there are three possible methods:

- Automatic scoring - The scores for responses are calculated by the application. When defining the negotiation, you must specify the possible response values and assign a score value to each possible value.
- Manual scoring - When defining the negotiation, you don't define any score values. With this method, you (and any scoring team members) view the supplier response and enter scores yourself. The application uses the scores you enter to calculate the weighted score for the response.

- None - if the scoring method is None, no scores are calculated by the application or assigned by anyone.

When the buyer defines the negotiation, if the requirement is available for scoring, she can use the default maximum score value for the requirement, or she can define a new one. Requirements with a scoring method of None aren't scored and therefore have no maximum score value.

After the negotiation is closed, the evaluators (either a single evaluator or members of a scoring team) view each supplier response and assign a score to the response to the requirement. The score value (either entered manually or generated automatically) is divided by the Maximum Score and the result multiplied by the weight of the Requirement. The weighted scores are rolled up to the response level, which means a weighted score is calculated for each requirement, each requirement section, and the supplier response as a whole.

If the scoring method for the requirement is Automatic, the negotiation author defines a score for each possible response value for the requirement. The application uses the scores that the negotiation author defined to the negotiation with the weights to derive the weighted score.

You can give your scores offline by downloading the scoring spreadsheet in the Score Responses page. As prerequisite, you require ADF DI, which is available for Windows only. You can also give scores on behalf of the scoring team member offline by clicking the Score Responses button in the Manage Scoring page. In the **Score Responses** page of the selected user, you can download the scoring spreadsheet for that selected user.

When you define requirements, you can allow suppliers to provide comments with their requirement responses. These comments may provide additional insights that are useful for evaluation and scoring. You can now view the supplier comments in the scoring spreadsheet.

Scoring can happen on behalf of another team member from the application as well (in addition to using the spreadsheet.)

For example, assume a requirement with a scoring method of automatic. The requirement accepts a single response choice. The requirement has maximum score of 20, a weight of 10, and three possible acceptable responses:

- 20
- 15
- 10

If the supplier picks 15, the calculation to determine the weighted score is: $(15 / 20) * 10 = 7.5$

If the requirement allows the supplier to select multiple response choices, the method to calculate the score is different.

- The response score is the sum of the scores for the values the supplier chose.
- The maximum score is the sum of the scores for all possible choices.

For a requirement that allows multiple choices, with a maximum score of 30, a weight of 10, and three possible acceptable responses of

- USD (defined score of 5)
- EUR (defined score of 15)
- CAD (defined score of 10)

If the supplier selects EUR and CAD, the weighted score is calculated as 8.33 (rounded)

$((15 + 10) / (5 + 15 + 10)) * 10 = 8.33$

If the scoring method for the requirement is Manual, the negotiation author defines no score values. When you (or any other scoring team member) views the supplier response, you enter the score directly into the application. The application then uses the scores you enter along with the requirement weights to derive the weighted score.

If the negotiation allows team scoring, the negotiation author creates a scoring team and assigns members to the team. The author also assigns the scoring team to score one or more requirement sections. After the negotiation is closed, and the category manager opens the scoring phase, each team member views the supplier response and enters a score. Once the scoring is complete, the category manager closes the scoring phase, and the application calculates the overall composite average score for the response.

With team scoring, since multiple scores are entered for the same supplier response to the requirement, the application calculates the score by adding together the scores entered by scoring team members and then derives the average score by dividing the total by the number of team members who entered scores (it's possible that a team member didn't enter a score. The application doesn't require a score from each of the team members before it can calculate the final weighted score). When the scoring is closed, the application uses the scores submitted by the scorers to make calculations.

For example, assume this requirement:

- Requirement text: How many employees do you have?
- Requirement Weight: 30 The maximum requirement score is 10
- The maximum requirement score is 10.

The available answers to the requirement are:

- 0 - 500
- 501 - 1000
- 1000+

The scoring team members assigned to score responses to this requirement:

- Vijay Patel
- Susan Lin
- Steve Wolf
- Clare Furey

After all the suppliers have responded and the negotiation is closed, the category manager opens the scoring and team members view and score the supplier response. Once the score team members have entered their scores, the category manager closes the scoring. At this point the score information for this requirement is:

This table shows the employees and the score values for the example.

Name	Score
Vijay Patel	8
Susan Lin	6
Steve Wolf	NA (Steve Wolf didn't submit any score)
Clare Furey	5

Based on these scores, the application calculates the final score as 18.99:

$$(((8 + 6 + 5) / 3) / 10) * 30 = 18.99$$

Use Team Scoring

You can create scoring teams containing members who evaluate supplier responses requirements. You first add the members to a collaboration team. Then you create one or more scoring teams and assign collaboration team members to the appropriate scoring team.

Finally, you assign each scoring team one or more requirement sections. Later, when evaluating supplier responses to the negotiation, scoring team members score supplier responses to the requirements in the sections assigned to that scoring team. Using scoring teams lets you to include subject matter experts who can use their expertise and knowledge to score responses to a negotiation.

Enabling Team Scoring

To use scoring, you must create a negotiation style that supports team scoring. You create and update negotiation style sheets in Setup and Maintenance. Then after you enable team scoring, you select the Enable team scoring check box on the Overview tab when you create a negotiation.

Creating a Scoring Team

You create a scoring team when you create your negotiation document. After you have the teams created, you assign a team to one or more requirement sections. Then when the negotiation is closed and the scoring phase is opened, the team members view and score supplier responses to requirements in that section. To create a scoring team, you first add the team members to the collaboration team for the negotiation. Then you later create the scoring team and assign members from the collaboration team as members.

You can introduce collaboration team members with access only to scoring, where the scoring-only assigned team member will only enter scores for the requirements assigned to that person. Also, scoring-only assigned team members can only view supplier responses to requirements that are assigned to them and can't view responses to requirements that aren't assigned to them. They can't perform any other action on the negotiation except entering scores.

For example, a legal expert can evaluate supplier responses to legal requirements and for an RFQ using two stage evaluation process, you can create separate scoring teams to evaluate technical and commercial requirements. Restrict technical scoring team members from viewing commercial requirement responses, thus making the entire scoring process unbiased.

To create a collaboration team that can be later used for a scoring team:

1. On the Overview page, on the General tab, select Enable team scoring in Requirements.
2. Click the Collaboration Team tab. Note that you and your manager are both automatically added to the collaboration team.
3. To add additional collaboration members, click the Add icon (the plus sign).
Note that you can only add members with full access or scoring-only access to a scoring team. You can't add a collaboration team member who has View Only access.
4. On the resulting row, you can enter the member's name directly, or you can search for and select the member.
5. When you have finished adding all the members for all your collaboration team, click Save.

To create a scoring team::

1. On the Edit Requirement page, create a requirement section.
2. Create the requirements for the section.
Note that although you can create requirements having different scoring methods, only requirements with a scoring method of Manual are available to scoring team members for scoring.
3. Click Manage Scoring.
4. On the Manage Scoring page, click the Create icon.

5. On the Create Scoring Team dialog box, specify:
 - The team name
 - Optionally any instructions for the team members
 - Optionally a deadline by which the scoring should be completed.
6. To assign members to your team, in the Team Members section, in the Members column, highlight the names of the team members and click the ' arrow. The members move from the Available column to the Selected column (You can also use the double arrow heads to quickly move all the available members to the Selected column.)
7. To assign the team to a requirement section, from the Available column in Sections, highlight the sections you want to assign to this team and click the arrow head. (You can use the double arrow heads to move all the available sections to the Selected column.)

Note that members can be participants on one or more teams. Also a single scoring team can be responsible for one of more requirement sections, but a requirement section can only be scored by members of a single team.

Scoring Requirements

After the category manager closes the negotiation, no more supplier responses are accepted. After the category manager opens the negotiation for scoring, scoring team members can access the negotiation and start viewing and scoring supplier responses to requirements in the requirement sections that their teams are responsible for. After the scoring phase is over, the category manager closes scoring. At that point, no more scores can be entered unless the category manager reopens the scoring.

When a new round is created, all team member scores from the previous round are copied over if the requirement remains unchanged. The scores are editable and can be updated in the current round if required.

Use Scoring Requirements

Using scoring requirements in the negotiation.

June Tsai is awarding business in a negotiation. One goal of the negotiation is to identify possible new suppliers for several items. There are several requirements in the negotiation to solicit information about new companies who responded. The negotiation has ended, and June has closed it for responding. She continues evaluating the responses to make her award decisions. The first two requirements deal with company information.

The following table shows the sample requirements used in the worked example.

Requirement	Type	Maximum Score	Weight
Mission Statement	Text	10	40
Years in business	Number	20	60

Scoring Requirements

1. June first closes the negotiation by selecting Manage Negotiations from the task panel. .
2. On the **Manage Negotiations** page, she finds her negotiation and clicks the negotiation number link.
3. On the **Negotiation** page, from the Action menu, she selects the Close suboption of the Manage option.
4. To begin the scoring phase, from the Actions menu, she selects the Open Scoring suboption from the Manage Negotiation option and clicks Submit.

5. From the Actions menu, she selects the Score Response suboption of the Award option.
6. On the **Score Responses** page, she clicks the edit icon for the supplier response she wants to score. On the **Enter Scores** page, she enters her scores using the following values.

Requirement	Type	Maximum Score	Weight	Score Entered	Weighted Score
Mission statement	Text	10	40	9	36
Years in business	Number	20	60	16	48

She can enter scores on behalf of a scoring team member. Scorers can download the scoring spreadsheet and score offline for themselves or others in the scoring team and do the same for themselves and others through application as well. She can view the supplier comments in the scoring spreadsheet.

7. When she has finished entering the scores for the two requirements, she clicks Submit.

Monitor Scoring

After your negotiation has received its responses from your suppliers, and you have opened up the scoring, you can easily monitor the progress of your scoring team members.

To view the scoring for your negotiation:

1. From the Negotiations work area, select Manage from the task panel.
2. On the **Manage Negotiations** page, find and click the link for your negotiation.
3. On the **Negotiation** page, from the Actions menu, select the Manage Scoring suboption from the Manage option.
4. The **Manage Scoring** page shows you:
 - The number and names of the scoring teams as well as their team members.
 - The earliest scoring deadline for the team if any were defined..
 - The requirement section assigned to the team.
 - A graph showing the percentage of total scoring that has been completed.
5. You can drill down into the scoring information by clicking the arrow icon next to the graph. You can see the information for individual team members including the percentage complete value for each member.
6. From the Show menu, you can choose to view:
 - All scoring team members
 - Only members for a particular team.
 - Only members whose scoring assignment is past due.
7. From the Actions menu, you can
 - Refresh the display
 - Close Scoring.

Once you have closed scoring, no more scoring team members can enter scores. However, you can reopen scoring to allow any additional team members to enter scores. You can open and close scoring as long as you haven't selected the Complete Award option.

Example of Scoring Requirements in a Two-Stage RFQ

Tim Chao works for his state's transportation department. The state has decided to open a new branch office. Tim is in charge of determining the best supplier for contract IT services for the new office.

He created a two-stage RFQ for a contract database administrator as well as several other management and administrative positions. Now that the time period for responding has ended, Tim and his team of evaluators begin the process of awarding the contract by scoring the supplier responses to the RFQ requirements.

As the catalog manager and the negotiation creator, Tim controls the scoring process among the evaluators.

Scoring Requirements for a Two-Stage RFQ

1. Tim closes the RFQ.
2. He unlocks the technical requirement section. This makes the supplier responses to the technical requirements visible to the collaboration team members. Tim notifies the technical evaluators that they now have access to the supplier responses, and he asks them to complete their evaluation in a week. At the same time, Tim conducts his own evaluation of the technical requirements.

He can enter scores on behalf of a scoring team member. Scorers can download the scoring spreadsheet and score offline for themselves or others in the scoring team and do the same for themselves and others through application as well. He can view the supplier comments in the scoring spreadsheet.

3. Once all technical evaluators have completed their scoring, Tim applies the knockout scores for the technical requirements. The suppliers who remain after the knockout scores are applied proceed to the next evaluation stage.
4. Tim unseals the technical requirements responses. This allows suppliers to view their own and other suppliers' responses to the technical requirements
5. Tim marks the technical evaluation stage as complete.
6. He unlocks the commercial requirement section. As before, he notifies the commercial evaluators that the responses are available for scoring and assigns them a deadline. Since Tim isn't a commercial evaluator, he doesn't conduct an evaluation of the supplier responses or score them.

He can enter scores on behalf of a scoring team member. Scorers can download the scoring spreadsheet and score offline for themselves or others in the scoring team and do the same for themselves and others through application as well. He can view the supplier comments in the scoring spreadsheet.

7. Once all the commercial evaluators have completed their scoring, Tim unseals the commercial responses so suppliers can view them. He marks the commercial stage complete.
8. Since all the requirement scoring is complete, Tim applies the knock out criteria to eliminate any responses that haven't met the minimum score for the commercial requirements for the RFQ.

Analyze Negotiation Response

Examples of Analyzing Supplier Responses

There are several ways you can analyze supplier responses to your negotiation. You can view and analyze responses both while the negotiation is open and receiving responses, and after the negotiation ends. You can also view the Automatic Award Recommendation generated by the application.

The Monitor Negotiation page provides you with a centralized location to obtain information about all the responding suppliers and their responses while the negotiation is still open. You can obtain information at the response level, or drill down to the line level. Using the displays available, you can easily view competing responses and spot any trends over

time. Also, the Response History page lets you view the responses in the order they were received. If appropriate, you can disqualify any responses from the Response History page. Once you have closed the negotiation, there are many tools and displays available to you to support the analysis of responses.

- Scores

If requirements were defined for the negotiation, automatically scored requirements have already been assigned scores by the application. If there are manually scored requirements, you or an authorized member of the collaboration team can enter scores.

If the negotiation is a two stage RFQ, you must evaluate the technical requirement responses first. Then for the suppliers who pass the technical evaluation, you can evaluate the commercial responses.

- Using knockout criteria and shortlisting

Once you have scored your requirements, you can apply a knockout criteria (if one was defined for the negotiation) to eliminate any responses which don't meet or surpass the minimum score value.

By default, all responding suppliers are placed on the short list. However, you can remove any suppliers from further award consideration by changing their shortlist status.

If you have a large number of supplier responses, using knockout criteria and shortlisting is a good way to reduce the number of responses for analysis.

- Analytic charts and graphs

There are several graphs available to you when making your award decisions. Some are at the response level, some at the line level. These displays are updated in real time, allowing you to enter provisional award decisions and then change the values and view the new graph results until you obtain the exact decision you need. For charts that deal with requirement scores, you should enter values for any manually scored requirements before generating the charts. For charts that display savings amounts, you should enter provisional award values first.

- Spreadsheet analysis

You can download the responses into a spreadsheet and view and analyze the responses offline. You can enter your award decisions into the spreadsheet and upload it back to the applications. Offline analysis is useful when there are many negotiation lines to be considered or there are many supplier responses.

Scenario

Office Supplies, Inc. is conducting an RFQ on several new items they want to add to their inventory. Mary Wang, the buyer responsible for awarding the negotiation has been checking the responses coming in and is now ready to enter her award decisions

Mary closes the negotiation. For one of the negotiation lines, she sees there are many responses, some including alternate lines, so she and other collaboration team members view and score any manually scored requirements.

She applies the knockout criteria. This removes most of the supplier responses for this line. She views the list of remaining suppliers and decides that no more suppliers need to be removed, so she does not change any of the remaining suppliers' shortlist status.

For the remaining suppliers, she generates the supplier level displays by selecting the suppliers and clicking **Award**. She sees that there is a group of responses that offer substantial savings, but that they are very close in price. She decides to split the award among the suppliers, so she generates the line level displays to decide the best amount to award to each supplier.

Scenario

Brown county operations publishes a two-stage RFQ to contract for IT services for a new mass transit department. The category manager, James Sanchez, creates the two-stage RFQ document. He uses the specifications imparted by the new department head to document the technical specifications in two requirement sections that are identified as technical. He also identifies the financial information required for the legally mandated quote process in a requirement section labeled Commercial. After completing the RFQ document, he publishes the negotiation.

Once the specified time period to receive supplier quotes ends, Mr. Sanchez closes the negotiation. He then unlocks and unseals the technical requirements. The designated evaluators for the technical requirements view and score the responses to the technical requirement sections. Mr. Sanchez shortlists the supplier quotes with the best responses to the technical requirements.

Mr. Sanchez then unlocks the commercial requirements. The designated financial evaluators view and score the responses to the financial requirement sections for the shortlisted quotes.

After the technical, commercial, any additional requirements, quote prices and all other negotiation response information have been evaluated. Mr. Sanchez makes the award decisions.

Response Repository

The Response Repository stores previous answers to questions that have been used in Oracle Supplier Qualification Management initiatives, and as requirements in Oracle Sourcing negotiations.

The Response Repository

The Response Repository stores responses from both supplier and internal responders. For suppliers, the repository contains:

- Supplier responses to initiative questions that have been accepted by the supplier qualification manager.
- Supplier responses to sourcing negotiation requirements created using questions from the question library
- Supplier responses that have been approved during the supplier registration process.

A Sourcing category manager can use a question from the question library as a requirement in a negotiation. Then when the responding supplier views the requirements, values from any previous responses are displayed. The supplier can then either accept the values as still valid or can update them. Any updated response values are added to the response repository.

A Sourcing category manager awarding a negotiation can also see the history of responses to questions used as requirements. This information can help in making award decisions.

How Response Rank Using Weights and Scores Is Calculated

Once you have identified the important attributes of your negotiation and assigned them weights and scores, the application uses them to determine the total score for the responses to your negotiation.

Since all weighted attributes are required attributes, each respondent must specify a value for that attribute.

How a Response Rank Is Calculated

The application calculates the value of a response as follows:

1. For each response to a weighted attribute, the application determines the score based on the attribute value scores you defined. For date and number attributes, the application determines which accepted range the value falls in. If the response does not fall in an acceptable range, the response receives a score of 0 for the attribute.

2. The score determined is then multiplied by the weight assigned to the attribute.
3. The adjusted scores are added to determine the total score for the response. The total score is then divided by 100 to convert it to a percentage. The price is then divided by the total score to determine the price to total score ratio. The response with the lowest ratio is considered the more desirable response.

Example 1

Assume a buyer has defined a negotiation and selected the following attributes to be weighted:

The following table shows the sample attributes and their values that are used in the example.

Attribute	Weight
Quantity	50
Need-by Date	30
Color (User-defined attribute)	20

For each of these attributes, the buyer has also defined and scored all acceptable values:

The following table shows the sample attributes and their acceptable values and scores.

Attribute	Acceptable Values	Score
Quantity	<1000	60
Quantity	>1001	100
Color	User-defined color 1 (for example, red)	100
Color	User-defined color 2 (for example, blue)	75

Given these definitions, the price to total score ratios for the following two possible responses are calculated as shown, and Response 2 would be designated as the best response even though the bid price for Response 2 is higher.

Response 1:

The following table shows the sample attributes and the response given to each attribute.

Attribute	Response Value
Quantity	980
Color	User-defined color 2
Price	\$250

Attribute	Response Value

Total score: $(60 * 50) + (75 * 20) / 100 = 45$

Price to Total Score Ratio: $250 / 45 = 5.56$

Response 2:

The following table shows the sample attributes and the responses given for each attribute.

Attribute	Response Value
Quantity	1200
Color	User-defined color 1
Price	\$300

Total Score: $(100 * 50) + (100 * 20) / 100 = 70$

Price to Total Score Ratio: $300 / 70 = 4.29$

Shortlist Suppliers

Shortlist Responses

After you have closed the negotiation and scored any manually scored requirements, you can evaluate the supplier responses based on their scores.

If you defined knock out values for the requirements, you can use this value to eliminate any unacceptable responses and place the acceptable responses on a shortlist. Only responses on the shortlist are available for later awarding. Using the knock out value to eliminate unacceptable responses is a quick way to evaluate a large number of supplier responses.

To shortlist responses:

1. Access the negotiation.
2. Select the Apply Knock Out Criteria option from the Award options of the Actions menu.
3. The Apply Knock Out Criteria dialog box display. Note that all responses are initially included on the shortlist. The upper table of the display shows which responses are removed from the short list if you apply the knock out criteria. The lower table shows which responses remain on the shortlist.
4. To apply the knock out criteria, click OK. Any responses which do not meet the knock out criteria are removed from the shortlist.

You can change a response's shortlist status. You might do this if no responses meet all the knock out criteria, but you still want to award the business to some of the responses. To change the shortlist status:

1. Access the negotiation.
2. Select Award Negotiation from the Award option of the Activities menu.

3. On the Award Negotiation page, select the Suppliers tab.
4. Highlight the supplier whose status you want to change. Highlighting a supplier enables the Change Shortlist Status button.
5. Click Change Shortlist Status.

Amend Negotiation

Create Negotiation Amendment

Negotiation Amendments

After publishing a negotiation, you may need to update information defined in the document. This update is called an amendment. Once you create and publish an amendment, respondents are notified that the sourcing document has been amended.

They are required to review and acknowledge the amended information and resubmit their response in accordance with the amendment. Amendments can be created anytime after the negotiation has been published and before you close it.

The amended negotiations are indicated by suffixing a comma followed by a number to the end of the original negotiation number. The following table shows an example of an original negotiation, the original negotiation number, and the amended negotiation number.

The following table shows how a negotiation number changes due to an amendment.

Original Negotiation	Original Negotiation Number	Amended Negotiation Number
New Denver Office Furniture	4562231	4562231,1

The application ensures that the amended information has been acknowledged by the supplier before a new response is accepted.

Amend the Document

Once you choose to amend a document, you're returned to the initial page of the create negotiation flow, and you proceed through the flow as if you were defining a new negotiation. Some details of the existing document can't be changed, and those details are visible only. At review time, the application displays all the updates you have made to the document that are visible by suppliers.

Supplier Responses to an Amendment

Once you have published it, the suppliers who you invited and any other responding suppliers are notified about the amendment. The suppliers receive the new negotiation details as an attachment. If they attempt to submit a response, they receive a warning message that they must view the amendment and acknowledge it before they can continue. If they have already submitted a response, it's marked as 'resubmission required,' and they have to view the amendment and submit another response to be considered for award. The new draft response pages contains the updated amendment information.

Related Topics

- [Acknowledge an Amendment](#)
- [Amend a Negotiation](#)

Amend a Negotiation

You can make changes to a negotiation while it is active and receiving responses by creating an amendment. After you issued an amendment, amendment notifications are sent to all suppliers who were invited and all suppliers who have responded.

The suppliers can then view the amendments. Once suppliers view and acknowledge the amendment, they can create a new response to the negotiation.

The original negotiation number is augmented with a suffix to indicate the amended version. For example, if the original negotiation number was 500, the first amended version is numbered 500,1.

If a supplier is restricted to a single response and had already responded prior to the amendment, a notification is sent to the supplier. The supplier may view the amendment, acknowledge the changes and submit a new response, in which case it becomes the supplier's new single best response.

You can view the changes by selecting View Amendments from the Manage option of the Actions menu.

In the following example, the category manager decides that, based on responses to an existing line, she will add a new line to the negotiation.

Amend a Negotiation

1. From the Overview page, the category manager accesses the negotiation.
2. From the Actions menu on the Manage Negotiations page, she selects the **Create Amendment** suboption from the **Manage** option.
3. On the Edit Negotiation page, she enters a description for the amendment, and a new close date. She saves her changes.
4. She clicks the **Lines** train stop and uses the Edit Negotiation: Lines page to add a new line.
5. After she has finished entering the new line information, she clicks **Publish**. Any suppliers attempting to create a response will now be required to view and acknowledge the amendment before they can respond.
6. Once the amendment is published, she can view all the amendments and their changes by selecting the **Amendments** suboption of the **View** option of the Actions menu on the negotiation summary page.

Approve Award

Approve Award Recommendation

Document and Award Approvals

Your application may use the approval management system to track and manage approvals of both your negotiation document and your award decisions. You can approve the negotiation document, the negotiation award, or both.

When approvals are used, internal reviewers view and OK the details of the negotiation document and the final award decision.

How Approvals Work

If approvals are enabled, you can have both the negotiation document and the award decision subject to approval before they can be further processed. The Approvals Management Extension is an automated process in which approval checks are passed from a user, a group of users, or the application to another user or group of users for consideration or action. Similarly, after you make an award decision, you can submit it for approval.

When the negotiation document requires approval, you submit the document for approval once you have completed it. When the document has been approved, the application automatically publishes it. The new status for the document depends on the open and preview dates.

- If the open date is Upon Approval, the status is Active.
- If the preview, open, and close dates are in the future, the status is Submitted.
- If the preview is past but open and close are in the future, the status is Active.
- If the previous and open are in the past but the close is in the future, the status is Active.

For award approval, once the award has been approved, the status changes to Approved, and you can complete the award and generate the purchase documents.

Whether a document or award needs approval depends on the approval rules that are defined for the task (publish or award). For example, a negotiation could be subject to approval because it includes items from a particular category, or an award decision could need approval because the award amount is over a certain limit.

If you're an approver for a document or award, you receive a notification when a document or award becomes available for you to view and evaluate. The notification contains information on the negotiation, attachments, and links for approving or rejecting the document or award. Approvers can download these attached documents from their email notification to make an approval decision.

While a negotiation document is being approved, the status of the negotiation is Approval in Progress. While the award is being approved, the status is Award Approval in Process. If there is an issue and an approver rejects the document or award, you receive a notification with information about the rejection. You can edit and update the document or award and resubmit it for approval. Once the document or award is approved, the status changes to Approved, and you receive a notification that the approval is successful. Then you can continue processing the negotiation:

- When the document is approved, it's automatically published.
- You can complete the award and generate the purchase documents after the award decision has been approved.

Note that approvals tasks are different from collaboration team task assignments (although collaboration team members can also be designated as approvers). Tasks that are assigned to collaboration team members are tracked manually and have no effect on the processing of the negotiation by the application.

During both the document approval process and the award approval process, you can monitor the progress of the approvals by viewing the Negotiation Approval Process and the Award Approval Process pages.

Negotiation Approval Process

When negotiation approvals are enabled, the negotiation document requires approval before being automatically published by the application. If award approvals are enabled then negotiation award will need approvals before award can be completed.

A negotiation document or award's status changes as it proceeds through the approval process. You can send attachments to negotiation approvers and award approvers in the approval notification. These tables explain the different statuses for a negotiation or award and the actions that the category manager can perform.

This table explains the possible statuses for negotiation document approvals.

Negotiation Status	Explanation
Draft	The initial status of the negotiation. Also the status of the negotiation after it's rejected. In this case, the category manager can edit and resubmit the negotiation document.
Approval in process	The negotiation document is in the process of being approved.
Submitted	The negotiation document has been approved, but the preview or open date is in the future.
Withdrawn	The negotiation document has been withdrawn from the approval process by the category manager.
Approved (not published)	The negotiation document has been approved but can't be published because the open or close dates have expired, or there was an error in publishing the negotiation. The category manager can use the Modify Schedule dialog box to enter new dates and publish the negotiation.
Active	The negotiation document has been approved is accepting responses.
Rejected	The negotiation document was rejected by one or more of the approvers. The category manager can edit the document and resubmit it.

This scenario shows a possible sequence of actions a category manager could take as a negotiation document undergoes the approval process.

1. The category manager creates the negotiation document. At this point, the document is in Draft status.
2. On the Overview page, category manager adds attachments in the **To Negotiation Approver** category to send to negotiation approvers.
3. Once the document is complete, the category manager submits it for approval. The document status changes to Approval in Process. The category manager receives a notification that the negotiation has been submitted for approval. All the approvers receive notifications that the negotiation document is ready for their approval. The approval notifications may include attachments for approvers to review prior to making approve or reject decision.
4. For a particular negotiation item, the category manager requires some information from a subject matter expert, the category manager creates a subtask from the **Actions** menu and assigns the subtask to the subject matter expert for information and an approval.
5. The category manager notices there was an omission to the document and so removes it from the approval process to correct the error. The status changes to Withdrawn.
6. The category manager edits the document to correct the error. The document status changes to Draft.
7. The category manager resubmits the document for approval. The status is Approval in Process.
8. All approvers approve the document. The status changes to Active. The category manager receives a notification that the document is approved.

The table explains the possible statuses for negotiation award approvals.

Negotiation Status	Explanation
Award Approval in Process	The award is in the process of being approved.

Negotiation Status	Explanation
Withdrawn	The award has been withdrawn from the approval process by the category manager.
Award Approved	All approval actions have completed and the outcome is "approved."
Award Rejected	The award was rejected by one of the approvers. The category manager can access, edit the award and resubmit it for approval.

The following scenario shows a possible sequence of actions a category manager could take as a negotiation award undergoes the approval process.

1. The category manager completes the award and submits it for approval. The document status changes to Award Approval in Process. The category manager receives a notification that the award has been submitted for approval. All the approvers receive notifications that the award is ready for their approval. The approval award notifications may include attachments for approvers to review prior to making approve or reject decision.
2. On the Overview page, category manager adds attachments in the **To Award Approver** category to send to negotiation approvers.
3. One of the approvers rejects the award decision. The category manager receives a notification that the award has been rejected. The award status is Award Rejected.
4. The category manager edits the award decision and resubmits the award for approval. The document status changes to Award Approval in Process.
5. All approvers approve the award. The status changes to Award Approved. The category manager receives a notification that the award is approved.
6. The category manager completes the award and begins creating the purchasing documents.

As the category manager, you can view the approval chain and add any additional approvers to it. You can also monitor the progress of the approval process by viewing the approval history pages.

How You Modify the Approval Chain

Before submitting the document or award for approval, you can modify the approval chain by adding new users or approval groups. You can't remove any of the approvers that are part of the application generated approval chain. Selecting Manage Negotiation Approvals (for negotiation documents) or the Manage Award Approvals (for award approvals) from the Actions menu. In either case, on the Manage Approvals page, you can see the existing approval chain. In the page, there is a tabular display of the approval steps and their approvers. In the lower portion of the page, you can see a graphical display.

To add a new approver to the chain, highlight the stage entry within the stage that you want to update. You can add additional approvers by clicking the add icon and then searching and selecting a new approver or approval group.

How You Send Attachments to Approvers

You can send attachments to negotiation approvers and award approvers in the approval notification. Approvers can download these documents from their email to make an approval decision. When you create a negotiation, or submit a negotiation award for approval, you can add attachments with the relevant category on the Overview page. When you create a negotiation, you can add attachments in the To Negotiation Approvers category on the Overview page. Similarly, when you create a negotiation award, you can add attachments in the To Award Approvers category on the Award page. These attachments are sent to approvers in approval notifications. Approvers can review these attachments before making an approve or reject decision.

As an approver, you can add additional attachments to the document or award before approving it and sending it on to the next approver in the chain. The notification you received to begin your approval has an icon you can use to browse and add an attachment before you pass the document or award to the next approver.

How You View Approval Histories

You can view the progression of both document and award approvals. From Negotiation summary page, select the View Approval History option from the Actions menu. The page lists the steps in the approval chain and their status at the time you accessed the page. You can refresh the page to view the current status of the negotiation's approval. The page displays each stage of the approvals, identifies the participants, and the result of the participant's action. The most current approval event appears on the page. To drill into the details of the approval stage, click the Submit link.

You can view the document approval process, after you have published the document. You can view the progress of the award approval after you submit the award decision for approval. .

How You Recover Approval Exceptions Using Transaction Console

Application administrators can now manage negotiation and award approval transactions using the transaction console. You can recover transactions that have failed after reviewing the fault details.

The Transaction Administration Console provides enhanced diagnostic information and superior search capabilities that enable you to:

- See the status of all of the approval tasks in the system.
- Monitor tasks and take appropriate actions such as withdraw or reassign.
- Monitor tasks that have failed and take appropriate actions such as recover or terminate the approval process.
- Search approval tasks based on user-defined criteria.
- Save search criteria.
- Export the queried results to a spreadsheet.

For more information see, [Transaction Console](#).

Award Negotiation

Allocate Award to Requisition Lines

How You Calculate Default Requisition Allocation

If your negotiation line has backing requisitions, the application generates a default allocation to consume any backing requisitions as efficiently as possible. You can accept this default allocation or modify it as you see fit.

How the Default Requisition Allocation Is Calculated

The requisitions with the earliest Need-by Date are allocated first, followed by requisitions with increasingly later Need-by Dates until the required number of units for the line is allocated. If there are requisitions with the same Need-by Date, the requisition with the earlier creation date is allocated first.

For example, assuming a negotiation with a standard purchase order outcome for 2000 widgets, given the requisition information, the three requisitions would be allocated in the order shown in the table.

The following table shows a sample requisition allocation.

Requisition Number	Need By Date	Creation Date	Quantity
3257894	11/1/2010	6/15/2010	1200
2357198	11/1/2010	6/30/2010	300
3487230	11/30/2010	6/14/2010	500

Suppliers are awarded based first on promised date (standard purchase order negotiations only), then quantity, then price, then response number. For fixed-price services, the first awarded supplier response is allocated. For example, given the response information, the four supplier responses would be allocated as shown (note that the last response is not awarded or allocated its full offer quantity because the negotiation is only for 2000 units).

Supplier Name	Response Number	Promised Date	Quantity	Price
Acme Distributors	57784	8/1/2010	500	\$25
Office Supplies Inc.	46798	8/1/2010	500	\$75
Midwest Supplies	34189	8/1/2010	250	\$20
Premier Supply Company	88346	10/3/2010	1000 (750 awarded or allocated)	\$15

You can modify the default allocation as needed. Any unconsumed requisition demand is returned to the requisition pool and becomes available for other negotiations.

Modify Default Requisition Allocation

Once you generate the purchase order document, any backing requisitions are allocated by default. You can accept this allocation or modify it as necessary.

To modify the default allocation, you should first view the default allocation. If the default allocation doesn't reflect your award decision, you can easily modify it.

View the Allocation

1. On the Create Purchasing Documents page, click View Allocations.
2. On the Line Allocations page, the Lines with Requisitions tab shows the default allocations for each line.

Modify the Allocation

1. On the Line Allocations page, highlight the line whose allocations you want to modify, and click the Edit icon.
2. The Edit Allocation page displays the current allocations. The Requisition Lines table shows the requisition lines that are currently allocated to the negotiation line. The Supplier Allocation Details table displays information

about the suppliers who have been awarded units from the negotiation line and how many requisition units they have been allocated.

3. To modify the allocation, enter the appropriate numbers in the Allocation Quantity column in the Requisition Lines table.
4. When finished, click Save.

Related Topics

- [How You Calculate Default Requisition Allocation](#)

Record Award Decision

How You Award Negotiations

You can break down your award decisions several ways, depending on the responses you receive and the needs of your negotiation.

When the negotiation includes multiple rounds, it's important to have access to the past scoring information throughout the entire process.

For example, in a 2-stage negotiation, suppliers are typically evaluated for technical and commercial requirements and then shortlisted for a new pricing only commercial round to provide a best and final offer. It's important for evaluators, and approvers to have access to scores from the prior round when finalizing the award.

You can view the previous round's requirement scores of the suppliers during award analysis and approval and make an informed award decision based on scores and new round pricing.

You can award the negotiation and choose to not create a purchase order; however, any backing requisitions not allocated to purchase order lines are returned to the requisition pool.

You can now pass descriptive flexfield (DFF) values from the negotiation to the purchasing documents during an award. The DFF values on the negotiation header are passed to the purchasing document header and from the negotiation line to the purchasing document line.

To view the values for the DFFs that can be passed from the negotiation to the outcome purchase order, or purchase agreement, see [How You Use Descriptive Flexfields for Negotiations](#).

Consider these when you pass DFF values from a negotiation to a purchasing document:

- This isn't supported for negotiations with backing requisitions. For such negotiations, no DFF values are copied to purchasing documents.
- The DFF values are passed from the awarded negotiation to the purchasing document only if the negotiation DFF structure is identical to the DFF structure of the outcome purchase order, or the purchase agreement.

When you award a prospective supplier with a missing bank account or an inactive bank account, an error is displayed to prevent you from proceeding with the award.

As a user who is assigned a configured job role with the required privileges, you can take the necessary action to complete the supplier's profile for spend authorization promotion and avoid downstream impacts in the purchase order lifecycle.

Award a Negotiation to a Single Supplier

You can easily award all the lines of a negotiation to a single supplier. Awarding at the negotiation level enables you to quickly enter your award specifications since you don't have to enter an explicit award decision for each negotiation line.

All the lines on which the supplier quoted or bid are awarded to that supplier. Any lines the supplier didn't quote or bid on aren't awarded.

Award an Individual Line to a Single Supplier

You can award all the business for a single negotiation line to single supplier. If the supplier offered only a partial response, the supplier is awarded as many units as were quoted or bid on. The remaining units remain not awarded. If there were backing requisitions for the units, they're returned to the requisition pool. If a supplier has submitted alternate lines, you can award business to the alternate lines just like you would to a regular line.

Dividing a Negotiation Line Among Multiple Suppliers

If necessary, you can split a line between multiple suppliers. This happens often when none of the responses to a particular line offers to sell the entire quote or bid quantity asked for. For example, if you're looking to buy 100 monitors, and supplier A offers to sell 75 monitors for \$300 each, but supplier B offers to sell 60 monitors for \$250 each, you might want to award supplier B the first 60 monitors and award the remaining 40 to supplier A. Note that if you have alternate line responses from the same supplier, you can award the alternate lines just like regular lines. You can therefore split a negotiation line between two different line responses from the same supplier.

Related Topics

- [Example of Awarding a Negotiation by Line](#)
- [Example of Awarding a Negotiation by Response](#)
- [Example of Awarding a Negotiation by Splitting Negotiation Lines](#)
- [Example of Awarding a Negotiation to Multiple Suppliers](#)
- [How You Enable Profile Options](#)

How You Analyze an RFI by Spreadsheet

Once you've exported the spreadsheet, you can open it in Microsoft Excel (version 2003 or later). Excel automatically formats the display based on your style format. The spreadsheet consists of multiple worksheets.

These sections describe the information contained in each worksheet, and the tables in the sections describe each spreadsheet field for that worksheet. As you use the spreadsheets, note that some fields are automatically calculated and updated as you enter values into the spreadsheet. These fields are inside a thick cell border. For some fields you can enter provisional values for requirements and observe the results.

Excel also automatically formats date fields according to your user preferences into the spreadsheet.

Your spreadsheet can have multiple worksheets, depending on how the negotiation was defined. For example, if no attributes were defined, the Attributes Scoring Worksheet doesn't appear.

Using Spreadsheet Processing

This topic contains the instructions for analyzing responses in RFIs using an XML spreadsheet. Spreadsheet processing speeds up the analysis process by letting you analyze your response data offline. The spreadsheet doesn't include all the negotiation details that can be found either online or in the PDF file.

Line Summary Worksheet

The Line Summary Worksheet displays the information defined for the negotiation lines as well as information for any responses on those lines. The worksheet name specifies the range of lines it contains. The Line Summary has entries for each regular line, lot, group, and group line. It doesn't contain entries for lot lines. In the Line Summary table, multiple rows are displayed, one for each response received for the negotiation.

If your negotiation contains many lines, you can control the display by using the down arrow. You have several options including sorting the lines by line number to display specific lines.

The following table shows the fields in the Line Summary worksheet.

Field Name	Meaning
Line	Line number and description as entered by the category manager.
Item	The number of the item that the category manager wants to purchase.
Item Revision	The item revision of the item that the category manager wants to purchase.
Supplier	The name of the supplier who responded to this line.
Business Relationship	The level of participation for this supplier. Suppliers with a business relationship of Prospective can participate, but you can't award business to them until their status is upgraded to Spend Approved.
UOM	The unit of measure in which the category manager plans to buy the item.
Quantity	The number of units the category manager wants to buy.
Response Quantity	The number of units offered by the supplier
Response Price	The price the supplier is offering for one unit of the item or service.
Promised Delivery Date	The date by which the supplier promises to deliver the item or service.
Supplier Site	The supplier site that submitted the response.
Response	The number the application assigned this response.
Category Name	The category name describing the broad family or category to which this line belongs.
Location	The address where the item or service should be delivered.
Line Type	The type of line being negotiated, for example, goods or amount-based.

Overview Worksheet

The Overview Worksheet shows header information for the negotiation. The Overview Worksheet is the default worksheet that appears when you open the spreadsheet. Supplier responses are displayed in different columns to provide for easy side-by-side comparison.

The following table shows the fields in the Overview worksheet.

Field Title	Meaning
Business Relationship	The level of participation for this supplier. Suppliers with a business relationship of Prospective can participate, but you can't award business to them until their status is upgraded to Spend Approved.
Supplier Site	The supplier site from which this response was submitted.
Supplier Contact	Contact who submitted the response.
Response Status	The status of the response.
Shortlist Status	Whether the response is included on the shortlist.
Response Currency	The currency in which the supplier submitted the response (in multiple currency negotiations).
Conversion Rate	The conversion rate defined between the RFI currency and the response currency (in multiple currency negotiations).
Response Total (Response Currency)	The amount of the supplier's response (response price * quantity) in the supplier's currency (in multiple currency negotiations).
Response Amount (RFI Currency)	The amount of the supplier's response (response price * quantity) in response currency.
Time of Response	The time the response was received by the application.
Response Valid Until	The time the response was received by the application.
Reference Number	Number assigned by the application for this response
Note to Buyer	A text note entered by the supplier.
Attachments	Indicator that shows the presence of an attachment that can be downloaded online.

If requirements were defined for this negotiation, information about the supplier responses is displayed in the Requirements section. For each Requirement, supplier responses are displayed in side-by-side columns for easy comparison. If scoring criteria is defined, you can use the View Scoring Criteria link to see the scoring criteria. If the Requirement is internal, there's no supplier response.

If your negotiation contains many lines, you can control the display by using the down arrow. You have several options including sorting the lines by line number to display specific lines.

The following table shows the fields in the Requirement section.

Field Title	Meaning
View Scoring Criteria	Link to the Requirements Scoring Worksheet. This link only appears if the category manager defined scoring information for at least one requirement and made the information visible to suppliers
Requirement	- The name of the requirement section is displayed. There's a row for each requirement. If there's a branched requirement, it's listed in its parent requirement. The hierarchy of the branched requirement is indicated by the numbering value: a. Number: the number of the parent requirement b. Letter: the indicator of which response to the parent requirement triggered the branch question - If this is a two stage RFQ, there's one or more sections labeled Technical and one or more sections labeled Commercial. In two stage RFQs, you must unlock and score the supplier's technical requirements before you can unlock and score any commercial requirements.
Weight	The weight assigned to this requirement (a section's weight is the sum of its Requirements' weights). If manual or automatic scoring is defined for this Requirement, you can change its weight by entering new numbers into the spreadsheet. Weights only appear if the category manager has enabled weights for this negotiation.
Target Value	The target value defined by the category manager.
Score and Weighted Score (Requirement)	The score and weighted score for this Requirement, based on the supplier response. If the Requirement is manually scored, you can enter scores and the weighted score is calculated automatically. Weight values only appear if weights were enabled by the category manager
Score and Weighted Score (Section)	The score or weighted score (if weight is enabled) for this Requirement section, based on the supplier response. Weight values only appear if weights were enabled by the category manager
Total Score or Total Weighted Score	The total score or total weighted score for this supplier's response. Weight values only appear if weights were enabled by the category manager.
Supplier's Response	The response value entered by a supplier.
Attachments	Whether the supplier has provided an attachment
Note to buyer	Any text note the supplier entered

Lines Worksheet

If your negotiation contains many lines, you can control the display by using the down arrow. You have several options including sorting the lines by line number to display specific lines.

The following table shows the fields in the Lines worksheet.

Field Name	Meaning
Line	Line number and description as entered by the category manager
Line Type	The type of line (for example, goods or amount-based)

Field Name	Meaning
Item	The number of the item that the category manager wants to purchase.
Item Revision	Item revision of the item that the category manager wants to purchase.
Category Name	The category name describing the broad family or category to which this line belongs.
Location	The address where the item or service should be delivered.
UOM	The unit of measure for this line.
Target Price	The target response price entered by the category manager.
Current Price	The current price the category manager is paying for this item or service. The Current Price value is used by the application to calculate savings amounts.
Alternate Lines Provided	Indicates if the supplier added any alternate lines in response to a negotiation line.

The response section of the Lines Worksheet displays information about the responses received for this line. The Target Value column displays any target values the category manager has defined. Following the Target Value column, responses for individual suppliers are displayed in side-by-side columns for easy comparison.

The table shows the fields in the response section of the Lines worksheet.

Field Name	Meaning
Line	The number designation for this line
Description	Text description of the item or service for this line.
Business Relationship	The level of participation for this supplier. Suppliers with a business relationship of Prospective can participate, but you can't award business to them until their status is upgraded to Spend Approved.
Supplier Site	The supplier site that submitted the response.
Response Status	Status of the response.
Requirement Score	The score for this requirement.
Shortlist Status	Whether the response is included on the shortlist.
UOM	The unit of measure for this line.

Field Name	Meaning
Response Currency	The currency in which the supplier submitted the response (in multiple currency responses negotiations).
Response Price (Response Currency)	The price offered by the supplier. In a multiple currency negotiation, this value is in the supplier's currency.
Response Price (RFI Currency)	The price offered by the supplier. In a multiple currency negotiation, this value is in the negotiation currency.
Response Quantity	The quantity offered by the supplier's response.
Line Amount	
Unit Price Savings	The difference between the current price being paid for the line and the price being offered.
Unit Price Savings Percent	The Unit Price Savings amount converted to a percentage.
Minimum Release Amount	The minimum amount that can be released against the agreement.
Promised Ship Date	The date the supplier delivers the item or service (purchase order only).
Note to Buyer	A text note entered by the supplier.
Attachments	An indicator that shows whether the supplier also submitted an attachment with the response.

Requirements Scoring Worksheet

The Requirements Scoring Worksheet only appears if scoring criteria was defined by the category manager.

The table shows the fields in the Requirements Scoring worksheet.

Field Name	Meaning
Requirement	- The name of the requirement section is displayed. there's a row for each requirement. The hierarchy of the branched requirement is indicated by the numbering value: a. Number: the number of the parent requirement b. Letter: the indicator of which response to the parent requirement triggered the branch question - If this is a two stage RFQ, there's one or more sections labeled Technical and one or more sections labeled Commercial. In two stage RFQs, you must unlock and score the supplier's technical requirements before you can unlock and score any commercial requirements.
Acceptable Values	The acceptable response values for the requirement as defined by the category manager. For a text requirement, this is a list of values. For numeric, date, and date time type requirements, a set of numbers, dates or range of numbers.

Field Name	Meaning
Score	For automatically scored values, the numeric score assigned to that value by the category manager.
Weight or Maximum Score	If weights are enabled, the numeric value assigned by the category manager. Otherwise, the Maximum Score is displayed as defined by the category manager.

How You Analyze and Award an Auction or RFQ by Spreadsheet

Once you've exported the spreadsheet, you can open it in Microsoft Excel (version 2003 or later). Excel automatically formats the display based on your style format. The spreadsheet consists of multiple worksheets.

These sections describe the information contained in each worksheet, and the tables in the sections describe each spreadsheet field for that worksheet. As you use the spreadsheets, note that some fields are automatically calculated and updated as you enter values into the spreadsheet. These fields are enclosed by a thick cell border.

Excel also automatically formats date fields according to your user preferences into the spreadsheet.

Your spreadsheet can have multiple tabs, depending on the negotiation content. Once you've completed the spreadsheet, import it back to the application.

The following table shows the spreadsheet table and the content they contain.

Worksheet Tabs	Contents
Line Summary Tab	Use this tab to view a summary of all responses to each line in the negotiation including any award decisions made. The Line Summary worksheet displays all groups, group lines, lots, and regular lines. It doesn't display lot lines.
Overview Tab	Use this tab to view the responses' header and requirement information side by side for easy comparison. You can optionally enter or change the scores given to the requirement responses and see how it impacts the Total Weighted Score for the supplier.
Lines Tab	Use this tab to view all the responses' line detail information (for example, cost factors, price breaks, and attributes.) side by side for easy comparison. You can award the lines to the responses and can specify other details like the award or agreement quantity and award reason in this worksheet. All the lines defined in the negotiation are displayed except for lot lines.
Requirements Scoring Tab	Use this section to view any Requirements scoring information.
Attributes Scoring Tab	Use this section to view any line attribute scoring information.

Using Spreadsheet Import

This file contains the instructions for analyzing and awarding responses in negotiations using an XML spreadsheet. Spreadsheet import is very useful when dealing with large negotiations and effectively speeds up the response process. The spreadsheet displays only the necessary information for analyzing and awarding responses. You can easily experiment with different award decisions and see how it impacts the overall savings or other award criteria. The spreadsheet doesn't include all the negotiation details that can be found either online or in the .pdf file.

In each worksheet, fields display negotiation information such as negotiation type, open date, negotiation currency.

Using the Lines Worksheet and the Line Summary Worksheet

The application imports the information entered into the Line Summary Worksheet into the application when processing your award decisions. For straightforward negotiations, for example a simple negotiation, you may want to enter your award values directly into the Line Summary Worksheet.

For more complex negotiations, you might want to use the Lines Worksheet. You can use the Lines Worksheet to perform analysis using the additional supplier response values. For example, you can perform what-if analysis, side-by-side comparison, and additional award and savings calculations that are only available on the Lines Worksheet. You can enter and adjust award quantities to see the effect on the award total.

As you enter award quantities into the Lines Worksheet, the values are automatically copied up into the Line Summary Worksheet. Once you determine your award quantity amounts using the Lines Worksheet, you don't have to reenter the values in the Line Summary Worksheet for uploading into the application.

Note that if you enter values directly into a field in the Line Summary Worksheet, the formula is erased.

Line Summary Worksheet

The Line Summary worksheet displays the information defined for the negotiation lines as well as information for any responses on those lines. The worksheet name specifies the range of lines it contains. The Line Summary has entries for each regular line, lot, group, and group line. It doesn't contain entries for lot lines. In Line Summary table, multiple rows are displayed, one for each response received for the negotiation.

Any award information you enter into the Lines worksheet (see the following) is displayed in summary form on the Line Summary worksheet. Or, you can enter award decisions into the Line Summary worksheet.

The following table shows the attributes for the Lines Summary worksheet.

Field Name	Meaning
Requisitioning BU	The business unit that originated this line. If you're using standalone Sourcing, this column doesn't appear.
Line	Line number and description as entered by the category manager.
Alternate line	If this is an alternate line offered by the supplier, this field displays the alternate line name.
Item	The number of the item that the category manager wants to purchase.
Item Revision	The item revision of the item that the category manager wants to purchase.
Supplier	The name of the supplier who responded to this line.
Business Relationship	The level of participation for this supplier. Suppliers with a business relationship of Prospective can participate, but you can't award business to them until their status is upgraded to Spend Approved.
UOM	The unit of measure in which the category manager plans to buy the item.

Field Name	Meaning
Quantity	The number of units the category manager wants to buy.
Response Quantity	The number of units offered by the supplier.
Estimated Quantity	The number of units the category manager wants to buy over the life of the agreement.
Estimated Total Amount	Estimated amount of business you expect to pay for this line over the life of this agreement. Values only appear if this line is a service line type.
Award	Valid selections are Yes or No. For amount-based and fixed price services line types for a purchase order, use Yes or No to indicate an award to this supplier. For purchase agreements, you can enter a value regardless of line type.
Award Quantity	For goods-based line types, enter number of units awarded to this supplier.
Agreement Quantity	Enter the number of units awarded to this supplier (for goods and rate-based temp labor lines only.
Award Reason	Optional text note to the supplier.
Rank	The rank of this supplier's response among the other responses.
Response Price	The price offered by the supplier for one unit of the item.
Score	If the ranking method for this negotiation is Multiattribute Weighted Scoring, displays the overall line attribute score received by the response.
Promised Delivery Date	The date by which the supplier promises to deliver the item or service.
Response Minimum Release Amount	The minimum release amount offered by this supplier.
Supplier Site	The supplier site which submitted the response.
Response	The number the application assigned this response.
Response Type	Primary or secondary If you submit alternate responses, you can designate one of the responses as your primary.
Requested Delivery Date	The date by which the item or service the category manager wants to purchase is needed at the location.
Target Minimum Release Amount	The minimum release amount asked for by the category manager.

Field Name	Meaning
Category Name	The category name describing the broad family or category to which this line belongs.
Location	The address where the item or service should be delivered.
Line Type	The type of line being negotiated, for example, goods or amount-based.

Overview Worksheet

This worksheet displays the responses' header and requirement information side by side for easy comparison. You can optionally enter or change the scores given to the requirement responses and see how it impacts the Total Weighted Score for the supplier.

The following table shows the fields in the Overview worksheet.

Field Title	Meaning
Supplier company name and Response number	The name of the supplier who submitted a response on this negotiation and the number assigned to the response by the application. Each response has a separate column in the Overview table. This title identifies the supplier who submitted the response.
Business Relationship	The level of participation for this supplier. Suppliers with a business relationship of Prospective can participate, but you can't award business to them until their status is upgraded to Spend Approved.
Supplier Site	The supplier site from which this response was submitted.
Supplier Contact	Contact who submitted the response.
Response Status	The status of the response.
Shortlist Status	Whether the response is included on the shortlist.
Response Currency	The currency in which the supplier submitted the response (in multiple currency negotiations).
Conversion Rate	The exchange rate defined between the negotiation currency and the response currency (in multiple currency negotiations).
Response Total (Negotiation Currency)	The amount of the supplier's response (response price * quantity) in the negotiation currency (in a multiple currency negotiation).
Response Amount (Response Currency)	The amount of the supplier's response (response price * quantity) in response currency.

Field Title	Meaning
Total Award Amount	The total amount awarded to this supplier in the response currency. This field automatically updates as you enter award decision information into the Lines worksheet.
Time of response	The time the response was received by the application.
Response Valid Until	The date after which the response is no longer valid.
Reference Number	A number entered by the supplier for internal tracking.
Note to Buyer	A text note entered by the supplier.
Attachments	Indicator shows the presence of an attachment that can be downloaded online.

If requirements were defined for this negotiation, the supplier response information is displayed in the Requirements section. For each Requirement, supplier responses are displayed for easy comparison. If scoring criteria is defined, you can use the View Scoring Criteria link see the scoring criteria. If the Requirement is internal, you see no supplier response.

If your negotiation contains many lines, you can control the display by using the down arrow. You have several options including sorting the lines by line number to display specific lines. The information in the following table is displayed for each line of the negotiation.

You can use this section of the Overview worksheet to manipulate scores for manually scored requirements. You can enter different values in the Score and Weighted Score fields for supplier responses, and the Weighted Score field recalculates automatically.

The following table shows the fields in the Requirement section of the Overview worksheet.

Field Title	Meaning
View Scoring Criteria	Link to the Requirements Scoring Worksheet. This link only appears if the category manager defined scoring information for at least one requirement.
Requirement	- The name of the requirement section is displayed. There's a row for each requirement. If there's a branched requirement, it's listed in its parent requirement. The hierarchy of the branched requirement is indicated by the numbering value: a. Number: the number of the parent requirement b. Letter: the indicator of which response to the parent requirement triggered the branch question - If this is a two stage RFQ, there's one or more section labeled Technical and one or more sections labeled Commercial. In two stage RFQs, you must unlock and score the supplier's technical requirements before you can unlock and score any commercial requirements.
Weight	The weight assigned to this requirement (a section's weight is the sum of its requirements' weights). If manual or automatic scoring is defined for this requirement, you can change its weight by entering new numbers into the spreadsheet. You can use weighting only if the category manager enabled weights for this negotiation.

Field Title	Meaning
Target Value	The target value defined by the category manager.
Score and Weighted Score (Requirement)	The score and weighted score for this requirement, based on the supplier response. If the requirement is manually scored, you can enter scores and the weighted score is calculated automatically. Weight values only appear if weights were enabled by the category manager.
Score or Weighted Score (Section)	The score or weighted score for this requirement section, based on the supplier response. Weight values only appear if weights were enabled by the category manager
Total Score or Total Weighted Score	The total score or total weighted score for this supplier's response. Weight values only appear if weights were enabled by the category manager
Supplier's Response Value (per Requirement)	The response value entered by the supplier. there's a separate column for each supplier response.
Attachments	Whether the supplier provided any attachments with the response
Comments	Any comments entered by the supplier

Lines Worksheet

The following table shows the summary fields in the Lines worksheet. These fields are automatically updated as you process the spreadsheet.

Field Name	Meaning
Number of Awarded Lines	The current number of lines you've awarded.
Number of Awarded Suppliers	The current number of suppliers who have been awarded business.
Total Current Value	The sum of all current amounts. The value of this negotiation based on the price currently being paid for this item by the category manager (total current amount = number of units being awarded * current price).
Total Award Amount	The value currently awarded for this negotiation. This is the sum of all current award totals. This field is automatically updated as you enter award decision information into the spreadsheet.
Total Savings Amount	The current amount you've saved.
Total Savings Percent	The current Total Savings Amount converted into a percentage.

If your negotiation contains many lines, you can control the display by clicking the down arrow. You have several options including sorting the lines by line number to display specific lines. The information in the following table is displayed for each line of the negotiation.

The following table shows the fields in the line section of the Lines worksheet.

Field Name	Meaning
Line	Line number and description as entered by the category manager
Line Type	The type of line (for example, goods or amount-based
Item	The Item Number of the item that the category manager wants to purchase.
Item Revision	Item revision number of the item that the category manager wants to purchase.
Category Name	The category name describing the broad family or category to which this line belongs.
UOM	The unit of measure for this line.
Start Price	The starting response price for one unit of the item or service being negotiated. Your response price can't be higher than the response start price.
Location	The address where the item or service should be delivered.
Current Price	The current price the category manager is paying for this item or service. The Current Price value is used by the application to calculate savings amounts.
Alternate Lines Provided	An indicator showing the presence of supplier-provided alternate response lines.
Award Quantity	For purchase order outcomes, the number of units currently awarded to all suppliers for this line. This field is automatically updated as you enter award decision information into the spreadsheet.
Agreement Quantity	For purchase agreement outcomes, the number of units currently awarded to all suppliers for this line. This field is automatically updated as you enter award decision information into the spreadsheet.
Award Amount	The total amount awarded for this line. This amount is calculated automatically as you enter award decisions into the spreadsheet.
Unit Price Savings	The savings amount per unit gained based on the award quantity.
Unit Price Savings Percent	The savings amount per unit converted into a percentage. This percent is calculated automatically as you enter award decisions into the spreadsheet.

The response section of the Lines Worksheet displays information on the responses received for this line. The Target Value column displays any target values the category manager has defined. Following the Target column, responses for individual suppliers are displayed in side-by-side columns to allow easy comparison.

The following table shows response information to the negotiation lines.

Field Name	Meaning
Business Relationship	The level of participation for this supplier. Suppliers with a business relationship of Prospective can participate, but you can't award business to them until their status is upgraded to Spend Approved.
Supplier Site	The supplier site that submitted the response.
Response Status	Status of the response.
Shortlist Status	Whether the response is included on the shortlist.
Rank	The rank of this response among other suppliers' responses.
UOM	The unit of measure for this line.
Response Currency	The currency in which the supplier submitted the response (if multiple currency responses are allowed).
Response Price (Response Currency)	The price offered by the supplier, including any cost factors (assuming the entire response quantity is awarded). In a multi-currency negotiation, this value is in the supplier's chosen currency.
Response Price (Negotiation Currency)	The price offered by the supplier, including any cost factors (assuming the entire response quantity is awarded). In a multi-currency negotiation, this value is in the negotiation currency.
Response Quantity	The quantity offered by the supplier's response.
Unit Price Savings	The difference between the current price being paid for the line as defined by the category manager and the price being offered in the supplier's response.
Unit Price Savings Percent	The Unit Price Savings amount converted to a percentage.
Minimum Release Amount	The minimum monetary amount for a release against this agreement (purchase agreements only) offered by the supplier's response.
Award	For a purchase agreement outcome, select Yes or No to enter an award to this supplier. You can optionally also enter a Agreement Quantity value. This field is enabled when the outcome is a purchase agreement or when the outcome is a purchase order and line type is fixed price services. Select Yes or No to enter an award for this supplier
Award Quantity	If this is a purchase order negotiation for a Goods-Based line type, enter the quantity of units you're awarding this supplier.
Agreement Quantity	Enter the number of units you're awarding this supplier (for purchase agreements only).
Award Price	The response price adjusted based on the number of units awarded to this supplier. This is only displayed if the line has any quantity-based price tiers or fixed-amount cost factors where award price will be dependent on the quantity awarded to the suppliers.

Field Name	Meaning
UOM	The unit of measure for this line.
Award Amount	The amount of this supplier's award and is calculated as Award Price * Award Quantity or Agreement Quantity.
Note to Buyer	A text note entered by the supplier.
Attachments	An indicator that shows whether the supplier also submitted an attachment for this line with the response.

The cost factors section displays any cost factors the category manager applied to the line. There will always be at least two rows. The first, Line Price (Per Unit), represents the response price offered by the supplier for one unit of the item or service. This row is followed by one or more rows representing the additional cost factors for this line. The values in the Target Value column display the category manager's target value. The values in the supplier columns display the cost factor amounts applied to that supplier.

The following table shows the fields in the cost factor section of the lines spreadsheet.

Field Name	Meaning
Cost Factor Name (Pricing Basis)	The name and pricing basis of cost factor. The first row will always be called Line Price (Per Unit) and represents the price for one unit of the item or service.
Target Value	The target value defined by the category manager.
Supplier Response(s)	The value offered by the supplier for this cost factor.

If the category manager defined price breaks for this negotiation, the Price Breaks section displays the information defined by the category manager and any supplier responses. The Target Value column displays the price break information specified by the category manager. Following the Target column, there are columns displaying the suppliers' responses side by side for easy comparison. If the category manager allows the price breaks to be modified and suppliers defined any of their own price breaks, there will be rows showing the breaks offered by that supplier.

The following table shows the fields in the price break section of the lines worksheet.

Field Name	Meaning
Ship-to Organization	The organization to which the location is defined.
Location	The location to which this price break applies.
Quantity	The unit quantity to which the price break applies.

Field Name	Meaning
Start Date	The date when the price break begins.
End Date	The date the price break expires.
Price	The price offered.
Price Discount Percentage	The discount offered.

The category manager can specify price variations based on quantity. These function similarly to price breaks, but are based on quantity only. In the Quantity-Based Price Tiers section, there's one row for each price tier.

The following table shows the fields in the price tiers section of the lines worksheet.

Field Name	Meaning
Minimum Quantity	The minimum quantity for this price tier.
Maximum Quantity	The maximum quantity for this price tier.
Response Price	The supplier's price offered for this price tier.

Requirements Scoring Tab

The Requirements Scoring Worksheet only appears if scoring criteria was defined by the category manager. All requirements that are scored are displayed, including ones that don't have scoring criteria.

The following table shows the fields in the Requirements Scoring tab of the Lines spreadsheet.

Field Name	Meaning
Requirements	- The name of the requirement section is displayed. There's a row for each requirement. If there's a branched requirement, it's listed in its parent requirement. The hierarchy of the branched requirement is indicated by the numbering value: a. Number: the number of the parent requirement b. Letter: the indicator of which response to the parent requirement triggered the branch question - If this is a two stage RFQ, there's one or more section labeled Technical and one or more sections labeled Commercial. In two stage RFQs, you must unlock and score the supplier's technical requirements before you can unlock and score any commercial requirements.
Acceptable Values	The acceptable response values for the requirement as defined by the category manager. For a text requirement, this will be a list of values. For numeric, date, and date/time type requirements, it can be a set of numbers, dates, or one or more ranges of numbers (ranges can't overlap).
Score	For automatically scored requirements, the numeric score assigned to that value by the category manager.

Field Name	Meaning
Weight or Maximum Score	If weights are enabled, for each requirement, the numeric value assigned to it by the category manager to reflect that requirement's importance, relative to any other requirements; otherwise, the Maximum Score for the requirements is displayed as defined by the category manager.

Attributes Scoring Tab

The following table shows the fields of the Attributes Scoring tab. It shows the attribute scoring criteria for all attributes in all lines.

Field Name	Meaning
Attribute	Name of the attribute.
Acceptable Response Values	The acceptable response values for the attribute as defined by the category manager. For a text attribute, this will be a list of values. For numeric and date type attributes, it can be a set of numbers or one or more ranges of numbers (ranges can't overlap).
Score	For each acceptable attribute value, the numeric score assigned to that value by the category manager.
Weight	If weights are enabled, for each attribute the value assigned to it by the category manager to reflect that attribute's importance, relative to any other attributes for the line.

Strategies to Award Negotiations

You can break down your award decisions several ways, depending on the responses you receive and the needs of your negotiation.

You can award the negotiation and choose to not create a purchase order; however, any backing requisitions not allocated to purchase order lines are returned to the requisition pool.

Awarding a Negotiation to a Single Supplier

You can easily award all the lines of a negotiation to a single supplier. Awarding at the negotiation level enables you to quickly enter your award specifications since you do not have to enter an explicit award decision for each negotiation line. All the lines on which the supplier quoted or bid are awarded to that supplier. Any lines the supplier did not quote or bid on are not awarded.

Awarding an Individual Line to a Single Supplier

You can award all the business for a single negotiation line to single supplier. If the supplier offered only a partial response, the supplier is awarded as many units as were quoted or bid. The remaining units remain not awarded. If there were backing requisitions for the units, the requisition units that were not awarded are returned to the requisition pool.

Dividing a Negotiation Line Among Multiple Suppliers

If necessary, you can split a line between multiple suppliers. This happens often when none of the responses to a particular line offers to sell the entire quantity asked for. For example, if you are looking to buy 100 monitors, and

supplier A offers to sell 75 monitors for \$300 each, but supplier B offers to sell 60 monitors for \$250 each, you might want to award supplier B the first 60 monitors and award the remaining 40 to supplier A.

Using the Automatic Award Recommendation

You can use the application to generate an award recommendation. This recommendation is based solely on the price offered by suppliers.

Related Topics

- [Use Automatic Award Recommendation](#)

Example of Awarding a Negotiation by Line

When you have a negotiation with many supplier responses, you may need to break up the award and give different lines to different suppliers. This is typical when the response rules of the negotiation allow suppliers to select lines on which they respond.

In this example, the catalog manager's company is expanding into a new region of the country and is looking to acquire new suppliers. They have opened the negotiation to allow responses from as many new suppliers as possible. Additionally, the negotiation allows the suppliers to select which lines they respond to. The catalog manager decides to award the negotiation by line.

Awarding by Line

1. She accesses the negotiation from the home page.
2. On the negotiation summary page for the negotiation, from the Actions Menu, she selects **Award > Award Negotiation**.
3. On the Award Negotiation page, she clicks the **Lines** tab. The Award table has an entry for the negotiation's lines, lots and groups.
4. She highlights the first line she wants to award and clicks **Award**.
5. On the Award Line page, she enters the award decision for the line. This includes identifying which suppliers are receiving awards and their awarded quantity. She can award an entire line to a single supplier or split a line between multiple suppliers by selecting the suppliers for award and entering the awarded quantity for each (groups awarded at the group level cannot be split although the individual group lines can). Note that the entire line quantity does not have to be awarded.
6. Once all the award decisions have been entered, she clicks **Save** and returns to Award Negotiation page.

Example of Awarding a Negotiation by Response

Vision Enterprise has just finished conducting a negotiation on computer supplies it needs to open a new office in Denver. It has received responses from several suppliers.

Some of the suppliers are new but several are incumbent suppliers who have worked with Vision Enterprises for many years.

In this scenario, you must decide whether it makes sense to award at the line level, or does it make sense to award the entire negotiation to a single supplier.

Supplier	Status	Address	Total Response Amount
Acme Office Supplies	Incumbent	4532 Pine Rd., Schaumburg, IL	\$1,350,00

Supplier	Status	Address	Total Response Amount
Your Office Supplies	New	8776 Rolling Branch Dr., Kansas KS	\$1,250,00
Rocky Mountain Tech Suppliers	New	4135 Nugget Rd., Denver CO	\$1,124,00
Atlantic Tech	Incumbent	235 Silver Maple Rd., Baltimore, MD	\$1,325,00

To award this negotiation, you must perform the following tasks:

View Responses and Make Award Decision

1. Close the negotiation.
2. Unlock the responses (if the negotiation is Blind). If the negotiation is also sealed, you can also unseal the responses to let the suppliers view the responses.
3. Select Analyze Negotiation to view and analyze the responses.

Enter Award Decision

1. Access the negotiation.
2. From the Suppliers tab, you can Score requirements that require manual scoring.
3. Click Award.
4. On the Award Responses page, you can view the responses from each supplier and compare them side by side. When you are ready, you select the target supplier and award the negotiation.

Example of Awarding a Negotiation by Splitting Negotiation Lines

Vision Enterprise has just finished conducting a negotiation on computer supplies it needs to open a new office in Denver. It has received responses from several suppliers.

Some of the suppliers are new but several are incumbent suppliers who have worked with Vision Enterprises for many years. The range of prices offered in the responses varies widely in some cases, and additionally, since the negotiation did not require total unit amount to be offered, several suppliers offered to sell only partial line amounts.

In this scenario, since the offers for the lines have varied so widely, you have decided to award the negotiation to multiple suppliers. To do that, you must award each line individually, and must decide how to award each line among the suppliers who have responded. The table shows the prices offered for an office desk. The negotiation document asked for the supplier to sell 10 desks at \$250 each.

Desks	Negotiation Document	Acme Office Supplies	Rocky Mountain Tech Suppliers	Atlantic Tech
Target Price (per unit)	\$250	\$300	\$325	\$200
Target Quantity	10	7	8	5

Use the Award by Line option to split this line.

Splitting a Line Among Multiple Suppliers

1. Access the negotiation.
2. Close the negotiation.
3. On the negotiation summary page, select the **Award** from the **Actions** menu.
4. On the Award Negotiation page, select the **Lines** tab.
5. Select the line, group, group line, lot, or lot line, and click **Award**. (Note that group lines cannot be award individually.)
6. On the Award Line page, the negotiation line targets are shown and all of the responses to that line are displayed horizontally for ease of comparison. When evaluating responses, also note that some responses may have notes or attachments.
7. When you have made your award decisions, enter the number of awarded units in the Award Quantity for each response. In this example, you would award five units (desks) to Atlantic Tech for \$200 each, and the remaining five units to Acme Office Supplies.

Example of Awarding a Negotiation to Multiple Suppliers

Vision Enterprise has just finished conducting a negotiation on computer supplies it needs to open a new office in Denver. It has received responses from several suppliers.

Some of the suppliers are new but several are incumbent suppliers who have worked with Vision Enterprises for many years. The range of prices offered in the responses varies widely in some cases, and additionally, since the negotiation did not require total unit amount to be offered, several suppliers offered to sell only partial line amounts.

In this scenario, since the offers for the lines have varied so widely, you have decided to award the negotiation to multiple suppliers. To do that, you must award each line individually, and must decide how to award each line among the suppliers who have responded. The table shows the prices offered for an office desk. The negotiation document asked for the supplier to sell 10 desks at \$250 each.

Negotiation Line	Negotiation Document Target Line Total	Acme Office Supplies	Rocky Mountain Tech Suppliers	Atlantic Tech
Line One Chairs	\$3000	\$2700	\$3250	\$23100
Line Two Filing Cabinets	\$750	\$800	\$750	\$1000
Line Three (Group) Reception Area Furniture	\$2000	\$3000	\$2100	\$1900

Use the Award by Line option to award a specific line to a specific supplier.

Awarding Different Lines to Different Suppliers

1. Access the negotiation.
2. Close the negotiation.
3. Select the **Award** from the **Activities** menu.
4. On the Award Negotiation page, select the **Lines** tab.

5. Select the first line, group, lot, or lot line, and click **Award**. (Note that group lines cannot be award individually.)
6. On the Award Line page, the negotiation line targets are shown and all of the responses to that line are displayed horizontally for ease of comparison. When evaluating responses, also note that some responses may have notes or attachments.
7. Enter the award quantity in the Award Quantity for the selected supplier. Leave Award Quantity empty for the remaining suppliers' responses.
8. Save your award decision. Return to the Award Line page and continue with the remaining lines.

How You Calculate Automatic Award Recommendation

You can have the application generate a default award recommendation that you can accept and use as the basis of your award decision. The automatic award recommendation is a recommendation only. To use it, you must accept it and complete the award process.

How the Automatic Award Recommendation Is Calculated

The automatic award recommendation is based on price offered in the supplier responses (if Multiattribute Scoring is in effect, the recommendation is based on price/score). No additional response adjustments such as cost factors, manually scored header requirements, or price breaks are considered.

For each line, the application awards the full quantity from the best supplier response to that line. If the line quantity being asked in the negotiation is still not full, the application awards the quantity from the next best supplier responses and so on until the line quantity is satisfied.

Related Topics

- [Modify Default Requisition Allocation](#)

Use Automatic Award Recommendation

While suppliers are responding to the negotiation, the application maintains a suggested award recommendation. You can view this recommendation while the negotiation is open and suppliers are still responding.

After you have closed the negotiation to responding, you can have the application generate the automatic award recommendation. Requirement scores aren't considered in the automatic award recommendation.

This recommendation considers response price and responses to automatically scored line attributes, if multi-attribute scoring is used. It does not consider the effects of supplier responses to price breaks or quantity based tiers. Requirement scores are also not considered in the automatic award recommendation.

Once the automatic award recommendation is generated, you can close the negotiation and accept it to use for your award decisions.

Use Automatic Award Recommendation

1. Access the negotiation. From the **Actions** menu on the negotiations summary page, select the **Award** option.
2. On the Award Negotiation page, select **View Automatic Award Recommendation** from the **Actions** menu.
3. Review the details of the recommended award decision. The Automatic Award Recommendation page shows which suppliers were selected by the application, how many units were awarded to each, and the savings obtained.
4. If you are satisfied with the application's recommended award decisions, click **Accept Recommendation**.
5. When you are returned to the Award Negotiation page, you can click **Complete Award** to continue and generate purchasing documents.

How You Calculate Cost Factors in Awards

When comparing competing supplier responses, any fixed-amount cost factors must be adjusted according to the quantity the supplier response is offering.

This results in a per-unit price that reflects both the offer price and the effects of all cost factors, allowing you to more effectively evaluate competing responses.

How You Calculate Cost Factors in Awards

Any fixed amount cost factor are added together and the total is divided by the number of units being offered by the supplier. That value is then added to the price being offered by the supplier together with other percentage of line and per-unit cost factors.

Equation: (line price + (line price * % of line price cost factors)) + per-unit cost factor) + (fixed amount cost factor / quantity offered by supplier)

What happens if I do not award all the negotiation business?

After you have awarded the negotiation, any outstanding requisition demand not allocated to a purchase order line is returned to the requisition pool for future processing.

How You Upload Award Lines Spreadsheet

Organizations may require to source large volumes of negotiation line items, which may reduce the efficiency of category managers when awarding suppliers. Use the flat file-based spreadsheet template to award high volume negotiations.

You can export this simple flat format (.csv) based spreadsheet template using Microsoft Excel or any standard spreadsheet utility to quickly prepare an award decision offline. You can then import the award decisions for all line items. The template presents negotiation lines and supplier details in a linear format. This enables users to easily award many lines at once by using common spreadsheet functions such as drag and copy, or set filters to award specific lines.

. In the **Export Spreadsheet** dialog box, select **Lines only** to use this template.

Complete Award

How You Complete Your Award

Once you have entered and saved your award decisions, you can complete the award. Completing the award process finalizes the award decisions. Once you complete the award process, you can't change your award decisions.

When you choose to complete your award, a dialog box menu appears. Depending on the options you select, you can

- Continue to the purchase order creation process immediately. If you're using an external purchasing application, you can use the Award Web Service to generate an .xml file containing the purchase document information and pass the file to the external application.
- Return to your negotiation at a later time to create the purchase order.
- Finalize the award without creating any purchase order.

- For agreements that have backing requisitions, immediately create purchase orders once the agreement is created.

Optionally you can choose to notify the suppliers about the award decision after the award is completed. Until the award decision is shared with the suppliers, the response status is displayed as pending award. After the award decision is shared, suppliers will start seeing their response status as awarded or rejected based on the decision.

For negotiations where the outcome is a blanket purchase agreement and the negotiation contains backing requisition lines, when you complete the award, if you have selected the **Source requisitions from purchasing documents** check box, then the purchase orders are immediately created after the agreement is created. To return the requisitions back to the pool, don't select the **Source requisitions from purchasing documents** check box.

Options to Generate Purchasing Documents

When you generate purchasing documents, there are several parameters to consider. These parameters control how the application processes the purchasing document:

- Required Acknowledgment
- Acknowledge Within Days
- Initiate Approval

Additionally, if this is a purchase agreement, there are other parameters available by editing the agreement header.

- Agreement Start and End Dates
- Requisitioning BUs
- Automatic Processes

Required Acknowledgment

This column specifies whether and what type of supplier acknowledgment the buying organization requires. The options are:

- None
- Document (standard purchase order, blanket purchase agreement, contract purchase agreement)
- Document and Schedule (standard purchase order only)
- Document and Line (blanket purchase agreement)

Acknowledgment Within

This column lets you to specify the number of days within which the supplier must acknowledge receipt of the purchasing document. A value is required here unless Required Acknowledgment is None.

Initiate Approval

If you have an approval procedure enabled in the purchasing application, checking this box initiates the document approval action. Notifications are sent to all suppliers who have been awarded any business.

Agreement Start and End Dates

For purchasing agreements only, the beginning and end dates of the agreement.

Requisitioning BUs

For purchase agreements only, the requisitioning BUs which can create releases against this purchase agreement.

Automatic Processes

For purchase agreements only, the procurement automatic processes consist of the settings to be enabled and the processes to be run while generating this purchase agreement or processing releases against the agreement. Also, automatic processes control retroactive pricing options.

Exporting Purchasing Documents

If you're using a legacy purchasing application other than Oracle Purchasing to create purchasing documents, then when you click submit on the Create Purchase Documents page, the Negotiation Award Web Service is invoked and generates the OAGIS award XML file and passes this to the external purchasing service. The external service processes the XML file and creates the purchase documents in the legacy purchasing application. The URL for this external service is configured in Configure Negotiation Award Outbound Service page in the Setup and Maintenance application.

How You Create Purchase Documents Externally

If you're using legacy purchasing application other than Oracle Purchasing to create purchasing documents, you use the Negotiation Award Web Service to generate the OAGIS award XML file and pass this file to the external purchasing service.

The external service processes the XML file and creates the purchasing documents in the legacy purchasing application.

Using an External Purchasing Application

On the Purchasing Documents page, clicking Export Purchasing Documents calls the Award Web Service and the application passes the purchase information to generate the .xml file. The Award Web Service passes the xml file to the external purchasing application for processing. Once the purchasing documents are created in external legacy purchasing application, you can run another web service, Update Purchasing Document Numbers which imports the external purchasing document numbers and the links you can follow to view the full details of the externally created purchasing documents in the legacy application.

Viewing the Purchasing Document

After the external processing is complete, you can return to the Purchasing Documents page and click the external purchasing document link to view the corresponding purchasing document details in the legacy application. The values in Purchasing Document column are internally generated within Oracle Sourcing to uniquely identify these purchasing documents within Oracle Fusion. The values in external purchasing document column are the actual purchasing document numbers in the legacy purchasing application

How You Determine Supply Chain Financial Orchestration and Purchase Document Line Grouping

When you award negotiation lines to suppliers, the awarded lines are grouped together to create one or more purchasing documents.

How these lines are grouped depends on whether a supply chain financial orchestration agreement is in effect for the line (and if so, the values for the supply chain financial orchestration agreement attributes) as well as the values for typical grouping attributes.

Global procurement is a procurement strategy wherein a central buying organization buys goods from suppliers on behalf of one more internal organization. The supplier liability is borne by the purchasing organization. The purchasing and requesting organizations settle the financial transaction among themselves. The financial route is the route in which these financial transactions are settled. This can be different from the physical route and involve one or more intermediary nodes forming part of the route. The intermediary nodes are internal organizations that aren't part of

the physical supply chain transaction but are part of the financial route. How these transactions are routed among the internal nodes is specified and controlled by supply chain financial organization agreements.

Settings That Affect How Awarded Lines Are Grouped

The following attributes of an awarded line are used by the application to group lines onto purchase orders:

- Requisitioning BU
- Sold-to LE
- Bill-to Location
- Bill-to BU
- Supplier
- Supplier Site
- Taxation Country
- Document Fiscal Classification

Additionally, the set parameter Multiple Legal Entities on Order also affects line grouping. Multiple Legal Entities on Order applies at the Requisitioning BU level.

Distinguishing between Global and Local Lines.

Any line for which an supply chain financial orchestration agreement is in effect, or any line for which the Sold-to LE's primary ledger is different from the Requisitioning BU's primary ledger is considered a global procurement line. All other lines are considered local lines. (The actual line attribute which triggers an agreement is defined in the agreement API.)

Global procurement lines, the application creates a separate purchase document for each unique combination of Requisitioning BU + Sold-to LE + Bill-to Location + Bill-to BU + Supplier + Supplier Site + Taxation Country + Document Fiscal Classification.

For local procurement lines, the lines are first grouped by Requisitioning BU. Then within each Requisitioning BU, the value for the Multiple Legal Entities on Order parameter determines how the lines are grouped:

- If the value is None, the supplier financial orchestration-related line attributes (Sold-to LE, Bill-to Location, Bill-to BU) are ignored, and the awarded lines are grouped together on the same purchase document based on the values for supplier + supplier site + taxation country + document fiscal classification.
- If the value is Error, awarded lines are grouped together on the same purchase document based on each unique combination of Supplier + Supplier Site + Taxation Country + Document Fiscal Classification + Sold-to LE + Bill-to BU + Bill-to Location.
- If the value is Warning, a warning message appears, and you're prompted to select a grouping option. You can select:
 - Option Yes. Create purchase documents having different Sold-to LEs. With this option, Sold-to LE, Bill-to BU, and Bill-to Location are ignored for grouping purposes.
 - Option No. Create purchase documents for each combination of Supplier + Supplier Site + Taxation Country + Document Fiscal Classification + Sold-to LE + Bill-to BU + Bill-to Location.

How You Award a Large Negotiation

As a Category Manager, you can award a large negotiation lifecycle in Oracle Sourcing.

After the negotiation is closed, you can optionally score the requirement responses and remove responses that don't meet requirements from the shortlist status.

The entire negotiation can be awarded to a single response online after comparing the responses side-by-side. Overall response ranking or line level response ranking is available for analyzing the responses.

You can export the award lines spreadsheet for analyzing line-level responses offline and record the award decision in the spreadsheet. You can award the negotiation at the line level by importing the award lines spreadsheet. While awarding the negotiation by line, you can always export and import the award lines in multiple batches by line range.

Three new award header approval attributes are introduced, which can be used to create award approval rules specific to large negotiations – Large negotiation, Count of lines, and Lines pending award.

After the award is finalized you can complete the award and notify the award decision to the suppliers.

You can create purchasing documents for large negotiations in Oracle Purchasing using background processes. Also, you can export the finalized award decision in a spreadsheet and use it to create purchasing documents with the FBDI or REST web services available in Oracle Purchasing.

Negotiation Lines Grouped into Purchase Orders

After you have made your award decision (and it's approved if necessary), you can complete the award by creating the necessary purchasing documents such as purchase orders or purchase agreements.

When creating purchasing documents, the application groups any backing requisitions according to the logic discussed in this topic.

For purchase orders, the application can combine multiple negotiation lines into a single purchase order whenever the following parameters have the same value:

- Response number
- Requisitioning BU
- Sold-to Legal Entity

Additionally, the awarded lines allocated to requisition lines that have same taxation attributes are combined into a single purchase order.

- Taxation Country
- Document Fiscal Classification

Note: If a negotiation line has no backing requisition, there are no values available for Taxation Country and Document Fiscal Classification.

How Lines are Grouped

When creating purchase order lines, the application combines all awarded negotiation lines with and without backing requisitions into the same PO based on the following:

- The lines have same values for Requisitioning BU, Sold-to Legal Entity, and Response number.
- The lines with backing requisition have same values for the header tax attributes (Taxation Country and Document Fiscal Classification).

If there are lines with backing requisitions which differ in header tax attributes, then the application creates a separate purchase order for lines without backing requisitions and a separate purchase order for each unique combination of header tax attributes.

When a negotiation is processed from a requisition, attachments from the requisition header are copied to the negotiation header instead of each negotiation line. When purchase orders are generated after award, the negotiation header attachments are copied to the PO header.

Attachments with categories: To Buyer, To Supplier, and Miscellaneous are copied from Requisitions to Negotiations. If your negotiation is awarded to multiple suppliers, then the attachments of the category - To Supplier that are specific to suppliers will be copied over to all the purchasing documents. This would result in suppliers receiving attachments that aren't applicable to them. In such cases, the buyer must remove - To Supplier attachments from the negotiation header before creating the purchasing documents.

If there are different Sold-to Legal Entities, then the value for the Multiple Legal Entities on Order controls how purchase order lines are created. The value for Multiple Legal Entities on Order is defined on the Configure Requisition Business Function page in Setup and Maintenance.

If there are different Sold-to Legal Entities, then the value for the Multiple Legal Entities on Order controls how purchase order lines are created. The value for Multiple Legal Entities on Order is defined in the Configure Requisitioning Business Function task which is in the **Setup and Maintenance** work area, in the **Procurement Foundation** functional area.

Examples

The following tables provide examples that demonstrate the grouping logic.

Example 1

Negotiation Line	Response	Requisitioning BU	Sold-to Legal Entity	Taxation Country	Fiscal Classification	Purchase Order
1	52345	Vision Operations	Vision Operations	United States	Accounting	PO1
2	52345	Vision Operations	Vision Operations	United States	Accounting	PO1
3	52345	Vision Operations	Vision Operations	none	none	PO1

Outcome Example 1: The negotiation line 3 isn't backed with a requisition and it doesn't contain values for Taxation Country and Document Fiscal Classification. Since all the three negotiation lines contain same values for Response number, Requisition BU, and Sold-to Legal Entity, a single purchase order is created.

Example 2

Negotiation Line	Response	Requisitioning BU	Sold-to Legal Entity	Taxation Country	Fiscal Classification	Purchase Order
1	52345	Vision Operations	Vision Operations	United States	Accounting	PO1
2	52345	Vision City Operations	Vision Operations	United States	Accounting	PO2

Negotiation Line	Response	Requisitioning BU	Sold-to Legal Entity	Taxation Country	Fiscal Classification	Purchase Order
3	52345	Vision Operations	Vision Operations	none	none	PO1

Outcome Example 2: The negotiation line 2 contains a different value for Requisition BU. The negotiation line 3 isn't backed with a requisition and it doesn't contain values for Taxation Country and Document Fiscal Classification. Due to these conditions, two purchase orders are created, where the first purchase order contains the negotiation lines 1 and 3, and the second purchase order contains the negotiation line 2.

Example 3

Negotiation Line	Response	Requisitioning BU	Sold-to Legal Entity	Taxation Country	Fiscal Classification	Purchase Order
1	52345	Vision Operations	Vision Operations	United States	Accounting	PO1
2	52345	Vision Operations	Vision Operations	United Kingdom	Accounting	PO2
3	52345	Vision Operations	Vision Operations	none	none	PO3

Outcome Example 3: The negotiation line 1 and 2 contain different values for Taxation Country. The negotiation line 3 isn't backed with a requisition and it doesn't contain values for Taxation Country and Document Fiscal Classification. Due to these conditions, three purchase orders are created with each purchase order corresponding to a negotiation line.

Example 4

Negotiation Line	Response	Requisitioning BU	Sold-to Legal Entity	Taxation Country	Fiscal Classification	Purchase Order
1	52345	Vision Operations	Vision Operations	United States	Accounting	PO1
2	52345	Vision Operations	Vision Operations	United States	Deduction Tax Rule	PO2
3	52345	Vision Operations	Vision Operations	none	none	PO3

Outcome Example 4: The negotiation line 1 and 2 contain different values for Document Fiscal Classification. The negotiation line 3 isn't backed with a requisition and it doesn't contain values for Taxation Country and Document Fiscal Classification. Due to these conditions, three purchase orders are created with each purchase order corresponding to a negotiation line.

Example 5

Negotiation Line	Response	Requisitioning BU	Sold-to Legal Entity	Taxation Country	Fiscal Classification	Purchase Order
1	52345	Vision Operations	Vision Operations	United States	Accounting	PO1
2	52345	Vision Operations	Vision Operations	United Kingdom	Deduction Tax Rule	PO2
3	52345	Vision Operations	Vision Operations	none	none	PO3

Outcome Example 5: The negotiation line 1 and 2 contain different values for Taxation Country and Document Fiscal Classification. The negotiation line 3 isn't backed with a requisition and it doesn't contain values for Taxation Country and Document Fiscal Classification. Due to these conditions, three purchase orders are created with each purchase order corresponding to a negotiation line.

Example 6

Negotiation Line	Response	Requisitioning BU	Sold-to Legal Entity	Taxation Country	Fiscal Classification
1	52345	Vision Operations	Vision Operations	United States	Accounting
2	52345	Vision Operations	Vision City Operations	United States	Accounting
3	52345	Vision Operations	Vision Operations	none	none

Outcome Example 6:

The negotiation line 2 contains a different value for Sold-to Legal Entity. The negotiation line 3 isn't backed with a requisition and it doesn't contain values for Taxation Country and Document Fiscal Classification. With these conditions, purchase orders are created based on the setting for Multiple Legal Entities on Order:

- If set to Error, then two purchase orders are created where the first purchase order PO1 includes negotiation lines 1 and 3, and the second purchase order PO2 includes negotiation line 2.
- If set to Allow, then a single purchase order is created with all the negotiation lines.
- If set to Warning, you can determine the grouping of negotiation lines into a single purchase order or multiple purchase orders.

Example 7

Negotiation Line	Requisitioning BU	Sold-to Legal Entity	Tax Country	Fiscal Classification	Requested Quantity	Award Quantity - Response 1	Award Quantity - Response 2	Allocated Quantity - Response 1	Allocated Quantity - Response 2	Expected Result - Response 1	Expected Result - Response 2	Requisition Status
1	Vision Operation	Vision Operation	United States	Accounting	10	10	10	5	5	PO1 with line 1 (10)	PO2 with line 1 (10)	Line 1 is split and processed

Negotiation Line	Requisition BU	Sold-to Legal Entity	Tax Country	Fiscal Classification	Requested Quantity	Award Quantity - Response 1	Award Quantity - Response 2	Allocated Quantity - Response 1	Allocated Quantity - Response 2	Expected Result - Response 1	Expected Result - Response 2	Requisition Status
2	Vision Operation	Vision Operation	United States	Deduction Tax Rule	10	10	10	0	0	PO1 with line 2 (10)	PO2 with line 2 (10)	Line 2 is returned to the requisition pool.
3	Vision Operation	Vision Operation	none	none	10	10	0	none	none	PO1 with line 3 (10)	none	none
4	Vision Operation	Vision Operation	none	none	10	0	10	none	none	none	PO2 with line 4 (10)	none

Outcome Example 7:

The negotiation lines 1 and 2 contain different values for Document Fiscal Classification. The negotiation lines 3 and 4 aren't backed with requisitions and don't contain values for Taxation. If a negotiation line backed with a requisition doesn't participate in allocation, it's treated as a sourcing line and is combined with existing purchase order where other sourcing lines are present. If sourcing lines aren't present in this negotiation, then that negotiation line is combined with the existing order only if there is a single purchase for a Requisition BU, Sold-to Legal Entity, and Response number. If there are multiple purchase orders for this combination because of the difference in tax attributes, then this requisition line will form a different purchase order.

The awarded quantity for line 1 is 10 but allocated quantity is 5 for both Response 1 and Response 2. The additional allocated quantity of 5 is treated as sourcing line. The allocated quantity for negotiation line 2 is 0 and therefore it's treated as a sourcing line similar to lines 3 and 4. Since only the negotiation line 1 is considered requisition based line having taxation attributes, for Response 1, lines 2 and 3 are combined with line 1 into PO1 and for Response 2, lines 2 and 4 are combined with line 1 into PO2.

How You Update Blanket Purchase Agreement from Negotiated Award

When a sourcing event is completed, instead of creating a new agreement every time, you can now update an ongoing agreement.

Updating existing agreements from a negotiated award allows you to apply the renegotiated pricing to open purchase orders retroactively, reducing the overhead from maintaining several documents. You can automatically track the changes to existing agreements from the sourcing event, and save significant time and effort.

After award is completed, you will see two new columns in the awarded suppliers table on the Create Purchasing Documents page: Update Agreement and Agreement Lines. In Update Agreement column, you can select an existing agreement, and in the Agreement Lines column, choose to either update the agreement lines, or add new lines. If you don't select any agreement, then a new agreement will be created.

You can select any agreement to update that matches these criteria:

- Agreement is for the same supplier, supplier site, and Procurement BU as the awarded supplier.
- There are no pending change orders.
- Agreement is not frozen.
- Agreement is in one of the following statuses: Incomplete, Open, Withdrawn, Rejected, On Hold.

An agreement line is considered matching to an awarded negotiation line, if these line attributes are the same: Item, Description, Category Name, UOM Name, Item Revision, Line Type, and Price Break Type. Any lines that are expired or have a requisition line reference won't be updated.

Here are some best practices when choosing the Agreement Lines option:

- If the selected agreement has retroactive pricing enabled, then choose the Update matching lines option to apply the renegotiated pricing to open purchase orders retroactively.
- If the selected agreement has retroactive pricing disabled, then choose the Expire and add new lines option, so that upcoming purchase orders can leverage the renegotiated pricing from the new lines.
- If you simply want to add the new lines to an existing agreement without updating or expiring any matching lines, choose the Add new lines option.

When a matching agreement line is updated these changes are applied:

- Existing item price is replaced.
- New agreement quantity is added to the existing agreement quantity.
- Negotiation references on the line are replaced with the new negotiation details.
- New price breaks are added.
- Negotiation and response line attachments are added for attachments with these categories: From Supplier, To Supplier, Miscellaneous, To Buyer, To Payables, and To Receiver.

Consider these when you update blanket purchase agreement from negotiated award:

- Contract terms or master contract references aren't updated on the agreement.
- These agreement fields are not automatically updated:
 - Minimum Release Amount
 - FOB
 - Carrier
 - Freight Terms
 - Shipping Method
 - Required Acknowledgment and Acknowledge Within

How You Withdraw Award Completion

When you award a prospective supplier, a spend authorization request is initiated automatically during award completion. Until all such requests are processed, the negotiation remains in the Award completion in progress status.

If the spend authorization process isn't successful due to unexpected application, server or network errors, the award remains incomplete, and the category manager can't proceed with purchasing document creation.

You can now withdraw award from the Analyze Negotiation page if you have awarded prospective suppliers while the spend authorization promotion is in progress. The Withdraw Award Completion action is particularly useful if you want to edit the award decision and resubmit it, or if you faced unexpected application errors during the processing of spend authorization promotion requests.

How You Reopen Award Decision After Negotiation Is Completed

You can reopen an awarded and completed negotiation, and change the award decision to pick another supplier even after the purchasing documents are created.

However, you must cancel or delete all purchasing documents created from the previous award decision in order to reopen the completed award. You can enter the reason for reopening, which can be shared with the award approvers in the award approval notification.

You can send an online message to all supplier participants while reopening the award.

After the negotiation is reopened, the revised award decision must be submitted for approval. Award approval attributes are available to configure approval rules for the reopened negotiations. You can configure the award approval notification to include this reaward information by customizing the BI publisher template.

On the Analyze Negotiation page, select **Reopen Award** from the **Actions** drop-down. You can enter a reason for reopening the award, and a message for suppliers in the Reopen Completed Award popup.

If requisitions are associated with the awarded lines, they're managed as follows:

When you delete the purchasing documents, any requisition lines linked and fulfilled by the award are released and become available in the Process Requisitions page. Then, when the award is reopened, these original requisition lines, or the split lines are automatically reassociated to the negotiation line. When the lines are awarded again and purchasing documents are recreated, these requisitions are then fulfilled.

Consider these when you are reopening awards:

- You can reopen the award as many times as needed. This activity is recorded, and available for tracking.
- A completed RFI can also be reopened, which can be leveraged to create a new round or to create new surrogate responses.
- Reopen completed award is also supported for large negotiations.

Sourcing Programs

How You Monitor Sourcing Programs

As a program owner or category manager, you can track the results of negotiations over a period of time and take any actions for course correction if necessary.

At any point in time, the program status marks the overall health and progress of the program and its objectives. You can monitor and set the status to indicate if the objective (or program) is on track, at risk, or on hold. Once an objective (and eventually the program) completes, you can set the status to indicate if the goals were met or not met. Once a program completes, you can set its status to record its overall results.

As negotiations linked to a program complete, the awarded amounts are rolled up to objective level and then from the objective to the program level. The application calculates negotiated award amounts, negotiated savings amounts and percentages, as well as any deviation of the result from the planned savings goal.

Since the calculations for objectives and the programs happen in real time, it's important for you or other category managers to monitor the progress of the program as it goes forward. There are many locations where you can access and view information on your programs:

- The Sourcing Programs infolet on the second level Source to Settle infolet page. This infolet displays key metrics.
- The Monitor Program page. You can use this page to drill down and see in-depth information on the program. You can also modify many program attributes.

Using Spend and Savings Attributes

You can use Planned Current Spend and Planned Target Spend attributes at the negotiation level to capture current spend and target amounts from the negotiations that are associated with your program objectives. These values roll up from the negotiations to the objective level, and then from the objective level to the program level. You can use the spend and savings values when determining the success of your program.

- Planned Current Spend is the sum of the current spend amount rolled up from the negotiation lines. If not available in the negotiation, you can enter value, or you can update the rolled up value from the negotiation.
- Planned Target Spend is the total target spend amount rolled up from the negotiation lines. If not available, you can enter the value, or you can update the rolled up negotiation.
- Planned Savings Goal is the difference between the planned current spend and the planned target spend. If not available in the negotiation, you can enter value, or you can update the rolled up value from the negotiation.
- Planned Savings Goal (%) is the result of dividing the planned savings goal by the planned current spend. If not available in the negotiation, you can enter value, or you can update the rolled up value from the negotiation.

Managing Programs

At the negotiation level, you can associate negotiations in statuses from draft to complete with an objective. You can associate the same negotiation to one or more objectives, but you can't associate the same negotiation to multiple roll up objectives. You can't associate negotiations of statuses canceled, amended, or round completed to an objective.

Note also:

- If you amend a negotiation after you associated it with an objective, the active version of the negotiation replaces the earlier amended version.
- If you cancel negotiation after it's associated with an objective, it's no longer included in roll up calculations.
- If you start a new round after you added a negotiation to an objective, the new negotiation round replaces the earlier round completed version.
- If you delete a draft negotiation that's associated with an objective, then the reference to the negotiation is removed from the objective.
- If you deleted a negotiation that's associated with an objective, the reference to the negotiation is removed from the objective.

Using the Monitoring Program Page

Once you have created and launched a program, the program phase becomes 'In progress'. While the program is in progress, program calculations are triggered, analytics and metrics are available, and you can track the progress of program objectives and update their status as needed by viewing the Monitor Program page.

To access the Monitor page, click Manage Programs in the tasks menu. On the Manage Programs page, highlight a program in progress (if the program doesn't appear in the most recent programs, you can search for it from the Manage Programs page). Click Monitor to view the status of the program, as well as its objectives, and associated programs as well as the program metrics and analytics calculated by the program.

On the Monitor Program page, you have two tabs, the Planning Progress tab and the Results tab, as well as an overview section. The graph and the other values in the Overview section show you the program's status, and the current calculations for negotiated savings, negotiated savings goal, and any savings deviation.

From the Actions menu you can:

- Update the program status
- Complete the Program
- Cancel the Program

On the Planning Progress tab, you can:

- Click the Manage Objectives link to navigate to the Baseline page for your program. On the Baseline page, you can click the Add icon in the Objectives section, to add a new objective.
- Click the Add Negotiations link to navigate to the Baseline program page for your program. On that page, you can highlight a program objective. Click the edit icon and add a negotiation to the objective.
- Click the Manage Negotiations link to view the details on the negotiations associated with this program from the Manage Negotiations page in Oracle Sourcing.

Consult the tables at the end of this topic to view how the application calculates all the results fields.

On the Results tab, you can view summary information on the program. Consult the tables at the end of this topic to view how the application calculates all the results fields.

The Objectives section of the page, shows you information about your program objectives. You can toggle between a graph-based view or a table-based view of the objective information.

While on the table-based view, you can highlight an objective and

- Update the objective's status.
- Update results manually from the planned contributions to an objective.

While on the graph-based view, you can see graphical views of

- The savings values for your program objectives.
- The savings deviation values for your program objectives.
- The current status of your objectives.

Program Calculations

The **Monitor Program** page automatically performs many calculation and displays them while a program is in progress. The application performs these calculations in real time as suppliers enter responses, so you can always see the most up to date information.

Baseline Calculations

The following table shows baseline calculations at the program level:

Calculation	Details
Baseline Savings Goal	Baseline current spend baseline target spend
Baseline Savings Goal (%)	Baseline savings goal/baseline current spend

The following table shoes the baseline calculations performed at the objective level.

Calculation	Details
Baseline Savings Goal	Baseline current spend baseline target spend for the objective*
Baseline Savings Goal (%)	Baseline savings goal/baseline current spend*

*This applies only to objectives that have a monetary impact and are considered for roll up calculation.

Planning Calculations

The following table shows the planning calculations that are perform at the negotiation level:

Calculation	Details
Negotiation Current Spend	Sum (current amounts of all lines)*
Negotiation Target Spend	Sum (target amounts of all lines)*
Negotiation Savings Goal	Negotiation current amount negotiation target amount
Negotiations Savings Goal (%)	Negotiation current amount negotiation target amount

* If negotiation value isn't available, a value can be entered. Value rolled up from negotiation can be updated

The following table shows the negotiation values that are rolled up to the objective level.

Calculation	Details
Calculation	Details
Planned Current Spend	Sum (negotiation current amounts:)
Planned Target Spend	Sum (negotiation target amounts)
Planned Savings Goal	Planned current spend planned target spend

Calculation	Details
Planned Savings Goal (%)	Planned savings goal/planned current spend
Remaining Target Spend	Baseline target spend planned target spend

The following table shows the objective values that are rolled up to the program level.

Calculation	Details
Planned Current Spend	Sum (planned current spend for all objectives where Roll-up = Y)
Planned Target Spend	Sum (planned target spend for all objectives where Roll-up = Y)
Planned Savings Goal	Planned current spend - planned target spend
Planned Savings Goal (%)	Planned savings goal/planned current spend
Remaining Target Spend	Baseline target spend - planned target spend

Results Calculations

The following table shows the results calculated from negotiation values.

Calculation	Details
Negotiated Award Amount	Award amount from an award completed negotiation
Negotiated Savings	Negotiation Current Amount negotiated award amount
Negotiated Savings (%)	Negotiated savings/negotiation current amount
Savings Deviation	Negotiated savings (%) planned savings goal (%)

The following table shows the values that are calculated during the negotiation roll-up to objective process:

Calculation	Details
Negotiation Current Spend	Sum (Current Amount of all award completed negotiations within the objective)
Negotiated Award Amount	Sum (Award Amounts of all award completed negotiations within the objective)

Calculation	Details
Negotiated Savings	Sum (Negotiated Savings of all award completed negotiations within the objective)
Negotiation Savings Goal	Planned Savings Goal of all award completed negotiations within the objective.
Negotiated Savings (%)	Negotiated Savings/Negotiation Current Spend
Negotiation Target Spend	Planned Target Spend of all award completed negotiation within the objective.
Savings Deviation	Negotiated Savings (%) Negotiation Savings Goal (%)

The following table shows how the values are calculated during the objective information rolled up to program process.

Calculation	Details
Negotiation Current Spend	Sum (Negotiation Current Spend of all objectives where roll-up = Y)
Negotiation Target Spend	Sum (Negotiation Target Spend for all the objectives where roll-up = Y)
Negotiation Savings Goal	Sum (Negotiation Savings Goal for all objectives where roll-up = Y)
Negotiated Award Amount	Sum (Negotiated Award Amount of all objectives where roll-up = Y)
Negotiated Savings	Sum(Negotiated Savings from all objectives where roll-up = Y)
Negotiated Savings (%)	Negotiated Savings/Negotiation Current Spend
Savings Deviation	Negotiated Savings (%) Negotiation Savings Goal (%)

How You Plan a Sourcing Program

A Sourcing Program provides a way for your organizations to set specific measurable savings and spend goals, group various sourcing initiatives together under a single program to achieve the set goals, track progress, and record results across negotiations.

It provides visibility to performance metrics at a higher program level as well as granular negotiation level. Thus you can obtain a holistic view of the organization's achievements.

Procurement organizations can undertake various sourcing initiatives in an effort to achieve maximum savings and value. To do this, you need a way to identify and track achievements in a tangible and quantifiable form. You need the ability to set goals for savings, record results and measure performance from various sourcing initiatives.

Sourcing Programs allow you to:

- Create a program and set savings and spend related goals for an organization.

- Define multiple objectives for the program to achieve the program goals.
- Associate negotiations to each objective, and define targets.
- Track program progress and its overall health and record results
- Measure performance by comparing negotiation achievements to set goals.
- Obtain performance analysis by defining KPIs and metrics using OTBI

Example

The Chief Procurement Officer of Acme Widgets decides to implement a new initiative to control expenditures by achieving higher savings on IT spend initiatives for the North America business in 2017 of at least 15%. To achieve this, she decides to:

- Target higher savings by negotiating lower prices on IT purchases in Q1 of about 20%
- Keep increase in travel related costs in IT departments during high travel seasons within 5% with hard savings of up to 10%
- Renegotiate agreements within 10 days of expiration to ensure purchases at lower negotiated prices.

She models a new sourcing program to track these goals. To accomplish this goal, she creates a sourcing program that focuses on key tasks - setting baseline goals, planing negotiations, and monitoring results to determine if they met their set targets for savings and spend.

Program Team Members

As the program owner, you can create a program team and add members to facilitate collaboration. A program team member can be granted full or view access to the program.

Program Baseline

When you create a program, you define a baseline and savings goal for the program. You define these in terms of a baseline current spend, a baseline target spend, and a baseline savings goal. You can set a percentage for the savings goal and amounts for current spend and target spend.

- **Baseline Current Spend:** Typically, the baseline is obtained from historical spend data, budgets, or estimates based on current trends. You need to obtain this value from appropriate sources enter it manually into your program.
- **Baseline Target Spend, Baseline Savings Goal:** The target or a savings goal generally derives from an executive directive, or a corporate objective. You also need to obtain and enter these values manually into your program. When you enter a target spend or a savings goal, the other value is calculated by the application.
- Your program header fields can also include start and end dates, identify a browsing category and use descriptive flexfields (if enabled) to capture any additional information.
- You can run your program with a single Procurement BU by selecting the BU value, or you can run the program across multiple Procurement BUs by selecting the All option for Procurement BU.

Program Objectives

You can add multiple objectives to the program. These are shorter term goals, or granular level targets that will together contribute toward achievement of the program goal.

You can distribute the program baseline spend and savings targets across objectives. In this case, each objective has its own baseline target against which you can track progress and eventually roll up to reflect at the program level by the application.

There are three types of objectives, differentiated by objective type. The objective type is based on the generic purpose for the objective. Objective types can focus on

- Price reduction
- Cost avoidance
- Productivity improvement

So in the preceding example:

- Objective One - (Target higher savings by negotiating lower prices on IT purchases in Q1 of about 20%) and Objective Two - (Target higher savings by negotiating lower prices on IT purchases in Q2 of about 20%) are price reduction objectives.
- Objective Three - (Keep increase in travel related costs in IT departments during high travel seasons within 5% with hard savings of up to 10%) is a cost avoidance objective.
- Objective 4 (Renegotiate agreements within ten days of expiration to ensure purchases at lower negotiated prices.) is a type productivity improvement objective.

You can associate each objective with one or more negotiations. Savings and spend amounts from the negotiations roll up first to the objective level and then eventually to the program level. An objective that indirectly contributes to the program goal, but doesn't have any measurable financial impact and doesn't contribute toward the program level savings and spend amounts can be excluded from the roll-up calculations

How You Associate Negotiations

Once you and any other category managers set program baselines and objectives, you can associate negotiations with your objectives. These negotiations are the means by which the objective goals (savings increase, cost reduction) are accomplished. As negotiations are created and associated to objectives, negotiation current and target amounts roll up to the objective level and then to the program level. This helps you ensure that the target spend and savings goal for the objectives are properly planned across these negotiations.

You can associate your objective with a negotiation that doesn't yet exist, but which you plan to create later. You have the option to include its contribution the objective by adding a placeholder for the negotiation. Later during the program lifecycle, when the negotiation is created, you can replace the placeholder planned negotiation row with the actual negotiation.

You can also use this planned type of entry to track contributions to an objective goal from sources other than negotiations.

How You Monitor Results and Measure Performance

As negotiations are completed, the awarded amounts are rolled up to objective and program levels. The program calculates negotiated award amounts, negotiated savings amounts and percentages, and any deviations of the result from the planned savings goal are calculated for objectives and the program in real time.

You and any other category managers can track the results of the negotiations over a period of time and take any actions for course correction if necessary. You and any other category managers can then foresee any potential shortfall or surplus, and make adjustments to the negotiation plan or to the baseline, and justify their actions. You can use the metrics available to help determine how close your negotiation planning activities are tracking to achieve the baseline goals.

Program and Objective Status

At any point in time, you can mark the overall health and progress of the program and progress of its objectives by setting a program status and an objective status. You can set it to indicate if the objective (or program) is on track,

at risk, or on hold. Once an objective (and eventually the program) is completed, you can set a status to indicate if the goals were met or not met. And once the program is completed, you can specify its overall results and record the conclusion.

Create Sourcing Programs

A Sourcing Program is a summary of an organization's sourcing objectives and their associated negotiations. Sourcing programs let you set savings goals for the programs and its objectives and record the results with an aim to measure performance of sourcing departments.

To create a Sourcing program you define:

- The program header information
- The program team members.
- The program objectives
- The negotiations that are associated to the objectives.

Enable Sourcing Programs

To use Sourcing Programs, you must select it as a Sourcing product feature when implementing Sourcing in Setup and Maintenance.

Create a Sourcing Program

Use the following steps to create a Sourcing program.

1. On the Negotiations Work Area, from the tasks menu, click Manage Programs
2. On Manage Programs page, click the Create icon (the plus sign).
3. On the Create Program page enter values for your program. Note the following:
 - You can specify the visibility for this program. You can execute this program either in a single procurement BU or across multiple procurement BUs by choosing the 'All' option.
 - Start and End dates are optional.
 - The currency that you select is the currency in which all spend and saving amounts are shown.
 - Select a currency rate type and a select the date whose exchange rate you want to apply.
 - You can optionally link this program to a particular procurement category.
 - If descriptive flexfields have been enabled, they will appear in the Additional Information section.
4. You can associate attachments with the program to provide additional information.
5. Click Save.

Create the Program Team

Use the following steps to create a program team.

1. Click the people icon to define the members of the program team. Navigate to the Team tab to define the members of the program team. By default, you and your manager are added to the program team.
2. To add additional members, click the Add icon (the plus sign).
3. Use the search function in the Name field to identify a user to add to the team. You can also specify that member's access level (full or view-only) and optionally add a note to other members. Once you add the member, the new member's job description appears in the Job field.
4. Click **Save**.

Create Objectives, Goals, and Associating Negotiations

Use the following steps to create objectives and goals, and to the associate negotiation with your program.

1. Specify your program objectives, goals, so navigate to the Baseline tab.
2. The Baseline page, shows program goal or baseline information such as current spend, target spend, savings goal.
3. In the Objectives section, click the Create icon (the plus sign) to add an objective.
4. On the Create Objective page, enter values. Note the following:
 - There are three possible types of objectives: price reduction, cost avoidance, and productivity improvement.
 - You can choose to roll the monetary information tracked by this objective up to the program level.
 - You can link this objective to a particular category.
 - You can assign a program team member to be the owner for this objective.
5. Use the Baseline section of the page to specify your spend and savings goals addressed by this objective. Enter the amount you currently spend in the area addressed by this objective. You can optionally enter a target spend. If you enter a target spend, the Savings Goal and Savings Goal Percentage amounts are calculated automatically.
6. In the Negotiations section of the Create Objective page, you identify the negotiations by which you will try to achieve the goal of this objective. When you add a negotiation, the negotiation current and target amounts are defaulted as the planned and current target spend. You have the option to adjust or override these values.

You have the option to include a negotiation (even if it isn't created yet) by adding a placeholder negotiation. When you associate the negotiation with the objective, you select Planned for the negotiation number. Later during the program lifecycle, when the negotiation is created, you can replace the placeholder negotiation row with the actual negotiation. You can also use a planned negotiation to track contributions to an objective from sources other than negotiations.
7. As you add negotiations, the target spend for the objective is being planned to be achieved through the negotiation. Remaining target spend indicates how much target spend isn't yet planned as negotiations. You can associate negotiations later, any time throughout the lifecycle of the program.
8. When you have finished defining the program, click Launch.

Purchase Document Summary

The Purchase Document Summary displays information on the purchase documents generated by the application. You can use this display to review the details of the documents created and the suppliers who were awarded negotiation business.

Oracle Sourcing Default Value Settings

You can use the Sourcing region of the Configure Procurement Business Function page to specify default values for certain properties used throughout Oracle Sourcing. These are default values only. Users can modify them when performing sourcing tasks.

The table shows the sourcing attributes for which you can set predefined values.

Attribute	Comments
Negotiation Type	Auction, RFQ, or RFI
Negotiation Style	The default style to use. Can be a predefined style or a configured style
Rank Indicator	The type of indicator used to rank responses
Maximum Requirement Score	Maximum possible value for scored requirements
Enable weights in requirements	Allow weighting to be used in requirements
Purchasing Documents	Specify whether purchasing documents are created in Oracle Purchasing or exported to an external application
Initiate Approval	Select to initiate approval by default for purchasing documents created in Oracle Purchasing.
Automatically add new supplier items to item relationships	Select to automatically add new supplier items (captured in negotiation responses) to item relationships in PIM.
Display requirement scoring criteria to suppliers	Allow suppliers to view the criteria used when scoring responses to requirements
Automatically populate responses to predefined questions	For predefined questions from the question library, automatically default the supplier responses from the response repository for the Procurement BU. The question library is managed in the Supplier Qualification work area.
Display rank in blind negotiations	Display the current rank of the supplier's response
Display best price in blind negotiations	Display the current leading response price in blind negotiations
Enforce supplier's previous round price as start price	When a negotiation is opened for a new round of responding, force the supplier to offer a response price lower than that supplier's last price in the preceding round
Enable negotiation approval	If enabled, the negotiation document must pass the defined approval requirements
Enable award approval	If enabled, the negotiation award decision must pass the defined approval requirements.

Awarding by Response: Worked Example

Awarding by response enables you to quickly award an entire negotiation to a single supplier. This is especially convenient when renegotiating a catalog with a supplier. You can award the entire negotiation to the supplier without having to award each line separately.

In this example, after negotiating with one of her incumbent suppliers, the catalog manager is ready to confirm the price structure with her supplier so she awards the negotiation to the incumbent supplier.

Awarding by Response

1. She accesses the negotiation from the home page.
2. On the negotiation summary page for the negotiation from the **Actions** menu, she selects **Award > Award Negotiation**.
3. On the Award Negotiation page, the Suppliers tab is selected by default. From the Suppliers table, she selects the supplier and clicks **Award**.
4. On the Award Responses page, information about the negotiation is displayed in columnar format in the Compare and Award section. Information about each response is displayed on the side of the section. She selects the Award Decision entry for the supplier and clicks **Save**.
5. When she returns to the Award Negotiation page, graphs display award summary information, and the Award Progress Percent indicator shows the negotiation 100% complete.
6. If appropriate, she can continue completing the award process by generating the purchase document.

15 Spend Classification

Overview

All businesses engage in some form of spend management activities that are intended to improve purchasing costs and lower supply base risk through the efficient use of a limited set of resources.

The effectiveness of these activities is directly linked to the quality of the spend analytics available to the organization. Unless a business has a clear picture of what it's buying and from whom these goods and services are sourced, it will only be able to make marginal improvements to its spend performance.

Even for organizations with a high degree of control over the buying activity carried out across their business, effective analysis of spending patterns can often be challenging due to poor or inconsistent classification of its various transactions. Without accurate categorization of data for past spending activity, no amount of analysis can yield the information necessary to fully optimize sourcing decisions, assess the supply base, and conduct effective negotiations. For organizations with lower levels of spending control, these issues are only exacerbated.

In general, spend activity for an organization gets unevenly tracked across spend categories through a variety of requisitions, purchase orders, receipts, invoices, and expenses. Even where all of these transactions are used aggressively and processed through the same system, ensuring that category coding is consistently applied is a constant challenge due to patchwork catalogs, compliance hiccups, and user fatigue. And for regular and repeatable purchasing activity that's automated by contract agreement, there might still be circumstances that require occasional one-off ordering that ends up being wrongly categorized or might only be handled through additional unmatched invoices.

With ad hoc spending needs, significant transactions could end up being processed in general categories if requesters don't know how to categorize their purchases. If a requester or buyer does try to code an item of spending, they might still face multiple similar choices and pick the incorrect category. For example, installing EV charging points, is it (Facilities) Maintenance, (Facilities) Hardware, or (Energy) Electricity?

Continually evolving organizational spend patterns regularly see categories becoming less significant or obsolete and new categories appearing to replace them. Often, these changes only become apparent well after the business shift in spending has occurred, requiring historic spend details to be reclassified against an updated category taxonomy. With senior management personnel changes leading to changes in analysis requirements and reporting structures, these challenges can also exist with spend analysis activities.

Unless these categorization problems are resolved, spend analysis will continue to be flawed. Spending patterns will be misrepresented with spend data being spread inaccurately across different categories, making it difficult for managers to monitor trends, identify sourcing opportunities and negotiate more effectively with their supply base.

Why You Use Spend Classification

Use Spend Classification as a tool to review any of your existing Oracle Fusion Cloud (requisition, purchase order, invoice, expenses) spend data and either refine the accuracy of its current categorization or assign a category for unclassified transactions.

Spend Classification requires a data administrator to train the tool to generate category predictions using a batch process that can be repeated as many times as needed to yield satisfactory results. To help reduce the time invested to

prepare training data, you can use an automatic sampling algorithm that analyzes existing spend records for patterns and uses this to generate training set data that can be reviewed for accuracy.

Reclassification of spend information is carried out using a batch process that can take multiple hours to execute when dealing with large volumes. After each batch is processed, your administrator can review the results, make manual corrections, and then assess what improvements can be made to the learning process. These can be revisions to the underlying training metadata, any manual updates to improve the classification model, or enhancements to the machine learning model using incremental training set data from the most recent changes in spend patterns.

Spend Classification also lets you build multiple business rules to normalize spend data before the classification process or to automate the classification correction process on the basis of key attributes such as supplier, item, or description. After you're satisfied with the classification results for a given batch, you can set it to approved. The approved reclassification details will then be used in the analytics dashboards to show new and correctly classified spend data, thereby providing useful spend information for your organization.

You can create reports for spend classification in the Oracle Transactional Business Intelligence (OTBI) application. For more information on subject areas and setting up reports, see these guides:

- *Oracle Fusion Cloud Procurement: Subject Areas for Transactional Business Intelligence in Procurement*
- *Oracle Fusion Cloud Procurement: Creating and Administering Analytics and Reports for Procurement*

Business Decisions to Consider

Before starting any configuration or setup of the Spend Classification module, business decisions will need to be taken to assess how organization spend should be categorized.

This may require the introduction of a brand new category structure or the review and possible update of any existing set of category definitions used for processing spend transactions within your applications.

If you don't have any spend categories defined, you should review publicly available category definitions, such as UNSPSC, as the basis to develop your own category set.

If you have implemented the Oracle Fusion Cloud Procurement solution, you will already have a set of Purchasing categories configured. These can be used as-is within Spend Classification or you may opt to revise the category definitions, adding and deleting categories to meet your spend analysis needs.

It's recommended that an extensive consultation exercise be conducted with all the key stakeholders throughout the organization who have information on spend analysis activities. These existing stakeholders will need to be consulted to uncover any limitations or gaps in the current spend analysis results. Based upon their feedback, a draft proposal for the taxonomy to be used in Spend Classification can be circulated for review. If required, more than one taxonomy can be proposed.

Reviewing and refining the classification taxonomy may take a number of weeks to complete, depending on how many parts of the organization need to be included in the consultation.

For any revised or new taxonomy, it may not be practical to target thousands of category definitions. Managers within your organization may need to compromise their need for fine-grained insight of spending activity to avoid huge setup and ongoing administrative costs for the application.

After the taxonomy needs have been agreed with the business, set up in the application is a straightforward process supported through a spreadsheet.

Training Data Set

Spend Classification uses machine learning technology to process spend transactions and generate category predictions. The machine learning algorithms require training data to teach the engine how to identify similarities and patterns in the spend data that enable the tool to recognize and classify each transaction.

Training set data will need to be created for each category to be classified, with enough examples provided to illustrate the various types of spend that should be assigned to a category. At a minimum, thirty to forty sample spend records will be required for each spend category in order for the prediction engine to work properly.

The time and resource cost to build training set data should definitely be considered as a factor when establishing the set of spend categories that will be used to generate predictions in Spend Classification. It should be expected that a balance will need to be struck between the desired category granularity and the cost to craft the training data. It is certainly a consideration during an initial implementation to reduce the number of categories, as the tool will allow these to be iterated to greater detail over time.

Spend Classification Performance and Analytics

The performance section of spend classification provides a number of charts and graphs that can help you assess the efficacy of the reclassification process.

Here's what you can review and analyze in the performance page:

- Spend Classification's assessment of the spending by various categories in the procurement transactions.
- Category transformation using the spend transactions spread, before and after the classification process.
- Performance charts to assess whether the predicted spend information for individual spend categories aligns with the forecasted or budgeted spend amounts.
- Top categories by spend amount to see what proportion of spend in each of these is directed at the top five suppliers.

Any significant discrepancies or ad hoc categories showing high levels of spend would indicate prediction inaccuracies. And discrepancies between the chart metrics and budgeted or anticipated figures would tend to suggest an opportunity to further refine and update training set data used within the classification knowledge base. As results improve over time, this improvement will enhance your organization's spend analytics and help in driving better strategic sourcing initiatives and analyses.

Further, you can create reports for spend classification in the Oracle Transactional Business Intelligence (OTBI) application. You can also get enhanced insights into your organization's operations with the Spend Classification Analysis dashboard. This dashboard helps you to compare the difference in the Procure to Pay reports by showing the results using the original spend transaction data before classification, and updated results after classification of your spend data. Real-time data from Spend Classification is also available in the Expense Transactions Real Time subject area within OTBI.

Note: Note: Spend Classification Analysis dashboard is based on data classified and approved in Oracle Spend Classification, so be sure to setup and use Spend Classification before going over to the dashboard to view reports.

For more information on subject areas and setting up reports, see these guides:

- *Oracle Fusion Cloud Procurement: Subject Areas for Transactional Business Intelligence in Procurement*

- *Oracle Fusion Cloud Procurement: Creating and Administering Analytics and Reports for Procurement*

Configuration

You can use the Configuration page to upload and download data sets, create and edit a taxonomy, create and improve a knowledge base, define additional attributes, run classifications, and monitor various activities.



On the Configuration page you can:

1. Set up the taxonomy you want to use for classifying your spend transactions. This could be your existing purchasing categories, a revised version of those categories, or a brand new taxonomy.
2. Create a training set. A training set is the sample of correctly classified data that's used by the spend classification machine learning engine to make category predictions based on the data in each individual spend record.
3. Build a knowledge base from the training data set. A knowledge base uses an algorithm to act on a set of data using patterns identified within the training set.
4. After the knowledge base is created and tested, you can use Spend Classification to process any number of batches that contain wrongly categorized data or data that's not classified.
5. Review the batch results. Spend Classification tags all predictions with high, medium, or low confidence levels to help during assessment. You can make any required corrections and approve the batch.

Before you can view the details of a batch, run the **ESS job to create index definition and perform initial ingest to OSCS** scheduled process with `fa-prc-poi` as the input parameter. This process ensures creation of an index for the index-based search engine provided by the Oracle Search Cloud Service (OSCS). After this process is complete, you can use the smart filter for a focused review of the batch. You can also use filter chips to search for transactions with specific categories or a different classification status.

Note: For access to Oracle Spend Classification, you need a configured job role that has these privileges:

- Administer Spend Classification Application (POI_ADMINISTER_SPEND_CLASSIFICATION_PRIV)
- Manage Spend Classification Batch (POI_MANAGE_SPEND_CLASSIFICATION_BATCH_PRIV)
- View Spend Classification Work Area (POI_SPEND_CLASSIFICATION_WORKAREA_PRIV).

Classification Controls

These are the values that can be configured in the Classification Controls tab:

Parameter	Description
Confidence Threshold Percentage	Percentage value that indicates the confidence value that categorizes the transaction.

Parameter	Description
	- Classified with high confidence: Transactions where confidence of the predicted category is more than the value specified by Confidence Threshold Percentage, at all levels of the taxonomy. - Classified with medium confidence: Transactions where confidence of the predicted category is more than the value specified by Confidence Threshold Percentage, at least at one level of taxonomy but not all levels. - Classified with low confidence: Transactions where confidence of the predicted category is less than the value specified by Confidence Threshold Percentage, at all levels of the taxonomy. The default value is 70.
Lexer Name	Name of the lexer used to enhance the usability of the data mining process. It is used to identify how to break the strings in a transaction using keywords and use them in data mining. You can use: - Basic lexer: Includes data in English. It's the default value. - World lexer: Includes data in languages other than English. - Japanese lexer: Includes data in Japanese.
Lexer Parameters	Parameters that indicate the keywords used in data mining. The defaults are: - INDEX_STEMS,ENGLISH, INDEX_TEXT,YES for basic lexer - MIXED_CASE,NO for world lexer.

Classifying Datasets with a Printjoins-Enabled Knowledge Base

Printjoins characters are nonalphanumeric characters that you want to include in index tokens, so that compound words such as read-only are indexed as read-only not as two separate words, read and only. The Printjoins setting can be specified in classification controls at the lexer level.

Note: This setting should be managed by advanced users like expert data scientists. Because it's an optional setting, you can continue working with Spend Classification without using this advanced feature.

This example explains the use of Printjoins and its impact on the classification process.

- Go to the Classification Controls tab and enter or select these values:
 - Classification Threshold Percentage: 70
 - Lexer Name: Basic
 - Lexer Parameters: INDEX_STEMS,ENGLISH, INDEX_TEXT,YES, PRINTJOINS,-

In the Lexer Parameters field, we entered PRINTJOINS,- so that the hyphen is not considered as a word separator.

- Upload a training data set with transactions that contain special characters which you want to skip while tokenization. Here's a snippet of the Spend001 training data set that uses hyphens in transaction descriptions:

Source Transaction ID	Data Set Identifier	Data Set Purpose	Transaction Number	Line Number	Transaction Description	Category
10001	Spend001	Training	30049	1	Laptop purchase for new hire emp	Hardware

Source Transaction ID	Data Set Identifier	Data Set Purpose	Transaction Number	Line Number	Transaction Description	Category
					long-term onsite assignment	
10002	Spend001	Training	89987	1	Consulting services for term sheet prep and year end reporting	Consulting
10003	Spend001	Training	87782	1	Retainers for a corporate event	Legal Services
10004	Spend001	Training	99012	1	Travel tickets for a long-term onsite assignment	Project Expenditure

3. On the Knowledge Base tab, create a new knowledge base with the name KB001.
4. On the Data Sets tab, select your training data set Spend001 and from the options and click Classify. In the Classify Data Set window, select the KB001 knowledge base to classify the data set and initiate the classification process.

Here's an analysis of the classification result:

Transaction Description	Significant Keywords	Category Prediction without Printjoins	Category Prediction with Printjoins
Per diem for long-term project services (year-long)	term, services, year	Consulting	
Per diem for long-term project services (year-long)	long-term, employee		Hardware

With the use of the Printjoins lexer parameter, hyphenated words like long-term were not broken down to individual keywords and the category prediction was more accurate.

Taxonomies

A taxonomy is defined as a method for categorizing and classifying a set of data or objects.

Use Oracle Spend Classification to set up as many as five taxonomies for the purposes of reclassifying your spend data. You can define a taxonomy to have up to 9 levels. Use these levels in your analytics to have high-level and detailed reports as required. The available taxonomies are Purchasing Taxonomy, UNSPSC Taxonomy, Custom Taxonomy 1, Custom Taxonomy 2, and Custom Taxonomy 3. You can load a taxonomy that suits your requirements into any of the available taxonomy definitions. For example, if you've set up purchasing categories for use in requisitions and purchase orders, you can use the purchasing taxonomy to store the purchasing categories. This may be a copy or based on spend

analysis requirements. You can also use the scheduled process Import Purchasing Categories into Spend Classification to extract the purchasing categories from Oracle Fusion Cloud Procurement into Spend Classification.

Note: The UNSPSC Taxonomy can be used to store the categories needed by your organizations that are based on the UNSPSC category definitions. Since the complete UNSPSC taxonomy is very large due to its comprehensive nature, most organizations that consider using the UNSPSC definitions opt to implement a dramatically reduced version of the category set. For this reason, and because organizations rarely use the full definition, Spend Classification doesn't provide a predefined version of the UNSPSC taxonomy.

As the spend analysis requirements for an organization evolve, this may result in the need for the spend taxonomy to be adjusted. Here's how you update taxonomies using Spend Classification:

1. Add new categories to the existing taxonomy.
2. Delete categories from the existing taxonomy.
3. Modify existing category code description in existing taxonomy.
4. Switch over to an entirely new taxonomy (by using a spare taxonomy definition.)

When changes are made to a taxonomy definition, equivalent modifications will need to be made to the training data set. If new categories are introduced, new sample spend records for that category will need to be added to the training data so that an updated version of the Knowledge Base can be created. Where a category is removed, then the training data for that category can also be removed from the training data set.

Modify a Taxonomy

You can revise an active taxonomy by adding new categories, modifying existing category names, or deleting categories in the taxonomy.

To create or edit categories:

1. In the Configuration page, on the Taxonomies tab, click menu for a taxonomy and select Download Categories.
2. Open the downloaded template in a spreadsheet editor to make modifications.

When populating the template for the first time, note that the first column Taxonomy is meant for the taxonomy code. For example, for Custom taxonomy 1, you enter ORA_POI_CUSTOM1 in the Taxonomy column. These are the codes for all the taxonomies:

- o Custom taxonomy 1 - ORA_POI_CUSTOM1
- o Custom taxonomy 2 - ORA_POI_CUSTOM2
- o Custom taxonomy 3 - ORA_POI_CUSTOM3
- o Purchasing taxonomy - ORA_POI_PURCHASING
- o UNSPSC taxonomy - ORA_POI_UNSPSC

Tip: You can rename any of these taxonomies. To change the name of a taxonomy, edit the meaning of the taxonomy in the ORA_POI_TAXONOMY_TYPES and ORA_POI_POST_RULE_ACTIONS lookups. For guidance on how to edit the meaning of the taxonomy in a lookup, see [this FAQ](#).

3. Add new categories or edit categories by changing category names at any level. Follow these guidelines to modify or extend the taxonomy:
 - o When editing the categories, use the same separator as configured for the category name and the description values.
 - o If you change the parent node of a category name, you must change all the instances of that category name. For example, you have three categories Office.Furniture, Office.Supplies, and Office.Keys.

You change Office to Administration in one of the categories. Search for all instances of Office at the same level of the category name and change them to Administration. The new category names will be Administration.Furniture, Administration.Supplies, and Administration.Keys.

- You can change the name of the leaf node of any category without impacting other categories.

Note: When editing the categories, use the same separator as configured for the category name and the description values.

4. After making the required changes, delete all the rows in which you haven't made any changes.
5. Save and close the file.

Note: When you save a file in languages other than English, set the encoding to UTF-8. If you don't see the Encoding option, in the Save As dialog, click **Tools > Web Options**. In the Encoding tab under Save this document as, select Unicode (UTF-8).

6. Click menu and select **Upload Categories**.
7. In the Upload Categories dialog box, select the file that you updated, and click **Upload**.
The updated categories are now available for classification.

Edit Properties of Taxonomies

You can edit the properties of a taxonomy only when there are no categories associated with the taxonomy. To edit properties of a taxonomy:

1. In the Configuration page, on the Taxonomies tab, click menu for the relevant taxonomy and select Edit Properties.
2. In the Edit Properties dialog box, you can do these activities:
 - a. Enter the number of levels for the category.
 - b. Enter a character for the Category Name Separator like "-", "~", "." Enter a character for the Category Description Separator like "-", "~", ".".

3. Click Update.

You can now add categories using the new name and description separators.

Delete Categories

To delete categories:

1. In the Configuration page, on the Taxonomies tab, click menu for a taxonomy and select Delete Categories.
2. Click Delete in the confirmation dialog box.
All the categories in the taxonomy are deleted.

Data Sets

Data Sets are used to store source data that will be processed by the Spend Classification application. The following types of Data Set are supported in the application:

- Unused

- Training
- Classification

Unused Data Sets

An unused Data Set is a collection transaction records that have been loaded into Spend Classification and not yet classified or used for training purposes.

Training Data Sets

A Training Data Set is a collection of high quality spend transaction records that are already accurately categorized and that provide good examples of the different description, item reference, supplier, site, price keywords typically found on purchases that would fall into a specific category. For example, the training data set records for categorizing spend on Desserts might include transactions for Chocolate cake, Meringue tart and Black Forest.

Spend Classification uses a training data set to build a Knowledge Base that will be used to identify data patterns that can be used to predict spend categories in the wrongly classified or unclassified spend data.

During a Spend Classification implementation, it's to be expected that an iterative process will be used to gradually improve the quality of training data sets, thereby improving the results from the tool. Typically after a set of spend transactions have been classified, you will review the results and use any classification errors to identify modifications or additions to the training data used for specific categories.

There are two ways to build a training data set:

- The training data can be created from scratch and imported into Spend Classification.
- A utility is provided that will analyze an existing data set of spend transaction records to identify a subset of examples of distinct transactions for manual classification.

An appropriate set of data that makes up the training data set should have these characteristics:

- There must be a high number of examples for each leaf node to build a robust knowledge base so that the application can predict the appropriate category with higher accuracy.
- The examples should represent all the necessary variations that are needed to categorize a transaction to a certain category. For example, if Items Description, Price, Supplier, Supplier Site, Amount of PO, and Invoice are considered in the classification process that's currently used, then the training data set must contain examples that cover values that describe a spend transaction for each category code used. You must take out sample transactions for each category and repeat the same steps for all categories present in the transaction tables. This is because the same item or service can be ordered by the users in different ways. In order to build an effective knowledge base, it's ideal that you familiarize the knowledge base with all such possible transactions, so that it can pick the keywords properly during the classification process.
- The data should have referential integrity. This means that the data that's being used should always have reference to categories that are valid and exist in the instance.

Classification Data set

A Classification Data Set is a collection of spend transaction records of a similar type that have been processed to generate spend category predictions. The predictions and system confidence in these predictions are stored in a Batch.

The maximum number of spend transactions that can be processed and classified from a data set is 100,000 records. When a Data Set is selected for classification, the user has the option to apply business unit and date filters to ensure that the classification batch that will be generated won't exceed the maximum size.

When a subset of the records in a Data Set are selected for classification into a taxonomy, the next time that data set is selected for classification to the same taxonomy, only those records not yet classified will be available for selection. For example, if a Data Set contains 140,000 spend data records for an organization's buying activity during 2019 and 2020 (80,000 and 60,000 yearly records respectively), the user could select all transactions for 2019 for classification into taxonomy 1. This would process the 80,000 records from 2019. The next time they select the data set for classification into taxonomy 1, only the 60,000 records from 2020 would be available. However, all 140,000 records would still be available for classification into any of taxonomies 2, 3, 4, or 5.

Note: The reset feature can be used to allow batches or data sets to be reprocessed to generate updated category predictions. See [Reset a Data Set](#).

Seeded Classification Data Sets

There are four seeded Data Sets in Spend Classification used to process transactions generated by the applications.

These are the Requisitions, Purchase Orders, Invoices, and Expenses data sets. These data sets are unique as they automatically grow due to transactions being entered and processed within the applications by users. For example, an administrator creates 2 batches to process all 160,000 transactions from 2019 and 2020 in the Requisitions data set for classification into taxonomy #1 on 31-Dec-2020. During Jan 2021, users enter and process another 10,000 requisitions. When the administrator selects the data set for classification on 31-Jan-2021, the 10,000 new transactions are available for classification into taxonomy 1. And 170,000 accumulative transactions are now available for classification into any of taxonomies 2, 3, 4, or 5.

The same processing limits apply to these seeded data sets, so any classification batch generated from Requisitions, Purchase Orders, Invoices, or Expenses can't exceed 100,000 records in size. And the same selection process applies to the records in these data sets, so a record can only be included in a single batch for classification into a specific taxonomy.

Managing Data Sets

The Data sets tab enables you to search for data sets, reset data sets, create knowledge base, improve knowledge base, submit classification run, upload or download spend data in a supported file format (tab delimited file), and monitor data set activity logs. Use the applicable search criteria and search for data sets. Once you find your data set, download the entire data set, or download a specific set of transactions using filters such as business unit and date range.

Import Data Sets

To import data sets:

1. In the Spend Classification work area, click **Upload**.
2. On the Scheduled Processes page, click Schedule New Process and select the Load Interface File for Import job.
3. On the Process Details page, select the Import Data Sets import process, upload the data file, and submit the job.

After the import is successful, you can search and view the data

Create a Copy of a Data Set

Create a new data set by creating a copy of an existing user-generated data set. This is not supported for seeded data sets such as Requisitions, Purchase Orders, Invoices, and Expenses.

To create a copy of a data set:

1. Click **Copy** in the data set's menu options.

Note: The activity log of the original data set shows the status of the copy action.

2. Enter the name and select a purpose for the new data set and click **Create**.
3. After the new data set is created, Refresh the Configuration page and you can find it in the list of data sets.

Create a Sample Training Set

The data set has a large number of transactions and it won't be possible to manually categorize all the transactions. So, manually classify a subset of the transactions. However, selecting the transactions to classify can be a daunting task, if done manually. Also, you could potentially miss on some good candidates for categorizing the transactions when trying to reduce the size of the data. By creating a sample training data set, Spend Classification extracts the most unique variety of transactions. You can then download this sample training set, manually classify the transactions, and upload with a different name to finalize the training data set.

To create a sample training data set:

1. On the Configuration page, on the Data Set tab, click the menu for a data set and select Create Sample Training Set.
2. In the Create Sample Training Set dialog box:
 - o Name the data set
 - o Optionally select a business unit.
 - o Optionally specify a date range by entering the from and to dates.
 - o Sampling volume percentage that determines the percentage of how many transactions you want to extract from the data set as the volume for the training data set. Typically, this is around 10 percent. Click **Get Transactions** to get the approximate number of transactions that will be present in the sample training set based on the sample volume percentage.
 - o Advanced users can use these options to create a sample training set as per their requirements:
 - Distance factor: The method used to determine the distance between two keywords within a cluster. A cluster is a group of objects that are similar to each other. In data mining, similarity is measured as a distance with dimensions describing object features.
 - Cluster size: Label that indicates the number of similar objects that are grouped together as a cluster.
3. Click **Create**.

Reset a Data Set

To reclassify a data set after the classification process, you need to delete the current classification codes stamped on the applicable transactions or data sets by the Spend engine. You can perform this activity using the Reset action. If you have classified the data set but not reset it, then the Reset action is enabled. However, if you have never classified a training data set, then the Reset action is disabled. If you have at least one classified transaction in a data set, the Reset action is enabled.

Select the data set or multiple data sets and click the Reset action. Select the appropriate taxonomy (as there is a flexibility for a transaction to be classified using more than one taxonomy) to delete the classification codes for a particular taxonomy. Note that only the taxonomies that you have used for classifying the data sets are available for resetting.

Reset removes all category predictions and should be used infrequently on special circumstances. Batches already created for a data set remain unaffected if you reset a data set, however the category predictions available approved batches won't be available in analytic applications if you reset the data set.

Transactions can be classified using up to 5 taxonomies, you don't need to reset if you want to classify a data set in a different taxonomy. Rest is only required if transactions need to be reclassified using the same taxonomy.

Knowledge Base

A knowledge base, popularly called a model in data mining terminology is a compact representation of the knowledge or patterns present in a data set.

Oracle Spend Classification creates the standard type of knowledge base built using the Support Vector Machine algorithm. A knowledge base is created based on a taxonomy, and you can create a knowledge base using only one taxonomy. When a knowledge base is built using a specific data mining algorithm, it understands the knowledge or patterns present in the training data set through inspection. During classification, a knowledge base uses the scoring method to apply the learning and make predictions. To know more about the various classification algorithms, data mining operations, and terminology, see the Oracle Advanced Analytics guide.

Create a Knowledge Base

To create a knowledge base:

1. Go to the **Configuration page > Knowledge Base tab** and click Create Knowledge Base.
2. In the Create Knowledge Base dialog box, provide a name for the knowledge base.
3. Select one or more data sets that you want to use as training data for your knowledge base.
4. Select the taxonomy you had created for this data set.
5. Select the attributes including additional classification attributes for which you want to incorporate phrase-based learning.

The classification process treats the value of these attributes as a whole string rather than as separate keywords and compares them with other values from the same column. For example, Vision Corporation will be considered as a single phrase and compared only with other supplier names. An invoice with a supplier name such as Vision College won't be considered a match for this training.

6. Click Create. The status is set to Complete after the knowledge base is created.

You can view the knowledge base you created in the Configuration page, on the Knowledge Base tab. After the knowledge base is created, the status is set to Complete.

Improve a Knowledge Base

You could improve a knowledge base for these reasons:

- To improve the accuracy of classification: You might find that the knowledge base isn't classifying some transactions properly; in the way you intended the transactions to be classified. Upon further analysis, you might see that the knowledge base isn't picking up the keywords correctly, or providing wrong importance to some keywords. This might indicate that the transactions used for training the knowledge base aren't sufficient enough to help the knowledge base in identifying the patterns correctly.

- To support new categories: As time passes, organizations might start procuring some new goods or services, which might be classified using new category codes. Since these category codes weren't part of the training data set earlier, it's but obvious that the knowledge base won't classify such transactions accurately.

Before you start the knowledge base improvement process, prepare the data sets that you will use. Download the applicable data set, make manual corrections, append, or delete transactions as per your requirements, and upload the data set. After a batch is approved, use the Create data set using manual corrections option to collect all the corrections done on the batch and create a training data set. This training data set along with the original training data sets can be used to improve the knowledge base.

Here are the steps to start the improvement process:

1. On the Knowledge Base page, click the menu icon for a knowledge base and click **Improve Knowledge Base**.
2. In the Improve Knowledge Base dialog box, the original data sets that were used for creating that knowledge base are prepopulated. Add or remove data sets to improve the knowledge base and click **Improve**.

Note: Improving the knowledge base isn't an incremental process, but a complete refresh of the knowledge base. The knowledge base is built from scratch using the data sets selected for the improvement process. So use the original training set along with the incremental training sets.

3. Select the attributes including additional classification attributes for which you want to incorporate phrase-based learning.

The classification process treats the value of these attributes as a whole string rather than as separate keywords and compares them with other values from the same column. For example, Vision Corporation will be considered as a single phrase and compared only with other supplier names. An invoice with a supplier name such as Vision College won't be considered a match for this training.

4. Click Improve. In the menu icon of the knowledge base, click View Activity Log to track the progress of the knowledge base improvement process.

There's usually a time lag between knowledge base creation and knowledge base improvement. The frequency of improvement depends on your requirement.

Attributes

Choose the attributes that you want to use for a data set to influence spend classification. To incorporate the unique aspects of your business and process flows, use existing attributes or add up to 20 new extended attributes in a data set.

Once you set up the attributes, those attributes are included in the transaction details and in the batch after classification. You can also exclude any of the standard data fields used during classification if these attributes interfere with your classification results. After you change attribute mapping, create your knowledge bases again to incorporate what you learned from the new attributes into the knowledge base.

Considerations for Defining New Attributes

Consider these factors when you define and include, or exclude attributes:

- Recreate the knowledge base after you change the attribute mapping. A knowledge base created before the change in mapping won't include the learning from the additional classification attributes.
- Use existing training data to help tag the correct categories to the sample training set.

- Disable a standard attribute with caution as it may lead to unexpected classification results.
- When you enable or disable standard attributes, it doesn't affect the existing knowledge base. Improve or rebuild the knowledge base for the changes to take place.

Defining New Attributes

The Attributes tab contains the list of all the standard attributes that are extracted for different data sets. Along with these standard attributes, 20 additional attributes per data set are also available to you for influencing classification results.

Here's how you include additional attributes to use in a data set, that will influence spend classification:

1. In the attribute row, map the source table and source column that you want to be extracted for transactions within a data set.
2. To use this attribute for classification, select Yes in the Use for Classification drop-down list.
3. Prepare the training set, including the additional attributes:
 - a. Create a sample training set to extract values for these new attributes for the data set. Note that you should use a smaller sample volume percentage when a data set is significant in size.
 - b. Download the sample training set.
 - c. Manually assign the correct category to each spend record in one of the auto code columns, based on the taxonomy you're using.
 - d. Save the data set with a different name.
 - e. Upload the data set.
4. Create the knowledge base using this training data set. Now the defined attributes are also used as input criteria to train the knowledge base.
5. Start classifying the data.
6. Review results in the batches and correct manually if required.

Training Exclusions

Use training exclusions to build and manage a list of words that will be ignored in any training set that is used for creating or improving a knowledge base.

Text strings in spend data often include common words that can appear in a wide variety of unrelated spend records, making them poor predictors for assigning or updating category codes. Building up a set of training word exclusions ensures that these terms don't interfere with category predictions and improves knowledge base performance. Spend Classification machine learning ignores words in the training exclusion list while classifying the spend data.

Here's how you get started:

1. Go to the Training Exclusions page in the Configuration section of Spend Classification.
2. Start by reviewing the sample exclusions available within the solution. You can download these exclusions on to a spreadsheet using the Download Sample Exclusions action.
3. Modify the list of words as required.
4. Click Upload Exclusions to import your changes back into the application.

Alternatively, you can make changes directly on the Training Exclusions page. Add words to be excluded one at a time in the Excluded Word field, click the 'X' against a word to remove it from the exclusion list.

5. Incorporate the training exclusions that you have uploaded into your classification process.

- When you create a new knowledge base, the list of exclusions if available, is incorporated during knowledge base creation.
- For an existing knowledge base, you must improve the knowledge base using the Improve Knowledge Base action to incorporate the latest training exclusions.

Note: If no additional training is required, use only the training sets that were initially used to create the knowledge base.

6. When the knowledge base is ready, use it to classify the spend transactions to improve your results.

The training exclusions list evolves over time as it undergoes multiple iterations. To download and review the exclusion list that was last applied to any given knowledge base, go to the Knowledge Base page, and click the Download Exclusions action for that knowledge base. In the spreadsheet, you'll find these lists:

- Current exclusions: Words currently excluded from the training set.
- Canceled exclusions: Words that were removed from the list of training exclusions since the knowledge base was created or last improved.
- Added exclusions: Words that were added to the list of training exclusions since the knowledge base was created or last improved.

Use this list to determine if a knowledge base should be rebuilt or improved to incorporate more training exclusions, or if training exclusions should be modified to add the words previously removed.

Rules

Create rules using standard attributes and extended attributes to modify the classification behavior, improve classification results, and reduce the time spent in the classification process.

You can use these operators to create preprocessing and postprocessing rules. This topic also gives you some examples on how to use rules.

Option	Value	Description
Type	Preprocessing	Use preprocessing rules for refining or normalizing the data before classification. When defining preprocessing rules, you can assign a specified value or another attribute value to an attribute. Or, you can assign null to clear out the value of the attribute. You can also choose to exclude transactions from analysis based on different conditions.
	Postprocessing	Create postprocessing rules to set a constant value to a category that will override its predicted value after classification.
Operator	Is exactly	Compare an attribute's value to another value with case sensitivity.
	Is	Compare an attribute's value to another value and ignore case sensitivity.
	Is not	Match values that are not the same as the comparison value.

Option	Value	Description
		For example, a condition where the supplier's name Is not Light will match transactions with any supplier name other than Light.
	Starts with, Ends with	Match with values starting with the sub string mentioned in the value. For example, a condition where the supplier's name Starts with Corp will match all transactions with supplier names such as Corporation Tech, Corp Tronics, and so on. Similarly, Ends with matches all values that end with the specified string.
	Matches any, Matches none	Compare multiple values with the exact values provided, suffix each value with a # sign.
	Contains	Matches with a string that contains the comparison value anywhere in the attribute's value. You can compare only one value with this operator in a condition. For example, Contains Light when compared to the value Floodlight will be considered a match.
	Does not contain	Matches the string that doesn't contain the comparison value anywhere in the value of the attribute. You can compare only one value with this operator in a condition. Check if the attribute has a value or if it is blank.
	Is blank, Is not blank	Check if the attribute has a value or if it is blank. Is not blank checks if the attribute has a value or is not null.
Action	Assign	Use the assign action when you want to assign a certain value as per the condition you are setting. - Attribute value – Select an attribute whose value will be assigned. - Constant value – Enter a constant value that will be assigned. - Null – Assign a null, or make the attribute blank.
	Exclude from Analysis	Use when you want to exclude spend transactions from classification and from the batch. For example, use it when you want to exclude transactions from a specific supplier or item.

Normalizing Data Using Rules

In this example, we'll see how you can use rules to clean up or normalize data. Various departments exist within an organization and these departments create the name of a supplier, First Software, an IT goods seller under the category IT.SUPPLIES. The names used are First Software, 1st Software, First SW, and FSW. To get the right classification results, the classification engine must resolve that all these names are assigned the name of the same supplier, First Software. To achieve this, you can use a rule to clean up the transactions before classification and assign the name First Software to all of them.

To create the rule:

1. On the Configuration page in the Rules tab, click **Create Rule**.
2. Select the type as Preprocessing.
3. Under Conditions, add a new condition. Select the attribute Supplier Name, assign the operator Equal to and enter the value 1st Software. Similarly create entries for First SW and FSW.
4. Now you can standardize the supplier name. Under Action, select:
 - o Attribute: Supplier Name
 - o Assign: Constant value
 - o Value: First Software
5. Save the rule.

In the classification results, the different forms of the supplier name are normalized to the correct name, First Software.

Using Postprocessing Rules

Let's look at an example for a postprocessing rule using additional attributes. In the Attributes tab under Configuration, you mapped Classification Attribute 1 to Manufacturer. You can set up rules that use manufacturer names to perform specific processing for subsets of the transactions in the data set.

1. In the Rules page, select the rule type as Postprocessing.
2. Create a new condition with these parameters:
 - o Attribute: Classification Attribute 1
 - o Operator: Like
 - o Value: Vision Corporation
3. Under Action, assign the value of Office.Furniture to the related taxonomy. This action assigns the Office.Furniture category to all the transactions that meet the condition where Classification Attribute 1 equals Vision Corporation.

Using the Operators In and Not In

In this example, we want to exclude certain transactions based on the values contained in the value of the supplier site.

1. In the Rules page, create a new rule and select the rule type as Preprocessing.
2. Create a new condition. Select:
 - o Attribute: Supplier Site
 - o Operator: In
 - o Value: 7667#, 34421#, 12909#
3. Under Action, select Exclude from Analysis and save the rule.

When you apply this rule all the transactions where the supplier site contains 7667 or 34421 or 12909 won't be considered for classification and won't be included in the resulting batch.

Batches

Each time a data set containing spend transaction records is classified, the application creates a batch.

Create a Classification Batch

Here's how you classify a data set and generate a batch:

1. Navigate to the Data Sets page.
2. Select the data set and from the options and select **Classify**.
3. In the Classify Data Set window, select the knowledge base you want to use to classify the data set.
4. Enter a name for the batch.

It's important to give a meaningful name to the batch. Something to represent the data and filter conditions used to create it.

5. Select a business unit.
6. Specify transactions from and to dates such that the number of transactions available for classification is less than 100,000. For easy analysis of classification results, a batch can have a maximum of 100,000 transactions.
7. Click **Get Transactions** to retrieve the number of transactions available for classification. Create multiple batches in case there's a large number of unclassified transactions.
8. Click **Classify** to initiate the classification process.

You can also use the Start Spend Classification scheduled process to schedule the classification of spend data. If there are over 100,000 transactions in a batch, the scheduled process automatically distributes the transactions into the required number of batches and processes all the batches at the same time. Find the scheduled process in the Scheduled Processes work area and define the same parameters that are required when you create a classification batch manually.

Review Classification Results

Go to the Batch Summary page for the list of batches, status of batches, and classification trends such as high, medium, or low.

Click on a batch name to go to the batch details page. Here you can review the status, knowledge base used, data set from which the batch was created, taxonomy, classification date, first and the last transaction dates in the batch, and spend amount. Use filters and filter suggestions to prioritize your review of the classification results.

Click on the Analytics option on the Batch Details page to go to the Analytics page for that batch. Batch analytics include detailed visualizations and search options that help you narrow down the transactions that may need your attention. You can review the results of the classification process and compare the categorization of transactions before and after the classification process. Major deviations may require review and intervention.

Click on a transaction ID on the batch details page to go to the transaction details page where you can view individual transaction details such as predicted category name and description, manual category name and description, transaction type, spend amount, and so on. You can view the predicted categories and the list of keywords in the keyword analysis.

The analytics for the batch are organized into four sections: Classification Performance, Classification Spread, Positive Influencers, and Negative Influencers. Click on each section to view the detailed charts and related metrics.

- **Classification Performance:** Review the category-wise classification results for the batch based on the system confidence level for the predictions that have been made. The default view is for low confidence transactions.

The Classification Performance chart shows you how many of the transactions predicted for a category were originally assigned to that category and how many were assigned to a different category. This split is shown by amount and by the number of transactions and can highlight the areas where there may be issues with the predictions being generated by Spend Classification. For example, if the volume of transactions predicted in

a category is low, but they represent a significant proportion of the total spend for that category, this would warrant a detailed investigation.

The Classification Performance chart makes this easy because you can drill down to the actual transactions for any of the regions in the chart. For example, if you click the Prediction Varies from Original bar within the Total Spend Amount for a specific category in this chart, you'll be redirected to the batch details page that is filtered to list only those transactions included in that spend amount.

- **Classification Spread:** The metric in this section allows you to understand how many of your categories include predicted spend. This helps judge the relevance of your taxonomy or notice significant issues with your Knowledge Base. For example, you may have Training Set Data for a significant number of categories that are receiving no predicted spend.

You can compare the transactions categorization before and after classification process to see the breakup of this spread in terms of transaction amount or the number of transactions per category. Major deviations may warrant intervention and review. As with the transactions by category chart, you can use these charts to drill down to the batch details and make changes if required.

- **Positive Influencers:** This section within the Analytics dashboard shows you the words in the training data that have greater significance and a positive impact on classification or category prediction. Review the positive keywords to assess whether you can make improvements to the training data by refining existing keywords or augmenting them with additional similar terms. These changes help you ensure that the training data is adequate, and the results are impacted by positive influencers.
- **Negative Influencers:** This section shows the words in the training data that either have no impact or have a negative impact on classification or category prediction. Review negative keywords and remove them from training data to improve the classification results. You can add these negative keywords to training exclusions to improve the classification results for a training set. See [Training Exclusions](#) for more information on how to exclude words in training sets.

View Transaction Details

In the batch details page, click on the transaction ID to view the transaction details. In the transaction details page you can view the transaction description such as predicted category code, manual category code, transaction type, amount, and so on. You can view the predicted categories and the list of keywords in the keyword analysis.

Review and Improve Classification Results

Classification is done in batches of data created while classifying a data set. The Batch Summary page provides you with trend details to help understand whether successive batch processing is yielding better or worse results. Key processing metrics are also provided to highlight the average time to classify, identify the most recent and most frequently used knowledge base and taxonomy, and to indicate when the most frequently used knowledge base was last improved.

For any given batch, you can drill into the batch details to review all of the individual transactions with the option to enter manual changes to the predicted category for any spend record. You can filter the batch details using the high, medium, and low classification statuses to help prioritize activity within your review.

The classification status is determined by comparing the confidence at each level of the predicted category against the classification threshold percentage entered in classification controls.

You can make corrections to the category predictions on the Batch Details page or using a downloaded batch file. On the Batch Details page, select a category name for a spend record from its drop-down list in the Manual Category Name column and click **Save**. To perform bulk manual classifications using batch download, follow these steps:

1. In the Batch Details page, click the Download action and save the batch file.

2. Review the changes needed in the spreadsheet and add the category names to the Manual Category Name column.

In the Rules Applied column, you can see the names of the classification rules that were used to improve category predictions. These rules could have influenced the category prediction or modified the values of some of the attributes. You can use this information to determine how the rules influenced the predictions and opt to revise the rules or add new ones.

3. Delete all the other transactions where you have not made any changes.

Tip: Filter out the blank entries in the Manual Category Name column and delete those rows.

4. Use the Upload action to upload the batch file.

When you assess classification predictions for individual spend records and make corrections, you can view overall improvements to your batch results in real time.

Manage Batches

You can also perform these actions on a batch:

- Approval - After you've completed the improvements to the category classifications, you can approve a batch. The batch becomes available on the Performance page.
- Reset - To reclassify a batch using the same taxonomy, reset the batch
- Create a data set using manual corrections - Incorporate the feedback using manual corrections to improve the knowledge base using the training data set created by taking this action. This data set contains all transactions classified manually along with their updated category predictions.
- Delete - Manage the number of batches created by deleting them as required.

Troubleshooting

Use this section to troubleshoot the following issues: Import data sets:

1. Ensure to follow the data preparation instructions as mentioned in FBDI template. Date format in the upload file should be YYYY/MM/DD.
2. Change the data set name in upload file, while uploading training set.
3. Remove any comma "," from the data descriptions in the training data set file, as it interferes with the upload process.

To update taxonomy:

1. Download the latest categories.
2. Delete the categories in the relevant taxonomy.
3. Upload the updated file

Manual corrections data set can be created only from approve batches.

Performance page shows data for approved batches only.

16 Troubleshoot Errors

How You Get Assigned to a Business Unit That Supports Requisitioning

When you go to the Requisitions work area, you might see this error:

You aren't assigned to a business unit that supports requisitioning. Please contact your help desk.
(POR-2010674)

When you contact your help desk, share this info: In the Setup and Maintenance work area, go to the Manage Business Unit Data Access for Users task. Use this task to give the user access to an active business unit that supports requisitioning.

If you see this error, you'll need to get in touch with your help desk to get added to a business unit that's configured for requisitioning. Your enterprise uses business units to track purchasing expenses.

At the help desk, someone who's assigned a role to manage data access for users will be able to fix the error.

- Related Topics
- [Assign a User to a Business Unit That Supports Requisitioning](#)
 - [What's a help desk?](#)

What's the application limit on purchasing processes and services?

We have defined maximum permissible limit for purchasing processes and services, and here's the list of the application limit on purchasing processes and services:

Area	Maximum Limit
Requisition to PO Automation	3,000 lines can be grouped in a PO
User Interface Pages	500 records at a time
FBDI	10,000 distributions
Purchasing Document Import Errors Report	500

Area	Maximum Limit
Purchase Order Web Service	PO with 200 lines 1 line with 10,000 schedules 1 line with 1 schedule and 10,000 distributions
View PDF	3,000 lines in a PO
Approvals	PO with 10,000 lines 1 line with 10,000 schedules 1 line with 1 schedule and 10,000 distributions
Close Schedules Spreadsheet (ADFdi)	5,000 schedules
Buyer Assignments Rules (ADFdi)	500 rows
Acknowledge Schedules in Spreadsheet (ADFdi)	5,000 rows
Purchase Order REST API	500. The rest can be seen by pagination by setting offset parameter.
Procurement Agents REST API	500. The rest can be seen by pagination by setting offset parameter.
Import/Export Services	No limit
Attachment Size	10MB with maximum 10 attachments
CMK Message Communication	When View Object based message is used: 500 lines When Oracle Analytics Publisher data model is used: 3,000 lines Note: Set the maximum attachment size in the Manage Collaboration Messaging Configuration page. Maximum attachments as 2MB and maximum overall PO size as 5MB.
Number of Approval Rules/Conditions Supported by UI	No limitation on the number of rules but only the first 500 lines are evaluated.
OTBI Subject Areas	PO with 1,500 backing requisition lines

What's the application limit on requisitions?

We have defined maximum permissible limit for requisition import and requisition lines creation. Here's the list of the application limit on requisitions:

Area	Maximum Limit
Requisition	UI: 500 lines FBDI/PRWS/Mobile: No limit REST Resource POST: 500 lines PATCH: 500 lines SUBMIT: 500 lines
External Requisition	FBDI/PRWS/Mobile: No limit REST Resource POST: 500 lines PATCH: 500 lines SUBMIT: 500 lines
Approvals	Default: 500 lines Autoapproved: 10,000 lines
Requisition PDF	3,000 lines can be grouped into a single PDF
Attachment Size	2GB
Approval Rules and Conditions	No limit
Requisition Lines That Can Be Canceled via Spreadsheet	500 lines
Requisition Import Errors in the Error PDF	5,000 errors
Requisition Lines on an Approval Notification (Email and Online)	First 25 lines are displayed in the notification. You need to check the Requisition PDF or Requisition details to verify rest of the lines.

Area	Maximum Limit
Requisitions in OTBI Requisitioning Subject Area	Default value: 65,000
Requisition Lines That Can Be Autocreated to PO	3,000 lines
Map Set (Category/UOM/Supplier/Supplier Site)	Category: 100,000 UOM/Supplier/Supplier Site: 10,000
Agreement Loader	No limit

What diagnostic tests are available for Procurement?

Here's the list of diagnostic tests that are available for Procurement:

Name	Description
Manage Purchasing Documents Lifecycle Validate	Provides data from the base application tables associated with a specific procurement document.
Define Purchasing Configuration Validate	Shows all the basic configurations related to the Purchasing product features.
Transaction Account Builder - Account Generation	Checks for basic TAB setup errors.
Requisition Details Validate	Displays all the details of the requisition at header, line, and distribution levels as stored in the database tables.
Item Configuration Validate	Validates if the item can be delivered to the specified organization level and it also verifies data problems related to item search.
Manage Content Zone Validate	Identifies all the catalogs, smart forms, and public lists accessible to the user via content security.
Search-by Keyword Validate	Lists the search results that match a given keyword. It also help validate that keywords are properly indexed.
Punchout Connectivity Validate	Verifies a network connection can be established with an external website using the proxy settings.
Item Search Validate	Provides all data associated with a negotiation.

Name	Description
Negotiation Responses Diagnostic Test	Shows extensive details on the suppliers and how they interacted with the negotiation.
Award Negotiation Create Purchasing Document Validate	Provides data behind a problematic outcome creation process.
Supplier Profile Validate	Lists the supplier, supplier sites, site assignments, addresses, and contacts details for a supplier.
Supplier User Account Validate	Lists the user or role request information for a supplier contact.
Supplier Migration Validate	Provides end-to-end checks on supplier records and outputs any that don't confirm to the expected setup for proper use. It also help verify any data that might have changed causing an invalid or incomplete supplier record.
User Roles Display	Displays all the roles assigned to a given user.
Purchasing Diagnostic Test	Provides encumbrance accounting data associated to a specific purchase order. It also provides encumbrance accounting data associated to a specific Create Accounting Execution report.
Configure Requisitioning Business Function Validate	Includes a parent validation that the business unit is suitable for creating Oracle Self Service Procurement requisitions against, and then provides a useful list of the Procurement service providers that are setup to be able to process those requisitions.
Requisition Not Present In Process Requisitions	Checks why the requisition line doesn't exist in the Process Requisition Lines page. It also verifies whether the ReqToPO automation process has run for a requisition line.
Requisition Tax Validate	Provides details about the errors encountered while generating tax information.
Negotiations Diagnostic Test	Provides all data associated with a negotiation.
Supplier Diagnostic Test	Provides the user account configuration for a specific supplier contact and the roles and permissions for the supplier contact.
Initiate Flow Validate	Provides information related to an initiative and its child objects: Qualification Area, Assessment, Qualification, Suppliers, Questionnaires and Questions.
Assessment Flow Validate	Provides details related to a specific supplier assessment including dependent entities: Supplier and Supplier Contact identification, and Qualification.
Qualification Flow Validate	Provides details related to a specific Qualification and its child entities: Qualification Area, Qualification Responses, and Qualification Response Mapping.
Questionnaire Response Flow Validate	Provides details related to Questionnaires and its child entities: Respondents, Questions, and Responses.

Name	Description
Registration Response Flow Validate	Provides details related to the questionnaire to which a supplier had answered during Registration process. It also provides details related to the registration rules active at the time of registration based on which the questionnaire was chosen and displayed to the registering supplier.
Response Repository Flow Validate	Provides information on the accepted supplier questionnaire responses.
Sourcing Integration Flow Validate	Provides details about what data was exchanged between Oracle Sourcing and Oracle Supplier Qualification for a particular bid.

Run Touchless PO Creation Diagnostic Reports

To know why a requisition failed to convert into a PO, as a buyer, you can run a diagnostic test report. Here's what you have to do to generate the report:

1. On the Setting and Actions menu, click **Run Diagnostics Tests**.
2. In the Search for Tests section, enter Touchless PO Creation Diagnostic Report in the Test Name field.
3. Click **Search**.
4. Select the test and click **Add to Run**. The test will be added to the Choose Test to Run and Supply Inputs section.
5. To provide the required input parameters, click the warning icon.
6. On the Input Parameters page, enter the requisition number and click **OK**.
7. In the Run Tests section, to run the test click **Run**.

The diagnostic report helps you to resolve PO creation related issues. The report shows requisition data and reason for its failure in a tabular format. In the report, you can check the REQTOPO_AUTOMATION_FAILED (Y/N) and REQTOPO_AUTO_FAILED_REASON columns to know the reason why a requisition failed to convert into a PO.

Troubleshoot Internal Requisition Setup for Internal Material Transfers

A supply source isn't available as source organization for internal material transfers of non-planned items.

To troubleshoot why a particular source organization isn't available, you have to check for these:

- Identify the destination inventory organization for Oracle Self Service Procurement
- Review item setup for destination and source organizations
- Review interorganization parameter setup
- Review miscellaneous transaction

Identify the Destination Inventory Organization for Oracle Self Service Procurement

On the requisitions page, click Requisition Preferences to check the Deliver-to Location. Then on the Setup and Maintenance work area, use the Manage Inventory Organization Locations task to verify the inventory organization associated with the location.

If the location isn't associated with any inventory organization then the default deliver-to organization for the requisitioning BU will be the destination organization. On the Setup and Maintenance work area, use the Configure Requisitioning Business Function task to identify the default deliver-to organization for the requisitioning BU.

Review Item Setup for Destination and Source Organizations

As item setup is done at organization level, review the setup for destination organization and source organizations. Go to Product Management>Product Information Management> Manage Items and then search for the item. Ensure these settings for the item:

Section	Item Organization	Required Setup
Specifications	Manufacturing	Structure Item Type: Standard Costing Enable: Yes Include in Rollup: Yes
Specifications	Inventory	Inventory Item: Yes Stocked: Yes Transaction Enabled: Yes
Specifications	Sales and Order Management	Transfer Orders Enabled: Yes Check ATP: None Internally Transferable: Yes
Specifications	Planning	Planning Method (under MPS MRP Planning): Not Planned
Specifications	Purchasing	Purchased: Yes Purchasable: Yes
Categories	Purchasing Category	Item must be associated with a category in the purchasing catalog.
Associations	Inventory Organization Association	The item must be associated with all the destination and source organizations that are relevant for the internal transfer process.

Review Interorganization Parameters Setup

There should be interorganization parameters setup defined between source and destination organization. Use the Manage Interorganization Parameters task to verify the entries for the destination organization. Make sure you provide the distance and distance UOM as these are used to rank the source organizations.

This is how the ranking works:

Destination Type	How the Ranking Works
Expense Destination	When shopping for expense destinations, the destination inventory organization is used as the preferred source organization. If this isn't desirable, you can set the item as non-stockable in the destination organization.
Inventory Destination	When shopping for inventory destinations and non-planned items, the ranking is determined using the distance values configured for From and To organization pairs in the Manage Interorganization Parameters task. The organization with the lowest rank, or the shortest distance will have priority as the source organization.

Note: On the Enter Requisition Line page, the default value for the source organization is derived in the same way it's derived when shopping. To select a different organization, you can use the Select Source link on the Select Supply Source dialog window.

Review Miscellaneous Transaction

Miscellaneous receipt has to be created for the item to add inventory on hand quantity in the source organization.

You can either use the same cost (Item List Price) that you mentioned while creating the item by setting Use Item Cost as Yes or define the item cost and tax for each inventory organization by setting Use Item Cost as No.

For source organization issues for planned items, refer to the Oracle SCM Cloud Using Order Promising guide.

Related Topics

- [Set Up Promising to Support Your Transfer Flow](#)
- [Troubleshoot Setup Problems in Order Promising](#)